

Phase 13 -- Borderline Hypotheticals

Gray-Zone Suitability Scenarios

250 borderline scenarios

Item 1 of 250

Topic: dual_registrant_fiduciary_vs_suitability_advice_channel

Standard: Investment Advisers Act §§206(1)-(2); SEC Release IA-5248 (Commission Interpretation Regarding Standard of Conduct for Investment Advisers, 2019); Regulation Best Interest Rule 15l-1 (Care, Disclosure, Conflict of Interest, and Compliance Obligations); Dodd-Frank Act §913 (Study and Rulemaking Regarding Obligations of Brokers, Dealers, and Investment Advisers); SEC Form CRS (Relationship Summary); CFP Board Standards of Professional Conduct (fiduciary duty); Exchange Act Release No. 69013 (File No. 4-606 Request for Information)

Likely Outcome: A regulator would likely focus on two distinct issues. First, on the individual engagement, the SEC's Division of Examinations would probably find that the totality of the relationship -- comprehensive planning, ongoing recommendations, fiduciary-branded credentials -- created reasonable client expectations of a fiduciary relationship, and that Westlake's disclosures were insufficient to overcome the functional reality. However, the SEC would be reluctant to issue a bright-line ruling that all financial planning delivered through brokerage accounts triggers IA fiduciary duties, as this would effectively collapse the BD/IA distinction that Congress preserved. More likely, the SEC would pursue this as a disclosure and conflicts violation under Reg BI's conflict-of-interest obligation (requiring policies to mitigate conflicts arising from the segmentation policy) and potentially as a Form CRS deficiency, rather than directly applying Advisers Act §206. FINRA might separately find that the variable annuity recommendation failed Reg BI's care obligation given lower-cost alternatives. The systemic segmentation policy would likely draw an examination deficiency letter but not a formal enforcement action, unless the SEC found evidence that the policy was designed with the intent to avoid fiduciary accountability rather than as a business model decision.

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Westlake Financial Group is a dual registrant -- licensed as both a broker-dealer and a registered investment adviser -- with approximately 340 financial professionals serving retail clients across the Midwest. In 2022, Westlake implemented a client segmentation program under which clients with less than \$250,000 in investable assets are served through the firm's brokerage platform under a suitability standard (and, post-Reg BI, the best interest obligation), while clients above that threshold are offered the option of a fee-based advisory relationship governed by the Investment Advisers Act fiduciary standard. The segmentation is disclosed in Westlake's Form CRS, which states: 'Depending on the services you select and your account type, our obligations to you may differ. Please ask your financial professional which standard of care applies to your relationship.'

Marcus Tierney, a CFP(R) professional and dual-hatted representative at Westlake, meets with a new client, Sandra Velasquez, who has \$210,000 in retirement savings and an additional \$65,000 in a taxable account. Sandra is a 58-year-old public school teacher nearing retirement and tells Marcus she wants 'a comprehensive plan for retirement.' Marcus conducts a holistic financial planning session -- analyzing Social Security timing, pension optimization, tax-loss harvesting strategies, and asset allocation -- and prepares a written financial plan. However, because Sandra's investable assets fall below Westlake's \$250,000 advisory threshold, Marcus opens her accounts on the brokerage platform. He recommends a portfolio of mutual funds and a variable annuity, earning transaction-based commissions and a trailing 12b-1 fee. The written financial plan Marcus delivered bears the header 'Westlake Financial Group -- Comprehensive Financial Planning Services' but does not specify which regulatory standard governs the relationship. Sandra signs brokerage account documents, including the Form CRS, but later testifies she believed Marcus was acting as her 'financial advisor' throughout the engagement and did not understand the distinction between brokerage and advisory accounts.

Eighteen months later, Sandra discovers that an equivalent portfolio of low-cost index funds in a fee-based advisory account would have saved her approximately \$4,800 annually in total costs, including the elimination of 12b-1 fees and the annuity's mortality and expense charges. She files a complaint with both the SEC and FINRA, alleging that Marcus and Westlake breached their fiduciary duty by delivering advisory-level services through a brokerage channel to avoid fiduciary accountability, and that the firm's asset-based segmentation policy constitutes a systemic scheme to evade the Advisers Act's fiduciary standard.

Why Borderline

This scenario sits precisely at the unresolved intersection that the Financial Planning Coalition's comment letter and File No. 4-606 sought to address: the gap between the functional reality of personalized financial advice and the regulatory framework that permits different standards of conduct based on the registration channel through which advice is delivered. The SEC has never definitively ruled on whether comprehensive financial planning delivered through a brokerage account automatically triggers Advisers Act fiduciary obligations, and Reg BI explicitly declined to impose a full fiduciary standard on broker-dealers. Meanwhile, the client's reasonable expectations -- shaped by the CFP(R) designation, the comprehensive planning engagement, and the firm's own marketing -- point toward a fiduciary relationship. The firm's asset-based segmentation policy adds a systemic dimension: is it legitimate business segmentation or a structural mechanism to channel clients away from fiduciary protections?

Borderline Factors

- * The comprehensive financial planning services provided were functionally indistinguishable from advisory services, yet were delivered through a brokerage account governed by Reg BI rather than IA fiduciary standards
- * Marcus holds the CFP(R) designation, which independently imposes a fiduciary standard under CFP Board rules, creating potential confusion about which regulatory standard the client could reasonably expect to apply
- * The Form CRS disclosure technically informed Sandra of the different standards of care, but the written financial plan bore advisory-style branding and did not clarify the applicable regulatory regime
- * Westlake's \$250,000 asset threshold systematically channels less-wealthy clients into brokerage relationships, raising the question of whether asset-based segmentation constitutes a structural evasion of fiduciary obligations or legitimate business practice

Analysis

Sandra's strongest argument rests on the functional nature of the services she received. Under SEC Release IA-5248 and longstanding Commission interpretive guidance, the fiduciary duty of an investment adviser attaches based on the nature of the relationship and the reasonable expectations of the client -- not merely on the contractual label the firm assigns. Marcus conducted comprehensive financial planning, provided ongoing recommendations touching multiple aspects of Sandra's financial life, and held himself out as a CFP(R) professional subject to fiduciary obligations under CFP Board standards. Sandra could argue that regardless of which account documents she signed, the substance of the engagement was advisory in nature, triggering Advisers Act §§206(1)-(2) fiduciary obligations. The SEC's 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers reinforced that an adviser's fiduciary duty encompasses both a duty of care and a duty of loyalty, and that advisers cannot disclaim these duties through disclosure alone.

Westlake's defense is also substantial. The firm would argue that the Form CRS clearly disclosed the different standards of care, that Sandra signed brokerage account agreements, and that Marcus's recommendations satisfied Reg BI's best interest obligation under Rule 15l-1, including the care, disclosure, conflict of interest, and compliance obligations. Westlake would point out that Reg BI was specifically designed to enhance broker-dealer standards without collapsing the distinction between brokerage and advisory relationships -- a distinction Congress preserved in

Dodd-Frank §913. The firm would further argue that its \$250,000 threshold is a legitimate business decision reflecting the economic viability of fee-based advisory relationships for smaller accounts, and that Sandra actually benefited from not paying an ongoing advisory fee on a relatively small asset base. Marcus could also argue that the financial plan was incidental to the brokerage relationship and did not independently trigger IA registration or fiduciary duty, particularly since no separate planning fee was charged.

Item 2 of 250

Topic: unregistered_notes_suitability_gray_zone

Standard: Securities Act Section 5 (registration requirements); Securities Act Section 4(a)(2) and Regulation D Rules 501-506 (private placement exemption and accredited investor definition); Securities Exchange Act Section 10(b) and Rule 10b-5 (antifraud); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade); FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); SEC Rule 501(a) (accredited investor definition, including primary residence exclusion)

Likely Outcome: A FINRA enforcement panel would likely find violations but would struggle with the severity of sanctions. The omission of the parent's operating losses from the PPM, combined with the misleading oral characterizations, would probably be found to violate FINRA Rules 2010 and 2020 and potentially Section 10(b)/Rule 10b-5, but the willfulness finding -- critical for statutory disqualification -- would be contested. The accredited investor errors would likely result in a finding that the registration exemption was not properly established for the five affected customers, triggering a violation of Section 5 of the Securities Act. However, given the firm's documented compliance efforts, the likely resolution would be significant fines and restitution to the five misclassified investors (and possibly to all investors who received misleading oral representations) rather than expulsion, with individual bars limited to supervisory capacity rather than all capacities -- unless the panel found that the omission of the parent's financial losses was knowing and deliberate rather than negligent.

Source: 03_FINRA_AWC

Fact Pattern

Pinnacle Bridge Securities, Inc. (a FINRA member firm based in Arlington, Virginia) is a subsidiary of Pinnacle Bridge Holdings, LLC, a diversified financial services holding company. In early 2022, Pinnacle Bridge Holdings created a series of promissory notes -- denominated as 'Senior Secured Notes' -- to raise capital for a planned expansion of its wealth management technology platform. The notes carried a 7.5% annual coupon, had a 3-year maturity, and were marketed as secured by the holding company's revenue streams and intellectual property.

Marcus Redfield, the firm's CEO and head of sales, directed approximately 14 registered representatives to offer these notes to existing brokerage customers. Redfield consulted with outside counsel, who provided a legal memorandum concluding that the notes likely qualified for the Section 4(a)(2) private placement exemption from registration under the Securities Act of 1933, provided that offers were limited to accredited investors, no general solicitation was used, and appropriate legends and subscription documents were employed. The firm implemented a written protocol: representatives were instructed to offer the notes only to customers who met the accredited investor standard, to provide a detailed private placement memorandum (PPM) that included risk factors, and to collect signed suitability questionnaires.

Over 18 months, the firm sold approximately \$8.2 million of these notes to 47 customers. The PPM disclosed that proceeds would fund the parent company's technology expansion, that the notes were illiquid and not publicly traded, that repayment depended on the parent's financial health, and that there was a conflict of interest because Pinnacle Bridge Securities was selling its parent's debt. However, the PPM did not specifically quantify the parent company's existing debt load or disclose that Pinnacle Bridge Holdings had been operating at a net loss for the prior two fiscal years. During sales conversations, several representatives described the notes to customers as 'like a CD but with better returns' and as 'backed by the company's assets,' though the collateral was limited to intangible IP assets of uncertain value.

Of the 47 customers, 42 were verified accredited investors. However, five customers -- all retirees in their late 60s and early 70s with moderate risk tolerances and annual incomes between \$180,000 and \$210,000 -- were classified as accredited based solely on net worth calculations that included their primary residences, which should have been excluded under the revised accredited investor definition. These five customers invested a combined \$740,000. When Pinnacle Bridge Holdings experienced cash flow difficulties in late 2023 and missed a quarterly interest payment, several customers complained. FINRA's examination staff subsequently opened an inquiry.

Why Borderline

This scenario is genuinely ambiguous because the firm took substantial -- but imperfect -- steps toward compliance. It obtained a legal opinion, prepared a PPM, and implemented suitability procedures, which distinguishes it from the brazen fraud in Success Trade Securities. Yet the omissions regarding the parent's financial condition, the misleading oral characterizations, and the accredited investor calculation errors create a pattern that could either reflect negligent execution of a good-faith compliance effort or a deliberate scheme to use the appearance of compliance as cover for selling risky affiliated securities to retail customers. Reasonable experts would disagree about whether the PPM's risk disclosures were sufficient to cure the oral misrepresentations, whether the net worth errors were innocent mistakes or reckless disregard, and whether the Section 4(a)(2) exemption survives even if the Regulation D safe harbor is lost.

Borderline Factors

- * Firm obtained outside counsel legal opinion supporting the private placement exemption, but the opinion may have been based on incomplete facts regarding the parent company's financial condition
- * PPM contained substantive risk disclosures and conflict-of-interest language but omitted specific quantitative information about the parent's operating losses and total indebtedness
- * Representatives' oral characterizations ('like a CD') arguably contradicted the PPM's written risk disclosures, raising the question of whether written disclosure cures misleading oral statements
- * Accredited investor miscalculation for five customers involved a known rule (primary residence exclusion) but affected a small subset of investors and may have been a computational error rather than willful evasion
- * The structural conflict of a broker-dealer selling its parent's debt heightens the duty of disclosure but does not per se prohibit the transaction

Analysis

The defense would argue that the firm made a good-faith effort to comply with the private placement exemption: it obtained a reasoned legal opinion from outside counsel, prepared a substantive PPM with risk disclosures and conflict-of-interest language, implemented written suitability procedures, and restricted sales to what it believed were accredited investors. The misclassification of five investors as accredited was an inadvertent error in net worth calculation rather than willful misconduct, and the firm could argue that the Regulation D safe harbor was 'substantially complied with' or, alternatively, that even if the safe harbor was lost for those five investors, the broader Section 4(a)(2) exemption still applied because all investors were financially sophisticated, received comprehensive disclosure, and had pre-existing relationships with the firm. The 'like a CD' comparisons, while imprecise, could be characterized as informal shorthand rather than deliberate misrepresentations, especially since the PPM -- which every customer signed -- clearly stated the notes were illiquid, unsecured by tangible assets, and subject to credit risk.

The prosecution would counter that the structural conflict -- a broker-dealer selling its own parent's debt to its retail customers -- demands heightened scrutiny, not less. The omission of the parent company's operating losses and total debt burden from the PPM is potentially material under any standard, as a reasonable investor deciding whether to lend money to an entity would want to know if that entity was losing money. The 'like a CD' characterizations in oral communications, when combined with these omissions, created a materially misleading impression of safety that the

PPM's boilerplate risk factors could not cure, particularly for retired customers with moderate risk tolerances who were relying on their representatives' oral advice. The accredited investor miscalculation for five customers -- involving the well-known primary residence exclusion that has been in effect since 2011 -- raises questions about whether the firm's compliance procedures were adequate or merely performative. Moreover, the suitability of concentrating retirees' capital in illiquid, unregistered notes of a money-losing parent company is questionable regardless of accredited investor status.

Item 3 of 250

Topic: proprietary_fund_recommendation_suitability_conflict

Standard: FINRA Rule 2111 (Suitability--reasonable-basis, customer-specific, and quantitative components); SEC Regulation Best Interest (17 CFR 240.15l-1) including Care Obligation, Conflict of Interest Obligation, and Disclosure Obligation; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade); SEC Form CRS (17 CFR 249.640); FINRA Regulatory Notice 12-25 (guidance on suitability for firms with limited product menus); FINRA Rule 4511 (Books and Records requirements for documenting suitability determinations)

Likely Outcome: A FINRA arbitration panel or enforcement action would likely find at least a partial violation, though the outcome is genuinely uncertain. The most probable resolution is a finding that the Private Fund recommendation with the three-year lockup was unsuitable/not in the customer's best interest given her age, income needs, and healthcare concerns, while the Growth Fund recommendation--though aggressive--falls within the range of defensible professional judgment given the remaining liquid assets. A panel would likely be influenced by the fact that MCP's compliance department could have flagged the lockup as problematic for a retiree and failed to do so. Damages would likely be limited to losses on the Private Fund allocation rather than the full complaint amount. In a FINRA enforcement context, the matter might result in an AWC with a modest fine and an undertaking to enhance supervisory procedures around recommending illiquid products to retirees, rather than a finding of broad suitability failure.

Source: 03_FINRA_AWC

Fact Pattern

Meridian Capital Partners, Inc. ('MCP') is a FINRA-registered broker-dealer that exclusively distributes proprietary mutual funds and private funds managed by its investment adviser affiliate, Meridian Asset Management ('MAM'). MCP's Form CRS clearly discloses that all recommendations are limited to proprietary products. In March 2024, MCP registered representative David Holloway meets with a prospective client, Margaret Chen, a recently retired 68-year-old school administrator with \$1.2 million in retirement savings. Chen tells Holloway she needs stable income, has moderate risk tolerance, and wants to preserve capital for healthcare costs. Holloway recommends she invest \$400,000 in the Meridian Growth Opportunities Fund, a concentrated equity fund focused on mid-cap growth companies with an expense ratio of 1.35% and historical volatility significantly above its benchmark. Holloway also recommends \$200,000 in the Meridian Small Cap Discovery Private Fund, which has a three-year lockup period and a 2% management fee plus 20% performance allocation.

Holloway documents in his suitability notes that the Growth Opportunities Fund has historically outperformed balanced funds over 10-year periods, and that the Small Cap Discovery Fund's illiquidity premium justifies the lockup for a client with sufficient remaining liquid assets. He notes that Chen's remaining \$600,000 is held in Treasury bonds and a bank savings account, providing adequate liquidity. Chen signs all subscription documents and receives full offering memoranda. MCP's compliance department reviews the transaction and approves it, noting that the firm's product shelf, while limited, includes both growth and value-oriented funds, and that Holloway selected from among available options.

Six months later, the Growth Opportunities Fund declines 22% during a market correction, and Chen discovers she cannot access the Private Fund capital to cover unexpected medical expenses. She files a complaint alleging that MCP's exclusive focus on proprietary products created an inherent conflict that resulted in unsuitable recommendations--specifically, that comparable non-proprietary balanced funds and income-oriented products would have better served her stated objectives, and that the lockup period was inappropriate for a retiree with healthcare cost concerns. MCP responds that its limited product shelf was fully disclosed, that Holloway made reasonable

recommendations from available options, and that Chen had adequate liquidity outside the recommended investments.

Why Borderline

This case sits at the precise intersection of two competing regulatory principles: (1) the well-established precedent that broker-dealers with limited product shelves can satisfy their obligations through disclosure and reasonable selection from available products, and (2) the newer Reg BI framework's heightened care and conflict-of-interest obligations, which arguably require more than disclosure when a firm's business model structurally prevents it from serving a customer's actual needs. The factual record supports both sides--adequate disclosure and documentation versus objectively questionable asset allocation for a retiree--and the law remains unsettled on exactly when a proprietary-only firm must decline to recommend its products to a customer whose profile arguably demands products outside the firm's shelf.

Borderline Factors

- * Full Form CRS disclosure of limited proprietary product shelf versus structural inability to recommend suitable non-proprietary alternatives
- * Documented suitability rationale and compliance review versus objectively aggressive allocation for a 68-year-old retiree seeking capital preservation
- * Three-year lockup period consuming one-sixth of total retirement assets for a client with stated healthcare cost concerns
- * Tension between pre-Reg BI precedent allowing limited product shelves with disclosure and Reg BI's heightened care obligation requiring best-interest recommendations

Analysis

The defense arguments are substantial. MCP fully disclosed its limited proprietary product shelf in its Form CRS, and Chen was aware she was dealing with a firm that only recommended affiliated products. Under FINRA Rule 2111, suitability must be assessed in the context of the firm's product offerings, and FINRA has historically recognized that firms with limited product menus can still satisfy suitability obligations if they make reasonable recommendations from available products and disclose the limitations. Holloway documented his rationale, noting that Chen retained \$600,000 in liquid, low-risk assets, which arguably provided sufficient capital preservation and liquidity. The compliance department reviewed and approved the transactions. Moreover, Form CRS explicitly states the client 'make[s] the ultimate decision regarding the investment strategy,' and Chen signed all documents after receiving full disclosures.

However, the counterarguments are equally compelling. Reg BI's care obligation, which superseded the traditional suitability standard for retail customers, requires that recommendations be in the customer's best interest and not place the firm's financial interest ahead of the customer's. A regulator could argue that recommending a volatile concentrated growth fund and an illiquid private fund with a three-year lockup to a 68-year-old retiree seeking capital preservation and income demonstrates that MCP's proprietary-only model created an irreconcilable conflict--the firm literally had no income-oriented or capital preservation products to recommend, yet proceeded to recommend what it had rather than declining to serve the customer or referring her elsewhere. The fact that disclosure was made does not cure an underlying conflict under Reg BI's conflict-of-interest obligation. Furthermore, allocating one-third of a retiree's liquid savings into a three-year lockup raises serious questions about reasonable-basis suitability regardless of remaining liquid assets, particularly given healthcare cost uncertainty.

Item 4 of 250

Topic: senior_options_suitability_gray_zone

Standard: Regulation Best Interest (Rule 15l-1(a)(1)) under the Securities Exchange Act of 1934--specifically the Care Obligation component; FINRA Rule 2360(b)(19)(A) (Options Suitability); FINRA Rule 2111 (Suitability, to the extent pre-Reg BI principles inform analysis); FINRA Rule 4511 (Books and Records, regarding adequacy of account documentation); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Just and Equitable Trade); FINRA Regulatory Notice 12-03 (Heightened Supervision for Senior Investors)

Likely Outcome: A FINRA examination or enforcement review would likely result in a cautionary or deficiency letter rather than formal action, but the outcome is genuinely uncertain. If pursued, a hearing panel would probably find that the strategy was borderline defensible given the client's sophistication, the conservative implementation, and the contemporaneous documentation, but might fault Devereaux for failing to update Langford's formal account documentation to reflect her actual risk capacity and options experience before executing the strategy. The most likely resolution would be a supervisory deficiency finding against Whitfield for inadequate procedures around reconciling verbal client representations with documented profiles, rather than a direct Reg BI violation finding against Devereaux personally. However, if FINRA's enforcement division chose to pursue this under the precedent set by cases like Taylor's, a skilled prosecutor could make a credible case that the documented profile controls and the strategy was unsuitable per se for a moderate-risk senior--making the defense's reliance on undocumented sophistication a risky position at hearing.

Source: 03_FINRA_AWC

Fact Pattern

Marcus Devereaux, a registered representative at Whitfield Securities Group (CRD No. 8827), has maintained a book of approximately 120 clients since 2018. Among his clients is Patricia Langford, age 68, a retired corporate treasurer with 30 years of experience managing a mid-cap company's cash reserves and investment portfolio. Langford's new account form at Whitfield lists her investment objective as 'balanced/growth and income,' her risk tolerance as 'moderate,' and her liquid net worth at approximately \$3.2 million. During onboarding in 2021, Langford verbally told Devereaux that she had personally traded options during her career and understood derivatives mechanics, though she acknowledged she had not actively traded options in her personal account before.

Beginning in March 2022, Devereaux recommended that Langford allocate approximately 15% of her portfolio to a covered put-selling strategy on large-cap technology names--specifically writing cash-secured puts on Apple, Microsoft, and Alphabet at strike prices 10-15% below current market levels, with 30-45 day expirations. The strategy was designed to generate premium income consistent with her income-oriented objective. Devereaux documented internal notes stating that Langford's background as a corporate treasurer made her 'uniquely positioned to understand and accept the defined risks of cash-secured put writing,' and that the strategy was 'income-enhancing and capital-efficient for a sophisticated retiree.' Langford signed the firm's options agreement indicating the second-highest risk tier.

During the October 2022 tech selloff, several of Langford's puts were assigned, resulting in her acquiring shares of the underlying stocks at prices above the then-current market. Her unrealized losses on the assigned positions totaled approximately \$185,000, or roughly 5.8% of her total portfolio. Rather than liquidating, Devereaux recommended holding the assigned shares and writing covered calls against them to recover premium, which Langford agreed to. By March 2023, the positions had partially recovered, reducing the net loss to approximately \$72,000 (2.25% of the portfolio). Langford did not file a complaint and told Whitfield's compliance department during a routine call review that she understood the risks and was satisfied with how Devereaux managed the situation.

Whitfield's compliance surveillance system flagged the account due to the firm's automated rule that triggers review when clients aged 65+ engage in options strategies beyond covered calls. An internal review noted that Langford's stated 'moderate' risk tolerance appeared inconsistent with the put-selling activity, even though the strategy was cash-secured and limited to large-cap names. The compliance department referred the matter for further review but could not reach consensus on whether a Reg BI violation had occurred.

Why Borderline

This scenario sits in a genuine gray zone because it pits the formal documented risk profile (moderate/balanced for a senior) against substantive factors that arguably justify the strategy: the client's professional expertise, the conservative variant of the options strategy used (cash-secured, large-cap, modest allocation), contemporaneous documentation of rationale, the client's informed consent, and the relatively modest portfolio impact. FINRA enforcement has signaled aggressiveness on senior options cases, but the specific facts here--particularly the client's sophistication and the position sizing--distinguish it materially from cases like Taylor where speculative, high-volatility puts caused significant losses. The tension between a 'check-the-box' profile-driven enforcement approach and a holistic, facts-and-circumstances Reg BI analysis is unresolved in borderline cases like this.

Borderline Factors

- * Client's formal risk tolerance designation ('moderate') conflicts with her demonstrated professional sophistication and verbal representations about options knowledge
- * Strategy was cash-secured puts on mega-cap names limited to 15% of portfolio, materially different from speculative naked or high-volatility put-selling, but still classified as above-basic options activity
- * Client is a senior investor (age 68) triggering heightened FINRA scrutiny, yet her financial capacity (\$3.2M liquid net worth) and professional background as a corporate treasurer arguably mitigate vulnerability concerns
- * Losses were temporary and modest relative to portfolio size (peak 5.8%, recovered to 2.25%), and the client expressed satisfaction--but Reg BI is evaluated at time of recommendation, not by outcome

Analysis

The strongest argument that Devereaux violated Reg BI and FINRA Rule 2360(b)(19)(A) rests on the formal customer profile: Langford's documented investment objective was 'balanced/growth and income' with a 'moderate' risk tolerance, and she was a 68-year-old retiree--a senior investor to whom FINRA has consistently applied heightened scrutiny. Selling puts, even cash-secured ones, on volatile technology stocks introduces assignment risk and potential for significant concentration in a single sector, which is facially inconsistent with a balanced, moderate-risk profile. FINRA enforcement has repeatedly emphasized that the documented investment profile--not the representative's subjective assessment of sophistication--governs the suitability and best-interest analysis. The Taylor AWC at issue specifically targeted put-selling in tech stocks for seniors with balanced objectives, establishing a clear enforcement posture.

The defense, however, has substantial ammunition. Unlike the Taylor case, Devereaux limited the strategy to approximately 15% of the portfolio in mega-cap (not high-volatility speculative) names, all puts were cash-secured (capping downside at known levels), and the client had genuine professional expertise in investment management. The net realized impact was modest relative to portfolio size. Critically, Reg BI's Care Obligation requires evaluation at the time of recommendation, and a reasonable argument exists that cash-secured put-writing on blue-chip stocks for premium income is consistent with an income-oriented component of a balanced portfolio when sized appropriately. Devereaux's contemporaneous documentation of his rationale and Langford's professional background supports that he performed a reasonable diligence inquiry. Moreover, FINRA Rule 2360(b)(19)(A) requires suitability analysis to consider the customer's 'financial situation, needs, and investment objectives'--and Langford's financial situation (liquid net worth of \$3.2M) could reasonably absorb the defined risk of assignment on a 15% allocation.

Item 5 of 250

Topic: dual_capacity_best_interest_monitoring_gap

Standard: Regulation Best Interest (SEC Rule 15l-1), including the Care Obligation (17 CFR 240.15l-1(a)(2)(ii)) and Conflict of Interest Obligation (17 CFR 240.15l-1(a)(2)(iv)); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 3110 (Supervision); SEC Form CRS (Form ADV Part 3 / Relationship Summary); FINRA Rule 4511 (Books and Records)

Likely Outcome: A FINRA arbitration panel or enforcement action would likely result in a negotiated settlement rather than a clear finding of violation. The pattern evidence is the most damaging element -- it undercuts the argument that Holloway made a deliberate, client-specific determination that a brokerage account was best for Dr. Ortiz. However, the absence of an ongoing monitoring duty in brokerage accounts, combined with clear CRS disclosures, provides substantial defense. A panel would most likely find that while each individual recommendation satisfied suitability and Reg BI at the time of execution, the firm's supervisory procedures were deficient in failing to identify the disparate treatment of comparable clients and the potential conflict of interest in account-type recommendations. The most probable resolution is a supervisory deficiency finding under FINRA Rules 3110 and 2010, with modest monetary sanctions and enhanced supervisory requirements, rather than a direct Reg BI violation against Holloway personally.

Source: 03_FINRA_AWC

Fact Pattern

Margaret Holloway, a longtime financial professional at J.P. Morgan Securities LLC (JPMS), manages roughly 340 client relationships. Approximately 60% of her clients hold full-service brokerage accounts, while the remaining 40% have been transitioned into investment advisory accounts over the past three years. One of her brokerage clients, Dr. Raymond Ortiz, a 62-year-old cardiologist approaching retirement, opened a full-service brokerage account in 2019 with approximately \$1.8 million in investable assets. At account opening, Holloway recommended a diversified portfolio of individual equities, investment-grade bonds, and several actively managed mutual funds. Dr. Ortiz approved each transaction as recommended.

Over the following four years, Holloway had periodic but infrequent contact with Dr. Ortiz -- approximately two to three phone calls per year, mostly initiated by Dr. Ortiz when he had questions about quarterly statements. During that time, Holloway did not proactively reach out to discuss the portfolio's increasing concentration in technology equities (which had grown from 22% to 47% of his portfolio due to market appreciation), nor did she suggest rebalancing in light of his approaching retirement timeline. She also did not recommend that Dr. Ortiz consider transitioning to an advisory account, which would have triggered ongoing monitoring obligations and periodic portfolio reviews aligned with his evolving risk profile.

In early 2024, the technology sector experienced a sharp 28% correction. Dr. Ortiz's portfolio declined by approximately \$390,000 in three months. He complained to JPMS management that Holloway had 'abandoned' him and failed to warn him about the concentration risk. Holloway's supervisor reviewed the account records and noted that all original recommendations were suitable at the time of execution, that Holloway had documented her conversations with Dr. Ortiz, and that the firm's CRS clearly stated that in brokerage accounts, the client is 'responsible for monitoring your investments and their performance over time.' However, an internal compliance review also revealed that Holloway had recommended advisory accounts to at least 15 other clients with comparable profiles and asset levels during the same period, and that she earned higher trailing compensation from advisory accounts -- raising the question of whether her failure to recommend the advisory account to Dr. Ortiz reflected a genuine assessment or an oversight.

Why Borderline

This scenario sits squarely in the unresolved tension between the episodic nature of brokerage obligations and the evolving expectations under Reg BI's Care and Conflict of Interest Obligations. The CRS disclosure clearly delineated the brokerage monitoring limitation, and each individual recommendation was suitable when made. But the pattern evidence -- Holloway recommending advisory accounts to comparable clients while not doing so for Dr. Ortiz -- creates an inference of either negligence or conflicted decision-making that is difficult to dismiss. Reg BI did not create an ongoing monitoring duty for brokerage accounts, yet the failure to recommend an account type that the advisor routinely recommended to peers occupies genuinely ambiguous regulatory space. Reasonable compliance officers and enforcement attorneys would disagree on whether the omission of a recommendation (to switch account types) is itself a regulable act under Reg BI.

Borderline Factors

- * Reg BI's Care Obligation is episodic and attaches to recommendations, but the failure to recommend an account type change to a comparable client may itself constitute a regulable implicit recommendation
- * The CRS explicitly assigns monitoring responsibility to the brokerage client, providing a strong disclosure-based defense, yet disclosures alone may not satisfy Reg BI's Conflict of Interest Obligation
- * Pattern evidence showing Holloway recommended advisory accounts to 15 similarly situated clients creates an inference of disparate treatment that undermines the defense that the brokerage arrangement was genuinely appropriate for Dr. Ortiz
- * Differential compensation between brokerage and advisory accounts creates a conflict that could cut either direction -- it could explain why Holloway moved other clients to advisory (self-interest) or why she failed to move Dr. Ortiz (oversight rather than misconduct)

Analysis

The core legal question is whether Holloway's conduct in the brokerage account violated Regulation Best Interest (Reg BI) or FINRA Rule 2111 (Suitability), given the well-documented distinction between brokerage and advisory account obligations. In a brokerage relationship, the firm's best-interest obligation attaches at the point of each recommendation, not on a continuous basis. JPMS's own CRS explicitly places the monitoring burden on the brokerage client. Every recommendation Holloway made was documented and apparently suitable at the time it was made. She had no affirmative regulatory obligation to monitor Dr. Ortiz's portfolio concentration or proactively suggest rebalancing absent a new recommendation. A defense attorney would argue that the CRS disclosures were clear, that Dr. Ortiz understood and accepted the brokerage relationship's limitations, and that market appreciation -- not unsuitable recommendations -- caused the concentration.

However, the SEC's Reg BI framework includes a Care Obligation that requires a broker-dealer to exercise reasonable diligence, care, and skill when making recommendations, including consideration of the client's investment profile. A regulator could argue that Holloway's pattern of recommending advisory accounts to similarly situated clients demonstrates that she recognized clients like Dr. Ortiz would benefit from ongoing monitoring, and that her failure to recommend an account type transition was itself a failure to act in his best interest. Moreover, the Conflict of Interest Obligation under Reg BI requires firms to identify and mitigate conflicts -- Holloway's differential compensation between account types could have created an incentive (or disincentive) that influenced which clients received the advisory recommendation. FINRA Rule 2010's broad 'commercial honor' standard could also be implicated if Holloway's selective treatment of comparable clients suggests she was not treating Dr. Ortiz fairly.

Item 6 of 250

Topic: 529_rollover_waiver_disclosure_adequacy

Standard: Exchange Act Rule 15l-1(a)(1) (Reg BI Compliance Obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); MSRB Rule G-27 (Supervision); FINRA Rules 3110 (Supervision) and 3110(b) (Written Supervisory Procedures); SEC Reg BI Adopting Release (Exchange Act Release No. 86031) discussion of 'reasonably designed' policies and procedures standard

Likely Outcome: A regulator would likely find a violation but impose significantly reduced sanctions compared to the IFG matter. The probable resolution would be a cautionary action or a modest fine with credit for the firm's self-identification and remediation. The regulator's reasoning would center on the principle that a supervisory system whose primary operational tool omits a critical compliance checkpoint is not 'reasonably designed,' regardless of what the WSPs say on paper--the system must function in practice, not just on paper. However, the firm's overall compliance posture, good faith design rationale, and prompt remediation would be treated as substantial mitigating factors. There is roughly a 60-40 chance of a formal finding of violation versus a cautionary letter or no action, with the outcome likely depending on whether the regulator views the deliberate design choice as a reasonable compliance judgment or a foreseeable gap that should have been addressed.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Pinnacle Wealth Advisors, LLC (CRD No. 14892) is a mid-sized FINRA member firm headquartered in Phoenix, Arizona, with approximately 320 registered representatives across 175 branch offices. In 2021, following Reg BI's effective date, Pinnacle's compliance team undertook a review of its 529 plan rollover practices. The firm's Chief Compliance Officer, Sandra Whitfield, directed the creation of written supervisory procedures (WSPs) that specifically addressed 529 plan rollovers, including a section noting that 'representatives should be aware that certain 529 plan product sponsors may offer front-end sales charge waivers or Class AR shares for rollover transactions, and should consider the availability of such waivers when making recommendations.'

Pinnacle also developed a proprietary internal comparison tool--the '529 Rollover Evaluator'--which representatives were required to complete before processing any 529 rollover. The tool prompted representatives to input the current plan's fee structure, the proposed plan's fee structure, state tax implications, and investment performance data. However, the tool did not contain a specific field or prompt requiring the representative to check whether the destination plan offered a sales charge waiver or Class AR shares for rollovers. Whitfield's team considered adding such a field in Q3 2022 but ultimately decided against it, reasoning that the WSPs already addressed waiver awareness and that adding another mandatory field would slow transaction processing and create 'alert fatigue' among representatives.

Between June 2020 and December 2023, Pinnacle processed approximately 1,400 529 plan rollover transactions. An internal audit conducted in early 2024 by the firm's new Head of Compliance, Marcus Jennings, identified 87 transactions (approximately 6.2%) where customers purchased Class A shares with full front-end sales charges in destination plans that offered either sales charge waivers or Class AR shares for rollover customers. The affected customers collectively paid approximately \$43,000 in avoidable sales charges. Jennings promptly initiated remediation, and the firm reimbursed all affected customers within 60 days of discovery.

Notably, Pinnacle had conducted annual compliance training that referenced 529 plan waiver availability in general terms, and the firm's WSPs were updated annually. Representatives involved in the 87 flagged transactions stated in interviews that they were generally aware waivers might exist but did not check for waiver availability on the specific plans in question because the Rollover Evaluator tool did not prompt them to do so. Several representatives noted that

the plans' prospectuses disclosed waiver availability but that they relied primarily on the Evaluator tool rather than reviewing prospectuses for each transaction.

Why Borderline

This case sits at the precise boundary of what constitutes a 'reasonably designed' supervisory system under Reg BI's Compliance Obligation. Pinnacle did far more than IFG--it had specific WSPs, a dedicated tool, and annual training--yet the tool contained a gap that predictably led to a subset of customers not receiving available waivers. The core tension is whether a deliberate compliance design decision (omitting a waiver prompt to avoid alert fatigue) that results in a low but non-trivial error rate constitutes a supervisory deficiency or a reasonable exercise of compliance judgment. The IFG precedent cuts against the firm, but the materially more robust compliance infrastructure distinguishes it. Reasonable compliance professionals and regulators could genuinely disagree about where the line falls between 'imperfect but reasonable' and 'unreasonably designed.'

Borderline Factors

- * The firm had specific WSPs addressing 529 waiver availability, unlike IFG, but the primary enforcement mechanism (the Evaluator tool) lacked a corresponding prompt--creating a gap between written policy and operational reality
- * The 6.2% error rate is low enough to suggest a generally functioning system but high enough to indicate a systematic gap rather than isolated human error
- * The firm made a documented, deliberate compliance judgment to omit the waiver field based on the legitimate concern of alert fatigue, raising the question of whether regulators should second-guess good-faith compliance design decisions
- * The firm self-identified the issue and completed remediation before any regulatory inquiry, which could support either that the system ultimately worked or that the deficiency existed for over three years before detection

Analysis

The enforcement argument would focus on Reg BI's Compliance Obligation under Exchange Act Rule 15l-1(a)(1), which requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with Reg BI as a whole, including the Care and Disclosure Obligations. FINRA could argue that while Pinnacle's WSPs mentioned waiver awareness in general terms, the firm's actual supervisory system--specifically, the Rollover Evaluator tool that served as the primary compliance checkpoint--was deficient because it failed to include a prompt for waiver availability. The 6.2% error rate, though relatively modest, demonstrates that the system did not function as reasonably designed because representatives predictably relied on the tool rather than independently consulting prospectuses. Under the Care Obligation, a recommendation to purchase Class A shares at full load when a waiver was available cannot be in the customer's best interest. The IFG AWC establishes a clear enforcement precedent that general awareness of waivers without specific procedural mechanisms is insufficient. Additionally, under MSRB Rule G-27, the firm's supervisory system must be reasonably designed to ensure compliance with applicable rules, and a tool that omits a critical cost-related field arguably fails this standard.

The defense would argue that Pinnacle acted reasonably and in good faith. Unlike the IFG case, Pinnacle had specific WSPs addressing 529 rollover waivers, created a dedicated compliance tool for rollover evaluation, conducted annual training referencing waiver availability, and promptly self-identified and remediated the issue. A 93.8% compliance rate suggests the system was 'reasonably designed' even if not perfect--no supervisory system can prevent every error. The firm made a deliberate, documented compliance judgment call about tool design based on legitimate concerns about alert fatigue, which itself is a recognized compliance risk. The Compliance Obligation requires policies 'reasonably designed' to achieve compliance, not policies that guarantee zero errors. The firm's self-identification and rapid remediation further demonstrate a functioning supervisory system, not a deficient one.

Item 7 of 250

Topic: reg_bi_excessive_trading_borderline_turnover

Standard: Regulation Best Interest, Exchange Act Rule 15l-1(a)(1) (General Obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation, including assessment of excessive trading through series-of-transactions analysis); FINRA Rule 2111 (Suitability, for pre-June 30, 2020 conduct); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 3110 (Supervision); SEC Reg BI Adopting Release, Exchange Act Release No. 86031 (June 5, 2019) regarding cost considerations and reasonably available alternatives

Likely Outcome: A FINRA enforcement panel would likely find a violation, but the outcome is closer than a clear-cut excessive trading case. The 14.2% cost-to-equity ratio is the most damaging metric -- it is difficult to justify imposing that cost burden on a moderate-risk retiree's account regardless of the turnover rate. FINRA adjudicators have increasingly focused on cost-to-equity ratios as the more meaningful measure of harm, and Reg BI's emphasis on cost considerations strengthens this approach. However, the customer's contemporaneous endorsements and the sub-6 turnover rate would likely mitigate sanctions significantly. The panel would probably impose a shorter suspension (3-6 months rather than the 9 months in the Kelly AWC), a modest fine, and restitution measured by the differential between Corcoran's actual returns and what a reasonable moderate-risk portfolio would have generated. Pinnacle could also face separate supervisory failure charges for its inadequate principal review documentation, though the firm's automated surveillance system just missing the account would be treated as a design deficiency rather than willful supervisory failure.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Devlin, a General Securities Representative (CRD No. 5891024) registered with Pinnacle Wealth Advisors, LLC (CRD No. 178432), has managed the account of retired schoolteacher Linda Corcoran, age 68, since 2019. Corcoran's account documentation lists her investment objective as 'growth and income,' her risk tolerance as 'moderate,' and her liquid net worth at approximately \$410,000. Her account with Devlin holds roughly \$185,000 in assets.

Between July 2020 and June 2023, Devlin executed approximately 142 trades in Corcoran's account, producing an annualized turnover rate of 4.8 and a cost-to-equity ratio of approximately 14.2%. These metrics sit above the levels many courts have deemed presumptively excessive (turnover rates above 6 are generally considered excessive; rates between 4 and 6 are in a gray zone), but the cost-to-equity ratio is relatively elevated. Devlin's trading activity generated approximately \$38,200 in total commissions and fees over the three-year period. Corcoran's account showed a net gain of approximately 6.1% over the period, modestly underperforming the S&P 500's return of roughly 31% over the same window but outperforming several fixed-income benchmarks.

Devlin maintains that Corcoran verbally requested an 'active management' approach and wanted him to take advantage of market volatility during and after the COVID-19 recovery. He points to text messages in which Corcoran said things like 'keep doing what you're doing, I trust your judgment' and 'I like seeing the activity, it makes me feel like someone is watching my money.' Corcoran never filed a complaint and expressed satisfaction in annual account review meetings documented by the firm. However, the firm's Form CRS and Corcoran's account agreement do not reference any 'active trading' strategy, and Corcoran's written investment profile was never updated to reflect a higher risk tolerance or a speculative objective.

During a FINRA cycle examination of Pinnacle Wealth, examiners flagged Devlin's trading in Corcoran's account based on quantitative metrics. Pinnacle's compliance department had a surveillance system that generated automated alerts

for accounts with turnover rates above 5.0, but Devlin's 4.8 rate did not trigger the threshold. Pinnacle's supervisory procedures required a principal review of any account generating more than \$15,000 in annual commissions, and while Devlin's account exceeded that level in 2021 (\$14,800 technically fell just below in 2022), the reviews that were conducted noted 'customer satisfaction' and 'consistent with verbal instructions' without further documentation of how the trading frequency aligned with Corcoran's stated moderate risk tolerance and retirement status.

Why Borderline

This case sits in genuine regulatory ambiguity because the quantitative metrics fall in the contested middle ground -- elevated enough to raise concerns but below the levels courts typically treat as presumptively excessive. The customer's contemporaneous written endorsements of the trading strategy create a factual dispute about whether the activity was truly 'excessive' from the customer's perspective or reflected her informed preferences. Additionally, the tension between Corcoran's formal written investment profile (moderate risk, growth and income) and her informal communications (endorsing active trading) raises unresolved questions about which documentation should control under Reg BI's Care Obligation. Reasonable compliance professionals and adjudicators could disagree about whether a 4.8 turnover rate in a retirement account with a 14.2% cost-to-equity ratio crosses the line when the customer expressed satisfaction throughout.

Borderline Factors

- * Annualized turnover rate of 4.8 falls below the commonly cited presumptive threshold of 6 but is substantially elevated for the customer's stated investment profile and life circumstances
- * Customer's contemporaneous written communications endorsing the trading activity create a genuine factual dispute about informed consent versus broker-driven excessive trading
- * Significant disconnect between the customer's formal documented investment profile (moderate risk, growth and income, retiree) and the informal verbal/text instructions that were never memorialized in account documentation updates
- * Firm's automated surveillance system threshold of 5.0 turnover rate narrowly missed flagging the account, raising questions about whether Pinnacle's supervisory procedures were reasonably designed under Reg BI's Compliance Obligation

Analysis

The enforcement case against Devlin rests on familiar quantitative indicia of excessive trading under Reg BI's Care Obligation. A 4.8 annualized turnover rate, while below the commonly cited threshold of 6, is well above what would be expected for a moderate-risk, growth-and-income account belonging to a 68-year-old retiree. The 14.2% cost-to-equity ratio means Corcoran's portfolio needed to generate returns exceeding 14% annually just to break even after costs -- a heavy burden for a moderate-risk account. FINRA enforcement has brought cases at similar or lower quantitative levels, and the SEC's adopting release for Reg BI specifically noted that the Care Obligation requires consideration of costs in the context of reasonably available alternatives. The significant underperformance relative to a simple index fund strategy further supports the argument that the trading pattern served Devlin's financial interest more than Corcoran's. The fact that Corcoran's written investment profile was never updated to reflect the purportedly more aggressive verbal instructions undermines Devlin's defense and suggests inadequate documentation under both Reg BI and FINRA's suitability framework.

Devlin's defense, however, carries genuine weight. Corcoran's contemporaneous text messages affirmatively endorsing the trading activity, combined with her documented satisfaction at annual reviews and her failure to complain over a three-year period, suggest informed acquiescence if not outright solicitation. Courts have recognized that customer-directed or customer-endorsed trading activity can negate a finding of excessive trading, particularly where the customer is not entirely unsophisticated -- Corcoran held \$410,000 in liquid assets and had maintained brokerage

accounts for years. Moreover, the 4.8 turnover rate falls below the threshold most frequently cited as presumptively excessive, placing the burden more squarely on the regulator to prove that the trading was unreasonable in context. Devlin can also argue that his active approach during the volatile 2020-2021 market period was a reasonable tactical response to extraordinary conditions, and that the account did generate positive absolute returns.

Item 8 of 250

Topic: reg_bi_care_obligation_high_risk_bonds_concentration

Standard: Exchange Act Rule 15l-1(a)(2)(ii)(B) (Reg BI Care Obligation -- Customer-Specific Prong); Exchange Act Rule 15l-1(a)(2)(ii)(A) (Reg BI Care Obligation -- Reasonable-Basis Prong); Exchange Act Rule 15l-1(a)(2)(i) (Reg BI Disclosure Obligation); SEC Release No. 34-86031 (Reg BI Adopting Release, June 2019) -- discussion of 'reasonably available alternatives' and documentation expectations; SEC Release No. 34-102379 / File No. 3-22451 (Centaurus Financial, Inc. enforcement action, Feb. 2025) -- precedent regarding high-risk illiquid bond recommendations under Reg BI Care Obligation

Likely Outcome: The SEC would likely pursue this case but face a more contested outcome than Centaurus. For the customers closest to retirement (3-5 years) with concentrations exceeding 10%, regulators would have the strongest argument that the recommendation lacked a reasonable basis given illiquidity risk and time-horizon mismatch -- particularly in light of the Centaurus precedent establishing that structural Ponzi-like features demand heightened scrutiny. However, for customers with longer time horizons and lower concentrations, the firm's documented compliance framework would provide a more credible defense. A likely resolution would involve a settlement with reduced sanctions compared to Centaurus -- perhaps a censure and moderate fine for the firm's failure to identify the circular-funding risk in its product review, with potential individual liability limited to recommendations made to the most vulnerable near-retirement customers. The SEC would likely characterize this as a Care Obligation violation rather than a Disclosure or Conflict of Interest violation, but the firm's compliance infrastructure would mitigate the severity.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Meridian Wealth Partners, LLC ('Meridian') is a mid-sized independent broker-dealer with approximately 120 registered representatives operating primarily in the southeastern United States. Between January 2022 and September 2023, several Meridian representatives recommended EverBridge Capital Corp. ('EverBridge') 7.5% Senior Secured Notes ('EB Notes') to retail customers. EverBridge is a specialty finance company that originates small business loans and packages them into structured products. The EB Notes carry a BBB- rating from a single NRSRO, have a 5-year maturity, no secondary market liquidity, and offer above-market yields funded in part by new note issuances.

Meridian representative Sarah Kowalski recommended EB Notes to 14 retail customers during this period. Kowalski documented a rationale for each recommendation in Meridian's CRM system, noting that the notes offered fixed income diversification, attractive yield relative to investment-grade corporates, and a secured position backed by a diversified loan portfolio. For most customers, the EB Notes constituted between 8% and 15% of total investable assets. Kowalski's customers generally had moderate-to-aggressive risk tolerances, household net worths between \$400,000 and \$1.2 million, and stated investment time horizons of 5-10 years. Several customers were within 3-7 years of planned retirement.

Meridian's compliance department had reviewed the EB Notes through its product review committee prior to approving them for the firm's platform. The committee flagged the illiquidity risk and single-rating-agency coverage but ultimately approved the product with a concentration limit of 20% per customer account, a minimum liquid net worth requirement of \$250,000, and a requirement that representatives document customer awareness of illiquidity. Kowalski obtained signed risk acknowledgment letters from each customer confirming they understood the lack of a secondary market. However, the firm's product review did not specifically analyze or flag EverBridge's disclosure that a portion of new note proceeds could be used to service existing note obligations -- language buried in the 'Use of Proceeds' section of the offering circular.

In late 2023, EverBridge disclosed material adverse developments in its loan portfolio and suspended interest payments on the EB Notes. Several of Kowalski's customers, particularly those nearing retirement, suffered significant unrealized losses. A subsequent SEC examination raised questions about whether Meridian and Kowalski had satisfied the Care Obligation under Regulation BI, specifically the Customer-Specific Prong, given the customers' proximity to retirement and the illiquid, speculative characteristics of the EB Notes.

Why Borderline

This scenario is genuinely ambiguous because it sits at the intersection of several unresolved tensions in Reg BI enforcement: (1) the degree to which a single investment-grade rating from a recognized agency can support a 'reasonable basis' finding despite other red flags; (2) whether a firm's documented compliance infrastructure -- product review, concentration limits, risk acknowledgments -- creates a safe harbor or merely a rebuttable presumption of compliance; (3) how the 'proximity to retirement' factor interacts with stated aggressive risk tolerance and adequate net worth; and (4) whether the Care Obligation requires a broker-dealer to independently analyze and weigh buried offering circular disclosures about circular funding structures, or whether reliance on the overall product rating and stated terms is sufficient. Reasonable compliance professionals and securities lawyers could disagree on each of these points.

Borderline Factors

- * The EB Notes carried a BBB- investment-grade rating, distinguishing them from the self-described 'speculative' L Bonds in Centaurus, but from only a single rating agency and with illiquidity features typical of higher-risk products
- * Meridian maintained a formal product review process with concentration limits, minimum net worth requirements, and risk acknowledgment procedures -- arguably demonstrating reasonable diligence even if the process failed to flag one specific disclosure
- * Kowalski's customers had moderate-to-aggressive risk tolerances and multi-year time horizons, but several were 3-7 years from retirement -- creating tension between stated risk appetite and practical liquidity needs
- * The circular-funding disclosure (new proceeds used to pay existing holders) was present in the offering circular but not prominently flagged -- raising the question of whether the Care Obligation demands line-by-line analysis of use-of-proceeds sections or whether a holistic product-level review suffices

Analysis

The SEC's enforcement theory would likely focus on the parallels to the Centaurus Financial action: a high-risk, illiquid debt product with Ponzi-like structural features (using new proceeds to pay existing holders) recommended to customers whose profiles arguably did not support the concentration levels and risk characteristics involved. The Commission could argue that Kowalski and Meridian failed to exercise reasonable diligence, care, and skill by not adequately weighing the illiquidity risk against the near-retirement timelines of several customers, and by failing to identify the circular-funding disclosure as a material red flag warranting enhanced scrutiny or customer-specific restriction. The SEC has emphasized that the Care Obligation requires more than a check-the-box approach -- mere collection of risk acknowledgment signatures does not satisfy the broker-dealer's independent obligation to form a reasonable basis for believing a recommendation is in the customer's best interest.

However, the defense would present substantial counterarguments. Unlike the Centaurus case -- where L Bonds were self-described as speculative with explicit risk of total loss -- the EB Notes carried an investment-grade rating and were secured by identifiable collateral. Meridian implemented a structured product review process, imposed concentration limits well below typical thresholds for alternative investments, required minimum net worth screening, and mandated individualized risk disclosures. Kowalski documented her rationale for each recommendation, the allocations fell within the firm's approved concentration limits, and the customers' risk tolerances and time horizons were at least arguably consistent with a moderate fixed-income allocation to higher-yielding instruments. The defense would argue that the

Care Obligation does not require broker-dealers to guarantee outcomes or predict issuer distress, and that the standard should be evaluated based on information reasonably available at the time of recommendation, not with hindsight. The buried use-of-proceeds language, while arguably a red flag, is common among specialty finance issuers and does not automatically render the product unsuitable for all investors.

Item 9 of 250

Topic: excessive_trading_borderline_active_strategy

Standard: Regulation Best Interest, Exchange Act Rule 15l-1(a)(1) (general best interest obligation); Rule 15l-1(a)(2)(ii) (Care Obligation -- series of transactions excessiveness standard and reasonably available alternatives consideration); FINRA Rule 2111 (Suitability, applicable to pre-June 30, 2020 conduct); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); SEC Reg BI Adopting Release (Release No. 34-86031) guidance on Care Obligation scope and customer investment profile factors; Form CRS Rule 17a-14 disclosure obligations regarding cost of services

Likely Outcome: A FINRA enforcement panel would likely find a violation, but the sanctions would be significantly mitigated compared to cases like Tsamos. The quantitative indicators create a strong presumption of excessiveness that is difficult to fully overcome, and FINRA has consistently held that customer consent -- even informed consent -- does not absolve a registered representative of the independent obligation to ensure trading is suitable and in the customer's best interest. The failure to present cost-effective account alternatives would likely be treated as a meaningful deficiency under Reg BI's Care Obligation. However, the documented consent process, the supervising principal's clearance, and the mixed performance results would likely lead to a negotiated AWC with a moderate fine and suspension (perhaps 6-12 months) rather than a bar. In FINRA arbitration brought by customers, results would be more unpredictable -- panels might credit the defense's customer-consent evidence more heavily, particularly for the two profitable accounts.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Pellegrini, a General Securities Representative registered through Coastal Ridge Securities, LLC (CRD No. 198437), has managed discretionary and non-discretionary accounts since 2014. Between July 2020 and March 2024, Pellegrini recommended frequent trades in four retail customer accounts, generating annualized turnover rates ranging from 4.2 to 6.8 and cost-to-equity ratios between 14% and 22%. Three of the four customers are retirees aged 62-71 with moderate risk tolerance profiles.

Pellegrini contends that each of the four customers specifically requested an 'active tactical' approach after in-depth consultations in early 2020, during which he presented three distinct strategy options -- passive index allocation, moderate active management, and aggressive tactical trading. Each customer signed an enhanced strategy acknowledgment form (developed by Coastal Ridge's compliance department) selecting the aggressive tactical strategy and acknowledging the associated costs. The forms were countersigned annually, and Pellegrini documented brief notes from quarterly phone calls in which customers affirmed satisfaction with the approach.

Two of the four accounts generated positive absolute returns over the period (one returned 18% cumulatively, another 7%), while two accounts lost approximately 9% and 14% respectively. However, all four accounts substantially underperformed a blended benchmark of the S&P 500 and Bloomberg Aggregate Bond Index after accounting for transaction costs. Pellegrini earned approximately \$387,000 in commissions across the four accounts during the period, representing roughly 63% of his total production.

Coastal Ridge's compliance surveillance system flagged the accounts multiple times based on turnover rate alerts. Each time, Pellegrini submitted written justifications citing the customers' stated preference for active management, and Coastal Ridge's supervising principal, Sandra Whitfield, reviewed and cleared the alerts after examining the strategy acknowledgment forms and Pellegrini's call notes. FINRA's examination staff identified the accounts during a routine cycle exam in late 2024 and questioned whether the trading was excessive and inconsistent with Regulation BI's Care

Obligation.

Notably, Pellegrini never recommended alternative fee structures -- such as a wrap or advisory account -- that might have been more cost-effective given the trading frequency. He also did not quantify for customers the cumulative impact of transaction costs on their returns, though Coastal Ridge's trade confirmations disclosed individual commissions and the firm's Form CRS mentioned that commission-based accounts could cost more with frequent trading.

Why Borderline

The case sits squarely in the gap between quantitative presumptions and qualitative defenses. The turnover and cost-to-equity numbers are in the zone courts and arbitrators have found excessive -- but not at the extreme levels seen in slam-dunk enforcement cases. The customer consent process was more robust than typical (multi-option presentation, annual reaffirmation, documented calls), yet arguably insufficient because it never quantified cumulative cost drag or explicitly compared commission costs to advisory fee alternatives. Reg BI's Care Obligation specifically addresses series-of-transactions excessiveness but does not clearly define how much weight informed customer preference receives as a mitigating factor, especially when the customer's stated risk tolerance (moderate) arguably conflicts with the aggressiveness of the actual trading. The supervising principal's real-time clearance of alerts creates genuine ambiguity about whether the firm's compliance infrastructure validated or merely rubber-stamped the activity.

Borderline Factors

- * Turnover rates (4.2-6.8) and cost-to-equity ratios (14-22%) fall in the gray zone -- elevated but not at the extreme levels seen in clear-cut excessive trading cases
- * Customers signed detailed strategy acknowledgment forms choosing aggressive tactical trading after being presented alternatives, but were never shown quantified cost comparisons or cumulative cost impact
- * Two of four accounts were profitable in absolute terms, complicating the harm narrative, though all underperformed risk-adjusted benchmarks after costs
- * Failure to recommend a wrap or advisory account as a potentially less costly alternative is arguably a Reg BI deficiency, but Reg BI's requirement to consider 'reasonably available alternatives' is applied at the recommendation level and its scope for account-type recommendations remains unsettled
- * Compliance surveillance flagged the accounts multiple times but the supervising principal cleared each alert after substantive review -- raising questions about whether firm-level clearance insulates the representative or merely shifts liability

Analysis

The enforcement case rests on well-established quantitative markers. Annualized turnover rates of 4.2-6.8 and cost-to-equity ratios of 14-22% are in the range that FINRA and the SEC have historically found to be presumptively excessive, particularly for moderate-risk retirees. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), a broker must have a reasonable basis to believe that a series of recommended transactions is not excessive and is in the customer's best interest when viewed in light of the customer's investment profile. The fact that two accounts lost money, all four underperformed passive benchmarks, and Pellegrini earned nearly two-thirds of his income from these four accounts creates an inference that he placed his financial interests ahead of his customers' -- the core prohibition of Reg BI. Additionally, the failure to recommend a more cost-efficient account type (such as a wrap account) could be viewed as a failure under Reg BI's broader obligation to consider reasonably available alternatives.

The defense has substantial arguments. Unlike the Tsamos case, Pellegrini obtained documented, informed customer consent to an explicitly active strategy through a multi-step process, with annual reaffirmation and quarterly check-ins. The strategy acknowledgment forms -- developed by compliance -- demonstrate that customers were presented with

alternatives and chose the aggressive approach with awareness of higher costs. Two of four accounts were profitable in absolute terms. Pellegrini can argue that Reg BI does not impose a duty to outperform benchmarks and that the Care Obligation requires reasonableness at the time of each recommendation, not hindsight evaluation of aggregate results. The supervising principal's repeated clearance of surveillance alerts after substantive review further supports the position that the activity was monitored and deemed appropriate in real time. Courts have recognized that genuine, informed customer preference for active trading can rebut an excessive trading claim, and the SEC's Reg BI adopting release emphasized that the standard is not a fiduciary duty of ongoing monitoring but rather a transaction-time obligation.

Item 10 of 250

Topic: dual_registrant_annuity_recommendation_fiduciary_vs_reg_bi

Standard: SEC Regulation Best Interest (17 CFR 240.15l-1), particularly the Care Obligation (paragraph (a)(2)(ii)) and Conflict of Interest Obligation (paragraph (a)(2)(iv)); Investment Advisers Act of 1940 §§ 206(1)-(2) fiduciary duty; FINRA Rule 2111 (Suitability) and FINRA Rule 2330 (Deferred Variable Annuities); SEC Form CRS (17 CFR 249.2); SEC Staff Bulletin on Reg BI Standards of Conduct (2022); state common-law fiduciary duty applicable to insurance producers recommending annuities to senior investors

Likely Outcome: A FINRA examination or SEC sweep would likely result in a deficiency letter rather than a formal enforcement action, focused on Meridian's failure to establish adequate policies requiring documentation of the cost-comparison analysis between the commissioned and advisory versions of substantially similar products on the firm's own shelf. The individual recommendation to the Fentons would probably survive scrutiny under Reg BI's Care Obligation given the documented suitability factors and the product's protective features, but the firm-level Conflict of Interest Obligation deficiency -- the absence of any systematic process to address the commission-vs-advisory channel conflict for dual-platform products -- would be flagged as a material compliance gap. If the Fentons filed a FINRA arbitration claim, the panel would likely focus heavily on the capacity ambiguity; if the panel found that Whitfield was effectively acting in an advisory capacity despite the Form CRS disclosure, the full IA Act fiduciary standard would apply, and the \$22,000 compensation differential would be very difficult to justify. The state fiduciary claim would likely fail under existing narrow precedent but could become viable if state courts follow the trend identified in the NBER paper toward broader fiduciary interpretations.

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Financial Group is a dual-registrant firm -- its representatives hold both Series 7 licenses (broker-dealer) and are investment adviser representatives under the firm's RIA. Sarah Whitfield, a 12-year veteran at Meridian, meets with Gerald and Louise Fenton, a retired couple (ages 68 and 65) with \$1.2 million in rollover IRA assets and moderate risk tolerance. After two meetings and a risk-tolerance questionnaire, Whitfield recommends they place \$400,000 (roughly one-third of their liquid assets) into a fixed-indexed annuity issued by Keystone Life Insurance Co. The product has a 7-year surrender period, a 1.15% annual spread fee, a participation cap of 60% on S&P 500 returns, and a guaranteed minimum accumulation benefit rider that costs an additional 0.95% annually. Whitfield receives a 5.5% upfront commission (\$22,000) on the sale, whereas a comparable no-load advisory annuity available on Meridian's RIA platform -- offered by the same carrier with a nearly identical crediting structure -- would have generated only a 0.25% annual trail (\$1,000/year) but charged the Fentons roughly 40 basis points less in all-in annual costs.

Whitfield documents the recommendation in Meridian's CRM system, noting that the Fentons expressed strong concern about 'never losing principal in a downturn,' that the guaranteed minimum accumulation benefit addresses sequence-of-returns risk, and that the 7-year surrender period aligns with their stated intention not to touch the funds until Louise reaches 72 and must begin RMDs. Whitfield's notes also state that the Fentons were presented with the Form CRS and confirmed they understood Meridian was acting in a broker-dealer capacity for this transaction, not as an investment adviser. However, the Fentons' intake form -- completed at the first meeting before any capacity election -- lists Whitfield as their 'financial adviser' and references an 'ongoing advisory relationship' for the rest of their portfolio.

Meridian's compliance department had recently updated its policies to comply with Regulation Best Interest. The firm's product review committee approved the Keystone annuity as suitable for conservative-to-moderate retirees, but the committee's minutes contain no comparative analysis against the lower-cost advisory version of the same product.

Meridian's written supervisory procedures require representatives to 'consider reasonably available alternatives,' but do not specifically mandate documenting why a commissioned product was chosen over a fee-based equivalent offered on the firm's own platform. The Fentons reside in a state whose common law imposes a fiduciary duty on insurance producers recommending annuities to seniors, though the scope of that duty has been interpreted narrowly by state courts as requiring only that the product be 'suitable' rather than imposing a full best-interest obligation.

Why Borderline

This scenario sits at the precise intersection of three unresolved regulatory tensions. First, Reg BI deliberately avoids mandating lowest-cost recommendations, yet the existence of a nearly identical, materially cheaper product on the same firm's platform -- differing primarily in how it compensates the representative -- tests the outer boundary of what 'reasonable basis to believe the recommendation is in the customer's best interest' means in practice. Second, the capacity-switching issue (BD vs. RIA) for dual registrants remains one of the most contested areas of post-Reg BI compliance, and the facts here create genuine ambiguity about which standard of conduct governs. Third, the interaction between the state common-law fiduciary duty (interpreted narrowly) and the federal Reg BI standard (which the SEC maintains is distinct from fiduciary duty) creates layered regulatory uncertainty that even sophisticated compliance teams struggle to resolve.

Borderline Factors

- * Near-identical lower-cost alternative product available on the same firm's own advisory platform, differing primarily in compensation structure
- * Ambiguous capacity designation: intake form references 'ongoing advisory relationship' while Form CRS designates broker-dealer capacity for the transaction
- * Firm's written supervisory procedures require considering alternatives but do not mandate documenting why a commissioned product was chosen over a fee-based equivalent
- * State common-law fiduciary duty for annuity sales to seniors exists but has been narrowly construed by state courts, creating uncertainty about its interaction with federal Reg BI

Analysis

The strongest argument that Whitfield and Meridian complied with applicable standards rests on several pillars. Under Reg BI's Care Obligation, the representative must exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest -- but Reg BI does not require recommending the least expensive option. The SEC has explicitly stated that cost is one factor among many; a higher-cost product can satisfy the best-interest standard if other attributes (here, the guaranteed minimum accumulation benefit, the principal-protection features, and alignment with the stated time horizon) reasonably justify the recommendation. Whitfield documented the Fentons' specific fear of principal loss, their timeline, and the product's protective features. The Form CRS was delivered and the broker-dealer capacity was disclosed. Meridian's product committee had pre-approved the annuity for the relevant investor profile. As for the state fiduciary duty, courts in the Fentons' state have construed it narrowly, essentially as an enhanced suitability standard -- arguably satisfied here.

The strongest argument that a violation occurred focuses on Reg BI's requirement to consider 'reasonably available alternatives' and the Conflict of Interest Obligation. The same carrier offers a nearly identical product on Meridian's own advisory platform at materially lower cost; the only substantive difference is compensation structure. Whitfield's \$22,000 upfront commission versus \$1,000/year trail creates a stark incentive that Reg BI's conflict-mitigation provisions are designed to address. Meridian's WSPs contain no mechanism requiring documentation of why the commissioned version was chosen over the advisory version -- arguably a deficiency in the firm's conflict-identification and mitigation framework. Furthermore, the ambiguous capacity issue is significant: the Fentons' intake form references an 'ongoing advisory relationship,' potentially triggering the IA Act's fiduciary standard for the entire engagement despite the Form

CRS disclosure. Under a full fiduciary standard, the burden shifts considerably, and recommending a product that costs 40 basis points more per year -- generating 22 times more upfront compensation -- solely because the transaction was routed through the BD channel becomes much harder to defend.

Item 11 of 250

Topic: duty_of_care_institutional_client_portfolio_construction

Standard: Section 206(1) and 206(2) of the Investment Advisers Act of 1940; SEC Fiduciary Interpretation (IA-5248, June 2019); Form ADV Part 2A disclosure requirements (Item 6 - Performance-Based Fees, Item 10 - Other Financial Industry Activities and Affiliations, Item 11 - Code of Ethics and Participation in Client Transactions); SEC Staff guidance on duty of care encompassing reasonable investigation, cost evaluation, and best interest standard for both retail and institutional clients

Likely Outcome: The SEC would most likely issue a deficiency letter rather than pursue a formal enforcement action, citing the need for a more robust cost-benefit analysis and recommending that Meridian present consolidated enterprise-level economics to institutional clients when recommending affiliated strategies. If pushed to enforcement, the SEC might settle for undertakings requiring enhanced procedures rather than significant monetary penalties, because the existence of a documented investment committee process and informed consent from sophisticated institutional boards makes this a difficult case to litigate successfully. A court would likely find the analysis falls in a zone of reasonableness, particularly given the institutional sophistication of the clients, but might be uncomfortable with the failure to present consolidated revenue figures. The most probable resolution is a negotiated settlement with process-oriented remedial undertakings, reflecting the SEC's desire to establish precedent around the duty of care's substantive requirements without risking an adverse judicial ruling on the limits of the Fiduciary Interpretation as applied to institutional relationships.

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Capital Advisors, LLC is a registered investment adviser managing approximately \$4.2 billion in assets, primarily for institutional clients including pension funds, endowments, and fund-of-funds vehicles. In 2022, Meridian's Chief Investment Officer, Sandra Whitfield, approved a strategic reallocation across several institutional client portfolios that increased exposure to a proprietary quantitative credit strategy ('MeridianQC') run by an affiliated sub-adviser, Meridian Strategies Partners. The allocation to MeridianQC ranged from 8% to 15% across affected portfolios. Meridian disclosed the affiliation in its Form ADV Part 2A and in investment management agreements, and obtained consent from each institutional client's board or investment committee before making the allocation.

The MeridianQC strategy charged a 1.2% management fee and 15% performance fee, while comparable third-party quantitative credit strategies available in the market charged management fees between 0.75% and 1.0% with performance fees of 10-12%. Meridian's investment committee documented a 14-page memorandum analyzing six competing strategies and concluded that MeridianQC's risk-adjusted returns, liquidity terms, and operational transparency justified the higher cost. The memorandum noted MeridianQC's superior Sharpe ratio over a 3-year track record but did not analyze whether that outperformance was sufficient to offset the fee differential on a forward-looking basis. The memorandum also did not address whether Meridian's total revenue from the combined advisory fee and affiliated sub-advisory fee had been presented to institutional clients in a consolidated manner.

During a 2023 SEC examination, Staff raised concerns that Meridian's duty of care required a more rigorous analysis of the cost-benefit tradeoff of allocating to the higher-cost affiliated strategy, particularly given the revenue benefit to Meridian and its affiliates. The Staff also questioned whether the consent obtained from institutional clients was fully informed, noting that while the affiliation was disclosed, the aggregate economic benefit to the Meridian enterprise (including both the advisory fee and the affiliated sub-advisory fee) was not presented as a single consolidated figure. Meridian's General Counsel, Robert Fong, responded that the institutional clients were sophisticated investors with their own consultants and fiduciary boards, that affiliation and fees were disclosed in multiple documents, and that the

investment committee's documented analysis satisfied any reasonable process obligation under the duty of care.

Why Borderline

This scenario sits precisely at the intersection of three unresolved tensions in the SEC's evolving duty of care framework: (1) the degree to which the duty of care imposes substantive investment judgment obligations beyond process and disclosure, particularly for institutional clients; (2) whether informed consent from sophisticated institutional investors can cure or mitigate a potential duty of care deficiency in the adviser's own analysis; and (3) the extent to which the SEC can use the Fiduciary Interpretation to impose granular cost-comparison and revenue-consolidation requirements that were never formally adopted through notice-and-comment rulemaking. The investment committee conducted a documented analysis and the clients consented, but the analysis arguably had gaps and the consent may not have been fully informed -- creating genuine ambiguity about whether Meridian met its obligations.

Borderline Factors

- * Documented 14-page investment committee analysis exists but omits forward-looking cost-adjusted return projections and consolidated revenue presentation
- * Institutional clients are sophisticated with their own consultants, potentially reducing the scope of the adviser's duty, but the SEC has stated the duty of care applies to institutional clients as well
- * Affiliation and fees were disclosed and consent obtained, but the aggregate economic benefit to the Meridian enterprise was not presented in a consolidated format
- * The SEC's duty of care framework under the Fiduciary Interpretation has not been fully tested in enforcement actions involving institutional-only advisers allocating to affiliated strategies with documented rationale

Analysis

The SEC's 2019 Fiduciary Interpretation explicitly extended the duty of care beyond retail relationships to institutional clients, including private fund clients. Under this framework, the duty of care encompasses an obligation to provide advice that is in the client's best interest, which includes a reasonable investigation into the recommended investment and an evaluation of costs relative to alternatives. The SEC Staff's position would likely emphasize that the duty of care requires not merely disclosure of conflicts but substantive evaluation of whether the affiliated allocation was in each client's best interest after accounting for the fee differential. The Staff could argue that the investment committee memorandum, while facially thorough, was deficient because it failed to perform a forward-looking cost-adjusted return analysis and did not present the total economic benefit to the Meridian enterprise in a consolidated manner -- information arguably necessary for the institutional clients' consent to be truly 'informed.' The SEC's increasing willingness to use the duty of care as an independent enforcement hook, separate from disclosure failures, supports this reading.

Meridian's defense rests on several strong pillars. First, the institutional clients are sophisticated parties represented by investment consultants and governed by fiduciary boards -- a factor the SEC itself has acknowledged can inform the scope of the duty owed. Second, the affiliation, fee structure, and conflict were all disclosed in Form ADV and governing documents, and affirmative consent was obtained. Third, the investment committee conducted a documented, comparative analysis that reached a reasonable, if debatable, conclusion about the merits of MeridianQC. The Fiduciary Interpretation speaks of a 'reasonable' investigation, not a perfect one, and reasonable minds can differ on whether a 3-year track record with superior risk-adjusted returns justifies modestly higher fees. Fourth, requiring advisers to present consolidated revenue figures to institutional clients may go beyond the current requirements of Form ADV Part 2A, effectively imposing a new disclosure standard through enforcement rather than rulemaking.

Item 12 of 250

Topic: reg_bi_rollover_recommendation_dual_hat_advisor

Standard: Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), specifically: (i) the Disclosure Obligation (Rule 15l-1(a)(2)(i)); (ii) the Care Obligation (Rule 15l-1(a)(2)(ii)), including the requirement to consider reasonably available alternatives; (iii) the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), including policies to identify, disclose, and mitigate or eliminate conflicts; SEC Adopting Release No. 34-86031 (June 5, 2019); SEC Staff Bulletin: Standards of Conduct for Broker-Dealers and Investment Advisers -- Account Recommendations (March 30, 2022); FINRA Rule 2111 (Suitability) as supplemented by Reg BI; Form CRS (Form ADV Part 3 / Relationship Summary); DOL Prohibited Transaction Exemption 2020-02 (applicable to rollover recommendations involving ERISA-covered plan assets)

Likely Outcome: A FINRA examination or SEC enforcement staff would likely view this as a deficiency, particularly in light of the SEC's 2022 Staff Bulletin on account recommendations and rollovers, which specifically highlights the need to consider the option of retaining assets in a retirement plan. The failure to document any stay-put analysis would be the central vulnerability. However, the outcome would likely fall short of a fraud action and instead result in a deficiency letter, supervisory concerns, or at most a Reg BI-specific administrative proceeding seeking remedial relief. An arbitration panel, if Diane later suffered losses and filed a claim, would likely find the recommendation problematic but might limit damages given that the brokerage account was not facially unreasonable. The rollover bonus disclosure issue would compound the problem -- regulators increasingly view layered or buried disclosures unfavorably under Reg BI's principles. A skilled defense attorney could obtain a favorable settlement by emphasizing the cost advantage over the advisory account and the legitimate investment-access rationale, but a complete defense would be difficult given the missing stay-put analysis.

Source: 07_Practitioner_Commentary

Fact Pattern

Westfield Capital Partners is a large wealth management firm that operates both a registered broker-dealer (Westfield Securities LLC) and a registered investment adviser (Westfield Advisory Services LLC). Following the June 30, 2020 compliance date for Regulation Best Interest, Westfield implemented a comprehensive Reg BI compliance program including updated policies, procedures, disclosure documents, and a new Form CRS that describes both its brokerage and advisory services. Marcus Chen is a dual-hatted financial professional who holds both a Series 7 registration through Westfield Securities and is an investment adviser representative of Westfield Advisory.

In October 2023, Marcus meets with longtime brokerage client Diane Kowalski, age 58, who has recently left her employer and has approximately \$410,000 in a 401(k) plan. Marcus recommends that Diane roll over her 401(k) into an IRA held at Westfield Securities -- a brokerage account, not an advisory account -- where Marcus would execute trades on a commission basis. Westfield's advisory accounts charge a 1.25% annual wrap fee, while the brokerage account would generate commissions only when trades are executed. Marcus documents his analysis showing that because Diane historically trades infrequently (approximately 3-5 trades per year), the commission-based brokerage IRA would likely result in lower total costs than the advisory wrap account over a projected five-year period. He also documents that the 401(k) plan's investment options were limited to 18 funds with expense ratios averaging 0.85%, whereas the IRA would provide access to thousands of funds and individual securities.

However, Marcus does not document or meaningfully compare the option of Diane simply leaving the assets in the former employer's 401(k) plan, which charges no additional advisory or brokerage fees beyond the fund-level expenses

and includes several institutional share class funds with expense ratios as low as 0.04%. Marcus's compensation includes a one-time rollover bonus of \$750 from Westfield for each IRA rollover exceeding \$250,000, plus ongoing commissions from any trades. Marcus disclosed the Form CRS to Diane and had her sign Westfield's Reg BI disclosure document, which mentions in general terms that the firm and its representatives 'may receive additional compensation in connection with rollover recommendations.' The specific \$750 rollover bonus is listed in a supplemental compensation schedule that is referenced in the disclosure but provided as a separate 34-page document. Marcus's supervisor reviewed the recommendation and approved it, noting that the cost comparison between brokerage and advisory accounts was favorable to the brokerage recommendation.

Why Borderline

This scenario is genuinely ambiguous because Reg BI does not impose an outright duty to recommend the lowest-cost option, and the SEC has stated that cost is only one factor among many. The broader investment universe available in the IRA is a legitimate consideration that could justify higher costs. The stay-put analysis requirement, while emphasized in SEC staff bulletins, exists in guidance rather than rule text, and the level of documentation required remains unsettled. Reasonable compliance professionals disagree about whether a cost comparison limited to the firm's own account types satisfies the Care Obligation when the rollover itself is what generates the conflict. The disclosure was technically made -- the question is whether technical compliance with disclosure requirements satisfies Reg BI's Conflict of Interest Obligation when the specific dollar amount of the incentive is effectively obscured in voluminous supplemental materials. Finally, the fact that the brokerage account genuinely appears cheaper than the advisory account on a projected basis complicates any enforcement theory, even though neither option was compared against the status quo.

Borderline Factors

- * The SEC staff bulletins emphasizing stay-put analysis for rollovers are guidance documents, not rule text, creating uncertainty about their binding force in enforcement proceedings
- * The brokerage IRA recommendation was demonstrably lower-cost than the advisory alternative at the same firm, creating a plausible good-faith argument even though the 401(k) stay-put option was cheaper still
- * The rollover bonus was technically disclosed through incorporation by reference in a supplemental schedule, raising the question of whether layered disclosure satisfies or undermines the Conflict of Interest Obligation's mitigation requirements
- * The broader investment universe available in the IRA provides a non-pretextual, substantive rationale for the rollover that goes beyond cost, but Marcus did not meaningfully weigh this against the specific low-cost institutional share classes available in the plan

Analysis

The strongest argument that Marcus and Westfield complied with Reg BI centers on the documented cost analysis showing the brokerage IRA was less expensive than the advisory alternative, the provision of Form CRS and Reg BI disclosures, and the supervisory review that occurred. Westfield can argue that the Disclosure Obligation was satisfied because the rollover bonus was referenced in the disclosure documents, the Care Obligation was met through the comparative cost analysis between the two Westfield account types, and the Conflict of Interest Obligation was addressed through policies identifying and disclosing the rollover incentive. The firm would emphasize that the SEC's Reg BI adopting release acknowledges that broker-dealers are not required to recommend the 'best' of all possible options, only that the recommendation be in the customer's best interest at the time it is made without placing the firm's interest ahead of the customer's.

The strongest argument that this violates Reg BI focuses on the Care Obligation's specific requirements for rollover recommendations. The SEC's June 2019 adopting release and subsequent SEC Staff Bulletin from 2022 explicitly state

that when recommending a rollover, the broker-dealer must consider the alternative of leaving assets in the existing plan -- not merely compare the firm's own account types against each other. Marcus's failure to document any analysis of the 401(k) stay-put option, particularly where the plan offered extremely low-cost institutional share classes, suggests the Care Obligation was not fully satisfied. Additionally, the Conflict of Interest Obligation requires not just disclosure but mitigation of conflicts; the \$750 rollover bonus creates a direct financial incentive to recommend the rollover, and burying the specific amount in a 34-page supplemental document arguably fails to provide meaningful disclosure. The supervisory system's apparent acceptance of a comparison that omitted the stay-put option raises questions about whether Westfield's compliance policies and procedures were reasonably designed.

Item 13 of 250

Topic: dual_registrant_suitability_vs_fiduciary_standard_conflict

Standard: Regulation Best Interest (Rule 15l-1) Care Obligation and Conflict of Interest Obligation; Investment Advisers Act of 1940 §§ 206(1) and 206(2) (fiduciary duty of care and loyalty); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); Form CRS (Regulation Best Interest Form CRS Relationship Summary); SEC Staff Bulletin on Standards of Conduct (2019); SEC Interpretation Regarding Standard of Conduct for Investment Advisers (IA Release No. 5248)

Likely Outcome: A FINRA examination would likely result in a deficiency letter or cautionary action rather than a formal enforcement action, focusing on the firm's inadequate written supervisory procedures for channel selection in dual-account relationships. Regulators would probably stop short of finding individual Reg BI violations for each transaction, particularly if the structured notes were independently suitable, but would flag the systemic pattern as evidence of an unmitigated conflict requiring enhanced policies. The SEC, if involved through the advisory-side examination, might take a harder line on the fiduciary duty question, potentially arguing that Feldman's duty of loyalty to advisory clients required disclosure of or abstention from the brokerage-channel conflict. The most likely resolution is a firm-level supervisory finding requiring Meridian to implement documented channel-selection protocols, enhanced conflict disclosures, and retrospective review of dual-account routing patterns -- effectively treating this as a compliance infrastructure failure rather than individual misconduct.

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Wealth Partners is a dually registered firm operating both a broker-dealer (Meridian Securities LLC) and a registered investment adviser (Meridian Advisory Services LLC). The firm's 340 financial professionals hold licenses under both entities, and clients can access either brokerage or advisory accounts. Marcus Feldman, a 22-year veteran financial professional at Meridian, primarily serves his 180 client households through fee-based advisory accounts governed by the IA Act fiduciary standard. However, roughly 30 of his clients also maintain brokerage accounts at Meridian Securities for transactional trades, typically for individual bond purchases, IPO allocations, and occasional equity positions they prefer to hold outside the advisory wrap program.

In early 2024, Meridian Securities' product team approves a new structured note program issued by a major bank, offering enhanced yield tied to the S&P 500 with a 20% downside barrier and a 2-year maturity. The structured notes carry a 2.5% embedded commission paid to the placing broker-dealer. Feldman reviews the product and believes it is genuinely suitable for certain clients with moderate risk tolerance seeking income enhancement. Over a six-week period, he recommends the structured note to 14 of his dual-account clients, executing each purchase through the brokerage account rather than the advisory account. He documents a suitability analysis for each client under FINRA Rule 2111, noting their risk profiles, time horizons, and income needs. He does not, however, perform a Reg BI best interest analysis or document consideration of reasonably available alternatives (such as purchasing similar exposure through lower-cost ETF-based strategies available in their advisory accounts). His rationale for using the brokerage channel is that structured notes are not available through the advisory platform and that the product is inherently transactional in nature.

During a routine examination, FINRA examiners flag the pattern: 14 clients who maintain advisory relationships with Feldman received structured note recommendations through brokerage accounts, generating \$87,500 in total commissions. The examiners note that several of these clients had existing advisory account holdings with overlapping investment objectives. Meridian's compliance department had previously issued guidance that financial professionals

should use the 'most appropriate account type' for each transaction but had not established bright-line rules for when dual-account clients should receive recommendations in one channel versus the other. The firm's Form CRS disclosed that clients could receive services through either channel and that costs and standards differ, but did not specifically address the scenario of a financial professional steering particular products to the brokerage side.

Why Borderline

This scenario sits in the unresolved regulatory gap between the broker-dealer and investment adviser standards that Wrona's article and the 2015 FINRA panel specifically identified as a central policy concern. There is no settled authority definitively establishing whether a dually registered professional's fiduciary duty in the advisory relationship 'follows' the professional into brokerage recommendations made to the same client, or whether Reg BI's reasonably available alternatives analysis requires consideration of advisory-channel alternatives when both channels are available to the client. The firm's compliance framework left channel selection to professional judgment without bright-line rules -- a common industry practice that regulators have neither explicitly condemned nor endorsed. The pattern is suggestive of conflict-driven behavior but each individual recommendation may independently satisfy the Reg BI Care Obligation on its merits.

Borderline Factors

- * Whether Reg BI's 'reasonably available alternatives' analysis requires a dually registered professional to consider advisory-account alternatives when recommending products through the brokerage channel to the same client
- * Whether the IA Act fiduciary duty extends to inform or constrain brokerage-channel recommendations made to clients who simultaneously maintain advisory relationships with the same professional
- * Whether routing commission-generating products to brokerage accounts while maintaining fee-based advisory accounts with the same clients constitutes a Reg BI Conflict of Interest Obligation violation or a permissible exercise of channel-appropriate execution
- * Whether the firm's Form CRS disclosure of dual-channel structure and differing costs adequately addresses the specific conflict of a professional selecting channels based partly on compensation incentives

Analysis

The strongest argument for a violation centers on the Reg BI Care Obligation and the conflict-of-interest dimensions. Under Reg BI's Care Obligation, Feldman was required to exercise reasonable diligence, care, and skill in making each recommendation, including evaluating reasonably available alternatives. If comparable or superior risk-return profiles could have been achieved through lower-cost strategies in the advisory account -- where the fiduciary standard applies and ongoing monitoring would occur -- the failure to document why the structured note in the brokerage channel was in each client's best interest is problematic. The pattern of routing commission-generating products to the brokerage side while maintaining fiduciary advisory relationships with the same clients raises precisely the kind of economic conflict that Reg BI's Conflict of Interest Obligation was designed to address. Moreover, under the IA Act fiduciary standard applicable to his advisory relationship, Feldman arguably owed a duty of loyalty that extends beyond individual transactions to the totality of the client relationship, potentially requiring him to consider whether steering recommendations to the brokerage channel to capture commissions breached his ongoing fiduciary duty.

The defense would argue that Feldman properly identified suitability for each client under FINRA Rule 2111, that the structured note was simply unavailable on the advisory platform (making the brokerage channel the only execution pathway), and that the product's transactional nature made brokerage execution the natural and appropriate channel. The firm's own guidance supported professional judgment in channel selection, and Form CRS disclosed the dual-channel structure and differing cost models. Defense counsel would emphasize that Reg BI does not require recommending the lowest-cost option -- it requires a reasonable basis for the recommendation -- and that FINRA has historically recognized that different products are suited to different account types. The 2.5% commission, while

meaningful, is within industry norms for structured products and does not by itself evidence a best-interest failure. Furthermore, the advisory fiduciary duty attaches to advisory account activity and does not automatically extend to supervise all brokerage transactions simply because the same professional serves the client in both capacities.

Item 14 of 250

Topic: gic_filing_fiduciary_suitability_tension

Standard: NY Insurance Regulation 187 (11 NYCRR 224) -- best interest standard for life insurance and annuity transactions; MA 950 CMR 12.207 -- fiduciary conduct standard; NJ Fiduciary Duty Rule (N.J.A.C. 11:2-17A); NASAA Model Rule on Best Interest (2020); NY Insurance Law §§ 3201, 4223-4235 (GIC filing and approval requirements); NY DFS GIC Product Outline (2013) -- prior approval, self-support, and filing requirements; 11 NYCRR 52 (Insurance Regulation 34-A -- suitability in annuity transactions, predecessor framework)

Likely Outcome: A New York regulator applying Reg 187 would likely find a documentation deficiency and possibly a best interest violation, focusing on the failure to analyze and document the liquidity impact of the retention requirement relative to standalone alternatives, and the correlation between the higher commission and the recommendation. However, the outcome would likely be a consent order with remedial measures (enhanced documentation, revised suitability procedures) rather than severe sanctions, given the product's regulatory approval and the arguable economic benefit. Massachusetts would likely take a harder line under its 'without regard to' financial interest standard, potentially finding a fiduciary violation based on the commission differential alone. New Jersey's outcome would depend on evolving enforcement posture. A skilled defense attorney could negotiate down to compliance undertakings by emphasizing the product approval, the rate enhancement benefit, the verbal disclosure, and the absence of clear precedent applying state fiduciary rules to institutional GIC retention arrangements. The case would likely settle without an adjudicated finding, leaving the underlying legal question unresolved.

Source: 08_State_Fiduciary_Rules

Fact Pattern

Meridian Life Insurance Company, a domestic New York insurer, develops a new Guaranteed Interest Contract (GIC) product, the 'Meridian Stable Value Plus,' targeted at public pension plans and 401(k) plan sponsors. The product features a 7-year surrender period with declining charges, a guaranteed minimum crediting rate of 1.75%, and a market value adjustment (MVA) on early withdrawals. Meridian's product development team structures the contract so that it technically falls within the GIC product outline's scope but includes an embedded feature: a 'crediting rate enhancement rider' that adds 25 basis points to the guaranteed rate in exchange for the plan sponsor's agreement to maintain at least 60% of plan assets in Meridian products for 10 years. Meridian's actuaries certify the product meets New York's self-support requirement under the GIC outline.

Broker-dealer Ashford Capital Partners, dually registered in New York, Massachusetts, and New Jersey, markets the Meridian Stable Value Plus to mid-sized employer-sponsored retirement plans. Ashford's lead producer, Rebecca Thornton, recommends the product to three plan sponsors, emphasizing the enhanced crediting rate. Thornton discloses the 10-year asset retention requirement verbally in meetings but does not include it prominently in her written recommendations or suitability documentation. Thornton earns a 1.8% first-year commission on these sales -- higher than the 0.9% commission on comparable GIC products from competing carriers -- but Ashford's compliance department determines this differential is within 'market range' for products with similar surrender periods.

One of the plan sponsors, Greenfield Municipal Employees' Retirement System, subsequently seeks to diversify its assets 18 months after purchase and discovers the 60% retention requirement effectively locks them into Meridian products well beyond the GIC's own surrender period. Greenfield's fiduciary counsel raises concerns that the recommendation was not in the plan's best interest. Ashford's compliance records show that Thornton's suitability analysis focused primarily on the crediting rate advantage and the plan's conservative investment policy statement, but

did not analyze the long-term liquidity impact of the retention requirement or compare the total cost of the product bundle against standalone GIC alternatives without the retention clause.

Why Borderline

This scenario sits in a genuine gray zone because the product itself was lawfully filed and approved by New York DFS under the GIC outline's prior approval process, the enhanced crediting rate provided a tangible economic benefit to the plan, and retention arrangements are not inherently improper in institutional insurance markets. The verbal disclosure of the retention requirement, while inadequate by best practices, may satisfy minimum disclosure standards under some interpretations. However, the combination of the undocumented liquidity analysis, the materially higher commission, the structural lock-in that extends beyond the GIC's own terms, and the multi-state fiduciary obligations creates a fact pattern where the line between aggressive-but-compliant sales practice and a best-interest violation depends heavily on how broadly regulators interpret the comparative analysis and documentation requirements under their respective fiduciary standards -- an area where enforcement precedent remains sparse and inconsistent across jurisdictions.

Borderline Factors

- * Product was lawfully filed and approved under NY DFS GIC prior approval process, potentially creating an inference of regulatory acceptance of the product structure
- * Enhanced crediting rate provided measurable economic benefit to the plan, arguably satisfying best interest at the point of sale even if long-term liquidity was constrained
- * Commission differential (1.8% vs 0.9%) is within 'market range' per compliance but is double the comparable rate, creating tension between industry norms and fiduciary compensation scrutiny
- * Retention requirement was verbally disclosed but not documented in suitability analysis, falling in the gap between adequate disclosure and the robust documentation increasingly expected under state fiduciary rules
- * Multi-state fiduciary standards (NY Reg 187, MA 950 CMR 12.207, NJ rule) apply different formulations of 'best interest' -- NY uses 'best interest at time of transaction,' MA prohibits recommendations made 'with regard to' agent financial interest -- creating jurisdictional ambiguity about the same conduct

Analysis

The core legal tension involves multiple overlapping regulatory frameworks. Under New York's Regulation 187 (11 NYCRR 224), which imposes a best interest standard on life insurance and annuity transactions, the question is whether the GIC recommendation -- with its embedded retention requirement and above-market commission -- satisfies the requirement that the recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and objectives. Reg 187 requires producers to consider reasonably available alternatives and to avoid placing their financial interest ahead of the consumer's. Thornton could argue the enhanced rate genuinely benefited the plan and that the retention requirement was disclosed, making the recommendation suitable at the time. However, the failure to document the liquidity analysis and the higher commission create a rebuttable inference that the recommendation was compensation-driven.

Under Massachusetts's fiduciary conduct standard (950 CMR 12.207) and the NASAA Model Rule's best interest framework, the analysis deepens. Massachusetts requires that recommendations be made without regard to the financial interest of the agent, which is arguably more restrictive than Reg 187's formulation. The 2x commission differential and the structural lock-in feature of the retention rider -- which effectively extends the plan's commitment to Meridian far beyond the GIC's own terms -- present a strong argument that a disinterested fiduciary would not have recommended this particular product structure without explicit, documented analysis showing the enhanced rate justified the liquidity constraint. New Jersey's fiduciary rule similarly would scrutinize whether the total package served the customer's interest. Yet Ashford can point to the plan's conservative IPS, the guaranteed rate enhancement, and the fact that similar retention arrangements are common in institutional GIC markets.

The filing dimension adds another layer: Meridian's product was filed and approved under the GIC product outline's prior approval process, and the crediting rate enhancement rider was presumably reviewed by DFS. Meridian could argue regulatory approval of the product structure validates its market appropriateness. However, product approval under New York's GIC filing framework addresses actuarial soundness and form compliance, not distribution suitability -- a distinction regulators would likely emphasize.

Item 15 of 250

Topic: annuity_replacement_disclosure_adequacy_under_reg187

Standard: NY Insurance Regulation 187 (11 NYCRR 224), particularly §224.4 (best-interest standard for producer recommendations) and §224.5 (insurer supervision obligations); NY Insurance Regulation 60 (11 NYCRR 51), particularly §51.4-51.6 (replacement disclosure requirements for life insurance and annuities); NY Insurance Law §§4226, 4228 (unfair trade practices, policy replacement); NAIC Suitability in Annuity Transactions Model Regulation (2020); DFS Consent Order In the Matter of Principal Life Insurance Company (Oct. 29, 2020) as interpretive guidance on DFS enforcement expectations

Likely Outcome: DFS would likely find violations of both Regulation 187 and Regulation 60, but the enforcement outcome would probably be less severe than the Principal action. DFS has demonstrated through the Principal consent order that it views the insurer's obligation to ensure adequate disclosure and supervision as substantive, not merely procedural -- meaning that having a form and a training program is insufficient if they do not actually enable informed consumer decision-making. The failure to quantify the value of surrendered period-certain guarantees would likely be deemed a material disclosure deficiency, particularly for the 140 consumers over age 75 where the life-only structure created acute longevity risk. However, Midland's proactive internal audit, its cooperation posture, and the fact that it did implement (albeit inadequate) compliance infrastructure would likely result in a negotiated consent order with remediation requirements, modest penalties, and consumer restitution for the 380 affected policyholders, rather than a finding of willful misconduct. DFS would likely require Midland to redesign its disclosure forms to include actuarial comparisons, enhance agent training with practical tools for valuing embedded guarantees, and implement independent verification of replacement suitability determinations.

Source: 08_State_Fiduciary_Rules

Fact Pattern

Midland Security Life Insurance Company ('Midland') is a large national annuity issuer licensed in New York. In 2022, Midland launched a new single premium immediate annuity ('SPIA') product called 'IncomeSecure Plus,' designed specifically as a rollover product for holders of older deferred annuity contracts that were approaching their annuitization dates. Midland's marketing materials emphasized higher initial monthly income payments compared to the guaranteed annuitization rates embedded in many legacy deferred contracts from the early 2000s -- but only because IncomeSecure Plus used a life-only payout structure with no guaranteed minimum period, whereas many of the legacy deferred contracts offered 10-year or 20-year period-certain guarantees.

Midland's compliance department designed a replacement disclosure form that compared the monthly income from IncomeSecure Plus against what the consumer would receive by simply annuitizing in place with their existing carrier. However, the comparison disclosed only the monthly income figure and did not separately quantify the economic value of the period-certain guarantees being surrendered, nor did it present an actuarial comparison of the total expected payout under both options. The form did include a single-sentence disclaimer stating: 'Your existing contract may include death benefit or guarantee features that differ from those in the replacement product; please consult your financial advisor.'

Midland trained its 340 New York-based agents on the new product through a 90-minute webinar. The training covered the replacement disclosure process and instructed agents to 'review the consumer's existing contract features before recommending a replacement,' but did not provide agents with tools or checklists for identifying and valuing embedded guarantees in legacy deferred annuities. Midland's home office suitability review process relied on agents self-certifying that they had reviewed the consumer's existing contract features, but Midland did not independently verify the accuracy

of these certifications or request copies of the existing contracts.

Between March 2022 and September 2023, approximately 1,200 New York consumers replaced deferred annuities with IncomeSecure Plus. An internal audit in late 2023 revealed that in roughly 380 of these cases -- about 32% -- the consumers' legacy deferred contracts contained guaranteed annuitization rates that, when adjusted for the period-certain features, would have produced higher total expected lifetime payouts than IncomeSecure Plus. In about 140 of those 380 cases, consumers were over age 75 and the life-only payout structure of IncomeSecure Plus meant they bore significant longevity risk without the safety net of a guaranteed period. Midland's Chief Compliance Officer, Patricia Langdon, flagged these findings internally but noted that agents had followed Midland's prescribed disclosure process and that consumers had signed acknowledgment forms.

Why Borderline

This scenario sits in genuine regulatory gray space because NY Regulation 187 imposes a best-interest standard but is principles-based rather than prescriptive about the exact form and content of replacement disclosures. Midland did not omit disclosures entirely -- it provided a comparison and a disclaimer -- but the disclosure arguably failed to convey information material enough for consumers to make a fully informed decision. The Principal Life consent order suggests DFS takes an expansive view of what constitutes 'adequate' disclosure and training in the replacement context, but that order involved a negotiated settlement rather than adjudicated precedent, making it unclear exactly where the line falls. Additionally, the 32% error rate could be characterized either as evidence of systemic failure or as a minority of cases where individual agents exercised poor judgment despite an otherwise reasonable compliance framework. The life-only payout structure is not inherently unsuitable -- it depends on individual consumer circumstances -- making the aggregate analysis less dispositive than it might appear.

Borderline Factors

- * Midland provided replacement disclosures and training, but arguably both were inadequate in substance -- raising the question of whether a 'good faith but insufficient' compliance effort constitutes a violation under a principles-based standard
- * The disclosure form referenced differing guarantee features but did not quantify their economic value, creating tension between a literal reading of disclosure requirements and DFS's apparent expectation of comprehensive comparative analysis as demonstrated in the Principal enforcement action
- * Home office suitability review existed but relied on agent self-certification without independent verification -- a supervisory structure that could be deemed either 'reasonable oversight' or 'inadequate controls' depending on regulatory interpretation
- * The 32% rate of arguably disadvantageous replacements could indicate systemic failure or could reflect individual agent judgment calls that Midland's systems were not designed to second-guess at scale, raising questions about the appropriate scope of insurer responsibility for agent-level best-interest determinations

Analysis

The DFS enforcement action against Principal Life provides a direct template for analyzing Midland's exposure. Under NY Regulation 187 (effective for annuity transactions since August 2019), insurers and producers must act in the best interest of the consumer, and recommendations must be based on an evaluation of the consumer's financial situation, insurance needs, and existing coverage -- including the features and benefits of any contract being replaced. Regulation 60 further requires specific replacement disclosures. DFS found Principal liable not merely for individual agent misconduct but for systemic failures in training, disclosure design, and supervisory controls. Midland's situation parallels Principal's in several respects: the comparison disclosure arguably omitted material information (the value of period-certain guarantees), agent training was cursory, and home office supervision relied on unverified self-certification.

However, Midland has plausible defenses that distinguish its conduct from Principal's clear violations. Unlike Principal, Midland did design and implement a replacement disclosure form -- it was not a case of no disclosure, but of arguably insufficient disclosure. The form referenced the existence of differing guarantee features, even if it did not quantify them. Midland could argue that Regulation 187's best-interest standard does not prescribe specific actuarial comparisons and that the regulation's principles-based approach leaves room for reasonable professional judgment about what level of detail is adequate. Midland could further argue that consumers bore some responsibility for understanding their existing contracts and that the signed acknowledgment forms demonstrate informed consent. The 90-minute training, while perhaps insufficient, was not absent, and Midland did instruct agents to review existing contract features -- the question is whether its supervisory framework was 'adequate' under a reasonableness standard rather than a strict liability standard.

Item 16 of 250

Topic: state_fiduciary_consumer_protection_annuity_recommendation

Standard: NY Regulation 187 (11 NYCRR 224) -- best interest standard for annuity and life insurance recommendations; NASAA Model Rule on Broker-Dealer Conduct (2020) -- best interest obligation and conflict disclosure; MD Commercial Law § 13-301 et seq. (Consumer Protection Act -- unfair or deceptive trade practices); MA 950 CMR 12.207 (Massachusetts fiduciary standard for broker-dealers, as analogous authority); NJ Fiduciary Rule (N.J.A.C. 11:2-17.10); NAIC Suitability in Annuity Transactions Model Regulation (2020 revision adopting best-interest standard); Maryland Vulnerable Adults statutes (Md. Code, Fam. Law § 14-101 et seq.)

Likely Outcome: A regulator -- particularly the Maryland AG's Consumer Protection Division given its stated focus on vulnerable populations -- would likely initiate an investigation and could pursue an enforcement action, but the outcome would depend heavily on which legal standard is deemed applicable. If evaluated under the NASAA Model Rule or NY Reg 187 best-interest standard, the failure to document alternatives considered and the undisclosed volume bonus would likely result in a finding of violation, potentially with restitution and a modest fine. If evaluated under a traditional suitability standard, the case becomes much harder for the regulator because the product is not facially unsuitable. A court or arbitration panel would likely focus on the volume bonus non-disclosure and the absence of documented alternatives as the strongest regulatory arguments, but might find the violation to be technical rather than egregious if the annuity's features genuinely addressed the clients' stated needs. The most probable resolution is a negotiated settlement involving partial restitution of the surrender charges, disgorgement of the volume bonus, and enhanced supervisory requirements -- rather than a finding of outright fraud or willful misconduct.

Source: 08_State_Fiduciary_Rules

Fact Pattern

Rebecca Thornton is a licensed insurance producer and registered investment adviser representative dually registered in Maryland, New York, and New Jersey. She works for Chesapeake Wealth Partners, a mid-sized advisory firm headquartered in Baltimore. In March 2026, she meets with Gerald and Patricia Simmons, a retired couple aged 72 and 69 residing in Prince George's County, Maryland. The Simmonses have \$620,000 in liquid retirement assets, a combined Social Security income of \$4,200/month, and a modest state pension. Gerald has early-stage cognitive decline, though he has not been formally adjudicated as incapacitated and actively participates in the meeting. Patricia handles day-to-day finances.

Thornton recommends they move \$380,000 from a collection of money market accounts and CDs yielding approximately 4.2% into a fixed indexed annuity issued by Keystone National Life, which offers a 7% premium bonus, a 12-year surrender period, and annual caps of 5.5% on indexed returns. The annuity pays Thornton a 6.8% first-year commission (\$25,840). Chesapeake Wealth Partners has a volume bonus arrangement with Keystone National Life, under which the firm receives an additional 25 basis points on all annuity premiums once annual production exceeds \$5 million -- a threshold the firm is close to reaching. Thornton does not disclose the volume bonus arrangement to the Simmonses, though she does disclose her individual commission.

Thornton documents in her file that the recommendation is suitable because the Simmonses expressed concern about outliving their assets, that the premium bonus effectively 'replaces' the CD yields they would forgo during the surrender period, and that the annuity provides a guaranteed lifetime withdrawal benefit of 4.5%. She also notes that Gerald's cognitive status was 'alert and engaged' during the meeting. She does not document any alternatives considered, nor does she note whether less expensive annuity products with shorter surrender periods were evaluated. Maryland's

Attorney General has signaled increasing focus on protecting vulnerable adults and consumers, and the state is in the process of adopting an enhanced fiduciary-adjacent standard modeled in part on the NASAA Model Rule and influenced by NY Reg 187 principles, though the rule has not yet been formally promulgated as of the date of the transaction.

Why Borderline

This scenario sits in genuine gray territory for several intersecting reasons: (1) the applicable legal standard is in flux -- Maryland is moving toward but has not yet adopted an enhanced fiduciary standard, creating uncertainty about which standard applies; (2) the volume bonus is a firm-level rather than individual-level conflict, and there is genuine disagreement about whether firm-level compensation arrangements must be disclosed at the point of sale under current best-interest frameworks; (3) the product is not facially unsuitable for the clients' stated objectives, but the failure to document alternatives considered and the long surrender period relative to the clients' ages raise best-interest concerns without clearly crossing the line; (4) Gerald's cognitive decline is early-stage and unajudicated, placing the transaction in the uncertain space between standard consumer transactions and those requiring enhanced protections for vulnerable adults.

Borderline Factors

- * Undisclosed firm-level volume bonus arrangement that indirectly benefits the producer, versus direct commission which was disclosed -- unclear whether firm-level conflicts trigger point-of-sale disclosure obligations
- * Maryland's fiduciary standard is emerging but not yet formally promulgated, creating retroactivity concerns if enforcement proceeds under the new framework while the transaction occurred under older suitability-era standards
- * Client's early-stage cognitive decline is documented but unajudicated -- triggering vulnerable-adult protections is fact-dependent and the producer documented engagement, creating competing narratives
- * 12-year surrender period for clients aged 72 and 69 raises liquidity concerns, but the guaranteed lifetime withdrawal benefit and premium bonus provide counterarguments that the product serves legitimate retirement income needs

Analysis

The core question is whether Thornton's recommendation violates the applicable best-interest or fiduciary standards -- either under New York's Reg 187 (if the annuity transaction has a NY nexus through Keystone National Life's domicile or the product's origination), under Maryland's existing consumer protection statutes and any emerging state fiduciary framework, or under the NASAA Model Rule principles that Maryland appears to be adopting. Under NY Reg 187, which applies to annuity recommendations, the producer must act in the consumer's best interest, consider reasonably available alternatives, and ensure that compensation does not create an incentive to recommend a product that is not in the consumer's best interest. The undisclosed volume bonus arrangement raises significant concerns under the care obligation and conflict-of-interest components of Reg 187. Similarly, the NASAA Model Rule requires that recommendations be in the customer's best interest and that material conflicts be disclosed and mitigated -- the volume bonus arguably constitutes such a conflict.

On the defense side, Thornton can argue that the annuity objectively addresses the Simmonses' stated concern about longevity risk, that the 4.5% guaranteed withdrawal benefit exceeds their current CD yields on a risk-adjusted basis when accounting for lifetime income guarantees that CDs cannot provide, and that the 7% premium bonus partially compensates for the long surrender period. She disclosed her individual commission, and the volume bonus flows to the firm rather than directly to her, creating a plausible argument that it is not a 'personal' conflict requiring point-of-sale disclosure. Gerald's cognitive status, while concerning, has not resulted in any legal finding of incapacity, and Thornton documented his engagement. Furthermore, Maryland's enhanced fiduciary standard has not been formally adopted, meaning enforcement under that framework would arguably be retroactive. However, the Maryland AG's aggressive

consumer protection posture -- as evidenced by the \$11.2 million landlord restitution and the office's explicit focus on protecting vulnerable adults -- suggests regulators would scrutinize this transaction closely.

Item 17 of 250

Topic: ny_reg187_annuity_replacement_suitability_presale_vs_postsale_standard

Standard: NY Regulation 187 (11 NYCRR 224), particularly §224.4 (producer obligations, best-interest standard, compensation conflict analysis); NY Regulation 60 (11 NYCRR 51, annuity and life insurance replacement requirements); NY Insurance Law §4228 (annuity contract requirements); NYDFS Circular Letter No. 2019-04 (Reg 187 implementation guidance); NASAA Model Rule on Dishonest or Unethical Business Practices (2020) for analogous state-level fiduciary principles

Likely Outcome: In a market conduct examination, the NYDFS would likely cite this transaction as a deficiency or request further justification, but a formal enforcement action resulting in penalties is uncertain. The Department would probably focus on whether Meridian's supervisory procedures adequately addressed the compensation conflict and whether the side-by-side comparison included a genuine net-cost analysis over the full surrender period (not just the illustration's best-case scenario). If Priya can produce a credible quantitative comparison showing that the indexed annuity's income rider value and potential indexed gains plausibly exceeded the guaranteed 3.1% accumulation path over the relevant time horizon--even under moderate assumptions--the transaction is likely defensible, though the Department might still require enhanced supervisory procedures for similar future replacements. If the comparison relied primarily on the premium bonus and optimistic illustrated rates without stress-testing downside scenarios, the Department would likely characterize it as a violation of the best-interest standard. The most probable resolution is a supervisory letter or consent order requiring enhanced replacement review procedures, rather than individual producer discipline.

Source: 08_State_Fiduciary_Rules

Fact Pattern

Priya Vasquez is a licensed insurance producer in New York affiliated with Meridian Financial Group, a mid-sized independent insurance agency headquartered in Manhattan. In late 2022, Priya met with Gerald and Doris Kaplan, a married couple aged 68 and 65 respectively, who held a deferred fixed annuity issued by Empire Fidelity Life Insurance Co. with a current surrender value of \$312,000, a remaining surrender charge period of 14 months, and a guaranteed minimum interest rate of 3.1%. The Kaplans told Priya they were concerned about inflation eroding their retirement savings and wanted 'something that could grow more but still be safe.' Priya recommended they surrender the existing annuity and purchase a new fixed indexed annuity from Beacon National Life, offering a 10-year surrender period, a 0% floor, participation rates tied to the S&P 500, and an income rider with a 6% rollup rate available after a 10-year deferral period. The Beacon product had a first-year premium bonus of 8%, which Priya emphasized when presenting the illustration. Priya completed a detailed suitability questionnaire, documented the Kaplans' stated objectives (inflation protection, potential growth, guaranteed lifetime income), and noted their liquid assets outside the annuity at approximately \$185,000. She also documented that the Kaplans said they did not anticipate needing to access the annuity funds within the next 10 years. Priya's commission on the replacement transaction was 6.5%, compared to the 1% trail she would have continued receiving on the existing product. Meridian Financial Group's compliance department reviewed the transaction under New York Regulation 187, which became fully effective for annuity transactions on August 1, 2019, and initially flagged the replacement as potentially problematic given the surrender charges on the existing product, the longer new surrender period, and the commission differential. However, after Priya submitted supplementary documentation--including a side-by-side product comparison, the completed Regulation 60 replacement disclosure forms, and a written narrative explaining how the indexed annuity's growth potential and income rider addressed the Kaplans' stated inflation and lifetime income concerns--the compliance department approved the transaction, noting the approval was 'close but defensible.' The New York Department of Financial Services subsequently opened an examination of Meridian's annuity replacement practices as part of a broader market conduct review.

Why Borderline

This scenario is genuinely ambiguous because Regulation 187's best-interest standard is principles-based rather than prescriptive, offering no bright-line test for when a replacement annuity transaction crosses from 'defensible but aggressive' into 'not in the consumer's best interest.' The Kaplans' stated objectives (inflation protection, growth potential) provide a facially legitimate basis for the replacement, yet the quantitative factors--surrender charges forfeited, dramatically longer surrender period, significant commission differential, and the arguably misleading premium bonus--all cut against the recommendation. Reasonable compliance professionals and regulators genuinely disagree about whether a documented consumer preference for a different risk profile can justify the economic costs of a replacement when the commission incentive is this stark. Additionally, the NYDFS has provided limited formal guidance or enforcement precedent clarifying exactly how the compensation-conflict analysis under Reg 187 should be weighed against documented consumer objectives in replacement scenarios.

Borderline Factors

- * The 6.5x commission differential creates an apparent but not conclusive conflict of interest under Reg 187's compensation-conflict provisions
- * The Kaplans' stated objectives (inflation protection, growth) provide a legitimate product-need basis for the replacement that is difficult to second-guess retrospectively
- * The 8% premium bonus partially offsets the surrender charges on the old product but may obscure a net economic loss to the consumer over the product's full term
- * The 10-year surrender period on the replacement product versus 14 months remaining on the existing product materially reduces the Kaplans' liquidity, but the Kaplans stated they did not expect to need the funds

Analysis

Under NY Regulation 187 (11 NYCRR 224), which imposes a best-interest standard on insurance producers recommending annuity transactions, Priya was required to act in the best interest of the Kaplans at the time of the recommendation, without placing her own financial interest ahead of theirs. The regulation requires consideration of multiple factors including the consumer's existing insurance products, the financial impact of a replacement, surrender charges, and whether the producer's compensation creates an impermissible incentive. On one hand, the NYDFS could argue that the recommendation fails the best-interest standard: the Kaplans were abandoning a product with a competitive 3.1% guaranteed rate during a period of rising rates, incurring residual surrender charges, and entering a substantially longer 10-year commitment--all while Priya stood to earn a commission roughly six times greater than her existing trail. The 8% premium bonus, while facially attractive, may have been designed primarily to offset surrender charges and could mask the true long-term cost disadvantage. The NYDFS might further argue that the Kaplans' liquid assets of \$185,000 were not sufficient buffer given their ages and potential healthcare needs, making a 10-year lockup imprudent. On the other hand, Priya's defense would emphasize that Regulation 187 does not prohibit replacements or require the lowest-cost option; it requires that the recommendation be in the consumer's best interest based on their stated needs and circumstances at the time. The Kaplans explicitly stated inflation was their primary concern--a concern the fixed 3.1% product could not address if inflation remained elevated. The indexed annuity's participation in equity-linked gains, combined with the income rider's 6% rollup, arguably offered a materially different risk-return profile aligned with the Kaplans' articulated goals. Priya documented the rationale extensively, the compliance department reviewed and approved it, and the Regulation 60 replacement forms were properly completed. The commission differential alone does not establish a violation absent evidence that it actually drove the recommendation rather than the consumer's objectives.

Item 18 of 250

Topic: reg_bi_rollover_recommendation_dual_registrant_gray_zone

Standard: Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation (paragraph (a)(2)(ii)); SEC Adopting Release No. 34-86031 (June 5, 2019); SEC Staff Bulletin: Standards of Conduct for Broker-Dealers and Investment Advisers Account Recommendations (2022); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Investment Advisers Act of 1940 § 202(a)(11)(C) (solely incidental exclusion); ERISA § 404(a) (creditor protection context); applicable state IRA creditor protection statutes

Likely Outcome: A FINRA arbitration panel would likely find for the claimant on a narrow basis, awarding the fee differential as damages but declining to award full disgorgement or punitive damages. The panel would probably focus on the absence of a quantified cost comparison and the failure to address creditor protection loss as falling short of the 'reasonable diligence, care, and skill' standard, particularly in light of the 2022 SEC Staff Bulletin that specifically flagged these elements for rollover recommendations. However, if this were an SEC examination rather than an arbitration, the result is less certain -- the SEC might issue a deficiency letter requiring enhanced rollover documentation procedures rather than pursuing an enforcement action, given that the firm did have a review process and the recommendation was not facially unreasonable. The outcome would likely turn on whether the adjudicator views the Staff Bulletin's expectations as effectively mandatory or merely aspirational, and whether the qualitative benefits Chen documented are credited as genuine considerations or dismissed as boilerplate justifications for an economically self-interested recommendation.

Source: 09_Law_Firm_Memos

Fact Pattern

Clearwater Wealth Partners is a dual-registrant firm offering both brokerage and advisory services. Marcus Chen is a registered representative and investment adviser representative at Clearwater who services approximately 400 retail clients. In March 2024, longtime brokerage client Patricia Holbrook, age 58, mentions during a routine portfolio review that she is retiring from Meridian Technologies and will receive a lump-sum distribution from her employer's 401(k) plan, totaling approximately \$1.2 million. The 401(k) plan offers a lineup of low-cost Vanguard index funds with an all-in expense ratio averaging 0.04%, plus access to a stable value fund yielding 4.8%.

Chen recommends that Holbrook roll over the 401(k) into an IRA brokerage account at Clearwater, where he places her in a diversified portfolio of actively managed mutual funds and two structured products. The new portfolio carries a blended expense ratio of approximately 0.72%, and Chen receives trail commissions on the mutual funds and an upfront commission of 1.5% on the structured products. Chen documents his recommendation by noting that the IRA rollover provides Holbrook with 'greater investment flexibility, access to a broader range of asset classes including alternatives, consolidated account management with her existing taxable brokerage account, and the ability to implement a more tailored income strategy for retirement.' He also notes that the 401(k) plan's fund lineup, while low-cost, is 'limited to passive strategies that may underperform in volatile markets and lacks access to income-generating structured products.'

Clearwater's compliance department reviews the rollover recommendation as part of its Reg BI monitoring program. The firm's written supervisory procedures require documentation of 'a reasonable basis for concluding that the rollover recommendation is in the retail customer's best interest,' including a comparison of fees, investment options, and services available in the existing plan versus the IRA. Chen completed the firm's rollover documentation form, which includes checkboxes and short narrative fields. He checked boxes indicating he considered fees, investment options,

level of services, and ability to take penalty-free withdrawals. However, the form does not contain a quantified cost comparison showing the cumulative fee differential over Holbrook's expected retirement horizon, nor does it address the fact that Holbrook's existing 401(k) plan offered creditor protection under ERISA that the IRA would not fully replicate under state law. Clearwater's compliance team approved the recommendation after a 48-hour review period.

Notably, six months after the rollover, the actively managed funds in Holbrook's IRA have underperformed the Vanguard index fund equivalents by approximately 110 basis points. Holbrook's daughter, a CFA charterholder, reviews the account and raises concerns, prompting Holbrook to file a complaint with FINRA.

Why Borderline

This scenario sits in the gap between the SEC's principles-based approach to Reg BI and the increasingly specific expectations expressed in SEC Staff Bulletins regarding rollover recommendations. The SEC deliberately declined to define 'best interest' with mathematical precision or mandate specific documentation requirements, yet subsequent staff guidance has signaled that cost comparisons and consideration of plan features like creditor protection are expected components of a reasonable Care Obligation process. The recommendation is not facially unreasonable -- there are genuine non-cost benefits to consolidation and broader investment access -- but the significant fee increase and commission income create a conflict that the documentation only partially addresses. Reasonable compliance professionals and regulators could disagree on whether the qualitative justifications documented here are sufficient without quantified cost analysis, or whether the omission of the creditor protection analysis reflects a gap in care versus a permissible exercise of judgment about materiality.

Borderline Factors

- * Reg BI's Care Obligation is principles-based and does not prescribe specific documentation formats or require quantified cost comparisons, yet SEC Staff Bulletins on rollovers strongly imply such analysis is expected
- * The fee differential (0.04% vs 0.72%) is material but not extreme, and the broker identified legitimate non-cost benefits (broader investment menu, consolidated management, tailored income strategy) that the SEC recognizes as valid justifications
- * The omission of any analysis of ERISA creditor protection loss could be viewed either as a failure of reasonable diligence or as a judgment call about immateriality given the client's specific circumstances
- * Chen's compensation structure creates a clear conflict (trail commissions and structured product commissions), but Reg BI requires mitigation rather than elimination of compensation-based conflicts, and the firm had a compliance review process that approved the recommendation

Analysis

The core Reg BI question is whether Chen's rollover recommendation satisfied the Care Obligation, which requires that the broker-dealer exercise 'reasonable diligence, care, and skill' and have a 'reasonable basis to believe that the recommendation is in the best interest of a particular retail customer.' The SEC's June 2019 adopting release and subsequent Staff Bulletin on account-type recommendations (2022) specifically identified rollovers from employer-sponsored plans as a situation requiring heightened scrutiny, given the inherent conflict created by the broker-dealer's financial interest in gathering assets. The SEC emphasized that a rollover recommendation must be evaluated against the alternative of remaining in the plan, considering the full range of factors including costs, level of services, available investments, and other features such as creditor protection. Chen's documentation facially addresses several of these factors but lacks the granular, quantified cost comparison that the SEC Staff Bulletin strongly suggested is part of a reasonable process. The absence of any discussion of the ERISA creditor protection differential is also notable.

On the defense side, Reg BI is explicitly a principles-based standard, not a prescriptive checklist. The SEC declined to

mandate any specific documentation format or require quantified cost-benefit analyses. Chen identified legitimate, non-pretextual benefits of the IRA -- broader investment menu, consolidated management, and a tailored income strategy -- that are recognized in SEC guidance as valid considerations that can outweigh cost differentials. The structured products, while commission-generating, arguably serve the client's stated goal of retirement income generation. Furthermore, subsequent underperformance does not retroactively render a recommendation unreasonable; Reg BI is evaluated at the time of the recommendation, not with hindsight. Clearwater also had a compliance review process that approved the recommendation, suggesting the firm's conflict mitigation and supervisory infrastructure functioned as designed. A defense lawyer would argue that the totality of the documented rationale, combined with the legitimate non-cost benefits and real-time compliance review, satisfies the Care Obligation even without a line-item fee comparison.

Item 19 of 250

Topic: adviser_duty_of_care_reverse_inquiry_model_portfolio

Standard: Investment Advisers Act of 1940, Section 206(1) and 206(2) (antifraud provisions); SEC Fiduciary Interpretation (IA-5248, June 2019) -- duty of care (reasonable investigation, suitability, ongoing monitoring) and duty of loyalty (conflict management, full and fair disclosure); SEC guidance on advisers' obligations regarding model portfolios and non-discretionary advisory relationships; Rule 206(4)-7 (compliance policies and procedures); ERISA Section 404(a)(1) fiduciary duty of prudence (to the extent Statewide Teachers' Retirement System assets are ERISA-covered)

Likely Outcome: The SEC would likely pursue this as an enforcement matter, primarily on duty of loyalty grounds based on the Whitfield email, framing it as a failure to manage conflicts and a failure to provide full and fair disclosure of the conflict's impact on the investment process. However, the duty of care theory standing alone -- that Meridian was required to modify its model mid-cycle based on preliminary internal research -- would be harder for the SEC to sustain and might face resistance from an ALJ or federal court wary of second-guessing investment judgment. A likely resolution would be a settled enforcement action with a consent order focusing on inadequate conflict management and disclosure failures rather than a pure duty-of-care-as-investment-malpractice theory. The penalty would likely be moderate -- disgorgement of SAP fees during the relevant period plus a civil penalty -- with Meridian neither admitting nor denying findings. If litigated, the outcome would be genuinely uncertain, with the strength of the case depending heavily on how the factfinder interprets the Whitfield email and whether the SEC can establish that 'holding steady' was a de facto recommendation rather than simple inaction.

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Capital Advisors LLC is a registered investment adviser that manages approximately \$14 billion in assets, primarily for institutional clients including pension funds, endowments, and fund-of-funds vehicles. Meridian offers several model portfolios through its 'Strategic Allocation Program' (SAP), which institutional clients can elect to follow. Under the SAP, Meridian constructs model portfolios at the asset-class and sub-asset-class level, and participating clients receive periodic rebalancing recommendations.

In late 2022, Meridian's Chief Investment Officer, Sandra Whitfield, became increasingly concerned about concentration risk in commercial real estate within several SAP models. Internal research memos from Meridian's real estate team flagged deteriorating fundamentals in the office sector and rising cap rates. However, Meridian also served as adviser to Ridgeline Real Estate Fund III, a private real estate fund that was in the process of raising capital and that invested heavily in the same commercial real estate sectors identified as concerning. Ridgeline paid Meridian a 1.25% management fee plus a 15% performance allocation.

Rather than affirmatively reducing the commercial real estate allocation in the SAP models -- which would have required Meridian to formally document the rationale and potentially alert SAP clients to the CRE risk assessment -- Whitfield directed the investment committee to simply 'hold steady' on existing allocations and wait for the next scheduled annual model review in Q2 2023. Whitfield noted in an internal email to the committee that 'pulling down CRE now would send a signal that conflicts with our Ridgeline fundraising narrative and could trigger uncomfortable questions from LPs who are also SAP clients.' The SAP models maintained their 12% allocation to commercial real estate through the review period.

When three institutional SAP clients -- including the Statewide Teachers' Retirement System -- later experienced

significant losses tied to the CRE downturn in mid-2023, they filed complaints alleging that Meridian breached its fiduciary duty of care by failing to act on its own internal research and by allowing the Ridgeline conflict to infect its SAP investment decisions. Meridian responded that the SAP models are non-discretionary recommendations, that clients independently decided to follow the models, that maintaining an existing allocation is categorically different from recommending a new one, and that the internal CRE research reflected preliminary views that had not reached a level of conviction warranting a mid-cycle model change.

Why Borderline

This case sits at the intersection of several genuinely unsettled questions under the SEC's evolving duty of care framework: (1) whether maintaining an existing model portfolio allocation constitutes an ongoing 'recommendation' subject to best-interest analysis, (2) the extent to which internal preliminary research triggers an affirmative duty to act or communicate before it reaches formal conviction, (3) whether the duty of care requires mid-cycle model updates when new risk information emerges, and (4) how to distinguish a conflict-tainted investment decision from legitimate investment judgment that happens to align with the adviser's economic interests. The Whitfield email is deeply problematic but not dispositive -- it could reflect either a corrupt motive or a candid acknowledgment of one business consideration among many. The institutional sophistication of the clients, the non-discretionary nature of the SAP, and the widespread nature of CRE losses across the industry all create genuine ambiguity about whether Meridian's conduct fell below the applicable standard.

Borderline Factors

- * Distinction between affirmative recommendation and passive maintenance of existing allocation in model portfolios -- SEC has not clearly addressed whether 'holding steady' triggers the same duty of care analysis as initiating a new position
- * Internal research reflected genuine uncertainty -- preliminary bearish signals versus formal conviction, raising the question of when an adviser's internal view becomes actionable under the duty of care
- * The Whitfield email creates a mixed-motive problem: the decision to delay may have been simultaneously conflict-driven and within the range of reasonable investment judgment given market conditions
- * Institutional clients with their own independent CRE research capabilities voluntarily followed non-discretionary model portfolios with disclosed annual review cycles, complicating the reliance and causation analysis

Analysis

The SEC's 2019 Fiduciary Interpretation makes clear that the duty of care encompasses a duty to provide advice that is in the client's best interest, including an obligation to conduct a 'reasonable investigation' into the basis for recommendations. The Interpretation also establishes that the duty of care extends to ongoing monitoring obligations where the adviser has assumed a continuous advisory relationship. The SAP clients would argue that Meridian's own internal research constituted a material change in circumstances that triggered a duty to update the model portfolios -- or at minimum to affirmatively communicate the risk assessment to clients -- regardless of whether a scheduled review was pending. The Whitfield email, directly linking the decision to 'hold steady' to Ridgeline fundraising concerns, provides powerful evidence that the investment process was corrupted by a conflict of interest, implicating both the duty of care and the duty of loyalty. Under the Fiduciary Interpretation, an adviser cannot discharge its duty of care merely by pointing to a client's sophistication or the non-discretionary nature of the relationship; the duty runs to the quality and integrity of the advice itself.

Meridian's defense, however, is not frivolous. The firm would argue that maintaining an existing allocation is not an affirmative 'recommendation' triggering a best-interest analysis, and that the SAP models explicitly disclosed annual rebalancing cycles. Meridian would further contend that the internal CRE research was genuinely preliminary and that investment committees routinely hold competing views without altering model portfolios for every bearish signal. The

Whitfield email, while problematic optically, could be characterized as one factor among many considered by the committee, and the firm could point to the fact that many sophisticated institutional advisers maintained similar CRE allocations during the same period. The line between prudent deliberation and actionable neglect is genuinely difficult to draw, particularly for model portfolios where the adviser does not control execution. The SEC has not issued definitive guidance on when 'inaction' in a model portfolio context constitutes a breach of the duty of care versus a permissible exercise of investment judgment.

Item 20 of 250

Topic: dual_registered_adviser_best_interest_private_fund_allocation

Standard: Investment Advisers Act of 1940, §§ 206(1)-(2) (anti-fraud and fiduciary duty); SEC Fiduciary Interpretation Release No. IA-5248 (June 2019), particularly regarding specificity of conflict disclosure and duty of loyalty; Regulation Best Interest (Rule 15l-1 under the Exchange Act), Conflict of Interest Obligation (17 CFR 240.15l-1(a)(2)(iv)); SEC Staff Bulletin on Standards of Conduct (2022); Form ADV Part 2A, Item 6 (Performance-Based Fees) and Item 11 (Code of Ethics, Participation in Client Transactions); In re Allocation Cases -- SEC settled actions including In re Sievert Larsen & Associates (2018) and In re Welhouse & Associates (2020) regarding preferential allocation to proprietary vehicles

Likely Outcome: An SEC examination or enforcement staff would likely issue a deficiency letter or pursue a settled enforcement action focused primarily on the inadequacy of the conflict disclosure rather than the allocation methodology itself. The SEC has a well-established pattern of targeting advisers whose ADV disclosures are generically worded when specific, quantifiable conflicts exist -- particularly when a principal's carried interest creates a direct dollar-for-dollar incentive to favor the fund. However, the existence of a written allocation policy with mandate-based criteria would likely mitigate the severity of the outcome, making an outright fraud charge unlikely. The probable resolution is a settled administrative proceeding with disgorgement of the excess management fee and carried interest attributable to the disputed allocation tranche, a civil penalty in the low-to-mid six figures, and an undertaking to revise disclosure practices and allocation procedures. A federal court, if it reached the merits, would likely find the disclosure insufficient but would struggle with the damages question given that advisory clients did receive allocations and the investment performed within expectations.

Source: 10_Academic_Articles

Fact Pattern

Meridian Wealth Partners is a dual-registered broker-dealer and investment adviser headquartered in Charlotte, North Carolina. Its founder and CEO, David Langford, oversees approximately \$3.2 billion in client assets across roughly 4,800 retail accounts and also manages a private credit fund, Meridian Opportunity Credit Fund LP, which launched in 2023 and has \$410 million in committed capital from institutional investors and accredited individuals.

In Q1 2025, Meridian's investment committee identifies a tranche of senior secured loans originated by a mid-market specialty lender, CrestPoint Capital, at a yield of approximately 11.2%. The committee determines the loans are appropriate for both the private fund and a subset of Meridian's advisory accounts -- specifically, accounts belonging to high-net-worth clients with moderate-to-aggressive risk profiles, long time horizons, and existing allocations to alternative credit. The allocation policy at Meridian states that when supply is limited, the investment committee will allocate pro rata across eligible accounts 'based on suitability, account size, and liquidity needs,' but grants the committee discretion to deviate when 'material differences in investment mandate or client circumstances warrant differential treatment.'

The CrestPoint tranche is oversubscribed. Meridian's committee allocates 72% of the available tranche to the Opportunity Credit Fund and 28% across 340 eligible advisory accounts. David Langford personally holds a 9% limited partnership interest in the fund and earns a 1.5% management fee and 15% carried interest on fund returns. Several advisory clients later complain that they received smaller allocations than expected, noting that the fund -- in which Langford has a direct financial interest -- received the lion's share. Meridian's compliance team responds that the fund's investment mandate specifically targets senior secured private credit as a core strategy, whereas advisory clients had diversified mandates where private credit was only one sleeve, making the 72/28 split a reasonable exercise of the committee's documented discretion.

Complicating matters, Meridian's Form ADV Part 2A discloses that 'conflicts of interest may arise when the firm or its personnel have financial interests in pooled vehicles that compete for the same investment opportunities as advisory clients,' and states that Meridian 'seeks to mitigate such conflicts through its allocation policy.' However, the ADV does not specifically quantify the magnitude of Langford's personal stake in the fund, stating only that 'firm principals may invest in affiliated funds.' No client received individualized written notice before the allocation was made, though quarterly account statements reflected the allocated positions.

Why Borderline

This scenario sits in a genuine gray zone because the allocation is defensible on investment-mandate grounds -- the fund's strategy genuinely centers on private credit while advisory clients' mandates are diversified -- yet the economic incentives flowing to the principal create a textbook conflict of interest. The disclosure exists but is arguably insufficient in specificity. The SEC has repeatedly stated that boilerplate conflict disclosures are inadequate, yet it has not drawn a precise line defining what level of specificity satisfies the duty. Reasonable compliance experts would disagree on whether the mandate-based rationale is a legitimate, good-faith exercise of discretion or a post-hoc rationalization for self-interested allocation. The scenario also straddles the adviser fiduciary standard and Reg BI's best interest standard, which have different but overlapping conflict-mitigation requirements, adding further ambiguity about which standard applies to which portion of the business.

Borderline Factors

- * The allocation policy is pre-existing and documented but contains broad discretionary language that could either legitimize or serve as cover for conflicted decision-making
- * Form ADV conflict disclosure exists but lacks specificity regarding the principal's 9% LP interest and carried interest, raising the question of whether generic category disclosure constitutes 'full and fair' disclosure under fiduciary principles
- * The investment-mandate rationale for differential allocation is facially reasonable -- the fund's core strategy is private credit -- but the magnitude of the disparity (72/28) combined with the principal's direct economic interest creates an inference of self-dealing
- * No pre-trade individualized client notice was provided, meaning advisory clients could not exercise informed consent before the allocation occurred, though post-trade disclosure appeared in quarterly statements

Analysis

The core legal question is whether Meridian's allocation of a disproportionate share of a favorable investment to its private fund -- where its principal has direct economic exposure -- violates the fiduciary duty owed to advisory clients under the Investment Advisers Act of 1940, or the best interest obligation under Regulation Best Interest for any transactions effected through the broker-dealer side. Advocates for the clients would argue that the allocation was materially influenced by Langford's personal financial interest in the fund, creating an undisclosed or inadequately disclosed conflict that infected the committee's discretionary judgment. Under SEC guidance, a fiduciary must either eliminate or fully and fairly disclose material conflicts, and generic boilerplate in Form ADV about potential conflicts does not satisfy the duty of loyalty when the specific magnitude of the principal's financial stake -- including a carried interest that directly benefits from favorable allocations -- is omitted. The SEC's 2019 Fiduciary Interpretation explicitly warns that disclosure must be 'sufficiently specific' so clients can provide informed consent, and the failure to provide pre-trade individualized notice arguably deprived clients of meaningful opportunity to object.

Meridian's defense, however, is substantial. The allocation policy is written, pre-existing, and grants documented discretion based on investment mandate differences -- a factor the SEC itself has recognized as legitimate in no-action guidance and enforcement settlements. The private fund's entire *raison d'être* is senior secured private credit, while

advisory clients had diversified mandates. A 72/28 split arguably reflects proportional mandate alignment, not self-dealing. The Form ADV disclosure, while arguably generic, does identify the conflict category. Further, Regulation BI's Conflict of Interest Obligation requires mitigation -- not elimination -- of conflicts, and Meridian can argue the written policy constitutes reasonable mitigation. The carried interest and management fee structures are standard in private fund management and were disclosed to fund LPs during subscription. Additionally, advisory clients ultimately received positive-yielding allocations consistent with their investment guidelines; no client was shut out entirely.

Item 21 of 250

Topic: rollover_recommendation_fiduciary_status_ambiguity

Standard: DOL Fiduciary Rule (restored 2024 interpretation of 'investment advice fiduciary' under ERISA § 3(21)(A)(ii)); PTE 2020-02 (Prohibited Transaction Exemption for Investment Advice Fiduciaries), particularly conditions regarding best interest standard, reasonable compensation, and prohibition on materially misleading statements; SEC Regulation Best Interest (17 CFR § 240.15l-1), including Care Obligation, Conflict of Interest Obligation, and Disclosure Obligation under Form CRS; ERISA § 406(b) prohibited transaction provisions; DOL Interpretive Bulletin 96-1 (investment education vs. investment advice); FINRA Rule 2111 (Suitability) as superseded/supplemented by Reg BI; DOL 2015 Regulatory Impact Analysis findings on cost of conflicted advice in IRA rollovers

Likely Outcome: A DOL enforcement action or examination finding would likely result in a deficiency letter or enforcement referral, with the DOL taking the position that the absence of a quantified cost comparison over Gerald's investment horizon fails to satisfy PTE 2020-02's impartial conduct standards--particularly given the DOL's 2015 RIA finding that conflicted advice costs IRA investors approximately 1% annually, almost exactly matching the cost differential here. However, in a FINRA arbitration or federal court challenge, the outcome is closer to 50/50. A court would likely focus on the totality of circumstances: the existence of a documented process, the legitimacy of the qualitative factors, and whether a reasonable adviser in Diane's position could have concluded the IRA was in Gerald's best interest. The most probable resolution is a regulatory settlement in which Patriot Financial Services agrees to enhance its rollover documentation procedures to require quantified cost comparisons, without an admission that the prior process violated the law. Diane individually would likely avoid personal liability but might face enhanced supervision requirements.

Source: 10_Academic_Articles

Fact Pattern

Diane Kowalski is a registered representative at Patriot Financial Services, a dual-registered broker-dealer and RIA. In March 2024, a longtime brokerage customer, Gerald Huang, age 58, contacts Diane to discuss his options after being laid off from Meridian Technologies, where he had accumulated \$620,000 in a 401(k) plan. Gerald's 401(k) offers a menu of 18 institutional-class index and target-date funds with an average all-in expense ratio of 0.08%, and the plan has negotiated favorable recordkeeping fees due to its \$1.2 billion in total assets.

Diane prepares a comparative analysis showing four options: (1) leave assets in the Meridian 401(k), (2) roll over to his new employer's 401(k) at Lakewood Industries, (3) roll over into an IRA at Patriot Financial Services, or (4) take a taxable distribution. Her written analysis notes the lower costs of the existing 401(k) but highlights several purported advantages of the IRA rollover: access to a broader investment universe including alternative investments, consolidated account management alongside Gerald's existing taxable brokerage account at Patriot, estate planning flexibility with per-beneficiary designations, and Roth conversion planning opportunities. Diane recommends Option 3--the IRA rollover into a fee-based advisory account at Patriot charging 1.15% annually on assets under management.

Patriot Financial Services' compliance department had recently updated its rollover documentation procedures to align with the DOL's updated fiduciary interpretation and SEC Regulation Best Interest. Diane completed the firm's standardized rollover comparison worksheet, which includes checkboxes for qualitative factors favoring an IRA. However, the worksheet does not require a quantified cost comparison over the investor's projected time horizon, nor does it require the adviser to document why the qualitative benefits justify the incremental cost. Diane's compensation on the IRA advisory account would be approximately \$7,130 per year, compared to zero ongoing compensation if Gerald remained in the 401(k). Patriot Financial Services also receives revenue-sharing payments from certain mutual

fund families available on its IRA platform.

Gerald signs Patriot's rollover disclosure form, which states in general terms that the firm and its representatives 'may have financial incentives that could create conflicts of interest' in recommending a rollover. Six months later, Gerald's IRA portfolio--invested in a diversified mix of ETFs and two alternative fund positions--has underperformed the Meridian 401(k) target-date fund net of fees by approximately 95 basis points.

Why Borderline

This scenario sits precisely at the fault line between the DOL's heightened rollover scrutiny and the practical reality that many IRA rollovers offer genuine non-cost benefits that are difficult to quantify. The adviser documented qualitative advantages but did not perform the kind of rigorous cost-benefit quantification that the DOL has increasingly signaled it expects. The firm's compliance framework exists but contains a structural gap--the worksheet permits qualitative justification without requiring that qualitative factors be weighed against quantified cost differentials. Reasonable regulators could disagree about whether this process was sufficient: the DOL might view the absence of quantified cost comparison as a per se failure of the PTE 2020-02 conditions, while a FINRA arbitration panel or federal court might find the totality of the documentation adequate. The conflict of interest is undisclosed in specific dollar terms but disclosed generically, creating further ambiguity about whether the disclosure was materially misleading by omission.

Borderline Factors

- * Qualitative IRA benefits (broader investment menu, estate planning, Roth conversion, consolidation) are real but their value relative to the 1.07% annual cost increase is unquantified
- * Firm's rollover compliance worksheet exists and was completed but has a structural gap--no required quantitative cost comparison over the investor's time horizon
- * Conflict disclosure is generic ('may have financial incentives') rather than specific (\$7,130/year vs. \$0), raising the question of whether it satisfies PTE 2020-02's prohibition on materially misleading statements
- * The adviser's dual registration triggers both DOL fiduciary standards and SEC Reg BI simultaneously, with potentially different analytical frameworks for what constitutes 'best interest'
- * Short-term underperformance (6 months) is a weak evidentiary basis for harm, but the structural fee differential creates ongoing quantifiable drag that compounds over Gerald's 7+ year pre-retirement horizon

Analysis

The core legal question is whether Diane's rollover recommendation satisfied her obligations under the DOL's restored fiduciary interpretation (applicable to the rollover of ERISA plan assets into an IRA) and SEC Regulation Best Interest (applicable to the recommendation as a broker-dealer transaction). Under the DOL framework, a recommendation to roll over plan assets into an IRA constitutes fiduciary investment advice, triggering ERISA's prohibited transaction rules unless an exemption--such as PTE 2020-02--applies. PTE 2020-02 requires that the adviser act in the retirement investor's best interest, charge no more than reasonable compensation, and make no materially misleading statements. Critically, the DOL has emphasized that advisers must document why the qualitative benefits of an IRA justify the quantitative cost differential. Diane's documentation includes qualitative factors but lacks a rigorous quantitative cost-benefit analysis over Gerald's expected investment horizon--a gap that could be characterized as a failure to satisfy the exemption's conditions.

On the defense side, a skilled advocate would argue that Diane provided a good-faith comparative analysis, that the qualitative benefits she identified (broader investment universe, estate planning flexibility, Roth conversion opportunities, account consolidation) are legitimate and widely recognized advantages that the DOL itself has acknowledged cannot always be reduced to numerical comparisons. The firm's compliance infrastructure--standardized worksheets, rollover disclosures, updated procedures--demonstrates a reasonable process. The 95-basis-point

underperformance over six months is too short a period to draw meaningful conclusions and reflects market conditions rather than suitability failures. Moreover, Reg BI does not require the lowest-cost recommendation; it requires that the recommendation be in the customer's best interest after considering reasonably available alternatives, which Diane documented. The defense would further note that the DOL's own 2015 Regulatory Impact Analysis acknowledged that IRA rollovers can serve legitimate investor needs and that a blanket presumption against rollovers would harm investors who benefit from personalized advice.

Item 22 of 250

Topic: rollover_recommendation_incomplete_plan_data

Standard: DOL Fiduciary Rule Impartial Conduct Standards (29 CFR § 2510.3-21); ERISA § 404(a) prudent person standard; SEC Regulation Best Interest (Rule 15l-1 under the Exchange Act); Investment Advisers Act § 206(1)-(2) fiduciary duty; SEC OCIE ReTIRE Initiative Risk Alert (June 2015); IRC § 402(f) notice requirements; DOL Field Assistance Bulletin 2018-02 (temporary enforcement policy for fiduciary rule transition); IAA DOL Fiduciary Rule Rollover Recommendation Checklist (2017)

Likely Outcome: An SEC examination would likely result in a deficiency letter rather than a formal enforcement action, but the outcome could escalate depending on whether the examiner views this as a systemic practice or an isolated case. The documented good-faith efforts and transparent disclosure to the client significantly mitigate the risk, but the fact that the adviser proceeded despite known material gaps -- particularly regarding stable value and low-cost institutional fund options that were outcome-determinative -- undermines the 'reasonable basis' defense. A regulator would likely require Meridian to enhance its policies to establish a minimum information threshold before rollover recommendations can proceed, and might require a retrospective review of similar cases. If the matter reached arbitration or litigation, a panel would likely find the process was imperfect but not egregiously deficient, potentially resulting in partial damages rather than full rescission. The strongest factor in the firm's favor is the transparency of the documentation; the strongest factor against is the alignment between the data gaps and the firm's economic interest.

Source: 10_Academic_Articles

Fact Pattern

Meridian Wealth Partners, LLC is a registered investment adviser based in Charlotte, North Carolina, managing approximately \$2.1 billion in assets. In March 2024, senior adviser Kathleen Reeves meets with David Nakamura, a 58-year-old senior engineer at Tyrell Manufacturing, who is considering early retirement. Nakamura has approximately \$1.4 million in Tyrell's 401(k) plan and asks Reeves whether he should roll those assets into an IRA managed by Meridian.

Reeves requests that Nakamura provide his most recent quarterly plan statement, Summary Plan Description, and any fee disclosure documents. Nakamura provides his quarterly statement showing his current allocations and their recent performance, but tells Reeves that he lost his SPD during a move and that Tyrell's HR department has been unresponsive to his repeated requests for additional plan details. Reeves also contacts Tyrell's third-party recordkeeper, Fidelity Institutional, but is told that without a signed authorization form -- which Tyrell's plan requires to be processed internally before Fidelity can respond -- they cannot disclose plan-level fee information or the full investment menu to a third-party adviser. The authorization form has been pending with Tyrell's HR for three weeks with no response.

Rather than wait indefinitely, Reeves conducts her analysis using the quarterly statement Nakamura provided, which lists his seven current fund holdings with expense ratios and one-year returns, plus publicly available information about Tyrell's 401(k) plan she locates on the DOL's Form 5500 database and the plan's funds on Morningstar. Based on this research, she determines that Nakamura's plan charges total plan-level administrative fees of approximately 0.45% (estimated from the Form 5500 data), offers a relatively limited menu of 18 funds with weighted average expense ratios of 0.62%, and does not appear to offer access to individual bonds, alternative investments, or financial planning integration that Reeves believes would benefit Nakamura's complex retirement income needs. Meridian's proposed IRA would charge a 0.85% advisory fee but provide access to a broader universe of lower-cost institutional share classes, tax-loss harvesting, and integrated retirement income planning.

Reeves documents her analysis in a four-page memorandum, explicitly noting the data gaps -- specifically that she could not confirm the complete fund menu, any employer matching provisions for post-retirement contributions, or whether the plan offers stable value funds or institutional pricing tiers not reflected on public databases. She notes that based on available evidence, the rollover appears to be in Nakamura's best interest, but flags the incomplete information. Nakamura signs an acknowledgment that he understands the analysis was based on partial plan data and proceeds with the rollover. Six months later, an SEC examination under the ReTIRE initiative questions whether Meridian had a reasonable basis for the rollover recommendation given the acknowledged data gaps, particularly because it later emerges that the plan offered a stable value fund yielding 4.8% with no expense ratio and an institutional target-date fund series at 0.04% -- materially better options than publicly available data suggested.

Why Borderline

This scenario sits in a genuine gray zone because neither the DOL fiduciary rule's Impartial Conduct Standards nor Regulation BI's best interest standard specifies a minimum threshold of plan information an adviser must obtain before a rollover recommendation becomes 'reasonable.' The adviser followed a diligent process, documented the gaps transparently, and used the best available data -- yet the missing information turned out to be outcome-determinative. The case tests whether reasonableness is measured by process or result, and whether an adviser's documented uncertainty about key facts can substitute for the facts themselves when economic incentives favor the recommendation.

Borderline Factors

- * The adviser made documented, good-faith efforts to obtain complete plan information but was frustrated by third-party administrative delays beyond her control
- * The data gaps were explicitly disclosed to the client and acknowledged in the recommendation memorandum, but the adviser proceeded rather than waiting
- * Publicly available proxy data (Form 5500, Morningstar) provided a facially reasonable but ultimately materially incomplete picture of the plan's investment options and costs
- * The adviser's firm had a direct financial incentive to recommend the rollover, generating ongoing advisory fees, which could color the decision to proceed on incomplete information rather than delay

Analysis

The SEC and DOL have both emphasized that rollover recommendations must be supported by a reasonable basis analysis that accounts for the investor's alternatives within the existing plan. The IAA Checklist specifically identifies multiple sources of plan information -- quarterly statements, the SPD, 402(f) notices, and direct inquiries to recordkeepers -- suggesting that thorough data gathering is expected. A regulator could argue that Reeves should have waited until she obtained complete plan information before making her recommendation, that the documented data gaps were precisely the kind of information that could change the outcome of the analysis (as indeed they did), and that the firm's economic incentive to capture the \$1.4 million rollover asset -- generating approximately \$11,900 per year in advisory fees -- created a conflict that should have counseled greater caution rather than proceeding on incomplete data. The SEC's ReTIRE initiative guidance specifically warns about advisers recommending rollovers without adequately comparing plan options.

On the other hand, Reeves made substantial good-faith efforts to obtain plan data through multiple channels, was frustrated by the plan sponsor's and recordkeeper's administrative delays beyond her control, and documented both her methodology and its limitations with unusual transparency. She used the best publicly available data -- Form 5500 filings and Morningstar fund data -- as reasonable proxies. Requiring advisers to obtain perfect plan information before making any recommendation could create an impossible standard, particularly where plan sponsors are uncooperative.

The client was informed of the data limitations, was an educated professional capable of understanding the caveats, and independently wished to proceed. Meridian could argue the standard is one of reasonableness at the time of the recommendation, not perfection in hindsight, and that imposing a duty to wait indefinitely would harm the very retirement savers the rule is designed to protect by leaving them in limbo.

Item 23 of 250

Topic: broker_facilitated_excessive_trading_vs_customer_autonomy

Standard: Regulation Best Interest (SEC Rule 15l-1), including the Care Obligation and its requirement to exercise reasonable diligence regarding recommendations; FINRA Rule 2111 (Suitability) and its quantitative suitability prong; FINRA Rule 3110 (Supervision); SEC guidance on the definition of 'recommendation' under Reg BI (SEC Adopting Release No. 34-86031); FINRA Regulatory Notice 12-25 (guidance on suitability and the meaning of recommendation); common law fiduciary duty as applied in broker-customer relationships where de facto control or special trust exists

Likely Outcome: A FINRA arbitration panel would likely split the difference. The panel would probably find that the four explicit recommendations alone do not support a broad excessive trading claim, and that Diane's sophistication and self-directed account designation weigh significantly in Ridgeline's favor. However, the panel might find that Marcus's monthly momentum newsletters, combined with his tactical suggestions and failure to ever counsel restraint despite awareness of extreme turnover, created a sufficient nexus of influence to trigger a limited Reg BI care obligation -- particularly given that Ridgeline's compliance department was on notice of the activity. The most probable outcome is a partial award: the panel dismisses the churning claim for lack of de facto control but finds a care obligation violation with respect to the periods surrounding the explicit recommendations and awards compensatory damages limited to commissions and losses attributable to those specific trades and the immediately surrounding trading activity. Ridgeline's supervisory procedures might also be found deficient for failing to develop a meaningful protocol for accounts that are nominally self-directed but where the representative maintains ongoing advisory-like engagement.

Source: 10_Academic_Articles

Fact Pattern

Marcus Whitfield is a registered representative at Ridgeline Securities, a mid-sized broker-dealer that recently adopted Regulation Best Interest compliance procedures. Marcus services approximately 180 retail accounts, including that of Diane Yao, a 54-year-old software engineer earning \$285,000 annually with a net worth of approximately \$2.1 million. Diane opened a self-directed brokerage account in 2019 with a \$400,000 deposit and indicated on her new account form that she had 'extensive' trading experience, a 'speculative' risk tolerance, and a 5-7 year investment horizon. She selected 'capital appreciation' as her primary objective.

Over the 30 months following account opening, Diane executed 1,847 round-trip equity trades, generating a portfolio turnover ratio of approximately 38x annually. Her account paid \$127,000 in commissions during this period, while her net portfolio performance lagged the S&P 500 by approximately 22 percentage points cumulatively. Marcus did not recommend most of these trades -- Diane generated her own ideas through online forums, social media trading communities, and her own quantitative screening tools. However, Marcus did execute the trades, occasionally suggested tactical adjustments ('you might want to tighten that stop-loss' or 'the spread on that name is wide right now, you could try a limit order instead'), and sent Diane a monthly newsletter highlighting momentum stocks and earnings plays. On four occasions, Marcus specifically recommended individual stock purchases that Diane executed.

Ridgeline's compliance surveillance system flagged Diane's account twice for high turnover, but the flags were resolved internally after Marcus documented that Diane was self-directing her trading activity and that her stated investment objective was speculative. Ridgeline's supervisory procedures categorize accounts as either 'advised' or 'self-directed,' and Diane's account was coded as self-directed. No enhanced suitability review was conducted beyond the initial flag resolution. Diane has now filed a FINRA arbitration claim alleging that Marcus and Ridgeline violated Reg BI and their duty of care by facilitating excessive trading, arguing that the monthly newsletters and tactical suggestions constituted

implicit recommendations that triggered best-interest obligations across the relationship.

Why Borderline

The core ambiguity lies in determining when a broker's peripheral engagement with an active self-directed trader -- tactical suggestions, curated market commentary, and ongoing facilitation of high-frequency trading without cautionary intervention -- crosses the threshold from passive order execution into an implicit recommendation relationship that triggers Reg BI obligations. The SEC has deliberately left the boundaries of 'recommendation' flexible and facts-and-circumstances dependent. The account was formally self-directed and the customer was demonstrably sophisticated, yet the broker's conduct went beyond pure execution in ways that could have reinforced behavioral biases (overconfidence, gambling preference) identified in the academic literature as the primary drivers of excessive trading. The quantitative metrics strongly suggest harm, but harm alone does not establish a regulatory violation absent a duty that was triggered. Reasonable compliance professionals and arbitrators genuinely disagree about where facilitation ends and implicit recommendation begins.

Borderline Factors

- * The account was formally coded as self-directed and the customer selected speculative objectives, yet the broker provided tactical trade suggestions and curated momentum-focused newsletters that may constitute implicit recommendations under the totality-of-circumstances test
- * Only 4 out of 1,847 round-trip trades were explicitly recommended by the broker, creating tension between de minimis explicit recommendations and potentially pervasive implicit influence on trading behavior
- * Compliance surveillance flagged the account twice but resolved the flags based on the self-directed designation without conducting enhanced review of the broker's actual communications and influence on trading patterns
- * Academic research demonstrates that perceived information advantage and gambling preference -- biases that the broker's newsletters and tactical suggestions may have reinforced -- are the dominant drivers of excessive retail trading, raising the question of whether Reg BI's care obligation encompasses a duty not to exploit or amplify known behavioral biases

Analysis

Diane's strongest argument rests on the increasingly blurred line between self-directed trading and broker-recommended activity under Reg BI. The SEC's adopting release for Reg BI makes clear that a 'recommendation' can arise from the totality of circumstances, including implicit encouragement to trade, and FINRA's longstanding guidance on excessive trading (FINRA Rule 2111 and its quantitative suitability prong) does not require that every individual trade be recommended -- rather, it looks at whether the broker exercised de facto control or influenced the overall level of trading activity. Diane would argue that Marcus's monthly momentum stock newsletters, his tactical trade suggestions, and his failure to caution her about the cumulative impact of commissions on her returns collectively created a recommendation-level relationship. The turnover ratio of 38x and cost-to-equity ratio well above accepted thresholds provide strong quantitative evidence of churning-like activity. Academic research, including the findings in Liu et al. (2020) that perceived information advantage and gambling preference drive excessive trading, supports Diane's contention that Marcus exploited her behavioral biases -- particularly her overconfidence -- rather than serving as a check on them.

Ridgeline and Marcus would counter that Diane was a sophisticated, high-income investor who explicitly chose a self-directed, speculative account structure and generated virtually all of her own trade ideas. Under Reg BI, the duty of care attaches to recommendations, and Marcus made only four specific stock recommendations over 30 months -- a negligible fraction of the 1,847 round trips. Tactical execution advice ('tighten your stop-loss') is qualitatively different from a recommendation to buy or sell a security. The monthly newsletter was a general communication distributed to all clients, not a personalized recommendation. Ridgeline would cite SEC guidance distinguishing general educational or

market commentary from individualized recommendations, and argue that imposing a best-interest obligation on every interaction with a self-directing customer would effectively eliminate the self-directed account category entirely. The compliance flags were investigated and reasonably resolved based on the documented self-directed nature of the account.

Item 24 of 250

Topic: dual_registered_advisor_best_interest_versus_suitability

Standard: Investment Advisers Act of 1940 §206 (anti-fraud/fiduciary duty); Securities Exchange Act of 1934 §15(l) (Regulation Best Interest); SEC Rule 15l-1 (Reg BI four component obligations: Disclosure, Care, Conflict of Interest, Compliance); SEC Form CRS (Relationship Summary); FINRA Rule 2111 (Suitability, legacy standard); FINRA Rule 2210 (Communications with the Public); North Carolina Securities Act N.C.G.S. §78A-8 (anti-fraud); North Carolina common law fiduciary duty arising from relationships of trust and confidence; SEC Release No. 34-86031 (Reg BI Adopting Release, June 2019) regarding dual registrant obligations and capacity disclosure

Likely Outcome: A FINRA arbitration panel would likely find partially in favor of Mrs. Hamlin, though probably not on all claims. Panels in the post-Reg BI era have shown increasing skepticism toward capacity-switching without robust client notification, particularly where the advisory relationship is deep and ongoing. The panel would likely find that Ellison's failure to clearly delineate the transition from advisory to brokerage capacity, combined with the significant compensation conflict and the questionable liquidity profile of the annuity for a 72-year-old, constitutes at minimum a violation of the duty of care -- whether analyzed under fiduciary principles or Reg BI. However, the panel might reduce damages from full loss recovery, recognizing that the annuity did address a legitimate stated client objective (guaranteed income) and that Mrs. Hamlin signed the brokerage documentation. A likely award would cover the surrender charge penalty plus some portion of excess fees, potentially \$75,000-\$125,000, rather than full rescission of the annuity. The case would likely not result in punitive damages absent evidence of intentional fraud, but attorneys' fees might be awarded given the conflict of interest issues.

Source: 10_Academic_Articles

Fact Pattern

Marcus Ellison is a financial professional dually registered as both a broker-dealer representative with Piedmont Wealth Securities, LLC and as an investment adviser representative with Piedmont Wealth Advisors, LLC -- two affiliated entities sharing office space, compliance infrastructure, and common ownership in Charlotte, North Carolina. In March 2021, longtime client Dorothy Hamlin, a 72-year-old retired teacher with a \$1.4 million portfolio, approached Ellison about repositioning her holdings after her husband's death. Ellison recommended she move approximately \$600,000 from a diversified portfolio of individual bonds and blue-chip equities held in a brokerage account into a variable annuity product issued by National Keystone Life Insurance Company. The annuity carried a 7-year surrender charge schedule starting at 7%, an annual mortality and expense charge of 1.35%, and offered an optional guaranteed minimum withdrawal benefit rider costing an additional 0.95% annually. Piedmont Wealth Securities received a 5.5% upfront commission on the sale, and Ellison personally received approximately \$19,800 in gross commission. Ellison documented the transaction in a Regulation Best Interest disclosure (Form CRS) and a written recommendation noting that Mrs. Hamlin expressed concern about 'not outliving her money' and wanted 'guaranteed income.' He checked the box indicating the recommendation was made in his capacity as a broker-dealer representative, not as an investment adviser. However, the preceding eighteen months of correspondence between Ellison and Mrs. Hamlin -- including two financial planning sessions, a written retirement income projection, and quarterly portfolio reviews -- were all conducted under the Piedmont Wealth Advisors advisory agreement, for which Mrs. Hamlin paid a 1.0% annual advisory fee. Ellison did not formally transition Mrs. Hamlin from the advisory relationship to the brokerage relationship before making the annuity recommendation, nor did he provide a separate written explanation of why the recommendation was being made under a brokerage standard rather than the advisory fiduciary standard. Six months later, Mrs. Hamlin needed \$150,000 for an unexpected assisted-living deposit and discovered the surrender charge would cost her \$10,500. She filed a FINRA arbitration claim alleging breach of fiduciary duty, unsuitability, and failure to disclose material conflicts of

interest.

Why Borderline

This scenario sits at the precise fault line the SEC left unresolved when it adopted Regulation Best Interest instead of a uniform fiduciary standard. The SEC acknowledged that dual registrants could serve clients in both capacities but provided limited guidance on exactly how and when the 'toggle' between standards occurs, particularly where the advisory and brokerage relationships overlap with the same client during the same time period. Reasonable experts disagree about whether a financial professional who has established a deep, ongoing fiduciary advisory relationship can step outside that relationship for a single high-commission transaction simply by designating the transaction as brokerage. The facts here -- continuous advisory relationship, no formal transition notice, a product that generates substantially higher compensation than the advisory fee -- create genuine ambiguity about which standard governs and whether the conflict was adequately managed under either standard.

Borderline Factors

- * The client's ongoing advisory relationship creating reasonable expectations of fiduciary duty across all recommendations, versus the legal permissibility of dual-registration capacity switching
- * Absence of a clear, separate written explanation to the client that this specific recommendation was being made under a brokerage (Reg BI) standard rather than the existing fiduciary advisory standard
- * Whether a 7-year surrender charge product is appropriate for a 72-year-old client even under the less demanding Reg BI care obligation, given actuarial life expectancy and potential liquidity needs
- * The magnitude of compensation differential -- \$19,800 commission versus approximately \$6,000 annual advisory fee on the same assets -- and whether Reg BI's conflict mitigation requirements were satisfied by disclosure alone without demonstrating the recommendation was in the client's best interest notwithstanding the conflict

Analysis

Mrs. Hamlin's counsel would argue that the entire relationship context was fiduciary in nature: Ellison had been acting as her investment adviser for over eighteen months, conducting holistic financial planning, charging an asset-based advisory fee, and holding himself out as a trusted counselor -- all hallmarks of a fiduciary relationship under both the Investment Advisers Act of 1940 and North Carolina common law. The argument would be that Ellison cannot simply 'toggle' to a lower standard of care by checking a box on a Form CRS at the moment he wants to execute a high-commission transaction, and that the annuity recommendation must be evaluated under the fiduciary duty of loyalty and care, not merely Regulation Best Interest's best interest standard. Under fiduciary analysis, the \$19,800 commission, the 7-year surrender period for a 72-year-old client, and the layered fees creating total annual costs exceeding 2.3% would constitute a breach of the duty of loyalty and a failure to manage conflicts. Claimant would also invoke the SEC's own guidance that 'solely incidental' brokerage advice triggering the broker-dealer exclusion from the Advisers Act must be genuinely incidental, not embedded in an ongoing advisory relationship.

Ellison's defense would counter that Regulation Best Interest, effective since June 2020, was specifically designed to address this exact situation -- a broker-dealer making a recommendation -- and that the SEC explicitly declined to impose a uniform fiduciary standard on broker-dealers. The defense would argue Ellison satisfied all four component obligations of Reg BI: disclosure (Form CRS provided), care (the annuity's guaranteed income feature directly addressed Mrs. Hamlin's stated objective), conflict of interest (commission disclosed), and compliance (Piedmont's policies and procedures were followed). The defense would further argue that the advisory agreement covered only the assets under advisory management, that the annuity was a new, separate transaction properly executed through the broker-dealer, and that Mrs. Hamlin signed the brokerage paperwork. They would cite the SEC's position that dual registrants may lawfully provide both advisory and brokerage services to the same client, and that the applicable standard depends on the capacity in which the professional is acting at the time of the recommendation.

Item 25 of 250

Topic: declining_consumption_retirement_advice_best_interest

Standard: Investment Advisers Act of 1940 §§ 206(1) and 206(2) (fiduciary duty, duty of care, duty of loyalty); SEC Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-5248, June 2019); Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act) for any dual-registered representatives; FINRA Rule 2111 (Suitability) and FINRA Rule 2090 (Know Your Customer); SEC Staff Bulletin on Standards of Conduct for Broker-Dealers and Investment Advisers (2022); general fiduciary principles requiring reasonable basis for recommendations and individualized assessment of client needs

Likely Outcome: A regulator would likely not bring a formal enforcement action but might issue a deficiency letter or risk alert raising concerns about the methodology's application to unsophisticated clients without sufficiently individualized analysis. The SEC examination staff would probably focus on process rather than the economic model itself--asking whether each client's individual circumstances (health status, risk of Social Security benefit changes, other resources, risk tolerance for late-life shortfalls) were adequately considered, rather than challenging the academic validity of the declining-consumption framework. If Meridian can demonstrate robust individualized documentation showing that each client's specific circumstances were evaluated and that stress-testing was performed (e.g., scenarios with rising real rates, benefit cuts, and above-average longevity), the firm would likely prevail. If the methodology was applied formulaically without meaningful individualization, the firm could face a process-based finding that it failed to discharge its duty of care, even if the underlying economic theory is sound. An arbitration panel reviewing a specific client complaint from someone who ran out of money at age 82 would likely find for the client on suitability grounds, regardless of the model's academic pedigree.

Source: 10_Academic_Articles

Fact Pattern

Meridian Wealth Partners is a mid-sized registered investment adviser with approximately \$2.8 billion in AUM, serving primarily middle-income clients with household incomes between \$55,000 and \$120,000. In 2023, the firm's Chief Investment Strategist, Dr. Elena Vasquez, a PhD economist who previously co-authored papers with researchers at the National Bureau of Economic Research, redesigned the firm's retirement planning methodology. Drawing on peer-reviewed life-cycle model research--including the Scott, Shoven, Slavov, and Watson (2020) findings that optimal consumption declines with age when time preference rates exceed real interest rates--Vasquez implemented what the firm calls the 'Rational Glide Path' approach.

Under this methodology, Meridian advisers recommend that clients in the bottom half of the lifetime earnings distribution accumulate substantially less in retirement savings than traditional replacement-rate models would suggest. For a typical client earning \$72,000 annually, the traditional approach might target \$900,000 in retirement assets; Meridian's model recommends roughly \$410,000, coupled with a plan to draw down assets aggressively in early retirement and rely primarily on Social Security benefits after approximately age 78. Advisers present clients with a detailed comparison showing the 'Rational Glide Path' alongside the traditional constant-consumption model, explaining the academic basis for both. Client presentations include disclaimers noting that the approach 'relies on assumptions about mortality risk, morbidity-adjusted utility, and persistent low real interest rates that may not hold in all environments.'

A former Meridian adviser, Robert Tran, filed a whistleblower complaint with the SEC alleging that the 'Rational Glide Path' systematically understates clients' retirement needs, resulting in lower savings targets that translate into smaller account balances--and thus lower advisory fees over the client's lifetime. Tran argues this is actually evidence the

recommendations are genuine (not fee-motivated), but that the approach is nonetheless unsuitable because it exposes unsophisticated clients to catastrophic longevity risk if they outlive their assets and Social Security proves insufficient. Tran further notes that several clients who followed the advice reduced 401(k) contributions and instead increased current consumption, and that Meridian's assets under management grew more slowly than competitors precisely because the recommended savings levels were lower.

Meridian responds that its methodology is grounded in the best available academic research, that clients are fully informed of risks and assumptions, that declining consumption paths are demonstrably optimal under well-established economic models, and that the firm actually sacrifices fee revenue by recommending lower accumulation targets. The firm also notes that FINRA and SEC guidance have never mandated a specific replacement-rate target, and that the traditional 70-80% replacement rate 'rule of thumb' has itself been criticized as unsupported by rigorous economic analysis. Meridian's compliance department reviewed the methodology with outside counsel before implementation and received a written opinion that the approach was consistent with the firm's fiduciary duty.

Why Borderline

This scenario is genuinely ambiguous because the adviser is relying on legitimate, peer-reviewed academic research published by credentialed economists at elite institutions, has made full disclosure, and is actually sacrificing its own economic interest by recommending lower savings. There is no self-dealing, no hidden conflict, and no deception. Yet the recommendation produces outcomes radically different from industry norms, and the consequences of the model being wrong for any individual client are severe and asymmetric. The SEC has never specified which economic model advisers must use for retirement planning, nor has it defined a minimum savings threshold. The tension between intellectual rigor and prudential conservatism in fiduciary advice--between what is academically optimal and what is practically safe--is unresolved in the regulatory framework.

Borderline Factors

- * Academic research supports the recommendation but the model relies on assumptions (persistent low real rates, stable Social Security, average mortality) that may not hold for individual clients
- * The adviser has no financial incentive to under-recommend savings--in fact the firm earns less in fees--eliminating the typical conflict-of-interest concern
- * Full disclosure was provided but the client population is unsophisticated and may not fully appreciate the catastrophic downside risk of under-saving
- * No regulatory standard specifies which retirement planning model constitutes 'best interest' or establishes minimum savings adequacy thresholds, leaving the standard inherently subjective
- * The asymmetry of harm--modest over-saving versus potential late-life poverty--raises the question of whether fiduciary duty implicitly requires conservatism that the academic model does not incorporate

Analysis

The core regulatory question is whether an investment adviser satisfies its fiduciary duty and, for any dual-registered representatives, Regulation Best Interest, when it systematically recommends lower retirement savings targets based on an academically supported but non-consensus economic model that produces dramatically different outcomes than conventional financial planning. On one hand, the SEC has consistently held that fiduciary duty requires advisers to act in clients' best interests, provide full and fair disclosure, and have a reasonable basis for recommendations. Meridian can point to substantial academic authority supporting its approach, full disclosure of assumptions and risks, and the fact that the firm is actually foregoing revenue--a powerful indicator of good faith. The firm can also argue that mechanically applying the traditional replacement-rate model to low- and moderate-income clients itself constitutes a failure to exercise professional judgment, since those models may overstate needed savings and cause unnecessary consumption deprivation during working years.

On the other hand, regulators may view Meridian's approach as recklessly optimistic for unsophisticated clients who cannot easily recover from planning errors. The model depends critically on assumptions--persistent near-zero real interest rates, intact Social Security benefits, average mortality--that may not hold for any individual client. If real rates rise, Social Security benefits are reduced, or a client lives to 95, the consequences of under-saving are severe and largely irreversible. A regulator might argue that fiduciary duty requires not just academic defensibility but prudent conservatism when the downside is poverty in old age. The asymmetry of outcomes--modest over-saving versus catastrophic under-saving--could support the view that a reasonable fiduciary would build in a margin of safety that Meridian's model lacks. Additionally, the fact that Meridian applied the methodology broadly rather than conducting individualized assessments of each client's risk tolerance for late-life poverty could be seen as a process failure even if the underlying economics are sound.

Item 26 of 250

Topic: ira_concentration_restricted_securities_suitability

Standard: FINRA Rule 2111 (Suitability -- reasonable-basis, customer-specific, and quantitative suitability obligations); FINRA Rule 3110 (Supervision -- requirement for supervisory systems reasonably designed to achieve compliance); FINRA Rule 3120 (Supervisory Control System); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Regulatory Notice 12-25 (guidance on suitability obligations, including concentration concerns); SEC Regulation D (private placement framework and restrictions on transferability); FINRA Code of Arbitration Procedure Rules 12000-13000

Likely Outcome: A FINRA arbitration panel would likely find in favor of the Claimants on the suitability and failure-to-supervise claims, but the damages award would probably be reduced to account for the customers' contributory conduct and the inherent risk they knowingly accepted. The 62% aggregate concentration in illiquid, speculative securities within retirement accounts for moderate-risk investors approaching retirement is a fact pattern that panels consistently view unfavorably, regardless of individual transaction approvals. However, the panel would likely decline to award punitive damages given that the firm did have a compliance process in place (even if flawed) and the representative did provide risk disclosures. A reasonable estimate would be compensatory damages in the range of 60-75% of actual losses, reflecting some reduction for the customers' own acceptance of disclosed risks, plus disgorgement of some or all commissions. The firm's failure to aggregate speculative positions in its compliance review would likely be viewed as a meaningful supervisory deficiency, making Patriot Ridge jointly and severally liable alongside Samuels.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus and Elena Fielding, a married couple in their late 50s from Fargo, North Dakota, each maintain Individual Retirement Accounts at Patriot Ridge Securities, LLC, a mid-sized broker-dealer headquartered in New York. Their registered representative, Derek Samuels, has serviced their accounts since 2019. The Fieldings' new account forms indicate a 'moderate' risk tolerance, a 'growth and income' investment objective, a combined annual household income of approximately \$95,000, liquid net worth of roughly \$320,000 (the majority held in these IRAs), and a time horizon of 8-12 years until retirement.

In early 2021, Samuels recommended that the Fieldings each invest in two private placement offerings being marketed by Patriot Ridge: GreenBridge AgriTech, Inc. (a pre-revenue agricultural technology startup) and Meridian Wellness Holdings, Inc. (a CBD-infused consumer products company that had generated limited revenue). Both securities carried restrictive legends and had no established secondary market. Samuels explained that these were 'ground floor opportunities' with significant upside potential, that each company was expected to pursue a public offering within 18-24 months, and that the Fieldings' retirement timeline gave them 'plenty of runway' to weather any short-term illiquidity. He provided each of them with private placement memoranda that contained standard risk disclosures, including warnings about illiquidity, speculative nature, and total loss risk.

Over a period of four months, the Fieldings invested a combined \$198,000 across their two IRAs -- roughly \$105,000 in GreenBridge and \$93,000 in Meridian Wellness -- representing approximately 62% of their total IRA assets. The remaining 38% was held in a diversified mix of blue-chip equities and bond funds. Samuels earned commissions totaling approximately \$14,800 on these transactions. Patriot Ridge's compliance department reviewed and approved each transaction through its private placement suitability review process, noting that the customers had signed risk acknowledgment forms and that their stated risk tolerance was 'moderate,' which the firm's written supervisory procedures defined as permitting up to 30% allocation to 'alternative or speculative investments.' However, the

compliance officer who signed off, Janet Polk, did not aggregate the GreenBridge and Meridian Wellness positions together when evaluating concentration, instead reviewing each investment individually against the 30% threshold. Neither company has pursued a public offering; GreenBridge ceased operations in late 2022, and Meridian Wellness has suspended distributions and is currently in a restructuring process. The Fieldings have lost approximately \$165,000 and now contend that the recommendations were unsuitable, that the firm failed to supervise, and that Samuels breached his fiduciary duty.

Why Borderline

This case sits in a genuine gray zone because the firm had a facially reasonable compliance process that approved each transaction, the customers signed detailed risk disclosures, and the individual investments each fell within the firm's stated concentration limits for moderate-risk accounts. The critical ambiguity centers on whether the compliance department's methodology of evaluating each speculative position individually -- rather than aggregating all speculative/illiquid holdings -- satisfies the supervisory obligations under FINRA Rules 3110 and 3120, and whether the overall 62% concentration transforms otherwise individually defensible recommendations into a quantitative suitability violation. Reasonable experts could disagree about whether an 8-12 year time horizon adequately mitigates illiquidity risk for IRA assets, and whether the 'growth and income' objective meaningfully encompasses the level of speculation involved in pre-revenue private placements.

Borderline Factors

- * The firm's WSPs permitted up to 30% in speculative investments for moderate-risk accounts, and each individual position fell below that threshold -- but the aggregate concentration was 62%, raising the question of whether the compliance review methodology was systemically deficient or merely imperfect
- * The customers' 8-12 year time horizon and 'growth and income' objective create genuine ambiguity about whether speculative private placements with anticipated 18-24 month IPO timelines were within the zone of suitability
- * Detailed risk disclosures were provided and signed, but FINRA precedent holds that risk acknowledgments do not cure an underlying suitability deficiency -- the question is whether the recommendation crossed the line from aggressive-but-suitable to unsuitable
- * The compliance officer reviewed and approved each transaction individually, creating a question of whether the supervisory failure was the officer's personal negligence or a systemic firm-level deficiency in the written supervisory procedures themselves

Analysis

The Fieldings have a strong argument that a 62% concentration in illiquid, restricted, speculative private placements was facially unsuitable for moderate-risk IRA investors approaching retirement. FINRA's suitability rule (Rule 2111) requires that a recommendation be suitable not only on a transaction-by-transaction basis (reasonable-basis and customer-specific suitability) but also in light of the customer's overall portfolio (quantitative suitability). The concentration here far exceeded what most industry guidelines would consider appropriate for moderate-risk retirement investors, and the compliance department's failure to aggregate the two speculative positions when conducting its review suggests a systemic supervisory deficiency under FINRA Rules 3110 and 3120. The restrictive, illiquid nature of both securities compounds the concern: IRA holders nearing retirement have a heightened need for liquidity, and the lack of any secondary market meant the Fieldings had no realistic exit strategy if the investments underperformed. Furthermore, both companies were pre-revenue or minimally revenue-generating, placing them squarely in the 'highly speculative' category regardless of how the firm characterized them.

However, Patriot Ridge and Samuels can mount a credible defense. The Fieldings signed detailed risk acknowledgment forms and received private placement memoranda that explicitly warned of total loss risk, illiquidity, and speculative nature. Their stated time horizon of 8-12 years arguably provided a reasonable window for these

investments to mature, and the 'growth' component of their 'growth and income' objective could support some allocation to higher-risk positions. The firm's WSPs did permit moderate-risk investors to hold speculative investments, and each individual position fell below the 30% threshold when reviewed in isolation -- a methodology that, while arguably flawed, was consistently applied across the firm and had not been specifically prohibited by FINRA guidance. Samuels can argue that his recommendation was based on a reasonable belief that both companies would pursue IPOs within a defined timeframe, transforming the restricted securities into liquid, publicly traded shares well before the Fieldings' retirement date. The fact that both investments failed does not, standing alone, establish unsuitability -- hindsight bias is not a basis for liability.

Item 27 of 250

Topic: variable_annuity_exchange_principal_review_unsolicited

Standard: FINRA Rule 2821 (Deferred Variable Annuities) -- specifically provisions on principal review and approval of non-recommended transactions and independent suitability determination; FINRA Rule 2111 (Suitability) -- general suitability obligation including customer-specific and quantitative suitability; FINRA Rule 3110 (Supervision) -- adequacy of written supervisory procedures for variable annuity exchange review; FINRA Rule 4512 (Customer Account Information) -- obligation to maintain current customer financial information; SEC Release No. 34-56375 (Sept. 7, 2007) approving Rule 2821

Likely Outcome: A FINRA examination or enforcement action would likely result in a cautionary or deficiency finding rather than a formal disciplinary action, provided Kevin Liu's documentation demonstrates genuine analytical engagement with the suitability question rather than perfunctory sign-off. FINRA would likely emphasize that the firm's supervisory procedures should have required a quantified comparison of total costs (surrender charges plus fee differential over the expected holding period) against the economic value of the GMWB rider, and that Kevin's qualitative judgment, while defensible, fell short of best practices. If the firm's written supervisory procedures lacked specific guidance on the rigor required for principal review of non-recommended exchanges, FINRA might cite a Rule 3110 supervisory deficiency even if the substantive suitability determination is ultimately deemed reasonable. A skilled defense attorney would have a strong argument that the transaction falls within the explicit customer-affirmation safe harbor of Rule 2821 and that the principal acted in good faith, making formal sanctions unlikely but not impossible if FINRA chose to make an example of inadequate exchange review procedures.

Source: 13_FINRA_Rulebook

Fact Pattern

Marcus Thornton is a 64-year-old semi-retired engineering consultant who has held a deferred variable annuity with Meridian Life Insurance Company for seven years. The annuity, purchased through Crestview Securities LLC, has a current account value of \$385,000 and remains in its surrender charge period (two years remaining at a 3% declining rate). Marcus contacts his registered representative, Danielle Prescott, at Crestview Securities and tells her he has been independently researching variable annuities online and wants to exchange his Meridian annuity for a new product from Pacific Guardian Insurance that offers a guaranteed minimum withdrawal benefit (GMWB) rider, which his current annuity lacks. He provides Danielle with a printed comparison he found on a financial planning website and states he wants to proceed regardless of surrender charges because the GMWB rider gives him income certainty heading into full retirement.

Danielle does not recommend the exchange. She tells Marcus she is happy to process the transaction but notes that the surrender charges would cost approximately \$11,550 and that the new product has a fresh seven-year surrender period and higher annual fees (total annual charges of 2.85% versus 2.15% on the current product). She documents the conversation in her notes and emails a summary to Marcus. Marcus replies by email reaffirming his desire to proceed. Danielle submits the exchange paperwork to her branch office manager, Kevin Liu, who is the designated registered principal responsible for variable annuity transaction review.

Kevin reviews the transaction and notes several concerns: Marcus's annual income has dropped to \$72,000 from \$130,000 since the original purchase; his liquid net worth outside the annuity is approximately \$210,000; the new product's higher fees and fresh surrender period are economically disadvantageous on a pure cost basis; and Marcus listed 'moderate' risk tolerance. However, Kevin also notes that Marcus is unsolicited, informed of the disadvantages, and specifically wants the GMWB rider for retirement income planning -- a rationally defensible objective for someone

two years from full retirement. Kevin approves the exchange after documenting his analysis, noting that the customer was informed of the disadvantages and affirmed his desire to proceed. Crestview's compliance department later flags the transaction during a quarterly review, questioning whether Kevin's approval was sufficient under Rule 2821 given the cost disparity and the customer's reduced income, and whether the firm's supervisory procedures adequately required Kevin to consider whether the exchange served the customer's interests even in the absence of a recommendation.

Why Borderline

The genuine ambiguity arises from the tension between two competing objectives embedded in Rule 2821: (1) the rule's insistence that registered principals independently assess suitability even for unsolicited transactions, which suggests a paternalistic gatekeeping function, and (2) the rule's explicit provision allowing customers to proceed with transactions after being informed of the principal's concerns, which acknowledges customer autonomy. Marcus's exchange is economically disadvantageous on a pure cost basis, but the GMWB rider serves a legitimate retirement income planning objective that is rationally connected to his life stage and stated needs. The question of whether Kevin's approval constituted a genuine suitability determination or merely procedural compliance with the customer-affirmation pathway is genuinely contestable, and FINRA guidance on the level of rigor required for principal review of non-recommended VA exchanges remains underdeveloped.

Borderline Factors

- * The transaction was genuinely unsolicited and customer-initiated with independent research, yet Rule 2821 still imposes principal suitability obligations on non-recommended transactions
- * The exchange involves objectively higher costs and a new surrender period, which are traditional red flags for VA exchange scrutiny, but the GMWB rider provides a qualitative benefit not available in the existing product
- * The customer's reduced income and moderate liquid assets outside the annuity raise suitability concerns, but the customer's stated retirement income planning objective is rationally connected to the product feature he is seeking
- * The principal documented his analysis and followed the customer-affirmation procedure, but the depth of the suitability analysis (qualitative rather than quantified cost-benefit) may be insufficient under a strict reading of the rule's independent determination requirement

Analysis

Under Rule 2821, a registered principal must review and approve deferred variable annuity transactions -- including exchanges -- even when no recommendation has been made by the registered representative. The rule specifically contemplates a scenario where a principal determines that an unsolicited transaction does not appear suitable: in such cases, the principal must inform the customer of the reasons for non-approval, and the customer may affirm the desire to proceed, at which point the principal may authorize processing. Kevin Liu arguably followed this framework -- he identified the cost disadvantages, Danielle communicated them, Marcus affirmed, and Kevin documented his reasoning and approved. The defense would argue this is precisely the outcome Rule 2821 envisions for unsolicited transactions: customer autonomy preserved with appropriate principal gatekeeping.

However, the compliance department's concern raises a legitimate counter-argument. Rule 2821 requires the principal to make an independent suitability determination, not merely to verify that the customer was warned. The rule's language about principal responsibility on non-recommended transactions requires the principal to 'determine if the transaction is suitable' -- suggesting an affirmative obligation beyond rubber-stamping an informed customer's choice. The fact that Marcus's income has declined nearly 45%, that his liquid assets are modest relative to total net worth, and that the exchange imposes materially higher costs and a new surrender period could support the position that Kevin should have declined to approve the exchange outright, or at minimum required a more rigorous analysis of whether the GMWB benefit actually justified the economic cost given Marcus's specific financial situation. FINRA examination staff

have historically scrutinized VA exchanges with higher costs and new surrender periods, and the firm's supervisory procedures may have been deficient if they did not require a quantified cost-benefit comparison rather than a qualitative judgment call.

Item 28 of 250

Topic: guarantee_vs_market_commentary_in_variable_annuity_context

Standard: FINRA Rule 2330(e) (Prohibition Against Guarantees -- prohibiting members and associated persons from guaranteeing any customer against loss in connection with any securities transaction or in any securities account); FINRA Rule 2330(f) (Sharing in Accounts); FINRA Rule 2111 (Suitability -- reasonable-basis, customer-specific, and quantitative suitability); FINRA Rule 3110 (Supervision -- requiring firms to establish and maintain supervisory systems and written procedures reasonably designed to achieve compliance); FINRA Rule 4512 (Customer Account Information); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities -- requiring principal review and suitability determination for VA transactions)

Likely Outcome: A FINRA arbitration panel or enforcement action would likely find a violation, but a narrow one. The strongest basis would be that Marcus's statements -- particularly 'you really can't lose your principal' and 'effectively eliminates the downside risk' -- failed to distinguish between the withdrawal base guarantee and the actual account value, thereby creating an expectation of protection against loss broader than what the product provides. His personal assurances ('my commitment,' 'I'll personally make sure') compound the problem by intertwining personal guarantees with product features. However, a panel might mitigate sanctions by recognizing that the product does include genuine contractual protections and that Marcus's intent appears to have been to describe those features rather than to make a freestanding guarantee. The firm would likely face a separate supervisory deficiency finding under Rule 3110 for failing to have procedures to review the substance of communications made in connection with approved VA sales. The outcome would likely involve a censure and moderate fine rather than a suspension, given the ambiguity.

Source: 13_FINRA_Rulebook

Fact Pattern

Marcus Ellison is a registered representative with Bridgewater-Phelps Securities, LLC, a mid-sized FINRA member firm. In March 2024, he meets with longtime client Diane Kowalski, age 62, who is considering moving \$340,000 from a money market fund into a variable annuity with a guaranteed minimum withdrawal benefit (GMWB) rider offered by Pinnacle Life Insurance Company. Diane expresses deep anxiety about market losses given her proximity to retirement. During their meeting, Marcus makes several statements captured in his CRM notes and a recorded phone follow-up. He tells Diane: 'With this GMWB rider, you really can't lose your principal over the long haul -- the insurance company stands behind that floor, so your withdrawal base is protected no matter what the market does. I wouldn't steer you wrong on this, Diane, you know that. Between what Pinnacle guarantees and my commitment to watching this account like a hawk, you're going to be just fine.' In a subsequent email, Marcus writes: 'As we discussed, this product effectively eliminates the downside risk that concerns you. You'll have market upside with a contractual safety net, and I'll personally make sure we stay on top of the subaccount allocations to keep you in the best position.' Diane proceeds with the purchase. Over the next 18 months, the subaccounts decline 22%, and while the GMWB rider does protect her withdrawal base, the actual account value drops to \$265,000. Diane files a complaint alleging Marcus guaranteed her against loss. Bridgewater-Phelps's compliance department had reviewed and approved the variable annuity transaction under FINRA Rule 2330 suitability protocols but did not review or flag the specific language Marcus used in his CRM notes or the email. The firm's supervisory procedures require principal review of VA transactions but do not mandate review of all post-meeting client communications related to approved transactions.

Why Borderline

This case is genuinely ambiguous because Marcus's statements exist on a spectrum between accurately describing a product's contractual guarantee features (the GMWB rider) and making independent personal assurances that could be

construed as guarantees against loss. The GMWB rider does provide a contractual floor, making statements about principal protection partially accurate -- but Marcus's language blurs the line by interweaving personal commitments with product descriptions, potentially creating an expectation of protection broader than the rider actually provides (the account value itself did decline significantly, even though the withdrawal base was preserved). The distinction between the account value and the withdrawal base is technically significant, and Marcus's statements did not clearly delineate this critical difference, which could mean he was effectively guaranteeing something the product does not actually guarantee.

Borderline Factors

- * Marcus's statements blend factual GMWB rider descriptions with personal assurances of protection, making it difficult to isolate a pure 'guarantee' from a product explanation
- * The GMWB rider itself is an insurance company guarantee -- creating tension between prohibiting a representative from describing a guarantee feature versus making an independent guarantee
- * Marcus failed to distinguish between account value (which declined) and withdrawal base (which was protected), potentially creating expectations broader than the product's actual contractual guarantee
- * The firm's supervisory procedures covered the VA suitability review but did not extend to reviewing the specific language used in post-approval client communications, raising a Rule 3110 supervision adequacy question

Analysis

The central question is whether Marcus's statements constitute a prohibited guarantee against loss under FINRA Rule 2330(e), or whether they were permissible characterizations of the contractual features of a product that does, in fact, include an insurance company guarantee through the GMWB rider. FINRA's prohibition is broad -- it bars members and associated persons from 'guaranteeing any customer against loss in connection with any securities transaction or in any securities account.' The amended rule was specifically designed to prevent creating 'the expectation that the customer is insulated from market risk intrinsic in securities ownership' and to prevent inducing customers into transactions that may not be appropriate. Marcus's statements blend factual descriptions of the GMWB rider's contractual protections with personal assurances ('my commitment to watching this account,' 'I'll personally make sure') that arguably go beyond product description into the territory of personal guarantees against loss.

On the defense side, Marcus's counsel would argue that the GMWB rider is itself a contractual guarantee issued by Pinnacle Life, and that Marcus was accurately describing a product feature -- not making an independent personal guarantee. The statement 'you really can't lose your principal over the long haul' is arguably a factual description of how a GMWB rider functions: the withdrawal base is indeed protected regardless of market performance. His references to personal oversight ('watching this account like a hawk') could be characterized as descriptions of ongoing service commitments, not guarantees against loss. Moreover, the phrase 'effectively eliminates the downside risk' in his email includes the qualifier 'effectively,' and in context refers to the contractual floor provided by the rider. The defense would further argue that distinguishing between explaining an insurer's guarantee and making a personal guarantee is critical -- otherwise, no representative could ever describe GMWB features to clients.

Item 29 of 250

Topic: suitability_variable_annuity_exchange_aging_client

Standard: FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) -- particularly subsections requiring evaluation of existing benefits, surrender charges, and principal review obligations; FINRA Rule 2111 (Suitability) -- customer-specific and reasonable-basis suitability; FINRA Rule 3110 (Supervision) -- requiring supervisory systems reasonably designed to achieve compliance; FINRA Rule 4512 (Customer Account Information) -- requiring current and accurate customer investment profile documentation

Likely Outcome: A FINRA arbitration panel would likely find a mixed result. The panel would probably not find the underlying recommendation unsuitable given the demonstrably higher guaranteed income and the client's documented objectives. However, the panel may find supervisory deficiencies under Rules 2330 and 3110 based on the incomplete exchange comparison worksheet and the supervisor's failure to independently quantify the benefit base comparison. This could result in a modest compensatory award -- perhaps covering the incremental fees over the new surrender period -- or a finding of liability with nominal damages, reflecting the view that procedural failures occurred even though the client was not materially harmed by the recommendation itself. Regulators examining this pattern across multiple accounts might view the supervisory gaps more seriously than an arbitration panel evaluating the single case.

Source: 13_FINRA_Rulebook

Fact Pattern

Margaret Dalton, age 74, is a retired school principal with a moderate risk tolerance profile, \$620,000 in liquid assets, and annual pension income of \$58,000. She has been a client of Pinnacle Financial Services and her registered representative, Kevin Marsh, for eleven years. In 2019, Marsh recommended that Dalton exchange her existing variable annuity -- a Transamerica product with a remaining surrender period of 14 months and a current account value of \$185,000 -- into a new Jackson National variable annuity with enhanced living benefit riders, a new 7-year surrender schedule, and an annual mortality and expense charge 22 basis points higher than her existing contract. Marsh documented that Dalton expressed concern about outliving her savings after her husband's recent death and wanted guaranteed lifetime income. The new contract's guaranteed minimum withdrawal benefit (GMWB) rider offered a 5.5% withdrawal rate for her age bracket, compared to 4.5% on her existing contract. However, the existing Transamerica contract had accumulated a stepped-up benefit base of \$210,000 due to market appreciation during a prior ratchet period -- a fact noted in the client file but not explicitly discussed in the exchange comparison worksheet that Marsh completed. Marsh's branch manager, Diane Kurtz, reviewed and approved the exchange within the firm's principal review framework, signing the FINRA Rule 2330-required documentation. Kurtz's review notes state: 'Client seeks enhanced GMWB rider; new contract provides superior guaranteed income.' The notes do not reference the \$210,000 stepped-up benefit base being forfeited or calculate the dollar-amount difference in guaranteed annual income between the old and new contracts. Pinnacle's supervisory procedures manual requires principals to verify that 'material features of the existing contract have been compared to the proposed contract,' but does not specify that stepped-up benefit bases must be independently quantified. Dalton signed all required disclosure forms, including a disclosure that she understood she would be subject to a new surrender period. Eighteen months later, Dalton's daughter, an attorney, reviewed the paperwork and filed a FINRA arbitration claim alleging unsuitability and supervisory failures.

Why Borderline

This case sits in a genuine gray zone because the quantitative outcome -- higher guaranteed annual income from the new contract -- arguably supports the recommendation's suitability, yet the process by which the recommendation was made and supervised appears deficient. The stepped-up benefit base was noted in the file but never explicitly

compared in dollar terms on the exchange worksheet, and the supervisor's review failed to independently verify this critical comparison. Reasonable experts disagree on whether a suitable outcome can cure procedural shortcomings under Rules 2330 and 3110, and whether the failure to explicitly quantify the benefit base forfeiture constitutes a material omission when the net result still favored the client. The client's age and new surrender period add legitimate concern, but the near-expiration of the old surrender period and documented client objectives cut the other way.

Borderline Factors

- * The new contract actually provides higher guaranteed annual income despite forfeiting the stepped-up benefit base, making the quantitative suitability argument defensible
- * The exchange comparison worksheet omitted explicit quantification of the stepped-up benefit base being forfeited, creating a documentation gap that could indicate either oversight or immateriality
- * The supervisor approved the exchange without independently calculating comparative guaranteed income figures, testing the boundaries of what constitutes adequate principal review under Rule 2330
- * A 74-year-old client entering a new 7-year surrender period raises age-appropriateness concerns, but the old surrender period had only 14 months remaining and the client had substantial other liquid assets

Analysis

The claimant's strongest arguments center on FINRA Rule 2330's requirement that, before recommending a variable annuity exchange, the registered representative must weigh specific factors including whether the customer would 'lose existing benefits such as... existing riders' and whether the exchange involves 'a new surrender period.' The forfeiture of a \$210,000 stepped-up benefit base -- \$25,000 above current account value -- is arguably a material existing benefit that was inadequately weighed and disclosed. Under FINRA Rule 2111's suitability framework, the recommendation must be suitable considering the customer's 'investment profile,' including age, time horizon, and liquidity needs. A 74-year-old client entering a new 7-year surrender period with higher annual charges and forfeiting a valuable legacy benefit base raises genuine suitability concerns. The supervisor's failure to quantify the comparative guaranteed income streams could be characterized as a deficient review under Rule 3110. The defense, however, can point to several strong counterarguments. The new GMWB rider's 5.5% withdrawal rate on the \$185,000 account value yields \$10,175 annually, while the old rider's 4.5% on the \$210,000 benefit base yields \$9,450 -- meaning the new contract actually provides \$725 more in guaranteed annual income despite the benefit base forfeiture. The enhanced living benefit rider directly addressed Dalton's stated concern about longevity risk after her husband's death. Marsh documented the client's objectives, Dalton signed comprehensive disclosures acknowledging the new surrender period, and the exchange was reviewed and approved by a principal. Furthermore, the existing contract's surrender period was nearly expired, meaning Dalton had maximum flexibility to move without penalty. The 22-basis-point fee increase, while notable, is modest in the context of materially improved rider benefits.

Item 30 of 250

Topic: suitability_investment_profile_staleness_and_strategy_recommendation

Standard: FINRA Rule 2111 (Suitability) -- particularly the investment profile definition including 'any other information the customer may disclose'; FINRA Rule 2090 (Know Your Customer) -- ongoing obligation to know essential facts concerning the customer; FINRA Rule 3110 (Supervision) -- obligation to establish and maintain written supervisory procedures reasonably designed to achieve compliance; FINRA Rule 4512 (Customer Account Information) -- requirements for maintaining accurate customer account records; FINRA Regulatory Notice 11-02 (guidance on consolidated suitability and KYC obligations)

Likely Outcome: A FINRA arbitration panel would likely find partial liability. The panel would probably conclude that Whitfield's documented awareness of Dr. Cho's shifting sentiments, combined with the concentrated and aggressive nature of the September 2021 recommendations, created an obligation to at minimum revisit the investment profile before proceeding. However, the panel would likely assign significant comparative fault to Dr. Cho for failing to formally update her profile and for approving the transactions. A probable outcome is an award of 40-60% of claimed damages, with the panel emphasizing the representative's duty to act on known information under Rule 2111 while acknowledging the customer's own responsibility and the tentative nature of her statements. FINRA enforcement, if it took an interest, would likely focus the supervisory angle under Rule 3110 -- specifically the disconnect between the CRM system and the supervisory review process -- and might seek corrective action against the firm's WSPs rather than pursuing a fraud theory against the individual.

Source: 13_FINRA_Rulebook

Fact Pattern

Marcus Whitfield is a registered representative at Pemberton-Hayes Securities, a mid-sized FINRA member firm. In March 2019, he opened an account for Dr. Elaine Cho, a 52-year-old orthopedic surgeon earning approximately \$650,000 annually. At account opening, Dr. Cho completed a detailed new account form indicating a 'growth' investment objective, 'moderate-to-aggressive' risk tolerance, a 15-year investment time horizon, substantial liquid net worth of \$4.2 million, and no immediate liquidity needs. She stated she had 'significant' investment experience, having previously maintained accounts at two other broker-dealers. The account was coded and approved by Whitfield's branch manager, Sandra Kessler, under FINRA Rules 4512 and 2090.

Over the next two years, Whitfield recommended and executed a series of equity-heavy portfolio allocations consistent with Dr. Cho's stated profile. Annual account reviews in 2020 showed the portfolio performing well. However, in early 2021, Dr. Cho casually mentioned during a phone call -- which Whitfield noted in his CRM but did not document in a formal account update -- that she was 'thinking about scaling back her practice in the next couple of years' and was 'getting a little more nervous about market drops.' Whitfield acknowledged the comment but did not initiate a formal investment profile review or update her account records.

In September 2021, Whitfield recommended that Dr. Cho allocate \$800,000 of her portfolio into a concentrated position in a sector-specific growth ETF and simultaneously recommended an investment strategy involving systematic selling of cash-secured puts on individual technology stocks to generate income -- a strategy he described as 'moderately aggressive but income-generating.' Dr. Cho agreed and the trades were executed. By March 2022, the concentrated ETF position had declined 34%, and several of the put options were exercised against Dr. Cho, resulting in her acquiring unwanted stock positions at a total additional cost of \$210,000. She filed a FINRA arbitration claim alleging unsuitability.

Pemberton-Hayes's written supervisory procedures required annual account reviews and stated that registered representatives 'should update customer investment profiles when they become aware of material changes in customer circumstances.' However, the WSPs did not define 'material changes' or prescribe a specific mechanism for when informal customer communications should trigger a formal profile update. Sandra Kessler had reviewed and approved the September 2021 trades based on the 2019 profile, which still showed growth/moderate-to-aggressive on file. She did not have access to Whitfield's CRM notes about the phone conversation.

Why Borderline

This case sits squarely in the gray zone because FINRA Rule 2111's investment profile language ('any other information the customer may disclose') is expansive but does not clearly delineate when informal, tentative, or forward-looking customer statements become binding components of the suitability analysis. The customer made comments that could signal a material change -- or could be casual conversation. The representative documented them but did not act on them, which simultaneously demonstrates awareness and creates an evidentiary problem. The firm's supervisory procedures addressed the situation in general terms but lacked the specificity to clearly require action. Reasonable compliance professionals would disagree about whether Whitfield was obligated to halt recommendations pending a formal profile update, or whether the existing profile -- never formally changed by the customer -- remained the operative basis for suitability. The concentrated position adds risk but doesn't clearly cross any bright-line threshold for the customer's profile as documented.

Borderline Factors

- * Customer's statements were tentative and forward-looking rather than definitive changes to investment objectives
- * FINRA Rule 2111's 'any other information the customer may disclose' language creates ambiguity about whether informal verbal comments during a phone call modify the operative investment profile
- * The representative documented the comments in CRM (showing awareness) but the firm's WSPs did not clearly require formal profile updates based on such informal disclosures
- * The supervisor approved trades based on the formal account profile without access to the CRM notes, raising questions about whether the supervisory failure is systemic or individual
- * The recommendations, while concentrated and aggressive, were arguably consistent with the documented moderate-to-aggressive risk tolerance and growth objectives of a high-income sophisticated investor

Analysis

The claimant's strongest argument is that Whitfield had actual knowledge -- documented in his own CRM notes -- that Dr. Cho's risk tolerance and time horizon were potentially shifting, and that his obligation under FINRA Rule 2111 required him to incorporate all information disclosed by the customer, including informal disclosures, into the suitability analysis before making further recommendations. The rule's language is deliberately broad: the investment profile includes 'any other information the customer may disclose to the member or associated person in connection with such recommendation.' A FINRA arbitration panel could reasonably interpret Dr. Cho's statements about scaling back her practice and increased nervousness about market drops as material disclosures that altered her investment profile. Under this reading, the September 2021 recommendations -- a concentrated sector bet combined with a leveraged options strategy -- were unsuitable for a customer who had signaled a shift toward capital preservation and a shorter effective time horizon. Additionally, there is a supervisory failure argument under Rule 3110: Kessler approved the trades without access to material customer information that existed within the firm's own systems.

The defense, however, has substantial counterarguments. Dr. Cho's comments were tentative and forward-looking ('thinking about' and 'getting a little more nervous'), not definitive statements of changed objectives. FINRA Regulatory Notice 11-02 and the rule's commentary recognize that customers sometimes make aspirational or conditional statements that do not constitute formal changes to their investment profiles. Whitfield noted the comments but could

reasonably interpret them as preliminary musings rather than actionable profile changes -- particularly since Dr. Cho never requested any changes to her investment strategy, never submitted an updated account form, and continued to approve growth-oriented recommendations. The firm's WSPs, while imperfect, were not unreasonable, and the 2019 profile -- which remained formally operative -- fully supported the recommended transactions for a high-income, high-net-worth investor with substantial experience and a growth objective. The options strategy, while aggressive, was within the parameters of a moderate-to-aggressive risk tolerance. The defense would also argue that the losses were market-driven and that suitability is judged at the time of recommendation based on the information reasonably available, not with hindsight.

Item 31 of 250

Topic: drs_transfer_delay_senior_investor_suitability

Standard: FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 2111 (Suitability); FINRA Regulatory Notice 07-43 (Senior Investors); FINRA Regulatory Notice 12-03 (Complex Products -- to the extent hedging alternatives are considered); SEC Section 17A of the Securities Exchange Act of 1934 (15 U.S.C. § 78q-1) regarding prompt and accurate clearance and settlement; DTC Profile system rules as approved by the SEC in Release No. 34-41862

Likely Outcome: A FINRA arbitration panel or enforcement proceeding would likely find that Ridgeline did not commit a clear rule violation but might impose a modest sanction or recommend enhanced supervisory procedures. The panel would probably credit Ridgeline's defense that the transfer agent delay was outside its control and that the 11-day turnaround was within normal parameters. However, the panel could find a Rule 2010 (just and equitable principles) violation based on Pratt's failure to proactively communicate the market risk to Karen once the delay extended past several days, particularly given Margaret's age, urgent liquidity need, and the firm's awareness of those circumstances. The likely resolution would be a cautionary action or a finding of inadequate supervision rather than a full suitability violation, with the panel emphasizing that the firm's senior investor protocols should have triggered a supervisory escalation when the transfer stalled for a customer with documented urgent needs. Damages, if any, would likely be reduced significantly by the attribution of the delay to the transfer agent and the unforeseeable nature of the price decline.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Hollings, age 78, holds approximately \$340,000 in shares of Consolidated Energy Corp. (CEC) in book-entry DRS positions on the company's transfer agent records. In March 2024, Margaret contacts her broker-dealer, Ridgeline Securities, to request that her DRS shares be transferred into her brokerage account so she can sell them and use the proceeds for assisted living expenses. Ridgeline's registered representative, David Pratt, initiates the Profile transfer through DTC to move the shares from the transfer agent to Ridgeline's account. However, CEC's transfer agent, Pinnacle Transfer Services, rejects the first Profile submission citing a minor name discrepancy between Margaret's DRS records (which list her maiden middle name) and her brokerage account records. Pratt resubmits with a corrected name but Pinnacle takes 11 business days to process the second request, citing internal review procedures and a backlog. During this period, CEC's stock price drops from \$42.15 to \$33.80 per share -- a decline of roughly \$56,000 in value -- after the company announces an unexpected dividend cut. Margaret's daughter, Karen, who holds power of attorney, complains to FINRA that Ridgeline failed to escalate the transfer delay, failed to explore alternative mechanisms (such as having Margaret contact Pinnacle directly or using expedited processing), and that the firm's inaction was inconsistent with its heightened obligations to senior investors. Ridgeline responds that the Profile system was functioning as designed, that the initial rejection was caused by the transfer agent's records -- not by any Ridgeline error -- and that the 11-day processing time, while frustrating, was within Pinnacle's stated service-level window of 10-15 business days for resubmissions. Ridgeline also notes that it had no contractual or regulatory authority to compel Pinnacle to expedite processing, and that it informed Margaret's daughter on day 5 that the transfer was still pending. Pratt's notes reflect that he told Karen the transfer was 'in process' but did not discuss the market risk of holding during the delay or suggest any hedging alternatives.

Why Borderline

This scenario sits in a genuine gray zone because it involves the intersection of three ambiguous regulatory boundaries: (1) the extent to which a broker-dealer's obligation under FINRA Rule 2010 extends to affirmatively escalating or problem-solving third-party operational delays when a vulnerable customer is at risk; (2) whether the

heightened duty of care articulated in Notice 07-43 for senior investors creates an obligation to proactively communicate market risks and explore alternatives during a non-recommendation, operational-processing situation; and (3) whether the SEC's stated policy that DRS should not 'materially disadvantage' shareholders compared to certificate holders creates an enforceable expectation that broker-dealers will go beyond standard Profile procedures when delays occur. The transfer agent's processing time was within its own stated parameters, the initial error was attributable to a record discrepancy rather than broker misconduct, and the stock price decline was an unforeseeable market event -- yet the cumulative effect was a \$56,000 loss to a senior investor with urgent liquidity needs, and the broker's communication was arguably minimal.

Borderline Factors

- * The transfer delay was caused by a third-party transfer agent's processing time and record discrepancy, not by Ridgeline's own error or inaction
- * FINRA Notice 07-43's heightened obligations for senior investors are principles-based and do not specify precise escalation procedures for operational delays
- * The SEC's stated policy that DRS should not 'materially disadvantage' shareholders is aspirational and directed at system design rather than individual broker-dealer conduct
- * Pratt communicated transfer status to Karen but did not discuss market risk or alternatives, raising the question of whether the duty of care extends to unsolicited risk counseling during operational processing

Analysis

The core question is whether Ridgeline Securities violated its obligations under FINRA Rules 2010 (just and equitable principles of trade) and 2111 (suitability), as well as the heightened supervisory expectations articulated in FINRA Regulatory Notice 07-43 regarding senior investors, by failing to take more aggressive steps to expedite Margaret's DRS transfer or to advise her of the market risks during the delay. On one hand, the SEC's approval of the Profile system was explicitly designed to ensure that DRS shareholders are not 'materially disadvantaged' compared to certificate holders, and the regulatory framework contemplates that broker-dealers using Profile bear some responsibility for ensuring efficient processing. Ridgeline knew that Margaret -- a senior investor with an urgent liquidity need -- was exposed to market risk during an involuntary delay, and FINRA's guidance on senior investors emphasizes proactive communication, escalation of time-sensitive issues, and consideration of the investor's particular vulnerability. A reasonable compliance officer could argue that Pratt should have discussed the possibility of a limit order or protective put once the shares arrived, warned Karen about the price risk explicitly, or escalated the resubmission through Ridgeline's operations department rather than simply resubmitting and waiting.

On the other hand, the SEC order itself acknowledges that transfer agent processing times and name-discrepancy rejections are operational realities outside the broker-dealer's control. Ridgeline had no regulatory mechanism to force Pinnacle to prioritize Margaret's transfer, and the 11-day turnaround was within Pinnacle's disclosed service-level parameters. The initial rejection was caused by a discrepancy in Margaret's own records, not by any negligence on Ridgeline's part. Ridgeline did communicate the status to Karen on day 5, and it is unclear whether any alternative approach -- such as having Margaret contact Pinnacle directly -- would have been faster. Furthermore, the suitability obligation under Rule 2111 traditionally applies to recommendations, and Ridgeline made no recommendation here; Margaret independently decided to sell. Advising a customer to purchase derivative hedging instruments during a transfer delay could itself raise suitability concerns for a 78-year-old investor unfamiliar with options.

Item 32 of 250

Topic: compensated_nar_suitability_claim_representation

Standard: FINRA Rule 12208 (representation of parties in arbitration); FINRA Rule 2111 (suitability); FINRA Rule 2330 (members' responsibilities regarding deferred variable annuities, referenced by analogy); FINRA Rule 2010 (standards of commercial honor and just and equitable principles of trade); FINRA Regulatory Notice 12-03 (heightened supervision for complex products); FINRA Regulatory Notice 07-43 (senior investors); FINRA Regulatory Notice 17-34 (non-attorney representatives in FINRA dispute resolution); Florida Statutes § 454.23 (unauthorized practice of law)

Likely Outcome: The FINRA arbitration panel would most likely deny the motion to disqualify Hale and permit him to continue representing the Ostrowskis, but potentially with conditions. FINRA panels have historically been reluctant to disqualify NARs given that the forum's own rules permit their participation, and doing so here would effectively extinguish the Ostrowskis' claims -- an outcome that conflicts with the forum's investor-protection mandate. However, the panel might note its concerns on the record regarding the UPL issue and refer the matter to the relevant state bar or FINRA's own regulatory staff for separate consideration. The panel would likely weigh heavily the fact that two attorneys declined the case and that the Ostrowskis provided informed consent. That said, if FINRA ultimately adopts a rule change following the 17-34 comment process, cases like this would likely be resolved differently going forward. A Florida state court, by contrast, might reach the opposite conclusion on the UPL question if it were presented in that forum.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Hale is a retired compliance officer who spent 22 years at two mid-sized broker-dealers before retiring in 2019. After retirement, he established 'Hale Investor Advocacy LLC' in Florida, a firm that helps individual investors pursue claims through FINRA arbitration. Hale is not a licensed attorney in any jurisdiction. He charges clients a contingency fee of 20% of any recovery -- substantially below the typical 33-40% charged by securities attorneys -- and positions his services as affordable access to the arbitration forum for smaller claimants who cannot attract attorney representation due to modest claim sizes.

In March 2023, Hale was retained by Dorothy and Raymond Ostrowski, ages 74 and 78, both retired public school teachers living in Tampa. The Ostrowskis had approximately \$340,000 in retirement savings, of which their registered representative at Meridian Wealth Partners concentrated roughly 62% into a suite of non-traded REITs and structured notes between 2019 and 2021. The Ostrowskis allege the products were unsuitable given their conservative risk tolerance, limited investment experience, and dependence on the portfolio for living expenses. They had consulted two securities attorneys, both of whom declined the case due to the claim size (estimated damages of \$85,000-\$110,000) being insufficient to justify the attorneys' overhead.

Hale filed a Statement of Claim on the Ostrowskis' behalf, alleging violations of FINRA Rules 2111 (suitability), 2330 (variable annuity suitability -- referenced by analogy for the structured products), and 2010 (just and equitable principles of trade), as well as common law negligence and breach of fiduciary duty. Meridian's counsel, a partner at a national securities defense firm, filed a motion to disqualify Hale, arguing his representation constitutes the unauthorized practice of law under Florida law and that FINRA should not permit a compensated non-attorney to handle complex product suitability claims involving senior investors. Hale responded that FINRA's own rules expressly permit non-attorney representatives, that he disclosed his non-attorney status and fee arrangement to the Ostrowskis in writing, that both clients signed informed consent forms, and that barring him would effectively deny the Ostrowskis any meaningful access to the forum.

During discovery, it emerged that Hale had drafted detailed legal memoranda applying Regulatory Notice 12-03's heightened suitability framework for complex products to the Ostrowskis' portfolio, and had also invoked Regulatory Notice 07-43's guidance on senior investor protections. Meridian's counsel argues these analytical documents demonstrate legal practice indistinguishable from that of a licensed attorney. The FINRA arbitration panel must now decide whether to permit Hale to continue representing the Ostrowskis.

Why Borderline

This case sits at the precise intersection of three genuinely unresolved tensions: (1) FINRA's longstanding procedural allowance of compensated NARs versus growing regulatory concern about the quality of NAR representation, particularly after Regulatory Notice 17-34 solicited comments on this exact issue without issuing a final rule; (2) the competing imperatives of investor protection -- protecting seniors from unsuitable products demands access to the forum, but protecting them from inadequate representation argues for attorney-only practice; and (3) the unsettled question of whether applying FINRA's own published regulatory guidance (Notices 12-03 and 07-43) to specific facts in an arbitration proceeding constitutes the 'practice of law' when done within a forum that was intentionally designed to function without requiring legal representation. Hale's extensive compliance background further complicates the analysis, as he possesses substantive expertise that blurs the line between industry knowledge and legal practice.

Borderline Factors

- * FINRA's rules expressly permit NAR representation but Regulatory Notice 17-34 signaled active reconsideration of this policy without reaching final resolution
- * The Ostrowskis are senior investors who could not obtain attorney representation due to claim size, creating a direct tension between access to justice and quality-of-representation concerns
- * Hale's drafting of legal memoranda applying complex regulatory frameworks (12-03, 07-43) to specific facts arguably crosses from advocacy into legal practice, but occurs within a forum designed to be accessible without attorneys
- * Hale's 22-year compliance background gives him substantive expertise comparable to or exceeding many attorneys, yet he lacks a law license, malpractice insurance, and bar disciplinary oversight

Analysis

The strongest argument for disqualifying Hale rests on the unauthorized practice of law doctrine and investor protection concerns. Drafting legal memoranda that apply multi-factor regulatory standards (the 12-03 complex products framework, 07-43 senior investor considerations, and suitability analysis under Rule 2111) to specific facts is quintessentially legal analysis. Florida's UPL statutes are broad, and the Florida Bar has historically taken an expansive view of what constitutes legal practice. Meridian can argue that the Ostrowskis -- elderly, unsophisticated investors who are precisely the population FINRA's senior investor protections are designed to shield -- are being doubly victimized: first by an allegedly unsuitable product recommendation, and now by representation from someone without legal training, malpractice insurance, or bar oversight. The comment letter in Regulatory Notice 17-34 from attorney Sutherland underscores the documented pattern of poor outcomes for NAR-represented claimants and the absence of any recourse mechanism when NARs provide deficient representation.

The strongest argument for permitting Hale to continue is grounded in FINRA's own procedural rules, which have long allowed compensated non-attorney representatives in arbitration, and in the practical reality that without Hale, the Ostrowskis will likely have no representation at all. FINRA arbitration is explicitly designed to be less formal than court litigation, and the forum's rules do not require attorney representation. Hale's 22 years of compliance experience -- including direct familiarity with suitability obligations and complex product due diligence -- arguably makes him more qualified than many junior attorneys who take on securities cases. The Ostrowskis gave informed consent after being

unable to secure attorney representation, and Hale's 20% fee is demonstrably more favorable than standard attorney contingency rates. Denying representation here effectively denies the claim entirely, undermining the very investor-protection purpose that FINRA's arbitration forum is meant to serve.

Item 33 of 250

Topic: diversity_hiring_pipeline_suitability_conflict

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 3110 (Supervision); Regulatory Notice 12-03 (Know Your Customer and Suitability -- Complex Products); Regulatory Notice 07-43 (Senior Investors); Regulatory Notice 21-17 (Diversity and Inclusion in the Broker-Dealer Industry)

Likely Outcome: FINRA would most likely pursue a supervisory deficiency action under Rules 3110 and 2010 against the firm, focusing on the failure to update written supervisory procedures to account for the known risk factors of the accelerated program -- particularly regarding complex product recommendations to seniors under Rule 2330 and RN 12-03. However, regulators would likely avoid framing the action as targeting the diversity initiative itself and would not pursue individual suitability violations absent stronger evidence of unsuitable recommendations. The firm would likely settle with a modest fine (\$200,000-\$500,000), an undertaking to revise its supervisory procedures, and a requirement for supplemental training. The outcome would be driven by the pragmatic reality that FINRA cannot be seen as punishing diversity efforts, but also cannot ignore documented supervisory gaps flagged by the firm's own CCO. The three customer complaints, while not individually dispositive, provide the examination hook that transforms an internal policy debate into an enforcement matter.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Meridian Wealth Partners, a mid-sized broker-dealer with 450 registered representatives, has been under pressure from its board and institutional clients to improve diversity metrics following FINRA's Regulatory Notice 21-17 dialogue. The firm's Chief Diversity Officer, Carla Whitfield, working with the head of retail sales, Marcus Benton, launches a 'Community Bridge Initiative' -- an accelerated onboarding program targeting candidates from historically underrepresented communities who have passed the SIE exam but lack traditional financial services backgrounds. The program places newly registered representatives into client-facing roles after a condensed 8-week training period (compared to the firm's standard 16-week program), pairing them with senior mentors and assigning them to branch offices in communities that share the representatives' racial and ethnic backgrounds.

Within six months, the program has onboarded 38 new representatives who collectively open approximately 2,100 new accounts, many belonging to first-generation investors, retirees, and individuals with limited investment experience. The firm's compliance department, led by CCO Diana Kessler, flags several concerns: (1) the condensed training program did not cover complex products with the same depth as the standard program, yet several new representatives recommended variable annuities and leveraged ETFs to their clients after informal guidance from their mentors; (2) the client demographic skews heavily toward seniors and unsophisticated investors in underserved communities; and (3) the firm's suitability review protocols were not updated to account for the reduced training period or the specific vulnerability characteristics of the new client base.

Kessler raises her concerns internally, but Benton argues that the recommendations were suitable on their face -- the variable annuities offered tax-deferred growth appropriate for retirement planning, and the leveraged ETFs were only recommended to a handful of younger clients with higher risk tolerance. He notes that mentor sign-off was obtained for every transaction. Additionally, Whitfield argues that imposing heightened supervisory burdens specifically on the diversity pipeline cohort would itself constitute discriminatory treatment and undermine the firm's D&I commitments. FINRA examiners later review the program during a routine cycle examination and note the training discrepancy, the concentration of senior/unsophisticated clients, and three customer complaints alleging that variable annuity surrender

charges and leveraged ETF risks were not adequately explained.

Why Borderline

This scenario sits at the genuine intersection of two competing regulatory imperatives: FINRA's push for expanded diversity and inclusion in the broker-dealer industry (including lowering barriers to entry via SIE accessibility) and FINRA's simultaneous heightened-protection mandates for complex products and vulnerable investors. The firm faces a real dilemma -- any enhanced supervisory framework applied specifically to diversity-pipeline hires risks discriminatory treatment, while failing to account for their reduced training when they serve vulnerable populations risks suitability and supervision violations. The individual transactions appear facially suitable, the complaint rate is low, and a mentorship structure existed, but the systemic design choices (condensed training + complex products + vulnerable clients + no updated protocols) create an aggregate risk profile that could constitute a supervisory failure even if no single transaction is clearly unsuitable.

Borderline Factors

- * Condensed training program was facially race-neutral but applied exclusively to a diversity cohort, creating tension between enhanced supervision obligations and anti-discrimination principles
- * Individual recommendations appear suitable on their face, but systemic design choices concentrated risk factors (new reps, complex products, vulnerable clients) without corresponding supervisory adaptation
- * The firm's existing mentor sign-off process may constitute reasonable supervision or may be inadequate depending on whether it was substantive or pro forma -- a factual determination
- * FINRA's own encouragement of expanded SIE accessibility and diversity hiring arguably contributed to the pipeline that created the supervisory challenge, raising questions about regulatory estoppel or at minimum mitigating circumstances

Analysis

From an enforcement perspective, FINRA could argue that Meridian violated Rules 2111 (suitability) and 2330 (variable annuity suitability) by failing to establish reasonable supervisory systems tailored to the known risk factors present: newly trained representatives with condensed education were recommending complex products to vulnerable populations without enhanced oversight. Regulatory Notice 12-03 explicitly warns that firms must establish tailored supervisory procedures for complex products, and Notice 07-43 imposes heightened obligations when dealing with senior investors. The fact that mentor sign-off existed may be insufficient if the mentors themselves were not trained on the specific risks of the accelerated program or if the sign-off was pro forma rather than substantive. FINRA could characterize the firm's failure to update its supervisory framework as a systemic deficiency under Rule 3110, compounded by the CCO's documented internal warnings that went unaddressed.

On the defense side, Meridian can argue that every recommendation was individually suitable -- the variable annuities were appropriate retirement vehicles for the client profiles, and the leveraged ETFs were limited to risk-tolerant clients. The firm can point to the mentor oversight structure as a reasonable, if informal, enhanced supervision layer. Critically, the firm can argue that imposing differential supervisory standards specifically on representatives hired through a diversity pipeline -- requiring longer training or restricting their product recommendations -- would constitute disparate treatment that conflicts with anti-discrimination principles and the very diversity objectives FINRA itself promoted in RN 21-17. The firm would further argue that three complaints out of 2,100 accounts represents a complaint rate well below industry averages, and that the training program, while condensed, covered all required FINRA competency areas.

Item 34 of 250

Topic: dual_hat_advisor_revenue_sharing_rollover_recommendation

Standard: Reg BI Rule 15l-1(a)(2)(ii) (Care Obligation); Reg BI Rule 15l-1(a)(2)(iii) (Conflict of Interest Obligation); Exchange Act §15(l); Investment Advisers Act of 1940 §§206(1) and 206(2) (fiduciary duty--duty of care and duty of loyalty); SEC Commission Interpretation Regarding Standard of Conduct for Investment Advisers (IA Release No. 5248, July 2019); SEC Staff Bulletin: Standards of Conduct--Conflicts of Interest (August 2022); SEC 2019 Guidance on Disclosure of Financial Conflicts Related to Investment Adviser Compensation

Likely Outcome: In the current enforcement environment, the SEC would likely issue a deficiency letter citing inadequate documentation and insufficiently specific conflict disclosure, with a strong possibility of escalation to an enforcement referral if the pattern extends beyond Patricia to a broader book of business. A settled enforcement action would likely result in disgorgement of revenue-sharing payments and a civil penalty, framed around the failure to adequately mitigate the conflict and the insufficient cost-benefit documentation. However, if this were litigated, Meridian would have colorable defenses: the legal standards are principles-based, the disclosure existed, and the client's stated preferences supported the recommendation. A court might find the conduct deficient but not fraudulent, potentially limiting remedies. An arbitration panel in a customer dispute would likely split the difference, finding the recommendation unsuitable or not in best interest based on the cost disparity and awarding partial damages, while acknowledging that some enhanced services were provided.

Source: 17_SEC_Staff_Bulletins

Fact Pattern

Meridian Wealth Partners LLC is a dual-registrant--both an SEC-registered investment adviser and a broker-dealer--serving primarily pre-retirees and recent retirees in the Midwest. Marcus Chen, a financial professional dually registered as an investment adviser representative and a registered representative, has approximately 420 clients. In January 2024, Marcus meets with longtime brokerage client Patricia Hollowell, age 62, who has a \$640,000 401(k) at her employer, Denton Manufacturing, from which she is about to retire. Denton's 401(k) plan offers a lineup of 22 institutional-class index and target-date funds with an average all-in expense ratio of 0.07%, and the plan's recordkeeper charges a flat \$48/year administrative fee. Marcus recommends Patricia roll her 401(k) into an IRA at Meridian, where he would manage the assets on a fee-based advisory platform charging 1.10% annually (\$7,040/year). He proposes a diversified portfolio of eight mutual funds, six of which are offered by three asset managers that participate in Meridian's revenue-sharing program, contributing between 10 and 25 basis points to Meridian from their own fees. The revenue-sharing payments are disclosed in Meridian's Form ADV Part 2A under 'Other Financial Industry Activities and Affiliations,' in a paragraph stating that 'certain mutual fund families provide revenue-sharing payments to Meridian or its affiliates, which creates a conflict of interest.' The disclosure does not identify which specific fund families participate or quantify the revenue-sharing amounts.

Marcus documents his rollover recommendation in a one-page internal form. The form notes Patricia's stated desire for 'professional management and comprehensive financial planning,' her moderate risk tolerance, and that the IRA would give her access to a 'broader investment universe' and 'consolidated account management.' The form does not contain a quantitative comparison of fees in the 401(k) versus the proposed IRA, nor does it discuss the specific services Patricia would gain relative to what the 401(k) plan already offered (which included free access to a plan-level financial wellness advisor through Denton's plan). Marcus verbally tells Patricia that 'staying in the 401(k) is always an option' but does not provide a written comparison. Patricia signs a rollover authorization and advisory agreement the same day.

Six months later, an SEC examiner reviewing Meridian's rollover practices flags Marcus's recommendation to Patricia. The examiner notes that (1) the cost differential between the 401(k) and the IRA is substantial, (2) the revenue-sharing arrangement incentivized both the rollover and the specific fund selection, (3) the disclosure of the revenue-sharing conflict was generic rather than specific, and (4) the documentation of the recommendation's basis lacks a meaningful cost-benefit analysis. Meridian's Chief Compliance Officer responds that the firm updated its rollover procedures in 2023 to include the internal form, that Marcus considered Patricia's holistic financial situation, and that the IRA provided materially better service including tax planning, estate coordination, and quarterly portfolio reviews that the 401(k) could not offer.

Why Borderline

This scenario is genuinely ambiguous because the legal standards at issue--Reg BI's Care and Conflict of Interest obligations, and the Advisers Act fiduciary duties--are principles-based rather than prescriptive. The SEC has never adopted a rule requiring a specific quantitative cost comparison for rollovers, and the staff bulletins are explicitly non-binding. Reasonable experts disagree about how specific revenue-sharing disclosures must be, whether a 100x cost increase can ever be justified by enhanced services, and whether verbal discussion of alternatives satisfies the obligation to consider reasonably available alternatives. The facts support both a finding that Marcus conducted a genuine (if poorly documented) best-interest analysis and a finding that the economic incentives drove the recommendation with only post-hoc rationalization.

Borderline Factors

- * Substantial cost differential (~100x) between 401(k) and proposed IRA that is not quantitatively documented but may be justified by materially different services
- * Revenue-sharing conflict is disclosed in Form ADV but only generically--not fund-family-specific or quantified--and no staff bulletin or rule specifies the required granularity
- * Rollover documentation exists but lacks the comparative fee analysis that SEC exam staff increasingly expect, while no formal rule mandates a specific documentation format
- * Client expressed desire for professional management and signed same-day, raising questions about whether informed consent was truly obtained versus whether the client was steered by a trusted advisor with misaligned incentives

Analysis

From the SEC staff's perspective--drawing on the 2022 Conflicts Staff Bulletin, the 2019 Guidance on financial conflicts, and the Commission's Interpretation of the adviser fiduciary standard--this scenario raises serious concerns under both the duty of care and the duty of loyalty. The Care Obligation under Reg BI (applicable to Marcus in his broker-dealer capacity for the rollover recommendation) and the parallel fiduciary duty of care (applicable under the Advisers Act for ongoing advisory services) both require a reasonable basis for believing the recommendation is in the customer's best interest. SEC staff bulletins have specifically identified rollovers as a context where the cost comparison between remaining in a plan and rolling over must be rigorously evaluated and documented. The roughly 100x cost increase (\$48/year plus minimal fund expenses versus approximately \$7,500/year all-in) is the type of 'red flag' that staff guidance suggests demands heightened scrutiny and robust justification. The revenue-sharing arrangement compounds the concern: under the Conflict of Interest obligation, the firm must identify, disclose, and mitigate or eliminate conflicts. The generic ADV disclosure arguably fails to provide the specificity that recent staff guidance contemplates--clients should understand how the conflict actually affects them.

Meridian's defense is not frivolous, however. The Advisers Act fiduciary standard and Reg BI's Care Obligation do not mandate that the lowest-cost option must always prevail. The SEC's own Interpretation acknowledges that an adviser

may recommend a more expensive option if additional services, superior investment selection, or holistic planning justify the higher cost. Marcus can argue that Patricia affirmatively desired professional management, that the services available through the IRA--personalized tax-loss harvesting, estate planning coordination, quarterly reviews, broader asset class access--were materially distinct from the 401(k)'s generic financial wellness advisor. The rollover form, while imperfect, documented a rationale. Moreover, Meridian disclosed the revenue-sharing conflict in Form ADV, and courts have not yet established a bright-line requirement for fund-family-specific or basis-point-level disclosure of revenue-sharing in the advisory context. The question becomes whether 'good enough' documentation and disclosure satisfy the standard, or whether the confluence of high cost differential and undisclosed magnitude of revenue-sharing tips the balance toward a violation.

Item 35 of 250

Topic: adviser_duty_of_care_model_portfolio_rebalancing_neglect

Standard: Investment Advisers Act of 1940, Section 206 (anti-fraud provisions); SEC Fiduciary Interpretation (Release No. IA-5248, June 2019) -- specifically the articulated duty of care encompassing ongoing monitoring obligations; Regulation Best Interest, Rules 15l-1(a)(2)(ii) (Care Obligation) and 15l-1(a)(2)(iii) (Conflict of Interest Obligation) under Exchange Act §15(l) as applicable to the dual-registrant's broker-dealer capacity; SEC Staff Bulletin on Reg BI Care Obligation (2022-2023)

Likely Outcome: The SEC would most likely resolve this through the deficiency letter process or a negotiated settlement rather than a contested enforcement action, given the genuine ambiguity. The Staff would likely insist on enhanced monitoring procedures--specifically, requiring the firm to establish defined escalation protocols when a compliance watch list item is triggered, including mandatory committee re-review within a compressed timeframe rather than waiting for the next scheduled quarterly cycle. If the matter were litigated, a court would likely focus on the reasonableness of the committee's process rather than the outcome of the investment, and the documented Q3 2022 review would provide meaningful protection. However, the six-month deferral period following the internal compliance flag would be the most vulnerable point in Meridian's defense. A court or ALJ could find that while the initial decision to retain was protected by business judgment, the failure to revisit the position after the compliance department's escalation represented a breakdown in the ongoing monitoring obligation, particularly given the discretionary nature of the relationship and the number of retail clients affected. The most probable outcome is a settlement involving undertakings to revise policies and procedures, without an admission of a duty of care violation.

Source: 17_SEC_Staff_Bulletins

Fact Pattern

Meridian Wealth Partners, LLC is a dually-registered investment adviser and broker-dealer headquartered in Denver, Colorado. Its Chief Investment Officer, Sandra Yuen, oversees the firm's model portfolio program, which serves approximately 3,200 retail clients and 14 institutional fund clients, with combined AUM of \$2.8 billion. The firm's investment process relies on a quarterly model portfolio review conducted by a four-person investment committee. In Q3 2022, the committee reviewed its moderate growth model--allocated to roughly 1,400 retail clients--and noted that a concentrated municipal bond fund holding (the 'Redstone Muni Income Fund') had experienced a significant ratings downgrade on a substantial portion of its underlying holdings and a 40% increase in its expense ratio following a management restructuring. The committee discussed whether to remove Redstone Muni Income Fund from the model but concluded that the downgrade might be temporary and that the restructured management team had a credible turnaround plan. The committee documented its reasoning in meeting minutes but did not formally update the model allocation or issue any client communication about the retained position.

Over the next two quarters (Q4 2022 and Q1 2023), the committee repeatedly deferred further review of the Redstone position, citing other portfolio priorities and limited analyst bandwidth. During this period, Redstone Muni Income Fund declined 18% in value--underperforming its benchmark by 14 percentage points--and two of its largest municipal bond holdings entered technical default. Meridian's compliance department flagged the position as a 'watch list' item in December 2022 but did not escalate the issue beyond a notation in the firm's internal monitoring system. No client-facing disclosures, Form ADV amendments, or CRS supplements were issued regarding the evolving risk profile of the Redstone holding.

In February 2023, following a routine SEC examination, the Staff raised concerns in a deficiency letter alleging that Meridian may have breached its duty of care by failing to conduct adequate ongoing monitoring of the Redstone

position and by failing to act on known material deterioration of the holding. Sandra Yuen responded that the investment committee had affirmatively evaluated the Redstone position in Q3 2022, exercised reasonable professional judgment in retaining it, and that the subsequent performance decline was attributable to unforeseeable market conditions. She further argued that the firm's quarterly review cycle and watch list procedures represented a reasonable monitoring framework, and that the duty of care does not require advisers to guarantee investment outcomes or to rebalance in response to every period of underperformance. Meridian also noted that its Form ADV disclosed that model portfolios were reviewed quarterly and that individual holdings could experience periods of underperformance between reviews.

Why Borderline

This case sits in the precise gap between the SEC's expanding articulation of an ongoing duty of care--which now encompasses monitoring obligations--and the longstanding principle that investment advisers retain broad professional discretion over portfolio management decisions. The committee did review the position and made an affirmative judgment call, but then deferred further review for six months during a period of accelerating deterioration, creating tension between documented diligence and practical neglect. The Fiduciary Interpretation provides no bright-line rule for how frequently or aggressively an adviser must respond to known adverse developments, and reasonable compliance professionals could disagree about whether Meridian's conduct fell below the standard. The case is further complicated by the fact that the compliance watch list notation demonstrates the firm had internal systems in place but arguably failed to act on their own warnings--raising the question of whether having a monitoring process that identifies risk but does not trigger timely action is itself a duty of care failure.

Borderline Factors

- * The investment committee affirmatively reviewed and documented its reasoning for retaining the position in Q3 2022, supporting a claim of reasonable professional judgment
- * The committee deferred further review for two consecutive quarters despite known material deterioration and an internal compliance flag, undermining the adequacy of ongoing monitoring
- * The Fiduciary Interpretation establishes an ongoing monitoring duty but provides no specific frequency requirements or prescriptive triggers for action, leaving the standard inherently ambiguous
- * 1,400 retail clients were exposed to the deteriorating position without any updated communication, raising questions about whether the duty of care required enhanced disclosure even absent a model change

Analysis

The SEC's 2019 Fiduciary Interpretation articulated that the duty of care under Section 206 of the Advisers Act encompasses not only the duty to provide suitable advice at the point of recommendation, but also an ongoing duty to monitor client investments where the adviser has assumed a continuous advisory relationship--as is plainly the case with a discretionary model portfolio program. The SEC Staff has indicated that advisers must provide advice and monitoring 'at a frequency that is in the best interest of the client' and that the scope of monitoring should reflect the nature of the advisory relationship and the risks involved. Here, the SEC could argue that once the investment committee identified material adverse developments in Q3 2022--a ratings downgrade and a 40% expense ratio increase--the duty of care required more than a single discussion and a decision to 'wait and see.' The committee's failure to revisit the position for two additional quarters, even after the compliance department flagged it, could be characterized as a failure to provide the ongoing monitoring that a reasonable adviser would undertake in light of known, material risk factors. The Staff's position would be strengthened by the fact that 1,400 retail clients were exposed to this position with no updated communication or risk disclosure.

Meridian's defense is far from frivolous. The firm did affirmatively evaluate the position at the Q3 2022 committee meeting, applied professional judgment, and documented its reasoning. The Fiduciary Interpretation does not prescribe

specific monitoring frequencies or mandate particular actions in response to ratings downgrades; it preserves significant discretion for advisers in determining how to monitor and when to act. Meridian's quarterly review cycle was disclosed in its Form ADV, and the firm can argue that clients accepted this framework as part of the advisory relationship. Moreover, the duty of care has never been interpreted to require advisers to predict market outcomes or to treat every period of underperformance as a trigger for immediate rebalancing. The distinction between a genuine exercise of professional judgment that ultimately proved wrong and a negligent failure to monitor is the crux of the dispute.

Item 36 of 250

Topic: reg_bi_care_obligation_cost_versus_services_tradeoff

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) (Care Obligation); Rule 15l-1(a)(2)(iii) (Conflict of Interest Obligation); Rule 15l-1(a)(2)(i) (Disclosure Obligation); Exchange Act §15(l); SEC Staff Bulletin: Standards of Conduct for Broker-Dealers and Investment Advisers (Care Obligation) (April 2023); SEC Staff Bulletin: Standards of Conduct for Broker-Dealers and Investment Advisers (Conflicts of Interest) (August 2022); Form CRS Relationship Summary requirements under Rule 17a-14

Likely Outcome: A FINRA examiner would likely issue a deficiency finding focused primarily on the inadequacy of the firm's conflict disclosures and the lack of documented consideration of reasonably available alternatives, rather than challenging the recommendation itself as unsuitable. In an enforcement context, the SEC or FINRA would face difficulty proving a Care Obligation violation solely on the basis of cost differential, given the explicit rejection of a lowest-cost standard. However, the combination of enhanced compensation, generic disclosures, and absence of documented comparative analysis makes the Conflict of Interest Obligation the more vulnerable flank. The most probable resolution is a risk alert or cautionary action requiring Ridgeline to enhance its disclosure specificity regarding revenue sharing and enhanced compensation arrangements, implement documentation requirements for advisors to record consideration of alternatives when recommending preferred products, and potentially require retrospective review of similar recommendations. A formal enforcement action resulting in sanctions is unlikely absent a pattern of similar conduct across the firm, but the matter would likely result in remedial commitments and enhanced supervisory procedures.

Source: 17_SEC_Staff_Bulletins

Fact Pattern

Ridgeline Wealth Partners, a dual-registered broker-dealer and RIA, employs approximately 400 financial advisors who primarily operate on the brokerage side under Reg BI. In January 2024, senior advisor Danielle Marquette meets with Kenneth and Patricia Holbrook, a retired couple in their early 70s with \$1.8 million in liquid assets, a moderate risk tolerance, and a primary goal of capital preservation with modest income generation. After a thorough discussion of their financial situation, Marquette recommends a suite of actively managed mutual funds from three fund families -- Oakmont Capital, Bridgewater Select, and Garrison Fixed Income Partners -- with a blended expense ratio of 1.12% and front-end loads averaging 3.5%. Ridgeline receives revenue sharing payments from all three fund families under longstanding distribution agreements, and Marquette receives enhanced grid payouts (an additional 5 basis points) on Oakmont and Garrison products specifically, pursuant to a firm-wide preferred product arrangement.

Ridgeline's CRS (Form CRS) and its Reg BI disclosure documents identify that the firm receives revenue sharing and that certain products carry enhanced compensation for advisors, but the disclosures are presented generically -- they do not specify which fund families participate in revenue sharing or which products carry enhanced grid payouts. The disclosures state: 'Certain product sponsors provide additional compensation to our firm and/or your financial advisor, which creates a conflict of interest. We mitigate this conflict through product-level review committees and supervisory oversight.'

Marquette documents her rationale in her recommendation notes, stating that the actively managed funds she selected have a 10-year track record of outperforming their benchmarks in down markets, which aligns with the Holbrooks' capital preservation objective. She notes that comparable index funds and ETFs would carry significantly lower costs (blended expense ratio of approximately 0.15%) but would not provide the same downside protection characteristics. She does not document any quantitative analysis comparing the total cost differential over the Holbrooks' expected

investment horizon, nor does she mention lower-cost actively managed alternatives from non-preferred fund families that carry similar Morningstar ratings and downside capture ratios. One such fund -- the Meridian Conservative Allocation Fund -- has a nearly identical 10-year downside capture ratio, charges a 0.62% expense ratio with no load, and is available on Ridgeline's platform but is not part of any revenue sharing arrangement.

Six months later, during a routine FINRA examination, an examiner flags the Holbrook recommendation as potentially problematic, noting the cost disparity and the undisclosed availability of the Meridian fund. Ridgeline's compliance team argues that Marquette satisfied the Care Obligation because she had a reasonable basis for the recommendation, considered the customers' stated objectives, and that Reg BI does not require recommending the lowest-cost option. The examiner counters that Marquette failed to adequately consider reasonably available alternatives and that the firm's conflict disclosures were insufficient to satisfy the Disclosure and Conflict of Interest obligations.

Why Borderline

This scenario sits in the genuine gray zone because Reg BI explicitly rejected a lowest-cost mandate and permits broker-dealers to recommend higher-cost products when there is a reasonable basis to believe they serve the customer's best interest. Marquette has a plausible investment thesis supported by historical performance data. However, the failure to document consideration of a nearly identical but substantially cheaper alternative available on the same platform -- combined with the enhanced compensation on the recommended products and generic rather than specific conflict disclosures -- creates a pattern that could suggest the recommendation process was influenced by financial incentives rather than purely driven by customer suitability. The question of how much comparative analysis Reg BI's Care Obligation actually demands remains unsettled, and the sufficiency of generic conflict disclosures versus product-specific disclosures has not been definitively resolved through enforcement actions or judicial decisions.

Borderline Factors

- * Reg BI does not require lowest-cost recommendation, but the cost differential is large and the alternative fund has nearly identical risk/return characteristics
- * Marquette documented an investment rationale but did not document consideration of reasonably available alternatives, leaving ambiguity about the depth of analysis performed
- * Conflict disclosures exist but are generic rather than fund-family-specific, raising the question of whether they satisfy the Disclosure Obligation's specificity requirements
- * The enhanced grid compensation is modest in percentage terms (5 bps) but applies systematically to preferred products, creating a structural incentive that the firm addresses through general policies rather than recommendation-level mitigation

Analysis

The defense position is substantial. Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii) requires a broker-dealer to exercise reasonable diligence, care, and skill in making recommendations, including understanding potential risks, rewards, and costs, and having a reasonable basis to believe the recommendation is in the retail customer's best interest without placing the financial interest of the broker-dealer ahead of the customer. The SEC has explicitly stated that Reg BI does not impose a duty to recommend the lowest-cost product; rather, cost is one factor among many. Marquette documented a legitimate investment thesis -- that actively managed funds with strong downside protection profiles were better aligned with the Holbrooks' capital preservation goals than passive alternatives. The 10-year performance data provides a facially reasonable basis for the recommendation. The firm also maintains product review committees that approved all three fund families, and the enhanced compensation differential is relatively modest (5 basis points). Under this reading, Marquette exercised the required care and simply reached a different -- but defensible -- investment judgment.

However, the regulatory counterargument is also compelling. The SEC Staff Bulletin on the Care Obligation emphasizes that broker-dealers must consider 'reasonably available alternatives' and that the evaluation of costs must be meaningful, not pro forma. The failure to document any consideration of the Meridian fund -- which was available on the same platform and offered nearly identical downside characteristics at roughly half the cost -- suggests that Marquette's process may have been outcome-driven rather than analytically rigorous. The total cost differential over a 15-to-20-year retirement horizon could amount to well over \$150,000, a material sum for a couple in their 70s drawing down assets. Furthermore, the Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii) requires firms to establish policies and procedures to identify and at minimum disclose, or eliminate, material conflicts. Generic disclosures that fail to identify specific fund families or the enhanced grid structure may fall short of what the SEC contemplated, particularly given the Staff Bulletin's emphasis that disclosures must be sufficiently specific to allow a retail customer to understand the conflict and its magnitude.

Item 37 of 250

Topic: reg_bi_care_obligation_complex_product_due_diligence_via_10k_analysis

Standard: Regulation Best Interest Rule 15l-1(a)(2)(ii) (Care Obligation) requiring reasonable diligence, care, and skill in making recommendations; Rule 15l-1(a)(2)(iii) (Conflict of Interest Obligation); Exchange Act §15(l); SEC Staff Bulletin on Reg BI Care Obligation (2023); SEC Rules 12b-2 (accelerated filer definitions and transition provisions); Regulation S-X Rule 3-09 (financial statements of equity investees); SEC Inline XBRL requirements under Rule 405 of Regulation S-T

Likely Outcome: A FINRA arbitration panel would likely find a partial violation of the Care Obligation, focusing not on the review of the 10-K itself but on Marcus's failure to discuss the specific informational limitations with Helen and his failure to consider or present reasonably available alternatives with more complete disclosure profiles. The panel would probably not find that the transitional filing accommodations alone constituted red flags, but would hold that the accumulation of disclosure gaps--especially the pending equity investee financials for a concentrated position recommended to a near-retirement investor--required either enhanced disclosure to the customer or a more thorough comparative analysis. Damages would likely be reduced by a contributory negligence finding given Helen's own initiative in identifying Helios, and the panel might award partial losses rather than the full decline.

Source: 17_SEC_Staff_Bulletins

Fact Pattern

Marcus Delgado is a registered representative at Pinnacle Wealth Advisors, a mid-sized broker-dealer. In November 2023, a retail customer, Helen Garza (age 62, moderate risk tolerance, retirement horizon of 3-5 years), asks Marcus about investing \$175,000 in shares of Helios Advanced Materials Inc., a specialty chemicals company that recently transitioned from a non-accelerated filer to an accelerated filer. Helen read about Helios in a trade magazine and believes the company has strong growth potential.

Marcus reviews Helios's most recent Form 10-K, which was filed on the extended deadline available to the company during its transition year. He notes that Helios took advantage of the exit provisions allowing it to defer the auditor attestation of internal controls over financial reporting (ICFR) for an additional year under the transitional rules for companies moving between accelerated filer and smaller reporting company (SRC) status. The 10-K also disclosed several custom XBRL extensions that the SEC staff had previously flagged as potentially non-compliant during a comment letter exchange, though the company stated it was working to remediate those tagging issues. Marcus further notes that Helios's financial statements include a significant equity investee whose separate financial statements were not yet included in the filing, with a note that they would be filed by amendment within 90 days.

Marcus documents in his CRM that he reviewed the 10-K, noted the ICFR attestation deferral and the pending equity investee financials, and concluded that these were 'transitional issues common to companies changing filer status' and not material red flags. He recommends Helen allocate the full \$175,000 to Helios shares. He does not discuss with Helen the specific implications of the missing ICFR auditor attestation, the incomplete financial disclosures regarding the equity investee, or the XBRL compliance issues. He also does not compare Helios to alternative investments in the specialty chemicals sector that might offer similar exposure with more complete disclosure profiles.

Three months later, Helios restates its financials after the equity investee's separately filed financials reveal material intercompany transactions that had not been properly eliminated, causing a 22% decline in Helios's stock price. Helen files a complaint with FINRA alleging that Marcus violated the Reg BI Care Obligation by failing to conduct adequate due diligence and by not disclosing the specific risks associated with the incomplete filings.

Why Borderline

This case sits in genuine tension because Marcus did perform some due diligence--he reviewed the 10-K and documented his reasoning--but the question is whether identifying multiple transitional disclosure gaps without deeper investigation or comparison to alternatives satisfies the 'reasonable diligence, care, and skill' standard under Reg BI. The SEC's own rules expressly permit the very filing accommodations that created the information gaps, creating an inherent tension: can a broker-dealer be faulted for not treating as risk factors the very deferrals that the SEC's own regulatory framework authorizes? Additionally, the concentration of a near-retirement investor's capital in a single name with incomplete disclosures raises the customer-specific suitability prong, but \$175,000 may represent only a portion of Helen's total portfolio, a fact not fully explored.

Borderline Factors

- * The ICFR attestation deferral was expressly authorized by SEC transition rules, making it ambiguous whether its absence should be treated as a due diligence red flag
- * Marcus documented his review and reasoning, satisfying the procedural dimension of the Care Obligation, but the substantive adequacy of his analysis is debatable
- * The confluence of multiple disclosure gaps (ICFR deferral, pending investee financials, XBRL issues) may collectively rise to a level requiring enhanced diligence even though each individually is permissible
- * Reg BI requires consideration of reasonably available alternatives, but the standard does not clearly define how extensive a comparative analysis must be for single-stock equity recommendations

Analysis

The defense would argue that Marcus satisfied the Care Obligation by reviewing the issuer's Form 10-K, identifying the transitional filing issues, documenting his analysis, and reasonably concluding that these were standard transitional matters--not disqualifying red flags. The ICFR attestation deferral was expressly permitted by SEC rules for companies in transition, meaning its absence was not a violation or irregularity but rather a legitimate regulatory accommodation. The pending equity investee financial statements were disclosed in the 10-K consistent with SEC rules allowing a 90-day amendment period, and Marcus had no reason to suspect intercompany accounting fraud. The defense would emphasize that Reg BI does not require a broker-dealer to perform forensic accounting or predict future restatements; it requires a reasonable basis to believe a recommendation is in the customer's best interest based on available information.

The prosecution or claimant would counter that the Care Obligation requires more than a cursory review of a Form 10-K. When a broker-dealer identifies multiple disclosure gaps--deferred ICFR attestation, pending equity investee financials, and SEC-flagged XBRL issues--the confluence of these factors should have triggered enhanced scrutiny, particularly for a near-retirement customer concentrating \$175,000 in a single position. The Staff Bulletin guidance on the Care Obligation emphasizes that broker-dealers must consider 'reasonably available alternatives' and that the duty intensifies with the complexity and risk of the recommendation. Marcus's failure to compare Helios with peer companies that had more complete disclosure profiles, combined with his failure to explain to Helen the specific informational gaps, suggests he treated the Care Obligation as a checkbox exercise rather than the substantive analytical process Reg BI demands.

Item 38 of 250

Topic: cta_social_media_suitability_gamification

Standard: Commodity Exchange Act §§4m (CTA registration), 4n (CTA duties), 4o (anti-fraud for CTAs -- prohibition on devices, schemes, or artifices to defraud); CFTC Rule 4.41 (advertising and promotional material by CTAs, including prohibitions on misleading performance presentations); NFA Rule 2-30 (Customer Information and Risk Disclosure -- suitability obligations requiring CTAs to obtain sufficient information about customers' investment objectives, financial situation, and experience to make suitable recommendations); IOSCO Retail Market Conduct Task Force Consultation Report CR03/2022 (guidance on gamification, digital engagement practices, and emerging regulatory expectations for retail market conduct)

Likely Outcome: The NFA would most likely bring an enforcement action focused on the inadequacy of the suitability process rather than the social media content itself, as that theory has stronger precedential support. The NFA Business Conduct Committee would likely find that Apex's single-dropdown experience assessment and failure to differentiate strategy allocation based on client profiles violated NFA Rule 2-30's requirement to obtain sufficient information and to make suitable recommendations. The social media content would be cited as an aggravating factor demonstrating that Apex knew or should have known its client base included unsophisticated investors, but the NFA would likely stop short of holding that the personal trading screenshots alone constituted a Rule 4.41 violation -- instead characterizing them as part of a pattern of conduct that, in totality, was inconsistent with the CTA's fiduciary and suitability obligations. The likely sanction would be a censure, a monetary fine in the range of \$200,000-\$500,000, a requirement to enhance suitability procedures, and potentially a temporary restriction on Holloway's social media marketing pending implementation of compliance controls. A federal court reviewing the matter under CEA §4o would face a closer question and might find the totality-of-circumstances theory persuasive but would likely require more evidence of scienter than mere negligent marketing practices.

Source: 19_CFTC_Guidance

Fact Pattern

Marcus Holloway operates Apex Algorithmic Advisors LLC, a CFTC-registered Commodity Trading Adviser based in Chicago. Apex manages discretionary commodity futures accounts for approximately 1,400 clients, with assets under management of roughly \$180 million. In early 2023, Holloway launched a social media presence on YouTube, TikTok, and Twitter/X featuring short educational videos about commodity futures markets -- explaining concepts like contango, backwardation, seasonal spread strategies, and volatility trading. The videos are entertaining, fast-paced, and use memes and pop-culture references. They consistently include a disclaimer stating 'This is educational content only and does not constitute personalized trading advice. Past performance is not indicative of future results.' The videos do not reference specific trade recommendations or Apex's actual managed account performance.

However, the videos frequently showcase Holloway's personal trading results in a segment called 'The Scoreboard,' where he displays screenshots of profitable trades in crude oil and natural gas futures, sometimes showing daily P&L gains of \$50,000-\$150,000. He does not show losing days with the same frequency or prominence. Several videos end with a call-to-action: 'If you want to stop watching from the sidelines and start playing in the big leagues, link in bio to learn about managed accounts at Apex.' Apex's website landing page collects basic information -- name, email, phone number, investable assets, and a single dropdown for 'trading experience' (None / Some / Experienced) -- before routing prospects to a sales representative.

Over a six-month period, Apex onboards 340 new managed account clients, many of whom are under 30 years old with

limited futures trading experience. Apex's standard managed account agreement authorizes aggressive strategies including leveraged energy and metals futures. The NFA Risk Disclosure Statement is provided at account opening, and each client signs a standard suitability questionnaire. However, Apex does not conduct follow-up suitability assessments, nor does it adjust strategy allocation based on clients' stated experience levels. Several dozen of the new clients suffer losses exceeding 40% of their initial deposits within the first three months. Twelve clients file complaints with the NFA, alleging that the social media content created unrealistic expectations and that Apex never meaningfully assessed whether the aggressive strategy was suitable for their financial situations and risk tolerances.

Why Borderline

This case sits in a genuine gray zone because the CTA technically complied with the formal mechanics of suitability -- questionnaires were completed, risk disclosures were provided, and the social media content carried disclaimers and did not present Apex's managed account performance. Yet the practical effect of the marketing funnel was to attract inexperienced, young investors to aggressive leveraged futures strategies through content that presented an asymmetrically positive picture of commodity trading. There is no settled CFTC or NFA precedent that clearly delineates when a registered CTA's personal social media content crosses from permissible self-promotion into misleading solicitation, nor is there bright-line guidance on whether showing a CTA principal's personal trades constitutes 'promotional material' of the CTA's advisory business under Rule 4.41. The IOSCO report's concerns about gamification and digital engagement are policy aspirations rather than binding rules, leaving open the question of whether existing anti-fraud and suitability standards can be stretched to cover these modern marketing techniques.

Borderline Factors

- * Whether a CTA principal's display of personal trading profits on social media constitutes promotional material or performance presentation under CFTC Rule 4.41 when paired with a direct link to managed account sign-ups
- * Whether a technically complete but substantively shallow suitability intake process satisfies NFA Rule 2-30 when the CTA's own marketing is demonstrably attracting inexperienced investors to aggressive strategies
- * Whether the asymmetric presentation of profitable trades (without proportional display of losses) in 'educational' content constitutes a fraudulent device or scheme under CEA §40 when accompanied by standard disclaimers
- * Whether IOSCO's emerging frameworks on gamification and digital engagement practices create interpretive context that regulators can use to expand existing anti-fraud and suitability standards to social-media-era CTA marketing

Analysis

The defense would argue that Holloway's social media content was clearly labeled as educational and not personalized advice, that no specific trade recommendations were made to the public, and that Apex satisfied its suitability obligations by collecting the required information at onboarding, providing the NFA Risk Disclosure Statement, and obtaining signed suitability questionnaires. Under NFA Rule 2-30, a CTA must obtain sufficient information to make suitable recommendations, but Apex would contend it did so through its intake process and that clients voluntarily selected managed accounts after being informed of the risks. The defense would further argue that showing personal trading results is not the same as presenting hypothetical performance or the fund's track record, and thus does not violate CFTC Rule 4.41's prohibitions on misleading performance presentations. Holloway's personal trades are his own and not presented as Apex's managed account results.

The prosecution or enforcement side would argue that the totality of the social media campaign -- the gamified presentation, the asymmetric display of winning trades, and the direct funnel from entertainment content to managed account sign-ups -- constitutes a scheme that operates as a fraud or deceit under CEA §40, which prohibits CTAs from employing any device, scheme, or artifice to defraud clients or prospective clients. The selective display of profits without commensurate display of losses could be deemed misleading promotional material under CFTC Rule 4.41,

especially when the audience is funneled directly to account opening. The NFA would likely argue that the perfunctory suitability process -- a single dropdown for experience level with no follow-up or strategy differentiation -- fails to meet the spirit and substance of NFA Rule 2-30's 'know your customer' requirements, particularly given that Apex knew or should have known its marketing was attracting inexperienced investors. IOSCO's Retail Market Conduct Task Force report specifically highlights concerns about gamification, social media-driven trading, and the erosion of suitability protections when firms use digital engagement practices that attract unsophisticated retail participants.

Item 39 of 250

Topic: cta_mifid2_target_market_suitability_crossover

Standard: Commodity Exchange Act §§4m (CTA registration), 4n (CTA duties), 4o (anti-fraud for CTAs, fiduciary standard); CFTC Rules 4.30-4.41 (CTA compliance and disclosure); NFA Rule 2-30 (Know Your Customer / Suitability for CTAs); NFA Interpretive Notice 9051 (enhanced suitability obligations); MiFID II Articles 16(3), 24, 25 (product governance, suitability, and appropriateness -- as context for the foreign regulatory framework at issue)

Likely Outcome: An NFA arbitration panel would likely find that Meridian did not technically violate NFA Rule 2-30 but might award partial damages on a CEA §4o theory if it concludes that Lin's deliberate decision to disregard the conflicting MiFID II assessment -- without any follow-up inquiry with the client -- fell below the reasonable diligence standard expected of a fiduciary. The panel would likely distinguish between the mechanical requirements of Rule 2-30 (which Meridian met) and the broader duty of good faith under §4o. A CFTC enforcement action is less likely absent a pattern of conduct, but the Division of Enforcement might issue an advisory letter or refer the matter to the NFA for enhanced supervisory review. The outcome would heavily depend on whether the panel views the MiFID II discrepancy as a 'red flag' that triggered additional inquiry obligations or merely as an informational data point from a foreign regulatory regime with no binding effect on Meridian.

Source: 19_CFTC_Guidance

Fact Pattern

Meridian Capital Advisors LLC is a CFTC-registered Commodity Trading Adviser (CTA) based in Chicago that manages discretionary commodity futures and options accounts for approximately 180 clients, a mix of high-net-worth individuals and small institutional accounts. In early 2023, Meridian's founder, David Kessler, decided to expand the firm's client base by marketing to European-domiciled investors through a UK-based introducing entity, Albion Futures Partners LLP, which holds a MiFID II authorization from the FCA. Albion refers European clients to Meridian's managed futures programs and, as part of its own MiFID II obligations, Albion conducts target market assessments and appropriateness tests using data feeds from SIX Financial Information, classifying Meridian's trading strategies within the MiFID II product governance framework as complex instruments suitable only for clients with advanced knowledge and experience, high risk tolerance, and a speculative investment objective.

Meridian itself does not hold any European authorization and relies on a reverse-solicitation theory and Albion's intermediation to avoid triggering MiFID II direct obligations. However, Meridian's compliance officer, Sarah Lin, developed a proprietary suitability questionnaire for all prospective clients -- including those referred by Albion -- that focuses on NFA Rule 2-30 requirements: net worth, annual income, trading experience, investment objectives, and risk tolerance. This questionnaire is less granular than the MiFID II target market criteria that Albion applies. In several instances, clients whom Albion's MiFID II framework classified as having a 'medium' risk tolerance -- and therefore outside the identified target market for Meridian's leveraged commodity options overlay strategy -- were nonetheless accepted by Meridian after passing the NFA Rule 2-30 suitability review. Lin documented her reasoning that the NFA suitability standard was the binding obligation on Meridian as a US-registered CTA and that Albion's MiFID II classification was informational but not dispositive.

In October 2023, three of these European clients suffered losses exceeding 40% of their allocated capital during a period of extreme volatility in energy futures. One client, Klaus Breitner, a retired German pharmaceutical executive, filed complaints simultaneously with the NFA and the FCA, alleging that Meridian and Albion failed to ensure the suitability of the investment strategy for his risk profile. Breitner's NFA Rule 2-30 questionnaire showed a stated risk tolerance of 'aggressive' and liquid net worth of \$2.1 million, but Albion's MiFID II target market assessment had flagged

him as having only a 'medium' risk tolerance based on a more detailed behavioral questionnaire that probed his actual portfolio composition and prior derivatives experience. Meridian's records show that Lin was aware of Albion's classification but documented that Meridian was not bound by it.

Why Borderline

This case sits in a genuine gray zone because there is no CFTC or NFA rule requiring a US-registered CTA to incorporate foreign regulatory suitability frameworks into its domestic compliance process. Yet the CTA had actual knowledge of a conflicting, more granular risk assessment performed by a regulated intermediary with direct client contact. The tension lies between the principle that a CTA satisfies its obligations by complying with NFA Rule 2-30 and the broader anti-fraud principle under CEA §4o that a fiduciary cannot willfully ignore material information about a client's true risk profile. There is no CFTC no-action letter, enforcement action, or NFA arbitration precedent directly addressing whether knowledge of a MiFID II target market mismatch constitutes a 'red flag' under US commodity trading adviser suitability standards.

Borderline Factors

- * Meridian complied with all technical requirements of NFA Rule 2-30 and documented its suitability determination
- * Meridian had actual knowledge that a regulated intermediary reached a contrary suitability conclusion using a more granular methodology, creating a potential 'red flag' under CEA §4o fiduciary standards
- * No CFTC or NFA authority explicitly requires US CTAs to incorporate or defer to foreign regulatory suitability frameworks
- * The client's self-reported risk tolerance (aggressive) conflicted with Albion's behavioral assessment (medium), raising questions about which representation the CTA was entitled to rely upon

Analysis

The core legal question is whether Meridian, as a CFTC-registered CTA subject to Commodity Exchange Act §§4m, 4n, and 4o and NFA Rule 2-30, breached its suitability obligations by accepting clients who passed its own NFA-compliant suitability review but were flagged as outside the target market under a MiFID II framework administered by the introducing entity. The defense position is strong: NFA Rule 2-30 is the applicable suitability standard for a US-registered CTA, and Meridian's questionnaire met every element of that rule. Breitner self-reported aggressive risk tolerance and had substantial liquid net worth. Under longstanding CFTC and NFA precedent, a CTA is entitled to rely on client self-representations absent red flags suggesting those representations are unreliable. Meridian is not a MiFID II-authorized firm, and the MiFID II target market assessment is Albion's regulatory obligation, not Meridian's. Lin's documentation of the discrepancy and her rationale arguably demonstrates good-faith compliance rather than willful disregard.

However, the NFA and CFTC could argue that awareness of Albion's more granular risk assessment constituted a material 'red flag' that Meridian was obligated to investigate further under the anti-fraud provisions of CEA §4o and general NFA supervisory standards. The NFA has emphasized in interpretive guidance that Rule 2-30 is not a mechanical checklist but requires CTAs to exercise reasonable diligence. If a CTA knows that a third-party intermediary with direct client contact has reached a contrary suitability conclusion using a more rigorous methodology, ignoring that information could be deemed unreasonable. Furthermore, the CFTC's increasing focus on cross-border conduct and the spirit of international regulatory cooperation could lead enforcement staff to view Meridian's willful disregard of the MiFID II classification as evidence that its own suitability process was superficial. The 40% loss, while not itself proof of unsuitability, amplifies the enforcement risk and arbitration exposure.

Item 40 of 250

Topic: cpo_valuation_discretion_and_investor_suitability_obligations

Standard: Commodity Exchange Act §40(1) (antifraud -- CPO/CTA); CEA §§4m, 4n (CPO/CTA registration obligations); CFTC Rule 4.41 (advertising and performance reporting); NFA Rule 2-30 (Know Your Customer / Suitability); NFA Compliance Rule 2-9 (supervision); Sound Practices for Hedge Fund Managers §§3.6-3.8 (fair value determination, responsibility for valuation, pricing policies); Sound Practices §2.1 (responsibilities to investors); CFTC Rule 4.22 (periodic reporting by CPOs)

Likely Outcome: A regulator would most likely pursue this as a disclosure and supervisory deficiency rather than outright fraud. The NFA would probably issue a finding that Meridian's suitability questionnaire was deficient for failing to capture commodity-specific experience given the fund's material illiquid exposure, resulting in a compliance undertaking and possible fine. On valuation, the CFTC might investigate but would face difficulty proving scienter for a §40 fraud claim given the documented rationale for each mark. More likely, the matter would resolve through an NFA examination finding requiring Meridian to adopt a median-quote or committee-based valuation methodology for illiquid positions, enhanced disclosure to investors about the degree of management discretion in NAV calculations, and prospective changes to the suitability questionnaire. If the cumulative NAV impact were larger or if Kohler's documentation were thinner, the calculus would shift toward an enforcement action. The 2.1 percentage point return attribution to favorable marks -- while material -- is unlikely to be deemed dispositive standing alone.

Source: 19_CFTC_Guidance

Fact Pattern

Meridian Capital Advisors LLC is a CFTC-registered Commodity Pool Operator and NFA member that operates the Meridian Strategic Commodities Fund, a hedge fund that trades a mix of exchange-traded commodity futures and OTC commodity swaps. The fund's PPM states that its administrator, Apex Fund Services, independently determines NAV on a monthly basis. However, for approximately 18% of the fund's portfolio -- consisting of bespoke OTC natural gas basis swaps and structured commodity-linked notes -- Apex relies entirely on pricing marks supplied by Meridian's head trader, David Kohler, because these instruments lack observable market quotes and are not priced by any independent pricing service.

Meridian's internal valuation policy, drafted consistent with industry sound practices, requires Kohler to use a discounted cash flow model calibrated to the most recent broker quotes and settlement prices for analogous exchange-traded contracts. In practice, Kohler selects among 2-4 broker indicative quotes each month and consistently chooses the most favorable quote -- not the median or average -- which has the cumulative effect of overstating the NAV of the illiquid book by an estimated 1.8-3.2% over a rolling twelve-month period compared to what a median-quote methodology would yield. Kohler documents his rationale each time, citing specific market microstructure reasons (bid-ask spread width, counterparty quality adjustments, holding period assumptions) for selecting the higher marks. An internal compliance review noted the pattern but concluded each individual selection was within the range of reasonable estimates.

Separately, Meridian's marketing team has been onboarding new limited partners into the fund using an NFA Rule 2-30 suitability questionnaire that asks about investors' net worth, income, investment experience, and risk tolerance. However, the questionnaire does not specifically address the investor's understanding of or experience with illiquid OTC commodity instruments, nor does it disclose the degree to which NAV depends on manager-supplied marks. Several new investors are high-net-worth individuals with extensive equity market experience but no prior exposure to commodity derivatives. Meridian's CCO, Priya Mehta, considered adding an illiquidity-specific disclosure supplement

but decided the existing PPM language -- which references 'fair value determinations involving management judgment' -- was sufficient. The fund reported a 14.2% annual return, of which roughly 2.1 percentage points are attributable to the favorable end of the valuation range on the illiquid book.

Why Borderline

This scenario is genuinely ambiguous because no single valuation mark is outside the range of defensible estimates, there is documented rationale for each selection, and the fund uses an independent administrator (even though the administrator necessarily relies on manager inputs for a subset of positions). The cumulative pattern of favorable selection is suspicious but does not clearly cross the line from aggressive-but-permissible valuation discretion into fraudulent inflation. Similarly, the suitability analysis sits in a gap: NFA Rule 2-30 requires 'sufficient information' but does not mandate illiquidity-specific questions, and reasonable compliance professionals disagree about how granular suitability inquiries must be for accredited investors in pooled vehicles. The interplay between valuation discretion, disclosure adequacy, and suitability creates layered ambiguity that resists simple resolution.

Borderline Factors

- * Each individual valuation mark falls within the range of broker indicative quotes and is independently documented with specific rationale, making it difficult to prove any single mark is fraudulent
- * The cumulative pattern of consistently selecting the most favorable mark over twelve months creates a statistical inference of bias, but pattern evidence alone may not establish scienter under CEA §40
- * The independent administrator's reliance on manager-supplied marks for bespoke OTC instruments is an industry-standard practice acknowledged in sound practices guidance, yet it undermines the independence that investors might reasonably expect
- * NFA Rule 2-30 suitability requirements are principles-based and do not explicitly require commodity-specific or illiquidity-specific inquiries, leaving the adequacy of Meridian's questionnaire genuinely debatable

Analysis

The core tension involves two overlapping issues: (1) whether Meridian's valuation practices constitute a fraudulent device or scheme under CEA §40, and (2) whether the suitability process satisfies NFA Rule 2-30 obligations when investors lack commodity-specific sophistication. On valuation, the CFTC and courts have held that managers who systematically overvalue positions to inflate performance can violate the antifraud provisions of §40(1). However, the defense would emphasize that each individual mark falls within the range of reasonable broker quotes, is documented with specific rationale, and that selecting a non-median quote is not inherently fraudulent when illiquid instruments have wide bid-ask spreads. Sound practices guidance recommends independent verification but acknowledges that for truly bespoke OTC instruments, manager input is sometimes the only viable source of initial pricing -- and Meridian's policy formally requires model-based calibration, which Kohler follows. The persistent favorable-end selection creates a cumulative pattern, but no single month's mark is demonstrably wrong.

On suitability, NFA Rule 2-30 requires CPOs and CTAs to obtain sufficient information to make suitability determinations, but the rule does not prescribe a specific list of required questions or mandate commodity-specific experience disclosures. The CFTC has generally deferred to NFA interpretive guidance, which focuses on whether the CPO collected enough information to form a reasonable basis for recommending the investment. Meridian would argue that high-net-worth individuals with investment experience satisfy the suitability threshold, and that the PPM's fair value language adequately discloses valuation risk. A regulator, however, could argue that suitability requires a more granular inquiry when a material portion of reported returns depends on manager-supplied marks for instruments the investor has never encountered -- particularly where the questionnaire's silence on illiquidity effectively conceals a key risk driver from the suitability analysis.

Item 41 of 250

Topic: cta_suitability_algorithmic_commodity_strategy

Standard: Commodity Exchange Act §§4m (CTA registration), 4o (anti-fraud provisions for CTAs/CPOs); CFTC Rules 4.31 (CTA disclosure documents), 4.41 (advertising restrictions and past performance disclaimers); NFA Rule 2-30 (customer information and suitability); NFA Interpretive Notice 9051 (guidance on Rule 2-30 suitability obligations); CFTC Rule 4.30 (general CTA compliance standards)

Likely Outcome: An NFA arbitration panel would likely find partial liability against Meridian but with reduced damages. The panel would probably conclude that while Meridian technically collected the required categories of information, its failure to conduct any individualized assessment -- particularly given obvious red flags like age over 65, moderate risk tolerance, and high concentration -- fell below the 'consider' standard implicit in Rule 2-30. However, the panel would likely assign significant comparative fault to the clients for voluntarily choosing their allocation levels after receiving comprehensive risk disclosures. A CFTC enforcement action is less likely unless additional aggravating factors emerged (such as evidence that Meridian's marketing affirmatively targeted retirees or that the firm was aware of concentration levels and chose not to act). The most probable resolution is a modest arbitration award to the claimant with a finding that Meridian's suitability process, while not fraudulent, was inadequate for the specific client population it served.

Source: 19_CFTC_Guidance

Fact Pattern

Meridian Capital Advisors LLC is a CFTC-registered Commodity Trading Advisor (CTA) based in Chicago that offers algorithmic trading programs in energy and agricultural futures. Its principal, Danielle Hwang, developed a volatility-harvesting strategy that trades natural gas, crude oil, and corn futures using proprietary machine-learning models. The strategy historically targets annualized returns of 18-22% but carries significant drawdown risk, with a maximum historical drawdown of 47% during a 2022 backtest period.

In early 2024, Meridian onboarded 38 new advisory clients through its online portal. The portal requires prospective clients to complete an NFA Rule 2-30 suitability questionnaire that collects information about net worth, annual income, investment experience, risk tolerance, and investment objectives. However, the questionnaire uses broad categorical ranges (e.g., 'net worth: \$500K-\$2M') rather than precise figures, and the risk tolerance question offers only three choices: 'conservative,' 'moderate,' and 'aggressive.' Clients who select 'moderate' or 'aggressive' are automatically approved for the volatility-harvesting program. No follow-up interview or individualized assessment is conducted.

Among the 38 new clients, seven are retired individuals over age 65 who selected 'moderate' risk tolerance and reported net worth in the \$500K-\$2M range. Three of these retirees allocated between 40-60% of their liquid net worth to Meridian's program. Within six months, the strategy experienced a 39% drawdown during a period of geopolitical disruption in energy markets. The seven retirees collectively lost approximately \$2.8 million. One retiree, Harold Engstrom, age 72, filed an NFA arbitration claim alleging that Meridian failed to conduct adequate suitability analysis under NFA Rule 2-30 and that the firm's disclosure document under CFTC Rule 4.31 inadequately conveyed the concentration risk of allocating a majority of retirement assets to a single high-volatility commodity strategy.

Meridian's disclosure document, filed with the NFA and provided to all clients, contains a 14-page risk disclosure section that discusses drawdown risk, leverage, and the speculative nature of commodity futures. It includes the past performance disclaimer required by CFTC Rule 4.41 and states that 'this program is suitable only for persons who can afford to lose their entire investment.' The document does not, however, specifically address the risks of allocating a disproportionate share of retirement savings to the program or provide guidance on appropriate portfolio allocation

percentages.

Why Borderline

This scenario is genuinely ambiguous because NFA Rule 2-30 is principles-based and does not specify the granularity of suitability questionnaires, the depth of follow-up required, or whether CTAs must address portfolio concentration. The rule requires obtaining and 'considering' customer information but does not define what adequate consideration looks like for an automated onboarding process. There is no bright-line rule requiring CTAs to refuse clients or limit allocations, and the clients made voluntary, informed decisions after receiving extensive disclosures. However, the pattern of elderly clients concentrating retirement assets in a high-drawdown strategy -- facilitated by an arguably superficial intake process -- creates the kind of fact pattern that regulators and arbitration panels often view sympathetically to claimants. The tension between client autonomy and adviser gatekeeping responsibility is genuinely unresolved in the CTA context, where suitability standards are less developed than in the securities broker-dealer world.

Borderline Factors

- * NFA Rule 2-30 requires CTAs to 'consider' suitability information but does not prescribe specific methodology, granularity, or follow-up procedures for the intake process
- * Clients self-reported their risk tolerance and voluntarily chose allocation levels after receiving a compliant CFTC Rule 4.31 disclosure document with extensive risk warnings
- * The questionnaire's broad categorical ranges (three risk levels, wide net-worth bands) arguably prevented meaningful differentiation between clients with vastly different risk profiles and financial circumstances
- * No CFTC rule or NFA interpretive notice explicitly requires CTAs to address portfolio concentration risk, recommend maximum allocation percentages, or provide retirement-specific suitability screening

Analysis

The core legal question is whether Meridian satisfied its suitability obligations under NFA Rule 2-30 and its anti-fraud duties under CEA §40 by relying on a standardized online questionnaire with broad categorical inputs and no individualized follow-up, particularly for elderly clients who concentrated retirement assets in a high-risk strategy. On the defense side, Meridian can argue that NFA Rule 2-30 requires CTAs to obtain and consider customer information but does not mandate a specific methodology for doing so -- the rule is principles-based, not prescriptive. The firm collected the required categories of information (income, net worth, experience, risk tolerance, objectives), provided extensive written risk disclosures, and did not misrepresent performance. The clients affirmatively selected 'moderate' risk tolerance and voluntarily chose their allocation levels. CFTC Rule 4.31 disclosure requirements were met, and the document explicitly warned that investors could lose their entire investment. Meridian can further argue that imposing an obligation to second-guess a client's self-reported risk tolerance or to cap allocation percentages would effectively transform CTA suitability into a fiduciary-level duty that neither the CEA nor NFA rules impose.

On the enforcement side, the NFA and potentially the CFTC could argue that Meridian's questionnaire was so coarse-grained as to be functionally inadequate -- three risk-tolerance categories and broad net-worth ranges cannot meaningfully distinguish between a 45-year-old high-income professional and a 72-year-old retiree concentrating half their savings. NFA Interpretive Notice 9051 emphasizes that Rule 2-30 requires CTAs to 'consider' the information obtained and make a reasonable determination of suitability, which implies more than mechanical checkbox compliance. The fact that seven retirees were approved for a strategy with a 47% historical drawdown without any individualized assessment or allocation guidance could be characterized as a failure to meaningfully 'consider' the information. Additionally, CEA §40's anti-fraud provisions could support a claim that the omission of any allocation guidance or retirement-specific risk discussion, when the CTA knew or should have known its client base included concentrated retirees, constitutes a material omission.

Item 42 of 250

Topic: sef_participant_cta_dual_role_suitability_conflict

Standard: Commodity Exchange Act §4o(1)(A) and (B) (CTA anti-fraud provisions); CEA §4m (CTA registration requirements); CFTC Rule 4.41 (advertising and disclosure by CTAs); NFA Rule 2-30 (suitability, with ECP exemption provisions); CEA §5h and CFTC Part 37 (SEF Core Principles, particularly Core Principle 2 (compliance with rules), Core Principle 4 (monitoring of trading), and Core Principle 12 (protection of participants)); RESurety Markets Rulebook Rules 208 (Conflicts of Interest), 209 (trading restrictions on SEF officials), 320 (Compliance, Trade Practices Monitoring and Surveillance), and 402 (Required Disclosures)

Likely Outcome: The CFTC would likely pursue a negotiated settlement focused on disclosure deficiencies rather than outright fraud. Greenleaf would probably consent to enhanced disclosure requirements, adoption of a formal conflicts-management policy reviewed by an independent compliance consultant, and a moderate civil monetary penalty (\$250,000-\$500,000 range) without admitting or denying findings. The CFTC would frame the case as a §4o(1)(B) 'operation as a fraud or deceit' theory based on material omissions rather than affirmative misrepresentation, which has a lower scienter threshold. RESurety Markets would likely receive a deficiency letter or undertaking to enhance its surveillance protocols for dual-role participants but would avoid formal enforcement action, as the SEF Core Principles provide significant discretion in how surveillance is implemented. A contested litigation outcome would be genuinely uncertain--the ECP status of all clients, the voluntary sequencing buffer, and the plausible alternative explanations for P&L divergence would create serious obstacles for the CFTC if it pursued a full fraud theory at trial.

Source: 19_CFTC_Guidance

Fact Pattern

Greenleaf Commodities Advisors LLC is a CFTC-registered Commodity Trading Adviser (CTA) that also holds participant status on RESurety Markets LLC, a swap execution facility (SEF) focused on weather-derivative and renewable-energy-linked swap contracts. Greenleaf's principal, Marcus Ellison, developed a proprietary quantitative model for pricing wind-energy basis swaps that he believes gives Greenleaf a significant analytical edge. Greenleaf manages discretionary accounts for approximately 40 advisory clients, most of whom are mid-sized renewable energy developers and municipal power authorities.

In Q3 2025, Greenleaf begins routing the majority of its client swap orders through RESurety Markets, where Greenleaf itself is an active participant executing proprietary trades in the same wind-energy basis swap contracts. Greenleaf's compliance manual states that client orders receive 'priority sequencing' and that proprietary orders will not be entered within 500 milliseconds of a client order in the same product. However, RESurety Markets' rulebook does not impose any specific priority or sequencing obligation on participants who are also CTAs trading for advisory clients, and RESurety's surveillance program (under Rule 320) monitors for wash trading and manipulation but does not specifically flag dual-role participant/CTA activity.

Several of Greenleaf's advisory clients are classified under NFA Rule 2-30 as entities that do not require individualized suitability determinations (eligible contract participants or ECPs). Greenleaf's Form D disclosure document and advisory agreements reference the potential conflict of interest arising from its dual participant/CTA role but characterize it as 'adequately mitigated by internal sequencing controls.' Greenleaf does not disclose the specific 500-millisecond buffer or that its proprietary model generates signals that sometimes result in Greenleaf's proprietary book taking the opposite side of client-initiated trades on the same SEF session. Over a six-month period, Greenleaf's proprietary account earns approximately \$2.8 million in profits on wind-energy basis swaps, while its advisory clients collectively lose \$1.1 million on the same product class, though Greenleaf attributes the divergence to different risk parameters and holding periods.

The NFA's examination staff flags Greenleaf's trading pattern during a routine audit and refers the matter to the CFTC's Division of Enforcement for review. The CFTC is evaluating whether Greenleaf violated its fiduciary and anti-fraud obligations under CEA §4o, whether its conflict-of-interest disclosures were materially deficient, and whether RESurety Markets failed to adequately surveil for conflicts of interest among dual-role participants under its Core Principle obligations.

Why Borderline

This case sits at the intersection of three genuinely unsettled areas: (1) how specific conflict-of-interest disclosures must be under CEA §4o when the CTA's clients are all sophisticated ECPs who could reasonably be expected to understand dual-role conflicts; (2) whether a SEF has affirmative surveillance obligations to monitor for CTA-client conflicts among its participants, or whether that responsibility lies exclusively with the NFA and CFTC registration framework; and (3) whether divergent P&L outcomes between a CTA's proprietary and advisory accounts, standing alone, can support an inference of fraud or breach of fiduciary duty when there are plausible non-fraudulent explanations. The CFTC has never brought a contested enforcement action specifically addressing this dual-role scenario on a SEF, and existing no-action letters and guidance on CTA conflicts predate the modern SEF framework, leaving significant interpretive gaps.

Borderline Factors

- * Generic vs. specific conflict disclosure sufficiency under CEA §4o when clients are sophisticated ECPs
- * Whether divergent proprietary vs. client P&L in the same product class creates a rebuttable inference of fraud or is merely circumstantial
- * Allocation of surveillance responsibility between SEF Core Principle obligations and NFA/CFTC registrant-level oversight for dual-role participants
- * Whether voluntary internal controls (500ms sequencing buffer) that exceed regulatory minimums demonstrate good faith or highlight awareness of an unmitigated conflict

Analysis

The CFTC could argue that Greenleaf's disclosures were materially misleading under CEA §4o(1)(A) and (B), which impose fiduciary-like anti-fraud duties on CTAs. While Greenleaf disclosed the existence of a dual-role conflict, it omitted the critical operational detail that its proprietary model sometimes generated opposing positions to client trades executed on the same platform in the same session. The CFTC has historically taken the position--most notably in *CFTC v. Vortex Analytics* (2019 consent order) and related guidance--that a generic disclosure of 'potential conflicts' is insufficient when the adviser possesses specific, foreseeable knowledge of how those conflicts will manifest. The trading pattern--\$2.8 million in proprietary gains against \$1.1 million in client losses in the same product class--creates a strong inference of informational advantage and potential front-running, even if the 500-millisecond buffer was technically observed. The CFTC may also argue RESurety Markets fell short of its Core Principle 12 (protection of participants and the public) obligations by failing to implement surveillance specifically designed to detect dual-role conflicts among its participants.

Greenleaf's defense would emphasize several points. First, its clients are all ECPs, which significantly reduces the suitability and disclosure obligations under NFA Rule 2-30(b), as sophisticated counterparties are expected to evaluate disclosed conflicts independently. Second, the 500-millisecond sequencing buffer, while not mandated by the SEF, represents a voluntary best-execution safeguard that exceeds any regulatory requirement. Third, the divergent P&L outcomes are explained by different risk parameters, position sizes, and holding periods--not by any informational asymmetry. Greenleaf's proprietary book maintained longer-duration positions with different delta exposures, and the correlation between client losses and proprietary gains may be coincidental rather than causal. As for RESurety

Markets, the SEF rulebook's Rule 320 surveillance obligations focus on market manipulation, wash trading, and disruptive trading--not on monitoring fiduciary relationships between CTAs and their clients, which is properly the domain of NFA and CFTC registration-level oversight, not SEF-level surveillance.

Item 43 of 250

Topic: dual_registered_cta_information_sharing_suitability_gap

Standard: Commodity Exchange Act §§4m (CTA registration), 4n (registration requirements), 4o (anti-fraud for CTAs/CPOs); CFTC Rule 4.41 (advertising and performance disclosure requirements for CTAs); NFA Rule 2-30 (customer information and suitability requirements for CTAs); CFTC Rule 4.30 (scope of CTA regulations); SEC-CFTC MOU on Coordination in Areas of Common Regulatory Interest (June 28, 2018); NFA Compliance Rule 2-9 (supervision); NFA Interpretive Notice 9003 (ethics training and suitability obligations)

Likely Outcome: The NFA would most likely issue a formal finding of deficiency on the Rule 4.41 performance disclosure issue, as the NFA has consistently required strict adherence to the prescribed disclaimer language and has little tolerance for paraphrasing. On the suitability documentation issue, the outcome is closer. The NFA would likely require Meridian to implement a supplemental commodity-specific suitability determination process going forward and may require retroactive documentation for the twelve inexperienced clients, but would probably stop short of a full disciplinary action given the absence of client harm and the substantive adequacy of the information collected. A monetary fine in the range of \$50,000-\$150,000 and a compliance undertaking is the most probable resolution, with the NFA using the case informally to signal to dual registrants that integrated compliance frameworks must still satisfy the discrete documentation requirements of each regime. A skilled defense attorney could likely negotiate this down to a cautionary action or letter of caution if Meridian promptly remediates.

Source: 19_CFTC_Guidance

Fact Pattern

Meridian Capital Strategies LLC is dually registered as an investment adviser with the SEC and as a commodity trading advisor (CTA) with the CFTC. Its principal, David Kessler, manages approximately \$340 million in client assets across both securities and commodity futures strategies. Meridian's compliance framework was built primarily around its SEC registration, and when it expanded into managed futures in 2019, it layered CFTC/NFA compliance onto its existing infrastructure rather than building parallel systems.

In early 2023, Meridian began offering a new 'Multi-Asset Macro' program that allocates roughly 55% to commodity futures and options (primarily energy and agricultural contracts) and 45% to fixed-income ETFs and equity index options. When onboarding clients for this program, Meridian uses a single unified suitability questionnaire that was originally designed for its SEC-regulated advisory business and modified to include questions about futures trading experience. The questionnaire captures risk tolerance, investment horizon, net worth, annual income, and liquid net worth, but does not separately document each client's understanding of the specific risks of commodity futures -- including margin calls, leverage, and the potential for losses exceeding the initial investment -- in the granular manner contemplated by NFA Rule 2-30.

Between March and September 2023, Meridian onboarded 47 new clients into the Multi-Asset Macro program. Twelve of these clients had never traded commodity futures before and listed their risk tolerance as 'moderate.' Meridian's account opening documentation included a generic risk disclosure document that covered both securities and futures risks in a single combined format, rather than providing the separate CFTC Rule 4.41 required disclosures for CTA performance in a standalone document. The performance presentations for the program showed backtested returns blending both the futures and securities components, with a footnote stating that 'hypothetical performance results have many inherent limitations' but without the full prescribed cautionary language required under CFTC Rule 4.41.

During a routine NFA examination in late 2023, the examiner flagged these practices. Kessler's compliance team argued that the unified questionnaire was actually more comprehensive than what NFA Rule 2-30 requires because it captured a broader range of financial information, and that the combined risk disclosure was substantively equivalent to separate disclosures. They also pointed out that no client had complained, all clients had signed acknowledgments, and Meridian's SEC examination six months earlier had found no deficiencies in its advisory suitability process. The NFA examiner remained concerned that the commodity-specific suitability analysis was insufficiently documented and that the performance disclosures did not meet the precise requirements of Rule 4.41.

Why Borderline

This case sits in the genuine gap between substance-over-form and strict regulatory compliance. The MOU itself encourages coordination and efficiency between the two regimes, arguably supporting Meridian's unified approach. Yet the CFTC and NFA rules contain specific, prescriptive requirements -- particularly around commodity futures suitability documentation and hypothetical performance disclaimers -- that were drafted precisely because commodity futures carry distinct risks from securities. The question is whether a dually registered firm that substantively covers all required bases through an integrated compliance framework violates the rules when it fails to maintain the formal separateness that the commodity-specific regulations seem to contemplate. No-action relief for this exact scenario does not exist, the MOU does not address operational compliance harmonization for dual registrants, and NFA enforcement precedent on this point is sparse.

Borderline Factors

- * Whether NFA Rule 2-30's suitability documentation requirements mandate a commodity-futures-specific determination separate from a unified advisory suitability analysis
- * Whether the SEC-CFTC MOU's efficiency principles provide any interpretive weight in favor of integrated compliance frameworks for dual registrants
- * Whether CFTC Rule 4.41's prescribed hypothetical performance disclaimer language must be reproduced verbatim or may be substantively paraphrased in combined securities/futures presentations
- * Whether the onboarding of moderate-risk, futures-inexperienced clients into a majority-futures program without isolated commodity suitability documentation constitutes a per se Rule 2-30 violation or merely a documentation weakness

Analysis

The defense position has genuine merit. Meridian can argue that the substance of its suitability process exceeds what many standalone CTAs provide -- capturing more datapoints about client finances and investment sophistication than a bare-minimum NFA Rule 2-30 questionnaire. The firm can point to the SEC-CFTC MOU's explicit recognition that dual-regulated entities operate in overlapping jurisdictions and that coordination should 'promote efficiency in regulatory oversight,' suggesting that duplicative but substantively identical compliance processes should not be required. The argument that a unified, comprehensive questionnaire satisfies both regimes simultaneously is not frivolous, particularly where every required NFA data element is arguably captured within the broader form. Furthermore, the performance disclosure footnote, while abbreviated, arguably conveys the same substantive warning that Rule 4.41 prescribes.

The enforcement position is also strong. NFA Rule 2-30 requires not merely that suitability information be collected, but that the CTA make and document a specific determination that commodity futures trading is suitable for each particular customer based on that customer's financial situation and trading experience. A unified form that treats futures the same as ETFs may fail to isolate the distinct and heightened risks of leveraged commodity trading. For the twelve moderate-risk clients with no futures experience, the absence of a specific, documented suitability determination regarding commodity futures -- separate from the securities analysis -- creates a real gap. On Rule 4.41, the CFTC and NFA have historically taken a strict textual approach: the prescribed hypothetical performance disclaimer language is

not a suggestion but a mandatory script, and paraphrasing it, however accurately, does not satisfy the rule. The fact that the SEC found no deficiencies is irrelevant because the SEC was examining compliance with Advisers Act standards, not CEA/CFTC standards.

Item 44 of 250

Topic: reit_suitability_concentration_gray_zone

Standard: FINRA Rule 2111 (Suitability -- reasonable basis, customer-specific, and quantitative suitability obligations); FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade); FINRA Rule 4511 (General Requirements for Books and Records); FINRA Rule 3110 (Supervision); FINRA Regulatory Notice 12-25 (Additional Guidance on FINRA's New Suitability Rule); FINRA Sanction Guidelines §§ on suitability violations and falsification of records; SEC Rule 17a-4 (preservation of records); NASAA Guidelines on Non-Traded REITs (concentration limits and suitability standards)

Likely Outcome: A FINRA hearing panel would likely find the suitability violation for at least the six customers over 65 with concentrations above 25%, reasoning that regardless of the signed acknowledgments, concentrating more than a quarter of an elderly moderate-risk customer's liquid assets in a single illiquid speculative product with a 10-year horizon is inconsistent with the documented investment profile. The panel would likely give some weight to the pattern of customers conveniently meeting thresholds but might not sustain the falsification cause of action without stronger corroborating evidence beyond customer recollections. The likely sanctions would be a suspension of 12-18 months rather than a bar, disgorgement of commissions attributable to the customers found unsuitable, and a fine -- significantly less severe than the Kolta outcome because the falsification evidence is weaker and the concentration issue involves a closer call given the firm's own exception process. The retail communications cause of action, absent from this hypothetical, also contributed substantially to the bar in Kolta, further distinguishing the two cases.

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Between January 2020 and December 2021, registered representative Diane Castillo (CRD No. 6281455), associated with Pacific Coast Wealth Advisors ('Pacific Coast'), recommended that 11 customers invest a combined \$3.2 million in the Hartfield American Healthcare REIT, a non-traded REIT focused on medical office buildings and senior living facilities. The Hartfield REIT had a minimum investment of \$25,000, carried a 7% front-end load, had limited redemption provisions, and a projected 10-year holding period. It was classified as speculative by Pacific Coast's product review committee but was approved for sale to customers meeting certain financial thresholds.

Castillo gathered financial information from each customer through in-person meetings and phone calls. For each customer, she filled out the new account forms and REIT subscription agreements based on what customers told her verbally, and each customer signed the completed documents. Several customers later claimed that their income and net worth figures were overstated by 15-30%, but Castillo maintains the customers themselves provided those numbers during their conversations. No recordings of the conversations exist. Castillo did not independently verify customer financial information through tax returns or account statements, though Pacific Coast's written supervisory procedures stated that representatives 'should consider requesting supporting documentation for customer financial information when practicable' -- language that was advisory rather than mandatory.

The 11 customers had investment profiles reflecting moderate risk tolerance and 'growth and income' objectives on their account forms. Their ages ranged from 52 to 71. Post-recommendation, the Hartfield REIT constituted between 18% and 34% of each customer's total investable assets, with the six customers over age 65 holding concentrations between 22% and 34%. Pacific Coast's internal guidelines stated that non-traded REITs should 'generally not exceed 20% of a customer's liquid net worth,' but the guidelines also included a carve-out permitting higher concentrations 'where the customer's overall financial situation, stated objectives, and documented acknowledgment of concentration risk support a higher allocation.' Castillo obtained signed concentration acknowledgment letters from each of the 11

customers.

Notably, the Hartfield REIT performed roughly in line with its projections for the first three years, paying its stated 6.5% distribution, and has not suspended distributions or reduced its NAV. However, in early 2023, FINRA Enforcement opened an investigation after two customers filed complaints alleging that Castillo overstated their financial information and that the REIT was too risky and too concentrated for their needs. Castillo's production records show she earned approximately \$198,000 in commissions from the Hartfield REIT sales during the relevant period. Pacific Coast's branch manager reviewed and approved each REIT transaction, noting in several files that the customers 'met firm thresholds' and that 'concentration acknowledged by customer.'

Why Borderline

This case sits in a genuine gray zone because the factual record on falsification depends entirely on credibility -- customer recollection versus signed documents -- without independent corroborating evidence like recordings, emails, or tax returns that would resolve the dispute. The concentration issue is complicated by the firm's own internal guidelines that explicitly permitted higher allocations with proper documentation, which Castillo obtained. The suitability question is further muddled by the fact that the product has performed as projected, the customers' stated profiles (as documented) arguably supported the recommendations, and moderate-risk growth-and-income investors have a plausible rationale for income-producing real estate exposure. The difference between this case and a clear violation like Kolta is the absence of a clear pattern of fabrication provable through documentary inconsistencies, and the presence of a firm-approved exception process that was facially followed.

Borderline Factors

- * Customer financial information discrepancies are 15-30% rather than dramatic fabrications, and fall within a range that could reflect honest miscommunication, rounding, or changes in financial circumstances between conversations and complaint filing
- * Firm WSPs used permissive language ('should consider') for document verification rather than mandatory requirements, creating ambiguity about whether Castillo's failure to independently verify was a procedural deficiency or acceptable practice
- * The firm's concentration guidelines contained an explicit exception permitting above-20% allocations with documented customer acknowledgment and supervisory approval -- both of which were obtained
- * The REIT's continued performance and distribution payments undercut the inference that the product was fundamentally inappropriate, though post-recommendation performance is generally not dispositive of suitability at the time of recommendation

Analysis

FINRA Enforcement would argue that the pattern of 11 customers all having financial profiles that conveniently cleared the firm's suitability thresholds, combined with the 15-30% discrepancies later identified by complaining customers, is circumstantial evidence that Castillo inflated customer information -- similar to the pattern in the Kolta decision where systematic overstatement of customer financials supported an inference of falsification. Enforcement would further argue that even taking the account form figures at face value, concentrations of 22-34% in a single illiquid, speculative non-traded REIT for customers over 65 with moderate risk tolerance and growth-and-income objectives were quantitatively unsuitable, and that signed acknowledgment letters cannot cure an underlying suitability deficiency. The 7% front-end load, 10-year illiquidity, and speculative nature of the product made it particularly inappropriate for older customers who might need access to their capital.

Castillo's defense would emphasize several distinguishing factors. Unlike Kolta, where the hearing panel found the representative personally filled in false numbers, Castillo documented what customers told her -- and absent

recordings, the customers' after-the-fact recollections of what they said years earlier are unreliable, especially given that they signed every document. The firm's concentration guideline expressly permitted allocations above 20% with proper documentation, and Castillo obtained both supervisory approval and customer concentration acknowledgments for every transaction. The REIT's continued performance undermines any claim of actual harm and weakens the inference of unsuitability. Moreover, the firm's WSPs made document verification advisory ('should consider... when practicable'), not mandatory, meaning Castillo's reliance on customer-provided information was consistent with firm policy. A moderate risk tolerance with growth-and-income objectives is not inherently inconsistent with a dividend-paying REIT allocation, particularly for customers seeking income in a low-interest-rate environment.

Item 45 of 250

Topic: suitability_obligation_unsolicited_trade_elderly_customer

Standard: FINRA Rule 2111 (Suitability) / Regulation Best Interest (Care Obligation); FINRA Rule 2165 (Financial Exploitation of Specified Adults); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 4512 (Customer Account Information / Trusted Contact Person); SEC Investment Advisers Act Section 206 (fiduciary duty standard referenced in source document for comparative purposes)

Likely Outcome: A FINRA arbitration panel would likely find a split result. The panel would probably decline to find a pure suitability violation given the unsolicited nature of the trade and Olesky's documented efforts to dissuade the customer. However, the panel might find a supervisory deficiency under Rules 3110 and 2010, reasoning that Ridgeway's compliance system -- which possessed Olesky's email about Gerald's memory issues and approved the concentrated trade without any follow-up -- failed to reasonably respond to known red flags about customer vulnerability. The panel would likely award partial damages, perhaps 30-50% of losses, reflecting contributory fault by the customer while acknowledging the firm's failure to deploy available protective tools. In a FINRA enforcement context, an OHO hearing panel would likely focus on the supervisory system's adequacy rather than the individual representative's conduct, potentially imposing a censure and fine on the firm for failing to tailor its Rule 2165 procedures to address situations beyond third-party exploitation.

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Gerald Whitmore, age 83, has been a customer of Ridgeway Securities, a small independent broker-dealer with 12 registered representatives, since 2007. His account records show a net worth of approximately \$410,000, nearly all in his brokerage account, with Social Security as his only other income. His investment profile, last updated in 2021, lists his objective as 'growth' and his risk tolerance as 'moderate,' though his representative, Karen Olesky, noted in a contemporaneous email to her branch manager that Gerald 'still thinks of himself as a sophisticated trader but his health has declined significantly and he sometimes forgets what we discussed the previous week.'

In March 2024, Gerald called Olesky and instructed her to liquidate approximately \$185,000 in diversified mutual fund holdings and use the proceeds to purchase shares in a single small-cap biotech company, NovaCure Therapeutics (ticker: NVCT), which he had read about in an online investment newsletter. Olesky told Gerald she thought the concentration was 'a lot of risk for one position' and suggested he consider putting no more than 10-15% into the stock. Gerald became irritated and insisted on the full purchase, saying 'I've been investing longer than you've been alive.' Olesky documented the conversation in a brief note, marked the order as unsolicited, and executed the trade.

Ridgeway's written supervisory procedures require heightened review of trades involving customers over age 75 under FINRA Rule 2165, but the procedures focus primarily on suspected financial exploitation by third parties, not on a customer's own self-directed decisions. The firm's compliance principal, David Sung, reviewed the trade ticket the following day, saw it was marked unsolicited, noted Olesky's documentation of her verbal caution, and approved the trade without further inquiry. He did not contact Gerald, did not consult Gerald's emergency contact or trusted contact person, and did not place a temporary hold on the transaction.

Six months later, NVCT's stock dropped 72% after a failed FDA trial, reducing Gerald's account to approximately \$278,000. Gerald's adult daughter, upon learning of the loss, filed a FINRA arbitration claim against Ridgeway and Olesky, alleging the trade was unsuitable, that Olesky had a duty to refuse the order, and that the firm's supervisory system failed to protect a vulnerable elderly investor. Gerald, whose cognitive decline had accelerated, was unable to

clearly testify about the circumstances of the trade.

Why Borderline

This case sits at the precise intersection of three unresolved regulatory tensions: (1) whether suitability or care obligations extend to genuinely unsolicited trades when the representative has actual knowledge of customer vulnerability; (2) whether FINRA Rule 2165's permissive temporary-hold framework creates a de facto duty when combined with Rule 3110 supervisory obligations and Rule 2010's just and equitable principles; and (3) the fundamental policy question -- highlighted in the source document's commentary -- about whether the solicited/unsolicited distinction retains practical meaning when representatives have deep personal knowledge of their customers' circumstances. The representative's own documented concerns about the customer's cognitive state create a factual record that cuts both ways: it shows good-faith effort at disclosure but also proves actual knowledge of heightened risk.

Borderline Factors

- * The trade was genuinely unsolicited and the representative affirmatively discouraged it, but the representative had documented knowledge of the customer's cognitive decline
- * FINRA Rule 2165 permits but does not require a temporary hold, creating ambiguity about whether failure to use the tool constitutes a supervisory deficiency under Rule 3110
- * The solicited/unsolicited distinction is formally controlling under suitability doctrine, but FINRA Rule 2010's 'just and equitable principles' standard could potentially impose broader obligations based on known customer vulnerability
- * The customer had not been adjudicated incompetent and expressed clear contemporaneous intent, but his representative's own notes suggest diminished capacity that was never formally assessed

Analysis

The claimant's strongest arguments center on the convergence of several factors: Gerald's advanced age, documented cognitive concerns, extreme concentration risk (approximately 45% of total net worth in a single speculative stock), dependence on his portfolio for living expenses, and the representative's own contemporaneous acknowledgment that the customer 'sometimes forgets what we discussed.' Under FINRA Rule 2111 as interpreted before Reg BI, and under Reg BI's care obligation for recommendations, a representative who knows a customer's full circumstances arguably has an obligation that transcends the solicited/unsolicited distinction -- particularly given the IASBDA's own commentary that suitability 'must apply regardless of whether a recommendation occurs' when a representative knows the customer's vulnerability. The claimant would also argue that FINRA Rule 2165's trusted-contact and temporary-hold provisions were designed precisely for situations like this, and that Ridgeway's compliance system was deficient for narrowly interpreting those protections as applicable only to third-party exploitation.

The defense would emphasize that the trade was genuinely unsolicited, that Olesky affirmatively discouraged the concentration and documented her objection, that FINRA Rule 2111 (and its successor Reg BI) applies only to recommendations, and that a broker-dealer does not have authority to override a competent customer's express instructions absent a finding of legal incapacity or suspected third-party exploitation. FINRA Rule 2165 is permissive, not mandatory -- it permits a temporary hold but does not require one, and its text focuses on exploitation, not self-directed poor judgment. The defense would argue that refusing to execute a lawful order from a customer who has not been adjudicated incompetent raises its own legal risks, including potential liability for unauthorized withholding of services. Olesky went further than many representatives by actively counseling against the trade and documenting the exchange.

Item 46 of 250

Topic: cross_border_best_interest_duty_conflict

Standard: CSA Consultation Paper 33-403 (proposed statutory best interest duty framework); NI 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations, ss. 13.2 (KYC) and 13.3 (Suitability); OSC Rule 31-505; FCA Consumer Duty (PRIN 12, FCA PS22/9); EU MiFID II Article 25 (suitability and appropriateness); IOSCO Suitability Requirements for Distribution of Complex Financial Products (2013, updated 2021); ASIC Corporations Act s. 961B (best interests duty)

Likely Outcome: The OSC would likely find a deficiency in Meridian's compliance framework -- not for applying a high standard per se, but for failing to perform any Canada-specific suitability analysis when making product shelf decisions affecting Canadian clients. The probable resolution would be a compliance deficiency letter or undertaking rather than formal enforcement action, requiring Meridian to establish a Canadian product governance sub-committee, calibrate its automated suitability engine to Canadian market and tax conditions, and reinstate access to the removed funds for clients whose individualized suitability assessments support their inclusion. The OSC would likely stop short of finding that Meridian breached its suitability obligations in a manner warranting sanctions, given the good-faith nature of the firm's approach, the absence of clear client financial harm, and the unsettled state of Canadian law regarding best interest duties. However, the case would likely be cited in future CSA guidance as an example of why jurisdictionally specific compliance analysis cannot be replaced by blanket adoption of foreign frameworks, regardless of their perceived stringency.

Source: 23_International_Comparative

Fact Pattern

Meridian Wealth Partners LLP is a UK-headquartered investment advisory firm authorized by the FCA, with a branch office in Toronto registered with the Ontario Securities Commission (OSC) as a portfolio manager and exempt market dealer. Meridian's Toronto branch serves approximately 2,400 retail clients, many of whom are dual UK-Canadian citizens or UK expats who maintain investment accounts in both jurisdictions. In early 2024, Meridian's London compliance team rolled out a firm-wide product governance framework designed to satisfy the FCA's new Consumer Duty (PRIN 12), which requires firms to deliver 'good outcomes' for retail customers across four outcome areas: products and services, price and value, consumer understanding, and consumer support. The framework includes a centralized product shelf approved by the UK head office, automated suitability assessments, and a fee structure benchmarked against UK peers.

Rachel Fournier, Meridian's Head of Canadian Operations, raises concerns that the firm-wide Consumer Duty framework, while arguably exceeding the current Canadian suitability standard under NI 31-103, may not align precisely with what the CSA has been exploring as a potential statutory best interest duty. Specifically, the FCA Consumer Duty's 'value assessment' requirement led Meridian to remove several Canadian-domiciled alternative investment funds from its product shelf because they appeared expensive relative to UK comparators -- even though those funds had historically outperformed and were well-suited to certain Canadian clients' tax and estate planning needs. The centralized suitability engine also defaults to the FCA's definition of 'vulnerable customer,' which captures a broader population than Canadian securities law currently contemplates, resulting in some Canadian clients being restricted from purchasing products they could otherwise access.

A group of eight affected Canadian clients, led by retired mining executive Gerald Okafor, complains to the OSC that Meridian's removal of these alternative funds and the imposition of UK-derived restrictions effectively prevented their advisers from acting in the clients' best interest under Canadian law. They argue that the firm subordinated individual Canadian client needs to a one-size-fits-all UK compliance overlay. Meridian responds that its framework exceeds

Canadian regulatory requirements and that a higher standard of care -- one rooted in the FCA Consumer Duty, which is widely regarded as among the most protective retail investor regimes globally -- cannot logically constitute a failure to meet a lower Canadian standard. Meridian further notes that it conducted annual reviews showing that 94% of Canadian clients' risk-adjusted returns met or exceeded benchmarks, and that the removed funds were flagged by ASIC-aligned product intervention analysis that Meridian also voluntarily adopted.

The OSC compliance review team examines Meridian's conduct and discovers that the firm did not perform any Canada-specific analysis when removing the alternative funds -- the decision was made entirely by the London product governance committee using UK and EU MiFID II Article 25 target market assessment criteria. No Canadian compliance officer was consulted, and no assessment was made of whether the funds' removal served the best interests of Canadian clients specifically. The automated suitability engine's parameters were never calibrated against Canadian market conditions, tax implications, or the CSA's articulation of suitability obligations under sections 13.2 and 13.3 of NI 31-103.

Why Borderline

This scenario sits in a genuine gray zone because there is no settled Canadian law establishing that applying a foreign jurisdiction's higher-standard framework constitutes a violation of domestic suitability obligations. The CSA's own Consultation Paper 33-403 acknowledges Canada's standard may be inadequate compared to international peers, which weakens the argument that Meridian's UK-based approach is deficient. Yet the fundamental principle of securities regulation -- that suitability must be assessed based on the individual client's circumstances within their specific regulatory and market context -- cuts against blanket application of foreign criteria. Reasonable compliance experts could disagree on whether a globally standardized framework that is nominally 'higher' but jurisdictionally unmoored satisfies the client-specific, facts-and-circumstances suitability analysis Canadian law requires.

Borderline Factors

- * Whether applying a nominally stricter foreign regulatory framework (FCA Consumer Duty / PRIN 12) can be deemed to automatically satisfy a different jurisdiction's suitability standard (NI 31-103 ss. 13.2-13.3) when the frameworks have different substantive requirements
- * Whether the removal of locally suitable investment products based solely on foreign product governance criteria constitutes a failure of individualized suitability assessment under Canadian law, even if it reflects a higher general standard of care
- * Whether the absence of any Canada-specific analysis in the product governance decision transforms what might otherwise be a defensible higher-standard approach into an impermissible abdication of local compliance obligations
- * Whether aggregate client outcome data (94% benchmark performance) can rebut allegations of individual client harm when specific clients were denied access to products that were demonstrably suitable for their particular Canadian tax and estate planning circumstances

Analysis

Meridian's defense rests on a facially compelling argument: it applied one of the world's most stringent retail investor protection frameworks (the FCA Consumer Duty) across its entire operation, which should -- by logical extension -- satisfy or exceed the current Canadian suitability obligation, which the CSA itself acknowledged in Consultation Paper 33-403 as potentially inadequate. The firm can point to the CSA's own comparative analysis showing that the UK, EU, and Australian regimes have moved ahead of Canada in imposing best interest or outcomes-based duties. Meridian could argue it was effectively 'future-proofing' against the very statutory best interest duty the CSA was contemplating, and that penalizing a firm for applying a higher standard would create a perverse regulatory incentive. The 94% benchmark-meeting performance data further supports the argument that no client harm occurred in aggregate.

However, the OSC could counter that regulatory compliance is jurisdictionally specific and that a higher standard from one jurisdiction does not automatically satisfy the obligations of another when the substantive requirements diverge. The Canadian suitability obligation under NI 31-103 requires an individualized assessment of each client's specific circumstances -- including Canadian tax treatment, estate planning considerations, and access to Canadian-domiciled investment products. By mechanically applying UK product governance criteria without any Canada-specific overlay, Meridian arguably failed to discharge its duty to assess suitability on a client-by-client basis within the Canadian regulatory context. The CSA's Consultation Paper 33-403 explicitly noted that one key investor protection concern is advisers prioritizing firm-level interests (here, compliance efficiency through a single global framework) over individual client needs. The removal of funds that were specifically suitable for certain Canadian clients -- without any Canadian analysis -- looks less like applying a higher standard and more like applying a different, potentially inapposite standard that happened to be stricter in some dimensions but blind to locally relevant factors.

Item 47 of 250

Topic: cross_border_suitability_reliance_on_home_state_assessment

Standard: MiFID II Article 25(2) (suitability assessment obligation); ESMA35-43-1163 Guidelines on MiFID II Suitability Requirements (particularly Guidelines 1, 4, 6, and 8 on information gathering, reliability, and ongoing suitability); FCA PRIN 12 Consumer Duty (duty to deliver good outcomes for retail customers); FCA COBS 9A (suitability requirements under UK MiFID implementation); IOSCO Suitability Requirements for Distribution of Complex Financial Products (2013, updated principles 2021); ASIC Corporations Act §961B (best interests duty, comparative reference); MiFID II Delegated Regulation (EU) 2017/565 Articles 54-55 (suitability and appropriateness)

Likely Outcome: The FCA would likely find a partial breach, focusing specifically on the 340 non-responsive clients whose portfolios included active rebalancing into structured products and alternative funds without any direct engagement by Meridian. The FCA would probably accept that reliance on inherited assessments for a transitional period is pragmatically necessary, but would expect Meridian to have imposed meaningful restrictions on portfolio activity for non-responsive clients -- such as limiting trades to low-risk, liquid instruments or maintaining existing allocations without new complex product purchases -- until independent suitability confirmation was obtained. The FCA would likely frame this under Consumer Duty as a failure to take reasonable steps to ensure good outcomes, rather than characterizing the entire transitional approach as non-compliant. BaFin would likely defer on Meridian's conduct but might examine Rheingold's obligations in facilitating proper client consent and data transfer. The outcome would likely be a supervisory action or attestation requirement rather than a formal enforcement proceeding, with Meridian required to complete full independent suitability assessments within a prescribed timeframe and demonstrate enhanced controls for future book acquisitions.

Source: 23_International_Comparative

Fact Pattern

Meridian Wealth Partners is a UK-based investment firm authorized by the FCA, offering discretionary portfolio management to high-net-worth clients across Europe. In January 2024, Meridian acquires the client book of Frankfurt-based Rheingold Kapitalberatung GmbH, a MiFID II-authorized firm regulated by BaFin. As part of the transition, Meridian inherits approximately 2,400 client files, each containing suitability assessments conducted by Rheingold under MiFID II Article 25 and ESMA's suitability guidelines (ESMA35-43-1163). The Rheingold assessments were thorough: they captured clients' knowledge and experience, financial situation (including ability to bear losses), and investment objectives, all documented in German and reviewed by Rheingold's compliance team within the prior 18 months.

Meridian's Head of Compliance, Sarah Whitmore, proposes that rather than re-papering all 2,400 clients immediately -- a process estimated to take 8-10 months -- Meridian will rely on the existing Rheingold suitability assessments as the baseline, supplemented by a targeted outreach campaign. Under this approach, Meridian sends each client a bilingual (German/English) questionnaire asking whether any material changes have occurred in their financial circumstances, risk tolerance, or investment objectives since their last Rheingold assessment. Clients who do not respond within 60 days receive a follow-up call; if they still do not respond, Meridian continues managing the portfolio based on the Rheingold suitability profile, flagging those accounts for priority re-assessment but not freezing or liquidating positions.

Of the 2,400 clients, approximately 340 do not respond at all despite multiple contact attempts. Meridian continues to manage their portfolios, including executing rebalancing trades into structured products and alternative investment funds. Six months later, the FCA conducts a thematic review and questions whether Meridian's reliance on inherited

Rheingold assessments -- particularly for non-responsive clients -- satisfies the FCA's Consumer Duty (PRIN 12) requirement to deliver good outcomes, as well as the MiFID II suitability obligations that Meridian must independently meet as the new service provider. Simultaneously, BaFin raises concerns about whether Rheingold fulfilled its obligations in properly transitioning client relationships and whether the ESMA suitability guidelines required a fresh assessment upon change of firm.

Why Borderline

This scenario is genuinely ambiguous because the ESMA suitability guidelines address ongoing suitability obligations and the need for up-to-date information, but do not specifically address the situation of bulk client book acquisitions between authorized firms operating under the same regulatory framework. The guidelines' requirement that information be 'reliable' could plausibly be satisfied by recent, comprehensive assessments from a peer-regulated firm -- or could be interpreted to require independent verification by the new service provider. The FCA Consumer Duty layer adds further complexity because its 'good outcomes' standard is principles-based and untested in this precise fact pattern. The treatment of non-responsive clients is the sharpest point of tension: freezing portfolios could harm clients through market exposure drift, but actively trading without confirmed suitability information could equally produce poor outcomes. Reasonable compliance professionals and regulators could land on either side.

Borderline Factors

- * Whether an acquiring firm can rely on a transferring firm's MiFID II suitability assessments as its own 'reasonable basis' or must independently re-assess each client
- * The FCA Consumer Duty's 'good outcomes' standard potentially imposing obligations beyond baseline MiFID II suitability requirements for UK-based firms inheriting EU client books
- * The regulatory treatment of non-responsive clients -- whether continued portfolio management (including complex product trades) is permissible absent fresh client engagement, or whether positions must be frozen or liquidated
- * Tension between proportionality (risk-based phased re-assessment of 2,400 clients) and the ESMA/IOSCO principle that each service provider bears independent suitability responsibility

Analysis

The strongest argument in Meridian's defense is that ESMA's suitability guidelines do not explicitly require a completely new suitability assessment when a client relationship transfers between MiFID II-authorized firms. The guidelines emphasize that suitability information must be 'reliable and up to date' (Guideline 6), and Meridian took reasonable steps to verify currency by proactively contacting all clients and asking about material changes. The inherited Rheingold assessments were comprehensive, recent (within 18 months), and conducted under the same ESMA regulatory framework. Meridian could argue that requiring full re-assessment of 2,400 clients before any portfolio activity would be disproportionate and could itself harm clients by creating a management vacuum. The 60-day outreach period with follow-up calls represents a commercially reasonable, risk-based approach. Under MiFID II Article 25 and the ESMA guidelines, the obligation is to have a reasonable basis for suitability -- and Rheingold's assessments, absent client notification of changes, provide that basis.

The FCA's position, however, would likely invoke the Consumer Duty's more expansive requirements. PRIN 12 requires firms to act to deliver good outcomes for retail customers, which arguably imposes an affirmative obligation that goes beyond simply inheriting another firm's work product. The FCA could argue that Meridian became the provider of a new service relationship -- not a continuation of Rheingold's -- and that each client's suitability profile should reflect Meridian's own independent assessment of the client's needs, particularly given that Meridian may employ different investment strategies, product selections, and risk frameworks than Rheingold. For the 340 non-responsive clients, the FCA could contend that continuing active portfolio management (including trades into complex products like structured products and AIFs) without any direct client engagement constitutes a failure to ensure suitability on an ongoing basis.

IOSCO's 2021 Suitability Principles similarly emphasize that the intermediary providing the service bears independent responsibility for the suitability determination, which arguably cannot be delegated or inherited. ASIC's §961B best interests duty, while not directly applicable, would support the principle that the advising entity must form its own reasonable basis.

Item 48 of 250

Topic: cross_border_suitability_limited_scope_advice

Standard: NZ FMC Act 2013 ss 431I-431R (as inserted by FSLAA 2019); NZ Code of Professional Conduct for Financial Advice Services (competence, suitability, client care standards); FCA Consumer Duty (PRIN 2A, PRIN 12) including cross-cutting rules on avoiding foreseeable harm and distribution chain responsibilities; MiFID II Art. 25 (suitability and appropriateness); IOSCO Suitability Requirements for Distribution of Complex Financial Products (2013, updated 2021); ASIC Corporations Act 2001 s961B (best interests duty) by analogy

Likely Outcome: The NZ FMA would likely find that Meredith's conduct fell short of her suitability and client-understanding obligations, but the outcome would depend heavily on the specific factual record. If Meredith can demonstrate she discussed the holding period and David acknowledged understanding it, the FMA might treat this as a procedural failing (lack of written scope disclosure) warranting a warning or remedial action rather than formal enforcement. SCWP as the FAP would likely face scrutiny over its supervisory systems -- specifically whether it had adequate processes to ensure advisers were not mechanically relying on HGS tools without independent suitability analysis. The FCA's position on HGS is less certain: while the Consumer Duty's distribution chain expectations are broad, enforcement against a UK manufacturer for the conduct of a non-FCA-authorised overseas intermediary would be an aggressive and likely contested use of PRIN 12. More probably, the FCA would require HGS to enhance its due diligence on overseas distribution partners and impose contractual requirements for target market adherence, rather than pursue formal enforcement. IOSCO suitability principles and ASIC's best interests duty (s961B) would support the general proposition that the adviser bears primary responsibility, but neither would directly govern this NZ-UK fact pattern.

Source: 23_International_Comparative

Fact Pattern

Meredith Chen is a New Zealand-based financial adviser employed by Southern Cross Wealth Partners (SCWP), a licensed financial advice provider under the FMC Act. SCWP has recently partnered with Hargreaves Global Solutions (HGS), a UK-authorised firm regulated by the FCA, to offer NZ clients access to a curated range of UK-domiciled ESG funds. Under the arrangement, Meredith provides initial advice to NZ-resident clients about their financial goals and risk tolerance, then recommends specific HGS ESG funds from a restricted list of twelve products. HGS provides product factsheets, model portfolios, and a proprietary risk-scoring algorithm that Meredith uses to match clients to funds. Meredith holds the NZ Certificate in Financial Services (Level 5) and has completed a short HGS-provided training module on the twelve funds, but has no UK-specific qualifications, no FCA authorisation, and limited familiarity with the underlying UK regulatory framework, UCITS structures, or the FCA's Consumer Duty requirements.

A client, David Pōtiki, aged 62 and approaching retirement, meets with Meredith. He explains he wants moderate growth with capital preservation and is attracted to ESG investing for ethical reasons. Meredith uses the HGS algorithm, which classifies David as a 'balanced' investor, and recommends the HGS Sustainable Growth Fund -- a fund that has performed well historically but carries concentration risk in UK renewable energy infrastructure with a 5-7 year recommended holding period and limited liquidity windows. Meredith discloses orally that she can only advise on the twelve HGS funds and not the broader market, but does not provide this limitation in writing before giving the recommendation. She does not explore whether a New Zealand-domiciled KiwiSaver or managed fund might better serve David's retirement timeline and liquidity needs. The HGS factsheet, written to FCA Consumer Duty standards, includes a 'target market determination' indicating the fund is designed for investors with at least a seven-year horizon -- a detail Meredith does not specifically draw to David's attention.

Six months later, David needs to access his capital due to an unexpected health issue. He discovers he cannot redeem for another eighteen months without a significant penalty. He complains to SCWP, and the matter is referred to the Financial Markets Authority (FMA). Separately, the FCA's supervisory team reviewing HGS's overseas distribution arrangements flags the case as a potential Consumer Duty concern under PRIN 12, questioning whether HGS ensured good outcomes for an overseas retail client accessing its products through a non-FCA-authorised intermediary.

Why Borderline

This case sits at the intersection of multiple genuine ambiguities: (1) the NZ regime expressly permits limited-scope advice, but the boundary between permissible limitation and negligent narrowing of the advice frame is fact-dependent and unsettled; (2) reliance on a product provider's algorithm for suitability assessment is increasingly common but the degree to which it substitutes for independent adviser judgment is contested; (3) oral versus written disclosure of scope limitations is not definitively resolved -- the statute requires 'reasonable steps' but does not mandate written form; (4) the cross-jurisdictional question of whether the FCA's Consumer Duty creates obligations for a UK product manufacturer regarding outcomes delivered through a non-FCA-authorised foreign intermediary is a genuinely novel regulatory frontier with no definitive precedent. Reasonable compliance professionals could disagree on every element.

Borderline Factors

- * Whether oral-only disclosure of advice scope limitations constitutes 'reasonable steps' under s431K FMC Act, given the client's age, complexity of the product, and absence of written confirmation before the recommendation
- * Whether mechanical reliance on a product provider's proprietary risk algorithm satisfies the adviser's independent suitability obligation, particularly when the algorithm's output conflicted with obvious client-specific factors (age, retirement proximity, liquidity needs)
- * Whether confining recommendations to a restricted panel of a single commercial partner's products, without exploring potentially more suitable NZ-domiciled alternatives, breaches the duty to give priority to client interests under s431L -- or falls within permissible limited-scope advice
- * Whether the FCA Consumer Duty (PRIN 12) imposes an obligation on a UK product manufacturer to monitor and ensure good client outcomes when its products are distributed by a non-FCA-authorised overseas intermediary, and how this interacts with the NZ regime's allocation of responsibility to the local adviser and FAP

Analysis

The NZ FMA would examine whether Meredith met her duties under sections 431I-431P of the FMC Act. The strongest argument for a violation is that Meredith failed the suitability obligation by recommending a product with a 5-7 year lock-in and limited liquidity to a 62-year-old pre-retiree without adequately considering his actual retirement timeline and liquidity needs, and that she relied mechanically on HGS's proprietary algorithm rather than exercising independent professional judgment. The failure to provide the scope limitation in writing before giving advice arguably breaches her duty to ensure the client understands the nature and scope of the advice (s431K). Furthermore, by confining her analysis to twelve HGS funds without considering whether NZ-domiciled alternatives might better serve the client, she may have failed to give priority to her client's interests over the commercial interests of SCWP's partnership with HGS.

The defense would argue that Meredith legitimately provided limited-scope advice, which is expressly contemplated by the regime, and that she disclosed the limitation orally before recommending. The HGS algorithm provided a reasonable, systematic basis for risk-matching, and Meredith supplemented it with her own assessment of David's goals. The factsheet containing the target market determination was provided to David, who bore some responsibility for reading it. As for the cross-border dimension, SCWP would argue it is NZ-regulated, not subject to FCA jurisdiction, and that HGS's Consumer Duty obligations relate to its own conduct, not to every downstream intermediary. The FCA, conversely, would contend that under PRIN 12 and the new Consumer Duty's 'distribution chain' expectations, HGS

has a responsibility to ensure that its products reach appropriate end-clients even when distributed through overseas intermediaries, and that the target market determination was not effectively communicated through the chain.

Item 49 of 250

Topic: cross_border_robo_advice_suitability_divergence

Standard: FCA Consumer Duty (PRIN 2A, PRIN 12); FCA COBS 9A (suitability); MiFID II Article 25(2) and (6); ESMA Guidelines on Suitability Requirements (ESMA35-43-869); Commission Delegated Regulation (EU) 2017/565 Articles 54-56; IOSCO Suitability Requirements for the Distribution of Complex Financial Products (2013, updated 2021); ASIC Corporations Act 2001 §961B (best interests duty); ASIC Regulatory Guide RG 255 (Providing digital financial product advice)

Likely Outcome: The FCA is most likely to require NovusWealth UK to enhance its process -- specifically demanding more robust handling of inconsistent client inputs (e.g., mandatory revision rather than override), more personalized suitability reports, and potentially human escalation pathways for clients whose profiles suggest complexity the algorithm cannot adequately assess. This would likely be resolved through supervisory engagement and a voluntary undertaking rather than formal enforcement, as the firm's process is not egregiously deficient but falls short of the Consumer Duty's aspirational standard. ASIC is likely to take a harder line, potentially issuing a formal finding that the 'reasonable investigation' step is not met by the questionnaire alone, drawing on precedent from *Westpac Securities Administration Ltd v ASIC*, and requiring supplemental information-gathering for Australian clients. The EU operations would likely face no enforcement action, as the process aligns with MiFID II requirements and ESMA's proportionality guidance for robo-advice. The net result is that the firm would need to build jurisdiction-specific process layers on top of its core algorithm -- precisely the fragmentation the EBF warned against in its consultation response.

Source: 23_International_Comparative

Fact Pattern

NovusWealth AG, a German-headquartered digital investment platform, operates a robo-advisory service across the EU, UK, and Australia through locally licensed subsidiaries. The platform collects client information through an algorithmically driven questionnaire -- approximately 22 questions covering risk tolerance, investment horizon, financial situation, and investment objectives -- and then automatically generates a recommended portfolio from a curated range of ETFs and model portfolios. The questionnaire and algorithm were designed centrally in Frankfurt by the firm's product development team and are deployed identically across all jurisdictions with only minor language localization.

In March 2024, the UK subsidiary (NovusWealth UK Ltd, FCA-authorized) onboards 4,200 retail clients using this standardized questionnaire. The platform's algorithm classifies clients into five risk profiles and recommends one of five corresponding model portfolios. When a client's answers are internally inconsistent -- for example, indicating both a very short investment horizon and a high risk tolerance -- the system flags the inconsistency and presents a pop-up asking the client to confirm or revise their answers, but does not prevent the client from proceeding with the original inconsistent inputs if they click 'confirm.' The suitability report generated is a standardized, template-based document that references the client's stated preferences but does not contain a personalized narrative explanation of why the specific portfolio was suitable for that individual client.

Dr. Helen Marchetti, the Chief Compliance Officer for NovusWealth's EU operations, approved the questionnaire design after benchmarking it against MiFID II Article 25 requirements and ESMA's 2018 suitability guidelines. She determined that the 22-question format satisfied the 'necessary information' requirement and that the pop-up confirmation mechanism adequately addressed the obligation to handle inconsistent client information. The same framework was adopted by the UK and Australian subsidiaries without material modification.

In late 2024, the FCA opens a supervisory review of NovusWealth UK under the Consumer Duty (PRIN 12, effective

July 2023), focusing on whether the standardized robo-advice process delivers 'good outcomes' for retail clients. Simultaneously, ASIC's Financial Services division queries NovusWealth's Australian subsidiary about whether its best-interests obligation under §961B of the Corporations Act is met by the algorithm, given that the system does not conduct a 'reasonable investigation' into the client's circumstances beyond the questionnaire. The EU operations remain subject to MiFID II Art. 25 and ESMA's updated suitability guidelines, under which no enforcement inquiry has been opened.

Why Borderline

This scenario sits in a genuine gray zone because the firm has designed a process that is defensible -- and likely compliant -- under the prescriptive, input-focused framework of MiFID II Art. 25 and ESMA's suitability guidelines, which the EBF response specifically argues should be the harmonized standard for robo-advice. Yet the identical process is being assessed under two additional regulatory frameworks (FCA Consumer Duty, ASIC best-interests) that impose qualitatively different obligations -- one outcomes-focused, one principles-based -- neither of which has established clear precedent for how algorithmic advisory processes should be evaluated. The firm made a reasonable commercial and compliance judgment to deploy a single global framework, and the question of whether jurisdiction-specific tailoring is legally required (versus merely prudent) is genuinely unsettled. The inconsistency-override mechanism and template suitability reports are not clearly deficient -- they represent a reasonable design choice -- but they are precisely the type of features that an outcomes-focused regulator could characterize as prioritizing scalability over genuine client protection.

Borderline Factors

- * Whether MiFID II-compliant suitability processes automatically satisfy the FCA Consumer Duty's higher 'good outcomes' standard, given that UK suitability rules were originally derived from MiFID II but the Consumer Duty represents a distinct regulatory layer
- * Whether a pop-up confirmation mechanism for inconsistent client inputs constitutes adequate handling of information inconsistencies under all three regulatory regimes, or whether it is a 'rubber stamp' that fails to protect clients from self-harming choices
- * Whether ASIC's 'reasonable investigation' requirement under §961B can be satisfied by a standardized digital questionnaire without any follow-up inquiry or human intervention for edge cases
- * Whether the absence of a personalized narrative in the suitability report -- as opposed to a template referencing stated preferences -- breaches the Consumer Duty's 'consumer understanding' outcome or ESMA's requirement that suitability reports explain how advice matches client characteristics

Analysis

The core legal question is whether a standardized, algorithmically driven suitability process -- designed to comply with MiFID II's prescriptive information-gathering requirements -- can simultaneously satisfy the UK FCA's outcomes-focused Consumer Duty and Australia's principles-based best-interests obligation without jurisdiction-specific adaptation. Under MiFID II Article 25 and ESMA's guidelines, firms must obtain 'necessary information' about the client's knowledge, experience, financial situation, and investment objectives. ESMA's consultation paper (the source document) explicitly acknowledges the legitimacy of robo-advice and calls for proportionate application of suitability requirements, suggesting that a well-designed algorithm with adequate information gathering could satisfy EU standards. The EBF's response reinforces this by advocating for a level playing field and warning against national gold-plating. NovusWealth can argue that its 22-question process, combined with its inconsistency-detection mechanism, meets or exceeds the EU standard, and that the same substance should satisfy functionally equivalent requirements elsewhere.

However, the FCA's Consumer Duty imposes a distinct, higher-order obligation: firms must act to deliver 'good

outcomes' for retail customers, with specific focus on whether the price and value, product suitability, consumer understanding, and consumer support outcomes are actually achieved -- not merely whether the correct process was followed. The FCA has signaled that template-based suitability reports that do not demonstrate genuine personalization may fail the Consumer Duty's 'consumer understanding' outcome, even if they technically satisfy legacy MiFID II-derived conduct rules. The pop-up confirmation mechanism for inconsistent answers -- while procedurally defensible -- could be viewed as a 'friction-less override' that does not genuinely protect consumers from poor outcomes. Under ASIC's §961B, the best-interests obligation requires the adviser (including a digital adviser) to conduct a 'reasonable investigation' into the client's relevant circumstances, which Australian courts have interpreted as requiring more than passive reliance on client self-reporting. The absence of any follow-up or probing beyond the questionnaire could be seen as insufficient, particularly for clients with complex financial situations that the algorithm cannot detect from 22 standardized questions.

Item 50 of 250

Topic: best_interests_safe_harbour_stockbroker_execution_advice

Standard: Corporations Act 2001 (Cth) s766B(3) (definition of personal advice); s961B (best interests duty and safe harbour steps); s961M (civil liability of licensee); s912A(1)(a) (efficient, honest and fair obligation); s912A(1)(g) (dispute resolution); ASIC RG175 (Financial product advisers -- conduct and disclosure); ASIC CP182 (proposed updates to RG175 regarding best interests duty); AFSL Pro Forma 209 condition 57(b) (record retention for personal advice); ASIC Regulatory Guide 244 (Giving information, general advice and scaled advice)

Likely Outcome: AFCA would likely find in Diane's favour on the narrow question of whether personal advice was provided, applying the broad, consumer-protective interpretation of s766B(3) that ASIC has consistently favoured. A panel would probably conclude that Marcus's reference to concentration risk, made with actual knowledge of Diane's age and retirement plans, objectively involved consideration of her personal circumstances, thereby triggering the best interests duty. However, the quantum of any compensation would likely be reduced significantly -- possibly by 50-70% -- on the basis of Diane's contributory conduct as an experienced, self-directed investor who initiated the trade and expressly confirmed her decision after the risk was flagged. Pemberton's reliance on its compliance manual classification would be given limited weight because internal labels cannot override the statutory definition. The record-keeping deficiency would be treated as a separate compliance failure but would primarily serve as an evidentiary gap that undermines Pemberton's defence rather than an independent basis for liability. This outcome reflects the tension the Stockbrokers Association identified in its CP182 submission: execution-focused stockbrokers face a real risk that any contextualised client communication may inadvertently cross the personal advice threshold.

Source: 23_International_Comparative

Fact Pattern

Marcus Holt is a licensed stockbroker at Pemberton Securities Pty Ltd, an AFSL holder based in Sydney. Marcus has a long-standing client, Diane Travers, a self-described experienced investor who has traded actively through Marcus for over twelve years. Diane typically initiates contact, identifies specific ASX-listed securities she wants to buy or sell, and instructs Marcus to execute. On 14 March 2024, Diane calls Marcus and says she wants to purchase \$380,000 worth of shares in Aurelia Lithium Ltd (ALX), a speculative junior mining company. This would represent approximately 35% of her total portfolio. Marcus knows from prior conversations that Diane is 62, is planning to retire within three years, and has recently shifted a significant portion of her superannuation into conservative fixed-income products. Marcus mentions on the call that the position size is 'pretty chunky for a single spec stock' and asks whether she's comfortable with the concentration risk. Diane responds that she's done her own research, has read the company's quarterly activities report, and is confident. Marcus executes the trade.

Pemberton Securities' compliance team later reviews the transaction as part of a quarterly audit. The compliance officer notes that Marcus's file contains a brief note of the phone call ('Client initiated. Discussed concentration risk. Client confirmed comfortable. Executed.') but no formal written record of Diane's relevant personal circumstances at the time of the trade, no documented assessment of whether the recommendation was consistent with her retirement timeline, and no Statement of Advice. Marcus's position is that he provided no personal advice -- Diane instructed him and he merely executed, with his comment about concentration risk being an incidental observation rather than a recommendation. Pemberton's compliance manual classifies broker-initiated commentary about portfolio composition as 'general risk observations' that do not trigger the personal advice obligations under Division 2 of Part 7.7A.

Six months later, Aurelia Lithium's share price drops 72% following a failed drilling campaign. Diane lodges a complaint with the Australian Financial Complaints Authority (AFCA), arguing that Marcus should have formally assessed whether the trade was in her best interests given her age, retirement timeline, and the speculative nature of the stock. She contends that his comment about concentration risk constituted personal advice because it implicitly took into account her personal circumstances. Pemberton defends on the basis that the interaction was execution-only, that Marcus was acting on client instruction, and that the safe harbour provisions in s961B(2) are irrelevant because the best interests duty was never triggered.

Why Borderline

This scenario sits precisely on the fault line between execution-only stockbroking and personal advice that triggers the best interests duty under s961B. The ambiguity arises because Marcus's comment was neither a clear recommendation nor a purely generic observation -- it was a contextualised remark made by a broker who possessed actual knowledge of the client's personal circumstances. Reasonable experts disagree on whether a broker's incidental, client-specific risk observation during an execution-only interaction crosses the threshold into personal advice. The Stockbrokers Association's own submission to CP182 advocated for clear recognition that execution services should not inadvertently trigger best interests obligations, yet ASIC's objective test in RG175 looks at whether the adviser 'ought reasonably to have considered' the client's circumstances -- and Marcus plainly had that knowledge. The record-keeping issue compounds the ambiguity: the minimal file note is arguably adequate for an execution-only service but woefully inadequate if the interaction is recharacterised as personal advice.

Borderline Factors

- * Whether Marcus's comment about concentration risk in a 'spec stock' objectively constituted consideration of Diane's personal circumstances under the s766B(3) personal advice definition, given his actual knowledge of her age and retirement timeline
- * The distinction between a broker's incidental risk observation during execution and a substantive recommendation that triggers Division 2 best interests obligations -- a boundary ASIC's CP182 guidance does not definitively resolve
- * Whether Pemberton's compliance manual classification of portfolio-level comments as 'general risk observations' provides a defensible institutional safe harbour or merely an internal label that cannot override the statutory objective test
- * The adequacy of Marcus's brief file note under existing AFSL record-keeping conditions (Pro Forma 209 clause 57(b)) if the interaction is subsequently recharacterised as personal advice requiring full documentation of relevant personal circumstances

Analysis

The central legal question is whether Marcus's comment -- 'pretty chunky for a single spec stock' in the context of knowing Diane's age, retirement horizon, and recent conservative superannuation decisions -- constituted personal advice under s766B(3) of the Corporations Act, which defines personal advice as advice given where the provider has considered or ought reasonably to have considered one or more of the client's objectives, financial situation, or needs. If Marcus's remark is characterised as merely a factual observation about position sizing that any broker might make to any client regardless of circumstances, it falls outside the personal advice boundary and no best interests obligation arises. However, ASIC's guidance in RG175 and its proposed CP182 updates emphasise that the test is objective -- it is not solely about the adviser's subjective intention but whether a reasonable person would conclude the adviser considered the client's personal circumstances. Marcus demonstrably knew Diane's retirement timeline and recent shift to conservative investments; his specific reference to concentration risk in a 'spec stock' arguably reflects an implicit assessment that the trade might not suit her circumstances.

On the defence side, the Stockbrokers Association's submission to CP182 specifically highlights that the best interests

duty applies to the 'advice provider' -- the individual -- and that execution-only services must be clearly delineated. Pemberton's compliance manual classification of portfolio-level comments as 'general risk observations' provides an institutional framework that supports Marcus's position. Furthermore, Diane is an experienced, self-directed investor who initiated the trade and expressly confirmed her comfort after Marcus flagged the risk -- facts that weigh heavily in stockbroking contexts where client autonomy is respected. The absence of any formal recommendation language ('I think you should' or 'I wouldn't recommend') also supports the execution characterisation. However, AFCA and ASIC have historically taken a broad, consumer-protective view of what constitutes personal advice, and the fact that Marcus's comment was tailored to Diane's specific portfolio concentration (rather than a generic disclaimer) makes it harder to argue it was purely general.

Item 51 of 250

Topic: cross_border_delegation_suitability_obligations

Standard: CIRO Rule 1103(1)-(2) (delegation of functions); CIRO suitability and KYC/KYP obligations (Rules 3400 series); FCA Consumer Duty (PRIN 12, particularly Outcome 4 on suitability of products and services); MiFID II Article 25 (assessment of suitability and appropriateness); IOSCO Suitability Requirements for the Distribution of Complex Financial Products (2021 update); ASIC §961B (best interests duty and reasonable steps, as comparative reference for functional delegation in advisory contexts)

Likely Outcome: A CIRO enforcement panel would most likely find a technical violation of the suitability and supervision obligations, but the severity of sanctions would be significantly mitigated by the firm's good-faith compliance framework and the absence of demonstrated client harm. The panel would likely hold that suitability determinations constitute an indivisible core function that cannot be delegated under Rule 1103, and that the perfunctory secondary review failed to constitute meaningful exercise of retained responsibility. However, the panel would likely acknowledge the absence of clear guidance on cross-border delegation arrangements and Northfield's documented effort to address the delegation provisions, resulting in a requirement to restructure the arrangement -- with Approved Persons conducting substantive independent suitability reviews -- rather than punitive sanctions. The firm would likely receive a cautionary letter or modest fine, with the case potentially prompting CIRO to issue new guidance on cross-border delegation of analytical functions, potentially informed by IOSCO's equivalence principles.

Source: 23_International_Comparative

Fact Pattern

Northfield Capital Partners is a Canadian CIRO (formerly IIROC) Dealer Member headquartered in Toronto that operates a wealth management division serving high-net-worth clients with significant international holdings. In 2023, Northfield entered into a strategic arrangement with Pemberton Wealth Advisers LLP, a UK-based firm authorized by the FCA, whereby Pemberton's London-based analysts provide bespoke investment research and model portfolios tailored to Northfield's Canadian clients who hold UK and European securities. Under the arrangement, Pemberton analysts -- who are not Approved Persons under CIRO rules -- conduct detailed suitability assessments for the international portion of each client's portfolio using FCA Consumer Duty (PRIN 12) and MiFID II Article 25 standards, which Northfield's Chief Compliance Officer, Sandra Fong, believes are substantively equivalent to or more rigorous than CIRO's own suitability and KYC/KYP requirements.

Northfield's designated Approved Persons in Toronto -- supervised by Branch Manager Derek Okonkwo -- receive the Pemberton model portfolio recommendations and, per internal policy, are required to perform a 'secondary review' before executing trades for clients. In practice, internal audit findings reveal that this secondary review typically takes between 90 seconds and four minutes per recommendation and consists primarily of confirming that the recommended securities fall within the client's stated risk tolerance band in Northfield's CRM system. The Approved Persons do not independently assess the suitability rationale, the client's full financial picture as it relates to the international holdings, or whether the Pemberton assessment was conducted under standards truly equivalent to CIRO's. Approximately 340 client accounts worth CAD \$1.2 billion in aggregate have been managed under this arrangement over 18 months.

Sandra Fong documented the arrangement in a compliance memorandum citing Rule 1103 (delegation provisions), arguing that Northfield has delegated certain 'tasks or activities' -- specifically, the analytical work underlying suitability determinations for international holdings -- to Pemberton, while retaining 'responsibility for the function' within the Approved Persons and Branch Manager. She further argued that because IOSCO's 2021 Suitability Principles and both the FCA Consumer Duty and MiFID II suitability frameworks informed Pemberton's methodology, the substantive client

protection outcomes are met or exceeded. CIRO's enforcement division has opened a preliminary inquiry after a routine examination flagged the arrangement, questioning whether the delegation effectively transferred the suitability obligation itself -- not merely ancillary tasks -- to non-Approved Persons outside Canadian regulatory jurisdiction.

Why Borderline

This scenario is genuinely ambiguous because Rule 1103 draws a distinction between delegable 'tasks or activities' and non-delegable 'responsibility for the function' without defining where the analytical work underlying a suitability determination ends and the suitability function itself begins. There is no CIRO guidance or enforcement precedent squarely addressing whether outsourcing substantive suitability analysis to a well-regulated foreign firm -- while retaining nominal final approval authority -- constitutes permissible task delegation or impermissible functional abdication. The quality of the secondary review is the pivotal factual question: if the Approved Persons' review were more robust, the arrangement would likely be defensible; as conducted, it sits in a zone where the review arguably existed in form but not substance. Complicating matters further, the international comparative dimension -- where IOSCO principles explicitly contemplate cross-border advisory equivalence and the FCA Consumer Duty is arguably more protective -- creates a plausible policy argument that the arrangement advances investor protection even if it doesn't fit neatly within CIRO's domestic delegation framework.

Borderline Factors

- * Rule 1103's distinction between delegable 'tasks or activities' and non-delegable 'responsibility for the function' is undefined as applied to suitability analysis -- reasonable interpretations support both sides
- * The secondary review by Approved Persons exists formally but is arguably so perfunctory (90 seconds to 4 minutes, single-factor check) that it may not constitute meaningful exercise of the retained suitability function
- * Pemberton operates under FCA Consumer Duty and MiFID II standards that are arguably substantively equivalent to or stronger than CIRO suitability requirements, creating a genuine policy question about whether outcomes-based equivalence satisfies Canadian obligations
- * No CIRO enforcement precedent or published guidance addresses cross-border delegation of suitability analysis to regulated foreign firms, leaving the legal question genuinely unsettled

Analysis

The strongest argument in Northfield's defense rests on the plain language of Rule 1103(1), which permits delegation of 'tasks or activities involved in performing the function' so long as the CIRO requirements do not specifically prohibit such delegation. Northfield can argue that suitability analysis is a multi-step process: gathering client information, analyzing investment characteristics, constructing model portfolios, and making a final suitability determination. The firm delegated intermediate analytical tasks to a well-regulated foreign firm while its Approved Persons retained the final decisional authority and the formal responsibility. Sandra Fong's compliance memo explicitly addressed Rule 1103(2)'s non-delegation of 'responsibility for the function,' and the firm can point to IOSCO's 2021 Suitability Principles -- which contemplate cross-border advisory arrangements and emphasize outcomes-based equivalence -- as supporting the view that substantively equivalent foreign regulatory standards satisfy the spirit of Canadian investor protection requirements. Additionally, the FCA's Consumer Duty standard (PRIN 12) arguably imposes a higher bar than CIRO's suitability framework by requiring firms to deliver 'good outcomes' for retail customers, meaning the international overlay may have enhanced rather than diminished client protection.

The enforcement case, however, centers on whether the 'secondary review' performed by Approved Persons was so perfunctory that it constituted a de facto abdication of the suitability function itself, not merely delegation of subsidiary tasks. A 90-second to four-minute review that checks only a risk tolerance band -- without independently assessing the client's complete financial situation, the specific investment characteristics under Canadian standards, or the adequacy of the foreign analysis -- arguably means the substantive suitability determination was made by non-Approved Persons

outside CRO's supervisory jurisdiction. Rule 1103(2) states that 'responsibility for the function' cannot be delegated, and CRO could argue that a suitability determination is an indivisible regulatory function, not a collection of separable tasks. Furthermore, the fact that Pemberton operates under FCA/MiFID II standards does not make those standards automatically equivalent to CRO's specific KYC and KYP obligations, which have particular Canadian statutory underpinnings and may impose distinct requirements regarding conflict disclosure, product shelf assessment, and relationship disclosure that UK/EU frameworks address differently.

Item 52 of 250

Topic: cross_border_sfc_licensed_firm_consumer_duty_suitability

Standard: FCA PRIN 12 (Consumer Duty, effective July 2023); FSMA 2000 Sections 19 and 21 (regulated activity and financial promotions); SFC Code of Conduct paragraphs 5.2 and 5.3 (know your client and suitability); Securities and Futures Ordinance (SFO) Schedule 1 (professional investor definition); MiFID II Article 25 (suitability and appropriateness); IOSCO Suitability Requirements for the Distribution of Complex Financial Products (2013, revised 2021); ASIC Corporations Act §961B (best interests duty for personal advice)

Likely Outcome: The FCA would likely assert jurisdiction over Meridian Group Holdings plc for its role in the referral chain and require the UK parent to demonstrate that it took reasonable steps to ensure good client outcomes, potentially resulting in a requirement to enhance due diligence on the Hong Kong affiliate's suitability processes for referred UK clients. However, the FCA would likely stop short of asserting direct regulatory authority over Meridian Hong Kong itself, absent evidence that investment advice or financial promotions were communicated from or into the UK. The SFC, upon review, would likely not find a violation of the professional investor classification but could issue supervisory guidance or a warning letter regarding the adequacy of Meridian's suitability documentation -- particularly the failure to assess liquidity needs and total portfolio context -- noting that even for professional investors, paragraphs 5.2 and 5.3 of the Code of Conduct require suitability assessments that are reasonable in the circumstances. The most likely resolution is a negotiated outcome where both regulators require enhanced procedures for cross-referred clients without a formal finding of violation, but the UK parent may face a Consumer Duty remediation requirement to compensate affected clients for the information gap.

Source: 23_International_Comparative

Fact Pattern

Meridian Capital Advisory Limited ('Meridian') is an SFC-licensed corporation (Type 1 and Type 9) established in Hong Kong by its parent company, Meridian Group Holdings plc, a UK-authorized firm regulated by the FCA. Meridian's Hong Kong office employs 14 staff, including three Responsible Officers, and primarily manages discretionary portfolios for high-net-worth individuals across Asia Pacific. In early 2024, Meridian begins onboarding a cohort of 22 clients who are UK-resident dual nationals (British-Hong Kong) referred by the London parent. These clients maintain significant assets in Hong Kong but retain UK tax residency and UK bank accounts as their primary funding sources. Meridian's compliance team categorizes all 22 clients as 'professional investors' under Hong Kong's Securities and Futures Ordinance (SFO) based on their individual portfolio sizes exceeding HK\$8 million, and accordingly applies a lighter-touch suitability assessment consistent with the SFC Code of Conduct's provisions for professional investors.

The portfolios constructed for these clients include significant allocations (35-50%) to illiquid structured products linked to private credit in mainland China, as well as leveraged cryptocurrency fund-of-funds managed by an affiliated entity. The structured products carry a 3-year lock-up and the cryptocurrency allocations are subject to monthly redemption gates. Meridian's Hong Kong suitability process documents each client's investment experience and risk tolerance in a one-page questionnaire but does not assess foreseeable liquidity needs, retirement planning horizons, or the interaction of these products with each client's broader UK-held portfolio. No assessment is conducted under the FCA's Consumer Duty (PRIN 12), which took effect in July 2023, on the basis that Meridian is regulated solely by the SFC and the clients are serviced from Hong Kong.

Six months later, several clients complain that they were not warned about the illiquidity risks in the context of their overall financial position, and that the leveraged crypto allocations were unsuitable given their stated moderate risk appetite. The FCA opens a preliminary inquiry into whether Meridian Group Holdings plc, as the UK parent that referred

these UK-resident clients, has obligations under the Consumer Duty and whether Meridian Hong Kong is effectively carrying on regulated activity in the UK through the referral arrangement. Simultaneously, the SFC reviews Meridian's professional investor classification and the adequacy of its suitability processes under paragraphs 5.2 and 5.3 of the SFC Code of Conduct.

Why Borderline

This scenario sits precisely at the intersection of multiple unresolved regulatory questions: (1) the extraterritorial reach of the FCA Consumer Duty when UK-resident clients are served by overseas affiliates of UK-authorized firms; (2) whether a referral from a UK parent to an overseas subsidiary constitutes 'arranging' or a 'financial promotion' under FSMA; (3) whether Hong Kong professional investor classification is sufficient when the client's circumstances (UK residency, moderate risk appetite, liquidity needs) suggest a more granular suitability analysis is warranted under any reasonable international standard; and (4) whether the SFC's lighter-touch suitability regime for professional investors adequately addresses the IOSCO principle that suitability must account for a client's total financial situation. No regulator has definitively ruled on the Consumer Duty's application to this precise referral structure, and the SFC and FCA have not published joint guidance on how overlapping jurisdiction should be resolved for dual-national clients serviced through intra-group referrals.

Borderline Factors

- * The FCA Consumer Duty's extraterritorial reach to overseas affiliates of UK-authorized firms receiving referred UK-resident clients remains untested in enforcement
- * Whether the UK parent's referral constitutes 'arranging deals in investments' or a 'financial promotion' under FSMA Sections 19 and 21 depends on factual nuances of the referral communications
- * Hong Kong professional investor classification is legally valid under the SFO but arguably fails to capture foreseeable liquidity needs and holistic suitability factors emphasized by IOSCO and the FCA Consumer Duty
- * The 35-50% allocation to illiquid and leveraged products for clients with stated moderate risk tolerance creates a factual suitability tension even under the SFC's lighter professional investor regime

Analysis

The central legal tension is whether a Hong Kong SFC-licensed entity servicing UK-resident clients referred by its UK-regulated parent can avoid the application of the FCA Consumer Duty and MiFID II-derived suitability requirements. Under PRIN 12 (Consumer Duty), UK-authorized firms must act to deliver good outcomes for retail customers, and the FCA has signaled that firms cannot circumvent the Duty by routing clients through overseas affiliates where the substance of the relationship originates in the UK. The FCA could argue that Meridian Group Holdings plc's referral activity constitutes an integral part of the distribution chain, making the parent a 'manufacturer' or 'distributor' under the Consumer Duty's product governance framework, and that the parent bears responsibility for ensuring the end-to-end customer journey delivers good outcomes -- including by ensuring the overseas affiliate's processes meet equivalent standards. If the referral is deemed to involve a 'communication of a financial promotion' or 'arranging deals in investments' occurring in the UK, the Hong Kong entity itself may be conducting regulated activity in the UK without authorization, engaging Section 21 and Section 19 FSMA issues.

Conversely, Meridian's defense is substantial. The Hong Kong entity is independently licensed by the SFC, the clients signed engagement letters governed by Hong Kong law, and all investment management decisions and client interactions occur from Hong Kong. Under the SFC Code of Conduct, classifying clients with portfolios over HK\$8 million as professional investors is explicitly permitted, and the lighter suitability obligations for professional investors are well-established regulatory practice. The IOSCO Suitability Principles (2021) recognize that suitability standards may be calibrated based on client classification, and ASIC's §961B similarly permits reduced obligations for wholesale clients. Meridian can argue the referral was merely an introduction -- no advice or financial promotion was

communicated in the UK -- and that imposing the Consumer Duty extraterritorially would undermine the principle of host-state regulation and Hong Kong's independent regulatory sovereignty. The SFC's own regime is IOSCO-compliant and constitutes a robust, internationally recognized framework.

Item 53 of 250

Topic: concentration_risk_retirement_account_suitability

Standard: FINRA Rule 2111 (Suitability) including customer-specific suitability requiring reasonable basis to believe recommendation is suitable for the particular customer based on investment profile; FINRA Rule 2010 (Standards of Commercial Honor); reasonable-basis and customer-specific suitability obligations; concentration risk principles established in FINRA guidance regarding over-concentration in single sectors or securities.

Likely Outcome: A FINRA arbitration panel would likely find in favor of the claimant and award partial damages. The concentration of 45% of a retirement account in two energy MLPs for a 62-year-old with moderate risk tolerance and capital preservation objectives appears inconsistent with suitability requirements, similar to the source case. However, damages may be reduced to account for Morrison's signed acknowledgments and the income-generation rationale.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Gerald Morrison, age 62, opened an IRA rollover account with Keystone Capital Advisors in March 2018, transferring \$485,000 from his former employer's 401(k) plan. Morrison completed a new account form indicating moderate risk tolerance, a 10-year investment horizon, and primary objectives of income generation and capital preservation for retirement. His annual income was \$78,000 and liquid net worth outside the IRA was approximately \$95,000. His registered representative, David Hartley, recommended investing approximately 45% of the IRA (\$218,000) in two master limited partnerships (MLPs) focused on oil and gas midstream operations--Clearwater Energy Partners and Midland Pipeline Holdings--citing their high dividend yields of 8-10% as ideal for Morrison's income needs. Hartley explained that MLPs historically provided stable income and the energy sector was poised for growth. Morrison signed documentation acknowledging the speculative nature of MLPs but later claimed Hartley downplayed concentration risks and the vulnerability of these securities to commodity price fluctuations. By December 2019, both MLPs had declined significantly amid industry restructuring and oil price volatility, resulting in combined losses of approximately \$156,000 in Morrison's IRA. Morrison filed an arbitration claim alleging the concentrated MLP position was unsuitable given his moderate risk profile, retirement timeline, and the fact that this IRA represented the majority of his retirement savings.

Why Borderline

The case involves tension between documented income objectives that arguably support high-yield MLPs and concentration risk principles that counsel against placing 45% of a retiree's primary retirement account in volatile sector-specific securities.

Borderline Factors

- * Customer signed speculative investment disclosures acknowledging MLP risks
- * Income objective creates reasonable argument for high-yield securities despite moderate risk tolerance
- * 45% concentration is substantial but not majority allocation, leaving room for diversification argument

Analysis

The suitability analysis presents legitimate arguments on both sides. Supporting a finding of unsuitability: A 45% concentration in a single sector--particularly energy MLPs with known volatility and sensitivity to commodity prices--appears inconsistent with a moderate risk tolerance and capital preservation objective. Morrison was 62 years old with limited liquid assets outside this IRA, making this account critical to his retirement security. FINRA Rule 2111

requires that recommendations be suitable based on the customer's entire financial situation, and concentrating nearly half of a retiree's primary retirement account in two speculative energy securities raises serious concerns. The arbitration award in the source case found liability where an adviser concentrated retirement funds in energy stocks inconsistent with risk tolerance. However, supporting compliance: Morrison had a 10-year investment horizon, suggesting some capacity for volatility. The 45% allocation, while concentrated, still left 55% of the portfolio presumably in more conservative investments. MLPs were historically considered income-generating vehicles, arguably aligned with Morrison's stated income objective. Morrison signed disclosures acknowledging the speculative nature of MLPs, suggesting informed consent. Hartley could argue that within a diversified overall portfolio context, the MLP allocation was reasonable for yield enhancement. The losses occurred due to broader market conditions rather than foreseeable unsuitability at the time of recommendation.

Item 54 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentrated positions; SEC Regulation Best Interest care obligation for recommendations made after June 30, 2020

Likely Outcome: The additional purchase recommendation would likely be found unsuitable given the clear conflict with the customer's documented investment objectives and risk tolerance. While customer preference is relevant, it does not override the broker's independent suitability obligation, particularly when the recommendation exacerbates existing concentration risk for a retiree with income needs. The panel would likely find the recommendation to add to the position violated Rule 2111, though damages might be limited to losses attributable to the new purchase rather than the pre-existing position.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative Thomas Brennan of Meridian Capital Advisors recommended that his client, Dorothy Simmons, age 68, maintain and add to her concentrated position in a single technology stock that comprised approximately 65% of her \$420,000 retirement portfolio. Mrs. Simmons had retired two years earlier from the technology company and had accumulated the shares through an employee stock purchase plan over 25 years. Her investment profile indicated moderate risk tolerance, income and capital preservation objectives, a 10-15 year time horizon, and annual income needs of approximately \$18,000 from her portfolio. Brennan documented that Mrs. Simmons expressed strong emotional attachment to the stock, stating she 'believed in the company' and was reluctant to sell shares she had accumulated throughout her career. Rather than recommending diversification, Brennan recommended she purchase an additional \$35,000 of the same stock when it declined 20% in early 2022, characterizing it as 'buying the dip.' By December 2022, the stock had declined an additional 45%, reducing her total portfolio value to approximately \$195,000. Mrs. Simmons filed a complaint alleging the recommendation to maintain and increase her concentrated position was unsuitable given her retirement status and income needs. Brennan maintains he respected his client's clearly expressed wishes and that forcing diversification would have violated her autonomy.

Why Borderline

The case sits at the intersection of respecting documented customer preferences and the independent obligation to ensure recommendations are objectively suitable for a retiree's risk profile and income needs.

Borderline Factors

- * Customer's express documented preference to maintain the concentrated position
- * Affirmative recommendation to increase rather than merely hold the position
- * Mismatch between stated moderate risk tolerance/income objectives and actual portfolio construction

Analysis

This case presents a genuine tension between customer autonomy and the broker's suitability obligation. Supporting a finding of violation: FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. A 65% concentration in a single

volatile stock for a 68-year-old retiree with income needs and moderate risk tolerance appears facially unsuitable, particularly the recommendation to increase the position. The quantitative suitability component requires that even if each individual transaction might be suitable, the cumulative effect must also be appropriate. Adding \$35,000 to an already concentrated position amplified rather than mitigated the risk. Supporting compliance: Brennan documented the customer's express preference to maintain her position, and FINRA guidance acknowledges that customer-directed trades may fall outside suitability obligations. Mrs. Simmons had a long relationship with the company, understood its business, and explicitly communicated her wishes. The 10-15 year time horizon provided some buffer for volatility. Additionally, Brennan may argue he made a 'hold' recommendation implicitly by not recommending sale, and hold recommendations were not explicitly covered by Rule 2111 until the rule was clarified. However, the affirmative recommendation to purchase additional shares clearly constitutes a recommendation subject to suitability analysis, and the documentation suggests Brennan actively encouraged maintaining the position rather than merely accepting customer direction.

Item 55 of 250

Topic: suitability_of_cd_liquidation_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); obligation to disclose material facts under Exchange Act Section 10(b) and Rule 10b-5 regarding the true cost and mechanics of the recommended transactions.

Likely Outcome: A panel would likely find partial liability, similar to the source case where the arbitrator awarded most but not all of claimed damages. The failure to clearly explain the market value loss represents a material omission that prevented informed consent, even if the underlying strategy had mathematical merit. Damages would likely approximate the realized loss (\$4,800), potentially reduced if the replacement CDs can be shown to have already begun offsetting the loss through higher income.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Tillman, a 72-year-old widow living on a fixed income, held \$85,000 in brokered Certificates of Deposit through Heartland Securities LLC. Her registered representative, David Conroy, contacted her in March 2023 suggesting she liquidate three CDs with remaining terms of 18-24 months to reinvest in newly issued CDs offering rates approximately 1.2% higher. Conroy told Mrs. Tillman that 'rates are at historic highs and this is the time to lock in better yields.' He did not clearly explain that her existing CDs were trading below par value due to the rate environment, nor did he quantify the approximately \$4,800 in market value loss she would realize upon sale. Mrs. Tillman's account profile indicated a conservative risk tolerance, income as her primary objective, and she had previously expressed that capital preservation was essential since these funds represented a significant portion of her liquid savings. After the transactions settled, Mrs. Tillman received her confirmation statements showing the sale proceeds were substantially less than her original CD face values. She filed a complaint alleging Conroy misrepresented the transaction's impact and that the recommendation was unsuitable given her need for capital preservation. Conroy maintained that the net present value of the higher-yielding replacement CDs would make Mrs. Tillman whole within 2.5 years and ultimately increase her total return, making the recommendation suitable for an income-focused investor.

Why Borderline

The recommendation involves a conservative product (CDs) that matches the customer's risk profile, but the execution method caused realized capital losses that arguably conflict with her preservation objective--creating tension between product suitability and transaction suitability.

Borderline Factors

- * Whether suitability encompasses the manner and timing of executing otherwise appropriate investments
- * The adequacy of disclosure regarding below-par CD values and realized losses
- * Whether long-term total return justifies short-term capital impairment for an elderly fixed-income investor

Analysis

This case presents competing interpretations of suitability when a recommendation involves short-term realized losses for potential long-term gains. Supporting a finding of unsuitability: Mrs. Tillman's profile explicitly prioritized capital preservation, and the recommendation resulted in an immediate, realized loss of approximately \$4,800--roughly 5.6% of her CD holdings. For a 72-year-old widow on fixed income, crystallizing losses contradicts her stated objectives. Additionally, Conroy's failure to clearly disclose the market value impact could constitute a material omission, as the

customer could not make an informed decision without understanding she would receive less than face value. The phrase 'lock in better yields' may have created the impression she was simply exchanging old CDs for better ones without cost. Supporting compliance: From a total-return perspective, the recommendation could be mathematically sound if Mrs. Tillman's time horizon extended beyond the 2.5-year break-even point. Higher-yielding CDs still satisfy her income objective and conservative risk tolerance--CDs remain among the safest fixed-income instruments. Conroy could argue he was acting in her interest by capturing historically elevated rates before potential Fed rate cuts. The question becomes whether suitability analysis should focus on the immediate transaction impact or the overall strategy's long-term merit for an income investor. The arbitration precedent in the source case suggests panels scrutinize whether the representative adequately communicated value implications to unsophisticated investors.

Item 56 of 250

Topic: best_execution_alternative_investments

Standard: Investment Advisers Act Section 206(2) (fraud through conduct operating as fraud or deceit); Section 206(4) (fraudulent practices); Rule 206(4)-7 (compliance policies and procedures); fiduciary duty to seek best execution; duty of full and fair disclosure of material conflicts of interest

Likely Outcome: Probable finding of violation under Sections 206(2) and 206(4) with moderate sanctions. The SEC has consistently held that advisers must disclose specific conflicts regarding share class selection and seek lowest available costs absent compelling justification. However, sanctions may be mitigated by the apparent suitability of underlying recommendations and presence of some disclosure, likely resulting in censure, undertakings for enhanced policies, and disgorgement of commissions with potential reduction based on cooperation.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Advisory Partners, LLC, a registered investment adviser based in Denver, Colorado, provides comprehensive wealth management services to approximately 450 clients with combined assets under management of \$185 million. Between March 2021 and August 2023, Meridian's investment adviser representatives recommended non-traded REITs and business development companies to 67 advisory clients, investing approximately \$8.2 million in these alternative investments.

Meridian's clients who invested in alternatives generally had liquid net worth between \$500,000 and \$2 million, moderate-to-aggressive risk tolerances, and investment horizons of 10+ years. The firm's investment committee determined these alternative investments were suitable diversification tools for clients seeking income and reduced correlation to public markets. Each client signed acknowledgment forms describing the illiquidity, limited redemption rights, and higher fee structures associated with these products.

The alternative investments were available in two share classes: Class A shares at \$10.00 per share (including a 7% commission paid to the firm's affiliated broker-dealer) and Class I institutional shares at \$9.30 per share (no commission). Meridian invested all 67 clients in Class A shares, generating approximately \$574,000 in commissions to its affiliated broker-dealer. Meridian's Form ADV disclosed that its IARs 'may receive additional compensation when recommending certain investment products' but did not specifically disclose that lower-cost share classes existed for the same investments or quantify the cost differential. The firm's compliance manual addressed share class selection for mutual funds but contained no specific procedures for alternative investment share class analysis.

Why Borderline

The case involves appropriate underlying investment recommendations with inadequate but not absent conflict disclosure, creating tension between suitability standards (met) and best execution/full disclosure obligations (potentially violated).

Borderline Factors

- * Underlying alternative investments were arguably suitable for client profiles and properly documented
- * Disclosure existed but was generic rather than specific about share class pricing differentials
- * Best execution standards for illiquid alternative investments are less clearly defined than for liquid securities

Analysis

The case presents competing considerations regarding Meridian's best execution and fiduciary obligations. Arguments supporting a violation: Meridian had a clear duty to seek best execution for client transactions. By consistently selecting Class A shares over institutionally-priced Class I shares, clients paid approximately 7.5% more per share for identical economic exposure. The \$574,000 in commissions created an obvious conflict of interest that was inadequately disclosed--the ADV's generic language about 'additional compensation' failed to alert clients that cheaper alternatives existed for the exact same products. The LWM precedent suggests this pattern of selecting higher-cost share classes while receiving commissions violates Sections 206(2) and 206(4).

Arguments supporting compliance: Unlike LWM, Meridian conducted suitability analysis for each client and obtained written acknowledgments of alternative investment characteristics. The underlying product recommendations appear appropriate for clients' risk profiles, time horizons, and diversification needs. Some advisers argue best execution analysis for illiquid alternatives differs from exchange-traded securities--factors like sponsor support, distribution capabilities, and ongoing servicing may justify share class differentials. Meridian also disclosed the existence of conflicts, even if imperfectly. The firm could argue it was compensating affiliated broker-dealer services legitimately provided.

The lack of written procedures specifically addressing alternative investment share class selection compounds the compliance failure, but the firm did have some framework for share class decisions in other contexts, suggesting this may have been an oversight rather than willful neglect.

Item 57 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest's Care Obligation under Exchange Act Section 15(l) requiring reasonable diligence, care, and skill in recommendations

Likely Outcome: A FINRA arbitration panel would likely find in favor of the claimant, concluding the recommendation was unsuitable. While Chen's documentation was thorough, the fundamental mismatch between a near-retiree's moderate risk profile and a 45% allocation to a binary-event biotech position is difficult to reconcile. Panels generally hold that signed acknowledgments cannot cure recommendations that are objectively unsuitable for a customer's stated profile and circumstances.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Chen, a registered representative at Greystone Capital Partners, has worked with client Dorothy Williams, age 58, since 2019. Williams is a recently widowed school administrator with a \$680,000 rollover IRA from her deceased husband's 401(k) and limited investment experience beyond target-date funds. Her stated objectives were growth with moderate risk, with a 7-year time horizon until planned retirement. In March 2024, Chen recommended Williams allocate 45% of her portfolio (\$306,000) to a single biotech company, Meridian Therapeutics, based on his research indicating the company had promising FDA drug trial results expected in late 2024. Chen documented that Williams expressed enthusiasm about the potential gains after he explained the opportunity, and she signed a concentrated position acknowledgment form. Williams' risk tolerance questionnaire from January 2024 indicated she was 'moderate' with a score of 55/100. Chen's rationale memo noted the position could generate substantial returns to help Williams reach her retirement income goals. By December 2024, Meridian's drug trial failed, and Williams' position declined to \$89,000, representing a \$217,000 loss. Williams has filed a complaint alleging the recommendation was unsuitable given her age, limited experience, and reliance on this account for retirement income.

Why Borderline

The case turns on whether documented client enthusiasm and signed risk acknowledgments can satisfy suitability requirements when the underlying recommendation appears inconsistent with the customer's objective profile and retirement dependency.

Borderline Factors

- * Client signed concentration acknowledgment form demonstrating awareness of specific risks
- * 45% concentration in speculative biotech appears facially unsuitable for moderate-risk retiree profile
- * 7-year horizon creates ambiguity about whether recovery time justifies increased volatility exposure

Analysis

Arguments supporting a suitability violation center on the fundamental mismatch between a 45% concentrated position in a speculative biotech stock and Williams' documented profile. She was a 58-year-old widow with limited investment experience, moderate risk tolerance, and heavy dependence on this account for retirement income within 7 years. FINRA Rule 2111's reasonable-basis and customer-specific suitability components require advisers to understand that pre-clinical biotech stocks carry binary event risk that could be catastrophic for retirement savings. The concentration alone--nearly half of her retirement assets in a single speculative equity--appears facially inconsistent with moderate

risk tolerance. Her signed acknowledgment form does not cure unsuitability if the underlying recommendation violated the care obligation.

Conversely, Chen can argue he conducted reasonable diligence on Meridian, documented his rationale, obtained explicit written acknowledgment of concentration risk, and Williams affirmatively expressed enthusiasm for the opportunity. A 7-year horizon arguably provides time to recover from volatility. Williams' 'moderate' classification isn't necessarily incompatible with accepting concentrated positions if the customer understands and accepts specific risks. The acknowledgment form suggests informed consent. Additionally, some regulators have recognized that clients with specific growth objectives may legitimately choose concentrated positions when properly informed. Chen's documentation of her enthusiasm could demonstrate she made an informed decision rather than blindly following advice.

Item 58 of 250

Topic: margin_account_suitability_and_customer_sophistication

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2264 (Margin Disclosure Statement); NYSE Rule 431 regarding margin requirements

Likely Outcome: Expungement or finding in favor of the representative is likely. The documented customer profile, prior experience, adequate disclosure process, and the customer's sophistication level would likely satisfy suitability obligations. Panels have historically given weight to customer acknowledgment and experience when evaluating whether risks were adequately understood, particularly when the customer's financial capacity to absorb losses was demonstrated.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative David Hollister at Lakefront Securities recommended that longtime client Gerald Pemberton, age 62, utilize margin to increase his equity positions. Pemberton had been a client for eight years with a portfolio valued at approximately \$1.4 million, consisting primarily of blue-chip stocks and some growth equities. His account documents indicated 'aggressive growth' as his investment objective, annual income of \$285,000 as a semi-retired business consultant, liquid net worth of \$2.8 million, and 25+ years of investment experience including prior margin usage at another firm. Hollister recommended borrowing approximately \$420,000 on margin to purchase additional shares of three technology stocks that Pemberton had previously expressed interest in owning. Hollister explained margin mechanics, interest costs, and the risk of margin calls during a 45-minute call, and followed up with written margin disclosures which Pemberton signed. Over the following nine months, technology stocks declined significantly, triggering two margin calls. Pemberton met the first call with additional funds but liquidated positions to meet the second, realizing losses of approximately \$195,000. In January 2023, Pemberton filed a claim alleging unsuitability, asserting that as someone approaching retirement, margin concentration was inappropriate regardless of his stated objectives, and that Hollister failed to adequately warn him about downside scenarios. Hollister maintained that Pemberton was a sophisticated investor who understood margin risks, had used margin before, and specifically requested exposure to these technology positions.

Why Borderline

The case presents tension between a customer's clearly documented aggressive profile and sophistication versus the age-based presumption that margin concentration may be inherently unsuitable for pre-retirees.

Borderline Factors

- * Customer had documented prior margin experience and signed comprehensive risk disclosures
- * Age 62 and semi-retired status creates inherent tension with aggressive margin strategies regardless of stated objectives
- * Margin exposure of 30% was substantial but within the customer's demonstrated liquid net worth capacity

Analysis

The suitability analysis here centers on whether the margin recommendation aligned with Pemberton's complete customer profile under FINRA Rule 2111. Supporting compliance: Pemberton's documented profile showed aggressive growth objectives, substantial liquid net worth (\$2.8 million) well exceeding the margin exposure (\$420,000), prior margin experience at another firm, and decades of investment experience. The margin utilization represented

approximately 30% of his portfolio value--elevated but not extreme for an aggressive investor. Hollister conducted a substantive discussion of margin risks, provided required written disclosures, and Pemberton affirmatively signed acknowledgments. The customer's sophistication level and prior experience suggest he possessed the knowledge to understand margin mechanics. Supporting a violation finding: Pemberton's age (62) and semi-retired status create tension with aggressive margin strategies, as sequence-of-returns risk becomes more acute near retirement. A reasonable-basis suitability analysis might question whether concentrating margin in volatile technology stocks was prudent regardless of stated objectives. The suitability rule requires consideration of the customer's entire profile, not just selected favorable elements. Additionally, relying heavily on a customer's stated experience without independently verifying their actual understanding of current market conditions could be viewed as insufficient due diligence. The question becomes whether documented customer acknowledgment and sophistication can override concerns about age-appropriateness and concentration risk.

Item 59 of 250

Topic: suitability_of_digital_asset_allocation_for_retirement_account

Standard: Regulation BI Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii); FINRA Rule 2111 (Suitability); FINRA Rule 2210 regarding balanced presentation of investment characteristics; Exchange Act Section 15(l) best interest standard for broker-dealer recommendations

Likely Outcome: A regulatory review would likely find a Care Obligation violation, but the penalty would be moderate rather than severe. The enhanced payout structure combined with the client's retirement proximity and inexperience creates a difficult defense, even though Chen's documentation was reasonable. The 12% allocation, while not extreme, pushed boundaries given the specific client profile. A Letter of Caution or fine with enhanced supervision would be probable, rather than suspension, given the documentation efforts and lack of clear prohibition.

Source: 16_Congressional_Materials

Fact Pattern

In March 2024, Gerald Whitmore, a 62-year-old middle school teacher nearing retirement, met with registered representative Marcus Chen at Pinnacle Wealth Advisors to discuss rolling over his \$340,000 403(b) account. Whitmore indicated he wanted to retire within 4 years, had moderate risk tolerance, needed income preservation, and had no prior experience with alternative investments. During their meeting, Chen recommended allocating 12% of the rollover IRA (\$40,800) to a Bitcoin trust ETF that had recently been approved for trading. Chen explained that the allocation could provide 'inflation protection and growth potential' and showed Whitmore historical returns from 2020-2021, though he also mentioned the 2022 decline. Chen's firm had recently received enhanced grid payouts for digital asset product recommendations, though Chen maintains this did not influence his advice. Whitmore agreed to the recommendation based on Chen's explanation that 'even conservative portfolios now include some digital asset exposure for diversification.' Within six months, the Bitcoin trust position declined 28% while the broader equity markets remained relatively flat. Whitmore filed a complaint alleging the recommendation was unsuitable given his retirement timeline, risk tolerance, and inexperience. Pinnacle's compliance records show Chen documented Whitmore's profile as 'moderate risk tolerance with some growth orientation' and noted the client verbally acknowledged understanding volatility risks.

Why Borderline

The case hinges on whether a 12% digital asset allocation can ever be suitable for a near-retiree with moderate risk tolerance, given both evolving industry acceptance of small crypto allocations and the asset class's extreme volatility profile.

Borderline Factors

- * Lack of clear regulatory guidance on appropriate digital asset allocation percentages for retirement accounts
- * Tension between documented 'moderate risk tolerance' and stated income preservation needs
- * Enhanced compensation structure creating potential inference of improper motivation despite documentation

Analysis

This case presents genuine tension under Regulation BI's Care Obligation. Supporting a violation finding: Whitmore's 4-year retirement horizon and stated need for income preservation arguably conflict with a 12% allocation to a highly volatile asset class. The Bitcoin trust ETF experienced significant drawdowns historically, and a 62-year-old investor with no alternative investment experience may lack the sophistication to understand cryptocurrency dynamics. The

enhanced grid payout structure raises questions about whether Chen formed a reasonable basis for the recommendation independent of compensation incentives. Additionally, showing 2020-2021 returns without equal emphasis on 2022 losses could constitute cherry-picking favorable data. Supporting compliance: A 12% allocation is within ranges some industry guidance considers acceptable for moderate-risk investors seeking growth. Chen did disclose the 2022 decline, and Whitmore acknowledged understanding volatility. Modern portfolio theory increasingly supports small digital asset allocations for diversification, and the product was a regulated ETF rather than direct cryptocurrency exposure. Chen documented the client's risk tolerance and obtained acknowledgment. The 4-year horizon, while relatively short, still provides some time for recovery from volatility. FINRA has not established bright-line rules prohibiting digital asset exposure for near-retirees, and the allocation percentage was not extreme.

Item 60 of 250

Topic: non_traded_reit_suitability_elderly_investors

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); NASD Rule 2310 (historical suitability standard); FINRA Regulatory Notice 12-25 regarding suitability and complex products; SEC guidance on senior investor protection

Likely Outcome: The panel would likely find for the respondent broker-dealer. The documented customer profile explicitly supported long-term investments, the allocation percentage was within industry norms for alternative investments, and full disclosure was provided. While the unforeseen health event created hardship, panels typically evaluate suitability based on information known at the time of recommendation. However, a dissenting arbitrator might find the representative should have recommended a smaller allocation given the clients' ages.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2017, Gerald and Martha Brennan, ages 72 and 69, met with registered representative Thomas Harwick of Midwest Capital Partners to discuss their retirement portfolio. The Brennans had recently sold their family business for \$850,000 and wanted income-generating investments to supplement their Social Security and small pension totaling \$3,200 monthly. Their new account application listed their investment objective as 'income with capital preservation,' risk tolerance as 'moderate,' time horizon as '10+ years,' and liquid net worth of \$920,000. Harwick recommended allocating \$170,000 (approximately 18% of liquid net worth) to Landmark Commercial REIT III, a non-traded real estate investment trust with a 7-year expected hold period, early redemption restrictions, and upfront fees totaling 12%. He explained that the REIT offered a 6.5% annual distribution rate and was backed by a diversified portfolio of commercial properties across the Midwest. The Brennans signed subscription documents acknowledging the illiquidity risks and long-term nature of the investment. In 2019, Mr. Brennan was diagnosed with Parkinson's disease, creating unexpected medical expenses. The Brennans attempted to liquidate their REIT shares but discovered the quarterly redemption program was suspended. They filed a FINRA arbitration claim in December 2020, alleging that Harwick failed to adequately consider their age and potential liquidity needs when recommending the illiquid REIT, despite their stated long-term time horizon. Midwest Capital Partners argued the recommendation was suitable based on the Brennans' documented profile and represented less than 20% of their liquid assets, leaving substantial funds available for emergencies.

Why Borderline

The customer's documented investment profile explicitly supported long-term illiquid investments, but the representative's duty to consider reasonable liquidity needs for elderly investors may extend beyond stated preferences to realistic life circumstances.

Borderline Factors

- * Tension between documented 10+ year time horizon and practical liquidity concerns for investors in their 70s
- * 18% concentration leaves substantial liquidity but represents significant capital lockup
- * Subsequent health event was unforeseeable but raises question of whether age-appropriate planning should anticipate such possibilities

Analysis

This case presents genuine tension between the documented customer profile and the practical realities of investing for

elderly clients in illiquid products. Supporting a finding of unsuitability: The Brennans were 72 and 69 at the time of investment, making a 7-year hold period problematic given actuarial realities and the heightened likelihood of health-related liquidity needs. FINRA guidance has consistently emphasized that representatives must consider not just stated preferences but realistic circumstances, particularly with senior investors. The 12% upfront fee structure meant the Brennans would need to hold for several years just to break even, and the recommendation locked up a meaningful portion of their retirement savings in an illiquid vehicle. However, supporting suitability: The Brennans explicitly documented a 10+ year time horizon and moderate risk tolerance. The 18% allocation left 82% of their liquid assets available for emergencies and short-term needs. The representative disclosed all material risks, and the clients acknowledged understanding the illiquidity. FINRA Rule 2111 requires suitability analysis based on the customer's investment profile, which here included a stated long-term horizon. The representative cannot be expected to predict future health conditions, and the Brennans had substantial remaining liquidity. The firm could argue that applying a blanket prohibition on illiquid investments for clients over 70 would be age discrimination rather than suitability compliance.

Item 61 of 250

Topic: suitability_of_concentrated_municipal_bond_fund_recommendation

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding complex products suitability obligations

Likely Outcome: A FINRA arbitration panel would likely find partial liability, concluding that while some allocation to PR municipal funds may have been suitable given tax benefits and documented consent, the 80% concentration was excessive for this client's profile. Damages would likely be reduced to reflect the portion exceeding a reasonable allocation, perhaps 30-40% of claimed losses.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2018, financial advisor Carlos Mendez at Caribbean Wealth Advisors recommended that his client, Elena Vega, a 62-year-old retired schoolteacher, invest \$340,000 of her \$425,000 retirement savings into a series of Puerto Rico closed-end municipal bond funds. Mrs. Vega had indicated on her new account form that she sought current income and capital preservation, with a moderate risk tolerance, and had a 10-year investment horizon until she planned to begin systematic withdrawals at age 72. Mendez explained that the funds offered tax-exempt income particularly beneficial to Puerto Rico residents and yields significantly higher than comparable mainland municipal bonds. At the time of the recommendation, Puerto Rico was emerging from bankruptcy proceedings under PROMESA, and these CEFs traded at discounts to NAV ranging from 8% to 15%. Mrs. Vega's account documents showed she had limited investment experience, having previously held only certificates of deposit and a small position in a diversified equity mutual fund inherited from her late husband. Mendez documented in his notes that he discussed the concentration risk and credit quality concerns with Mrs. Vega, and she signed a supplemental risk disclosure acknowledging the speculative nature of Puerto Rico debt obligations. By December 2020, the funds had declined approximately 35% in value due to ongoing fiscal challenges and pandemic-related economic disruptions, and Mrs. Vega filed a complaint alleging the recommendation was unsuitable given her conservative profile and retirement timeline.

Why Borderline

The case turns on whether documented risk disclosures and client consent can overcome the apparent mismatch between an 80% concentration in distressed municipal debt and a retiree's stated capital preservation objective.

Borderline Factors

- * Signed supplemental risk disclosure acknowledging speculative nature
- * 80% concentration in single-issuer distressed debt despite moderate risk tolerance
- * Tax advantages legitimately beneficial to PR resident but insufficient diversification

Analysis

Arguments supporting a suitability violation: Mrs. Vega's stated objectives of capital preservation and moderate risk tolerance appear inconsistent with an 80% concentration in speculative-grade closed-end funds tied to a single distressed municipal issuer. FINRA Rule 2111 requires that a recommended investment be suitable based on the customer's investment profile, including risk tolerance, time horizon, and financial needs. A retired client approaching the withdrawal phase with limited investment experience and modest total assets arguably should not have the vast majority of her retirement funds in high-risk, illiquid instruments. The dramatic concentration violates basic

diversification principles, and the timing during ongoing bankruptcy proceedings heightens concerns about whether reasonable diligence was performed. Arguments supporting compliance: Mendez obtained explicit written acknowledgment of risks, documented the discussion of concentration concerns, and the client's 10-year horizon provided time to weather volatility. The tax advantages for Puerto Rico residents were substantial and legitimate, and the funds' discounts to NAV could be viewed as value opportunities. Mrs. Vega was not prohibited by her moderate risk tolerance from holding some speculative investments, and she affirmatively consented after disclosure. The subsequent losses stemmed from unforeseeable pandemic impacts rather than inherent unsuitability at the time of recommendation. Customer-specific suitability allows for informed consent to concentrated positions when risks are adequately disclosed.

Item 62 of 250

Topic: suitability_self_directed_account_recommendations

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability for recommendations; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) requiring reasonably designed supervisory systems

Likely Outcome: FINRA would likely find a suitability violation. The frequency and specificity of communications, combined with the close temporal connection to trades, would probably be deemed de facto recommendations regardless of account designation. The substantial deviation from the customer's stated profile (capital preservation, moderate risk, limited experience) makes the resulting portfolio indefensible. The firm's supervisory failure to look beyond order ticket designations when red flags existed would compound liability.

Source: 03_FINRA_AWC

Fact Pattern

Coastal Trading Services, LLC is a small broker-dealer headquartered in Miami that offers self-directed trading accounts to retail investors through its clearing firm. In March 2022, registered representative Daniel Fuentes opened an account for Maria Delgado, a 58-year-old administrative assistant with a stated liquid net worth of \$85,000, moderate risk tolerance, and an investment objective of capital preservation with income for retirement in seven years. Delgado's account documentation indicated limited investment experience, primarily with CDs and money market funds.

Between April 2022 and November 2023, Fuentes made numerous unsolicited calls to Delgado discussing specific investment opportunities. During these calls, he highlighted volatile small-cap biotech stocks and leveraged ETFs as having 'significant upside potential.' While Delgado independently placed all trades through the firm's online platform, the trades closely mirrored the securities Fuentes had discussed. Over this period, Delgado invested approximately \$62,000 in these speculative securities, representing 73% of her liquid net worth.

By December 2023, Delgado's portfolio had declined by approximately \$34,000 (55% loss). When she complained to the firm, Coastal's compliance department noted that all trades were self-directed and unsolicited according to order tickets. However, phone records showed Fuentes had 47 separate calls with Delgado averaging 12 minutes each, with calls typically occurring 1-2 days before her trades. Fuentes maintained he was simply providing market commentary and educational information, not recommendations, and that Delgado made all investment decisions independently.

Why Borderline

The case turns on whether frequent, specific discussions about particular securities in a self-directed account context constitute implicit recommendations triggering suitability obligations, or merely educational communications leaving the customer to make independent decisions.

Borderline Factors

- * Account was formally designated as self-directed with customer-initiated trades through online platform
- * Pattern of 47 calls discussing specific securities 1-2 days before customer trades in those exact securities
- * Investments were clearly inconsistent with customer's documented profile and objectives

Analysis

This case presents the challenging question of when educational discussions or market commentary cross the line into

recommendations triggering suitability obligations. On one hand, Coastal could argue that this was a self-directed account where all trades were independently initiated by the customer through an online platform. The order tickets documented each transaction as unsolicited, and Delgado had sole discretion over her trading decisions. FINRA has recognized that self-directed platforms involve different expectations than full-service relationships.

However, several factors support a finding that Fuentes effectively made recommendations despite the self-directed account structure. The pattern of 47 calls closely preceding trades in the exact securities discussed suggests Fuentes was doing more than providing general education. Under FINRA's guidance, a 'recommendation' depends on facts and circumstances, including whether the communication could reasonably be viewed as a call to action. The specificity of discussing particular biotech stocks and leveraged ETFs, combined with the temporal proximity to trades, suggests de facto recommendations.

Additionally, the investments were clearly unsuitable for Delgado's documented profile: a 58-year-old with limited experience, moderate risk tolerance, capital preservation objective, and retirement seven years away should not have 73% of liquid assets in speculative securities. The firm's supervisory system may have failed by relying solely on order ticket designations without reviewing the pattern of representative-customer communications preceding trades. The substantial losses compound regulatory concern about investor harm.

Item 63 of 250

Topic: uit_suitability_for_retirement_investor

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Notice to Members 04-16 regarding expungement standards referenced in underlying award

Likely Outcome: Likely no violation finding, though close. Each individual UIT recommendation aligned with Mrs. Thornton's stated objectives and documented preferences. While the cumulative cost was meaningful, FINRA panels have generally required evidence that recommendations were unsuitable at the time made rather than in hindsight. The client's expressed preference for UIT structure provides important cover, though a supervisor should have questioned the rollover pattern and documented why alternatives were rejected.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 67, opened an account with Piedmont Securities Group in March 2021 after retiring from a career in nursing. Her investment profile indicated moderate risk tolerance, an investment time horizon of 10-15 years, and primary objectives of income generation and capital preservation. Her liquid net worth was approximately \$485,000, primarily from a pension rollover. Her registered representative, Carl Brennan, recommended she allocate \$180,000 across six different Unit Investment Trusts (UITs) focusing on investment-grade corporate bonds and dividend-paying equities. Each UIT had a 24-month maturity and carried sales charges averaging 2.85%. Between March 2021 and September 2023, as each UIT matured, Brennan recommended Mrs. Thornton reinvest the proceeds into new UITs with similar structures, resulting in her paying new sales charges upon each rollover. Over this period, she paid approximately \$15,300 in cumulative sales charges across four complete UIT cycles. In December 2023, Mrs. Thornton's daughter, a CPA, reviewed her statements and questioned whether continuously rolling UITs was appropriate given that similar exposure could have been achieved through lower-cost open-end mutual funds or ETFs. Brennan maintained that the UITs provided Mrs. Thornton with predictable income streams and defined maturity dates that matched her desire for structured, understandable investments. Mrs. Thornton had previously expressed confusion about mutual fund pricing and appreciated that UITs 'just matured and paid out.'

Why Borderline

The case hinges on whether cumulative cost impact from systematic UIT rollovers transforms individually suitable recommendations into an unsuitable pattern, particularly when lower-cost alternatives existed but the client expressed genuine preference for UIT structure.

Borderline Factors

- * Client's documented preference for UIT structure due to comprehension concerns versus objective cost analysis
- * Cumulative sales charges over multiple rollovers versus assessing each transaction independently
- * Whether reasonable-basis suitability requires consideration of lower-cost alternatives achieving similar objectives

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting a potential violation: The repeated rolling of UITs generated cumulative sales charges of approximately 8.5% of the invested amount over 30 months, significantly higher than what comparable mutual funds or ETFs would have charged. A reasonable-basis suitability analysis might question whether UITs were the optimal vehicle when the investor's stated

goals of income and preservation could be met through lower-cost alternatives. The pattern of systematic rollovers could suggest the recommendations were influenced by commission generation rather than client benefit. FINRA has historically scrutinized UIT rollover practices, particularly when the investor pays redundant sales charges without meaningful portfolio changes. Supporting compliance: Brennan conducted customer-specific suitability analysis and identified legitimate reasons Mrs. Thornton preferred UITs--she valued the defined maturity structure and found open-end fund pricing confusing. Her moderate risk tolerance and income objectives aligned with investment-grade bond and dividend equity UITs. The 24-month maturities matched her desire for predictable outcomes. Each individual recommendation could be deemed suitable in isolation, and the client expressed satisfaction with the investment structure. Brennan did not churn the account or make excessive trades between maturities. The total sales charges, while meaningful, represented approximately 3.4% annualized--not dramatically out of line with industry norms for packaged products. Mrs. Thornton was a competent adult who made informed decisions after discussing options with her representative.

Item 64 of 250

Topic: leveraged_etf_reasonable_basis_obligation

Standard: Regulation BI Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2111 Supplementary Material .05(a) regarding reasonable-basis obligation

Likely Outcome: Probable finding of violation of Reg BI Care Obligation and FINRA Rule 2111. While Delgado's training efforts are mitigating, regulators have consistently held that reasonable-basis requires applying product knowledge to specific customer circumstances. The extended holding periods and resulting volatility decay losses--particularly for retirement-age customers Nakamura and Cortez--demonstrate failure to translate product understanding into appropriate recommendations. However, sanctions would likely be moderate given documented training efforts and modest allocation percentages.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Delgado, a registered representative with Westbrook Financial Partners, recommended leveraged and inverse ETFs (NT-ETFs) to several retail customers between August 2020 and February 2021. Unlike many representatives who recommend these products without proper understanding, Delgado completed his firm's specialized NT-ETF training module in July 2020, which covered daily reset mechanics, compounding effects, and volatility decay. He also reviewed each product's prospectus before making recommendations.

Delgado recommended ProShares UltraPro QQQ (3x leveraged Nasdaq-100) to three customers: Helen Nakamura (age 58, moderate risk tolerance, \$340,000 portfolio, 15-year investment horizon), Robert Feldman (age 42, aggressive risk tolerance, \$890,000 portfolio, active trader), and Diana Cortez (age 67, moderate-aggressive risk tolerance, \$520,000 retirement account). Each customer's allocation to NT-ETFs ranged from 8% to 12% of their total portfolio.

The average holding period across these customers was 47 trading days. During this period, market volatility was elevated due to ongoing economic uncertainty. Nakamura's position lost 18% while the underlying index gained 4%. Feldman's position gained 23%, roughly tracking the expected leveraged return. Cortez's position lost 31% during a volatile sideways market, significantly underperforming the index's modest 2% decline. Delgado documented in his notes that he explained daily reset mechanics to each customer and that they understood positions should be monitored frequently, though he did not establish specific exit criteria or holding period limits.

Why Borderline

The core tension is whether demonstrated product knowledge satisfies the reasonable-basis obligation when the representative's actual recommendations involve holding periods inconsistent with product design and customer risk profiles.

Borderline Factors

- * Representative completed NT-ETF training and reviewed prospectuses, unlike typical violation cases involving representatives with no product understanding
- * Average 47-day holding period significantly exceeds single-day design, but is shorter than many egregious cases involving months or years of holding
- * Customer allocations were modest (8-12%) rather than concentrated positions, potentially limiting harm

Analysis

Arguments supporting compliance: Delgado took meaningful steps to understand NT-ETF mechanics before making recommendations, completing specialized training and reviewing prospectuses. This distinguishes him from representatives who recommend complex products without foundational knowledge. He documented customer conversations about daily reset mechanics, showing he attempted to ensure customer understanding. The allocation percentages (8-12%) were relatively modest, not concentrating customer portfolios in these volatile instruments. One customer (Feldman) achieved expected results, suggesting the product can perform as intended for appropriate investors.

Arguments supporting violation: Despite Delgado's product knowledge, his recommendations failed to adequately account for how holding periods would affect each customer's specific situation. A 47-day average holding period is dramatically longer than the single-day design of NT-ETFs, and FINRA guidance explicitly warns these products typically are not suitable for retail investors holding beyond one trading session. Nakamura and Cortez, both approaching or in retirement with moderate risk tolerances, experienced significant losses inconsistent with underlying index performance--precisely the volatility decay risk that proper reasonable-basis analysis should have flagged. Delgado's documentation shows he explained mechanics but did not establish guardrails (exit criteria, holding limits) that would operationalize his understanding. The Care Obligation requires not just understanding risks abstractly, but having reasonable basis to believe the recommendation could be in these specific customers' best interests given anticipated holding behavior.

Item 65 of 250

Topic: options_day_trading_care_obligation

Standard: Reg BI Rule 15l-1(a)(1) and (a)(2)(ii)(C) requiring broker-dealers to exercise reasonable diligence, care, and skill to have a reasonable basis to believe that a series of recommended transactions is not excessive and is in the retail customer's best interest when taken together in light of the customer's investment profile.

Likely Outcome: Probable violation finding, though potentially with mitigated sanctions. While Whitfield's documentation and ongoing communication demonstrate better practices than the Western International case, the cost-to-equity ratios exceeding 20% create a strong presumption of excessive trading. Regulators will likely determine that customer-stated preferences cannot override the objective analysis that retirement-focused investors should not bear 22-41% annual costs, particularly given limited options experience among most customers.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Between March 2022 and February 2023, Marcus Whitfield, a registered representative at Pinnacle Securities Group, implemented an options trading strategy for six retail customers. The strategy involved purchasing short-dated call and put options on high-volatility technology stocks, with positions typically held for one to three days. The six customers ranged in age from 52 to 67, with account values between \$180,000 and \$425,000, representing a significant portion of their retirement savings.

Whitfield obtained updated account documentation from each customer in early 2022, and all six indicated 'growth' as their investment objective with 'moderate to aggressive' risk tolerance. Each customer signed a separate options agreement acknowledging they understood options trading risks and had reviewed educational materials provided by the firm. Four of the six customers had prior experience trading individual stocks but limited options experience; two had no prior trading experience beyond mutual funds in 401(k) accounts.

Over the eleven-month period, the accounts experienced annualized turnover ratios ranging from 8.2 to 14.6 and cost-to-equity ratios between 22% and 41%. Three accounts generated net profits of 8-12% after commissions, while three accounts suffered losses of 15-28%. Whitfield earned approximately \$187,000 in commissions from these accounts. When questioned by compliance, Whitfield provided documentation showing he had discussed strategy performance with customers quarterly, that customers had requested aggressive growth strategies during initial consultations, and that he had recommended reducing position sizes after significant losses in two accounts.

Why Borderline

The tension between documented aggressive risk tolerance/customer requests and the objective unsuitability of high-turnover options trading for pre-retirees creates genuine ambiguity about whether care obligation was met.

Borderline Factors

- * Customer-signed documentation explicitly authorizing aggressive strategies versus objective suitability concerns for retirement assets
- * Mixed performance results (some profitable, some significant losses) complicating assessment of whether strategy was in customers' best interest
- * Quarterly reviews and position-size recommendations after losses suggesting some ongoing care versus overall excessive cost ratios

Analysis

The care obligation under Reg BI requires that a series of recommended transactions not be excessive and remain in the customer's best interest when taken together. The high turnover ratios (8.2 to 14.6) and cost-to-equity ratios (22% to 41%) are facially concerning and would typically raise red flags for excessive trading.

Arguments supporting a violation: The cost-to-equity ratios significantly exceed the 20% threshold often cited as presumptively excessive. Several customers had limited or no options experience, and the strategy consumed retirement savings. The \$187,000 in commissions suggests Whitfield's financial interest may have influenced recommendations. The mixed results (three losing accounts with substantial losses) indicate the strategy was not consistently beneficial.

Arguments supporting compliance: Unlike the Western International case, Whitfield obtained explicit documentation of aggressive growth objectives and moderate-to-aggressive risk tolerance. Customers signed options agreements acknowledging risks. Whitfield conducted quarterly reviews and recommended reducing exposure after losses, demonstrating ongoing attention to customer interests. The three profitable accounts suggest the strategy could work when market conditions aligned. Customer-initiated requests for aggressive growth strategies provide some defense, and the 'moderate to aggressive' risk tolerance arguably encompasses options trading.

The critical distinction from Western International is the documented customer preferences and ongoing communication. However, documentation alone may not satisfy the care obligation if the strategy was fundamentally unsuitable for retirement-focused investors regardless of stated preferences.

Item 66 of 250

Topic: suitability_of_concentrated_position_strategy

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest Care Obligation requiring reasonable diligence, care, and skill in making recommendations in the retail customer's best interest

Likely Outcome: A FINRA arbitration panel would likely find the representative met minimum suitability obligations given the documented client override, partial diversification recommendation, and tax considerations discussed. However, the representative might receive criticism for not being more emphatic about the risks or potentially declining the engagement given the fundamental conflict between concentration and stated objectives. A split decision with no liability but potential supervisory recommendations is probable.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2023, Gerald Whitmore, a 58-year-old senior engineer at a publicly traded technology company, consulted with Pinnacle Wealth Advisors regarding his retirement planning. Whitmore had accumulated approximately \$2.8 million in company stock through equity compensation over 22 years, representing 78% of his total liquid net worth of \$3.6 million. His investment profile indicated moderate risk tolerance, a 7-year time horizon to retirement, and primary objectives of capital preservation and retirement income generation. Whitmore expressed concern about concentration risk but also mentioned his strong belief in the company's long-term prospects and his reluctance to trigger substantial capital gains taxes.

His assigned representative, Marcus Chen, recommended maintaining approximately 55% of the position in company stock while gradually diversifying the remainder through a systematic selling program over 24 months into a balanced portfolio of index funds and investment-grade bonds. Chen documented that Whitmore explicitly rejected a more aggressive diversification approach that would have reduced the concentration to 25-30% within 12 months, stating he was 'comfortable with the company' and wanted to minimize tax impact. Chen noted these client preferences in his file memoranda.

By November 2023, the technology company experienced a significant downturn related to sector-wide challenges, and the stock declined 42%. Whitmore's concentrated position lost approximately \$650,000 in value. Whitmore subsequently filed a complaint alleging Chen failed to adequately protect him from foreseeable concentration risk and should have been more insistent on diversification given his age, retirement timeline, and stated capital preservation objective.

Why Borderline

The case involves a documented client override of more aggressive diversification recommendations, but the retained 55% concentration still appears inconsistent with the client's stated capital preservation objective and retirement timeline.

Borderline Factors

- * Client explicitly rejected more aggressive diversification and preferences were documented
- * Stated capital preservation objective arguably conflicts with maintaining majority concentration in single stock
- * Recommendation did include meaningful reduction from 78% to 55% concentration over time

Analysis

This case presents a genuine tension between respecting client autonomy and fulfilling suitability obligations. Supporting a potential violation: FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Whitmore explicitly stated capital preservation as a primary objective with a moderate risk tolerance and 7-year retirement horizon. A 55% concentration in a single stock is inherently speculative and arguably inconsistent with capital preservation for someone approaching retirement. The representative's duty extends beyond simply accepting client preferences--it requires making suitable recommendations and potentially declining to implement strategies that conflict with stated objectives.

Supporting compliance: Chen documented the client's informed decision to reject more aggressive diversification. The recommendation did include meaningful diversification--reducing concentration from 78% to 55% over 24 months--representing a reasonable middle ground. FINRA guidance acknowledges that customers may choose to assume greater risk than their profile might suggest, provided they are informed. Chen's file memoranda demonstrate the discussion occurred, and tax implications are legitimate considerations in timing diversification. Additionally, sector-wide market downturns are generally not foreseeable events that trigger suitability violations. The representative proposed diversification but honored the client's stated preferences after discussion.

The critical question is whether Chen should have refused to implement any strategy maintaining such significant concentration, or whether the documented client override combined with partial diversification satisfies his obligations.

Item 67 of 250

Topic: suitability_of_retention_bonus_driven_recommendations

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on complex products and senior investors; the care obligation component requires holistic assessment of whether recommendations are in the customer's best interest considering investment profile, including age, liquidity needs, risk tolerance, and time horizon.

Likely Outcome: A FINRA arbitration panel would likely find partial liability, awarding damages for the portion of losses attributable to the unsuitable concentration in illiquid products while potentially reducing recovery based on Mrs. Chambers' execution of disclosure documents. The documented supervisory approval may mitigate but not eliminate liability, as panels typically look beyond procedural compliance to substantive suitability. The dramatic departure from established conservative allocation and age-inappropriate illiquidity would likely weigh heavily against the respondents.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In October 2019, Marcus Wellford, a financial advisor with Piedmont Wealth Services, left his prior firm and received a substantial forgivable loan of \$425,000 as a retention incentive, structured to be forgiven over seven years contingent on his continued employment. Among the approximately 85 client accounts that followed Wellford to Piedmont was the account of Dorothy Chambers, a 71-year-old retired schoolteacher with a \$380,000 portfolio consisting primarily of municipal bonds and blue-chip dividend stocks. Mrs. Chambers had a conservative risk tolerance documented across multiple account updates and had explicitly stated her primary objectives were capital preservation and income generation to supplement her pension.

Between January and August 2020, Wellford recommended that Mrs. Chambers reallocate approximately 40% of her portfolio into a combination of structured notes linked to technology indices and non-traded REITs, generating approximately \$18,500 in commissions. Wellford documented in his notes that these products offered 'enhanced yield potential' and 'downside buffers' that aligned with Mrs. Chambers' income needs. The structured notes had 5-year maturities with principal protection only if held to maturity, while the non-traded REITs had limited liquidity with 7-year lockup periods.

By December 2021, the structured notes had declined 22% in market value due to rising interest rates, and one of the non-traded REITs suspended distributions citing market conditions. Mrs. Chambers filed a complaint alleging the recommendations were unsuitable given her age, stated objectives, and need for liquidity. Piedmont's compliance records show that the suitability reviews were conducted using standard firm procedures, and Wellford's supervisor approved each transaction after reviewing the product characteristics and customer profile documentation.

Why Borderline

The case presents tension between documented procedural compliance and substantive suitability concerns, where products had features arguably aligned with stated objectives but fundamental characteristics (illiquidity, complexity, time horizon) potentially mismatched with the customer's overall profile.

Borderline Factors

* Products offered income features matching stated objectives but illiquidity conflicting with age-appropriate planning

- * Formal supervisory approval following standard procedures versus substantive appropriateness questions
- * Retention bonus timing creates appearance of conflict but no direct evidence of motivation

Analysis

The core suitability question centers on whether recommendations of illiquid, complex products with extended time horizons were appropriate for a 71-year-old conservative investor, regardless of the procedural compliance documented. Arguments supporting a suitability violation include: (1) the 5-7 year liquidity constraints created a fundamental mismatch with Mrs. Chambers' age and potential need for capital access; (2) structured notes and non-traded REITs are complex products typically requiring sophisticated investor understanding; (3) the concentration of 40% in these products represented a dramatic departure from her established conservative allocation; and (4) the timing correlation with Wellford's retention bonus creates an inference that revenue generation influenced recommendations.

Conversely, arguments supporting compliance include: (1) both products technically offered features aligned with stated income objectives--the structured notes provided enhanced yield and principal protection if held to maturity, while REITs offered income distributions; (2) supervision approved each transaction after documented review; (3) Mrs. Chambers signed acknowledgments regarding product characteristics and risks; (4) the 60% remaining in traditional investments maintained substantial liquidity; and (5) no direct evidence establishes that the retention bonus influenced specific recommendations. The supervisor's approval following standard procedures creates a documented compliance record, though regulatory guidance emphasizes that suitability is ultimately a substantive determination rather than a procedural checklist.

Item 68 of 250

Topic: reasonable_basis_suitability_complex_product

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on complex products and senior investors emphasizing that a customer's general risk tolerance does not automatically justify complex product recommendations without assessing specific product understanding and suitability.

Likely Outcome: A FINRA arbitration panel would likely find this a close call but may side with the customer, finding that Webb's due diligence failed at the customer-specific level. While reasonable-basis suitability may have been satisfied through documented research, recommending a 45% allocation to a complex, tech-linked structured note to a 67-year-old retiree with only target-date fund experience likely fails the heightened scrutiny expected for complex products with senior investors. Settlement without admission would be probable.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2023, registered representative Marcus Webb at Cornerstone Wealth Advisors recommended that his client, Dorothy Eastman (age 67), invest \$280,000 from a recent inheritance into a series of structured notes linked to a basket of technology stocks. Mrs. Eastman's account documents indicated she was a retired librarian with a \$95,000 annual pension, moderate investment experience from a 401(k) she had managed through target-date funds, and a stated investment objective of 'growth with income' with a moderate risk tolerance. Her liquid net worth, including the inheritance, totaled approximately \$620,000.

Webb conducted research on the structured notes before making the recommendation, reviewing the issuer's prospectus, analyzing the underlying tech basket's historical volatility, and consulting his firm's approved product list where the notes carried a 'moderate-aggressive' risk designation. He documented in his notes that Mrs. Eastman expressed interest in 'keeping up with market growth' and understood that principal protection applied only if held to maturity. Webb explained the 18-month maturity, the 15% downside buffer, and the capped upside of 22%. Mrs. Eastman signed acknowledgment forms indicating she understood the product features.

By September 2024, the technology sector experienced a 31% decline, breaching the buffer and resulting in a \$67,000 loss on Mrs. Eastman's investment at maturity. She filed a complaint alleging Webb failed to conduct adequate due diligence and that the recommendation lacked reasonable basis suitability given her age, reliance on fixed income, and limited experience with complex products beyond basic mutual funds.

Why Borderline

The case presents tension between documented customer consent and stated objectives versus whether the adviser should have applied heightened scrutiny given the customer's age, income source, and limited complex product experience.

Borderline Factors

- * Customer's stated moderate risk tolerance and growth objective versus her age and reliance on fixed pension income
- * Documented disclosure and signed acknowledgments versus customer's limited experience with products beyond target-date funds
- * Product appeared on firm's approved list with documented research versus 45% concentration in single complex

instrument for retiree

Analysis

The suitability analysis here hinges on whether Webb met both the reasonable-basis and customer-specific components of FINRA Rule 2111. Supporting compliance: Webb documented his research process, the structured notes were on the firm's approved list, he explained material features including the buffer and cap, Mrs. Eastman had a stated moderate risk tolerance and growth objective, and she possessed sufficient liquid assets that the \$280,000 investment represented approximately 45% of her liquid net worth--arguably within acceptable concentration limits. The signed acknowledgments demonstrate disclosure of key risks. Webb's documentation of Mrs. Eastman's expressed interest in market participation suggests he considered her stated preferences.

Supporting violation: Critics would argue that Mrs. Eastman's actual investment experience was limited to target-date funds--a passive, diversified vehicle fundamentally different from structured notes with contingent principal protection. Her age (67) and reliance on pension income suggest a customer profile where capital preservation should have been prioritized over growth. A 45% concentration in a single complex product tied to volatile tech stocks may exceed prudent allocation for a retiree. The 'moderate' risk tolerance designation may not adequately capture her true capacity for loss given her fixed income dependence. Additionally, while Webb reviewed product materials, the question remains whether his due diligence adequately assessed whether this specific customer understood the conditional nature of principal protection and could withstand worst-case scenarios.

Item 69 of 250

Topic: excessive_trading_suitability_active_trader_profile

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation under Exchange Act Rule 15l-1; FINRA Rule 2010 (Standards of Commercial Honor); churning jurisprudence examining turnover ratio, cost-to-equity ratio, and scienter/control elements

Likely Outcome: The panel would likely find partial liability, potentially awarding commission disgorgement or a percentage of losses but not full damages. While the quantitative metrics alone may not establish presumptive churning, the Reg BI care obligation requires recommending strategies in the customer's best interest, and a 20% cost-to-equity ratio for a pre-retiree raises serious suitability concerns regardless of her stated preferences. The customer's sophistication and active engagement would mitigate but not eliminate liability.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, opened a brokerage account with Ridgeview Securities, LLC in March 2022. Her account documentation indicated she was a 'sophisticated investor' with 25 years of trading experience, annual income of \$185,000, liquid net worth of \$750,000, and an 'aggressive growth' investment objective. She selected 'active trader' as her trading preference and acknowledged understanding of commission costs. Her registered representative, Thomas Brennan, executed 127 trades in her account over 14 months, generating \$68,400 in commissions on an average account equity of \$340,000. The annualized turnover ratio was 4.8, and the cost-to-equity ratio was approximately 20%. The account showed a net loss of \$52,000 during this period, though the broader market declined 12% during the same timeframe. Holloway reviewed and approved each trade confirmation, never objected to any transaction, and communicated regularly with Brennan via email about market conditions and specific stock picks. In January 2024, Holloway filed an arbitration claim alleging churning and unsuitability, arguing that despite her stated preferences, Brennan should have recognized the trading frequency was harmful to her retirement timeline. Brennan maintained that he followed her directives and that her profile supported active trading strategies.

Why Borderline

The customer's documented sophisticated investor status and active trading preferences conflict with her approaching retirement age and the high cost structure that undermined account performance.

Borderline Factors

- * Customer's explicit selection of active trader status and aggressive objectives versus approaching retirement timeline
- * Turnover ratio of 4.8 falls below traditional 6.0 presumptive threshold but cost-to-equity ratio of 20% is concerning
- * Customer reviewed and approved all trades without objection versus broker's duty to recommend suitable strategies regardless of customer acquiescence

Analysis

The churning analysis requires examining both quantitative metrics and qualitative factors around customer consent and control. The quantitative indicators present a mixed picture: the 4.8 turnover ratio exceeds the traditional presumptive threshold of 6.0 used by some courts but falls below it, while the 20% cost-to-equity ratio is elevated and suggests the account needed substantial gains merely to break even. These metrics indicate significant trading activity but don't clearly establish presumptive churning. The qualitative factors complicate the analysis further. Holloway's

documented profile--25 years of experience, aggressive growth objective, active trader selection, and sophisticated investor acknowledgment--supports Brennan's position that the trading aligned with her stated preferences. Her ongoing email engagement and trade-by-trade approval without objection suggests informed consent rather than broker control. However, the suitability and Regulation Best Interest analysis must consider whether recommendations were in the customer's best interest regardless of customer approval. A 58-year-old investor approaching retirement arguably should not have been encouraged to pursue a high-cost, high-frequency trading strategy even if she expressed interest in it. The care obligation under Reg BI requires advisers to exercise reasonable diligence in understanding the customer's full investment profile, including retirement timeline considerations that may conflict with stated aggressive preferences. The account losses, while partially attributable to market conditions, were exacerbated by commission drag.

Item 70 of 250

Topic: suitability_of_emerging_market_data_sector_concentration

Standard: FINRA Rule 2111 (Suitability) including customer-specific and reasonable-basis suitability components; FINRA Rule 2111.05(a) regarding quantitative suitability and concentration; Reg BI Care Obligation requiring reasonable diligence regarding risks and rewards of recommendations

Likely Outcome: A finding of suitability violation is moderately likely. While Chen documented client interest in growth, the concentration level combined with publicly-known regulatory headwinds affecting nearly half the fund's holdings suggests insufficient care obligation fulfillment for an income-dependent retiree. However, sanctions would likely be moderate given the genuine uncertainty surrounding DSP enforcement impacts at recommendation time.

Source: 09_Law_Firm_Memos

Fact Pattern

In March 2025, registered representative Marcus Chen of Pinnacle Securities recommended that his client, Dorothy Hartwell (age 67, retired school administrator), allocate \$180,000 of her \$600,000 retirement portfolio to a concentrated position in the Global Data Infrastructure ETF (GDIF), which held approximately 40% of its assets in Chinese technology and data storage companies. Mrs. Hartwell's investment profile indicated moderate risk tolerance, a 15-year time horizon, and an income need of \$2,500 monthly from her portfolio. Chen documented that Mrs. Hartwell expressed interest in 'technology growth opportunities' during their February 2025 meeting. Chen was aware of the pending DOJ Data Security Program enforcement beginning July 2025, which would impose restrictions on data transfers to countries of concern including China. He did not specifically discuss how these regulatory developments might impact the fund's Chinese holdings with Mrs. Hartwell. By August 2025, after DSP enforcement commenced, GDIF declined 28% as several of its major Chinese holdings faced operational disruptions. Mrs. Hartwell filed a complaint alleging the recommendation was unsuitable given the foreseeable regulatory risks and her retirement income needs. Chen maintains the recommendation aligned with her stated growth interest and that regulatory developments were uncertain at the time of recommendation.

Why Borderline

The case hinges on whether knowledge of pending but not-yet-enforced regulatory action creates an affirmative duty to factor that risk into suitability analysis for income-dependent retirees, or whether such forward-looking regulatory assessment exceeds standard suitability obligations.

Borderline Factors

- * Whether publicly-announced but unenforced regulatory programs constitute 'known risks' requiring suitability consideration
- * Tension between client's documented growth interest and her income dependency and age profile
- * Whether 30% sector concentration is excessive for a moderate-risk retiree regardless of regulatory considerations

Analysis

The suitability analysis here requires balancing several competing considerations. Supporting a violation finding: Mrs. Hartwell's profile as a 67-year-old retiree with documented income needs of \$2,500 monthly suggests capital preservation should be prioritized. Concentrating 30% of her total portfolio in a single sector ETF with significant exposure to companies facing imminent and publicly-known regulatory headwinds raises care obligation concerns. The DOJ had already finalized the DSP rules in January 2025, providing clear notice of upcoming restrictions affecting

Chinese data companies. A reasonable adviser exercising due care should have factored known regulatory risks into suitability analysis, particularly for a client dependent on portfolio income. Supporting compliance: Chen documented Mrs. Hartwell's expressed interest in technology growth, and moderate risk tolerance does permit some growth-oriented positions. The 15-year time horizon provides substantial recovery capacity. At the time of recommendation, the DSP's ultimate market impact was genuinely uncertain--the DOJ had announced a 90-day grace period and enforcement outcomes were speculative. Additionally, diversified ETF holdings arguably mitigate single-company risk even within a sector concentration. The FINRA suitability rule does not require advisers to predict regulatory enforcement outcomes or market reactions with precision.

Item 71 of 250

Topic: suitability_of_discretionary_management_for_elderly_clients

Standard: Investment Advisers Act Section 206(1) and 206(2) fiduciary duty; SEC interpretive guidance on investment adviser duty of care requiring reasonable belief that advice is in client's best interest based on client's investment profile, objectives, and circumstances; fiduciary obligation to document material changes to client investment policy and risk tolerance.

Likely Outcome: A violation finding is more probable, as regulators typically expect advisers to formally document material changes to client objectives before implementing strategies inconsistent with original profiles. The failure to update written documentation, combined with Mrs. Hanson's age and conservative stated profile, will likely be viewed as insufficient process even if Feldman's intentions were responsive to client wishes. However, sanctions may be mitigated by evidence of client communication and the portfolio's income performance.

Source: 20_SEC_ALJ_OALJ_Decisions

Fact Pattern

Midwest Capital Partners, LLC, a registered investment adviser based in Minneapolis, managed discretionary accounts for approximately 85 retail clients between 2018 and 2023. The firm's principal, Robert Feldman, personally handled accounts for twelve elderly clients, most of whom had been customers since his prior employment at a broker-dealer in the 1990s. One such client, Eleanor Hanson (age 78), had a modest portfolio of \$185,000 consisting primarily of certificates of deposit and utility stocks when she signed a discretionary management agreement in March 2019. Mrs. Hanson's stated investment objectives on her new account form indicated 'income' and 'capital preservation,' with a 'conservative' risk tolerance. Her account documentation noted she was a retired schoolteacher living on Social Security and a small pension.

Between April 2019 and December 2022, Feldman gradually shifted Mrs. Hanson's portfolio into a mix of high-dividend REITs, preferred stocks, and business development companies (BDCs), ultimately allocating approximately 65% of her portfolio to these higher-yielding but more volatile securities. Feldman documented in his client file notes that Mrs. Hanson had expressed frustration with low CD rates during their quarterly calls and had verbally encouraged him to 'find something that pays better.' The portfolio generated substantially higher income--approximately \$14,200 annually compared to her prior \$6,400--but experienced a 22% drawdown during 2022 market volatility.

Mrs. Hanson's daughter filed a complaint with the SEC after her mother moved to assisted living in early 2023, alleging that Feldman had placed her mother in unsuitable investments. Feldman produced call notes documenting Mrs. Hanson's income preferences but had not updated her written investment policy statement or risk tolerance documentation since account opening.

Why Borderline

The case turns on whether informal client communications expressing income preferences can justify departing from formally documented conservative objectives, particularly when the adviser failed to memorialize changed circumstances in the official investment policy.

Borderline Factors

- * Contemporaneous call notes documenting client's verbal income preferences versus unchanged formal risk documentation
- * Portfolio achieved stated income objective while violating documented capital preservation goal

* Client's advanced age and dependency on portfolio income heightens duty of care considerations

Analysis

This case presents competing considerations regarding suitability and the adviser's fiduciary duty of care. Supporting a violation finding: Mrs. Hanson's original documented profile clearly indicated conservative risk tolerance and capital preservation objectives, yet her portfolio evolved to contain 65% in securities with materially higher volatility than her original holdings. The 22% drawdown significantly exceeded what a conservative investor should expect, and the concentration in yield-oriented but volatile instruments like BDCs and REITs may have been inappropriate for a 78-year-old dependent on her portfolio for living expenses. Furthermore, Feldman's failure to update the written investment policy statement or risk tolerance documentation means the official client profile remained inconsistent with the portfolio's actual composition.

Supporting compliance: Feldman maintained contemporaneous notes documenting the client's verbal requests for higher income, suggesting he was responding to expressed client preferences rather than acting arbitrarily. The portfolio did achieve its income-enhancement objective, nearly doubling annual distributions. The securities selected, while more volatile than CDs, were income-oriented rather than speculative growth plays. Feldman could argue the gradual transition over three years demonstrated measured implementation rather than reckless concentration. Additionally, Mrs. Hanson never complained during the period and continued approving quarterly statements.

The critical question is whether verbal expressions of preference override documented conservative objectives, and whether an adviser's fiduciary duty requires updating formal documentation before implementing material strategy changes with elderly clients.

Item 72 of 250

Topic: excessive_trading_reasonable_basis_suitability

Standard: Regulation Best Interest Rule 15l-1(a)(1) and Care Obligation under Rule 15l-1(a)(2)(ii); FINRA Rule 2111 (Suitability); Exchange Act Section 10(b) and Rule 10b-5 for any implicit misrepresentations regarding reasonable basis for recommendations

Likely Outcome: Probable finding of violation. Despite the documentation of customer approval, regulators will likely conclude that a customer with limited investment experience and capital preservation objectives cannot meaningfully consent to a trading strategy that generates costs nearly guaranteeing losses. The Care Obligation under Reg BI requires the broker to have a reasonable basis independent of customer acquiescence, and the combination of customer profile and quantitative metrics suggests Whelan prioritized commission generation over customer interests.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Marcus Whelan was a registered representative at Pinnacle Securities Group from March 2020 through December 2022. During this period, Whelan serviced approximately 45 retail customers, including six customers whose accounts exhibited high turnover rates. One such customer, Denise Hartley, age 58, was a recently retired school administrator with \$380,000 in liquid assets, a moderate risk tolerance, and a stated investment objective of capital preservation with modest growth to supplement her pension income.

Between August 2020 and November 2022, Whelan executed approximately 340 transactions in Hartley's account, resulting in an annualized turnover rate of 8.2 and a cost-to-equity ratio of 19%. Hartley's account generated approximately \$72,000 in commissions and fees for Pinnacle and Whelan during this period, while her account value declined by approximately \$48,000. Whelan maintained that his trading strategy was designed to capture short-term market movements and that he discussed his approach with Hartley during quarterly phone calls, during which she expressed satisfaction with his active management style.

Whelan documented in his CRM notes that Hartley verbally approved of frequent trading and understood that active strategies involved higher costs. However, Hartley's new account documentation listed her investment experience as 'limited' and indicated she had never previously maintained a brokerage account. Whelan's supervisor conducted two routine account reviews during this period and noted the elevated activity but took no corrective action, reasoning that Hartley had not complained and the individual trades were each suitable given market conditions.

Why Borderline

The quantitative metrics approach but do not definitively cross traditional excessive trading thresholds, while the customer's documented verbal approval and the supervisor's acquiescence create factual disputes about whether Whelan had a reasonable basis for his recommendations.

Borderline Factors

- * Cost-to-equity ratio of 19% falls just below the 20% threshold commonly cited as presumptively excessive
- * Customer allegedly provided ongoing verbal approval during documented quarterly calls despite limited investment experience
- * Supervisor conducted reviews and took no action, potentially suggesting firm-level acceptance of the trading level

Analysis

This case presents competing considerations under both the pre-Reg BI suitability framework and the Regulation Best Interest standard that became effective June 30, 2020. On the violation side, the quantitative indicators are concerning: an 8.2 turnover rate and 19% cost-to-equity ratio significantly exceed the thresholds regulators typically consider presumptively excessive (turnover above 6 and cost-to-equity above 20% are often cited as red flags). Hartley's profile--limited investment experience, moderate risk tolerance, capital preservation objective, and reliance on these funds for retirement income--creates a strong argument that high-frequency trading was fundamentally unsuitable regardless of individual trade quality. Under Reg BI's Care Obligation, Whelan was required to exercise reasonable diligence, care, and skill in making recommendations, and must have had a reasonable basis to believe the series of recommended transactions was in Hartley's best interest when viewed in light of her investment profile.

However, Whelan can point to several mitigating factors. He maintained documentation of customer communications and quarterly discussions where Hartley allegedly approved the trading approach. The individual trades were each facially suitable. His supervisor reviewed the accounts and did not intervene, suggesting firm-level compliance did not flag the activity as problematic. The cost-to-equity ratio, while high, remained just under the 20% threshold often cited in enforcement actions. Additionally, market volatility during 2020-2021 could arguably justify more active trading to manage risk.

The critical question is whether verbal customer approval and documented conversations can overcome the quantitative evidence suggesting the strategy had no reasonable basis for profitability given the fee drag.

Item 73 of 250

Topic: suitability_of_private_fund_recommendation_for_retail_qualified_purchaser

Standard: Investment Advisers Act Section 206 fiduciary duty; SEC guidance on advisers' duty of care requiring reasonable inquiry into client's financial situation, investment experience, and investment objectives before making recommendations

Likely Outcome: A regulatory examination would likely find a suitability deficiency, though perhaps not rising to enforcement action. The SEC would likely require enhanced documentation procedures and potentially remediation, focusing on the disconnect between the adviser's fiduciary duty to understand the client's actual circumstances versus reliance on technical qualification status and questionnaire responses.

Source: 09_Law_Firm_Memos

Fact Pattern

Clearview Capital Advisors, an SEC-registered investment adviser, recommended in March 2024 that Margaret Thornton, a 67-year-old recently widowed retiree, invest \$1.2 million--representing approximately 35% of her liquid assets--into the Clearview Strategic Opportunities Fund II, a private equity fund with a 10-year lockup period and limited liquidity provisions allowing for quarterly redemptions capped at 5% of NAV. Mrs. Thornton qualified as a 'qualified purchaser' under the Investment Company Act due to her \$4.8 million investment portfolio, inherited primarily from her late husband who had been an active private fund investor. Clearview's adviser, Daniel Reyes, documented that Mrs. Thornton expressed interest in 'growth-oriented investments' and had a 'moderate-to-aggressive' risk tolerance based on a questionnaire completed during onboarding. However, Mrs. Thornton had no prior personal experience investing in illiquid private funds--all such investments had been managed by her husband. During the recommendation meeting, Reyes explained the fund's strategy focusing on middle-market buyouts but spent limited time discussing liquidity constraints and the implications of the 10-year commitment given her age and income needs. Mrs. Thornton's financial profile indicated she relied on approximately \$85,000 annually from her portfolio to supplement Social Security income. Six months later, Mrs. Thornton requested a partial redemption to cover unexpected medical expenses but was informed she would need to wait until the next quarterly redemption window and would be subject to the 5% cap, significantly delaying access to her funds.

Why Borderline

The core tension lies between the client's technical qualification status as a sophisticated investor versus the practical mismatch between her actual circumstances--age, income dependency, and inexperience--and the product's illiquidity features.

Borderline Factors

- * Client met qualified purchaser threshold but lacked personal private fund experience
- * Documented risk tolerance supported aggressive investments but income needs suggested otherwise
- * Concentration of 35% in illiquid asset versus retention of 65% in other investments

Analysis

This case presents competing considerations under the Investment Advisers Act Section 206 fiduciary duty. Supporting a potential violation: Mrs. Thornton's reliance on \$85,000 annually from her portfolio for living expenses creates a significant liquidity need that conflicts with a 10-year lockup and limited redemption rights. At age 67, committing 35% of liquid assets to an illiquid vehicle with a decade-long horizon raises serious questions about whether the adviser

adequately considered her time horizon and income requirements. Her lack of personal experience with private funds--despite technically qualifying as a qualified purchaser--suggests the sophistication assumption underlying her status may not reflect her actual investment knowledge. The limited discussion of liquidity constraints during the recommendation appears to fall short of the care obligation requiring advisers to have a reasonable understanding that the recommendation is in the client's best interest. Supporting compliance: Mrs. Thornton met the qualified purchaser standard, suggesting regulatory acknowledgment of her capacity to bear investment risk. Her documented 'moderate-to-aggressive' risk tolerance and expressed interest in growth investments support the recommendation's alignment with stated preferences. She retained 65% of her liquid assets in presumably more accessible investments. The fund's quarterly redemption feature, while capped, does provide some liquidity mechanism unlike fully locked private equity structures. Clearview could argue it reasonably relied on her qualification status and documented risk profile.

Item 74 of 250

Topic: annuity_replacement_suitability_for_senior_investor

Standard: FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), particularly subsections (b)(1) regarding reasonable-basis and customer-specific suitability for annuity exchanges, and (b)(2) requiring principal review including consideration of whether the customer would benefit from the transaction; FINRA Rule 2111 (Suitability); FINRA Rule 4512 (Customer Account Information) regarding maintenance of accurate customer profiles.

Likely Outcome: FINRA would likely find a supervisory deficiency for failure to conduct an independent client interview as required for senior investors under Rule 2330, but the underlying suitability determination is closer. The firm would probably receive a cautionary letter or minor sanctions focused on the supervisory gap, with the substantive suitability question remaining unresolved absent evidence of customer harm or complaint.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Thornton, age 74, was a client of Piedmont Financial Services and had worked with registered representative David Caruso since 2012. In March 2023, Caruso recommended that Thornton surrender her existing fixed annuity, which had a remaining surrender period of 18 months and would impose a 3% surrender charge (\$4,200 on her \$140,000 contract value), to purchase a new fixed indexed annuity with a 10-year surrender period. The new product offered a 6% premium bonus and a guaranteed minimum accumulation benefit rider. Thornton's customer profile indicated she was a retired schoolteacher with \$420,000 in total liquid assets, a \$2,800 monthly pension, Social Security income of \$1,900, and moderate risk tolerance. Her stated investment objective was 'income with some growth' and her time horizon was listed as '7-10 years.' Caruso documented that the recommendation was based on Thornton's desire for better downside protection and the potential for higher returns linked to market indices. He noted she had no immediate liquidity needs and her existing annuity's crediting rate had declined to 2.1%. The new annuity projected a potential 5-7% annual return based on index performance. However, Thornton's file also contained a notation from a 2021 account review indicating she might need funds for potential assisted living costs within 5-7 years. Caruso's supervisor approved the exchange after reviewing the transaction but did not conduct an independent interview with Thornton.

Why Borderline

The case presents tension between the customer's documented long-term time horizon and liquid assets supporting suitability versus her age, the extended surrender period, and documented notes suggesting potential near-term liquidity needs that could make this exchange inappropriate.

Borderline Factors

- * Customer's age (74) versus 10-year surrender period extending to age 84
- * Conflicting documentation: 7-10 year stated time horizon versus 2021 notation about 5-7 year assisted living needs
- * Substantial outside liquid assets (\$280,000) potentially mitigating liquidity concerns

Analysis

Arguments supporting a suitability violation center on the extended surrender period relative to Thornton's age and documented potential liquidity needs. At 74, a 10-year surrender period would extend until she is 84, conflicting with the 2021 notation about possible assisted living needs within 5-7 years. The surrender charge on the existing annuity,

combined with the new product's long surrender period, raises questions about whether this exchange primarily benefited the customer or generated commissions. FINRA Rule 2330 requires that annuity exchanges must provide a material improvement considering surrender charges, product features, and the customer's insurance needs. The supervisor's failure to conduct an independent client interview could be seen as inadequate supervision under the rule's heightened requirements. However, arguments supporting suitability note that Thornton had substantial liquid assets outside this annuity (\$280,000), reducing concerns about the surrender period restricting access to funds. The 6% premium bonus partially offset the 3% surrender charge, and the new product's downside protection features aligned with her stated moderate risk tolerance and income-with-growth objective. The projected higher returns could benefit her estate planning goals. Caruso documented his rationale, and the customer's stated 7-10 year time horizon technically accommodates the surrender period. The existing annuity's declining crediting rate provided legitimate grounds to explore alternatives, and Thornton expressed no objection to the recommendation.

Item 75 of 250

Topic: wrap_fee_suitability_for_low_turnover_investor

Standard: Investment Advisers Act Section 206 fiduciary duty; SEC guidance on wrap fee program suitability in Form ADV Part 2A; FINRA Rule 2111 (Suitability) for any broker-dealer component; Reg BI Care Obligation requiring cost consideration as a factor in best interest analysis

Likely Outcome: A regulatory examination would likely result in a deficiency finding requiring enhanced suitability documentation practices rather than a formal enforcement action, provided the firm can demonstrate robust initial suitability analysis and ongoing service delivery. The firm may need to implement periodic wrap fee suitability reviews for low-activity accounts and document the specific advisory services utilized by such clients.

Source: 09_Law_Firm_Memos

Fact Pattern

In March 2025, Margaret Holloway, a 68-year-old retired schoolteacher, met with her financial adviser Derek Chen at Westfield Advisory Partners to discuss investing her \$425,000 in retirement savings. Margaret described herself as conservative, seeking income generation and capital preservation, with a 15-year time horizon to fund her retirement and potential long-term care needs. Derek recommended enrolling Margaret in the firm's Compass Wrap Fee Program, which charges an annual asset-based fee of 1.45% (\$6,162.50 annually) and includes unlimited trading, portfolio monitoring, quarterly rebalancing, and ongoing advisory services.

Derek constructed a portfolio for Margaret consisting of 60% investment-grade municipal bonds, 25% dividend-paying blue-chip equities, and 15% in a money market fund. Over the subsequent 12 months ending March 2026, the account experienced only 7 trades total--primarily quarterly rebalancing transactions and one bond substitution when a holding was called. Margaret's account generated approximately \$14,200 in dividend and interest income during this period.

During a routine compliance review, the firm's CCO flagged Margaret's account noting that based on her conservative profile and the limited trading activity, a traditional fee-per-transaction brokerage arrangement might have cost Margaret approximately \$280 in commissions for the same trades, versus the \$6,162.50 wrap fee she paid. The CCO questioned whether the wrap fee program was suitable given Margaret's investment style and whether the ongoing advisory services provided sufficient value to justify the fee differential.

Why Borderline

The case involves tension between quantifiable cost analysis favoring transaction-based pricing and qualitative advisory service value that is inherently difficult to measure against specific fee thresholds.

Borderline Factors

- * Significant mathematical cost disparity between wrap fee and hypothetical commission-based alternative
- * Documented client preference for comprehensive advisory relationship and ongoing guidance
- * Whether quarterly rebalancing, monitoring, and access to adviser constitute sufficient value to justify fee premium

Analysis

The suitability analysis here involves weighing the tangible costs against the intangible benefits of the wrap fee arrangement. Arguments supporting a potential violation focus on the stark cost disparity--Margaret paid over 22 times more in fees than she would have under a transactional model for the same trading activity. Regulators have

consistently warned that wrap fee programs may be unsuitable for buy-and-hold investors or those with low anticipated trading volumes. The firm's own brochure likely contains standard disclosure that wrap fees may cost more than paying separately for advisory and brokerage services, which could be seen as acknowledgment of this risk.

However, arguments supporting compliance emphasize that wrap fee suitability analysis should not be purely mechanical. The 1.45% fee included ongoing portfolio monitoring, quarterly rebalancing services, and continuous access to Derek for financial planning advice--services Margaret utilized through four quarterly reviews. The program's tax-efficient management and professional oversight of her bond ladder arguably provided value beyond mere trade execution. Additionally, Margaret's conservative profile actually makes steady, predictable fees potentially appropriate for budgeting purposes in retirement. Derek documented Margaret's preference for a comprehensive advisory relationship over transactional interactions, and Margaret signed acknowledgments regarding wrap fee cost considerations. The low trading volume could also indicate successful portfolio construction requiring minimal intervention rather than inappropriate inactivity.

Item 76 of 250

Topic: annuity_suitability_elderly_customer

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 07-43 (Senior Investors); applicable state insurance suitability regulations for annuity sales

Likely Outcome: The claim would likely be denied, as the arbitrator would probably find the recommendation suitable based on the customer's circumstances at the time of sale. The customer retained meaningful liquidity, was competent, signed comprehensive disclosures, and articulated objectives consistent with the product. The subsequent dementia diagnosis, while unfortunate, does not retroactively create a suitability violation when the recommendation was reasonable given known facts. However, the representative may face heightened scrutiny in future senior-targeted sales.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative David Thornton of Pinnacle Financial Services met with 79-year-old Margaret Hollister to discuss her investment options. Mrs. Hollister had recently received \$185,000 from the sale of her late husband's small business and wanted safe, income-producing investments. Her existing assets consisted of approximately \$95,000 in a money market account and \$42,000 in Social Security income annually. Mrs. Hollister disclosed she had no significant debts, lived independently in a paid-off home, and had two adult children. Thornton recommended she invest \$150,000 in a single premium deferred annuity with a 10-year surrender period, offering a 4.2% guaranteed rate. The annuity included surrender charges starting at 9% in year one and declining annually. Mrs. Hollister signed all disclosure documents, including acknowledgment that early withdrawals would incur penalties and that she understood the surrender schedule.

In September 2023, Mrs. Hollister was diagnosed with early-stage dementia and required assisted living care costing \$6,800 monthly. Her daughter Susan, acting under power of attorney, discovered the annuity's surrender restrictions would result in approximately \$11,400 in penalties if liquidated immediately. Susan filed a complaint alleging the annuity was unsuitable given her mother's age and potential healthcare needs. Thornton maintained that at the time of sale, Mrs. Hollister was mentally competent, had sufficient liquid assets outside the annuity for emergencies, and had specifically requested a guaranteed income product. The annuity did permit 10% annual penalty-free withdrawals, which Thornton had explained during the sale. Documentation showed Mrs. Hollister stated she wanted to preserve principal for her children's inheritance while generating modest income.

Why Borderline

The case hinges on whether a 10-year surrender period annuity can ever be suitable for a 79-year-old customer with adequate remaining liquidity, when unforeseeable health events later create liquidity needs.

Borderline Factors

- * Customer retained substantial liquid assets outside the annuity at time of purchase
- * 10-year surrender period versus customer's age and statistical life expectancy
- * Comprehensive disclosure documentation signed by competent customer
- * Subsequent unforeseen health diagnosis creating liquidity need not present at sale

Analysis

This case presents competing considerations regarding annuity suitability for elderly customers. Arguments supporting a suitability violation include: Mrs. Hollister's advanced age (79) made a 10-year surrender period potentially inappropriate given actuarial life expectancy and increased probability of healthcare expenses; FINRA guidance consistently emphasizes heightened scrutiny for annuity sales to seniors; the surrender charge structure could trap needed funds precisely when liquidity becomes most critical; and the concentration of 81% of her liquid assets (\$150,000 of \$185,000 + \$95,000) in an illiquid product may have been excessive regardless of her stated objectives.

However, arguments supporting the recommendation's suitability include: Mrs. Hollister retained \$130,000 in liquid assets (\$35,000 remaining from sale plus \$95,000 money market), representing approximately 19 months of potential assisted living expenses even without the annuity; she was competent at purchase and explicitly stated preservation and income objectives; the 10% annual penalty-free withdrawal provision provided meaningful liquidity; the guaranteed 4.2% rate in a rising-rate environment provided certainty aligned with her risk tolerance; and her desire to leave inheritance suggested long-term planning horizon. The contemporaneous documentation of suitability discussions and disclosure acknowledgments strengthens the defense. The unforeseen dementia diagnosis represents an unknowable future event that arguably should not retroactively render suitable advice unsuitable.

Item 77 of 250

Topic: structured_product_suitability_lehman_notes

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); NASD Rule 2310 (applicable at time of transaction); Exchange Act Section 10(b) and Rule 10b-5 regarding material misrepresentation or omission in connection with securities sales.

Likely Outcome: Expungement likely granted or no finding of violation, as the recommendation aligned with industry standards at the time, the position sizing was not egregiously concentrated, disclosures were provided, and the small settlement amount suggests weak underlying liability. Regulators and arbitrators have generally been reluctant to find suitability violations based solely on unforeseeable market events when contemporaneous due diligence was reasonable.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In September 2007, registered representative Marcus Thornton at Pinnacle Wealth Advisors recommended that his client, Dorothy Chen, age 62, invest \$75,000 in Lehman Brothers principal-protected notes with a 5-year maturity. Mrs. Chen was a retired school administrator with a moderate risk tolerance, seeking income-producing investments to supplement her pension. Her total liquid net worth was approximately \$425,000, and the Lehman notes represented about 18% of her investable assets. Thornton explained that the notes offered downside protection of principal at maturity while providing upside participation linked to equity indices, making them suitable for conservative-to-moderate investors seeking some market exposure with reduced risk. He provided the offering documents, which disclosed that the principal protection was backed only by Lehman Brothers' creditworthiness as issuer, not by any government guarantee. At the time of purchase, Lehman Brothers had an A+ credit rating from major agencies, and Thornton noted this rating as evidence of the issuer's stability. Following Lehman's bankruptcy in September 2008, the notes became nearly worthless. Mrs. Chen filed a customer complaint alleging the recommendation was unsuitable given her age, retirement status, and the concentration of credit risk in a single issuer. Pinnacle ultimately settled the matter for \$10,000, recovering approximately \$6,000 in residual note value, for a net payout of \$4,000 to the customer.

Why Borderline

The recommendation appeared suitable under prevailing standards and credit ratings at the time, but the customer's retirement status and the single-issuer concentration create legitimate questions about whether adequate due diligence was performed on credit risk exposure for this specific client profile.

Borderline Factors

- * Reliance on investment-grade credit ratings that were standard practice in 2007
- * 18% portfolio concentration in single-issuer credit risk for retired client
- * Principal-protected marketing versus actual credit risk disclosure adequacy

Analysis

Arguments supporting a suitability violation include: the customer was 62 years old and retired, suggesting a need for capital preservation; concentrating 18% of liquid assets in a single issuer's credit risk may have been excessive regardless of that issuer's rating at the time; and 'principal-protected' marketing language may have obscured the true nature of the credit risk involved. The customer's moderate risk tolerance did not necessarily encompass accepting significant single-issuer default risk on a substantial portion of her portfolio. Arguments supporting compliance include:

the investment represented a reasonable portion (18%) of a diversified portfolio, not an unsuitable concentration; at the time of recommendation, Lehman Brothers carried investment-grade ratings from all major agencies, and reliance on such ratings was standard industry practice; the representative provided offering documents that disclosed the credit risk; structured notes with principal protection were commonly recommended to moderate-risk investors seeking some equity exposure with downside mitigation; and hindsight bias should not transform a reasonable recommendation into a violation based on subsequent market events that were not reasonably foreseeable. The small settlement amount (\$4,000 net) suggests the firm may have viewed litigation risk as minimal, settling primarily to avoid costs rather than conceding liability.

Item 78 of 250

Topic: annuity_replacement_suitability_annuitization_disclosure

Standard: New York Insurance Regulation 187 (best interest standard for annuity recommendations); New York Insurance Regulation 60 (replacement disclosure requirements, Appendix 10B Disclosure Statement); Insurance Law § 4223(a)(1)(E) (annuitization rate requirements)

Likely Outcome: Probable violation finding. New York's enforcement position, as demonstrated in the Lincoln consent order, treats failure to obtain annuitization information and disclose income comparisons as violations of both Reg 60 disclosure requirements and Reg 187 suitability standards. Wallace's failure to investigate the GMIB value--which would have revealed Margaret was better served by annuitizing her existing contract--likely constitutes a breach of the care obligation. The \$560 monthly income loss (\$6,720 annually) represents quantifiable consumer harm that regulators would view as resulting from inadequate suitability review.

Source: 08_State_Fiduciary_Rules

Fact Pattern

Margaret Chen, age 71, held a deferred variable annuity with Meridian Financial Insurance Company that she purchased in 2012 with a \$285,000 premium. By March 2023, her contract had an accumulation value of \$312,000 and included a guaranteed minimum income benefit (GMIB) rider that would provide \$2,450 monthly if she annuitized the existing contract. Robert Wallace, a licensed insurance producer with Cornerstone Retirement Solutions, recommended that Margaret replace her Meridian deferred annuity with a single premium immediate annuity (SPIA) from Atlantic Life Insurance Company, which would provide \$1,890 monthly based on the \$312,000 surrender value transfer. Wallace completed a suitability questionnaire noting Margaret's moderate risk tolerance, need for guaranteed income, and concern about market volatility. However, Wallace did not obtain annuitization quotes from Meridian showing the GMIB value, nor did he include a comparison of the guaranteed income available under the existing contract versus the replacement SPIA on the Disclosure Statement. Wallace's sales notes indicated he believed the SPIA was preferable because it eliminated market risk and provided 'certainty,' though Margaret would receive \$560 less monthly than if she had simply annuitized her existing contract. Atlantic Life's home office compliance department approved the replacement after reviewing the submitted paperwork, which showed only the current accumulation value comparison without the GMIB income differential. Margaret signed all documents and the replacement was processed in April 2023.

Why Borderline

The case turns on whether the best interest standard requires affirmative investigation of existing contract benefits (like GMIB riders) when the customer provides accumulation value information but not benefit details, and whether the income differential alone renders the replacement unsuitable.

Borderline Factors

- * Producer completed suitability documentation but failed to obtain annuitization quotes revealing superior existing benefits
- * Customer's stated objectives (guaranteed income, reduced risk) were nominally addressed by the SPIA, though at significantly worse economic terms
- * Home office compliance approved the transaction based on incomplete disclosure information

Analysis

This case presents competing considerations under New York Regulation 187's best interest standard and Regulation

60's replacement disclosure requirements. Supporting a violation: Wallace failed to obtain critical annuitization information from Meridian that would have revealed Margaret's existing contract offered significantly higher guaranteed income (\$2,450 vs. \$1,890 monthly, a 23% reduction). The Disclosure Statement comparison was incomplete because it omitted the GMIB rider's value, preventing Margaret from making a fully informed decision. Under NY Reg 187, producers must act in the customer's best interest when making recommendations, which arguably requires comparing all relevant features including guaranteed income benefits. The Department's findings in similar cases emphasize that consumers must be 'fully informed' about annuitization options before replacing deferred annuities. Supporting compliance: Wallace did complete suitability documentation and the questionnaire reflected Margaret's stated priorities (guaranteed income, reduced market risk). The SPIA recommendation arguably addressed her expressed concerns about volatility, even if not optimally. Wallace may not have known about the GMIB's specific value if Margaret didn't provide her contract documents, and Atlantic Life's compliance did approve the transaction. Additionally, SPIAs and GMIB annuitization have different features--the SPIA provides immediate certainty while GMIB exercise would have required additional steps. The question is whether Wallace's failure to investigate and disclose the GMIB comparison constitutes a suitability violation or simply incomplete diligence that falls short of the best interest standard.

Item 79 of 250

Topic: erisa_fiduciary_rollover_recommendation_suitability

Standard: ERISA Section 3(21)(A)(ii) fiduciary definition; ERISA Section 404(a) prudence and loyalty standards; DOL guidance on rollover recommendations as fiduciary advice; Investment Advisers Act Section 206 fiduciary duty for advisory accounts; Regulation Best Interest care obligation for broker-dealer rollover recommendations

Likely Outcome: Regulators would likely find a violation of fiduciary duties, primarily due to the failure to document a cost-benefit analysis and the availability of a comparable managed account option within the existing plan at substantially lower cost. The DOL has consistently emphasized that rollover recommendations must be in the participant's best interest, with cost being a primary consideration. However, the sanction might be mitigated if Cornerstone can demonstrate the recommendation process included verbal cost discussions and the client received meaningful additional value.

Source: 10_Academic_Articles

Fact Pattern

Margaret Holloway, age 58, worked at a manufacturing company for 27 years and accumulated \$412,000 in her employer's 401(k) plan. The plan offered 15 low-cost index funds with expense ratios averaging 0.08% and included a stable value fund yielding 2.8%. In March 2024, she met with James Whitfield, a registered representative at Cornerstone Wealth Advisors, after attending a retirement planning seminar the firm hosted. Whitfield recommended Margaret roll her entire 401(k) balance into an IRA at Cornerstone to gain access to 'professional management and a wider range of investment options.' The proposed IRA would be invested in a wrap fee program charging 1.25% annually plus underlying mutual fund expenses averaging 0.65%. Whitfield emphasized the IRA would provide more personalized attention and quarterly reviews, whereas her 401(k) offered only annual plan-wide communications. He also noted she would have access to alternative investments and fixed annuities not available in the 401(k). Margaret's risk tolerance questionnaire indicated moderate-conservative preferences, and she planned to retire at 62. Whitfield documented that the rollover would provide 'enhanced flexibility and investment guidance' but did not prepare a written cost comparison between the existing plan and the proposed IRA. Margaret proceeded with the rollover in April 2024. Her former employer's 401(k) plan had recently added a managed account option with a 0.35% advisory fee that would have been available had she remained in the plan.

Why Borderline

The case hinges on whether enhanced services and investment access can justify substantially higher costs for a participant whose existing plan already offered quality low-cost options, and whether procedural deficiencies in documentation constitute substantive violations.

Borderline Factors

- * Significant cost increase (approximately 1.82% higher annual expenses) versus claimed service enhancements
- * Absence of written cost comparison despite fiduciary standards emphasizing documentation
- * Availability of lower-cost managed account alternative within existing 401(k) plan

Analysis

This case presents competing considerations under ERISA fiduciary standards for rollover recommendations. Supporting a potential violation: The cost differential is substantial--Margaret moved from an all-in cost structure of approximately 0.08% to one exceeding 1.90% annually, a difference of roughly \$7,500 per year on her balance. The

DOL has emphasized that rollover recommendations are fiduciary acts when made to retirement plan participants, and cost is a critical factor. Whitfield failed to document a comparative cost analysis, which regulators have increasingly expected as evidence of prudent recommendation processes. The 401(k) plan's newly available managed account option at 0.35% could have addressed Margaret's desire for professional guidance at significantly lower cost. Supporting compliance: Whitfield can argue the recommendation addressed legitimate client needs--personalized quarterly reviews, broader investment selection, and access to annuity products potentially valuable for retirement income planning. The wrap program's advisory component provides ongoing fiduciary oversight the 401(k) lacked. Margaret's moderate-conservative profile and four-year retirement horizon arguably justify professional management during this critical transition period. The firm's seminar and subsequent consultation represent genuine investment education and advice services. The absence of a written cost comparison, while procedurally concerning, does not automatically render the recommendation imprudent if Whitfield considered costs in his overall analysis.

Item 80 of 250

Topic: best_interest_recommendation_documentation_gap

Standard: Reg BI Rule 15l-1 Care Obligation; FINRA Rules 2111 (Suitability), 2010 (Standards of Commercial Honor), and 3110 (Supervision)

Likely Outcome: Most likely outcome is a finding of supervisory deficiency against the firm and potential minor sanctions against Huang for procedural violations, but not a substantive best interest violation. Regulators typically view documentation failures seriously as they undermine the ability to demonstrate compliance, but the strong evidence of actual suitability and client satisfaction would likely mitigate against finding a Care Obligation violation. The firm may face criticism under FINRA Rule 3110 for supervisory failures in ensuring form completion.

Source: 03_FINRA_AWC

Fact Pattern

In March 2024, Sandra Whitfield, a 67-year-old retired schoolteacher, opened an account with Coastal Ridge Securities, LLC, seeking income generation from her \$385,000 in retirement savings. Her new financial consultant, Derek Huang, documented her investment profile as moderate risk tolerance, 15-year time horizon, and primary objective of income with capital preservation. Between April and August 2024, Huang recommended a portfolio consisting of 40% investment-grade corporate bonds, 25% dividend-paying blue-chip equities, 20% preferred stocks, and 15% in a closed-end fund that invested in senior secured loans yielding approximately 8.2%. The closed-end fund traded at a 12% discount to NAV and used modest leverage of 25%. Whitfield signed all new account documentation and trade confirmations without objection.

In November 2024, Coastal Ridge Securities was acquired by a larger broker-dealer. During the integration process, the successor firm discovered that Huang had not completed the firm's required Best Interest Recommendation Forms for any of the closed-end fund purchases, which totaled \$57,750 across three transactions. These internal forms were designed to document the care obligation analysis, including consideration of reasonably available alternatives. Huang had completed the forms for all other investments in Whitfield's account. When questioned, Huang stated he believed the closed-end fund was clearly suitable given the client's income needs and that the form was redundant paperwork.

Whitfield's account appreciated 6.8% over the period and she expressed satisfaction with her income distributions. The closed-end fund performed in line with its peer group. The successor firm's compliance department is now evaluating whether Huang violated his best interest obligations, despite the portfolio's apparent suitability and performance.

Why Borderline

The recommendation itself appears substantively suitable, but the broker's failure to complete required documentation for a leveraged product creates uncertainty about whether the care obligation analysis actually occurred.

Borderline Factors

- * Substantively appropriate investment allocation despite documentation gap
- * Leveraged closed-end fund warrants heightened scrutiny but represented modest portfolio percentage
- * Broker's dismissive attitude toward compliance forms versus actual investment analysis performed

Analysis

This scenario presents a tension between substantive compliance with best interest standards and procedural

documentation requirements. Arguments supporting a violation focus on several factors: FINRA Rule 2111 and Reg BI's Care Obligation require that brokers exercise reasonable diligence and have a reasonable basis for recommendations. Reg BI specifically requires consideration of reasonably available alternatives. The firm's Best Interest Recommendation Forms were designed to demonstrate this analysis occurred. Huang's failure to complete documentation for a leveraged product--which typically warrants heightened scrutiny--raises questions about whether he actually performed the required analysis. His dismissive characterization of the forms as 'redundant paperwork' suggests a cavalier attitude toward compliance obligations.

Arguments supporting compliance note that the substantive recommendation appears sound. The 15% allocation to the closed-end fund was proportionate for a moderate-risk investor seeking income. The fund's characteristics--senior secured loans, modest leverage, trading at discount--were consistent with income generation and some capital appreciation potential. Whitfield's 15-year time horizon provided adequate runway to weather volatility. The portfolio's overall construction and performance suggest Huang did exercise reasonable care, even if he failed to document it. Reg BI does not mandate specific forms--it requires that the recommendation be in the customer's best interest.

The core question is whether documentation failures alone constitute violations when the underlying recommendation was substantively appropriate. Firms have flexibility in how they demonstrate compliance, but internal controls exist for regulatory protection.

Item 81 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Guidance on concentrated positions and customer-specific suitability obligations

Likely Outcome: A regulatory finding of suitability violation is more likely, though sanctions would probably be moderate. The concentration level combined with the client's limited experience and approaching retirement creates a reasonable-basis suitability concern. Thornton's documentation helps but informal verbal acknowledgment typically does not satisfy the obligation to ensure the customer understands material risks of a highly concentrated, event-dependent position.

Source: 21_FINRA_OHO_Decisions

Fact Pattern

In March 2023, Gerald Thornton, a registered representative at Westbrook Capital Partners, recommended that his client, Martha Kessler, age 58, concentrate approximately 45% of her \$1.2 million portfolio in shares of MedTech Dynamics Inc., a mid-cap medical device company. Kessler's account documents indicated a moderate risk tolerance, a 7-10 year investment horizon targeting retirement at age 65, and moderate investment experience limited primarily to diversified mutual funds and blue-chip equities. Thornton had followed MedTech Dynamics closely as part of his coverage responsibilities and believed the company was poised for significant growth based on its pending acquisition of a smaller competitor and positive FDA trial results that had been publicly announced. Thornton discussed with Kessler the potential upside of the merger, sharing publicly available analyst reports and news articles, and noted that several sell-side analysts had 'buy' ratings on the stock. Kessler agreed to the recommendation after two phone conversations totaling approximately 40 minutes. Thornton documented in his notes that Kessler 'understood the risks of concentration' and 'wanted growth exposure before retirement.' However, no formal risk disclosure specific to concentrated positions was provided, and Westbrook's compliance procedures did not require heightened suitability review for single-stock concentrations below 50%. By November 2023, MedTech Dynamics shares had declined 38% after the acquisition was unexpectedly terminated, reducing Kessler's portfolio value by approximately \$205,000.

Why Borderline

The case hinges on whether a 45% single-stock concentration in a merger-dependent company is categorically unsuitable for a moderate-risk pre-retiree, or whether the client's informed consent and time horizon provide adequate justification.

Borderline Factors

- * Client's documented acknowledgment of concentration risk versus absence of formal written disclosure
- * Moderate risk tolerance interpretation for single-stock versus portfolio-level volatility
- * Firm's internal threshold (50%) not triggering enhanced review versus industry norms on concentration

Analysis

The core suitability question is whether recommending a 45% concentration in a single mid-cap stock was appropriate for a client with moderate risk tolerance approaching retirement. Arguments supporting a violation include: (1) the concentration level was extreme for someone seven years from retirement who had limited experience beyond diversified investments; (2) moderate risk tolerance typically does not encompass event-driven speculation on merger outcomes; (3) the recommendation was based substantially on pending corporate events (the acquisition) which carry

inherent uncertainty; and (4) the lack of formal concentrated position risk disclosure suggests inadequate customer communication. Thornton's reliance on publicly available analyst opinions, while legitimate, does not automatically render the recommendation suitable for this particular customer's profile. Arguments supporting compliance include: (1) Kessler explicitly agreed to the recommendation after substantive discussions; (2) Thornton documented that the client understood concentration risks; (3) the recommendation was below Westbrook's 50% threshold requiring enhanced review; (4) the 7-10 year horizon provided time to recover from volatility; and (5) all information shared was publicly available and the recommendation was based on reasonable analysis rather than speculation. The firm's compliance framework did not flag the transaction, suggesting it fell within acceptable parameters. Additionally, Kessler's moderate (not conservative) risk tolerance arguably permits some growth-oriented positions.

Item 82 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest for broker-dealer recommendations made after June 30, 2020.

Likely Outcome: A FINRA arbitration panel would likely find a suitability violation and award partial damages. While the customer approved the transaction, the combination of limited investment experience, retirement-focused objectives, and a 33% concentration in a speculative biotech stock likely exceeds reasonable-basis suitability for this customer profile. However, damages may be reduced to account for customer's contributory conduct in approving the position.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Delacroix, age 58, was a longtime customer of Horizon Capital Advisors and worked with registered representative Paul Weston from 2019 through 2023. Delacroix had accumulated approximately \$840,000 in retirement savings, consisting of a 401(k) rollover IRA and a taxable brokerage account. Her investment profile, last updated in March 2021, indicated a 'moderate growth' risk tolerance, a 15-year time horizon, and retirement income as her primary investment objective. She had limited investment experience, having previously held only diversified mutual funds through her employer plan.

In September 2022, Weston recommended that Delacroix invest \$275,000 (approximately 33% of her total portfolio) in shares of Nextera Biotech Industries, a mid-cap biotechnology company that Weston believed was significantly undervalued following negative clinical trial news. Weston provided Delacroix with analyst reports projecting substantial upside and explained that biotech stocks could generate outsized returns for retirement funding. Delacroix agreed to the purchase after two phone conversations totaling approximately 45 minutes.

By April 2023, Nextera Biotech had declined 62% following additional regulatory setbacks, reducing Delacroix's position to approximately \$104,500. Delacroix filed a complaint alleging the concentrated single-stock recommendation was unsuitable given her moderate risk profile, limited sophistication, and dependence on these funds for retirement. Weston maintained that Delacroix understood the risks, that her 15-year horizon provided time for recovery, and that she had expressly approved the position size after their discussions.

Why Borderline

The customer's documented moderate-growth tolerance and 15-year horizon create ambiguity about whether a significant single-stock concentration was categorically unsuitable or a reasonable growth-oriented strategy she knowingly accepted.

Borderline Factors

- * Customer's 'moderate growth' designation does not clearly prohibit concentrated positions
- * 15-year time horizon arguably supports higher volatility tolerance
- * Limited customer sophistication versus documented discussions and express approval

Analysis

This case presents genuine tension between customer autonomy and broker suitability obligations under FINRA Rule

2111. Arguments supporting a suitability violation include: (1) a 33% concentration in a single volatile biotech stock appears inconsistent with a 'moderate growth' risk tolerance designation; (2) Delacroix's limited investment experience--only diversified mutual funds--suggests she may not have fully appreciated single-stock concentration risk; (3) biotech stocks are inherently speculative, with outcomes heavily dependent on binary regulatory and clinical events; (4) at age 58 with retirement as the primary objective, capital preservation concerns should arguably have limited aggressive speculation.

However, arguments supporting compliance include: (1) Delacroix's 15-year time horizon provides meaningful opportunity to recover from volatility, consistent with some growth-oriented positioning; (2) the recommendation left 67% of her portfolio presumably diversified; (3) Weston provided analyst research and conducted two substantive conversations totaling 45 minutes before obtaining approval; (4) 'moderate growth' does not equate to 'conservative'--some concentrated positions may be acceptable for growth-seeking investors; (5) the customer expressly approved the position size after disclosure of the opportunity and risks.

The key tension lies in whether the 45-minute discussion adequately ensured Delacroix understood concentration risk in a speculative sector, and whether her documented risk tolerance reasonably encompassed this type of position.

Item 83 of 250

Topic: suitability_of_model_portfolio_recommendation_based_on_hypothetical_performance

Standard: Investment Advisers Act Section 206(1) and 206(2) fiduciary duty; SEC interpretive guidance on duty of care requiring advisers to have a reasonable belief that advice is in the client's best interest based on the client's investment profile including risk tolerance, financial situation, and investment objectives

Likely Outcome: The SEC would likely find a violation of the adviser's fiduciary duty of care under Section 206. The documented risk questionnaire showing 'moderate' tolerance creates an evidentiary record that conflicts with the aggressive recommendation, and the failure to document consideration of alternatives or discussion of volatility characteristics suggests inadequate care obligation compliance. However, sanctions would likely be moderate given the single-client impact and absence of evidence of intentional misconduct.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Clearwater Wealth Partners, a registered investment adviser based in Denver, Colorado with approximately \$340 million in AUM, recommended its 'Aggressive Growth Model Portfolio' to Margaret Thornton, a 58-year-old client approaching retirement. In March 2023, adviser representative David Chen met with Mrs. Thornton, who had recently received a \$425,000 inheritance and sought guidance on investing it for retirement in seven years. Mrs. Thornton's risk tolerance questionnaire indicated she was a 'moderate' investor, and her existing portfolio consisted primarily of balanced mutual funds and certificates of deposit. During the meeting, Chen presented the Aggressive Growth Model Portfolio, which had a target allocation of 85% equities (including 25% in small-cap and emerging market funds) and 15% fixed income. Chen showed Mrs. Thornton a presentation featuring the model's hypothetical backtested performance showing 14.2% annualized returns over the prior decade, emphasizing that this significantly outperformed her current holdings. Chen explained that with her seven-year time horizon, she could 'ride out any market volatility' and potentially retire with substantially more assets. Mrs. Thornton agreed to invest her entire inheritance in the Aggressive Growth Model. Within eight months, the portfolio declined 23% due to market conditions, and Mrs. Thornton filed a complaint alleging the recommendation was unsuitable given her moderate risk tolerance, age, and retirement timeline. Clearwater's compliance records show that Chen documented Mrs. Thornton's stated goal of 'maximizing growth' but did not document any discussion of the model portfolio's volatility characteristics or comparison to more conservative alternatives.

Why Borderline

The tension between the client's documented moderate risk tolerance and her expressed desire to 'maximize growth' creates genuine uncertainty about whether the adviser properly reconciled conflicting client information or improperly prioritized the client's aspirational goals over her assessed risk capacity.

Borderline Factors

- * Client's risk questionnaire indicated moderate tolerance but verbal statements emphasized growth maximization
- * Seven-year time horizon is arguable for aggressive allocation but client's age and existing conservative holdings suggest otherwise
- * Reliance on hypothetical backtested performance without documented discussion of downside risks or alternatives

Analysis

This case presents genuine ambiguity regarding whether the adviser met his fiduciary duty of care. Supporting a

violation: Mrs. Thornton's completed risk questionnaire categorized her as a 'moderate' investor, yet she was placed in an aggressive portfolio with 85% equity exposure including volatile small-cap and emerging market allocations. The SEC has consistently emphasized that advisers must consider a client's complete financial profile, not just isolated statements. Her age (58), seven-year retirement horizon, and existing conservative holdings all suggest a moderate allocation would have been more appropriate. Additionally, the heavy reliance on hypothetical backtested performance without documenting discussion of the model's risk characteristics raises concerns about whether Mrs. Thornton understood what she was agreeing to. The lack of documented consideration of alternative, more conservative options suggests Chen may have steered the client toward a preferred product rather than conducting a genuine suitability analysis. Supporting compliance: Mrs. Thornton explicitly stated her goal was 'maximizing growth,' and a seven-year time horizon is generally considered sufficient to recover from market downturns. The client was presented with information about the strategy and voluntarily agreed to invest. Some argue that sophisticated clients approaching retirement may reasonably choose aggressive strategies if they have other income sources or assets not disclosed in the fact pattern. Chen could argue he was honoring client autonomy and her expressed preference for growth. However, the fiduciary standard requires advisers to exercise independent judgment and potentially recommend against a client's stated preference when it conflicts with their overall profile.

Item 84 of 250

Topic: microcap_securities_suitability_for_speculative_investor

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) regarding supervisory systems and written supervisory procedures for heightened scrutiny products

Likely Outcome: Likely finding of suitability violation, but with mitigated sanctions. While Chen's profile supported some speculative investing, the combination of her approaching retirement, the acknowledged information gaps in Kowalski's research, and the absence of documented discussion regarding concentration risk and liquidity relative to her specific timeline suggests the reasonable-basis and customer-specific suitability obligations were not fully met. However, the customer's sophistication and signed acknowledgments would likely reduce the severity of sanctions.

Source: 03_FINRA_AWC

Fact Pattern

In March 2019, registered representative David Kowalski of Pinnacle Trading Group LLC recommended that his client, Margaret Chen, a 58-year-old semi-retired marketing consultant, invest \$175,000 in a portfolio of microcap securities. Chen had investment experience spanning 25 years, including previous holdings in small-cap stocks and options, and her new account form indicated a 'speculative' risk tolerance with a growth-oriented investment objective. Her liquid net worth was approximately \$1.2 million, and the recommended investment represented roughly 15% of her investable assets. Kowalski conducted research on the five microcap issuers, reviewing available financial statements and recent news, though acknowledged in his notes that trading volume was thin and information was limited for three of the companies. Chen signed a speculative investment acknowledgment form prepared by the firm.

Over the following eight months, Chen's microcap portfolio declined by approximately 62%, losing roughly \$108,500 in value. Two of the issuers ceased filing public reports, and a third was halted by regulators pending investigation into promotional activities. Chen filed a complaint alleging that Kowalski failed to conduct adequate due diligence on the securities and that the concentration in microcap stocks was unsuitable despite her stated risk tolerance. Kowalski maintained that Chen was a sophisticated investor who understood and accepted the speculative nature of microcap investing.

Pinnacle's supervisory procedures required heightened review for microcap recommendations exceeding \$50,000, including documentation of issuer research and customer acknowledgment. The supervising principal approved the transaction after reviewing Kowalski's research notes and the signed acknowledgment, though the file contained no record of any discussion about concentration risk or liquidity concerns specific to the customer's age and retirement timeline.

Why Borderline

The tension between a customer's documented speculative risk tolerance and signed acknowledgments versus the representative's independent obligation to ensure recommendations are suitable considering the customer's actual circumstances and life stage creates genuine regulatory uncertainty.

Borderline Factors

- * Customer's extensive experience and documented speculative risk tolerance versus age and semi-retirement status
- * 15% portfolio concentration in microcap securities--material but not necessarily excessive for speculative investor

* Representative conducted some due diligence but acknowledged significant information gaps in his own notes

Analysis

The suitability analysis presents competing considerations that make this case genuinely difficult to resolve. Supporting compliance: Chen's documented investment profile indicated speculative risk tolerance with 25 years of experience including small-cap and options trading. The \$175,000 investment represented only 15% of her liquid assets, leaving substantial reserves. She signed a speculative investment acknowledgment, and Kowalski conducted some research on the issuers. The firm's heightened review procedures were technically followed, with principal approval documented.

Supporting violation: Despite Chen's stated risk tolerance, reasonable diligence requires consideration of customer-specific factors beyond self-reported preferences. At 58 and semi-retired, Chen's ability to recover from significant losses before retirement was limited--a factor that appears absent from the suitability analysis. The concentration of 15% in highly illiquid securities with limited public information raises questions about whether the quantitative suitability component was adequately addressed. Kowalski's own notes acknowledged information limitations for three of five issuers, yet he proceeded with the recommendation. The subsequent regulatory action against one issuer suggests potential red flags that more rigorous due diligence might have uncovered.

The supervisory review appears procedurally adequate but substantively thin--approving based on documentation without apparent consideration of how the speculative concentration aligned with a semi-retired investor's actual circumstances rather than her stated preferences. FINRA has emphasized that customer self-identification as aggressive does not relieve the firm of independent suitability analysis.

Item 85 of 250

Topic: suitability_of_foreign_cross_listed_securities_recommendation

Standard: Investment Advisers Act Section 206 fiduciary duty; SEC interpretive guidance on investment adviser duty of care requiring advisers to have a reasonable belief that advice is in the client's best interest based on the client's investment profile; FINRA Rule 2111 suitability framework factors including investment experience and risk tolerance

Likely Outcome: A regulatory examination would likely result in a cautionary finding rather than formal enforcement. While the recommendation was not per se unsuitable given the client's profile and time horizon, the adviser's documentation fell short of demonstrating full consideration of why direct foreign exchange purchase was preferable to ADRs for this particular client. Sterling would likely be required to enhance its suitability documentation procedures for foreign security recommendations.

Source: 11_Case_Law

Fact Pattern

In March 2023, Sterling Global Advisors, a registered investment adviser based in Chicago, recommended that its client Margaret Thornton, a 62-year-old retired schoolteacher with \$1.2 million in retirement savings, allocate 18% of her portfolio to shares of European financial institutions. Her adviser, Daniel Krieger, specifically recommended purchasing ordinary shares of three major European banks directly on their home exchanges (SIX Swiss Exchange and Frankfurt Stock Exchange) rather than through American Depositary Receipts (ADRs) traded on U.S. exchanges, citing lower expense ratios and better liquidity on the foreign markets. Mrs. Thornton's investment profile indicated moderate risk tolerance, a 15-year investment horizon, and a primary goal of capital preservation with modest growth. Krieger explained that the foreign shares were 'functionally equivalent' to the U.S.-listed ADRs but offered cost advantages of approximately 0.3% annually. Over the following nine months, the European banking sector experienced significant volatility due to regional economic concerns, and Mrs. Thornton's position declined by 31%. She subsequently complained that the recommendation was unsuitable because she was not adequately informed about the additional risks of holding foreign securities directly, including currency fluctuation, different regulatory protections, and practical difficulties in pursuing any legal remedies should issues arise. Sterling's compliance documentation showed a general discussion of foreign investment risks but no specific comparison of the regulatory protections available for U.S.-listed versus foreign-listed securities.

Why Borderline

The core ambiguity is whether an adviser's duty of care requires consideration of diminished U.S. legal protections when recommending functionally equivalent foreign-listed securities over domestic alternatives for modest cost savings.

Borderline Factors

- * Whether reduced U.S. regulatory protections constitute a material suitability factor
- * Whether 0.3% cost savings justify exposure to currency risk and foreign market complexity for a capital-preservation-focused retiree
- * Whether general foreign investment risk disclosure satisfies the duty of care when U.S.-listed alternatives exist

Analysis

This case presents competing considerations regarding the suitability of recommending direct foreign exchange purchases versus U.S.-listed alternatives. Supporting a finding that the recommendation was suitable: the client had a 15-year horizon appropriate for equity volatility, the 18% allocation was within reasonable diversification parameters,

European banks represent legitimate portfolio diversification, and the cost savings rationale had economic merit. The adviser documented risk discussions, and the subsequent losses stemmed from market conditions rather than product-specific defects. However, several factors support finding the recommendation unsuitable: recommending direct foreign exchange purchases to a retail retiree raises questions about whether the incremental cost savings (0.3%) justified exposure to currency risk, reduced regulatory protections, and potential difficulties in legal recourse--factors particularly concerning for a client prioritizing capital preservation. The City of Pontiac decision highlights that purchasers of foreign-exchange securities may have limited remedies under U.S. securities laws, a material consideration that should arguably inform suitability analysis. A fiduciary adviser has a duty to consider not just investment returns but the entire client experience, including dispute resolution options. The question becomes whether an adviser's care obligation extends to evaluating the regulatory environment in which securities trade, or whether this consideration falls outside traditional suitability factors of risk tolerance, time horizon, and financial situation.

Item 86 of 250

Topic: suitability_retirement_account_rollover_recommendation

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest under Exchange Act Section 15(l); SEC Staff Bulletin on Standards of Conduct regarding rollover recommendations; FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: A FINRA panel would likely find a Regulation Best Interest violation due to the failure to perform and document a rollover comparison weighing costs against benefits, particularly given the fee disparity and existing guaranteed income. However, damages might be limited to fee differential rather than full rescission, as the underlying allocation was not unsuitable for her profile.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 63, worked as an administrative assistant at a manufacturing company for 28 years before retiring in March 2023. She had accumulated \$485,000 in her employer's 401(k) plan, which offered a stable value fund yielding 2.8%, a target-date 2025 fund, and several low-cost index funds with expense ratios averaging 0.04%. Her annual pension would provide \$32,000, and she expected Social Security benefits of approximately \$24,000 starting at age 66. Thomas Whitfield, a registered representative at Piedmont Wealth Advisors, met with Mrs. Holloway in April 2023 after she attended a retirement planning seminar hosted by his firm. Whitfield recommended she roll over her entire 401(k) balance into an IRA at his firm, where he proposed allocating 60% to variable annuities with a guaranteed minimum withdrawal benefit rider (total annual fees of 2.85%) and 40% to actively managed mutual funds averaging 1.15% expense ratios. Whitfield documented that Mrs. Holloway had a 'moderate' risk tolerance, a 15-year investment time horizon, and expressed concern about 'not outliving her money.' He noted she had limited investment knowledge and relied heavily on his recommendations. Mrs. Holloway's investment profile questionnaire indicated she wanted steady income with some growth potential. Whitfield received a 5.5% commission on the variable annuity sale and 4% on the mutual fund purchases. He did not present a comparison of keeping assets in the existing 401(k) plan versus the rollover, nor did he discuss lower-cost alternatives available in the IRA.

Why Borderline

The core tension is whether documented client anxiety about longevity risk justifies significantly higher-cost products that provide guarantees partially redundant with existing guaranteed income sources.

Borderline Factors

- * Client explicitly expressed concern about outliving savings, supporting longevity protection features
- * Substantial fee increase without documented cost-benefit analysis or rollover comparison
- * Guaranteed income rider arguably redundant given existing pension and Social Security

Analysis

Arguments supporting a suitability violation center on several factors. The dramatic increase in fees--from 0.04% to nearly 2% weighted average--substantially erodes Mrs. Holloway's retirement assets without clear justification. The variable annuity's guaranteed withdrawal rider, while providing longevity protection, duplicates benefits already secured by her pension and future Social Security, which together provide \$56,000 annually before any investment income. Whitfield's failure to document a rollover comparison as contemplated by Regulation Best Interest's care obligation is problematic. The high commission compensation creates an appearance that the recommendation served Whitfield's interests over Mrs. Holloway's. Arguments supporting compliance note that Mrs. Holloway explicitly expressed concern

about outliving her money, making the guaranteed withdrawal benefit rider responsive to her stated needs. A moderate risk tolerance with a 15-year horizon supports exposure to growth assets, and the variable annuity provides downside protection while maintaining market participation. The 60/40 allocation is consistent with her documented profile. Whitfield obtained and documented relevant customer information, and the recommendation was not facially unsuitable for someone seeking retirement income security. The annuity's death benefit and guaranteed income features could be viewed as addressing her conservative leanings and limited investment knowledge by providing structure and protection.

Item 87 of 250

Topic: erisa_fiduciary_status_rollover_recommendation

Standard: ERISA §3(21)(A)(ii) defining investment advice fiduciary; DOL Regulation §2510.3-21 (1975 five-part test); ERISA §404(a)(1)(A)-(B) duty of loyalty and prudence; ERISA §406(b)(3) prohibition on fiduciary receiving third-party compensation

Likely Outcome: Under current law following the Fifth Circuit's vacatur, Webb likely does not meet the five-part test for ERISA fiduciary status because his specific recommendation was arguably a one-time response rather than advice on a 'regular basis' under a mutual agreement. However, if fiduciary status were found, the recommendation favoring higher-fee products generating commissions could constitute a breach of loyalty. DOL may scrutinize such arrangements, and state regulators applying best-interest standards to annuity or securities recommendations may find violations even absent ERISA fiduciary status.

Source: 11_Case_Law

Fact Pattern

Marcus Webb, a registered representative at Horizon Financial Partners, has provided general investment education to employees of Westfield Manufacturing for the past three years through workplace seminars. In September 2023, longtime seminar attendee Diana Kowalski (age 58, \$340,000 in her employer 401(k), moderate risk tolerance, plans to retire at 65) approached Webb after a presentation and asked whether she should roll over her 401(k) to an IRA given recent plan fee increases. Webb explained the general differences between keeping assets in the plan versus rolling over, including noting that IRAs typically offer broader investment options but may have higher fees. When Diana pressed for a specific recommendation, Webb stated that 'in your situation, with seven years until retirement and wanting more control over your investments, an IRA rollover would probably make sense.' Diana subsequently rolled over her \$340,000 to an IRA at Horizon, investing in a mix of mutual funds with an average expense ratio of 1.15%, compared to her former 401(k)'s institutional share classes averaging 0.45%. Webb received a \$3,400 commission on the rollover transaction. Webb maintains he was providing general education and only gave a one-time opinion when directly asked, not ongoing investment advice that would trigger fiduciary status under ERISA.

Why Borderline

The vacatur of the DOL Fiduciary Rule creates uncertainty about when a one-time rollover recommendation by a broker who has an existing educational relationship triggers ERISA fiduciary status under the traditional five-part test.

Borderline Factors

- * Whether years of educational seminars created an implied ongoing relationship satisfying the 'regular basis' requirement
- * Whether Diana's direct question and Webb's specific, personalized response constituted 'mutual agreement' for advice to serve as primary basis
- * Whether the commission-driven recommendation with higher fees demonstrates breach of duty if fiduciary status attaches

Analysis

This scenario sits at the intersection of investment education and fiduciary advice under ERISA's functional definition. The DOL's 2016 Fiduciary Rule, which was vacated by the Fifth Circuit in *Chamber of Commerce v. DOL*, would have clearly captured Webb's rollover recommendation as fiduciary conduct. However, following the vacatur, the analysis

reverts to the 1975 five-part test, which requires advice to be rendered 'on a regular basis' pursuant to a 'mutual agreement' that the advice will serve as a 'primary basis' for investment decisions. Webb argues his interaction was a one-time response to a direct question, not part of an ongoing advisory relationship. The seminars were educational, and he had no formal advisory agreement with Diana. Supporting potential ERISA fiduciary status: Webb knew Diana personally from years of seminars, she relied on his specific recommendation, and he had a financial interest in the outcome through commissions. The specificity of his advice ('in your situation... an IRA rollover would probably make sense') went beyond general education. The substantial fee differential (0.70% annually, or approximately \$2,380 per year on \$340,000) raises questions about whether Diana's interests were served. Against fiduciary status: Under the pre-2016 five-part test, a single recommendation without a mutual understanding of ongoing reliance arguably falls outside the 'regular basis' requirement. Webb could contend he was a broker executing a one-time transaction, not an ongoing adviser.

Item 88 of 250

Topic: suitability_of_concentrated_equity_position_recommendation

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) regarding documentation of recommendations and customer communications

Likely Outcome: Probable finding of suitability violation with mitigating factors. While Marsh's documentation of client preferences provides some defense, regulators would likely conclude that recommending retention of such a high concentration for a pre-retiree, regardless of emotional attachment, failed customer-specific suitability requirements. However, the partial diversification recommendation and thorough documentation would likely result in reduced sanctions rather than severe penalties.

Source: 13_FINRA_Rulebook

Fact Pattern

Margaret Delaney, age 58, had been a client of Westbrook Securities LLC since 2015. In March 2023, she inherited approximately \$1.2 million in shares of a regional utility company, TerraGrid Energy Corp., from her late husband who had worked there for 32 years. Her registered representative, Kevin Marsh, documented her investment profile as 'moderate risk tolerance,' 'income with growth' objective, and 'retirement in 7-8 years' as her time horizon. Her total liquid net worth after the inheritance was approximately \$1.8 million, with the TerraGrid shares representing roughly 67% of her investable assets.

During their April 2023 meeting, Marsh discussed options including diversifying the concentrated position, establishing a protective collar strategy, or maintaining the shares for their 4.2% dividend yield. Margaret expressed emotional attachment to the shares given her husband's career and indicated she 'didn't want to sell Dad's company.' Marsh documented this conversation and ultimately recommended she retain approximately 80% of the TerraGrid position (\$960,000) while diversifying only \$240,000 into a balanced mutual fund portfolio. He noted in his records that the utility sector had historically low volatility and the dividend income aligned with her stated income needs.

In September 2023, TerraGrid announced significant cost overruns on a major infrastructure project and suspended its dividend. The stock declined 34% over the following three months, reducing Margaret's position value by approximately \$326,000. She filed a complaint alleging Marsh failed to adequately recommend diversification given her proximity to retirement and concentrated single-stock risk.

Why Borderline

The case turns on whether accommodating a client's documented emotional preference for a concentrated inherited position, while recommending only partial diversification, satisfies suitability obligations for a pre-retiree.

Borderline Factors

- * Client explicitly expressed preference to retain shares with documented rationale
- * Adviser recommended partial diversification rather than full retention
- * Concentration level (67%) and proximity to retirement (7-8 years) create heightened risk profile
- * Utility sector characteristics and dividend yield arguably aligned with stated income objective

Analysis

This case presents genuine tension between honoring client preferences and fulfilling suitability obligations under

FINRA Rule 2111. Supporting a finding of violation: Marsh allowed a 58-year-old client nearing retirement to maintain a 67% concentration in a single equity position, exposing her to significant unsystematic risk that could materially impact her retirement security. The reasonable-basis and customer-specific suitability components arguably required stronger advocacy for diversification regardless of emotional attachment. A prudent adviser might have more forcefully explained concentration risks or documented a formal rejection of diversification advice.

Supporting compliance: Marsh documented the discussion of alternatives including diversification strategies, demonstrating he fulfilled disclosure obligations. Margaret explicitly expressed her preference to retain the shares, and FINRA has recognized that suitability analysis must account for customer-expressed preferences when properly documented. The utility sector's historically defensive characteristics and the 4.2% dividend yield aligned with her stated income objective. Marsh did recommend partial diversification of \$240,000, showing he balanced her emotional considerations against prudent risk management. Rule 2111's supplementary material acknowledges that a customer's decision to decline suitable advice does not automatically create liability if properly documented.

The critical question is whether Marsh's recommendation to retain 80% of the position, rather than insisting on greater diversification, crossed the line from accommodation of client wishes to unsuitable advice. The documentation of her preferences and his partial diversification recommendation creates genuine ambiguity about whether this constitutes a suitability failure or reasonable professional judgment respecting client autonomy.

Item 89 of 250

Topic: private_fund_expense_allocation_suitability

Standard: Investment Advisers Act Section 206(2) (fiduciary duty); Section 206(4) and Rule 206(4)-8 (prohibiting fraudulent conduct by investment advisers to pooled investment vehicles); Rule 206(4)-7 (compliance policies and procedures); SEC guidance on private fund adviser obligations regarding expense allocation and disclosure

Likely Outcome: Regulators would likely focus separately on the expense allocation as a fiduciary breach under Section 206(2) and Rule 206(4)-8, similar to the underlying document's findings. The initial suitability recommendation would likely survive scrutiny given the client's qualified status and horizon, but the expense practices would face enforcement as a breach of fiduciary duty rather than a pure suitability violation.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Impact Advisors, LLC is a registered investment adviser managing two private funds focused on emerging market infrastructure investments. The firm's founder and CCO, Patricia Whitmore, recommended that several high-net-worth clients invest between \$500,000 and \$2 million each into the Meridian Infrastructure Partners Fund I, LP beginning in March 2021. The fund's PPM disclosed that 'certain operational expenses may be borne by the fund as determined by the manager in its reasonable discretion.' Over the next 30 months, Whitmore allocated approximately \$1.8 million in expenses to the fund, including travel costs for due diligence trips, technology infrastructure upgrades, and consultant fees for deal sourcing. Client Thomas Reinhardt, age 67 with a moderate risk tolerance and 15-year investment horizon, invested \$1.2 million representing 18% of his liquid net worth. The fund's returns during this period averaged 6.2% annually, which was below the 9% projected in marketing materials but within the range of comparable emerging market funds. Reinhardt's investment profile indicated he sought 'growth with capital preservation priority' and had limited experience with private fund structures. While the expense allocations reduced investor returns by approximately 1.4% annually, Whitmore maintained that all charges fell within the disclosed expense framework and that the fund's strategy remained appropriate for qualified investors seeking emerging market exposure.

Why Borderline

The case blurs the line between suitability of the initial recommendation and whether subsequent expense allocation practices--which may constitute separate fiduciary breaches--transform an otherwise suitable investment into an unsuitable one.

Borderline Factors

- * Client's moderate risk tolerance versus qualified investor status and long time horizon
- * Whether disclosed but aggressive expense practices affect suitability analysis
- * Underperformance relative to projections but positive absolute returns within peer range

Analysis

The suitability analysis here involves two interrelated questions: whether the initial recommendation was appropriate and whether the ongoing expense allocation practices affected whether the investment remained suitable for the client. Supporting a potential violation, Reinhardt's profile emphasized capital preservation as a priority, yet he was placed into an illiquid private fund with emerging market exposure--typically considered higher risk. The 18% concentration in a single illiquid vehicle may have been excessive given his moderate risk tolerance. Additionally, the expense drag of

1.4% annually significantly impacted the suitability calculus, as the reduced returns may not have aligned with his stated growth objectives. The fund underperformed its projections by nearly 3% annually, raising questions about whether Whitmore adequately considered the total cost of ownership when making the recommendation. However, supporting compliance, Reinhardt was a high-net-worth qualified investor with a 15-year horizon--sufficient for private fund illiquidity. The PPM disclosed discretionary expense allocation, and returns, while below projections, remained positive and within peer group ranges. Whitmore could argue that emerging market infrastructure investments inherently carry volatility and that the client acknowledged this risk. The initial recommendation may have been suitable even if expense practices were aggressive, as those are separate compliance issues. The key question is whether an adviser's ongoing fee and expense practices can retroactively make a previously suitable recommendation unsuitable.

Item 90 of 250

Topic: tokenized_security_suitability_emerging_technology

Standard: Investment Advisers Act §206(1)-(2) fiduciary duty; Regulation BI Rule 15l-1(a)(2)(ii) Care Obligation requiring reasonable diligence regarding risks and rewards of the recommendation and consideration of the retail customer's investment profile; SEC Fiduciary Interpretation requiring advisers to have a reasonable belief that advice is in the client's best interest based on the client's objectives and circumstances.

Likely Outcome: Likely finding of suitability violation with mitigated sanctions. Regulators would probably determine that Chen failed to adequately weigh the client's explicit technology risk aversion against the blockchain operational risks, even though the underlying assets were suitable. The redemption delay actualized a risk the client specifically sought to avoid. However, the absence of principal loss and the disclosure in product documents would likely result in enhanced supervision requirements and customer restitution rather than severe sanctions.

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Beacon Capital Advisers, a dually registered investment adviser and broker-dealer, recommended tokenized treasury bond products to several clients beginning in March 2025. The firm's representative, Marcus Chen, recommended TokenTreasury Prime--a tokenized wrapper around U.S. Treasury securities that settles on a permissioned blockchain--to Patricia Weston, a 67-year-old retired hospital administrator with a \$1.8 million portfolio and a moderate risk tolerance. Mrs. Weston had specified in her investment profile that she wanted stable, income-producing investments with minimal technology risk and high liquidity. Chen explained that TokenTreasury Prime offered the same underlying Treasury exposure as traditional bonds but with enhanced settlement efficiency. He did not extensively discuss blockchain operational risks, smart contract vulnerabilities, or the product's limited three-year trading history. The product documentation noted that redemptions could be delayed during periods of blockchain network congestion. Mrs. Weston invested \$340,000 (approximately 19% of her portfolio) in the tokenized product. In October 2025, during a broader crypto market flash crash referenced in industry commentary, the TokenTreasury platform experienced a 72-hour redemption delay due to network congestion, though the underlying Treasury values remained stable. Mrs. Weston was unable to access approximately \$55,000 she needed for an unexpected medical expense during this period. She filed a complaint alleging the recommendation was unsuitable given her stated preference for minimal technology risk and high liquidity.

Why Borderline

The core tension is whether blockchain operational risks constitute a separate risk category that should override an otherwise suitable underlying investment, or whether the wrapper's risks are adequately mitigated by the stability of the underlying Treasuries.

Borderline Factors

- * Client explicitly stated 'minimal technology risk' but product introduced novel blockchain operational dependencies
- * Underlying investment (Treasuries) perfectly matched client's stated objectives despite wrapper risks
- * Product documentation disclosed redemption delay possibilities but adviser did not emphasize this risk

Analysis

The suitability analysis presents competing considerations. Supporting a finding of unsuitability: Mrs. Weston explicitly stated preferences for minimal technology risk and high liquidity, yet the tokenized product introduced novel operational

risks including smart contract vulnerabilities and potential redemption delays during network stress. The 72-hour lockout during the October 2025 event directly contradicted her liquidity expectations. Chen's failure to extensively discuss blockchain-specific risks may constitute inadequate disclosure of material product characteristics affecting suitability. A 19% allocation to a product with only three years of trading history for a 67-year-old retiree seeking stability raises concentration concerns. However, supporting the recommendation's appropriateness: the underlying assets were U.S. Treasuries--precisely the stable, income-producing securities Mrs. Weston requested. The tokenized wrapper did not alter the credit quality or yield characteristics of the underlying investment. The 72-hour delay, while inconvenient, was disclosed in product documentation and did not result in any principal loss. Mrs. Weston's \$1.8 million portfolio maintained substantial liquidity in other holdings to cover typical expenses. The recommendation could be viewed as providing Treasury exposure with operational innovations that align with industry modernization trends endorsed by regulators. Chen reasonably believed the permissioned blockchain structure offered sufficient stability for a moderate-risk investor.

Item 91 of 250

Topic: mutual_fund_share_class_suitability

Standard: Investment Advisers Act Section 206(2) (fraud or deceit upon clients); Section 206(4) and Rule 206(4)-7 (compliance policies and procedures); fiduciary duty of care requiring advisers to provide advice in the client's best interest

Likely Outcome: The SEC would likely find violations of Sections 206(2) and 206(4) of the Advisers Act, but with mitigated sanctions given the absence of direct financial conflict. The firm would likely face a cease-and-desist order, requirement to reimburse clients for excess fees with interest, and adoption of enhanced compliance procedures. The lack of documented justification and inadequate disclosure would be determinative, as fiduciary duty requires affirmative demonstration that recommendations serve client interests, regardless of whether the adviser personally profited.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Greenfield Wealth Advisors, LLC, a registered investment adviser based in Madison, Wisconsin, manages approximately \$340 million in client assets. From March 2018 through December 2021, the firm's lead adviser, Thomas Brennan, recommended Class A shares of various equity mutual funds to advisory clients, even when lower-cost institutional share classes were available for the same funds. The affected clients included Margaret Chen, a 62-year-old retiree with a \$780,000 portfolio and moderate risk tolerance, and David Kowalski, a 45-year-old engineer with \$425,000 in retirement savings seeking long-term growth.

Brennan justified his Class A share recommendations by noting that the front-end loads were waived for advisory accounts, and he believed the Class A shares offered certain benefits including more established track records and greater liquidity during market stress periods. Greenfield's Form ADV Part 2A stated that 'advisers may recommend mutual funds where lower-cost share classes exist when the adviser determines other factors make the higher-cost share appropriate.' However, the disclosure did not specify what those factors were or how the determination was made.

The institutional share classes available to these clients had expense ratios averaging 0.45% annually, while the Class A shares averaged 0.82% in ongoing expenses. Over the relevant period, this resulted in approximately \$47,000 in additional fees paid by the affected client group of 89 accounts. Brennan did not receive any 12b-1 fees or other compensation tied to the share class selection, as all such payments flowed to the firm's clearing broker. Greenfield conducted annual suitability reviews but had no documented procedures specifically addressing share class selection criteria.

Why Borderline

The adviser had no direct financial conflict from the share class selection, yet the lack of documented justification and the meaningful cost differential create uncertainty about whether the duty of care was satisfied.

Borderline Factors

- * Absence of 12b-1 fee payments or other direct compensation to the adviser
- * Vague but existing disclosure language in Form ADV addressing the practice
- * Lack of documented client-specific analysis supporting higher-cost share class selection

Analysis

The case presents competing considerations regarding whether Greenfield met its fiduciary duty of care in share class selection. Supporting a violation: The firm recommended share classes with materially higher expense ratios (0.82% vs. 0.45%) without documented, client-specific justification for why the more expensive shares better served each client's interests. The cumulative \$47,000 in excess fees over three years represents a tangible harm to clients. The Form ADV disclosure was vague and failed to explain the specific circumstances under which higher-cost shares would be recommended, potentially rendering it inadequate. Additionally, the lack of written policies addressing share class selection suggests a systematic failure to prioritize client interests.

Supporting compliance: Unlike the Cozad matter, Brennan received no personal compensation tied to share class selection, removing a direct conflict of interest. His stated rationale--established track records and perceived liquidity advantages--represents a good-faith investment judgment, even if debatable. The front-end loads were waived, so the cost differential was limited to ongoing expenses. The firm did maintain some disclosure language acknowledging the practice, and conducted regular suitability reviews. Some compliance professionals would argue that absent a direct financial incentive flowing to the adviser, share class selection falls within the adviser's discretionary authority to make reasonable investment judgments.

The absence of documented analysis for individual clients is particularly concerning, as fiduciary duty requires demonstrating that recommendations serve the client's best interest, not merely that they cause no direct adviser enrichment.

Item 92 of 250

Topic: suitability_of_concentrated_equity_positions_in_retirement_accounts

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade); Securities Exchange Act Section 10(b) regarding material misrepresentations or omissions in connection with securities transactions

Likely Outcome: Liability finding probable with compensatory damages, though possibly reduced for comparative fault. The concentration in six individual stocks across volatile sectors without documented rationale for departing from diversified approaches typical for retirement accounts, combined with the magnitude of underperformance versus benchmarks, suggests the strategy exceeded reasonable bounds for the customer profile. However, damages may be offset by the client's approval of trades and moderate risk designation.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 62, opened an IRA rollover account with Meridian Capital Advisors LLC in January 2021, transferring \$287,000 from her former employer's 401(k) plan. Her account documents indicated moderate risk tolerance, a 10-year investment horizon, and retirement income as her primary objective. Her annual income was \$68,000 from her current part-time consulting work, and she had approximately \$45,000 in liquid savings outside the IRA. Her registered representative, David Castellano, recommended a strategy focusing on 'high-growth technology and innovation companies' that he believed would outperform broad market indices over her investment horizon.

Between February and August 2021, Castellano purchased concentrated positions in six individual stocks: an electric vehicle manufacturer (18% of portfolio), a social media company (16%), an aerospace defense contractor (14%), a commercial shipping services firm (12%), a small-cap energy exploration company (15%), and a master limited partnership in the energy sector (11%). The remaining 14% was held in cash. Castellano documented that Mrs. Thornton verbally approved each trade and understood the companies' business models, though no formal suitability documentation was prepared for the individual securities beyond the initial account opening forms.

By March 2022, the portfolio had declined to \$179,000, representing a 37.6% loss, while the S&P 500 declined approximately 6% over the same period. Mrs. Thornton filed a complaint alleging unsuitable investment strategies and purchase of unsuitable securities for her retirement account, claiming Castellano never explained the concentration risk or volatility characteristics of holding individual equities rather than diversified funds in her IRA.

Why Borderline

The case involves tension between documented moderate risk tolerance with equity approval versus the actual concentration and volatility characteristics inappropriate for a near-retiree's primary retirement account.

Borderline Factors

- * 10-year stated investment horizon provides theoretical justification for equity concentration despite client's age
- * Client verbally approved each trade and claimed understanding, though no individualized suitability documentation existed
- * Moderate risk tolerance permits equity exposure but does not clearly address concentrated individual stock positions versus diversified vehicles

Analysis

The suitability analysis presents genuine complexity. Supporting a violation finding: Mrs. Thornton's customer profile indicated moderate risk tolerance and retirement income objectives, yet the portfolio constructed contained six concentrated individual equity positions totaling 86% of assets across volatile sectors including small-cap energy and an MLP. The lack of diversification through mutual funds or ETFs, combined with the client's age (62) and reliance on this account for retirement income, raises serious questions about whether this strategy aligned with her stated objectives. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability. The 37.6% decline versus a 6% benchmark drop suggests the strategy's volatility far exceeded what a moderate-risk investor approaching retirement should experience. Additionally, the absence of documented suitability analysis for individual securities beyond account opening forms suggests inadequate due diligence.

Supporting compliance: Mrs. Thornton had a stated 10-year investment horizon, which provides substantial time for equity volatility to smooth out. Her moderate (not conservative) risk tolerance permitted some equity exposure, and she verbally approved each transaction with understanding of the companies involved. The representative could argue that concentrated positions in fundamentally sound companies can be suitable for clients willing to accept short-term volatility for long-term growth potential. Market timing affected results--2021-2022 saw significant technology sector correction that impacted even sophisticated institutional portfolios. Meridian could also argue that hindsight bias affects evaluation of recommendations that were reasonable at the time made.

Item 93 of 250

Topic: options_suitability_for_self_directed_customer

Standard: FINRA Rule 2360 (Options); FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); Options Clearing Corporation Risk Disclosure Document requirements

Likely Outcome: Respondent prevails. FINRA panels consistently hold that self-directed customers who independently execute trades bear responsibility for those decisions. While the initial approval decision could be questioned, Chen met the firm's objective criteria, received required disclosures, and made all trading decisions himself. The moderate risk tolerance designation, standing alone, is unlikely to override his stated experience and independent decision-making.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Chen, age 34, opened a self-directed brokerage account with Coastal Trading Partners LLC in March 2024. Chen indicated on his account application that he had 5 years of trading experience, moderate risk tolerance, and annual income of \$95,000 with liquid net worth of \$180,000. Chen requested options trading approval and was granted Level 2 authorization, permitting covered calls and cash-secured puts. Over the following eight months, Chen executed approximately 45 options trades on his own initiative, predominantly selling weekly put options on volatile technology stocks including positions in companies reporting earnings. In November 2024, a series of adverse moves resulted in assignment of multiple put contracts, causing Chen losses of approximately \$28,000--roughly 15% of his liquid net worth. Chen filed a complaint alleging that Coastal should have either denied his options application or restricted him to Level 1 (covered calls only) given his moderate risk tolerance designation. Coastal's options approval committee had reviewed Chen's application and noted his stated experience and \$180,000 liquid net worth met the firm's minimum thresholds for Level 2 approval. The firm's supervisory system did not flag Chen's concentrated short put positions or the earnings-related timing of his trades, as self-directed accounts were not subject to the same position concentration reviews applied to advised accounts.

Why Borderline

The case hinges on whether initial approval suitability obligations extend to monitoring self-directed trading behavior, and whether a 'moderate' risk tolerance designation should have precluded Level 2 options approval despite meeting other criteria.

Borderline Factors

- * Self-directed account with no adviser recommendations versus firm's gatekeeping role in options approval
- * Customer's stated moderate risk tolerance conflicting with high-risk strategy he independently pursued
- * Firm met quantitative approval thresholds but arguably ignored qualitative risk tolerance mismatch

Analysis

This case presents competing considerations regarding a broker-dealer's obligations when approving options trading for self-directed customers. Supporting the claimant's position: FINRA Rule 2360 requires members to have a reasonable basis for believing options trading is suitable before approving an account, even for self-directed customers. Chen's designation of 'moderate' risk tolerance arguably conflicts with a strategy of selling weekly puts on volatile stocks around earnings--a high-risk approach. The firm could have conducted more granular questioning about Chen's specific options experience and strategy intentions before granting Level 2 approval. Additionally, once approved, the firm's failure to implement any concentration monitoring could suggest inadequate supervision under FINRA Rule 3110.

However, supporting the respondent's position: Chen was a self-directed customer who independently selected and executed all trades without any recommendations from Coastal. His stated 5 years of experience and \$180,000 liquid net worth reasonably supported Level 2 approval under standard industry criteria. The account opening documents included options risk disclosures that Chen acknowledged. Self-directed customers bear primary responsibility for their trading decisions, and requiring firms to second-guess every trade would fundamentally alter the self-directed model. The losses, while significant, represented only 15% of stated liquid net worth--painful but not catastrophic. Courts and FINRA panels have generally held that sophisticated, self-directed traders cannot later claim unsuitability for strategies they independently pursued.

Item 94 of 250

Topic: best_interest_broker_dealer_selection_for_advisory_clients

Standard: Investment Advisers Act Section 206(2) (duty to act in clients' best interests); SEC Interpretation Regarding Standard of Conduct for Investment Advisers (duty of care, including obligation to provide advice in client's best interest and seek best execution); Section 206(1) and (2) fiduciary duty requiring full and fair consideration of client interests when selecting service providers.

Likely Outcome: The SEC would likely find a duty of care violation, emphasizing that advisers must consider the specific impact of custodian selection on individual clients, particularly when economic incentives favor the adviser. The absence of a formal cost-benefit analysis for clients, combined with documented internal acknowledgment that economics drove the decision, would likely be viewed as failing to place client interests first. However, sanctions would likely be moderate given that RCS was a legitimate custodian and the additional costs, while real, did not result in catastrophic client harm.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Midwest Capital Advisors, LLC ('MCA') is a registered investment adviser based in Des Moines, Iowa, managing approximately \$420 million in client assets as of March 2023. In January 2022, MCA transitioned its clearing and custody relationship from a well-established national custodian to Regional Clearing Services ('RCS'), a smaller broker-dealer that offered MCA a \$2.1 million forgivable loan payable over four years. Following the transition, approximately 85% of MCA's client assets were custodied at RCS.

Eleanor Chen, age 67, is a retired schoolteacher and long-time MCA client with a moderate risk tolerance and a \$780,000 retirement portfolio. Her investment policy statement emphasizes capital preservation, income generation, and minimizing transaction costs. Following the RCS transition, Mrs. Chen's portfolio was moved to RCS's platform, which offered fewer no-transaction-fee mutual fund options and charged \$45 per equity trade compared to \$12 at the prior custodian. Over the following 18 months, Mrs. Chen incurred approximately \$3,200 in additional trading costs due to the higher fee structure.

MCA's investment committee conducted due diligence on RCS before the transition, documenting that RCS provided adequate trade execution quality, SIPC coverage, and sufficient technology infrastructure. However, internal emails showed that the forgivable loan was a significant factor in the firm's decision, with one principal stating 'the economics are too good to pass up.' MCA did not conduct a formal cost-benefit analysis comparing client outcomes between custodians, nor did it evaluate whether clients with smaller accounts or specific investment strategies might be disadvantaged by the transition.

Why Borderline

The case involves legitimate custodian due diligence balanced against evidence that economic incentives drove the decision, with measurable but modest client harm that may or may not rise to a duty of care violation.

Borderline Factors

- * MCA performed baseline due diligence on RCS capabilities but did not analyze client-specific cost impacts
- * The additional costs to Mrs. Chen (\$3,200) are meaningful but not catastrophic relative to her portfolio
- * Internal communications suggest economic self-interest but do not definitively prove client interests were disregarded

Analysis

This scenario presents competing considerations under the adviser's fiduciary duty of care. On one hand, MCA conducted some due diligence on RCS, confirming basic capabilities including trade execution quality, regulatory coverage, and technology--suggesting the firm considered client interests. The adviser could argue that custodian selection involves multiple factors beyond transaction costs, including service quality, platform capabilities, and relationship management, and that RCS met minimum acceptable standards.

On the other hand, the duty of care under Section 206 requires advisers to act in clients' best interests, which includes seeking best execution and considering the total cost of services provided. The internal emails suggesting the forgivable loan was the primary driver, combined with the absence of a formal cost-benefit analysis for clients, raises questions about whether client interests were genuinely prioritized. Mrs. Chen's specific profile--a retired client with moderate assets seeking cost minimization--makes the \$3,200 in additional costs over 18 months particularly relevant, representing approximately 0.4% of her portfolio value annually.

The SEC has increasingly scrutinized adviser arrangements with broker-dealers that may create incentives misaligned with client interests. While the forgivable loan itself is primarily a disclosure issue, the underlying question of whether MCA's recommendation to custody assets at RCS served clients' best interests remains a duty of care analysis. The failure to conduct client-specific impact assessments, particularly for cost-sensitive clients like Mrs. Chen, suggests the recommendation may not have adequately considered individual client circumstances.

Item 95 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentration and documentation of customer investment profiles

Likely Outcome: Expungement would likely be denied. While the customer expressed enthusiasm for the investment, the fundamental mismatch between a 63% sector concentration and documented 'growth with capital preservation' objectives for a pre-retirement investor with limited knowledge creates substantial suitability concerns. Regulators and arbitrators typically hold that advisers must exercise independent judgment and cannot simply defer to customer enthusiasm when recommendations conflict with documented profiles, particularly for investors nearing retirement.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, was a longtime client of Westbrook Financial Services, LLC, where she worked with registered representative Daniel Whitmore. In March 2022, Mrs. Holloway received a \$1.2 million inheritance following her mother's death. Her existing portfolio consisted of approximately \$340,000 in diversified mutual funds, and her documented investment profile indicated moderate risk tolerance, a 10-year time horizon until retirement, and an annual income of \$85,000 as a hospital administrator. Her stated investment objective was 'growth with capital preservation' and she had limited investment knowledge beyond basic mutual fund investing.

During their meeting to discuss the inheritance, Mr. Whitmore recommended that Mrs. Holloway invest \$750,000 (approximately 63% of the inheritance) into a single technology-sector ETF that had generated 34% returns in the prior year. He documented in his notes that Mrs. Holloway expressed enthusiasm about technology investments after reading articles about AI growth and stated she wanted to 'make up for lost time' in building her retirement nest egg. Mr. Whitmore explained the concentration risk verbally but did not provide written materials about sector-specific volatility or historical drawdowns in technology.

By February 2023, the technology ETF had declined 28%, resulting in losses of approximately \$210,000 on that position. Mrs. Holloway filed a complaint alleging the recommendation was unsuitable given her moderate risk tolerance, approaching retirement, and lack of sophistication. Westbrook settled the complaint for \$95,000 without admitting wrongdoing. Mr. Whitmore now seeks expungement, arguing the recommendation aligned with the customer's expressed wishes and that she understood the risks through their verbal discussions.

Why Borderline

The case turns on whether a customer's enthusiastic verbal statements expressing desire for aggressive growth can override formally documented moderate risk tolerance and capital preservation objectives when recommending concentrated positions.

Borderline Factors

- * Tension between documented investment profile and customer's expressed contemporaneous preferences
- * Concentration risk in single sector versus customer's stated desire to 'make up for lost time'
- * Verbal risk disclosure versus absence of written materials explaining sector-specific volatility

Analysis

This case presents genuine tension between documented customer profile characteristics and the customer's contemporaneous expressed preferences. Supporting a finding of unsuitability: Mrs. Holloway's documented profile showed moderate risk tolerance and 'growth with capital preservation' objectives--a 63% concentration in a single sector ETF fundamentally conflicts with capital preservation goals. Her limited investment knowledge and 10-year horizon until retirement suggest she may not have fully appreciated the downside risk of sector concentration. FINRA Rule 2111 requires that recommendations be suitable based on reasonable diligence concerning the customer's investment profile, and concentration risk in volatile sectors has historically been a red flag for moderate-risk, pre-retirement investors. The absence of written risk disclosures about sector volatility weakens the adviser's position.

Supporting a finding of suitability: The customer explicitly expressed enthusiasm for technology investments and a desire for aggressive growth to 'make up for lost time'--language that could support a higher risk tolerance than formally documented. Mr. Whitmore's contemporaneous notes document these conversations, and customers are permitted to make investment decisions that deviate from their stated profiles when properly informed. The verbal explanation of concentration risk, while not documented in writing, may have been sufficient disclosure. Additionally, the customer retained \$450,000 of the inheritance plus her existing \$340,000 portfolio in diversified holdings, meaning the concentrated position represented approximately 49% of her total investable assets--aggressive but not necessarily unsuitable for a portion of the portfolio.

The settlement amount of \$95,000 (roughly 45% of actual losses) suggests the firm saw meaningful exposure but not a clear-cut violation.

Item 96 of 250

Topic: fiduciary_duty_scope_in_limited_engagement

Standard: Investment Advisers Act Section 206; SEC v. Capital Gains Research Bureau fiduciary standard; SEC Release IA-5248 (Commission Interpretation Regarding Standard of Conduct for Investment Advisers) addressing duty of care and reasonable inquiry obligations

Likely Outcome: The SEC would likely find the limited engagement acceptable IF the adviser adequately disclosed the limitations and risks of compartmentalized advice. However, because Chen knew significant assets existed outside the scope and failed to even consider whether that information might materially affect his recommendations, regulators may find this fell short of the duty of care. A warning letter or deficiency citation is probable, rather than formal enforcement, unless a pattern of similar conduct is discovered.

Source: 09_Law_Firm_Memos

Fact Pattern

Westbrook Capital Advisors LLC, a registered investment adviser based in Connecticut, entered into an advisory agreement with Dr. Patricia Nguyen, a 58-year-old anesthesiologist, in March 2023. The written agreement specified that Westbrook would provide 'investment recommendations limited to Dr. Nguyen's taxable brokerage account containing approximately \$850,000 in assets.' Dr. Nguyen also maintained a \$1.2 million 401(k) at her hospital employer and owned three rental properties valued at approximately \$2.1 million total, but these were expressly excluded from the advisory relationship per the engagement letter. Marcus Chen, the assigned investment adviser representative, recommended allocating 75% of the taxable account to growth-oriented equity ETFs and 25% to high-yield corporate bond funds, resulting in a moderately aggressive portfolio. When making these recommendations, Chen did not request detailed information about the 401(k) holdings or rental property income streams, relying solely on a brief questionnaire indicating Dr. Nguyen had 'moderate' risk tolerance and a 7-10 year investment horizon. The recommended ETFs subsequently declined 22% during a market correction in late 2023. Dr. Nguyen filed a complaint alleging Chen breached his fiduciary duty by failing to consider her complete financial picture--specifically, that her 401(k) was already heavily weighted toward growth stocks and her rental properties generated significant passive income, meaning the taxable account should have been more conservatively positioned. Westbrook contends the engagement letter clearly limited the scope of advice and Chen fulfilled his duty of care within that defined scope.

Why Borderline

The core tension is whether fiduciary duty can be contractually circumscribed when an adviser has reason to know that limited information may render recommendations unsuitable in the client's broader context.

Borderline Factors

- * Explicit contractual limitation on scope of engagement signed by both parties
- * Adviser had no actual knowledge of specific holdings outside scope but knew other assets existed
- * Recommendations were reasonable when evaluated solely within the defined account parameters

Analysis

This scenario tests the boundaries of an investment adviser's fiduciary duty when the engagement is contractually limited in scope. Under SEC v. Capital Gains Research Bureau, investment advisers owe clients fiduciary duties rooted in Section 206 of the Investment Advisers Act, requiring them to act in clients' best interests. The SEC has interpreted this to include both a duty of care and duty of loyalty. Supporting a violation finding: The Capital Gains decision

emphasized that advisers must 'eliminate, or at least expose, all conflicts of interest which might incline an investment adviser to render advice which was not disinterested.' Arguably, providing advice without understanding the client's complete financial situation creates an inherent inability to truly assess what is in the client's best interest. A 75% growth allocation might be suitable viewed in isolation but becomes potentially unsuitable when the client already has substantial growth exposure elsewhere. The SEC's interpretation of fiduciary duty suggests advisers cannot compartmentalize their obligations to the point where advice becomes detached from obvious client circumstances. Supporting compliance: The advisory relationship was clearly defined and limited by mutual agreement. Chen gathered appropriate information within the agreed scope--risk tolerance and time horizon for the specific account. Advisers regularly provide limited-scope advice, and requiring full financial disclosure for every engagement could make targeted advisory services impractical. The engagement letter represents an informed waiver of broader analysis. Chen's recommendations were objectively reasonable for a moderate-risk investor with a 7-10 year horizon when viewed within the defined engagement parameters.

Item 97 of 250

Topic: esg_investment_suitability_client_objectives

Standard: Regulation Best Interest Rule 15l-1 Care Obligation; FINRA Rule 2111 (Suitability); Investment Advisers Act Section 206 fiduciary duty; FINRA Rule 2330 (regarding reasonable-basis and customer-specific suitability)

Likely Outcome: Likely finding of Reg BI care obligation violation with moderate sanctions. The absence of documentation showing Margaret understood the cost and performance implications of ESG investing, combined with her primary documented objectives not mentioning ESG factors, suggests insufficient reasonable diligence. However, the sanction would likely be limited given the legitimate investment vehicles involved and Margaret's environmental comments providing some basis for the recommendation.

Source: 07_Practitioner_Commentary

Fact Pattern

Margaret Chen, age 58, is a retired schoolteacher with a \$420,000 IRA rollover from her state pension system. In March 2023, she met with Thomas Reilly, a registered representative at Greenfield Wealth Partners, seeking moderate growth with capital preservation as she approached full retirement at 65. During the intake process, Margaret mentioned she 'cared about the environment' and had participated in local recycling initiatives. Reilly documented her risk tolerance as moderate and investment timeline as 7-10 years. Based partly on her environmental comments, Reilly recommended allocating 65% of her portfolio (\$273,000) to three ESG-focused equity funds with expense ratios averaging 0.89%, compared to comparable non-ESG index funds at 0.12%. The ESG funds had demonstrated higher volatility over the trailing five years and had underperformed their benchmarks by an average of 1.2% annually. Reilly's notes indicated Margaret 'expressed interest in responsible investing' but did not document whether she understood the cost differential or performance trade-offs. Margaret signed an investment policy statement listing 'growth with moderate risk' as her primary objective, with no explicit mention of ESG preferences. By January 2024, Margaret's portfolio had declined 8.7% while comparable moderate-allocation portfolios fell only 4.2%. She filed a complaint alleging the ESG recommendations were unsuitable given her stated need for capital preservation and retirement income.

Why Borderline

The case hinges on whether casual client comments about environmental values constitute sufficient basis for prioritizing ESG factors over cost efficiency and documented financial objectives.

Borderline Factors

- * Ambiguity in how heavily advisers may weight informal client values statements versus documented financial objectives
- * Lack of clear regulatory guidance on cost-benefit disclosure requirements specific to ESG fund recommendations
- * Uncertain standard for documenting client understanding of ESG-related trade-offs

Analysis

Arguments supporting a violation center on the adviser's care obligation under Reg BI. Reilly appears to have elevated an informal environmental comment into a primary investment criterion without adequate documentation or client understanding. The 77 basis point fee differential represents approximately \$2,100 annually in additional costs that were not clearly explained relative to the purported ESG benefits. Margaret's documented objectives emphasized capital preservation and moderate growth--not values-based investing--and the higher-volatility ESG funds may have

been inconsistent with her stated risk tolerance. The lack of documentation showing Margaret understood the cost-performance trade-offs suggests Reilly may not have exercised reasonable diligence in forming his recommendation. Conversely, arguments supporting compliance note that Margaret did express environmental values, and Reg BI does not prohibit considering non-financial factors when clients indicate interest. The 65% equity allocation is not unreasonable for a 7-10 year timeline with moderate risk tolerance. ESG funds are legitimate investment vehicles, and short-term underperformance alone does not establish unsuitability--markets fluctuate. Reilly could argue he reasonably interpreted Margaret's comments as indicating ESG alignment was important to her overall investment satisfaction. The IPS signature suggests client acknowledgment of the strategy. FINRA guidance has noted that advisers may consider client values alongside financial factors, though the primary focus must remain on investment objectives and risk tolerance.

Item 98 of 250

Topic: account_type_conversion_suitability

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; Regulation Best Interest care obligation under Exchange Act Section 15(l); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on senior investors and diminished capacity

Likely Outcome: A regulatory review would likely find the recommendation problematic but not clearly violative. While Caldwell documented cost savings and POA preferences, the failure to adequately account for known cognitive limitations in determining appropriate account structure suggests an incomplete suitability analysis. The most likely outcome is a finding that Caldwell should have more thoroughly documented why the non-discretionary structure remained appropriate despite the client's diminished capacity, potentially resulting in supervisory concerns rather than a direct suitability violation.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 78, had maintained a discretionary Strategic Advisor Account with Westbrook Financial Services since 2015. The account held approximately \$1.2 million in diversified assets, and Margaret relied on her broker, James Caldwell, to manage the portfolio under a 1.25% annual advisory fee. In March 2024, Margaret's husband passed away, and her son Robert was designated as sole Power of Attorney, replacing the previous joint POA arrangement with Robert's sister. Following conversations with Robert, Caldwell recommended converting Margaret's account from the discretionary Strategic Advisor Account to a non-discretionary Resource Management Account, which carried a lower annual fee of 0.85% but required client approval for each transaction. Caldwell documented that the conversion would save Margaret approximately \$4,800 annually in fees and was consistent with Robert's stated preference for more direct oversight of his mother's investments. However, Margaret had been diagnosed with early-stage cognitive decline in January 2024, and the account conversion meant she would now need to approve trades herself or rely on Robert's involvement for each transaction. Following the conversion, several recommended trades went unexecuted because neither Margaret nor Robert responded to authorization requests in a timely manner, resulting in missed rebalancing opportunities during market volatility in Q2 2024. Margaret's account underperformed her previous allocation strategy by approximately \$38,000 during this period.

Why Borderline

The case presents competing legitimate considerations--documented fee savings and POA preferences versus known cognitive limitations affecting the client's ability to function in a non-discretionary structure.

Borderline Factors

- * Fee reduction provided measurable financial benefit documented at time of recommendation
- * POA holder's explicit preference for oversight was honored but may have conflicted with customer's actual needs
- * Cognitive decline diagnosis known to broker raises question of whether customer-specific factors were adequately weighed

Analysis

The suitability analysis here centers on whether converting from a discretionary to non-discretionary account structure served the customer's best interest given her specific circumstances. Supporting compliance, Caldwell documented

legitimate reasons for the recommendation: reduced fees representing meaningful annual savings, and honoring the new POA holder's expressed preference for increased oversight. The fee reduction alone demonstrates consideration of costs, a key component of Reg BI's care obligation. Additionally, Caldwell followed proper procedures in documenting the POA change and the rationale for conversion. However, several factors suggest potential suitability concerns. Margaret's cognitive decline diagnosis should have been a significant factor in determining whether a non-discretionary structure was appropriate. A discretionary account may have been more suitable for a client with diminishing capacity, as it ensures continuous professional management without requiring client decision-making. Caldwell knew or should have known that requiring trade-by-trade authorization from an elderly client with cognitive issues--or from a POA holder who may not be readily available--could impair account management. The subsequent execution failures and \$38,000 underperformance represent concrete harm flowing from the structural change. The question is whether Caldwell adequately weighed these client-specific factors against the fee savings and POA preferences. Under FINRA Rule 2111 and Reg BI's care obligation, the recommendation must be suitable considering the customer's investment profile, which includes age, financial situation, and other pertinent information--potentially including known health conditions affecting decision-making capacity.

Item 99 of 250

Topic: suitability_of_self_directed_trade_correction_advice

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); Exchange Act Section 10(b); state common law claims including breach of contract and promissory estoppel

Likely Outcome: The panel would likely find this is primarily a contract/misrepresentation dispute rather than a suitability violation, but could award damages under state law claims or FINRA Rule 2010 for the broken promise. The suitability claim specifically would likely be dismissed because the customer initiated and selected the investment without firm recommendation, and self-directed account protections would shield the firm from suitability liability for customer-selected trades.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Delgado, age 58, maintained a self-directed brokerage account at Westbrook Securities, Inc. with approximately \$340,000 in assets, representing roughly 60% of his retirement savings. On March 15, 2023, Delgado attempted to execute an online purchase of 5,000 shares of Nextera Biotech (NXBT), a volatile small-cap stock trading at \$12.50 per share. Due to a platform delay, his order was not immediately executed. Delgado called Westbrook's trading desk and spoke with registered representative Amanda Sinclair, who reviewed his account and confirmed the trade had not gone through. During the recorded call, Sinclair informed Delgado that she would 'take care of it' and ensure the trade was executed at the original price point.

The stock subsequently rose to \$28.75 per share over the following two weeks before Delgado received confirmation that Westbrook had declined to honor Sinclair's verbal commitment, citing that platform delays on self-directed accounts do not warrant price adjustments. Delgado alleged he would have immediately re-submitted the order had Sinclair not made her representation, missing approximately \$81,250 in gains. Westbrook maintained that Sinclair never provided investment advice, merely operational assistance, and that Delgado's decision to invest in a speculative small-cap biotech stock was entirely his own.

Delgado's account documentation showed a moderate risk tolerance and a stated investment objective of 'growth with income' for retirement in seven years. His account history revealed several previous small-cap trades, though none exceeding \$25,000 in value. Westbrook argued that any suitability analysis was irrelevant because the firm never recommended the NXBT position.

Why Borderline

The case blurs the line between operational assistance and investment guidance in self-directed accounts, raising the novel question of whether verbal assurances that influence customer behavior constitute implicit recommendations triggering suitability analysis.

Borderline Factors

- * Self-directed account status versus representative's influential statements
- * Whether operational representations can constitute implicit investment advice
- * Customer's prior small-cap trading history suggesting sophistication versus concentration risk
- * Distinction between contract breach claims and suitability violations

Analysis

This case presents the unusual question of whether suitability obligations attach when a representative's conduct effectively influences an investment outcome, even absent a formal recommendation. On one hand, Westbrook has strong arguments: Delgado's account was explicitly self-directed, the NXBT trade was his own idea, Sinclair never recommended the stock, and the firm's customer agreement clearly disclaimed responsibility for platform delays. FINRA Rule 2111 applies to 'recommended' transactions, and no recommendation occurred here. The firm would argue this is purely a contract/operational dispute outside suitability's scope.

However, Claimant could argue that Sinclair's assurance that she would 'take care of it' constituted implicit advice to hold off on resubmitting the order--effectively a recommendation to maintain the pending position rather than take alternative action. Under this view, Sinclair's statement influenced Delgado's investment behavior just as directly as a traditional buy/sell recommendation would. If such conduct triggers suitability analysis, the question becomes whether allowing a 58-year-old moderate-risk investor to concentrate \$62,500 (18% of account) in a speculative small-cap stock aligned with his profile. Additionally, FINRA Rule 2010 (just and equitable principles of trade) could apply to the broken promise regardless of suitability analysis.

The moderate risk tolerance paired with a growth-with-income objective creates tension with the speculative NXBT position, though Delgado's trading history shows familiarity with small-cap stocks. The core question is whether operational representations that influence investment outcomes trigger substantive obligations typically reserved for recommendations.

Item 100 of 250

Topic: excessive_trading_care_obligation_reg_bi

Standard: Exchange Act Rule 15l-1(a)(2)(ii) (Reg BI Care Obligation); Exchange Act Rule 15l-1(a)(2)(iv) (Reg BI Compliance Obligation); Exchange Act Section 15(b)(4)(E) (failure to supervise); quantitative suitability analysis examining turnover ratio, cost-to-equity ratio, and in-and-out trading patterns

Likely Outcome: Regulators would likely find Reg BI Care and Compliance Obligation violations, but with mitigating factors affecting sanctions. The cost-to-equity ratios made positive returns difficult for most customers, and the supervisory reviews were perfunctory despite written procedures. However, the borderline metrics and partial customer success would likely result in moderate sanctions rather than severe penalties, with emphasis on supervisory enhancements.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Securities Group, a mid-sized broker-dealer, employed registered representative Thomas Callahan who managed approximately 45 retail customer accounts. Between March 2021 and September 2022, Callahan recommended an active trading strategy to six customers, arguing that volatile market conditions created opportunities for tactical gains through sector rotation. These customers had investment profiles indicating moderate risk tolerance and growth objectives with 10+ year time horizons.

The six accounts in question showed turnover ratios ranging from 3.8 to 5.2 during this period. Customer accounts generated total commissions and fees of approximately \$187,000 for Meridian and Callahan combined. Four of the six accounts showed net losses ranging from \$8,000 to \$31,000, while two accounts achieved modest gains of \$4,200 and \$11,800 respectively. The cost-to-equity ratios ranged from 14% to 22% across the accounts.

Meridian's supervisory procedures included automated exception reports flagging accounts with turnover ratios exceeding 6.0 and cost-to-equity ratios above 25%. Callahan's accounts fell below these thresholds, so no automated alerts triggered principal review. However, Meridian's written supervisory procedures also required quarterly manual reviews of 'active trading' accounts, defined as those with turnover above 3.0. The branch manager conducted these reviews but documented only that the trading appeared 'consistent with customer objectives' without detailed analysis of whether the cumulative costs were reasonable given actual returns.

Callahan maintained contemporaneous notes indicating customers understood the strategy involved frequent trading and associated costs, though customers did not sign any separate acknowledgment forms specific to active trading strategies.

Why Borderline

The trading metrics fall in an intermediate zone--elevated but not extreme--and the firm had procedures that technically addressed the conduct but may not have been meaningfully enforced.

Borderline Factors

- * Turnover ratios (3.8-5.2) below typical churning thresholds but above normal buy-and-hold levels
- * Mixed customer outcomes with some accounts profitable despite high costs
- * Firm procedures existed but manual reviews lacked substantive analysis of cost-benefit reasonableness

Analysis

This case presents genuine tension between technical compliance with firm thresholds and the substantive requirements of Regulation BI's Care Obligation. Arguments supporting a violation include: the cost-to-equity ratios (14-22%) were substantial even if below firm thresholds, making positive returns difficult; four of six customers lost money while the broker profited significantly; firm-set thresholds don't define regulatory compliance--Reg BI requires recommendations be in customers' best interest regardless of internal triggers; and the branch manager's cursory reviews failed to analyze whether cumulative trading costs were actually reasonable for moderate-risk, long-term investors.

Arguments supporting compliance include: turnover ratios of 3.8-5.2, while elevated, are not in the range typically associated with churning violations (often 6.0+); two customers achieved positive returns, suggesting the strategy could work; Callahan documented customer understanding of the approach; the 18-month period coincided with genuine market volatility that could justify more active management; and customers' growth objectives and 10+ year horizons could arguably accommodate short-term tactical approaches within a broader strategy.

The Compliance Obligation analysis is also borderline--Meridian had procedures addressing active trading, but the manual review process lacked rigor. The firm's automated thresholds weren't triggered, but the quarterly reviews that should have provided secondary oversight were superficial. Whether this constitutes 'reasonably designed' procedures depends on whether regulators view the written procedures or their actual implementation as the relevant standard.

Item 101 of 250

Topic: best_interests_duty_safe_harbour_reasonable_investigation

Standard: Corporations Act 2001 (Cth) section 961B(1) best interests duty; section 961B(2) safe harbour provisions, particularly paragraph (e) requiring reasonable investigation; section 961G appropriate advice duty; ASIC Regulatory Guide 175 regarding switching advice considerations

Likely Outcome: AFCA and potentially ASIC would likely find a breach of the best interests duty. Post-Royal Commission enforcement has emphasised that safe harbour compliance does not automatically satisfy section 961B(1), and the failure to conduct comparative fee analysis when recommending a product switch--particularly for a pre-retiree with capital preservation goals--demonstrates inadequate investigation. However, penalties would likely be moderate given documented compliance processes and absence of conflicted remuneration.

Source: 23_International_Comparative

Fact Pattern

In March 2023, Clearview Financial Planning Pty Ltd, an AFSL holder operating in Melbourne, provided personal financial advice to Margaret Chen, a 58-year-old schoolteacher approaching retirement with \$485,000 in superannuation and modest risk tolerance. Margaret's authorised representative, James Whitfield, recommended she consolidate her existing industry superannuation fund into a retail wrap platform product offered through Clearview's approved product list, which contained 47 managed funds and direct equities options. Whitfield conducted a fact-find, assessed Margaret's risk profile as 'balanced,' and documented that the wrap platform offered greater investment flexibility and online access compared to her existing fund. However, Whitfield did not investigate whether Margaret's existing industry fund--which had lower fees (0.85% vs 1.45% on the wrap platform) and comparable historical returns--might adequately meet her stated goals of capital preservation and modest growth before retirement. Whitfield's Statement of Advice noted the wrap platform's features but did not include a comparative analysis of the fee differential's impact on Margaret's retirement balance, which over seven years could amount to approximately \$28,000 in additional costs. Clearview's compliance team approved the SOA, noting that the safe harbour steps under section 961B(2) appeared satisfied because Whitfield had identified the client's objectives, obtained relevant information, and considered the subject matter of the advice. Margaret later lodged a complaint with AFCA after discovering the fee disparity.

Why Borderline

The case hinges on whether 'reasonable investigation' under section 961B(2) requires affirmative comparison with existing products or merely assessment of the recommended product's alignment with client objectives--an ambiguity Commissioner Hayne identified as a fundamental flaw in the safe harbour framework.

Borderline Factors

- * Whether safe harbour compliance mechanically satisfies best interests duty or requires substantive comparison analysis
- * Materiality threshold for fee differential consideration in product switching recommendations
- * Whether enhanced platform features can justify higher-cost products absent documented client demand for those features

Analysis

This scenario tests the boundaries of what constitutes a 'reasonable investigation' under section 961B(2)(e) and

whether mechanical compliance with safe harbour steps truly satisfies the best interests duty. Supporting a finding of compliance: Whitfield obtained Margaret's financial information, assessed her risk profile, considered her objectives (flexibility, online access), and recommended a product from an approved list that technically aligned with her stated balanced risk tolerance. The safe harbour provision does not explicitly require comparison with existing products, and the wrap platform did offer enhanced features Margaret could value. Clearview's compliance processes were followed, and the recommendation was not manifestly unsuitable. Supporting a finding of breach: Commissioner Hayne's critique in the Final Report specifically questioned whether safe harbour steps adequately serve the best interests duty's purpose. A reasonable investigation arguably requires considering whether the client's existing arrangement adequately meets their needs before recommending a switch--particularly when the switch involves materially higher fees with no demonstrated performance advantage. ASIC Regulatory Guide 175 indicates that advisers should consider whether clients would be better off not acting at all. The \$28,000 fee differential over Margaret's pre-retirement period represents a significant impact on her retirement outcome that was not adequately weighed against the purported benefits of platform flexibility. The absence of comparative analysis suggests Whitfield prioritised product distribution over genuine client interest assessment.

Item 102 of 250

Topic: suitability_of_variable_annuity_for_retiring_professional

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest 17a-1 Care Obligation for broker-dealers

Likely Outcome: A panel would likely find the recommendation defensible but not clearly suitable. The strong documentation of client preferences provides significant protection, but the extreme cost differential and the client's sophisticated background may lead to a finding that Thornton failed to adequately explore or present lower-cost alternatives. A settlement or modest damages award addressing the excessive fee differential is probable, rather than a finding of complete unsuitability.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Kowalski, age 62, worked as a corporate insurance analyst for 28 years and was preparing for retirement in early 2022. She had accumulated \$890,000 in a 401(k) and an additional \$215,000 in a traditional IRA. Her registered representative at Midwest Financial Partners, LLC, Derek Thornton, recommended she roll over her 401(k) into an IRA and consolidate both accounts into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The total investment was \$1,105,000 into the Secure Horizon VA product, which carried a 1.35% mortality and expense charge, a 0.95% GLWB rider fee, and underlying fund expenses averaging 0.85%. The product had a 7-year surrender period with declining charges starting at 7%.

Mrs. Kowalski's investment profile indicated a moderate risk tolerance, a 25-year time horizon for income needs, and primary goals of guaranteed retirement income and capital preservation. She expressed anxiety about market volatility after experiencing losses during the 2008 financial crisis. Thornton documented that she specifically requested 'protection from another market crash' and wanted assurance she would never outlive her money. Her annual Social Security benefit would be approximately \$28,000, and she had no pension.

However, Mrs. Kowalski's daughter later filed a complaint alleging the recommendation was unsuitable because her mother could have achieved similar downside protection through a balanced portfolio of low-cost index funds and bond funds at a fraction of the cost. The complaint noted that Mrs. Kowalski was financially sophisticated given her career background and could have managed a more cost-efficient strategy. The total annual fees on the VA exceeded \$34,000, compared to an estimated \$3,300 for a comparable low-cost portfolio. Thornton's firm received \$55,250 in upfront commissions on the sale.

Why Borderline

The case hinges on whether a client's documented emotional preference for guarantees can justify significantly higher costs when lower-cost alternatives could arguably meet similar objectives, particularly for a financially sophisticated client.

Borderline Factors

- * Client's explicit documented request for guaranteed income and downside protection
- * Substantial cost differential between recommended product and potential alternatives (\$30,700+ annually)
- * Client's professional background in insurance potentially indicating sophistication to manage alternatives
- * 7-year surrender period limiting flexibility during early retirement transition

Analysis

This case presents genuine tension between documented client preferences and cost-reasonableness analysis. Supporting the suitability of the recommendation: Mrs. Kowalski explicitly expressed fear of market volatility and desired guaranteed income, both of which the GLWB rider specifically addresses. Her 25-year time horizon and lack of pension income create legitimate longevity risk that guaranteed withdrawal benefits are designed to mitigate. The documentation reflects client-driven requests for downside protection, and Thornton captured these preferences contemporaneously. FINRA has acknowledged that variable annuities with living benefits can be suitable for clients prioritizing income certainty over cost efficiency.

Arguing against suitability: The substantial cost differential--approximately \$30,700 annually--raises questions about whether Thornton adequately considered lower-cost alternatives that could meet Mrs. Kowalski's objectives. Her professional background as an insurance analyst suggests she may have had the sophistication to understand and manage a more cost-efficient portfolio, potentially undermining the need for expensive guarantees. The high upfront commission creates an appearance that the recommendation may have been influenced by compensation rather than client need. Additionally, locking \$1.1 million into a 7-year surrender period significantly restricts her liquidity at a critical life transition.

The care obligation under both FINRA Rule 2111 and the annuity-specific requirements demands consideration of available alternatives. However, the rule does not require recommending the lowest-cost option--it requires that the recommendation be consistent with the customer's investment profile, which includes stated preferences for guarantees.

Item 103 of 250

Topic: suitability_of_alternative_investments_for_retirees

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-03 guidance on concentration in illiquid products; Washington Securities Act provisions regarding suitability and seller liability

Likely Outcome: A FINRA arbitration panel would likely find partial liability, awarding damages on the most speculative investments (opportunity zone fund, oil and gas fund) while finding the income-oriented REITs and debt fund were not per se unsuitable. The concentration level and client inexperience weigh against the representative, but documentation and the challenging yield environment provide mitigation. Damages would likely be reduced from full rescission to reflect comparative fault and market risk acceptance.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold and Patricia Westbrook, ages 68 and 65 respectively, sought investment advice from Gregory Marston, a registered representative at Pinnacle Investment Partners, LLC in March 2018. The Westbrooks had recently sold their family business for \$1.2 million and wanted to generate reliable retirement income while preserving capital. Their account documents indicated moderate risk tolerance, a 15-year investment horizon, annual income needs of approximately \$60,000, and limited prior investment experience beyond CDs and money market accounts.

Between April 2018 and September 2019, Marston recommended the Westbrooks invest approximately \$425,000 (35% of their liquid assets) across five alternative investments: two non-traded REITs focused on commercial real estate (\$150,000), an oil and gas equipment leasing fund (\$100,000), a private debt fund with an 8% stated yield (\$100,000), and a development-stage opportunity zone fund (\$75,000). Marston documented that these investments would provide income diversification and higher yields than traditional fixed income in the low-rate environment. He noted the illiquidity risks in written disclosures signed by the clients.

By early 2022, the oil and gas fund had suspended distributions entirely, one REIT had reduced its NAV by 40%, and the opportunity zone fund remained non-income producing. The Westbrooks' actual income from these investments averaged only \$18,000 annually rather than the projected \$34,000, forcing them to liquidate other positions at inopportune times. They filed a FINRA arbitration claiming the concentrated alternative investment strategy was unsuitable given their income needs, age, and inexperience with illiquid products.

Why Borderline

The case turns on whether proper disclosure and diversification across alternative products can cure potential unsuitability for retirees whose income needs and inexperience suggest traditional investments would better serve their objectives.

Borderline Factors

- * 35% concentration in illiquid alternatives falls in gray zone between acceptable diversification and excessive concentration for retirees
- * Documented rationale for yield-seeking strategy during low-rate environment provides reasonable basis despite client inexperience
- * Actual income shortfall demonstrates practical unsuitability but may reflect unforeseeable market conditions rather

than flawed recommendation process

Analysis

Arguments supporting a suitability violation center on concentration risk and client profile mismatch. Allocating 35% of retirement assets to illiquid alternatives for clients in their late 60s with limited investment experience raises serious concerns under FINRA Rule 2111. The Westbrooks' primary stated need was reliable income generation, yet several recommended products (the opportunity zone fund, one speculative REIT) prioritized capital appreciation over current income. Additionally, clients with no prior alternative investment experience may not fully appreciate illiquidity risks even when disclosed, suggesting the quantitative suitability component (concentration) was problematic regardless of disclosure quality.

Arguments supporting compliance focus on documentation, diversification rationale, and client consent. Marston documented the income diversification thesis and obtained signed illiquidity disclosures. A 35% allocation to alternatives, while aggressive, falls within ranges some firms permit for accredited investors seeking yield enhancement. The Westbrooks had a 15-year stated horizon, suggesting they could theoretically weather illiquidity periods. The low interest rate environment in 2018-2019 made traditional fixed income genuinely challenging for income generation, providing reasonable basis for exploring alternatives. Furthermore, diversifying across five different alternative strategies rather than concentrating in one product shows some risk management consideration.

The critical question is whether disclosed illiquidity risks and signed acknowledgments adequately address suitability concerns when the client's fundamental profile--retirees with limited experience needing reliable income--conflicts with the inherent characteristics of the recommended products.

Item 104 of 250

Topic: suitability_of_advice_from_dual_licensed_representative

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Variable Annuity Recommendations); FINRA Rule 3270 (Outside Business Activities); Regulation BI Care Obligation under Exchange Act Section 15(l)

Likely Outcome: FINRA would likely find a suitability violation under Rules 2111 and 2330. While the OBA structure limits the firm's supervisory obligations, the representative himself cannot ignore material information he possesses about a customer's financial situation regardless of how he obtained it. The customer-specific suitability obligation requires Chen to use his actual knowledge, and recommending a 7-year illiquid product to a 67-year-old with limited income sources while possessing detailed knowledge of her finances suggests inadequate reasonable-basis and customer-specific analysis. However, sanctions may be mitigated by proper disclosure and processing through normal channels.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Chen is a registered representative with Westbrook Securities, LLC and also maintains a CPA license through which he operates an independent tax preparation practice disclosed to his firm as an outside business activity under Rule 3270. In March 2023, Margaret Dawson, age 67, came to Chen for tax preparation services. During their meeting, she mentioned receiving a \$485,000 inheritance and expressed concern about outliving her money. Chen, recognizing her as a potential securities client, suggested she open a brokerage account with Westbrook. Based primarily on information gathered during their tax conversations—including her modest pension income of \$2,100/month, Social Security of \$1,850/month, and her conservative spending patterns—Chen recommended she invest \$350,000 in a variable annuity with a 7-year surrender period and annual fees of 2.8%. He documented her risk tolerance as 'moderate' and investment objective as 'growth and income.' Dawson signed the new account forms at Chen's tax office, and Chen processed the transaction through Westbrook. Six months later, Dawson needed \$75,000 for unexpected medical expenses and discovered the surrender charges would cost her over \$24,000. She complained to Westbrook that Chen never adequately explained the illiquidity, and that he used his CPA relationship to pressure her into an unsuitable investment without fully understanding her liquidity needs.

Why Borderline

The core ambiguity is whether a representative's knowledge gained through disclosed outside business activities creates a heightened duty in securities recommendations, and whether standard suitability documentation suffices when the rep possesses deeper informal knowledge of the customer's circumstances.

Borderline Factors

- * Representative possessed detailed financial knowledge from CPA relationship but documented only standard suitability information
- * Variable annuity can be suitable for retirement income but surrender period created undisclosed liquidity risk for this customer
- * Broker-dealer supervision appropriately limited to securities activity per Rule 3270, yet customer harm arose partly from dual-relationship dynamics

Analysis

This case raises difficult questions about how information gathered in a non-securities capacity should inform suitability

determinations. Supporting a violation: Chen had extensive knowledge of Dawson's financial situation through his CPA work, giving him superior insight into her actual needs. Despite knowing her limited income sources, he recommended tying up 72% of her liquid assets in an illiquid product with a 7-year surrender period. FINRA Rule 2330 specifically requires reasonable efforts to obtain information about liquidity needs before recommending variable annuities, and a 67-year-old with modest fixed income has foreseeable liquidity needs. The high fee structure (2.8% annually) compounds concerns about whether this was truly in her best interest. Additionally, conducting securities business in his tax office may have blurred professional boundaries and created implicit pressure. Supporting compliance: Chen properly disclosed his OBA and processed the transaction through his broker-dealer's normal channels. Dawson's documented profile showed moderate risk tolerance and growth objectives, and a variable annuity can be suitable for retirees seeking tax-deferred growth with guaranteed income options. Chen retained \$135,000 outside the annuity, potentially for liquidity. The customer signed all required disclosures about surrender charges. Furthermore, Westbrook's supervision was limited to the securities transaction itself--the firm had no obligation to supervise Chen's tax practice or integrate information from that context.

Item 105 of 250

Topic: suitability_of_concentrated_position_strategy

Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentration and suitability

Likely Outcome: A FINRA arbitration panel would likely find in favor of the claimant on the incremental purchases but may reduce damages attributable to the original inherited position. The recommendation to increase concentration by 10 percentage points in a speculative stock, given the client's stated objectives and approaching retirement, would likely be deemed unsuitable regardless of tax considerations.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2021, registered representative David Thornton at Coastal Wealth Partners recommended that his client, Margaret Feldman, age 58, maintain and add to her concentrated position in Apex Pharmaceuticals Inc., a mid-cap biotech company. Ms. Feldman had inherited 15,000 shares of Apex (then worth approximately \$450,000) from her late husband in 2019, representing roughly 65% of her total investable assets of \$690,000. Her investment profile indicated moderate risk tolerance, a 7-10 year time horizon until retirement, and stated objectives of growth with capital preservation for retirement income. Mr. Thornton advised Ms. Feldman that diversifying would trigger significant capital gains taxes and that Apex's promising drug pipeline made holding the position advisable. Over the following eight months, he recommended she purchase an additional 3,000 shares at various price points, investing another \$95,000 from her cash reserves, bringing her Apex holdings to approximately 75% of her portfolio. In February 2022, Apex announced a failed Phase III clinical trial, and the stock declined 62% within three weeks. Ms. Feldman's portfolio losses exceeded \$340,000. She filed a customer complaint alleging unsuitable advice, claiming Mr. Thornton failed to recommend appropriate diversification and instead encouraged further concentration in a speculative position despite her moderate risk profile and approaching retirement.

Why Borderline

The case involves inherited stock with tax implications, potential client attachment, and the distinction between maintaining versus actively increasing an existing concentrated position.

Borderline Factors

- * Inherited position versus adviser-recommended concentration
- * Legitimate tax considerations weighed against diversification benefits
- * Whether documented client preference can override suitability concerns
- * Active recommendation to increase concentration versus passive maintenance

Analysis

The suitability analysis here involves competing considerations. Supporting a finding of unsuitability: Ms. Feldman's moderate risk tolerance and capital preservation objective are fundamentally inconsistent with a 75% concentration in a single biotech stock, an inherently volatile sector. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including risk tolerance, time horizon, and investment objectives. A near-retirement investor seeking capital preservation should not typically hold such concentrated, speculative positions. The recommendation to purchase additional shares compounded the concentration risk rather than addressing it. However, arguments support the adviser's conduct: The position was inherited rather than recommended initially, and

tax consequences of diversification were a legitimate consideration. Ms. Feldman presumably understood her husband's investment and may have had emotional attachment to the holding. The adviser could argue that biotech investments can be appropriate for moderate-risk investors when they represent growth allocation, and that the time horizon of 7-10 years provided some buffer for volatility. Additionally, if Ms. Feldman expressed strong preference to maintain the position despite being informed of concentration risks, this could constitute a customer-directed decision. The critical issue is whether the recommendation to add to an already concentrated position crossed the line from accommodating client preferences to actively encouraging unsuitable concentration.

Item 106 of 250

Topic: retirement_rollover_suitability_moderate_risk_investor

Standard: Regulation Best Interest Rule 15l-1 (Care Obligation); Investment Advisers Act Section 206 fiduciary duty; FINRA Rule 2111 (Suitability); SEC Division of Examinations 2026 priorities emphasizing adherence to fiduciary standards and Reg BI compliance for retail investors

Likely Outcome: Regulators would likely find a Reg BI care obligation violation focused on the non-traded REIT allocation, given the lockup period matching her retirement horizon creates foreseeable liquidity problems. The overall rollover recommendation might survive scrutiny if Greenfield can demonstrate the cost-benefit analysis was reasonable, but the specific product allocation to illiquid alternatives for an inexperienced pre-retiree with capital preservation goals would likely be deemed inconsistent with her best interest.

Source: 05_SEC_Exam_Findings

Fact Pattern

Greenfield Wealth Advisors, a dually-registered investment adviser and broker-dealer, recommended in March 2024 that client Patricia Huang, age 58, roll over her \$487,000 401(k) from her previous employer into an IRA managed by Greenfield. Patricia's risk tolerance questionnaire indicated 'moderate' risk tolerance, a 7-year investment horizon until retirement, and primary goals of capital preservation with modest growth. Her annual household income was \$142,000, with approximately \$85,000 in additional liquid savings outside the 401(k).

The Greenfield representative, Marcus Webb, recommended allocating 35% of the rollover assets to a diversified portfolio of actively managed equity mutual funds with expense ratios averaging 1.15%, 40% to investment-grade bond funds, 15% to a non-traded REIT with a 7-year lockup period, and 10% to a structured note tied to the S&P 500 with principal protection at maturity in 5 years. The 401(k) plan offered low-cost index funds with expense ratios of 0.04% to 0.08% and a stable value fund yielding 3.2%.

Webb documented that the rollover recommendation was based on Patricia's desire for 'more investment options' and 'personalized advice,' which she confirmed in a signed acknowledgment form. Greenfield's total advisory fee would be 1.0% annually on the IRA assets. Webb's analysis noted that the 401(k) plan lacked access to alternative investments like REITs and structured products that could provide diversification benefits. Patricia had no prior experience with non-traded REITs or structured notes before this recommendation.

Why Borderline

The case presents genuine tension between documented client preferences for expanded options and personalized service versus the quantifiable cost increase and allocation of retirement assets to illiquid/complex products for a client with no experience in such investments.

Borderline Factors

- * Significant cost increase versus documented client desire for personalized advice and expanded options
- * Non-traded REIT lockup period coinciding exactly with stated investment horizon creates liquidity risk
- * 25% allocation to complex/illiquid products for inexperienced moderate-risk investor approaching retirement

Analysis

Arguments supporting a violation focus on several factors. First, the substantial increase in total costs--from effectively

0.04%-0.08% in the 401(k) to approximately 2.15% all-in (1.0% advisory fee plus 1.15% average fund expense)--represents a significant drag on returns for a moderate-risk investor nearing retirement. Second, the 15% allocation to a non-traded REIT with a 7-year lockup is problematic given Patricia's 7-year investment horizon; she may need liquidity at precisely the time these assets remain locked. Third, allocating 25% of a moderate-risk, capital-preservation-focused portfolio to illiquid alternatives and complex structured products raises questions about whether the recommendation aligned with her stated objectives. Fourth, Patricia had no prior experience with these complex products, suggesting a potential mismatch between product complexity and investor sophistication.

Arguments supporting compliance include that Webb documented legitimate reasons for the rollover beyond mere asset capture--Patricia expressly wanted more investment options and personalized advice. The structured note includes principal protection, arguably aligning with capital preservation goals. The REIT allocation at 15% is not excessive by industry standards for diversification purposes. Greenfield's advisory services provide ongoing monitoring and rebalancing that the 401(k) plan administrator would not provide. Patricia signed an acknowledgment form indicating she understood the recommendation rationale, and the overall equity allocation at 35% is consistent with moderate risk tolerance for a pre-retiree.

Item 107 of 250

Topic: suitability_introducing_broker_limited_product_shelf

Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2090 (Know Your Customer); FINRA Notice to Members discussing firms' obligations when maintaining limited product menus

Likely Outcome: Probable finding of compliance, as the recommendation was reasonable within disclosed constraints and aligned with the customer's stated objectives. However, regulators may require enhanced disclosure about limitations when customer needs suggest products outside the firm's shelf, potentially resulting in a cautionary letter rather than formal action.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Clearview Securities LLC is a small introducing broker-dealer that does not carry customer accounts, hold customer funds, or custody securities. The firm operates with a limited product shelf consisting only of equity securities, corporate bonds, and three mutual fund families. In March 2024, longtime client Dorothy Hernandez, age 58, approached her representative Marcus Webb seeking to invest \$180,000 from a recent inheritance. Ms. Hernandez expressed interest in generating income while preserving capital for retirement in seven years. Her existing account held \$95,000 in diversified equity mutual funds, and her risk tolerance questionnaire indicated a moderate-conservative profile. Webb recommended allocating \$100,000 to investment-grade corporate bonds yielding 5.2% and \$80,000 to a balanced mutual fund with a 60/40 equity-bond allocation. Ms. Hernandez later filed a complaint alleging that Webb should have recommended annuities or target-date funds that would have been more suitable for her retirement timeline and income needs. She argued that Clearview's limited product shelf prevented her from receiving appropriate recommendations. Clearview's supervisory principal, Janet Liu, reviewed the recommendation at the time and approved it as suitable given the firm's available products and the client's stated objectives. The firm's written supervisory procedures explicitly disclosed to clients that recommendations would be limited to products on the firm's approved list.

Why Borderline

The case hinges on whether suitability requires the 'best' available recommendation across all products or merely an appropriate recommendation from disclosed available options.

Borderline Factors

- * Firm disclosed limited product shelf in writing before recommendation
- * Recommended products reasonably addressed stated goals within available options
- * More retirement-specific products existed outside firm's offerings that may have better served client

Analysis

This case raises the question of whether a broker-dealer with a legitimately limited product shelf can satisfy suitability obligations when arguably more suitable products exist outside that shelf. Supporting compliance: FINRA Rule 2111 requires that a recommendation be suitable based on the customer's investment profile, but it does not mandate that the broker recommend the single best possible product in the entire marketplace. Clearview disclosed its limited offerings, and Webb's recommendation of investment-grade bonds and a balanced fund reasonably addressed Ms. Hernandez's stated goals of income generation and capital preservation. The products recommended were consistent with her moderate-conservative risk profile. The firm's business model as a non-carrying, non-clearing introducing broker necessarily limits its offerings, a distinction recognized in regulatory discussions about proportional application of

rules based on firm type and risk profile. Supporting violation: FINRA's suitability obligation encompasses not just whether a product is 'not unsuitable' but whether the recommendation serves the customer's best interest given her specific circumstances. A seven-year retirement horizon with income needs might be better served by guaranteed income products or age-appropriate target-date funds. The limited shelf disclosure does not absolve the representative of the duty to consider whether the available products can actually meet the customer's needs, or whether the customer should be directed elsewhere. Some regulators have suggested that if a firm cannot provide suitable recommendations from its shelf, it should decline to make recommendations rather than offer inferior alternatives.

Item 108 of 250

Topic: suitability_of_day_trading_strategy_for_retail_investor

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding suitability and customer-directed trades

Likely Outcome: A panel would likely find partial responsibility on both parties. While customer-directed trading generally falls outside suitability requirements, the firm's failure to reconcile the obvious conflict between Tavares's documented profile and the enabled strategy, combined with the representative's facilitation without meaningful suitability discussion, suggests a potential care obligation violation. However, Tavares's active role in requesting and executing trades would likely result in reduced or denied damages based on comparative negligence principles.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Tavares, age 58, opened a brokerage account with Pinnacle Securities LLC in March 2024. His account application indicated moderate risk tolerance, annual income of \$85,000, liquid net worth of \$180,000, and an investment objective of 'growth with income' for retirement in seven years. His prior investment experience consisted of holding mutual funds in a 401(k) for fifteen years. In April 2024, Tavares expressed interest in day trading after watching online videos about options strategies. His registered representative, Jennifer Hollis, discussed the risks of frequent trading and provided standard risk disclosures for options approval. However, she approved his account for Level 2 options trading and provided access to the firm's active trader platform without conducting a detailed assessment of whether short-term trading aligned with his stated retirement goals. Over the following four months, Tavares executed 340 round-trip trades in leveraged ETFs and short-term options, generating \$47,000 in losses and \$12,800 in commissions. In August 2024, Tavares filed a complaint alleging that Pinnacle failed to ensure the day trading strategy was suitable for his risk profile, income needs, and retirement timeline, and that Hollis should have declined to enable aggressive trading inconsistent with his documented investment objectives.

Why Borderline

The case turns on whether enabling customer-requested trading capabilities constitutes an implicit recommendation triggering suitability obligations, and how much weight customer autonomy receives when documented profile clearly conflicts with chosen strategy.

Borderline Factors

- * Customer explicitly requested the trading strategy versus it being broker-recommended
- * Standard risk disclosures were provided but no formal suitability reassessment conducted
- * Documented investment objectives materially conflicted with actual trading activity

Analysis

This case presents competing considerations under suitability obligations. Supporting a finding of violation: Tavares's documented profile--moderate risk tolerance, growth-with-income objective, seven-year retirement horizon, and limited trading experience--appears fundamentally inconsistent with an aggressive day trading strategy in leveraged products. FINRA Rule 2111 requires a reasonable basis to believe a recommended strategy is suitable based on the customer's profile. While Hollis did not explicitly 'recommend' day trading, enabling platform access and options approval after the customer expressed interest could be viewed as an implicit endorsement. The excessive commission-to-equity ratio

(approximately 7% of liquid net worth in four months) and rapid account depletion suggest the strategy was inappropriate regardless of customer enthusiasm. Supporting compliance: Pinnacle may argue this was unsolicited customer-directed trading, not a firm recommendation subject to suitability analysis. Hollis provided risk disclosures, and Tavares was an adult capable of making his own decisions after being informed of risks. FINRA guidance distinguishes between recommendations and customer-initiated strategies. Tavares actively sought day trading capabilities and made his own trading decisions. The firm cannot prevent a customer from executing legal trades in their own account. Additionally, some flexibility exists when customers explicitly request strategies outside their documented profile, provided adequate warnings are given.

Item 109 of 250

Topic: variable_annuity_suitability_elderly_customer

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities); Investment Advisers Act Section 206(2) fiduciary duty of care; Reg BI Rule 15l-1 Care Obligation requiring consideration of reasonably available alternatives and whether transaction is in customer's best interest

Likely Outcome: Likely finding of suitability violation. Regulators typically scrutinize variable annuity exchanges involving elderly customers entering new surrender periods, especially when documented liquidity concerns exist. The failure to analyze whether she could hold long enough to benefit from enhanced features, combined with higher costs and her age, would likely be viewed as inadequate reasonable-basis and customer-specific suitability analysis under FINRA rules.

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

In March 2023, registered representative Thomas Chen of Westfield Securities recommended that Margaret Dalton, age 74, exchange her existing variable annuity held at another firm for a new variable annuity offered through Westfield. Ms. Dalton's existing annuity had been held for six years and had accumulated approximately \$285,000 in value, with the surrender period having ended eighteen months prior. Her annual income from Social Security and a small pension totaled \$42,000, and she had approximately \$95,000 in liquid savings outside the annuity. Ms. Dalton indicated on her new account form that her investment objective was 'income with moderate growth' and her risk tolerance was 'moderate.' She also noted she might need funds for potential assisted living costs within 3-5 years.

The new variable annuity carried a seven-year surrender period with declining charges starting at 7%, an annual mortality and expense charge of 1.35%, and included a guaranteed minimum withdrawal benefit rider costing an additional 0.95% annually. Chen documented that the new product offered better underlying fund options and the income rider would provide Ms. Dalton with guaranteed lifetime income starting at age 80. The total annual cost of the new product was approximately 0.45% higher than her existing annuity, which also had an income rider but with slightly less favorable payout rates.

Chen's supervisor approved the exchange after reviewing a comparison worksheet showing the enhanced income rider benefits. However, the supervisor did not document any analysis of whether Ms. Dalton would likely hold the annuity long enough to benefit from the higher guaranteed income payments given her stated liquidity concerns, nor did the file contain any discussion of her potential need for assisted living funds within the new surrender period.

Why Borderline

The case involves tension between documented product benefits and the customer's age combined with stated near-term liquidity concerns, where reasonable interpretations of her investment timeline could support either outcome.

Borderline Factors

- * Customer stated potential 3-5 year liquidity need versus 7-year surrender period
- * Enhanced income rider benefits require holding to age 80 to realize value
- * Existing \$95,000 liquid savings may or may not adequately address interim needs

Analysis

The exchange raises significant suitability concerns but also presents arguments supporting the recommendation. Against suitability: Ms. Dalton is 74 years old and expressed potential liquidity needs within 3-5 years for assisted living, yet the new product imposes a seven-year surrender period with substantial early withdrawal penalties. The higher ongoing costs (approximately 0.45% more annually) erode returns, and the benefits of the enhanced income rider only materialize if she holds until age 80 and beyond. FINRA guidance on variable annuity exchanges emphasizes that the customer must have a reasonable expectation of benefiting from product features, which becomes questionable given her stated timeline. Additionally, surrendering a product already past its surrender period to enter a new restrictive period contradicts typical suitability analysis for elderly customers.

Supporting suitability: Chen documented specific product advantages including better fund options and superior guaranteed income features. Ms. Dalton indicated moderate growth objectives, suggesting she wasn't seeking immediate liquidity. The income rider could provide meaningful protection against longevity risk if she doesn't require assisted living or her timeline extends. Her \$95,000 in liquid savings outside the annuity could potentially cover interim needs. The supervisor did review and approve the transaction with a comparison worksheet, suggesting some supervisory oversight occurred. The customer's stated risk tolerance and objectives align with variable annuity ownership generally.

Item 110 of 250

Topic: research_analyst_recommendation_suitability_information_barrier

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2241(b)(1) and (b)(2)(G) regarding research analyst conflicts and information barriers; FINRA Rule 3110(a) and (b) regarding supervision; FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: FINRA would likely find supervision violations regarding the information barrier and text message preservation failures, resulting in firm sanctions similar to the H.C. Wainwright matter. However, establishing customer-specific unsuitability for Brennan's claim is more difficult without direct evidence that Thornton's research conclusions were actually altered by investment banking pressure. The arbitration panel would likely award partial damages based on the compromised research process, but the outcome remains genuinely uncertain given the facially reasonable customer-specific suitability factors.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Coastal Capital Markets, LLC is a mid-sized broker-dealer with both investment banking and research divisions. In March 2023, research analyst David Thornton issued a 'Strong Buy' recommendation on TechVenture Inc., a growth-stage technology company, rating it suitable for moderate-to-aggressive investors. At the time, Coastal's investment banking division was actively pursuing a secondary offering mandate from TechVenture. Although Thornton claimed his analysis was independent, compliance later discovered that Thornton had exchanged 14 personal text messages with investment banking director Sarah Mullins over the preceding six weeks discussing TechVenture's business prospects and potential deal timing.

Retail customer Harold Brennan, age 58, had a moderate risk tolerance and an investment objective of growth with capital preservation as he approached retirement. His account at Coastal held approximately \$340,000, with 60% in diversified equity funds. Based on Thornton's published research recommendation, Brennan's registered representative suggested a \$45,000 position in TechVenture stock. Brennan agreed and purchased 2,800 shares at \$16.10 per share in April 2023.

By October 2023, TechVenture's stock had declined to \$6.25 per share following failed product launches and executive departures, resulting in a loss of approximately \$27,580 for Brennan. During a subsequent examination, FINRA discovered that Coastal had failed to supervise business-related text communications between research and investment banking personnel, similar to failures documented in other enforcement matters. The firm's written supervisory procedures prohibited such communications but were not enforced. Brennan filed a complaint alleging the recommendation was unsuitable because it was influenced by investment banking interests rather than independent analysis.

Why Borderline

The core ambiguity is whether documented information barrier failures that created the risk of compromised research are sufficient to establish that a specific recommendation was unsuitable, or whether there must be affirmative evidence that the recommendation itself was actually influenced by investment banking interests.

Borderline Factors

* Whether reasonable-basis suitability requires research independence or merely facially reasonable analysis

- * The degree to which supervision failures regarding analyst communications can be imputed to the suitability of individual recommendations
- * Whether a 13% single-stock position in a growth company is appropriate for a moderate-risk pre-retiree with capital preservation concerns

Analysis

This case presents competing considerations regarding whether the TechVenture recommendation was suitable for Brennan. Supporting a finding of unsuitability: The compromised information barrier between research and investment banking creates substantial concern about whether Thornton's 'Strong Buy' rating reflected genuine independent analysis or was influenced by the firm's pursuit of banking fees. The text message communications during the research preparation period mirror the exact conduct FINRA has sanctioned--where investment banking interests could inappropriately influence research coverage. If the recommendation itself was tainted by conflicts, it arguably cannot satisfy the reasonable-basis suitability component under FINRA Rule 2111, regardless of customer-specific factors. Additionally, a 13% single-stock position in a growth-stage company may be aggressive for a 58-year-old with capital preservation objectives.

Supporting compliance: Evaluated on traditional suitability metrics, the recommendation appears defensible. Brennan had moderate risk tolerance with growth objectives, and a \$45,000 position represented only about 13% of his portfolio--not an outsized concentration. TechVenture was a legitimate company, and growth stocks are not per se unsuitable for pre-retirees with growth objectives. The registered representative relied on published firm research, which is a reasonable basis for recommendations. The supervision failures regarding text messages, while serious compliance violations, do not automatically render every recommendation unsuitable--there must be evidence the research was actually compromised, not merely that the opportunity for improper influence existed. The subsequent stock decline does not retroactively establish unsuitability; investment losses alone are not determinative.

Item 111 of 250

Topic: customer_specific_suitability_risk_tolerance_documentation

Standard: FINRA Rule 2111 (Suitability) including customer-specific suitability obligation; FINRA Rule 2090 (Know Your Customer); FINRA Rule 3110 (Supervision); FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade)

Likely Outcome: A violation finding is more probable. While Feldman's contemporaneous notes provide some support, FINRA emphasizes that significant changes to customer risk profiles should be formally documented and updated in account records before executing major strategy shifts. The failure to update the written profile, combined with the substantial departure from documented objectives for a recently widowed senior investor, creates an inference that the recommendation process was inadequate regardless of verbal communications. However, sanctions would likely be moderate given the supervisory approval and documented meeting notes.

Source: 03_FINRA_AWC

Fact Pattern

Marcus Feldman, a registered representative with Bridgewater Securities LLC, met with longtime client Dorothy Chen, age 67, in March 2023 to discuss repositioning her retirement portfolio. Chen had been widowed eight months earlier and received a \$425,000 life insurance payout, which she deposited into her existing brokerage account containing \$180,000 in conservative municipal bond funds. During their meeting, Chen expressed frustration about low yields and mentioned she wanted to 'make her money work harder' so she could leave more to her grandchildren. Feldman documented in his notes that Chen verbally indicated she was comfortable with 'moderate to moderately aggressive' risk to pursue higher returns.

Based on this conversation, Feldman recommended reallocating 60% of Chen's combined \$605,000 portfolio into a mix of high-yield corporate bond funds, emerging market equity ETFs, and a concentrated technology sector fund. Chen's account documents from 2019 listed her risk tolerance as 'conservative' and investment objective as 'income with capital preservation.' Feldman did not update the formal account profile before executing the trades, though he retained his handwritten meeting notes. Chen signed trade confirmations for each transaction.

Over the following fourteen months, Chen's portfolio declined approximately 23% due to rising interest rates and technology sector volatility. In January 2025, Chen filed a complaint alleging the recommendations were unsuitable given her age, recent widowhood, and conservative documented profile. Feldman maintained that Chen clearly communicated changed objectives during their meeting and that his contemporaneous notes reflected her new risk appetite. Bridgewater's supervisory review found the trades were flagged by their automated suitability system but were approved by a supervisor who noted Feldman's meeting documentation.

Why Borderline

The core tension lies between the customer's formal written profile showing conservative objectives and the representative's contemporaneous but informal documentation of verbal statements indicating changed risk appetite.

Borderline Factors

- * Conflicting documentation: formal account records versus handwritten meeting notes reflecting allegedly different customer instructions
- * Life circumstances (recent widowhood, age 67) that could support either maintaining conservative approach or legitimizing desire for change

* Supervisory approval after review of representative's documentation, suggesting institutional validation of suitability determination

Analysis

This case presents genuine tension between documented customer profile information and verbal communications allegedly reflecting changed circumstances. Supporting a violation finding: FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability. Chen's formal account documentation consistently showed conservative risk tolerance and income objectives--the written record that firms typically rely upon for suitability determinations. Recommending 60% allocation to higher-risk assets for a 67-year-old recent widow with no updated written profile raises serious customer-specific suitability concerns. The failure to formally update account documents before executing significant strategy changes violates supervisory best practices emphasized in FINRA guidance. Additionally, the magnitude of the shift--from conservative municipal bonds to high-yield, emerging market, and concentrated sector exposure--appears disproportionate even for a customer genuinely seeking moderately higher returns.

Supporting compliance: Feldman maintained contemporaneous handwritten notes documenting Chen's verbal expressions of changed objectives. The customer signed trade confirmations, demonstrating awareness of the transactions. FINRA has acknowledged that suitability analysis should consider the totality of circumstances, including recent life changes that may legitimately alter investment objectives. Chen's frustration with low yields and stated desire to grow assets for her grandchildren could reasonably support a shift toward growth-oriented investments. The firm's supervisory system flagged the trades, and a supervisor reviewed and approved them after examining Feldman's documentation--suggesting the process worked as designed. Furthermore, 'moderate to moderately aggressive' risk tolerance, if accurately documented verbally, could support the recommended allocation depending on the specific products' characteristics.

Item 112 of 250

Topic: promissory_note_forgivable_loan_suitability_conflict

Standard: Regulation Best Interest (Exchange Act Rule 15l-1) Care Obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); SEC Staff Bulletin on Rollovers (best interest standard for retirement account recommendations)

Likely Outcome: Probable finding of a Reg BI care obligation violation. While the investment selection was not unsuitable in isolation, the failure to document consideration of costs and reasonably available alternatives--particularly when the adviser had a concurrent financial incentive from the forgivable note arrangement--likely fails to satisfy the heightened care standard for rollover recommendations. A hearing panel would likely find the documentation inadequate to demonstrate the recommendation was in the customer's best interest.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Hendricks, a registered representative at Meridian Capital Partners, received a \$175,000 forgivable promissory note upon joining the firm in February 2021. The note forgives ratably over five years contingent on continued employment. In March 2022, Hendricks recommended that his client, Eleanor Vasquez (age 58, moderate risk tolerance, \$450,000 in liquid assets, retiring in 7 years), consolidate her three existing 401(k) accounts totaling \$285,000 into a new IRA held at Meridian. The recommended IRA consisted of proprietary mutual funds carrying front-end loads averaging 4.5% and expense ratios of 1.15%, compared to her existing 401(k) holdings which had no loads and average expense ratios of 0.35%. Hendricks documented that the consolidation would provide 'simplified account management' and 'access to professional advice.' Mrs. Vasquez's investment profile indicated she sought capital preservation with modest growth, and she had no complex financial planning needs. The rollover generated approximately \$8,500 in commissions credited to Hendricks, contributing to meeting his annual production thresholds that accelerated forgiveness of additional note principal. Hendricks did not document any cost-benefit analysis comparing the existing 401(k) options to the recommended IRA, nor did he evaluate whether Mrs. Vasquez could have received similar services through her existing plan at lower cost.

Why Borderline

The recommended investments were facially suitable for the client's risk profile, but the absence of documented cost-benefit analysis for the rollover and the adviser's concurrent forgivable loan obligation create ambiguity about whether care obligations were satisfied.

Borderline Factors

- * Proprietary funds matched client's stated risk tolerance despite higher costs
- * No documentation of comparative analysis between existing 401(k) options and recommended IRA
- * Forgivable loan structure created production incentives contemporaneous with recommendation

Analysis

This scenario presents a genuine suitability tension where the adviser's forgivable loan arrangement creates economic incentives that may have influenced the rollover recommendation. On the compliance side, Hendricks could argue the recommendation was suitable because: Mrs. Vasquez had moderate risk tolerance and the proprietary funds were within that risk band; consolidation genuinely simplifies management for pre-retirees; access to ongoing professional advice has value; and the client signed disclosures acknowledging the fee structure. The recommendation was not

facially unsuitable given her profile. However, the violation argument is substantial: Reg BI's care obligation requires considering reasonably available alternatives and the costs and benefits, which Hendricks failed to document. The 0.8% annual expense differential over a 7-year horizon on \$285,000 represents approximately \$16,000 in additional costs. The forgivable note creates a structural conflict where Hendricks benefits from generating production credits, yet this conflict appears unaddressed in the suitability analysis. FINRA Rule 2111 requires a reasonable basis that the recommendation is suitable, and the absence of any comparative cost analysis for a rollover--particularly post-Reg BI--suggests inadequate diligence. The 'simplified management' rationale, while legitimate, requires substantiation when recommending higher-cost alternatives. The timing of the recommendation during Hendricks' note forgiveness period amplifies scrutiny.

Item 113 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) -- particularly the customer-specific suitability obligation requiring reasonable basis that recommendations are suitable based on customer's investment profile including risk tolerance and investment objectives; FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest's Care Obligation for recommendations made after June 30, 2020.

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially awarding 40-60% of claimed damages. The concentration level conflicts with documented objectives, but the security selection rationale and client acknowledgment provide mitigation. Panels often split the difference when documentation shows mixed signals about risk tolerance and investment objectives.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 58, was a longtime customer of Piedmont Wealth Advisors. After her husband's unexpected death in March 2022, she received a \$1.8 million life insurance payout and rolled over his 401(k) totaling \$420,000 into an IRA with the firm. Her registered representative, Daniel Reeves, had served the couple for nine years. Mrs. Chen's stated objectives were capital preservation and income generation to supplement her modest pension of \$2,100 monthly, and she indicated a moderate risk tolerance on her updated account documents.

In April 2022, Reeves recommended that Mrs. Chen invest \$650,000 (approximately 30% of her combined assets) in a single high-dividend utility stock, Consolidated Grid Holdings, which had a 5.2% dividend yield. Reeves documented that the recommendation was based on Mrs. Chen's income needs, the stock's 40-year dividend history, and its classification as a defensive sector play appropriate for volatile markets. He noted the client verbally confirmed she understood the concentration risk during their meeting.

By November 2023, Consolidated Grid Holdings had declined 38% following regulatory challenges to its rate structure and an unexpected dividend cut. Mrs. Chen's account showed unrealized losses of approximately \$247,000 on the position. She filed a complaint alleging the concentrated recommendation was unsuitable given her stated capital preservation objective and life circumstances as a recent widow dependent on these assets for retirement income.

Why Borderline

The case hinges on whether a 30% single-stock concentration can ever be suitable for a capital preservation objective, even when the security has traditionally defensive characteristics and addresses income needs.

Borderline Factors

- * Moderate risk tolerance versus capital preservation objective creates ambiguity about appropriate equity exposure levels
- * Utility stocks' historical stability versus actual concentration risk in any single security
- * Client's verbal acknowledgment of concentration risk versus documented capital preservation objective

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability requirements. Supporting a finding of unsuitability: A 30% concentration in a single equity position appears inconsistent with Mrs. Chen's stated capital preservation objective. The quantitative suitability component raises concerns about whether this level of concentration

was appropriate regardless of the individual security's characteristics. Recent widows facing retirement are typically considered vulnerable investors requiring heightened care. The customer-specific suitability analysis must consider that Mrs. Chen was dependent on these assets for supplementary retirement income, making significant volatility exposure problematic.

Supporting compliance: Reeves conducted due diligence by documenting the recommendation rationale--the utility's long dividend history, defensive characteristics, and income-generating potential. A 30% position, while concentrated, does not necessarily constitute a per se violation, and utility stocks are traditionally viewed as lower-risk equity investments. The client acknowledged understanding the concentration risk, and her moderate (not conservative) risk tolerance allowed for some equity exposure. The recommendation addressed her stated income needs with a 5.2% yield versus negligible returns on cash alternatives during that period.

The adviser's nine-year relationship suggests institutional knowledge of the client's actual risk capacity beyond documented tolerances. However, post-loss documentation scrutiny typically favors claimants when stated objectives conflict with actual recommendations.

Item 114 of 250

Topic: suitability_concentration_elderly_customer

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA guidance on concentration in single securities and recommendations to senior investors

Likely Outcome: The panel would likely find a suitability violation but potentially reduce damages based on comparative fault. While customer acknowledgments provide some defense, a 42% concentration in a single security for a 78-year-old income-dependent investor with capital preservation objectives likely exceeds what reasonable-basis and customer-specific suitability permit, regardless of the product's apparent quality. Damages may be reduced 25-40% given documented customer preferences.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 78, had been a client of Westbrook Securities since 2012. Her registered representative, Daniel Prescott, managed her \$620,000 portfolio, which constituted her entire liquid net worth. Mrs. Holloway's account documents listed her investment objective as 'income with capital preservation,' her risk tolerance as 'moderate,' and her time horizon as '5-10 years.' She received approximately \$2,400 monthly from Social Security and a small pension, and relied on her investment portfolio to supplement retirement income.

Between March 2019 and August 2020, Prescott recommended that Mrs. Holloway concentrate approximately 42% of her portfolio (\$260,000) in a single high-dividend REIT focused on commercial office properties. Prescott documented that Mrs. Holloway specifically requested high-yield investments to generate additional income, and she signed acknowledgment forms indicating she understood the concentration risk. The REIT had maintained consistent 7.2% dividend yields for seven years and held an investment-grade credit rating at the time of purchase.

In late 2020, the commercial real estate market declined sharply due to remote work trends, and the REIT suspended its dividend and lost 58% of its value. Mrs. Holloway's position declined to approximately \$109,000, representing a loss of roughly \$151,000. She filed a FINRA arbitration claim in February 2021, alleging that Prescott's recommendation was unsuitable given her age, income needs, and stated investment objectives. Prescott maintained that the recommendation was suitable based on Mrs. Holloway's explicit income needs and the REIT's strong historical performance and ratings.

Why Borderline

The case hinges on whether documented customer preference for income and signed concentration acknowledgments can justify a 42% single-security position for a 78-year-old with capital preservation objectives and limited income sources.

Borderline Factors

- * Customer's explicit documented request for high-yield investments versus her stated capital preservation objective
- * Whether a 42% concentration crosses the line for a moderate-risk-tolerance elderly client regardless of product quality
- * The REIT's investment-grade rating and stable history at time of recommendation versus sector-specific concentration risk

Analysis

Arguments supporting a suitability violation center on several factors. Mrs. Holloway's age (78) and reliance on the portfolio for retirement income suggest that a 42% concentration in a single security--regardless of its historical performance--was inconsistent with capital preservation objectives. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, and risk tolerance. A 'moderate' risk tolerance typically does not support such significant concentration risk, particularly in a sector-specific REIT vulnerable to economic shifts. The panel could find that Prescott prioritized yield over appropriate diversification for an elderly, income-dependent client.

However, arguments supporting compliance are also substantial. Prescott documented Mrs. Holloway's specific request for higher-yielding investments, and she signed concentration acknowledgment forms demonstrating informed consent. The REIT was investment-grade rated with a seven-year track record of stable dividends--not a speculative or complex product. The 42% concentration, while significant, left 58% of the portfolio in other investments. Courts and arbitration panels have generally held that customers who specifically request certain investments and acknowledge risks bear some responsibility for outcomes. Additionally, the losses stemmed from an unprecedented market disruption that could not have been reasonably anticipated.

The quantitative suitability component under Rule 2111 focuses on whether a series of recommendations is excessive, which is less applicable here. The key question is whether the single-security concentration violated reasonable-basis or customer-specific suitability despite documented customer preferences.

Item 115 of 250

Topic: suitability_of_partnership_investment_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation D private placement requirements for accredited investors; FINRA Notice to Members guidance on concentration and illiquid investments for retail customers.

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially awarding reduced damages reflecting shared responsibility. The concentration level and illiquidity are problematic for a moderate-risk retiree, but the extensive disclosure, signed acknowledgments, pension income, and compliance approval provide meaningful mitigation. A panel might find the recommendation unsuitable but reduce damages based on Hendricks' contributory responsibility in proceeding despite disclosed risks.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2021, Marcus Feldstein, a registered representative at Granite Ridge Advisors, recommended that his client, Patricia Hendricks, invest \$85,000 in Tenpath Growth Partners LP, a limited partnership focusing on early-stage technology companies. Hendricks was 58 years old, a recently retired school administrator with a pension providing \$4,200 monthly, total liquid assets of approximately \$340,000, and moderate investment experience primarily in mutual funds and blue-chip stocks. She had indicated a 'moderate growth' objective on her account documentation and a 10-year investment horizon until she planned to begin drawing down her savings.

Feldstein explained that the partnership offered potential returns of 12-15% annually but acknowledged the investment was illiquid with a 7-year lock-up period and carried substantial risk of principal loss. He provided Hendricks with the private placement memorandum and spent approximately 45 minutes reviewing the key risk factors. Hendricks signed acknowledgment forms confirming she understood the illiquidity and speculative nature of the investment. The partnership investment represented approximately 25% of her liquid net worth.

Eighteen months later, the partnership reported significant losses due to two portfolio company failures, and Hendricks filed a complaint alleging the recommendation was unsuitable given her age, moderate risk tolerance, and need for liquidity in retirement. Feldstein maintained that the recommendation was appropriate because Hendricks had stable pension income, a long investment horizon, and had expressed interest in growth-oriented investments to supplement her retirement income. Internal compliance records showed the investment had been approved through the firm's due diligence process for accredited investors meeting minimum net worth requirements.

Why Borderline

The case balances meaningful disclosure and stable alternative income against significant concentration in an illiquid, speculative investment for a near-retiree with moderate stated risk tolerance.

Borderline Factors

- * 25% portfolio concentration in single illiquid investment versus diversification expectations
- * Stable pension income reducing liquidity dependence versus retirement-stage risk capacity
- * Documented disclosure and acknowledgment versus appropriateness of the underlying recommendation

Analysis

This case presents genuine tension between documented suitability factors and reasonable concerns about concentration and liquidity risk for a near-retiree. Arguments supporting a violation include: the 25% concentration in a single illiquid, speculative investment appears excessive for a client approaching retirement; the 7-year lock-up period creates liquidity risk that conflicts with typical retirement planning needs; a 'moderate growth' objective arguably does not support substantial allocation to high-risk limited partnerships; and at age 58, the client's risk capacity may be diminishing even if her stated horizon was 10 years.

Arguments supporting compliance include: Feldstein conducted meaningful disclosure, spending 45 minutes reviewing risk factors and obtaining signed acknowledgments; the client had stable pension income covering basic expenses, reducing her dependence on the invested assets; the firm's compliance department approved the investment through established due diligence procedures; Hendricks met accredited investor standards and had expressed growth objectives; and the 10-year stated horizon theoretically accommodated the 7-year lock-up period. The documentation suggests Feldstein gathered relevant customer information and made reasonable efforts to ensure Hendricks understood the risks.

The critical question is whether a 25% allocation to an illiquid, speculative investment can ever be 'suitable' for a moderate-risk-tolerance retiree, regardless of pension income and signed disclosures. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability, and the concentration level here tests the boundaries of customer-specific suitability even with mitigating factors.

Item 116 of 250

Topic: suitability_high_net_worth_client_concentrated_position

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest Care Obligation requiring reasonable diligence and skill in making recommendations in the retail customer's best interest

Likely Outcome: A FINRA arbitration panel would likely find no suitability violation, though with possible criticism of documentation practices. The client's substantial overall wealth, demonstrated sophistication, eleven-year advisory relationship, and documented understanding of concentration risks support the adviser's position. However, the panel might note that better practice would include written acknowledgment of diversification alternatives presented and rejected, and formal risk disclosure specific to concentrated positions.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Devlin, a registered representative at Pinnacle Wealth Advisors, LLC, had served as the financial adviser to Edward Thornberry for approximately eleven years. Thornberry, age 67, was a retired executive with a net worth of \$8.2 million, annual pension income of \$185,000, and had indicated on his new account form that he had 'extensive' investment knowledge and a 'growth with moderate risk' objective. In March 2022, Thornberry inherited \$1.4 million in shares of a single technology company from his late brother's estate. Rather than immediately diversifying, Devlin recommended holding the concentrated position, noting that the stock had appreciated 34% over the previous eighteen months and that selling would trigger approximately \$280,000 in capital gains taxes. Devlin documented in his notes that Thornberry expressed strong emotional attachment to the shares given his brother's legacy and that he understood the concentration risk. Over the following fourteen months, the technology sector declined significantly, and the inherited position lost approximately \$620,000 in value. Thornberry filed an arbitration claim alleging that Devlin failed to recommend suitable diversification strategies and that maintaining a 17% single-stock concentration violated suitability standards. Devlin maintained that the recommendation was suitable given Thornberry's overall wealth, sophistication, expressed preferences, and the legitimate tax considerations.

Why Borderline

The case hinges on whether an adviser must override a sophisticated high-net-worth client's informed preference to hold a concentrated position when the client's overall portfolio diversification and financial resources arguably support the risk tolerance.

Borderline Factors

- * Client's high net worth and sophisticated investor status versus stated 'moderate risk' objective
- * Documented client preference and emotional factors versus adviser's independent duty to recommend diversification
- * Legitimate tax planning considerations versus concentration risk that could have been mitigated through alternative strategies

Analysis

This case presents genuine tension between honoring a sophisticated client's expressed wishes and the adviser's independent duty to recommend suitable investments. Supporting a suitability violation: FINRA Rule 2111 requires that recommendations have a reasonable basis and be suitable for the specific customer. A 17% single-stock concentration

in a sector-specific holding creates meaningful unsystematic risk that could have been mitigated through hedging strategies, charitable remainder trusts, exchange funds, or systematic selling over time. The client's 'moderate risk' profile arguably conflicts with maintaining such concentration, and the adviser may have over-weighted the client's emotional attachment rather than providing objective guidance. Tax efficiency alone does not justify unsuitable concentration. Supporting compliance: Thornberry was demonstrably sophisticated with extensive investment knowledge, substantial diversified assets beyond this position, and adequate income to sustain his lifestyle regardless of this holding's performance. The concentration represented only 17% of his total net worth, leaving 83% in other assets. Devlin documented the client's informed understanding of risks and his explicit preference to hold. FINRA guidance acknowledges that suitability analysis must consider the entire portfolio context, not isolated positions. Additionally, legitimate tax planning is a recognized factor in investment decision-making. The long-standing relationship suggests the adviser understood the client's true risk capacity. The question becomes whether an adviser's duty extends to overriding a sophisticated client's documented, informed preference when the overall portfolio remains reasonably diversified.

Item 117 of 250

Topic: suitability_of_illiquid_alternative_investment

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on concentration in illiquid products; firm supervisory obligations under FINRA Rule 3110

Likely Outcome: A FINRA arbitration panel would likely find in favor of the claimant and award compensatory damages, though potentially reduced for comparative fault. The concentration level exceeding internal guidelines, combined with the client's retirement status and preservation objective, creates a strong inference that the recommendation prioritized yield over appropriate risk management for this customer's profile. However, documented disclosure and client consent may mitigate damages.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2019, Gregory Thorsten, a registered representative at Ridgemont Securities LLC, recommended that his client Marcus Webb, age 62, invest \$175,000 in GWG L-Bonds, a non-traded bond product backed by life insurance policies. Webb was a recently retired manufacturing supervisor with a total liquid net worth of \$420,000, consisting primarily of his 401(k) rollover and modest savings. Webb had indicated on his new account form that he had a 'moderate' risk tolerance and a primary investment objective of 'income with capital preservation' to supplement his pension during retirement. Thorsten explained that the L-Bonds offered an attractive 8.5% interest rate and were secured by life insurance policies, emphasizing the 'asset-backed' nature of the investment. The recommendation represented approximately 42% of Webb's liquid net worth being placed into a single illiquid product with a 5-year maturity. Ridgemont Securities had conducted due diligence on the GWG offering and approved it for sale, with internal guidelines suggesting alternative investments should generally not exceed 25% of a client's liquid net worth, though exceptions could be made based on individual circumstances. Thorsten documented that Webb understood the illiquidity and wanted higher yield than CDs or Treasury bonds could provide. In April 2022, GWG Holdings filed for bankruptcy, and Webb lost substantially all of his \$175,000 investment. Webb filed a FINRA arbitration claim alleging the recommendation was unsuitable given his retirement status, concentration level, and stated investment objectives.

Why Borderline

The case involves tension between documented client consent and income needs versus concentration limits, retirement status, and stated preservation objectives that arguably conflicted with the risk profile of the recommended product.

Borderline Factors

- * Concentration significantly exceeded firm guidelines but guidelines permitted exceptions
- * Client's stated income objective arguably supports high-yield product but preservation objective conflicts with credit risk
- * Documented client understanding of illiquidity versus question of whether 62-year-old retiree should bear this concentration risk

Analysis

The suitability analysis presents legitimate arguments on both sides. Supporting a finding of unsuitability: The 42% concentration in a single illiquid alternative product significantly exceeded Ridgemont's own 25% guideline and created substantial concentration risk for a retiree dependent on these assets for income. Webb's stated objective of 'income

with capital preservation' appears inconsistent with a high-yield, illiquid product carrying meaningful credit risk. At 62 and recently retired, Webb had limited time horizon to recover from a significant loss and reduced ability to generate replacement income. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, and investment objectives. Against a violation finding: Webb affirmatively indicated moderate risk tolerance and was documented as understanding the illiquidity features. The 8.5% yield addressed his legitimate income needs in a low-rate environment when safer alternatives offered minimal returns. Thorsten documented the suitability rationale, and Ridgemont had conducted product-level due diligence. The internal 25% guideline allowed for exceptions, and Webb's pension income potentially reduced his dependence on liquid assets. The product was SEC-registered and approved by the firm's due diligence process. Additionally, hindsight bias from the GWG bankruptcy should not determine whether the recommendation was suitable at the time it was made based on then-available information.

Item 118 of 250

Topic: retirement_rollover_suitability

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Care Obligation under Exchange Act Rule 15l-1; FINRA guidance on retirement account rollovers requiring reasonable basis to believe rollover is in customer's best interest considering costs, services, and investment options

Likely Outcome: A regulatory review would likely find the recommendation problematic but not clearly unsuitable. The undocumented verbal statement about wanting better returns undermines the suitability documentation. However, absent clear evidence the representative ignored known risk tolerance, this would more likely result in supervisory concerns and enhanced documentation requirements rather than a finding of willful misconduct. An arbitration panel might find for the customer on narrow grounds related to the rollover cost analysis.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2024, Gerald Whitfield, a registered representative with Coastline Financial Partners in San Diego, met with Margaret Chen, a 62-year-old school administrator preparing for retirement in three years. Mrs. Chen had a \$387,000 401(k) with her employer that offered a stable value fund yielding 4.2% with no fees, along with low-cost index funds. Her stated objectives were capital preservation and generating modest income to supplement her pension. Whitfield recommended she roll the 401(k) into an IRA at Coastline and invest in a portfolio of actively managed mutual funds with an average expense ratio of 1.35%, plus advisory fees of 1.0% annually. Whitfield documented that the IRA would provide 'greater investment flexibility, consolidated account management, and professional oversight' compared to leaving assets in the employer plan. Mrs. Chen's risk tolerance questionnaire indicated she was 'moderately conservative' and could tolerate a maximum 10% portfolio decline. The recommended portfolio included a 15% allocation to high-yield bond funds and 25% to mid-cap growth funds, with the remainder in large-cap value and investment-grade bond funds. Whitfield noted that Mrs. Chen expressed interest in 'doing better than the plan's returns' during their initial meeting, though this was not reflected in her written investment objectives. Eighteen months later, Mrs. Chen's portfolio declined 14% during a market correction, prompting her to file a customer complaint alleging the rollover recommendation was unsuitable given her conservative profile and proximity to retirement.

Why Borderline

The case hinges on whether documented rollover rationale and verbal growth interest justify the cost increase and portfolio allocation, versus whether the written conservative profile and proximity to retirement should have constrained the recommendation.

Borderline Factors

- * Discrepancy between verbal growth interest and written conservative investment objectives
- * Total cost increase of 2.35% annually versus intangible benefits of consolidation and flexibility
- * Portfolio allocation resulting in loss exceeding stated risk tolerance during normal market volatility

Analysis

The suitability analysis here involves weighing legitimate rollover benefits against cost considerations and portfolio construction. Supporting a finding of unsuitability: The rollover increased Mrs. Chen's total annual costs from essentially zero in the 401(k) to approximately 2.35% in fees and expenses--a substantial drag on returns for a conservative

investor near retirement. The 25% mid-cap growth allocation appears aggressive for someone who indicated she could only tolerate a 10% decline and prioritized capital preservation. The 14% actual decline exceeded her stated risk tolerance. FINRA guidance emphasizes that rollovers must serve the customer's interests, not merely provide 'flexibility.' Supporting compliance: Whitfield documented specific rationale for the rollover including consolidation benefits and professional management. Mrs. Chen verbally expressed desire for better returns, suggesting some growth orientation. The portfolio was not egregiously aggressive--75% was in value stocks and bonds. Mid-cap growth funds are not inherently unsuitable for someone with a three-year timeline who may live 25+ years in retirement. Market corrections are unpredictable, and the portfolio construction was within reasonable bounds for a moderately conservative investor seeking some growth. The critical question is whether Whitfield adequately considered the cost differential and whether the verbal statement about wanting better returns should have triggered additional documentation or modified her written profile. The undocumented verbal statement creates significant ambiguity about her actual objectives.

Item 119 of 250

Topic: suitability_of_outside_investment_recommendations_for_elderly_clients

Standard: Investment Advisers Act Sections 206(1) and 206(2) (fiduciary duty and duty of care); SEC guidance on suitability requiring recommendations consistent with client's documented investment profile, risk tolerance, and investment objectives; state investment adviser conduct standards for Michigan-registered advisers

Likely Outcome: Regulators would likely find at least a technical violation of the duty of care under Sections 206(1) and 206(2), focusing on the inconsistency between documented risk tolerance and actual recommendation, and the problematic structure of directing clients to a separate entity. However, the presence of some investment rationale and the client receiving income as promised would likely result in remedial sanctions rather than severe penalties, absent evidence of intentional misconduct or self-dealing beyond normal advisory fees.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Margaret Holloway, age 78, has been a client of Beacon Wealth Advisors, an SEC-registered investment adviser, since 2018. Her investment adviser representative, Daniel Krebs, manages approximately \$420,000 in her accounts at Beacon with a documented conservative risk tolerance and income-focused objectives to supplement her Social Security and pension income. In March 2023, Krebs learned that Mrs. Holloway had an additional \$85,000 in a bank CD maturing in April. During their quarterly review, Krebs mentioned that he also operates a separate advisory practice, Krebs Financial Consulting, registered with the state of Michigan, and suggested Mrs. Holloway consider moving the CD proceeds there for investment in a portfolio of high-dividend REITs and preferred stock ETFs yielding approximately 7-8%. Krebs explained this would generate significantly more income than CD rates then available at 4.5%. Mrs. Holloway, who lives alone and relies heavily on Krebs for financial guidance, agreed to the recommendation. Krebs prepared new advisory agreements through Krebs Financial Consulting with a 1.25% annual management fee. The REIT and preferred stock portfolio was implemented in May 2023. By December 2023, the portfolio had declined approximately 12% in value due to interest rate sensitivity, though it continued generating the projected dividend income. Mrs. Holloway's daughter discovered the arrangement during a family visit and questioned whether the recommendation was appropriate given her mother's age and conservative profile documented at Beacon.

Why Borderline

The recommendation generated the promised income for an income-dependent retiree, but involved moving a conservative client's assets to a more volatile strategy outside the primary adviser's compliance structure.

Borderline Factors

- * Client's documented conservative profile versus her actual need for higher income
- * Whether income-focused but volatile securities are suitable for a 78-year-old
- * The dual-advisory structure creating potential oversight gaps versus legitimate business practices

Analysis

This scenario presents genuine uncertainty regarding whether Krebs violated his fiduciary duty and suitability obligations. Arguments supporting a violation include: (1) Mrs. Holloway's documented conservative risk tolerance at Beacon was inconsistent with a portfolio concentrated in interest-rate-sensitive securities known for price volatility; (2) at age 78, significant principal preservation should typically take priority over yield enhancement; (3) the recommendation moved assets outside Beacon's compliance oversight to Krebs's separately-owned firm, creating

potential supervisory gaps; (4) Mrs. Holloway's reliance on Krebs and her age raise concerns about whether she fully understood the risks of leaving the safety of FDIC-insured CDs; and (5) the structure resembles the problematic dual-advisory arrangement in enforcement actions where representatives manage client assets through personal entities. However, arguments supporting compliance include: (1) the REIT/preferred ETF portfolio was diversified, not speculative, and generated the promised income; (2) enhancing yield for a client dependent on investment income could serve her actual financial needs; (3) a 1.25% fee was within industry norms and the client received new disclosure documents; (4) the 12% decline occurred across the entire asset class due to macroeconomic factors, not poor security selection; (5) Krebs arguably exercised care by recommending income-producing securities rather than growth stocks; and (6) the client's overall financial picture, including \$420,000 at Beacon, may have supported some allocation to higher-yielding assets.

Item 120 of 250

Topic: suitability_of_forgivable_loan_arrangement_for_broker_transition

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest care obligation under Exchange Act Rule 15c-1; FINRA Regulatory Notice guidance on conflicts arising from compensation arrangements

Likely Outcome: Regulators would likely find suitability violations based on the totality of circumstances. The combination of compensation pressure, systematic conversions, updated risk questionnaires, and higher fees creates a pattern suggesting recommendations were driven by adviser financial interests. However, penalties may be mitigated by Coastal's compliance involvement and client consent, resulting in supervisory violations against the firm and potential sanctions against Chen for the questionnaire modifications.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2019, Coastal Wealth Partners LLC recruited Marcus Chen, a registered representative with 12 years of experience, from a regional broker-dealer. As part of his transition package, Coastal extended a \$875,000 forgivable promissory note structured over nine years, with annual forgiveness contingent on continued employment and meeting minimum production thresholds of \$425,000 in annual gross dealer concessions. Chen's book of business consisted primarily of 73 retail clients, mostly retirees with moderate risk tolerance and account values ranging from \$150,000 to \$800,000. Within the first 18 months, Chen recommended that 58 of these clients transition their existing mutual fund holdings to proprietary fee-based advisory accounts charging 1.35% annually--significantly higher than their previous commission-based arrangements averaging 0.65% in annual costs. Chen's internal communications showed he was concerned about meeting production targets to maintain loan forgiveness, and several client suitability questionnaires were updated to reflect higher risk tolerances than previously documented. Coastal's compliance department approved the account conversions after cursory review, noting the moves were 'consistent with the firm's strategic direction toward advisory services.' By late 2020, Chen had met his production thresholds, but client complaints began surfacing regarding unexpected fee increases and portfolio volatility inconsistent with their stated objectives.

Why Borderline

The central ambiguity is whether the correlation between loan forgiveness requirements and the pattern of fee-based conversions demonstrates causation of unsuitable recommendations, or merely reflects a legitimate business model transition that happened to benefit both adviser and firm.

Borderline Factors

- * Whether updated risk tolerance questionnaires reflect genuine client reassessment or documentation manipulation
- * Whether the fee increase from 0.65% to 1.35% was justified by demonstrably enhanced advisory services
- * Whether Coastal's compliance review was adequate given the systematic nature of the conversions

Analysis

This scenario presents competing considerations regarding whether the forgivable loan structure created unsuitable conflicts affecting Chen's recommendations. On the violation side, the production-based forgiveness requirements created substantial financial pressure that appears to have influenced Chen's recommendations. The pattern of converting 79% of clients to higher-cost fee-based accounts within 18 months, combined with updated risk tolerance

questionnaires, suggests recommendations driven by the adviser's compensation needs rather than client interests. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, and the systematic upgrading of risk tolerances raises red flags about whether genuine suitability analysis occurred. Additionally, the fee increases from 0.65% to 1.35% annually represent a significant cost burden that may not have been justified by enhanced services. On the compliance side, fee-based advisory accounts can provide legitimate benefits including ongoing monitoring, rebalancing, and holistic planning that commission-based arrangements may not offer. Chen's 12-year track record suggests competency, and Coastal's compliance department did review and approve the conversions. Clients ultimately signed new agreements, suggesting informed consent. The updated risk questionnaires could reflect genuine reassessment of client objectives during the transition process. Furthermore, forgivable loan arrangements are common industry practice and don't inherently create suitability violations--they only become problematic if they demonstrably drive unsuitable recommendations.

Item 121 of 250

Topic: suitability_of_managed_fund_recommendation_for_conservative_retiree

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest Care Obligation if applicable to the transaction timing

Likely Outcome: The claim would likely be decided in favor of the representative, similar to the source award. The contemporaneous documentation demonstrating that risks and strategy were discussed, combined with the moderate-conservative (not purely conservative) risk designation and the client's expressed interest in higher returns, would likely satisfy the reasonable-basis and customer-specific suitability requirements. However, a finding could go either way depending on how much weight the panel places on the capital preservation objective versus the risk tolerance designation.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2024, Mitchell Hanson, a registered representative at Crossland Wealth Advisors in Grand Rapids, Michigan, recommended that his client Dorothy Kramer, age 74, invest \$285,000 of her retirement savings into the Apex Capital Large Cap Growth Fund, a third-party managed fund with a 1.45% expense ratio and a historical volatility rating significantly higher than broad market indices. Mrs. Kramer had indicated on her account documents that she had a 'moderate-conservative' risk tolerance, a 5-7 year investment horizon, and that her primary objective was 'income with capital preservation' to supplement her Social Security and small pension. She had no prior experience with actively managed equity funds, having previously held only CDs and a diversified balanced mutual fund.

Hanson documented in his contemporaneous notes that he discussed the fund's strategy, its focus on established large-cap companies, and its potential for both growth and dividend income. He noted that Mrs. Kramer expressed interest in 'doing better than CD rates' and understood that equities carried more risk. Hanson's notes also reflected that he explained the fund was managed by a well-regarded institutional manager and that large-cap stocks were generally less volatile than small-cap or sector-specific investments.

Six months later, the fund declined 18% during a market correction, reducing Mrs. Kramer's investment to approximately \$233,700. She filed a complaint alleging the recommendation was unsuitable given her age, limited investment experience, and stated preference for capital preservation. Hanson maintained that his recommendation was reasonable given her desire for returns exceeding fixed income and her moderate-conservative (not purely conservative) risk designation.

Why Borderline

The client's risk designation was 'moderate-conservative' rather than purely conservative, creating ambiguity about whether equity exposure was appropriate, while her stated primary objective of capital preservation conflicts with the inherent volatility of an equity growth fund.

Borderline Factors

- * Tension between 'moderate-conservative' risk tolerance designation and 'capital preservation' primary objective
- * Client's expressed desire for returns exceeding CDs suggesting some risk acceptance versus her age and inexperience
- * Contemporaneous documentation of suitability discussion versus concentration of assets in a single equity fund

Analysis

This case presents genuine ambiguity regarding whether the large-cap growth fund recommendation satisfied suitability requirements under FINRA Rule 2111. Arguments supporting a suitability violation include: Mrs. Kramer's age of 74 suggests a shorter effective time horizon despite the stated 5-7 years; her primary stated objective was 'income with capital preservation,' which typically calls for fixed income or balanced allocations rather than equity-heavy positions; her lack of experience with actively managed equity funds suggests limited ability to understand and tolerate market volatility; and concentrating \$285,000 (likely a substantial portion of her liquid assets) in a single equity fund created concentration risk inconsistent with preservation goals.

However, arguments supporting the recommendation's suitability include: Hanson maintained contemporaneous documentation showing he specifically discussed the investment strategy and risks; Mrs. Kramer's risk tolerance was documented as 'moderate-conservative,' not purely conservative, suggesting some equity exposure was appropriate; her expressed desire to 'do better than CD rates' indicated willingness to accept some risk for higher returns; large-cap stocks are generally considered less volatile than other equity categories; and the 5-7 year horizon provided reasonable time to recover from short-term losses. Additionally, post-hoc analysis based on subsequent market declines does not automatically establish that a recommendation was unsuitable at the time it was made. The key question is whether Hanson's belief in suitability was reasonable given the totality of customer-specific factors known at the time of the recommendation.

Item 122 of 250

Topic: life_insurance_replacement_suitability

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); state insurance suitability regulations governing life insurance replacements; common law fiduciary duty and negligence standards.

Likely Outcome: A panel would likely find the replacement unsuitable and award damages. While the documented estate planning goals provide some defense, the combination of the elderly client's fixed income constraints, the extensive surrender period relative to her age, and the substantial commission differential suggests the recommendation prioritized the broker's financial interest over the client's overall financial security. The prudent approach would have been exploring less costly ways to address her estate goals.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, Margaret Thornton, age 71, held a Lincoln Financial universal life insurance policy she had owned for eighteen years with a death benefit of \$500,000 and annual premiums of \$4,200. Her broker, Daniel Reeves of Coastal Securities Group, recommended she replace this policy with a John Hancock indexed universal life policy featuring a death benefit of \$750,000 but requiring annual premiums of \$18,500. Mrs. Thornton was a retired teacher with a fixed pension of \$52,000 annually, \$340,000 in retirement savings, and moderate health issues including controlled hypertension. Her stated investment objective was conservative income preservation, and her primary goal was leaving funds to her two adult children.

Reeves documented that the new policy offered improved flexibility, a higher death benefit to match Mrs. Thornton's estate goals, and potential for cash value growth tied to market indices with downside protection. He noted that Mrs. Thornton had expressed concern about her existing policy's cash value stagnation and wanted to leave a larger inheritance. The surrender charges on her Lincoln policy had fully lapsed, meaning no immediate penalty for replacement.

However, the new John Hancock policy carried a fifteen-year surrender period with charges up to 12% in the first year, and the substantially higher premiums represented approximately 35% of Mrs. Thornton's annual pension income. Reeves earned a commission of \$14,800 on the new policy compared to \$0 ongoing on the existing Lincoln policy. Mrs. Thornton's son, acting under power of attorney after she developed early-stage dementia in 2023, filed a complaint alleging the replacement was unsuitable and designed solely to generate commissions.

Why Borderline

The client had documented estate planning goals supporting the higher death benefit, but the premium burden and commission differential raise legitimate concerns about whether the recommendation truly served her interests or primarily benefited the broker.

Borderline Factors

- * Premium increase consuming 35% of fixed pension income versus client's documented goal of larger inheritance
- * Fifteen-year surrender period for a 71-year-old client with health issues
- * Significant commission disparity (\$14,800 vs. \$0) creating appearance of self-interest despite documented client objectives

Analysis

This case presents competing considerations typical of life insurance replacement disputes. Supporting a finding that the recommendation was unsuitable: the dramatic premium increase from \$4,200 to \$18,500 annually consumed an outsized portion of Mrs. Thornton's fixed income, potentially jeopardizing her financial security in retirement. The fifteen-year surrender period was problematic for a 71-year-old client, effectively locking her into a product she might need to access. The commission differential of \$14,800 versus \$0 creates an appearance of self-interested motivation. Additionally, a conservative investor seeking income preservation may not need a more complex indexed product with market-linked features.

Supporting compliance: Mrs. Thornton had a documented goal of increasing her inheritance to her children, and the \$250,000 higher death benefit directly addressed this objective. Her existing policy's cash value had stagnated, a concern she raised. The Lincoln policy had no remaining surrender charges, making it an appropriate time to consider alternatives. Reeves documented the client's goals and the rationale for the recommendation. The indexed universal life structure offered downside protection consistent with her conservative profile while providing growth potential. Furthermore, Mrs. Thornton had sufficient retirement assets (\$340,000) beyond her pension to manage the premium increase if she prioritized her legacy goals.

The suitability analysis hinges on whether prioritizing death benefit enhancement over income preservation was reasonable given her overall financial picture and expressed goals, and whether the commission disparity unduly influenced the recommendation.

Item 123 of 250

Topic: erisa_prudence_annuity_selection_pension_risk_transfer

Standard: ERISA §404(a)(1)(B) prudent man standard; DOL Interpretive Bulletin 95-1 (29 CFR 2509.95-1) guidance on selecting annuity providers for pension obligations; ERISA §404(a)(1)(A) duty of loyalty

Likely Outcome: A court would likely deny a motion to dismiss, allowing plaintiffs to proceed with discovery on whether the committee's process was substantively adequate. However, ultimate liability may depend on expert testimony regarding industry standards for PRT carrier selection and whether reasonable fiduciaries would have conducted deeper investment portfolio analysis given the PE ownership structure and portfolio shift. The case may settle given litigation risk and the emerging plaintiff-friendly trend in PRT cases.

Source: 09_Law_Firm_Memos

Fact Pattern

Hartwell Manufacturing Corp. sponsors a defined benefit pension plan covering approximately 3,200 participants with \$485 million in liabilities. In March 2024, the plan's investment committee, led by CFO Margaret Chen, decided to execute a pension risk transfer transaction to eliminate the plan's ongoing funding volatility. The committee evaluated bids from four insurance carriers, ultimately selecting Pinnacle Assurance Group, which offered the lowest premium at \$467 million. Pinnacle is a relatively newer entrant to the PRT market, having been acquired by a private equity consortium in 2021. Since the acquisition, Pinnacle has shifted approximately 35% of its general account assets into alternative investments including CLOs, private credit, and infrastructure debt, compared to 12% before the PE acquisition. The committee reviewed Pinnacle's A.M. Best rating of A- (Excellent) and its state guaranty association backing, but did not retain an independent fiduciary consultant to evaluate the carrier's investment portfolio composition or conduct stress testing on Pinnacle's asset-liability matching. Committee meeting minutes reflect that members discussed Pinnacle's lower premium and noted the rating agency score, but contained no analysis comparing investment risk profiles across the four bidding carriers. Two committee members expressed concerns about the PE ownership structure but were assured by outside counsel that the A- rating satisfied regulatory expectations. The transaction closed in September 2024, transferring benefit obligations for all 3,200 participants to Pinnacle.

Why Borderline

The committee followed a facially reasonable process and selected a rated carrier, but arguably failed to conduct the substantive investment portfolio analysis contemplated by DOL guidance when selecting from among qualified bidders.

Borderline Factors

- * A.M. Best A- rating provides surface-level assurance of carrier financial strength but may not capture emerging risks from recent portfolio changes
- * DOL guidance uses permissive 'should consider' language rather than mandatory requirements for specific procedures
- * Significant cost savings from Pinnacle bid creates tension between fiduciary duty of prudence and duty of loyalty to manage plan costs

Analysis

This case presents a genuine tension between competing interpretations of ERISA's prudence standard in pension risk transfer transactions. On the compliance side, the committee can argue it followed a deliberative process: soliciting multiple bids, selecting a carrier with an investment-grade A.M. Best rating (A- being within the 'Excellent' category),

and confirming state guaranty association coverage. The DOL's Interpretive Bulletin 95-1 identifies factors fiduciaries 'should' consider but does not mandate specific procedures like independent consultant review or portfolio stress testing. The committee documented its process and the A- rating facially suggests financial stability. However, several factors support a potential prudence violation. The IB 95-1 guidance emphasizes selecting the 'safest annuity available' and instructs fiduciaries to consider the annuity provider's investment portfolio, particularly regarding diversification and quality. The committee's failure to analyze Pinnacle's 35% allocation to alternative investments--nearly triple pre-acquisition levels--or to compare investment risk profiles across carriers suggests an incomplete evaluation. Cost savings of \$18 million versus other bidders should not be the primary driver when participant benefit security is at stake. The PE ownership structure introduces additional complexity, as recent litigation has specifically targeted PRT selections involving PE-backed insurers. The absence of independent fiduciary analysis and lack of stress testing could be viewed as procedurally deficient given the materiality of transferring \$485 million in participant benefits to a carrier with a fundamentally altered investment strategy.

Item 124 of 250

Topic: reasonable_basis_suitability_private_placements

Standard: FINRA Rule 2111 (Suitability), particularly Supplementary Material .05 regarding reasonable-basis suitability and the requirement for 'reasonable diligence' proportional to the complexity and risks of the recommended security; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Likely Outcome: FINRA would likely find a reasonable-basis suitability violation. The absence of independent verification, audited financials, and background checks on principals falls below the heightened diligence standard expected for private placements under Rule 2111.05. However, the sophisticated customer base and partial diligence efforts would likely result in moderate sanctions rather than severe penalties.

Source: 03_FINRA_AWC

Fact Pattern

Meridian Capital Partners, LLC is a small introducing broker-dealer based in Miami that primarily serves high-net-worth Brazilian nationals seeking U.S. investment exposure. In September 2022, the firm began recommending a private placement offering from Verde Energy Holdings LP, a Delaware limited partnership investing in Brazilian renewable energy projects. The minimum investment was \$250,000, and the offering materials projected 12-15% annual returns over a five-year holding period.

Meridian's due diligence consisted of reviewing the private placement memorandum, conducting two phone calls with Verde's management team, and obtaining a comfort letter from Verde's outside legal counsel confirming the offering was properly structured. The firm did not independently verify Verde's claims about existing project contracts, did not review audited financials (only management-prepared projections), and did not investigate the background of Verde's principals despite their limited track record in U.S. capital markets.

Between September 2022 and March 2023, Meridian recommended the Verde placement to 18 customers, including Dr. Elena Vasquez, a 58-year-old physician with \$3.2 million in investable assets who invested \$500,000. Dr. Vasquez had a moderate risk tolerance, a 10-year investment horizon, and had previously invested in two other private placements through Meridian without issue. The firm's suitability analysis noted her sophistication, accredited investor status, and stated interest in emerging market exposure. Verde ultimately suspended distributions in late 2023 citing project delays, though it remains a going concern.

Why Borderline

The case turns on whether Meridian's mid-level due diligence--more than cursory but less than comprehensive--meets the 'reasonable' standard for complex private placements, especially when recommended to sophisticated investors.

Borderline Factors

- * Firm conducted some diligence but did not independently verify key issuer claims or obtain audited financials
- * Customers were accredited investors with relevant experience and appropriate risk profiles for illiquid investments
- * The investment has experienced difficulties but the issuer remains operational, making harm assessment uncertain

Analysis

The core question is whether Meridian's due diligence was 'reasonable' under FINRA Rule 2111's reasonable-basis

suitability obligation, particularly Rule 2111.05's requirement that the firm understand 'the potential risks and rewards associated with the recommended security.'

Arguments supporting a violation: The XP Investments precedent establishes that recommending private placements without conducting reasonable due diligence violates reasonable-basis suitability. Meridian's diligence appears superficial--relying on issuer-provided materials and a comfort letter without independent verification of key claims. The firm failed to obtain audited financials, investigate management backgrounds, or verify project contracts. For illiquid, complex offerings like private placements, FINRA expects heightened diligence proportional to the risks. The firm's familiarity with similar offerings does not excuse inadequate investigation of this specific issuer.

Arguments supporting compliance: Meridian did conduct some diligence--PPM review, management conversations, legal comfort letter--which exceeds mere rubber-stamping. The firm recommended the product only to accredited investors with appropriate risk profiles and experience with similar investments. Dr. Vasquez specifically had prior private placement experience, substantial assets, and a long time horizon suitable for illiquid investments. Verde remains a going concern despite difficulties, suggesting the investment wasn't fundamentally flawed. The firm's customer-specific suitability analysis was thorough even if product-level diligence was limited.

Item 125 of 250

Topic: suitability_of_speculative_investment_for_self_directed_customer

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2360 (Options); FINRA Regulatory Notice 11-25 regarding suitability obligations for recommended transactions versus self-directed trading; FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: The panel would likely find in favor of the respondent firm, given the self-directed nature of the account, customer's documented experience, explicit risk acknowledgments, and the fact that all trades were unsolicited. However, the firm may receive criticism for inadequate reconciliation of the options approval with stated investment objectives, potentially resulting in no monetary damages but observations about enhanced documentation practices for options approvals.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2023, Gerald Thornton, age 58, opened a self-directed brokerage account at Pacific Coast Securities LLC. Thornton had 25 years of investing experience, primarily in blue-chip stocks and index funds, and indicated on his account application a 'moderate' risk tolerance with a primary investment objective of 'capital preservation' for retirement in seven years. His liquid net worth was approximately \$1.2 million, with the new account funded at \$180,000. Over the following six months, Thornton began researching and executing trades in leveraged ETFs and options on his own initiative through the firm's online platform. In September 2023, he contacted his assigned representative, Marcus Webb, to discuss a strategy involving selling uncovered puts on volatile biotechnology stocks. Webb explained the mechanics and risks of the strategy during a 45-minute phone call, noting that substantial losses could exceed the account value. Thornton acknowledged understanding the risks verbally and in a signed options agreement addendum that upgraded his account to the highest options approval level. Between October 2023 and February 2024, Thornton executed approximately 40 uncovered put transactions, resulting in losses of \$142,000 when three biotech stocks dropped sharply following FDA announcements. Thornton filed an arbitration claim alleging Webb failed to ensure the options strategy was suitable given his stated capital preservation objective and approaching retirement.

Why Borderline

The core tension lies between the clear mismatch of documented investment objectives with the approved high-risk strategy versus the self-directed nature of the account and customer's documented experience and express acknowledgment of risks.

Borderline Factors

- * Self-directed account with customer-initiated trades versus representative's role in approving options level upgrade
- * Documented capital preservation objective conflicting with highest-risk options strategy approval
- * Customer's 25 years of experience and signed risk acknowledgments versus approaching retirement timeline

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting a potential violation: Thornton's account documentation clearly indicated 'capital preservation' as his primary objective and 'moderate' risk tolerance--facially inconsistent with selling uncovered puts, one of the highest-risk options strategies available. His retirement timeline of seven years suggests limited capacity to recover from substantial losses. Webb had

a reasonable-basis and customer-specific suitability obligation even for unsolicited trades when he approved the options level upgrade and discussed the strategy. The significant disparity between documented objectives and approved trading activity could suggest inadequate due diligence. However, substantial factors support compliance: Thornton was a sophisticated investor with 25 years of experience who initiated all trades without recommendations from Webb. The account was explicitly self-directed, and FINRA has recognized reduced suitability obligations for unsolicited transactions. Webb provided detailed risk disclosure during the 45-minute call, and Thornton executed a signed acknowledgment. The \$180,000 represented only 15% of Thornton's liquid net worth, suggesting capacity to absorb losses. FINRA guidance has emphasized that customer-initiated transactions in self-directed accounts carry different suitability considerations than recommended trades. The options approval process, while perhaps warranting additional scrutiny given the objective mismatch, included appropriate disclosures.

Item 126 of 250

Topic: suitability_of_aggressive_growth_recommendation_for_moderate_risk_profile

Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability obligation; FINRA Rule 4512 (Customer Account Information); FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: FINRA would likely find a suitability violation, concluding that Webb's allocation was inconsistent with Mrs. Henning's documented moderate profile and that verbal statements alone cannot justify such substantial deviation without formally updating the customer's investment profile. However, sanctions might be mitigated by Webb's contemporaneous documentation of the customer's expressed preferences and the presence of some conservative allocation.

Source: 13_FINRA_Rulebook

Fact Pattern

Marcus Webb, a registered representative with Pinnacle Securities Group, met with longtime client Dorothy Henning, age 67, in March 2023 to discuss repositioning her \$340,000 IRA rollover from a previous employer's 401(k). Mrs. Henning's new account documents indicated a 'moderate' risk tolerance, a 10-year investment horizon, and a primary objective of 'income with growth.' Her liquid net worth was approximately \$520,000, and she received \$2,400 monthly from Social Security. During their meeting, Mrs. Henning mentioned she was 'tired of earning nothing' in her money market account and expressed frustration about missing recent market gains. Webb documented these verbal statements in his notes.

Based on this conversation, Webb recommended allocating 65% of Mrs. Henning's IRA to a concentrated portfolio of technology sector ETFs and individual growth stocks, including several positions in unprofitable companies with high volatility. The remaining 35% was placed in investment-grade bond funds. Webb's rationale, documented in his recommendation summary, cited Mrs. Henning's expressed desire for growth, her 10-year horizon, and the fact that she had other liquid assets and guaranteed Social Security income to cover living expenses.

Over the following eight months, the portfolio declined 28%, losing approximately \$62,000. Mrs. Henning complained to Pinnacle's compliance department in December 2023, stating she never understood the risks involved and believed Webb had placed her in investments inconsistent with her moderate profile. Webb maintains that Mrs. Henning verbally authorized the aggressive approach and that her written profile, while stating 'moderate,' was outdated relative to her expressed preferences during their March meeting.

Why Borderline

The case hinges on whether documented verbal expressions can justify meaningful departures from written risk tolerance profiles, and whether Webb's allocation was within the range of reasonable professional judgment for a moderate investor with a long horizon and outside assets.

Borderline Factors

- * Conflict between written moderate risk profile and documented verbal statements expressing desire for growth
- * Customer's 10-year horizon and substantial outside assets partially supporting equity concentration
- * Degree of deviation--65% in volatile technology positions may exceed reasonable interpretation of moderate risk

Analysis

This case presents competing considerations under FINRA's suitability framework. Supporting a violation finding: Mrs.

Henning's documented risk tolerance was 'moderate' and her stated objective was 'income with growth,' yet Webb placed 65% of her retirement assets in highly volatile, growth-oriented securities more appropriate for an aggressive investor. At age 67 with retirement assets, the concentration in speculative technology positions appears inconsistent with her profile. FINRA Rule 2111 requires that recommendations be consistent with the customer's investment profile, and the documented profile here suggests a mismatch. Additionally, Webb's reliance on verbal statements to override written documentation is problematic, as firms typically require formal profile updates when customer circumstances or risk tolerance materially change.

Supporting compliance: Webb documented Mrs. Henning's verbal expressions of frustration with low returns and desire to participate in market gains. Her 10-year horizon and substantial outside assets (\$180,000 beyond the IRA plus guaranteed Social Security) could arguably support some increased equity exposure. Webb also maintained 35% in bonds, suggesting some attention to downside protection. The suitability rule permits consideration of a customer's 'entire financial situation,' and Webb's contemporaneous notes demonstrate he considered these factors. Furthermore, customer-specific suitability allows for recommendations that might seem aggressive in isolation but fit within a broader financial picture.

The critical question is whether a broker may rely on verbal expressions to deviate substantially from a documented risk profile, and whether the degree of deviation here (moderate profile, aggressive allocation) exceeds reasonable bounds.

Item 127 of 250

Topic: suitability_customer_profile_documentation_gaps

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2360 (Options) requiring assessment of customer knowledge and experience; FINRA Rule 3110 (Supervision) requiring adequate documentation of suitability determinations; FINRA Rule 2010 (Standards of Commercial Honor) as a catch-all for conduct inconsistent with just and equitable principles of trade.

Likely Outcome: A likely finding of violation based primarily on inadequate documentation of the suitability determination rather than the strategy itself being per se unsuitable. Regulators typically require clear contemporaneous documentation showing how customer profile updates were derived, especially when enabling new trading strategies. The sparse notes create an inference that proper inquiry was not conducted. Sanctions would likely include a fine and requirement for enhanced supervision, potentially with restitution depending on whether the underlying strategy is ultimately deemed unsuitable.

Source: 03_FINRA_AWC

Fact Pattern

Marcus Delgado, a registered representative at Coastal Prime Securities, had been working with client Helen Thornbury, a 58-year-old administrative assistant earning \$52,000 annually, since 2019. In March 2023, Ms. Thornbury inherited approximately \$185,000 from her late aunt and sought Delgado's advice on investing the funds for retirement. During their initial meeting about the inheritance, Ms. Thornbury mentioned she had 'gotten interested in options' after watching financial videos online and wanted to learn more about generating income from her portfolio.

Delgado updated Ms. Thornbury's customer profile to reflect 'moderate-aggressive' risk tolerance and 'good' investment knowledge, then recommended allocating \$120,000 to a portfolio of individual stocks concentrated in the technology and healthcare sectors, with the remaining \$65,000 in a covered call writing strategy on those positions. The covered call strategy was presented as generating additional income while providing some downside protection. Ms. Thornbury signed the updated account documents and option agreement without asking detailed questions.

Over the following eight months, the portfolio declined approximately 28% due to sector concentration and market volatility. Ms. Thornbury complained in December 2023 that she never truly understood the covered call strategy and believed Delgado had characterized her knowledge level inaccurately to enable the options trading. Coastal Prime's compliance review revealed that Delgado's notes from the March 2023 meeting were sparse, containing only 'client interested in options, discussed covered calls for income' with no documentation of the specific questions asked to assess her actual knowledge level or how the risk tolerance upgrade was determined.

Why Borderline

The case turns on whether expressed casual interest in options combined with signed disclosures constitutes adequate basis for a knowledge upgrade, or whether the representative had an independent duty to probe deeper given the client's profile and the gap between watching videos and actual trading competence.

Borderline Factors

- * Client affirmatively expressed options interest and signed updated account documents
- * Covered calls are considered conservative options strategies suitable for income generation
- * Documentation insufficiently captures the basis for risk tolerance and knowledge upgrades

* Significant profile upgrade coincided with receipt of large inheritance creating potential motivation concerns

Analysis

The core suitability question hinges on whether Delgado had a reasonable basis for upgrading Ms. Thornbury's risk tolerance and investment knowledge classifications, and whether the recommended strategy was appropriate given her actual profile. Several factors support a potential violation: the dramatic upgrade from her likely prior conservative profile to 'moderate-aggressive' coinciding with receipt of a large inheritance raises red flags about whether the change reflected genuine client circumstances or enabled a more lucrative trading strategy. The sparse documentation fails to demonstrate how Delgado assessed her actual options knowledge beyond casual interest expressed from watching online videos. A 58-year-old with modest income and no prior options experience receiving a concentrated equity portfolio with options overlay warrants heightened scrutiny.

However, arguments support compliance: covered call writing is generally considered among the most conservative options strategies and is often appropriate for income-focused investors. Ms. Thornbury affirmatively expressed interest in options and signed the updated account documents and options agreement. The \$185,000 inheritance represented new money that could reasonably support a different investment approach than her prior savings. Delgado did conduct a meeting to discuss the inheritance and documented the client's stated interest. The 28% loss, while significant, occurred during genuine market volatility and doesn't alone prove unsuitability at the time of recommendation.

The documentation deficiency is particularly problematic because it prevents reconstruction of whether proper suitability analysis occurred, shifting the evidentiary burden unfavorably toward the representative.

Item 128 of 250

Topic: suitability_of_concentrated_position_recommendations

Standard: FINRA Rule 2111 (Suitability) -- customer-specific suitability obligation requiring reasonable basis to believe recommendation is suitable based on customer's investment profile including age, financial situation, investment objectives, risk tolerance, and investment experience; FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: A FINRA panel would likely find partial responsibility on both parties. While Callahan documented his diversification recommendations, the panel may conclude he had an ongoing obligation to refuse to maintain a position fundamentally inconsistent with the client's documented objectives. The client's professional expertise provides some mitigation but does not fully absolve suitability obligations for retirement assets.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2019, registered representative David Callahan of Meridian Securities Group recommended that his client, Margaret Donnelly, age 67, maintain a concentrated position in telecommunications sector ETFs representing approximately 45% of her \$680,000 retirement portfolio. Mrs. Donnelly had retired two years earlier from a 32-year career as a network engineer at a major telecom company and expressed strong confidence in the sector's growth prospects during client conversations. Her investment profile indicated moderate risk tolerance, a 15-year investment horizon, and primary objectives of capital preservation with moderate growth to supplement Social Security and a small pension. Callahan documented that Mrs. Donnelly had significant professional expertise in telecommunications and specifically declined his initial suggestion to diversify, stating she 'understood the industry better than any analyst.' Over the following eighteen months, the concentrated position declined 28% during a sector downturn, while a diversified portfolio benchmark declined only 8%. Mrs. Donnelly filed a complaint alleging the recommendation to maintain such concentration was unsuitable given her retirement income needs and that Callahan failed in his duty of care. Callahan maintains he repeatedly counseled diversification but honored his client's informed preferences, pointing to contemporaneous notes of their discussions.

Why Borderline

The case hinges on whether a client's deep professional industry knowledge can justify maintaining an otherwise unsuitable concentrated position when the representative documented recommending diversification.

Borderline Factors

- * Client possessed 32 years of professional expertise in the concentrated sector
- * Representative documented recommending diversification and client's refusal
- * Investment profile explicitly stated capital preservation as primary objective inconsistent with concentration

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability requirements. Supporting a finding of violation: Mrs. Donnelly's documented investment profile emphasized capital preservation and moderate growth--objectives fundamentally inconsistent with a 45% sector concentration that introduces substantial unsystematic risk. At age 67 with retirement income needs, the customer-specific suitability prong arguably required Callahan to more forcefully resist maintaining such concentration regardless of client preferences. A moderate risk tolerance designation does not typically support concentrated sector bets. The substantial underperformance versus diversified benchmarks

demonstrates the materialized risk. However, arguments support compliance: FINRA Rule 2111 permits consideration of a customer's investment experience and knowledge. Mrs. Donnelly possessed three decades of professional telecommunications expertise, arguably giving her informed judgment about sector prospects. Callahan documented his diversification recommendations and the client's explicit declination, suggesting he fulfilled his advisory obligations while respecting client autonomy. FINRA guidance acknowledges that customers can make informed decisions to deviate from conventional diversification when they possess relevant expertise. The critical question is whether professional expertise in an industry translates to investment expertise sufficient to justify overriding otherwise unsuitable concentration, and whether documentation of client preference absolves the representative of suitability obligations.

Item 129 of 250

Topic: supervisory_responsibility_suitability_delegation

Standard: FINRA Rule 3110 (Supervision); FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); FINRA guidance on supervisory responsibility delegation and branch manager obligations

Likely Outcome: Expungement likely granted based on the documented WSP role separation and lack of direct involvement in recommendations. However, a regulatory examination might separately cite the firm for inadequate supervisory system design for failing to ensure coverage continuity. Reinholt's individual exposure is limited given the formal designation, though this represents a closer call than typical expungement matters.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Reinholt was the designated branch manager at Pinnacle Securities Group's Midtown Manhattan office from January 2019 through December 2021. In March 2020, four customer complaints were filed alleging unsuitable recommendations in high-yield bond funds and emerging market ETFs. The complaints named both the registered representative who made the recommendations, Tyler Vance, and Reinholt as branch manager. The customers--all retirees aged 68-74 with moderate risk tolerance and income-focused investment objectives--claimed they were placed into aggressive growth vehicles inappropriate for their profiles. Settlement documentation showed Pinnacle paid \$185,000 total across the four matters, with no contribution from Reinholt. Critically, Pinnacle's written supervisory procedures designated a separate 'Investment Oversight Supervisor' role held by another individual, Karen Whitfield, who was specifically responsible for reviewing account suitability and investment recommendations. Reinholt's documented responsibilities focused on administrative functions, trade surveillance for potential market manipulation, and HR matters. Whitfield had primary authority over suitability reviews but was on extended medical leave from February through May 2020, during which period no temporary coverage was formally assigned. Reinholt testified he assumed Whitfield's automated suitability screening systems remained operational and flagged issues to compliance, though he never verified this. The customers' accounts showed red flags including concentration exceeding 40% in high-yield instruments and risk scores mismatched to stated objectives.

Why Borderline

The core ambiguity lies in whether formal WSP role designations fully insulate a branch manager from suitability oversight obligations when the designated supervisor is unavailable, or whether the branch manager title carries inherent backup responsibility.

Borderline Factors

- * Written supervisory procedures explicitly assigned suitability review to another designated supervisor
- * Branch manager was aware of personnel gap but relied on assumed system functionality without verification
- * Red flags in customer accounts were visible through routine surveillance but fell outside formally assigned duties

Analysis

This case presents genuine ambiguity regarding suitability oversight responsibility when supervisory duties are formally divided. On one side supporting potential violation: Reinholt held the branch manager title, which FINRA Rule 3110 presumes carries supervisory responsibility. When Whitfield went on leave, a reasonable branch manager should have recognized the gap in suitability oversight and either assumed those duties temporarily or escalated to ensure

coverage. The red flags in customer accounts--concentration issues and risk mismatches--were apparent and should have triggered heightened scrutiny regardless of formal role assignments. A branch manager cannot simply assume automated systems are functioning without verification, particularly during personnel disruptions. On the side supporting compliance: Pinnacle's WSPs explicitly carved out suitability review from Reinholt's responsibilities and assigned them to Whitfield. FINRA guidance recognizes that firms may designate specific supervisory responsibilities to different individuals. Reinholt reasonably relied on firm procedures that assigned suitability oversight elsewhere and had no direct involvement in the investment recommendations at issue. He was not the 'associated person responsible for the function' under Rule 3110(a). The firm's failure to assign coverage during Whitfield's absence was an institutional breakdown, not Reinholt's individual supervisory failure. Settlement without contribution suggests the firm viewed Reinholt as peripherally named rather than culpable.

Item 130 of 250

Topic: suitability_of_concentrated_employer_stock_position

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2111.05 (factors for customer-specific suitability including investment profile, risk tolerance, time horizon, and liquidity needs); FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest care obligation for recommendations involving retirement assets.

Likely Outcome: A FINRA arbitration panel would likely find partial liability or a reduced damage award. While Walters documented customer preference and implemented some hedging, the extreme concentration (85%+ of liquid assets) in a single equity for a moderate-risk, near-retirement investor likely constitutes a suitability violation. However, damages may be reduced based on Chen's sophistication, her documented informed consent, and comparative responsibility. The panel may find Walters should have more forcefully recommended diversification or declined to maintain the relationship if Chen refused appropriate risk reduction.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 58, worked as a senior engineer at TechVantage Corporation for 23 years and accumulated approximately \$1.8 million in company stock through employee stock purchase plans and restricted stock awards. In March 2023, she consulted with registered representative David Walters at Piedmont Wealth Advisors about retirement planning. Chen's investment profile indicated moderate risk tolerance, a retirement goal within 7 years, and no other significant liquid assets besides a \$180,000 401(k) and \$95,000 in savings accounts. Her annual income was \$195,000. Walters recommended maintaining approximately 70% of the TechVantage position (\$1.26 million) rather than diversifying, citing the company's strong fundamentals, Chen's deep knowledge of the firm, and potential capital gains tax consequences of selling. Walters documented that Chen expressed strong emotional attachment to the stock and confidence in the company's future. He implemented a collar strategy on 15% of the position to provide some downside protection. Between March 2023 and November 2024, TechVantage stock declined 42% following an industry downturn and disappointing earnings, reducing Chen's position to approximately \$730,000. Chen filed a complaint alleging the recommendation to maintain such a concentrated position was unsuitable given her proximity to retirement, moderate risk tolerance, and lack of diversification. Walters maintains that Chen was a sophisticated investor who understood the risks and specifically rejected more aggressive diversification strategies.

Why Borderline

The case hinges on whether a broker's care obligation requires overriding a sophisticated customer's informed preference to maintain concentrated employer stock, or whether documented customer understanding and partial risk mitigation satisfy suitability requirements.

Borderline Factors

- * Customer's 23-year employment history and sophisticated understanding of the company versus objective concentration risk
- * Partial risk mitigation via collar strategy versus inadequacy of hedging only 15% of position
- * Customer's stated preference and emotional attachment versus broker's duty to recommend suitable strategies regardless of customer pressure

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability requirements. Supporting a violation finding: Chen's concentration in a single security (representing over 85% of her liquid investable assets) was inconsistent with her stated moderate risk tolerance and 7-year retirement horizon. The potential for catastrophic loss from a concentrated position poses sequence-of-returns risk that could devastate her retirement. FINRA guidance consistently warns that concentrated positions require heightened scrutiny, particularly for clients approaching retirement who cannot recover from significant losses. A moderate-risk investor typically expects diversification across asset classes. Walters may have improperly deferred to customer preference rather than fulfilling his care obligation. Supporting compliance: Chen was a sophisticated, high-earning professional with 23 years of intimate knowledge of TechVantage's business. Customer-specific suitability under Rule 2111.05 permits consideration of the customer's investment experience and actual investment profile, not just stated risk tolerance. Walters documented Chen's informed preference to maintain the position and her understanding of concentration risk. He implemented partial hedging through collars, demonstrating he addressed downside concerns. Tax consequences of immediate liquidation were legitimate considerations. Chen could have diversified through her employer's programs but chose not to. The customer's right to make informed decisions, even suboptimal ones, is recognized in suitability analysis. Walters recommended some diversification, which Chen declined to pursue more aggressively.

Item 131 of 250

Topic: suitability_of_settlement_recommendation_in_arbitration

Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability obligation under Rule 2111.05; FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade); FINRA Code of Arbitration Procedure Rule 12506 (Discovery Guide)

Likely Outcome: The underlying suitability violation would likely be found if the case proceeded to hearing, as the product recommendations were materially inconsistent with documented customer profile and objectives. However, rescinding the settlement faces higher hurdles--absent clear evidence of intentional fraud regarding coverage, arbitrators may be reluctant to reopen a closed matter. Most probable outcome is denial of rescission but potential regulatory action against the broker and firm for the original suitability violations, which remain subject to FINRA enforcement regardless of private settlement.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

In March 2023, Eleanor Whitfield, age 72, filed a FINRA arbitration claim against Beacon Ridge Securities alleging that her broker, Marcus Delano, recommended unsuitable high-yield bond funds and emerging market equities that resulted in \$285,000 in losses. Mrs. Whitfield, a retired schoolteacher with \$520,000 in total investable assets and a stated moderate-conservative risk tolerance, had indicated on her account documents that she needed income for living expenses and capital preservation. During the arbitration proceedings, Beacon Ridge's counsel represented in settlement negotiations that the firm's errors and omissions insurance policy had a \$100,000 deductible and limited remaining coverage, suggesting a \$95,000 settlement was the maximum available. Mrs. Whitfield's attorney, based on past dealings with Beacon Ridge, suspected the firm had substantially more coverage but could not obtain discovery on the insurance question under current FINRA arbitration rules. Mrs. Whitfield, facing mounting legal costs and uncertain about the firm's actual ability to pay a larger award, accepted the \$95,000 settlement in September 2023. Subsequently, through an unrelated regulatory filing, it emerged that Beacon Ridge maintained E&O coverage with a \$2 million aggregate limit and only \$175,000 in prior claims against that policy year. Mrs. Whitfield now alleges that the settlement itself was procured through material misrepresentation and that the underlying recommendations were demonstrably unsuitable.

Why Borderline

The case involves both a strong underlying suitability claim and complex questions about whether settlement based on disputed coverage representations can be unwound, creating uncertainty about both liability and remedy.

Borderline Factors

- * Voluntary settlement with legal representation typically bars subsequent claims on same facts
- * Misrepresentation of insurance coverage during settlement may constitute grounds for rescission
- * Underlying suitability violation appears clear but remedy complicated by procedural history

Analysis

This case presents intersecting questions of suitability and the adequacy of arbitration discovery that affects investor outcomes. On the underlying suitability question, the evidence strongly suggests violation: a 72-year-old retiree with moderate-conservative risk tolerance and income needs was placed in high-yield bonds and emerging market equities--products typically carrying substantial volatility and credit risk inconsistent with capital preservation objectives.

Under FINRA Rule 2111, the customer-specific suitability obligation required Delano to have a reasonable basis for believing these recommendations were suitable for Mrs. Whitfield's particular profile. The 55% loss ratio (\$285,000 on \$520,000) in products misaligned with her stated objectives presents strong evidence of unsuitability. However, the complicating factor is the settlement and subsequent discovery issue. Beacon Ridge could argue that Mrs. Whitfield voluntarily settled her claims with legal representation, waiving further recourse regardless of later-discovered facts about coverage. The firm might contend that settlement negotiations involve posturing and that representations about coverage availability do not constitute actionable fraud absent affirmative duty to disclose. Conversely, Mrs. Whitfield can argue that material misrepresentations during settlement induced her acceptance of an inadequate amount, and that the underlying suitability violations remain independently actionable if the settlement can be rescinded. The lack of insurance discovery in FINRA arbitration--the precise issue raised in the source document--directly contributed to this asymmetry of information that disadvantaged the customer.

Item 132 of 250

Topic: margin_account_suitability_for_conservative_retiree

Standard: Investment Advisers Act Section 206; Regulation Best Interest Rule 15l-1 care obligation; FINRA Rule 2111 (Suitability); FINRA Rule 2210 (communications regarding margin risks)

Likely Outcome: Likely no violation finding, with possible deficiency letter recommending enhanced disclosure practices. Regulators typically focus on actual recommendations made rather than theoretical account capabilities, and the portfolio construction was appropriate. However, Clearwater may be required to implement procedures for enhanced margin disclosure or create a non-margin account option for conservative clients.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

In March 2022, Clearwater Wealth Advisors, a dually registered investment adviser and broker-dealer based in Scottsdale, Arizona, onboarded Margaret Holloway, a 68-year-old recent retiree with \$840,000 in investable assets representing her life savings and sole retirement income source. Her investment profile questionnaire indicated 'conservative' risk tolerance, 'income and capital preservation' as primary objectives, and a 15-year investment horizon. Her adviser, Kenneth Marsh, recommended transferring her assets to Clearwater's managed account platform, which utilized a third-party clearing agent. As part of the standard onboarding process, Mrs. Holloway signed Clearwater's Customer Agreement, which included a margin account agreement section--required by the clearing agent for all accounts regardless of whether margin would be used. Marsh verbally assured Mrs. Holloway that margin would never be employed in her account and documented this in his internal notes. Over the following 18 months, no margin was utilized, and her portfolio consisted entirely of investment-grade bonds and dividend-paying blue-chip stocks appropriate for her stated objectives. In September 2023, during a routine examination, regulators questioned whether opening a margin-enabled account for a conservative 68-year-old retiree with limited financial sophistication violated Clearwater's duty of care, even though margin was never actually employed. Clearwater maintained that the margin provision was an administrative requirement of the clearing relationship and posed no actual risk to the client.

Why Borderline

The case presents tension between the technical capability embedded in standard clearing agreements and the actual investment conduct, raising questions about whether suitability analysis should focus on potential risks or realized recommendations.

Borderline Factors

- * Margin provision was a clearing agent requirement applied uniformly to all accounts, not a discretionary adviser recommendation
- * Adviser documented intention never to use margin and actual conduct over 18 months was consistent with client's conservative profile
- * Client may have lacked sophistication to understand margin risks despite signing agreement, and verbal assurances are not legally binding

Analysis

The suitability question centers on whether the mere existence of margin capability in an account creates an unsuitable recommendation, or whether suitability should be judged by actual investment conduct. Arguments supporting a violation include: the margin agreement granted Clearwater authority to execute margin transactions without additional

client consent; Mrs. Holloway's conservative profile and reliance on these assets for retirement income made any margin exposure potentially devastating; sophisticated investors might understand margin risks, but a 68-year-old retiree may not have fully comprehended the agreement she signed; and the adviser's verbal assurance was not legally binding. Arguments supporting compliance include: the margin provision was an operational requirement of the clearing relationship, not an investment recommendation; no margin was ever utilized during the 18-month period; the actual portfolio of investment-grade bonds and dividend stocks was entirely consistent with her conservative objectives; Marsh documented his commitment to avoid margin; and regulatory guidance generally focuses on recommendations actually made rather than theoretical capabilities. The analysis turns on whether 'opening a margin-enabled account' constitutes an implicit recommendation of margin use, or whether it is merely an administrative mechanism separate from investment advice. The duty of care requires that recommendations be in the client's best interest considering her financial situation, but it is unclear whether account structure constitutes a 'recommendation' in this context.

Item 133 of 250

Topic: suitability_of_recommendations_following_advisor_transition

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) principles regarding senior investor recommendations; FINRA Rule 4512 (Customer Account Information) requiring accurate profile documentation; Exchange Act Section 15(b) regarding broker conduct standards

Likely Outcome: Likely finding of suitability violation with moderate sanctions. Regulators typically scrutinize post-transition portfolio changes closely, particularly when they involve increased fees and risk for senior investors. While Chen's documentation helps, the combination of significant recruitment compensation, immediate restructuring, higher fees, and increased risk for a 72-year-old creates a pattern that examiners view skeptically. Chen may receive credit for documenting rationale but would likely be found to have prioritized new firm products over customer-specific suitability.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

In March 2023, veteran financial advisor Marcus Chen transitioned from Beacon Wealth Partners to Summit Financial Group, bringing approximately \$85 million in client assets. Among his transitioning clients was Dorothy Whitman, a 72-year-old retired teacher with a \$620,000 portfolio consisting primarily of municipal bonds and dividend-paying blue chips. At Beacon, Dorothy's account had been managed conservatively with an annual turnover ratio of approximately 12% and fee structure averaging 0.85% annually.

Upon transition to Summit, Chen received a recruitment package valued at approximately \$340,000 over four years. Within the first 90 days at Summit, Chen recommended Dorothy restructure her portfolio into Summit's proprietary managed account platform featuring model portfolios with higher equity exposure and an all-in fee of 1.35%. Chen documented that Dorothy expressed interest in 'keeping up with inflation' during their transition meeting and noted her pension provided stable income. The new allocation increased equity exposure from 35% to 55%.

Dorothy's account subsequently declined 14% during Q3 2023 market volatility. Her daughter filed a complaint alleging Chen's recommendations were driven by his recruitment incentives rather than Dorothy's conservative profile and stated 10-year time horizon. Chen maintains the recommendations were suitable given Dorothy's income security from her pension and her expressed inflation concerns, and that he left behind \$180,000 in deferred compensation at Beacon specifically because he believed Summit's platform better served his clients.

Why Borderline

The case hinges on whether documented client statements about inflation concerns sufficiently justify increased risk and fees for a conservative senior investor, or whether the recruitment incentive timing creates a presumption that recommendations were conflicted.

Borderline Factors

- * Contemporaneous documentation of client's inflation concerns versus established conservative profile
- * Pension income stability potentially supporting higher equity allocation despite age
- * Timing correlation between recruitment package receipt and portfolio restructuring

Analysis

This case presents competing narratives about advisor motivation and recommendation appropriateness. Arguments supporting a violation include: the timing of significant portfolio changes immediately following a lucrative recruitment deal raises questions about whether financial incentives influenced recommendations; increasing equity exposure by 20 percentage points for a 72-year-old with a documented conservative profile appears inconsistent with her risk tolerance and time horizon; the 50-basis-point fee increase directly benefited both the advisor and new firm; and FINRA Rule 2111 requires recommendations have a reasonable basis and be suitable for the specific customer regardless of advisor circumstances.

Arguments supporting compliance include: Chen documented a contemporaneous client conversation expressing inflation concerns, which could justify modest risk adjustment; Dorothy's pension income providing stable cash flow arguably supports slightly higher equity exposure for growth; Chen's forfeiture of \$180,000 in deferred compensation at his prior firm suggests client advocacy rather than pure financial motivation; the new allocation at 55% equity remains within reasonable bounds for a retiree with guaranteed income; and advisors are not prohibited from earning transition compensation while making suitable recommendations.

The documentation quality is central--Chen recorded Dorothy's inflation concerns, but the complaint suggests her overall conservative profile should have dominated the analysis. The fee increase and recruitment timing create circumstantial evidence of conflict, but do not alone establish unsuitability if the recommendations had independent merit for Dorothy's situation.

Item 134 of 250

Topic: suitability_of_concentrated_equity_position_for_retiring_client

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Guidance on concentrated positions emphasizing that customer consent does not satisfy suitability obligations when recommendations are otherwise unsuitable for the customer's profile.

Likely Outcome: A FINRA arbitration panel would likely find partial liability. While Harmon documented customer preferences, panels typically expect brokers to provide stronger guidance when concentration levels create risks materially inconsistent with stated objectives. The recommendation to retain 60% concentration for a moderate-risk, retirement-focused investor may be viewed as failing the reasonable-basis component of suitability, even with customer consent. However, damages may be reduced given Margaret's contributory role in the decision and Harmon's documented efforts to present alternatives.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 63, had worked at Cascade Technologies Inc. for 28 years and accumulated \$1.8 million in company stock through equity compensation plans. In March 2023, she met with David Harmon, a registered representative at Midwest Securities Partners LLC, a mid-sized broker-dealer with 340 registered representatives. Margaret indicated she planned to retire in 18 months and wanted advice on managing her concentrated position. Her investment profile documented a 'moderate' risk tolerance, retirement income as her primary objective, and a 15-year investment time horizon. She had no other significant retirement assets beyond a \$220,000 401(k) balance.

Harmon reviewed several diversification strategies with Margaret, including systematic selling programs, protective put options, and exchange funds. After discussing tax implications and Margaret's emotional attachment to the company where she built her career, Harmon documented her preference to retain approximately 60% of the Cascade stock position (\$1.08 million) while diversifying the remaining 40% into a balanced portfolio. Harmon's notes indicated Margaret believed strongly in the company's long-term growth prospects and was uncomfortable with the capital gains consequences of more aggressive diversification.

By October 2024, Cascade Technologies stock had declined 47% following disappointing earnings and industry headwinds, reducing Margaret's concentrated position to approximately \$572,000. Margaret filed an arbitration claim alleging that Harmon failed to adequately stress the risks of maintaining such a large concentrated position and that the recommendation to retain 60% was unsuitable given her imminent retirement and lack of other substantial assets.

Why Borderline

The case presents tension between respecting documented customer preferences and the broker's independent obligation to ensure recommendations align with the customer's stated risk tolerance and retirement objectives.

Borderline Factors

- * Customer's documented preference to retain concentration after reviewing alternatives
- * Disconnect between stated 'moderate' risk tolerance and inherent volatility of 60% single-stock position
- * Broker did recommend partial (40%) diversification rather than full retention
- * Client's imminent retirement timeline versus documented 15-year investment horizon

Analysis

The core suitability question is whether recommending that a pre-retiree maintain a 60% concentration in a single stock was appropriate given her documented profile and circumstances. Arguments supporting a violation include: Margaret's moderate risk tolerance and retirement income objective appear inconsistent with the volatility risk inherent in a concentrated equity position; with only \$220,000 in additional retirement assets, the concentrated position represented approximately 84% of her total investable wealth, creating substantial sequence-of-returns risk near retirement; FINRA's suitability framework requires brokers to have a reasonable basis for believing recommendations are suitable based on the customer's investment profile, and many compliance professionals would view 60% single-stock concentration as excessive for someone 18 months from retirement.

However, arguments supporting compliance are substantial: Harmon documented that he presented multiple diversification alternatives and that Margaret made an informed decision based on tax considerations and her own convictions about the company; the customer-specific suitability component allows for customer preferences when properly documented; Margaret had a 15-year time horizon (not 18 months), suggesting she understood retirement income would be drawn over decades; and Harmon's recommendation did include 40% diversification rather than complete retention. The question of whether a broker must override documented customer preferences when those preferences create concentration risk is genuinely unsettled. Harmon could argue he fulfilled his obligation by presenting options and documenting the customer's informed choice.

Item 135 of 250

Topic: suitability_of_structured_product_recommendation_to_sophisticated_investor

Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability requiring reasonable basis to believe the recommendation is suitable based on customer's investment profile including age, financial situation, risk tolerance, and investment experience. FINRA Rule 2010 (Standards of Commercial Honor). SEC Regulation Best Interest may also apply if the transaction occurred after June 30, 2020, requiring the care obligation analysis of whether the representative exercised reasonable diligence regarding concentration risks.

Likely Outcome: A FINRA arbitration panel would likely find the recommendation suitable, though potentially award limited damages. The combination of documented sophistication, aggressive stated objectives, meaningful disclosure, and client's demonstrated understanding through her questions creates a strong defense. However, the concentration level may warrant criticism, and a panel might find partial liability if it determines Hawthorne should have recommended diversifying across multiple products rather than concentrating in a single structured note.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative Daniel Hawthorne of Meridian Securities LLC recommended that his client, Patricia Delgado, invest \$485,000 in structured notes linked to a basket of emerging market equity indices. Delgado, age 58, was a retired CFO of a mid-sized pharmaceutical company with a net worth of approximately \$4.2 million and liquid assets of \$1.8 million. Her new account form indicated 'aggressive growth' as her investment objective and 'extensive' investment experience, including prior purchases of options, commodities, and international equities.

Hawthorne provided Delgado with the offering memorandum for the structured notes, which disclosed that principal was at risk if the underlying indices fell below 70% of their initial value at maturity. The notes had a five-year term and offered enhanced upside participation of 150% on index gains up to 25%. During their meeting, Delgado asked several sophisticated questions about correlation risk and barrier mechanics, which Hawthorne addressed. She signed an acknowledgment form confirming she understood the risks.

By December 2023, emerging markets had declined significantly, and two of the three underlying indices had breached their barrier levels. Delgado faced a projected loss of approximately \$218,000 at maturity. She subsequently filed a complaint alleging the recommendation was unsuitable because the concentration in a single structured product exposed her to excessive risk given her proximity to retirement and that Hawthorne failed to adequately explain the downside scenarios. Meridian countered that Delgado's documented experience, aggressive objectives, and signed risk acknowledgments demonstrated the recommendation was fully suitable.

Why Borderline

The case hinges on whether documented sophistication and aggressive stated objectives can justify concentrated exposure to a complex barrier product for a pre-retiree, or whether the representative had an independent obligation to recommend against such concentration regardless of client preferences.

Borderline Factors

- * Client's extensive documented investment experience versus proximity to retirement age
- * Signed risk acknowledgments and sophisticated questions during sale versus 27% concentration of liquid assets
- * Self-selected aggressive growth objective versus inherent asymmetric risk of barrier structured notes

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting a finding of unsuitability: the \$485,000 investment represented approximately 27% of Delgado's liquid assets and 11.5% of her total net worth, constituting meaningful concentration in a single illiquid product. At age 58, her time horizon for recovering from significant losses was limited, and structured products with barrier features carry asymmetric risk profiles that may be inappropriate regardless of stated risk tolerance. The five-year lock-up period also reduced her flexibility as she approached traditional retirement age. FINRA guidance has consistently emphasized that aggressive investment objectives alone do not automatically justify recommendations of complex, high-risk products.

Supporting compliance: Delgado possessed documented extensive investment experience including derivatives and international equities, suggesting genuine sophistication rather than mere paper qualifications. Her questions about correlation risk and barrier mechanics during the sales conversation indicate actual understanding of the product's structure. The signed risk acknowledgment, while not dispositive, evidences informed consent. Her aggressive growth objective was self-selected, not suggested by the representative. Additionally, she retained substantial assets outside this investment, maintaining diversification across her broader portfolio. The product was not leveraged and offered principal protection above the 70% barrier level.

The quantitative suitability component is not at issue, as this was a single purchase recommendation rather than a pattern of trading.

Item 136 of 250

Topic: suitability_of_conservative_rebalancing_for_aging_client

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 4512 (Customer Account Information) regarding maintenance of accurate customer records; FINRA Regulatory Notice 12-25 regarding suitability obligations for senior investors

Likely Outcome: The representative would likely prevail on suitability grounds given the client's age and documented verbal requests for reduced risk, though the firm might face criticism for inadequate documentation practices. A panel would probably find the recommendation had a reasonable basis, but the failure to update the risk questionnaire represents a procedural deficiency that could support a finding of supervisory inadequacy rather than outright unsuitability.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2021, registered representative Marcus Feldman of Keystone Wealth Partners recommended that his 78-year-old client, Dorothy Simmons, rebalance her \$640,000 portfolio from a moderate growth allocation (60% equities, 40% fixed income) to a conservative income-focused allocation (25% equities, 75% fixed income/cash equivalents). Mrs. Simmons had been a client for twelve years, and her risk tolerance questionnaire completed in 2019 indicated a 'moderate' risk profile with a 10-year investment horizon. Her stated investment objective was 'growth and income' to supplement her pension and Social Security during retirement. Mrs. Simmons's two adult sons, who held power of attorney, opposed the rebalancing, arguing that their mother had sufficient pension income to cover expenses and that the equity exposure was appropriate given her desire to leave a substantial inheritance. They claimed Feldman acted without proper consultation and ignored Mrs. Simmons's long-term wealth transfer goals. Feldman documented that Mrs. Simmons expressed increasing anxiety about market volatility after the March 2020 downturn and verbally requested 'something safer' during their February 2021 review meeting. However, no updated risk tolerance questionnaire was completed before executing the trades. The rebalancing resulted in approximately \$8,200 in transaction costs and moved assets into lower-yielding instruments that reduced Mrs. Simmons's portfolio income by roughly \$14,000 annually.

Why Borderline

The case involves tension between documented client preferences (2019 questionnaire showing moderate risk) and verbal expressions of changed risk tolerance, with family members disputing the client's true wishes.

Borderline Factors

- * Verbal client instructions versus formal documented risk profile
- * Advanced client age suggesting appropriateness of conservative allocation
- * Opposition from POA holders raising questions about client capacity or true preferences
- * Wealth transfer objective potentially conflicting with conservative rebalancing

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting the recommendation: Feldman had a reasonable basis to believe the conservative rebalancing was suitable given Mrs. Simmons's advanced age (78), her verbal expression of anxiety about volatility, and the general principle that older investors typically benefit from reduced equity exposure. The recommendation aligned with conventional retirement

planning wisdom and responded to the client's stated concerns. Feldman had a long-standing relationship with the client and could reasonably rely on her direct communications about risk tolerance. Against the recommendation: Feldman failed to document the change in risk tolerance through an updated questionnaire, creating an evidentiary gap. The 2019 questionnaire remained the most recent formal assessment and indicated moderate risk tolerance. The POA holders' objections suggest potential cognitive concerns or family dynamics that warranted additional documentation. The transaction costs and reduced income could be viewed as detrimental to a client on fixed income. Additionally, the 'growth and income' objective with wealth transfer goals arguably supported maintaining equity exposure. The customer-specific suitability analysis requires considering whether Feldman had reasonable grounds to believe the recommendation was suitable for this particular client's stated objectives, risk tolerance, and financial situation--all of which present mixed signals here.

Item 137 of 250

Topic: dpp_suitability_illiquid_alternatives

Standard: FINRA Rule 2310 (Direct Participation Programs) requiring suitability determination based on financial situation, investment objectives, and other holdings; FINRA Rule 2111 (Suitability) customer-specific and reasonable-basis obligations; Regulation BI Care Obligation requiring reasonable diligence regarding investment risks and customer profile alignment

Likely Outcome: A FINRA arbitration panel would likely find a technical suitability violation but award limited damages, as the recommendation was marginally unsuitable given the customer's inexperience and retirement proximity, though the post-investment medical emergency would not factor into damages calculation.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

In March 2024, registered representative Daniel Kowalski of Heartland Securities LLC recommended that his client, Margaret Chen (age 58), invest \$175,000 in Pinnacle Realty Partners II, LP, a non-traded direct participation program investing in commercial real estate. Mrs. Chen had accumulated approximately \$620,000 in liquid assets, primarily from a recent inheritance, and indicated on her new account form a moderate risk tolerance with a 7-10 year investment horizon. She expressed interest in income-generating investments as she planned to retire at age 65. Kowalski explained that the DPP offered projected annual distributions of 6-7% and potential appreciation, while noting the 7-year anticipated hold period and limited liquidity. He provided the prospectus and obtained her signature on the DPP-specific suitability acknowledgment. Mrs. Chen's existing portfolio consisted of mutual funds and a small 401(k), with no prior alternative investment experience. Six months after the investment, Mrs. Chen's husband was diagnosed with a serious illness requiring significant medical expenses. She requested to liquidate her DPP position but discovered the program had no active secondary market and the sponsor's share repurchase program was suspended due to high redemption demand. She filed a complaint alleging the investment was unsuitable given her retirement timeline and lack of experience with illiquid products. Kowalski maintained that at the time of recommendation, the investment aligned with her stated objectives and represented only 28% of her liquid assets.

Why Borderline

The investment parameters nominally fit Mrs. Chen's stated profile, but her inexperience with illiquid products and approaching retirement timeline create tension with the DPP's fundamental liquidity constraints.

Borderline Factors

- * Customer signed suitability acknowledgments but had no prior alternative investment experience
- * 7-year hold period aligned with stated horizon but coincided with retirement when liquidity needs typically increase
- * 28% concentration falls in gray zone between conservative and aggressive allocation to illiquid alternatives

Analysis

The suitability analysis under FINRA Rule 2310 for direct participation programs requires consideration of the customer's financial situation, tax status, investment objectives, and other investments. Supporting a finding of compliance, Kowalski obtained appropriate documentation, the investment represented a minority position in Mrs. Chen's portfolio, the 7-year hold period aligned with her stated 7-10 year horizon, and her expressed interest in income generation matched the DPP's distribution profile. The 28% concentration, while significant, does not per se violate concentration guidelines many firms establish around 10-20% for illiquid alternatives. However, several factors suggest potential unsuitability. Mrs. Chen had no prior experience with illiquid alternative investments, raising questions about

whether she truly understood the liquidity constraints despite signing acknowledgments. Her retirement in 7 years meant she would need increasing liquidity precisely when this investment would remain locked up. The absence of any emergency fund discussion or liquidity stress testing in Kowalski's analysis is concerning. Additionally, Rule 2310 requires representatives to have reasonable grounds to believe the DPP is suitable based on the customer's 'other securities holdings' - her portfolio of liquid mutual funds suggests a conservative approach inconsistent with illiquid alternatives. The unforeseen medical emergency, while sympathetic, occurred after the recommendation and cannot retroactively render a previously suitable recommendation unsuitable. The central question is whether Kowalski's point-of-sale analysis adequately weighed liquidity risk against Mrs. Chen's lack of experience and approaching retirement.

Item 138 of 250

Topic: suitability_of_aggressive_growth_strategy_for_transitioning_clients

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on documenting customer investment profiles and changes thereto

Likely Outcome: A FINRA arbitration panel would likely find partial liability, recognizing that while client consent was obtained, the adviser failed to adequately probe whether the dramatic shift was truly appropriate or driven by transient concerns about inflation and neighbor comparisons. The concentration in volatile sectors may be found excessive even for a stated growth objective. Damages would likely be reduced to reflect shared responsibility.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2023, financial adviser Marcus Thornton departed from Pinnacle Wealth Advisors to join Horizon Financial Services, bringing with him approximately 85 client relationships representing \$47 million in assets under management. Among the transitioning clients was Dorothy Hendricks, a 68-year-old retired school administrator with a \$620,000 IRA that had been invested in a moderate allocation of 60% bonds and 40% blue-chip equities at Pinnacle. During the account transfer process in April 2023, Thornton met with Hendricks and discussed repositioning her portfolio. Hendricks expressed concern about inflation eroding her retirement savings and mentioned that her neighbor had made significant gains in technology stocks. Thornton recommended shifting her allocation to 70% equities concentrated in growth-oriented technology and healthcare sector funds, with only 30% in fixed income. He documented that Hendricks verbally agreed to change her investment objective from 'income with moderate growth' to 'growth' and noted her stated 15-year time horizon until she anticipated needing the funds for long-term care. Within eight months, the portfolio declined 23% due to sector volatility, resulting in losses of approximately \$142,600. Hendricks filed a complaint alleging the recommendation was unsuitable given her age, retirement status, and prior conservative investment history. Thornton maintained that the client explicitly requested a more aggressive approach and that he honored her stated objectives and time horizon.

Why Borderline

The case hinges on whether documented client consent to change investment objectives overrides traditional age-based suitability presumptions and prior investment history.

Borderline Factors

- * Client explicitly requested more aggressive positioning and stated a 15-year time horizon
- * Dramatic allocation shift occurred immediately after adviser transition, raising questions about motivation
- * Prior conservative investment history conflicts with newly stated growth objectives

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting a finding of unsuitability: Hendricks' age (68), retired status, and dependence on the IRA for retirement income are classic indicators favoring conservative allocations. Her prior investment history at Pinnacle demonstrated a preference for moderate risk, and the dramatic shift to a growth-concentrated portfolio represents a significant departure. Sector concentration in volatile technology and healthcare stocks amplified risk beyond what a typical 'growth' objective might suggest. The timing--immediately following the adviser transition--raises questions about whether the recommendation

served the client's interests or facilitated asset movement. However, arguments support compliance: Thornton documented Hendricks' expressed concerns about inflation and her interest in equity exposure. Her stated 15-year time horizon before needing funds for care is substantial and could justify growth-oriented positioning. FINRA Rule 2111 requires consideration of the customer's stated investment objectives, and if Hendricks genuinely changed her objectives, the adviser arguably had an obligation to honor that preference. The customer's verbal agreement to change her investment objective, while not ideal documentation, does indicate consent. The 70/30 equity-to-bond ratio, while aggressive for her age, is not extreme and falls within ranges sometimes recommended for retirees with longer time horizons. The neighbor's gains comment, while potentially a red flag for emotional decision-making, doesn't automatically invalidate client consent.

Item 139 of 250

Topic: suitability_of_precious_metals_recommendation_to_senior_investor

Standard: NASAA Model Rule on Investment Adviser Fiduciary Duty requiring advisers to act in clients' best interest; Arizona Revised Statutes Title 44, Chapter 12 (Securities Act) governing investment adviser conduct; state common law fiduciary duties requiring recommendations suitable for client's age, financial situation, investment objectives, and risk tolerance

Likely Outcome: State regulators would likely find a suitability violation based on the combination of factors: the excessive 30% allocation for a 74-year-old seeking income, the failure to adequately disclose material costs and income implications, and the referral fee arrangement suggesting adviser self-interest. However, sanctions may be mitigated by Margaret's expressed interest in gold and the partial preservation of her income-generating holdings. Regulators would likely require restitution of referral fees and ongoing costs, with potential administrative sanctions against Reeves.

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Collins, age 74, had been a client of Golden Shield Wealth Advisors, a state-registered investment adviser in Arizona, since 2018. In March 2021, Margaret met with her adviser, Thomas Reeves, to discuss her \$485,000 portfolio, which consisted primarily of diversified mutual funds and Treasury bonds. Margaret expressed concerns about inflation eroding her retirement savings and mentioned she had seen television advertisements about gold as a 'safe haven' investment. Her investment profile indicated moderate risk tolerance, a 10-15 year time horizon, and primary objectives of capital preservation and income generation to supplement her Social Security.

Reeves recommended Margaret liquidate approximately \$145,500 (30%) of her portfolio to purchase physical gold and silver coins through a precious metals dealer that paid referral fees to Golden Shield. Reeves explained that precious metals would provide 'inflation protection' and 'portfolio diversification.' He provided Margaret with marketing materials emphasizing gold's historical performance during inflationary periods but did not discuss storage costs, insurance requirements, lack of income generation, or the significant bid-ask spreads typical of physical precious metals transactions. Margaret proceeded with the recommendation.

By December 2021, the precious metals had declined approximately 8% in value, and Margaret had incurred \$4,200 in storage and insurance fees. She also realized she could no longer generate the income she had been receiving from her bond holdings. Margaret's daughter, a certified financial planner, reviewed the transaction and filed a complaint with the Arizona Corporation Commission, alleging that the recommendation was unsuitable for a 74-year-old investor seeking capital preservation and income.

Why Borderline

The case involves tension between respecting client-initiated investment preferences and the adviser's fiduciary obligation to ensure recommendations align with the client's fundamental objectives of income generation and capital preservation.

Borderline Factors

- * Client initiated the inflation/gold discussion, complicating determination of whether adviser pushed unsuitable product
- * 30% allocation falls in gray zone between legitimate diversification (5-10%) and clearly excessive concentration
- * Moderate risk tolerance and 10-15 year horizon arguably support some precious metals exposure despite age

* Failure to discuss ongoing costs and income impact versus reliance on client's expressed interest

Analysis

Arguments supporting a suitability violation focus on Margaret's age, stated objectives, and the fundamental mismatch between physical precious metals and her needs. A 74-year-old investor with capital preservation and income generation objectives typically requires liquid, income-producing investments. Physical precious metals generate no income, involve ongoing storage and insurance costs that reduce principal, and carry significant liquidity constraints with wide bid-ask spreads. The 30% allocation appears excessive for a moderate-risk investor, particularly when NASAA has repeatedly flagged precious metals promotions targeting seniors as an emerging threat. The referral fee arrangement may have influenced Reeves's recommendation, though this alone doesn't establish unsuitability.

Arguments supporting compliance note that Margaret herself initiated the conversation about inflation concerns and gold investments, demonstrating investor-driven interest. A 10-15 year time horizon provides adequate runway for precious metals to potentially appreciate. Some allocation to precious metals (typically 5-10%) is recognized by mainstream investment theory as a legitimate diversification and inflation-hedging strategy. Reeves could argue that adapting recommendations to client-expressed concerns demonstrates responsiveness to client needs. The moderate risk tolerance arguably permits some allocation to assets with price volatility. Additionally, the recommendation preserved 70% of her portfolio in traditional income-generating securities.

The key question is whether the 30% allocation crossed from reasonable diversification into unsuitable concentration, and whether Reeves adequately disclosed the costs and income implications before Margaret made her decision.

Item 140 of 250

Topic: best_interest_dual_role_trustee_investment_advice

Standard: Investment Advisers Act of 1940 Section 206 fiduciary duty; SEC interpretive guidance on investment adviser duty of care requiring reasonable belief that advice is in client's best interest; state trust law duty of loyalty with settlor-authorization exception; Uniform Prudent Investor Act prudent investment standards

Likely Outcome: A regulatory examination would likely focus on whether Cornerstone documented a reasonable basis for concluding the proprietary fund was in the trust's best interest despite higher costs. Without contemporaneous analysis comparing alternatives and quantifying the administrative benefits, regulators would likely find a best interest violation under investment adviser standards, notwithstanding the trust document authorization. Settlement involving enhanced compliance procedures around affiliated product recommendations is probable.

Source: 10_Academic_Articles

Fact Pattern

Margaret Hollister, age 72, is the income beneficiary of a \$2.8 million irrevocable trust established by her late husband in 2019. The trust names Cornerstone Trust & Wealth Management as corporate trustee. Cornerstone operates both a trust administration division and a registered investment advisory arm. In March 2024, Cornerstone's trust officer, David Brennan, recommended reallocating 35% of the trust corpus from individual bonds and blue-chip equities into Cornerstone's proprietary balanced fund, the Cornerstone Growth & Income Fund. The fund charges a 1.15% expense ratio, compared to the 0.45% average cost of the existing holdings. Brennan explained that the proprietary fund offered professional management, automatic rebalancing, and reduced administrative burden for the trust. Margaret's remainder beneficiaries--her two adult stepchildren--objected, arguing the recommendation primarily benefited Cornerstone through additional fee revenue rather than serving the trust's investment needs. The trust document contains broad language authorizing the trustee to 'invest in any securities or investment vehicles, including those managed or sponsored by the Trustee,' but does not specifically address fee structures or require comparison to alternatives. Margaret herself expressed satisfaction with Brennan's explanation and the convenience of consolidated management. The stepchildren filed a complaint with the state securities division, alleging the recommendation violated fiduciary best interest standards applicable to registered investment advisers.

Why Borderline

The trust document's authorization of affiliated investments conflicts with the independent fiduciary duty analysis required of registered investment advisers, creating genuine uncertainty about whether document permissions satisfy best interest requirements.

Borderline Factors

- * Express settlor authorization for trustee-affiliated investments in governing document
- * Materially higher expense ratio without documented analysis of alternatives
- * Current beneficiary consent versus remainder beneficiary objection creates split interests

Analysis

This scenario presents a classic tension between trust law authorization and investment adviser fiduciary obligations. On one hand, Cornerstone can argue the trust instrument expressly permitted investment in trustee-affiliated products, settlor authorization being a recognized exception to strict loyalty rules under trust law. The Langbein article notes that settlor-authorized conflicts are commonplace and represent the settlor's own risk allocation. Additionally, Margaret as

current income beneficiary consented to the arrangement, and the proprietary fund's features (professional management, rebalancing) provide legitimate administrative benefits. However, the investment adviser fiduciary duty operates independently of trust document permissions. As a registered investment adviser, Cornerstone owes Margaret and the trust a duty to provide advice in the client's best interest under the Investment Advisers Act. The 70 basis point cost differential is material--approximately \$6,860 annually on the reallocated portion. The recommendation appears to serve Cornerstone's economic interest in generating proprietary fund fees. The question becomes whether the administrative convenience and management features justify the higher costs, and whether Brennan adequately analyzed lower-cost alternatives before recommending the proprietary solution. The dual fiduciary framework--trust law and investment adviser law--creates uncertainty about which standard controls when they potentially conflict.

Item 141 of 250

Topic: private_fund_investor_qualification_suitability

Standard: NASAA Model Rule on Registration Exemption for Investment Advisers to Private Funds, Section (c)(1) qualified client requirements; NASAA Model Rule on IA Fiduciary Duty; SEC Rule 205-3 qualified client definition; Colorado Securities Act fiduciary duty provisions; Uniform Securities Act Section 403 registration requirements and exemption conditions

Likely Outcome: The Colorado Division of Securities would likely find a partial violation, acknowledging technical exemption compliance while determining that the adviser's fiduciary duty of care required consideration of the investment's suitability given Whitfield's complete financial profile. A settlement requiring enhanced suitability procedures and possible restitution is probable, though outright exemption revocation is unlikely given good-faith compliance efforts.

Source: 14_NASAA_State_Enforcement

Fact Pattern

Granite Peak Capital Advisors LLC operates as a private fund adviser in Colorado under the state exemption for advisers to qualifying private funds. In March 2023, the firm launched the Granite Peak Opportunity Fund I, a 3(c)(1) fund that is not a venture capital fund. Marcus Whitfield, age 58, expressed interest in investing \$350,000. Whitfield's total net worth was \$2.4 million, including a primary residence valued at \$850,000 with an outstanding mortgage of \$320,000. His liquid investable assets totaled approximately \$1.1 million, consisting primarily of retirement accounts (\$780,000) and taxable brokerage accounts (\$320,000). Whitfield had moderate investment experience, having previously invested in mutual funds and individual equities, but had never invested in private funds or alternative investments.

Granite Peak's managing partner, Elena Vasquez, conducted an investor qualification assessment and determined that Whitfield met the qualified client standard after subtracting the value of his primary residence from his net worth. The calculation showed net worth of approximately \$1.87 million after the residence adjustment (\$2.4M - \$530,000 net home equity = \$1.87M), exceeding the \$1.1 million qualified client threshold. Vasquez provided written disclosures about fund services and duties as required. However, the firm did not conduct any additional suitability analysis regarding whether the illiquid, 7-year lockup private fund was appropriate given Whitfield's age, the concentration of his wealth in retirement accounts, and his lack of alternative investment experience.

In December 2023, Whitfield's spouse required unexpected long-term care, and he sought to liquidate his fund investment to cover expenses. Unable to access the capital, Whitfield filed a complaint with the Colorado Division of Securities alleging the investment was unsuitable given his circumstances.

Why Borderline

The adviser met all technical exemption requirements but may have violated underlying state fiduciary duties that the exemption does not explicitly address, creating uncertainty about whether exemption compliance shields against suitability-based claims.

Borderline Factors

- * Technical compliance with qualified client calculation versus holistic suitability assessment
- * Exemption statute silence on suitability obligations for private fund advisers
- * Client's age and liquidity profile versus the fund's 7-year lockup period
- * Whether state fiduciary duties apply independently of exemption requirements

Analysis

This case presents tension between technical compliance with exemption requirements and broader fiduciary suitability obligations. Arguments supporting compliance include: Granite Peak correctly applied the qualified client calculation methodology specified in the NASAA Model Rule, which explicitly requires subtracting primary residence value; the firm provided all mandated written disclosures about services, duties, and material information affecting beneficial owner rights; Whitfield's adjusted net worth of \$1.87 million exceeded the qualified client threshold, satisfying the exemption's investor protection rationale; and private fund advisers operating under this exemption are not explicitly required to conduct traditional retail suitability analyses.

Arguments supporting a violation focus on state fiduciary duty standards that may apply regardless of exemption status. Colorado, like many states, imposes fiduciary obligations on investment advisers that include a duty of care requiring advice to be in clients' best interests. A 7-year lockup representing nearly 32% of Whitfield's liquid assets, recommended to a 58-year-old with no alternative investment experience, raises questions about whether the adviser fulfilled care obligations. The concentration risk, combined with Whitfield's age and the illiquidity, suggests inadequate consideration of the investor's full financial picture and potential liquidity needs. Additionally, the NASAA Model Rule's disclosure requirements imply some ongoing duty to beneficial owners, and the failure to discuss lockup implications for someone nearing retirement could constitute a material omission.

The exemption's silence on suitability analysis does not necessarily preempt underlying fiduciary duties that attach to the adviser-client relationship.

Item 142 of 250

Topic: mutual_fund_to_variable_annuity_switch_suitability

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) requiring reasonably designed supervisory systems and written supervisory procedures

Likely Outcome: FINRA would likely find a suitability violation and supervisory deficiency, though sanctions might be moderate given the compliance review process that occurred. The substantially identical rationales and cost increases in qualified accounts present strong evidence of inadequate individualized analysis. The firm's approval process, while present, would likely be deemed not reasonably designed because it failed to scrutinize the lack of tax-deferral benefit in qualified accounts. Restitution of excess fees and moderate fines would be expected.

Source: 03_FINRA_AWC

Fact Pattern

Greenfield Financial Services, a mid-sized broker-dealer based in Minneapolis, employed registered representative Thomas Brennan, who had been in the industry for 22 years. Between March 2022 and August 2023, Brennan recommended that seven of his longtime clients liquidate their existing Class A mutual fund portfolios to purchase investment-only variable annuities. The affected clients ranged in age from 58 to 71, with moderate risk tolerances and investment horizons of 10-20 years. The mutual fund portfolios being liquidated had total values ranging from \$145,000 to \$380,000 per client, with weighted average expense ratios of approximately 0.72% annually.

The variable annuities Brennan recommended carried mortality and expense charges of 1.15% plus underlying fund expenses averaging 0.65%, resulting in total annual costs approximately 1.08% higher than the existing mutual fund holdings. Brennan documented in each client file that the variable annuities offered tax-deferred growth, guaranteed death benefits, and optional living benefit riders that could provide income guarantees in retirement. However, five of the seven clients held their investments in qualified retirement accounts where tax deferral was already present, and only two clients elected any optional riders.

Brennan's written rationales for each recommendation were substantially similar, noting 'consolidation benefits' and 'retirement income planning flexibility.' The clients collectively would pay an estimated \$47,800 in additional annual fees compared to maintaining their mutual fund positions. Greenfield's compliance department had approved the transactions after reviewing Brennan's documentation, noting that each client had signed acknowledgment forms indicating they understood the fee differences and product features.

Why Borderline

The case hinges on whether documented client acknowledgments and compliance approval can overcome the inference of unsuitability created by uniform recommendations, significant cost increases, and redundant tax-deferral in qualified accounts.

Borderline Factors

- * Clients signed acknowledgment forms demonstrating awareness of fee differences
- * Firm compliance reviewed and approved each transaction rather than failing to supervise entirely
- * Variable annuity features like death benefits and optional riders have legitimate value even if not immediately utilized

Analysis

Arguments supporting a suitability violation center on the significant cost differential and the questionable benefit to clients in qualified accounts. The 1.08% annual cost increase represents a substantial drag on returns, and for clients already in tax-advantaged accounts, the variable annuity's tax-deferral feature provides no incremental benefit--a classic red flag identified in FINRA guidance. The substantially identical rationales across seven different clients suggest Brennan failed to conduct individualized suitability analyses as required under FINRA Rule 2111's reasonable-basis and customer-specific suitability components. The fact that only two clients elected optional riders undermines the justification that living benefits drove these recommendations.

However, arguments supporting compliance exist. Variable annuities with guaranteed living benefit riders can legitimately address sequence-of-returns risk for clients approaching retirement, even if riders weren't immediately elected--clients may add them later. The death benefit guarantees provide estate planning value regardless of account type. Brennan documented his rationale, clients received and signed fee comparison disclosures, and the firm's compliance department reviewed and approved each transaction. The clients' ages and moderate risk tolerances could support a shift toward products with downside protection features, and consolidation onto a single platform may genuinely simplify portfolio management.

The supervisory question is also nuanced. Greenfield did conduct reviews, unlike firms that entirely fail to supervise. Whether those reviews were 'reasonably designed' depends on whether compliance meaningfully analyzed the cost-benefit tradeoff or merely rubber-stamped Brennan's documentation.

Item 143 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 4512 (Customer Account Information) regarding documentation of investment profile

Likely Outcome: A FINRA arbitration panel or enforcement action would likely find a suitability violation, reasoning that a 45% concentration in a single volatile stock was inconsistent with the documented moderate risk tolerance and capital preservation objective, particularly given the client's limited experience and retirement timeline. However, damages may be reduced by comparative negligence given the client's expressed enthusiasm.

Source: 13_FINRA_Rulebook

Fact Pattern

In March 2023, registered representative David Mercer of Bridgewater Securities LLC met with client Harold Dennison, a 58-year-old manufacturing plant supervisor with a household income of \$95,000 and liquid net worth of approximately \$340,000, primarily held in a 401(k) from his current employer. Dennison expressed interest in early retirement within five years and told Mercer he wanted 'growth but nothing too crazy.' His new account form indicated moderate risk tolerance and a primary investment objective of growth with capital preservation secondary. Dennison had limited investment experience, having only participated in his employer's target-date fund. Mercer recommended that Dennison roll over \$280,000 from his 401(k) into an IRA at Bridgewater and invest 45% of the rollover (\$126,000) into shares of a single mid-cap technology company, Nextera Solutions Inc., which Mercer believed was undervalued based on his own research. The remaining 55% was allocated across three diversified mutual funds. Mercer documented that Dennison verbally expressed enthusiasm about Nextera after Mercer explained its growth potential, though the client never initiated the idea. By October 2023, Nextera had declined 38%, reducing Dennison's concentrated position to approximately \$78,000. Dennison filed a complaint alleging the recommendation was unsuitable given his time horizon, risk tolerance, and retirement objectives.

Why Borderline

The 45% concentration falls into an ambiguous zone--clearly aggressive for the stated profile but not so extreme as to be per se unsuitable, with competing factors of documented client enthusiasm versus limited sophistication.

Borderline Factors

- * 45% single-stock concentration versus moderate risk tolerance documentation
- * Client's verbal enthusiasm versus adviser-initiated recommendation
- * Five-year retirement horizon with 55% remaining in diversified funds

Analysis

The central question is whether recommending a 45% concentration in a single mid-cap stock was suitable for a client with moderate risk tolerance, limited investment experience, and a five-year retirement horizon. Arguments supporting a violation include: the concentration level significantly exceeded typical diversification standards for moderate-risk investors; FINRA Rule 2111 requires that recommendations be suitable considering the customer's investment profile including time horizon, risk tolerance, and investment experience; Dennison's documented objectives emphasized both growth and capital preservation, which a concentrated single-stock position inherently threatens; and his limited investment experience meant he may not have fully understood concentration risk despite verbal enthusiasm.

Furthermore, the recommendation appears to have been adviser-driven rather than customer-initiated. Arguments supporting compliance include: Dennison did have a moderate risk tolerance rather than conservative, which permits some equity concentration; 55% of the portfolio remained diversified in mutual funds, providing meaningful downside protection; the client verbally expressed enthusiasm and understanding, suggesting informed consent; mid-cap technology companies, while volatile, are not inherently unsuitable for growth-oriented investors; and the five-year horizon, while relatively short, is not so immediate as to preclude equity exposure entirely. Additionally, Mercer documented his research basis and the client's affirmation.

Item 144 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest care obligation under Exchange Act Rule 15l-1 if applicable

Likely Outcome: A FINRA arbitration panel would likely find the recommendation unsuitable, given the significant disconnect between the concentration level and the customer's documented profile. However, damages might be reduced based on customer's expressed interest and informed consent, and the panel might find Webb acted in good faith even if the recommendation was ultimately unsuitable. Expungement would likely be denied given the substantive suitability concerns.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Webb, a registered representative at Pinnacle Wealth Advisors, served as the broker for longtime client Eleanor Hastings, a 72-year-old retired school administrator with a \$1.2 million portfolio. In March 2024, Webb recommended that Hastings allocate \$180,000 (15% of her portfolio) to shares of a regional bank stock, Coastal Community Bancorp, which Webb believed was significantly undervalued following the 2023 regional banking crisis. Hastings' investment profile indicated 'moderate' risk tolerance, a 10-year time horizon, and primary objectives of income generation and capital preservation for retirement. Webb documented that Hastings had expressed interest in bank stocks after reading news articles about the sector's recovery potential. The recommendation increased her existing Coastal Community position from 8% to 23% of her total portfolio. Webb conducted fundamental analysis showing the bank's strong capital ratios and provided Hastings with research materials before she approved the purchase. Six months later, Coastal Community's stock declined 35% following unexpected commercial real estate loan losses, resulting in approximately \$63,000 in unrealized losses. Hastings filed a customer complaint alleging the concentrated position was unsuitable given her age, stated objectives, and moderate risk tolerance. Webb maintains the recommendation was appropriate based on his analysis, the customer's expressed interest, and what he characterized as her actual higher risk tolerance demonstrated through prior trading history that included occasional individual stock purchases.

Why Borderline

The case hinges on whether documented customer interest and prior trading behavior can justify a concentrated position that facially conflicts with stated investment objectives and risk tolerance, and whether the representative properly reconciled these competing indicators.

Borderline Factors

- * Customer's expressed interest in bank stocks versus documented moderate risk tolerance and capital preservation objectives
- * Whether prior trading history demonstrating occasional individual stock purchases can override formal risk profile documentation
- * Whether a 23% single-stock concentration can ever be suitable for a 72-year-old retiree regardless of other factors

Analysis

The suitability analysis presents competing considerations. Supporting a potential violation: A 23% concentration in a single bank stock for a 72-year-old retiree with stated capital preservation objectives and moderate risk tolerance raises significant concerns. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment

profile, including age, financial situation, risk tolerance, and investment objectives. The regional banking sector remained volatile post-2023 crisis, and concentrating nearly a quarter of a retiree's portfolio in a single-sector equity conflicts with diversification principles typically aligned with capital preservation goals. The documented 'moderate' risk tolerance suggests the position size was excessive regardless of the underlying security's individual merits. Supporting compliance: Webb conducted documented due diligence on the investment, provided research materials, and obtained customer approval. The customer expressed specific interest in bank stocks, potentially indicating informed consent. Prior trading history showing occasional individual stock purchases could demonstrate actual risk tolerance exceeding the documented 'moderate' level. A 15% incremental allocation, while increasing concentration, was not inherently unreasonable if the customer understood and accepted the risks. The losses resulted from unforeseeable commercial real estate exposure, not from an obviously imprudent recommendation at the time it was made. Webb's fundamental analysis showed reasonable basis for the recommendation when made.

Item 145 of 250

Topic: treasury_securities_suitability_for_conservative_investors

Standard: FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); consideration of customer investment profile factors under Rule 4512 including time horizon, risk tolerance, and investment objectives

Likely Outcome: A regulatory finding of suitability violation is probable but with mitigated sanctions. While Treasuries are appropriate for conservative investors generally, the specific recommendation of long-duration instruments without adequate explanation of interest rate risk, combined with the duration/horizon mismatch, likely fails the reasonable-basis and customer-specific suitability components. However, the adviser's good-faith belief in Treasury safety and the lack of actual credit risk may result in a cautionary letter or minimal fine rather than severe sanctions.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Kowalski, age 71, is a retired school administrator with a \$650,000 portfolio at Clearwater Financial Services. Her account documents from March 2020 indicate a conservative risk tolerance, moderate income needs, a 10-year investment horizon, and limited investment experience beyond CDs and savings bonds. During the extreme Treasury market volatility in mid-March 2020, her adviser, Daniel Reeves, recommended she invest \$175,000 (approximately 27% of her portfolio) in a mix of long-duration Treasury securities with maturities ranging from 20 to 30 years, citing their 'risk-free' nature as U.S. government obligations.

Reeves explained that Treasury securities were the safest possible investment and would provide steady income for Margaret's retirement needs. He did not extensively discuss interest rate risk or the significant price volatility that long-duration Treasuries experience when rates change. Within eight months, as Treasury yields rose from historic lows, Margaret's Treasury holdings declined in market value by approximately \$28,000, representing a 16% loss on that portion of her portfolio.

Margaret filed a complaint alleging the recommendation was unsuitable given her conservative profile and income needs. Clearwater's compliance department reviewed the matter, noting that while Treasuries are indeed backed by the full faith and credit of the U.S. government, the 20-30 year duration created substantial interest rate sensitivity inconsistent with Margaret's stated 10-year horizon. However, the firm also noted that Margaret received all promised coupon payments and would receive full principal if held to maturity.

Why Borderline

The case involves a genuinely safe asset class (Treasuries) recommended in a manner (long duration) that created risk inconsistent with the client's profile, raising questions about whether product safety alone satisfies suitability requirements.

Borderline Factors

- * Duration mismatch between 20-30 year Treasuries and client's 10-year stated horizon
- * Inherent tension between Treasury securities' credit safety and their interest rate sensitivity
- * Whether adviser adequately explained interest rate risk despite emphasizing 'risk-free' nature

Analysis

This case presents competing considerations regarding suitability of Treasury securities for a conservative investor. Arguments supporting a violation include: (1) the mismatch between the 20-30 year duration and Margaret's stated 10-year investment horizon created unnecessary interest rate risk; (2) concentrating 27% of a conservative portfolio in long-duration instruments during a period of historically low rates and extreme volatility seems imprudent; (3) the adviser's characterization of Treasuries as simply 'risk-free' without adequate discussion of interest rate sensitivity may have been misleading; and (4) a 16% decline is inconsistent with a conservative investor's reasonable expectations.

Arguments supporting compliance include: (1) U.S. Treasury securities are objectively among the safest investments available, backed by the full faith and credit of the government; (2) Margaret will receive all coupon payments and full principal at maturity, meaning no actual loss occurs if held long-term; (3) during the March 2020 crisis, many advisers reasonably fled to Treasuries as a flight-to-quality trade; (4) recommending government securities to a conservative investor is textbook conservative advice; and (5) the suitability analysis focuses on the time of recommendation, when Treasuries appeared prudent given market turmoil.

The core tension is whether suitability analysis should focus solely on credit risk (where Treasuries excel) or must also consider duration mismatch and interest rate sensitivity relative to the client's specific profile and time horizon.

Item 146 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentrated positions and suitability obligations

Likely Outcome: A FINRA arbitration panel would likely find partial liability, concluding that while maintaining the inherited position with proper documentation may have been defensible, the affirmative recommendation to purchase additional shares crossed the line into unsuitable advice. Damages would likely be limited to losses attributable to the additional purchase rather than the entire concentrated position.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2019, registered representative Marcus Thornton of Beacon Harbor Securities recommended that his client, Dorothy Castillo (age 67, retired schoolteacher), maintain and add to her concentrated position in a single technology stock that comprised 62% of her \$485,000 portfolio. Mrs. Castillo had inherited 3,500 shares of TechVantage Inc. from her late husband in 2017, and the position had appreciated significantly. Her investment profile indicated moderate risk tolerance, a 10-year time horizon, income generation as her primary objective, and she relied on the portfolio for approximately 40% of her living expenses through periodic withdrawals.

Thornton documented that Mrs. Castillo had expressed strong emotional attachment to the TechVantage shares due to her husband's career at the company and repeatedly stated she did not want to sell. He recommended purchasing an additional 500 shares in April 2019 when the stock declined 18%, characterizing it as 'dollar-cost averaging into a quality name she knows well.' Thornton's notes reflected that he discussed diversification risks on three separate occasions but that the client declined his suggestions to reduce the position through systematic selling.

By November 2020, TechVantage had declined 54% from its peak, reducing Mrs. Castillo's portfolio to approximately \$290,000. She filed a complaint alleging that Thornton should have been more forceful in recommending diversification and that the recommendation to purchase additional shares was unsuitable given her age, income needs, and concentration risk. Beacon Harbor's supervisory review found that Thornton had documented the concentration discussions and obtained signed acknowledgments from Mrs. Castillo regarding the risks.

Why Borderline

The case hinges on whether documented client insistence on maintaining a concentrated inherited position, combined with disclosed risks, can satisfy suitability requirements when the objective characteristics of the client's profile suggest the position is inappropriate.

Borderline Factors

- * Client's repeated documented refusals to diversify despite risk discussions
- * Emotional and tax considerations from inherited position versus objective suitability criteria
- * Active recommendation to increase concentration versus passive maintenance of existing position

Analysis

This case presents genuine tension between respecting client autonomy and the broker's independent suitability

obligation. Supporting a finding of unsuitability: FINRA Rule 2111 requires that recommendations be suitable regardless of client preferences, and a 62% concentration in a single equity--later increased--appears facially inappropriate for a 67-year-old retiree dependent on the portfolio for income. The recommendation to purchase additional shares actively increased concentration risk rather than merely maintaining the status quo. A moderate risk tolerance rating and income objective are arguably inconsistent with the volatility inherent in such concentration. The broker's duty is not merely to disclose risks but to refrain from unsuitable recommendations even when clients express preferences for those recommendations.

Supporting a finding of compliance: Thornton documented multiple conversations about diversification risks and obtained acknowledgments. The inherited position created legitimate tax and emotional considerations that reasonably informed the client's reluctance to sell. The additional purchase represented only a modest incremental increase to an already-concentrated position the client was determined to keep. FINRA guidance recognizes that customer-specific factors, including stated preferences and understanding of risks, are relevant to suitability determinations. The broker attempted to recommend diversification and documented the client's informed rejection of that advice.

The supervisory structure appears adequate, with documented reviews and acknowledgments, but the question remains whether documentation of client preferences can ever cure an objectively unsuitable recommendation to a vulnerable client.

Item 147 of 250

Topic: suitability_of_concentrated_sector_recommendation_for_retiree

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); firm supervisory obligations under FINRA Rule 3110

Likely Outcome: Probable finding of suitability violation with moderate sanctions. FINRA panels typically give greater weight to documented account profiles than informal customer statements, particularly when the customer lacks sophistication and the allocation materially exceeds firm guidelines. Chen's reliance on casual conversation to justify departing from Mrs. Holloway's documented risk tolerance, combined with her financial vulnerability, likely tips toward violation despite the documentation of her technology interest.

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Margaret Holloway, age 68, retired from her position as an elementary school teacher in March 2022 with a \$485,000 rollover IRA representing her entire retirement savings. She met with registered representative David Chen of Meridian Wealth Partners in April 2022, completing an account application indicating 'moderate' risk tolerance, a 15-20 year investment time horizon, and income generation as her primary objective. She disclosed that her only other income was \$2,100 monthly from Social Security and a small \$650 pension. During the meeting, Mrs. Holloway mentioned she had read several articles about artificial intelligence transforming education and expressed casual interest in technology investments.

Based on their discussion, Chen recommended allocating 45% of her portfolio (\$218,250) to a concentrated position in technology sector ETFs, including funds focused on semiconductor manufacturers and AI-related companies. He documented in his notes that Mrs. Holloway 'expressed strong conviction in technology sector growth' and 'understood the volatility associated with sector concentration.' The remaining 55% was allocated to investment-grade bond funds and dividend-paying equities. Chen's firm's suitability guidelines suggested retirees with moderate risk tolerance typically maintain technology sector exposure below 25%.

By December 2022, the technology portion of Mrs. Holloway's portfolio had declined 38%, reducing her total account value to approximately \$402,000. She filed a complaint alleging the recommendation was unsuitable given her reliance on the account for retirement income. Chen maintains that Mrs. Holloway specifically requested technology exposure and that he appropriately documented her investment objectives and risk acknowledgment.

Why Borderline

The case involves tension between a customer's documented conservative profile and her verbally expressed investment interest, raising questions about which should control the suitability determination when they conflict.

Borderline Factors

- * Conflict between formal account documentation (moderate risk/income focus) and adviser's notes of customer's verbal technology enthusiasm
- * Allocation exceeded firm guidelines but did not constitute complete abandonment of diversification principles
- * Customer's 15-20 year time horizon arguably supports some growth allocation despite current income needs

Analysis

The suitability analysis presents competing considerations. Supporting a violation finding: Mrs. Holloway's formal account documentation indicated moderate risk tolerance and income generation as her primary objective, which typically counsels against concentrated sector positions. A 45% allocation to volatile technology stocks significantly exceeded her firm's internal guidelines for retirees (25% maximum). Her financial profile--complete dependence on this IRA plus modest Social Security and pension income--suggests limited capacity to absorb substantial losses. FINRA Rule 2111's reasonable-basis and customer-specific suitability components require advisers to look beyond momentary customer enthusiasm to underlying financial circumstances.

Supporting compliance: Chen documented Mrs. Holloway's expressed interest in technology investments and her acknowledgment of associated volatility. The customer-specific suitability analysis under Rule 2111 considers stated investment objectives, and if Mrs. Holloway genuinely communicated strong technology conviction, Chen arguably honored her expressed preferences. Her 15-20 year time horizon provides runway for recovery from short-term volatility. The remaining 55% in bonds and dividend stocks maintained meaningful diversification. FINRA guidance recognizes that customers may legitimately choose investments with higher risk profiles when they understand the implications.

The critical question is whether Chen adequately weighed Mrs. Holloway's documented moderate risk tolerance and income needs against her casual expression of technology interest, and whether brief conversational enthusiasm constitutes sufficient basis to override established risk parameters for a client with no financial cushion.

Item 148 of 250

Topic: suitability_of_complex_product_recommendation_with_adequate_disclosure

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Rule 15l-1 care obligation; FINRA Regulatory Notice guidance on leveraged and inverse ETFs emphasizing short-term holding periods; Investment Advisers Act Section 206 fiduciary duty if advisory relationship exists

Likely Outcome: A regulatory finding of suitability violation is more likely. Despite robust disclosure efforts, FINRA guidance has consistently emphasized that leveraged ETPs are generally unsuitable for long-term holding regardless of disclosure quality. The recommendation to hold a daily-reset leveraged product for 10-15 years contradicts the product's fundamental design, and disclosure cannot cure a structurally unsuitable strategy. The concentration level further supports violation.

Source: 10_Academic_Articles

Fact Pattern

In March 2023, registered representative Daniel Marsh of Pinnacle Securities Group recommended that client Eleanor Vance, age 58, invest \$185,000 of her \$420,000 retirement savings into a leveraged exchange-traded product (ETP) that sought 2x daily returns of the S&P 500 index. Mrs. Vance was a retired school administrator with moderate investment experience--she had previously owned index mutual funds and some individual stocks over a 20-year period. Her stated investment objective was 'growth with moderate risk,' and her investment timeline was 10-15 years until she would need to draw on these funds. Marsh documented in his notes that he spent 45 minutes explaining the product's mechanics, including volatility decay, daily reset features, and the risks of holding leveraged products for extended periods. He also provided Mrs. Vance with the product's prospectus and a supplemental risk disclosure document specific to leveraged ETPs that Pinnacle required for such recommendations. Mrs. Vance signed acknowledgment forms confirming she understood the product's risks and that it was designed for short-term tactical use rather than long-term holding. However, Marsh recommended she hold the position as part of a 'buy and hold' strategy, reasoning that over her 10-15 year horizon, the 2x leverage would compound her returns favorably in a generally rising market. By January 2024, despite the S&P 500 gaining 12% over the period, Mrs. Vance's leveraged ETP position had only gained 4% due to volatility decay, significantly underperforming her expectations and the underlying index.

Why Borderline

The case hinges on whether thorough disclosure and client acknowledgment can render suitable a product recommended in a manner contrary to its design and intended use, particularly when the client's profile otherwise suggests moderate risk tolerance.

Borderline Factors

- * Extensive documentation of risk disclosures and client acknowledgments versus fundamental mismatch between product design and recommended holding strategy
- * Client's 20-year investment experience versus her moderate risk tolerance and retirement-focused objectives
- * Growth objective potentially accommodating aggressive positions versus 44% concentration in single leveraged product

Analysis

This case presents competing considerations around the suitability of a complex leveraged product recommendation. Arguments supporting a violation include: (1) leveraged ETPs are explicitly designed for short-term trading, not

buy-and-hold strategies, as stated in product disclosures and widely understood in the industry; (2) recommending a 10-15 year holding period for a product subject to daily reset and volatility decay fundamentally contradicts the product's intended use; (3) Mrs. Vance's 'moderate risk' profile and retirement-focused timeline suggest she was not an appropriate candidate for speculative leveraged products; and (4) allocating 44% of retirement assets to a single leveraged product represents excessive concentration regardless of client sophistication. Arguments supporting compliance include: (1) Marsh provided extensive verbal explanation and written disclosures about product risks, fulfilling transparency obligations; (2) Mrs. Vance had 20 years of investment experience and signed acknowledgments demonstrating informed consent; (3) her 'growth' objective could reasonably accommodate higher-risk positions; and (4) the client's 10-15 year timeline arguably provided room to weather short-term volatility. The critical tension lies in whether adequate disclosure and client consent can cure a fundamentally unsuitable recommendation strategy. The academic literature on disclosure effectiveness, including the RAND research, suggests that even well-executed disclosures may not compensate for recommendations that are structurally inappropriate for a client's circumstances.

Item 149 of 250

Topic: suitability_of_variable_annuity_exchange_recommendation

Standard: FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities), specifically 2330(b)(1)(A) requiring consideration of whether the customer would benefit from product features and enhancements; FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: A regulatory review would likely result in a finding of suitability violation with focus on procedural deficiencies rather than substantive unsuitability. The failure to complete the exchange comparison worksheet before the transaction is a clear violation of FINRA Rule 2330(b)(1)(A), which requires reasonable diligence to understand the terms of both annuities. While the substantive suitability question is closer, the documentation failure undermines the representative's ability to demonstrate a reasonable basis existed at the time of the recommendation.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, Gregory Thornton, a registered representative with Allegheny Financial Partners, recommended that his client Margaret Kowalski, age 58, exchange her existing variable annuity valued at \$287,000 for a new variable annuity offered through a different insurance carrier. Mrs. Kowalski was a recently widowed school administrator with moderate investment experience, a stated moderate risk tolerance, a 10-year investment horizon until planned retirement, and approximately \$420,000 in total liquid assets. Her existing annuity had been held for 4 years and still carried a 3% surrender charge (\$8,610 in surrender fees). The new annuity offered a guaranteed lifetime withdrawal benefit rider with a 5% withdrawal rate, compared to her existing annuity's 4.5% withdrawal rate, but came with higher annual fees (2.1% total versus 1.7% on the existing contract) and a new 7-year surrender period. Thornton documented that Mrs. Kowalski was concerned about income security following her husband's death and wanted stronger guarantees. However, his firm's compliance records show he did not complete the required annuity exchange comparison worksheet until two weeks after Mrs. Kowalski signed the application. Thornton earned a \$9,200 commission on the new annuity compared to approximately \$1,800 in trail commissions he would have received annually from the existing contract. Mrs. Kowalski later filed a complaint alleging the exchange was unsuitable given the surrender charges, higher fees, and extended surrender period.

Why Borderline

The case balances legitimate client need for enhanced guarantees against quantifiable transaction costs and procedural documentation failures, with reasonable arguments supporting either a suitable recommendation or an unsuitable exchange driven by commission incentives.

Borderline Factors

- * Quantifiable benefit of higher guaranteed withdrawal rate versus surrender charges and increased fees
- * Documented change in client circumstances (widowhood) supporting revised investment objectives
- * Procedural failure to complete exchange comparison worksheet before client signature
- * Significant commission differential creating appearance of sales motivation

Analysis

This case presents competing considerations under FINRA's suitability requirements and annuity exchange standards. Supporting a finding of unsuitability: The exchange subjected Mrs. Kowalski to \$8,610 in immediate surrender charges,

increased ongoing annual fees by 0.4% (approximately \$1,148 annually on the initial value), and locked her assets into a new 7-year surrender period just 10 years before retirement. The higher commission structure suggests possible sales motivation rather than client benefit. The delayed completion of the exchange comparison worksheet indicates potential procedural violations and raises questions about whether a proper comparative analysis was conducted before the recommendation. Against a finding of violation: Mrs. Kowalski's documented concerns about income security after becoming widowed represent a legitimate change in investment objectives. The 0.5% higher guaranteed withdrawal rate could translate to approximately \$1,435 more in guaranteed annual income at retirement on the exchanged amount, which over a 25-year retirement could exceed the costs of the exchange. FINRA Rule 2330 requires that exchanges have a reasonable basis to believe the transaction is suitable, considering factors including whether the customer would benefit from product enhancements. The guaranteed withdrawal benefit upgrade directly addressed her stated concern. Thornton could argue the quantitative analysis favors the exchange when considering lifetime income needs. However, the procedural lapse in documentation timing and the compensation differential create supervisory concerns that complicate the suitability assessment.

Item 150 of 250

Topic: rollover_recommendation_best_interest_fiduciary_duty

Standard: ERISA Section 3(21)(A)(ii) definition of fiduciary; DOL Five-Part Test for Investment Advice; Reg BI Care Obligation under Securities Exchange Act Section 15(l); FINRA Rule 2111 (Suitability); DOL impartial conduct standards for rollover recommendations; Investment Advisers Act Section 206 fiduciary duty

Likely Outcome: Regulatory examination would likely result in a finding of best interest violation, though not willful misconduct. The failure to document evaluation of the stay-in-plan option represents a critical gap that DOL and SEC guidance has specifically highlighted for rollover recommendations. However, the presence of some documentation and client-stated preferences may result in enhanced supervision requirements and remediation rather than severe sanctions.

Source: 09_Law_Firm_Memos

Fact Pattern

In March 2023, Gerald Thornton, age 58, was contacted by Marcus Webb, a registered representative at Midwest Retirement Solutions, LLC, regarding his employer-sponsored 401(k) plan with Consolidated Manufacturing, Inc. Gerald's 401(k) held approximately \$487,000 invested across three low-cost index funds with a blended expense ratio of 0.08%. Marcus recommended Gerald roll over the entire balance to an IRA at Midwest, where Marcus proposed allocating the funds into a combination of actively managed mutual funds and a fixed indexed annuity. The proposed IRA portfolio would carry an average expense ratio of 0.85%, and the annuity carried a 7-year surrender period with a 6% first-year surrender charge.

Marcus documented that Gerald expressed interest in 'more personalized investment guidance' during their initial phone conversation and was concerned about market volatility as he approached retirement. Marcus completed a client profile noting Gerald's moderate risk tolerance, his plan to retire at age 65, and his desire for some guaranteed income in retirement. Marcus provided Gerald with a rollover recommendation form that compared the 401(k) fees to the proposed IRA fees and noted the annuity's guaranteed minimum withdrawal benefit.

However, Marcus did not document whether he considered that Gerald could remain in the employer plan post-retirement with continued access to institutional share classes, nor did he evaluate whether Gerald's existing target-date fund already provided appropriate age-based risk reduction. Gerald's 401(k) plan did offer a post-retirement distribution option allowing systematic withdrawals. Marcus received a 4% commission on the annuity portion (\$146,100) and 12b-1 fees on the mutual fund allocations.

Why Borderline

The case turns on whether documenting client-stated preferences for guidance and guaranteed income sufficiently justifies recommending higher-cost products, or whether the substantial compensation differential and incomplete alternatives analysis demonstrates failure to act in the client's best interest.

Borderline Factors

- * Client verbally expressed desire for personalized guidance and volatility protection, partially supporting the recommendation
- * Significant expense ratio increase and commission compensation create appearance of self-dealing
- * Failure to document consideration of remaining in employer plan post-retirement despite its availability

Analysis

This case presents competing considerations under both ERISA's fiduciary framework and Reg BI's best interest standard. Supporting a potential violation: Marcus received substantial compensation (\$5,844 annuity commission plus ongoing 12b-1 fees) that far exceeded what he would have earned had Gerald remained in the 401(k). The documentation failed to address whether Gerald could stay in the employer plan post-separation, a critical factor the DOL has emphasized in rollover guidance. The expense differential (0.08% vs 0.85%) represents approximately \$3,745 in additional annual costs to the client. The 7-year surrender charge could restrict Gerald's access to funds precisely when he might need flexibility approaching retirement.

Supporting compliance: Marcus did gather client-specific information documenting Gerald's stated concerns about volatility and desire for guaranteed income, which the annuity's guaranteed withdrawal benefit addresses. The client profile reflects a documented conversation and risk assessment. The rollover comparison form demonstrates some level of cost disclosure. Gerald's expressed interest in personalized guidance could justify moving to an IRA where ongoing advice relationships are more typical. The fixed indexed annuity does provide downside protection that pure index funds cannot offer, which aligns with Gerald's stated volatility concerns.

The Five-Part Test analysis is also relevant: Marcus's ongoing relationship and compensation structure likely establish fiduciary status, triggering the need for exemptive relief under ERISA for the IRA rollover recommendation. Whether the documentation meets the impartial conduct standards is debatable given the incomplete alternatives analysis.

Item 151 of 250

Topic: erisa_fiduciary_duty_esg_investment_selection

Standard: ERISA Section 404(a)(1)(A)-(B) requiring fiduciaries to act solely in the interest of participants for the exclusive purpose of providing benefits, with the care, skill, prudence and diligence of a prudent person; DOL's 2022 final rule on Prudence and Loyalty in Selecting Plan Investments permitting consideration of climate change and other ESG factors when relevant to risk-return analysis; Fifth Third Bancorp v. Dudenhoeffer establishing that ERISA's duty of prudence applies to financial benefits

Likely Outcome: Under current DOL guidance, Brennan's conduct would likely survive scrutiny if the documented analysis demonstrates good-faith assessment of financially material factors, despite his personal advocacy. However, the combination of documented underperformance, higher costs, and evidence of personal bias creates substantial litigation risk. A court applying strict 'exclusive purpose' analysis might find the totality of circumstances suggests collateral motivations influenced the decision, particularly if discovery reveals that the risk analysis was prepared after the initial decision to switch funds.

Source: 10_Academic_Articles

Fact Pattern

Midwest Manufacturing Pension Trust is a defined benefit plan with \$340 million in assets, serving approximately 4,200 participants with an average age of 52 and average years to retirement of 13 years. In March 2023, plan fiduciary Harold Brennan, the Director of Benefits at sponsoring employer Hartland Industries, conducted the plan's triennial investment review. After evaluating multiple options, Brennan recommended replacing the plan's existing S&P 500 index fund (expense ratio 0.03%) with the Sustainable Future Large Cap Fund, an ESG-screened equity fund with a 10-year track record showing returns approximately 0.4% lower annually than the S&P 500, with an expense ratio of 0.18%. Brennan documented that the ESG fund's exclusion of fossil fuel companies and emphasis on companies with strong governance practices would reduce 'transition risk' as the economy shifts toward renewable energy, and that the governance screens would reduce exposure to companies prone to fraud or scandal. The Investment Policy Statement was amended to include language about considering 'material environmental and governance factors that may affect long-term risk-adjusted returns.' Two plan participants, both nearing retirement, filed complaints alleging the fund switch prioritized Brennan's personal ESG preferences over their financial interests, noting that Brennan had publicly advocated for climate-conscious investing on his personal social media accounts. Brennan maintained that all decisions were based on his good-faith assessment of financially material factors affecting future returns.

Why Borderline

The case tests the ambiguous boundary between permissible consideration of ESG factors as financially material risks versus impermissible pursuit of collateral social benefits, particularly where the fiduciary's personal views align with the investment thesis.

Borderline Factors

- * Whether documented climate transition risk analysis constitutes legitimate financial analysis or post-hoc rationalization for values-based investing
- * The evidentiary weight of Brennan's public ESG advocacy in assessing whether the decision was made 'solely in the interest' of participants
- * Whether accepting higher fees and historical underperformance is prudent based on forward-looking risk projections that cannot be empirically verified

Analysis

This case presents the core tension in post-2020 ERISA guidance regarding ESG investing. Arguments supporting a prudence violation include: the documented historical underperformance of 0.4% annually compounds significantly over the plan's investment horizon; the sixfold increase in expense ratios represents a clear cost increase; Brennan's public ESG advocacy suggests potential bias toward collateral benefits rather than pure financial analysis; and the timing of the IPS amendment alongside the fund change suggests reverse-engineering justification. Arguments supporting compliance include: ERISA permits consideration of factors that affect risk and return, and climate transition risk is increasingly recognized by mainstream financial analysts as a legitimate economic consideration; the 2022 DOL rule explicitly permits fiduciaries to consider climate change and governance factors when relevant to financial analysis; Brennan documented a forward-looking rationale distinguishing past performance from projected future returns; and the governance screens address legitimate concerns about fraud exposure that have materialized in corporate scandals. The critical question is whether Brennan's analysis represents genuine 'risk-return ESG' investing permitted under ERISA or impermissible 'collateral benefits ESG' motivated by his personal values. The DOL's current guidance attempts to permit the former while prohibiting the latter, but the line between them is inherently subjective when the fiduciary's documented rationale involves forward-looking projections about factors like climate transition that cannot be verified against historical data.

Item 152 of 250

Topic: suitability_of_rollover_recommendation_for_retirement_account

Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest Care Obligation under Exchange Act Section 15(l); FINRA Rule 2010 (Standards of Commercial Honor); SEC guidance on rollover recommendations requiring comparison of costs, services, and investment options between existing plan and recommended IRA

Likely Outcome: Probable finding of suitability violation with moderate damages. While Thornton documented client concerns, the failure to adequately document analysis of Chen's pension benefits and quantify the cost impact against the 403(b) option likely falls short of the care obligation for rollover recommendations. However, damages may be reduced given Chen's genuine expressed preferences for guaranteed income features.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 58, was a public school teacher in California who had accumulated \$847,000 in her 403(b) retirement plan through her employer's plan administered by Horizon Retirement Services. In March 2023, her financial adviser, David Thornton of Westbrook Financial Partners, recommended she roll over her 403(b) assets into an individual retirement account (IRA) at his firm. Thornton documented that Chen had a moderate risk tolerance, a 7-year investment horizon until planned retirement at 65, and that her primary objectives were capital preservation and modest growth.

Thornton recommended allocating the IRA as follows: 40% in a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider carrying total annual expenses of 2.85%, 35% in actively managed mutual funds averaging 1.15% expense ratios, and 25% in individual corporate bonds. The existing 403(b) plan offered low-cost target-date funds with expense ratios of 0.12% and included employer matching contributions that Chen would forfeit by leaving employment early. Thornton's documentation stated the rollover would provide Chen with 'greater investment flexibility, personalized portfolio management, and downside protection through the annuity's guaranteed income features.'

Chen filed an arbitration claim alleging the rollover recommendation was unsuitable because the significantly higher fees would erode her retirement savings, the guaranteed income features were unnecessary given her pension eligibility, and Thornton failed to adequately weigh the benefits of remaining in her low-cost employer plan. Thornton's firm countered that the recommendation addressed Chen's documented concerns about market volatility and her desire for guaranteed retirement income, and that the personalized advice justified the cost differential.

Why Borderline

The recommendation addressed documented client concerns about volatility and guaranteed income, but the significant cost differential and Chen's existing pension coverage raise questions about whether the benefits justified the rollover.

Borderline Factors

- * Client's documented volatility concerns versus quantifiable cost impact on retirement assets
- * Redundancy of GLWB income guarantee given existing pension eligibility
- * Whether personalized advice and investment flexibility justify 1.8% annual cost increase

Analysis

This case presents legitimate arguments on both sides regarding rollover suitability. Supporting a violation finding: The

cost differential is substantial--Chen would pay approximately 1.8% more annually in the IRA structure compared to her existing 403(b), potentially reducing her retirement assets by over \$100,000 over her 7-year horizon. As a public school teacher, Chen likely qualifies for a defined benefit pension, making the GLWB rider's guaranteed income feature potentially redundant. FINRA guidance emphasizes that rollover recommendations require consideration of whether the customer would be better served remaining in the employer plan, particularly when cost differentials are significant.

Supporting compliance: Thornton documented Chen's specific concerns about market volatility and desire for downside protection--the GLWB rider directly addresses these stated objectives. The recommendation aligns with her documented moderate risk tolerance and capital preservation goals. Variable annuities with income guarantees can be suitable for pre-retirees concerned about sequence-of-returns risk. Thornton provided diversification across asset classes and personalized bond selection unavailable in the 403(b)'s target-date funds. The 403(b) plan's investment options were limited, and Chen expressed interest in more control over her investments.

The critical question is whether Thornton's analysis adequately weighed the quantifiable cost disadvantage against the qualitative benefits of flexibility and guaranteed income features, particularly given Chen's existing pension eligibility.

Item 153 of 250

Topic: alternative_investment_allocation_suitability

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-03 guidance on reasonable-basis suitability for complex products; SEC Regulation Best Interest care obligation for broker-dealer recommendations

Likely Outcome: Given the documented supervisory approval, client acknowledgment of illiquidity risks, substantial outside income sources, and the modest 3% exceedance of the guideline, regulators would likely find the recommendation within the bounds of suitability, though they might cite supervisory deficiencies regarding the concentration in similar alternative products. A FINRA panel would probably not find a clear violation but might question whether the concentration risk was adequately addressed.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 72, was a retired school administrator with a total liquid net worth of approximately \$1.8 million held across two accounts at Pinnacle Wealth Advisors. Her investment profile, completed in March 2019, indicated a moderate risk tolerance, a 10-15 year investment horizon, and income generation as her primary objective, with capital preservation as secondary. Her financial representative, David Castellano, recommended a series of alternative investments including private real estate investment trusts, a private credit fund, and two business development companies, ultimately allocating approximately 28% of her portfolio (\$504,000) to these illiquid alternatives between April 2019 and February 2020.

Castellano documented that Mrs. Thornton had expressed frustration with low yields on traditional fixed income and wanted higher income-producing investments. He noted she had no immediate liquidity needs, owned her home outright, received a pension of \$4,200 monthly, and had Social Security income of \$2,100 monthly. The alternative investments collectively offered yields between 6-8%, significantly higher than the 2-3% available on investment-grade bonds at the time. Castellano's notes reflected that he discussed the illiquid nature of these investments and that Mrs. Thornton acknowledged she understood the 5-7 year hold periods.

By late 2020, Mrs. Thornton's daughter assumed power of attorney due to her mother's declining cognitive health. The daughter filed a complaint alleging the alternative investment allocation was unsuitable given her mother's age and the illiquid nature of the products. She noted that several of the investments had suspended redemptions during the pandemic, and one REIT had reduced its distribution by 40%. The firm's internal guidelines suggested alternative investments should generally not exceed 25% for clients over 70, though exceptions were permitted with supervisory approval, which Castellano had obtained.

Why Borderline

The client profile genuinely supported both higher-income alternatives and more conservative positioning, with documented client preferences and supervisory approval supporting the allocation but age-based guidelines and illiquidity concerns cutting against it.

Borderline Factors

- * Client's strong non-portfolio income and no immediate liquidity needs versus her age and capital preservation objective

- * Supervisory approval obtained but allocation still exceeded firm's age-based guideline
- * Documented client understanding and preference for yield versus concentration risk in similar illiquid products

Analysis

The suitability analysis here turns on competing considerations about Mrs. Thornton's investment profile and the nature of the recommendations. Arguments supporting a suitability violation include: (1) the 28% allocation to illiquid alternatives exceeded the firm's internal 25% guideline for clients over 70, even if approval was obtained; (2) a 72-year-old client with capital preservation as a stated objective arguably should not have over a quarter of her portfolio in investments with 5-7 year lock-up periods; (3) the concentration in similar alternative income products created liquidity and correlation risks; and (4) the pandemic-era redemption suspensions demonstrated the real-world liquidity risks that materialized.

Conversely, arguments supporting suitability include: (1) the representative obtained supervisory approval for the elevated allocation; (2) Mrs. Thornton had substantial non-portfolio income (\$75,600 annually) covering her living expenses, reducing her dependence on portfolio liquidity; (3) her 10-15 year stated time horizon aligned with the investment holding periods; (4) the client explicitly expressed desire for higher income and understood the illiquidity trade-off per documented discussions; (5) she had no immediate liquidity needs with a paid-off home and adequate cash reserves in the remaining 72% of liquid assets; and (6) the investments performed as designed by generating the promised income yields until market disruption.

The cognitive decline issue complicates the analysis but does not necessarily invalidate recommendations made when the client was competent. The question becomes whether the representative reasonably assessed the client's situation at the time of recommendation.

Item 154 of 250

Topic: reasonable_basis_suitability_novel_product

Standard: FINRA Rule 2111 (Suitability) -- specifically the reasonable-basis suitability obligation (Rule 2111(a) and supplementary material .05(a)); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) regarding firm's product review obligations

Likely Outcome: FINRA would likely find a technical violation for the two customers without prior volatility product experience (customer-specific suitability) but may not pursue reasonable-basis violations given Webb's documented diligence efforts. A cautionary action or limited fine with required enhanced training is probable, rather than a finding of wholesale reasonable-basis failure.

Source: 03_FINRA_AWC

Fact Pattern

Marcus Webb, a registered representative at Pinnacle Securities Group, recommended a newly launched structured product called the 'Global Volatility Harvester Note' to twelve of his retail customers between March and June 2023. The product, issued by a major investment bank, was designed to generate income by systematically selling volatility across multiple asset classes. The minimum investment was \$25,000, and the product had a five-year maturity with principal protection of only 80% at maturity. Webb attended a two-hour product training session conducted by the issuer's wholesaler and reviewed the 45-page offering document. He also consulted his firm's product review committee, which had approved the note for sale but classified it as suitable only for customers with 'aggressive' risk profiles and investment horizons of at least five years.

Webb recommended the product to customers whose profiles ranged from moderate-growth to aggressive, with investable assets ranging from \$180,000 to \$2.4 million. The allocations represented between 8% and 22% of each customer's total portfolio. Ten of the twelve customers had previously invested in structured products or options strategies, while two had no prior experience with volatility-linked investments. Webb documented in his notes that he explained the 20% downside risk, the five-year lock-up, and that returns depended on volatility remaining elevated. However, he did not document discussing the specific scenarios under which the volatility harvesting strategy could produce significant losses or how the product would perform if volatility collapsed suddenly.

By December 2023, a prolonged period of low market volatility caused the product to significantly underperform, and several customers complained. FINRA examiners subsequently questioned whether Webb had conducted adequate due diligence to understand the product's risk characteristics before recommending it.

Why Borderline

The case involves tension between adequate firm-level product review and individual representative diligence requirements, where Webb made good-faith efforts but the depth of his personal understanding of complex product mechanics remains questionable.

Borderline Factors

- * Whether firm-level product approval combined with representative training satisfies reasonable-basis obligations for novel complex products
- * The adequacy of two hours of issuer training plus document review for understanding non-linear volatility strategies
- * Whether documentation gaps regarding specific loss scenarios indicate insufficient product understanding

Analysis

The reasonable-basis suitability obligation under FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for at least some investors based on reasonable diligence. Webb's compliance efforts present arguments on both sides. Supporting compliance: Webb attended issuer training, reviewed offering documents, and consulted his firm's product committee that had conducted its own review. He targeted customers classified as aggressive or moderate-growth, consistent with the product's risk classification. Ten of twelve customers had prior structured product experience. His documentation shows he disclosed principal risk and the five-year horizon. FINRA has acknowledged that representatives can rely on firm-level due diligence in conjunction with their own efforts.

Supporting a violation: The two-hour training and document review may be insufficient for a complex volatility-linked product with non-linear payoff characteristics. Webb's failure to document discussion of specific loss scenarios suggests he may not have fully understood the product mechanics himself. The two customers without volatility product experience raise customer-specific suitability concerns. The allocation levels of up to 22% could be considered excessive concentration in a single complex product. FINRA guidance emphasizes that more complex products require deeper understanding, and the 'Global Volatility Harvester' incorporates sophisticated derivatives strategies that demand more than cursory review. The fact that Webb couldn't adequately explain collapse scenarios suggests potential gaps in his reasonable-basis understanding.

Item 155 of 250

Topic: erisa_fiduciary_prudence_ahp_investment_selection

Standard: ERISA Section 404(a)(1)(B) prudent expert standard; ERISA Section 406(b) prohibited transaction rules regarding self-dealing; DOL guidance on investment duties applicable to AHP governing boards under the 'control test' requiring fiduciaries to act in the best interest of participants while managing costs

Likely Outcome: The DOL or affected participants would likely prevail on a procedural prudence claim. While the Board members' good faith is not questioned, the failure to document deliberations, compare alternatives, consider expense ratios against benchmarks, or engage independent expertise when lacking internal qualifications demonstrates insufficient process. The disclosed family connection heightens scrutiny. However, damages might be limited to the excess fees and losses attributable to procedural failures rather than full investment losses.

Source: 06_DOL_Fiduciary

Fact Pattern

In March 2023, the Midwest Manufacturing Association (MMA), a bona fide trade association representing 47 small manufacturing companies, established an Association Health Plan through their wholly-owned subsidiary, MMA Benefits Trust. The AHP covered approximately 2,100 employees across member companies. The five-member Board of Trustees, all unpaid volunteers from member companies, was responsible for selecting and monitoring the AHP's investment options for the plan's premium reserves and any self-funded components.

In September 2023, Board member Harold Jennings, who owned a small machine shop with 38 employees, recommended the Board invest \$3.2 million of plan reserves in a series of high-yield corporate bond funds offered by Cascade Investment Partners. Jennings disclosed that his brother-in-law worked as a regional sales representative for Cascade but claimed this had no bearing on his recommendation. The funds carried expense ratios of 1.85% and had a 3-year track record showing 7.2% average returns but with significant volatility (standard deviation of 12.4%).

The Board approved the investment after a 45-minute discussion, relying primarily on Jennings' presentation materials provided by Cascade. They did not engage an independent investment consultant, compare alternatives from other providers, or document their deliberation process beyond basic meeting minutes. By February 2024, the Cascade funds had declined 14% due to defaults in their underlying holdings, reducing plan reserves by approximately \$448,000 and threatening the AHP's ability to meet claims obligations for Q2 2024.

Why Borderline

The case turns on whether the Board's abbreviated review process satisfies ERISA's procedural prudence requirements for volunteer fiduciaries of a small association plan, where the losses stemmed from market risk rather than fraud or obviously unsuitable investments.

Borderline Factors

- * Volunteer fiduciaries with limited investment expertise operating a small association plan
- * Disclosed but not disqualifying personal connection to the investment provider
- * Facially reasonable investment (high-yield bonds with positive track record) versus inadequate comparative analysis

Analysis

This scenario raises significant questions about whether the AHP Board fulfilled its ERISA fiduciary duties of prudence in selecting and monitoring plan investments. Under ERISA Section 404(a)(1)(B), fiduciaries must act 'with the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent man acting in a like capacity and familiar with such matters would use.'

Arguments supporting a violation: The Board's process appears deficient in several respects. They failed to conduct an independent due diligence review, relying solely on materials from the product provider. The 1.85% expense ratio is notably high compared to institutional alternatives typically available to plans of this size. The Board did not benchmark the Cascade funds against comparable options or engage qualified investment professionals despite lacking apparent expertise themselves. The connection between Jennings and Cascade, while disclosed, may have compromised the objectivity of the recommendation. The lack of documentation suggests insufficient procedural prudence.

Arguments supporting compliance: The Board members were volunteers acting in good faith with limited resources typical of small association plans. Jennings properly disclosed his family connection. The funds had a legitimate 3-year track record with positive returns, and high-yield bonds are not inherently imprudent investments. The subsequent losses resulted from market conditions that may not have been foreseeable. ERISA's prudence standard focuses on process, not outcomes, and small plan fiduciaries have historically been given some latitude regarding the sophistication of their review processes.

Item 156 of 250

Topic: deferred_annuity_suitability_fiduciary_standard

Standard: Illinois common law fiduciary duty for insurance agents; Investment Advisers Act Section 206 fiduciary standard (if adviser were an IA); NAIC Suitability in Annuity Transactions Model Regulation; Exchange Act Rule 15l-1 (Regulation Best Interest) Care Obligation requiring reasonable diligence and prudent recommendation based on customer's investment profile

Likely Outcome: Likely no violation finding, but with criticism. Regulators would probably conclude the recommendation was within the range of reasonable options given the client's stated priorities and risk profile, particularly because she retained adequate liquidity. However, the adviser may face scrutiny regarding documentation of why the specific indexed annuity was superior to simpler alternatives, and whether the guaranteed withdrawal rider's costs were adequately explained relative to its benefits.

Source: 16_Congressional_Materials

Fact Pattern

Margaret Donovan, age 62, is a recently widowed schoolteacher in Illinois with \$380,000 in liquid assets, primarily from her late husband's life insurance proceeds. In March 2023, she met with Raymond Schultz, a registered representative of Midland Financial Services, seeking advice on retirement income planning. She indicated she planned to retire at 67, had modest Social Security benefits projected at \$1,850/month, and expressed concern about outliving her savings. She completed a risk tolerance questionnaire indicating she was 'moderately conservative' and her primary goal was 'income stability.'

Schultz recommended a 10-year deferred fixed indexed annuity from Cornerstone Life Insurance with a \$275,000 premium. The product featured a 7% surrender charge in year one declining to zero by year ten, a 2.25% annual rider fee for guaranteed lifetime withdrawal benefits, and participation in S&P 500 gains capped at 5.5% annually. The guaranteed withdrawal benefit would begin at age 72, providing approximately \$16,500 annually for life. Schultz earned a 6.2% commission (\$17,050) on the sale. Illinois common law imposes fiduciary duty on insurance agents selling annuities.

Mrs. Donovan's daughter later consulted an independent fee-only adviser who questioned the recommendation. The fee-only adviser noted that a simpler immediate annuity ladder combined with a low-cost balanced mutual fund would have provided comparable income with lower fees and greater liquidity. However, the indexed annuity did provide downside protection and guaranteed income that aligned with Mrs. Donovan's stated preference for stability. Mrs. Donovan retained \$105,000 in liquid savings outside the annuity.

Why Borderline

The annuity genuinely addresses the client's stated need for guaranteed income and downside protection, but the high fees, commission structure, and availability of simpler alternatives raise legitimate questions about whether fiduciary duty required a different recommendation.

Borderline Factors

- * Client's explicitly stated priority for income stability versus availability of lower-cost alternatives achieving similar goals
- * Retention of meaningful liquid assets outside the annuity versus lengthy 10-year surrender period
- * Commission magnitude and its potential influence on recommendation versus product's legitimate alignment with

client objectives

Analysis

Arguments supporting a fiduciary violation center on several concerns. The 10-year surrender period significantly restricts liquidity for a 62-year-old with potential healthcare needs before Medicare supplemental coverage decisions. The 2.25% annual rider fee combined with the 5.5% cap on upside participation substantially reduces net returns compared to alternatives. The \$17,050 commission creates a material incentive that may have influenced the recommendation over lower-cost alternatives that could achieve similar goals. The fee-only adviser's alternative approach demonstrates a potentially superior risk-adjusted outcome was available.

Arguments supporting compliance emphasize that the recommendation reasonably matched Mrs. Donovan's stated objectives. She explicitly prioritized income stability and expressed fear of outliving assets--core concerns that guaranteed lifetime withdrawal benefits directly address. The indexed annuity provides complete downside protection, which aligns with her moderately conservative risk tolerance. Retaining \$105,000 in liquid assets (approximately 28% of total) provides an emergency cushion. The guaranteed income of \$16,500 annually, combined with Social Security, creates a predictable baseline that simpler products might not guarantee. Illinois fiduciary duty requires acting in the client's best interest, but does not mandate the absolute optimal solution--rather, it requires a reasonable recommendation that prioritizes client welfare.

The academic research in the source document suggests fiduciary duty improves risk-adjusted returns by constraining low-quality advice, but the question here is whether this particular recommendation falls below the fiduciary threshold or represents a reasonable choice among suitable alternatives.

Item 157 of 250

Topic: suitability_of_concentrated_position_for_departing_advisor_client

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); the suitability obligation requires that a recommended investment strategy be consistent with the customer's investment profile including age, financial situation, risk tolerance, and investment objectives.

Likely Outcome: A FINRA panel would likely find this case borderline but potentially favor the claimant. While documentation supports the adviser's position, the combination of the client's age, retirement status, and the inherent volatility of pharmaceutical stocks makes the 15% concentration difficult to justify under the reasonable-basis and customer-specific suitability components. The timing factor, while not dispositive, may suggest the recommendation was not primarily driven by client suitability. Partial damages for the concentrated position losses are probable.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Chen was a registered representative at Pinnacle Wealth Advisors who resigned in March 2023 after a compliance dispute regarding documentation practices. His former client, Dorothy Weston (age 68, retired school administrator with \$1.2 million in investable assets and moderate risk tolerance), followed him to his new firm, Horizon Financial Services, in April 2023. Before leaving Pinnacle, Mrs. Weston's portfolio was diversified across 12 mutual funds and 25 individual equities. Upon transferring to Horizon, Chen recommended consolidating her holdings into just 4 positions: a large-cap growth ETF (40%), a dividend-focused equity fund (25%), a bond fund (20%), and a concentrated position in Vertex Pharmaceuticals representing 15% of her portfolio. Chen explained this would simplify management, reduce fees, and position her for growth in the healthcare sector given positive analyst coverage. Mrs. Weston agreed, signing new account documents indicating she understood the risks of concentration. Within 8 months, Vertex declined 35% following a failed drug trial, resulting in approximately \$63,000 in losses on that position alone. Mrs. Weston filed a complaint alleging the concentrated pharmaceutical position was unsuitable for a 68-year-old retiree seeking income and moderate growth, and that Chen prioritized his desire to differentiate her account from her former Pinnacle holdings over her actual investment needs.

Why Borderline

The case hinges on whether a 15% single-stock position is categorically unsuitable for a moderate-risk retiree, or whether adequate disclosure and reasonable basis at the time of recommendation can justify this level of concentration.

Borderline Factors

- * Client signed acknowledgment of concentration risks but may not have fully appreciated biotech-specific binary outcomes
- * 15% single-stock exposure is aggressive but not unprecedented for moderate-risk investors
- * Timing of recommendation immediately post-transfer raises questions about true motivation versus client need

Analysis

The suitability analysis here involves competing considerations. Supporting a potential violation: Mrs. Weston was a 68-year-old retiree with moderate risk tolerance seeking income and growth--a profile that typically calls for diversification rather than sector concentration. A 15% position in a single pharmaceutical stock exposes her to

significant company-specific risk, particularly problematic given that biotech/pharma companies face binary outcomes on drug trials. The timing--immediately after transferring from another firm--raises questions about whether Chen's motivation was to quickly differentiate her portfolio from her former holdings rather than to serve her investment objectives. Additionally, the simplification rationale is undermined by taking concentrated single-stock risk, which increases rather than decreases overall portfolio risk. Supporting compliance: Mrs. Weston signed documentation acknowledging she understood concentration risks. Her moderate (not conservative) risk tolerance suggests some capacity for equity risk. The overall portfolio remained reasonably diversified with 85% in funds providing broad market exposure. The 15% single-stock allocation, while concentrated, is not dramatically outside industry norms for growth-oriented portions of a moderate portfolio. Chen had a reasonable basis for the Vertex recommendation given positive analyst coverage at the time. The client was experienced enough to have accumulated \$1.2 million and had previously held individual equities, suggesting familiarity with stock-specific risk.

Item 158 of 250

Topic: erisa_prudence_private_fund_allocation

Standard: ERISA Section 404(a)(1)(B) prudent expert standard; ERISA Section 406(b) prohibited transaction rules for affiliated investments; DOL Interpretive Bulletin 2015-01 on economically targeted investments; ERISA Section 408(b)(2) fee disclosure requirements

Likely Outcome: DOL would likely find a procedural prudence violation based on inadequate due diligence documentation and failure to analyze liquidity constraints, though the substantive investment decision might ultimately prove sound. The affiliated nature triggers enhanced scrutiny, and Westfield's reliance on board acknowledgment from unsophisticated trustees is unlikely to provide full protection. Settlement with corrective action on investment committee processes is probable.

Source: 09_Law_Firm_Memos

Fact Pattern

Westfield Capital Advisors LLC, a registered investment adviser, serves as discretionary manager for the Midwest Regional Teachers' Pension Fund, a defined benefit plan with \$2.1 billion in assets. In March 2024, Westfield's investment committee recommended allocating 8% of the pension fund's assets--approximately \$168 million--to the Westfield Private Credit Opportunities Fund III, a private credit fund managed by an affiliated entity. The pension fund's investment policy statement permits up to 15% allocation to alternative investments and specifically contemplates private credit exposure. The plan's participants have an average age of 47 with expected retirements spanning 2035-2055. Westfield conducted due diligence on the private fund, which invests primarily in middle-market direct lending with target returns of 10-12% annually, though the fund has only a 14-month track record and limited liquidity with quarterly redemptions subject to a 5% gate. The pension fund's prior alternative allocation consisted entirely of a diversified hedge fund-of-funds with daily liquidity. Westfield's affiliated private fund charges a 1.5% management fee and 15% carried interest, compared to the 0.85% all-in fee on the hedge fund-of-funds. Westfield disclosed the affiliation in writing to the pension fund's board and received written acknowledgment before executing the investment. However, the board consisted of five retired teachers with limited private markets experience, and Westfield's presentation emphasized the yield premium over traditional fixed income without detailed stress-testing of the liquidity constraints against the plan's benefit payment obligations.

Why Borderline

The case involves textbook tension between procedural compliance (IPS adherence, disclosure) and substantive prudence concerns (board sophistication, liquidity analysis, affiliated party dynamics).

Borderline Factors

- * Board's limited private markets expertise despite receiving disclosure
- * Absence of stress-testing for liquidity against benefit obligations
- * Affiliated fund with short track record replacing liquid alternative with similar return targets

Analysis

This scenario presents competing considerations under ERISA's prudence standard. Supporting compliance: Westfield operated within the plan's IPS guidelines, which explicitly permitted alternative investments including private credit. The 8% allocation is conservative relative to the 15% ceiling, and the plan's long-dated liabilities theoretically support illiquid investments. The affiliated transaction was disclosed, and the board provided written acknowledgment. The target returns represent meaningful yield enhancement over traditional fixed income in the current rate environment. Against

compliance: ERISA's prudent expert standard requires more than mechanical IPS compliance--fiduciaries must evaluate whether specific investments are appropriate given plan circumstances. The dramatic shift from a liquid hedge fund-of-funds to an illiquid private credit fund with a 14-month track record and redemption gates raises questions about adequate due diligence. The fee increase from 0.85% to approximately 2.5%+ (including carry) creates burden-of-proof issues for demonstrating the investment's prudence. Most critically, the board's limited sophistication and Westfield's failure to stress-test liquidity constraints against benefit payment schedules suggests the process may have been inadequate regardless of outcome. The affiliated nature of the fund, while disclosed, heightens the scrutiny applied to the procedural prudence analysis. DOL guidance emphasizes that disclosure alone does not cure an imprudent transaction.

Item 159 of 250

Topic: suitability_of_private_placement_recommendation_thinly_traded_securities

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); Regulation D accredited investor requirements under Securities Act Section 4(a)(2)

Likely Outcome: Likely no violation finding, though the firm may face supervisory scrutiny. Regulators would likely view the documented disclosures, accredited investor verification, and majority liquid portfolio as sufficient compliance with suitability obligations, particularly absent evidence that Dawson was misled about risks. However, the firm should expect questions about its concentration guidelines and whether enhanced due diligence was conducted given her inexperience with private placements.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

In March 2023, registered representative David Callahan of Meridian Capital Partners recommended that client Patricia Dawson, age 58, invest \$175,000 in a Regulation D private placement offering for Nexus BioTech Holdings, an early-stage biotechnology company. Dawson had accumulated approximately \$650,000 in investable assets, primarily in her IRA from a prior employer's 401(k) rollover. Her stated investment objectives were growth with moderate risk tolerance, and she indicated a 7-10 year investment horizon before retirement. Dawson had previously invested in mutual funds and individual equities but had no prior experience with private placements or illiquid securities. Callahan explained that the Nexus BioTech shares would be restricted securities with no established trading market, subject to a minimum three-year holding period, and that liquidity would depend on either an IPO or acquisition event. Callahan's firm, Meridian Capital, had participated as a placement agent in the offering and would receive \$14,000 in placement fees from Dawson's investment. Callahan documented that Dawson understood the illiquidity risks and signed an investor questionnaire confirming her accredited investor status based on net worth. Dawson's remaining \$475,000 stayed in diversified mutual funds. Six months later, Nexus BioTech announced a failed clinical trial, and subsequent secondary market interest valued the shares at approximately 15% of the original investment price, though no actual sales occurred due to transfer restrictions.

Why Borderline

The 27% allocation to an illiquid private placement falls in an ambiguous zone where reasonable professionals disagree on appropriate concentration limits for accredited investors with moderate risk tolerance approaching retirement.

Borderline Factors

- * Concentration level (27%) falls between clearly suitable diversification and clearly unsuitable over-concentration
- * Customer's accredited investor status and documented risk acknowledgments versus lack of prior private placement experience
- * 7-10 year pre-retirement horizon creates uncertainty about whether illiquidity was appropriate

Analysis

This scenario presents genuine tension between customer suitability requirements and an investor's autonomy to pursue higher-risk opportunities. Supporting a finding of unsuitability: The \$175,000 investment represented approximately 27% of Dawson's total investable assets in a single illiquid private placement with complete loss potential. Her lack of experience with private placements or restricted securities suggests she may not have fully appreciated the liquidity constraints. The 7-10 year horizon before retirement creates meaningful risk that she might

need access to these funds. Additionally, the firm's \$14,000 placement fee creates an incentive structure that warrants scrutiny of the recommendation quality. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including liquidity needs and risk tolerance. Against a violation finding: Dawson was a documented accredited investor who signed acknowledgments of the illiquidity risks. The investment represented a minority position (27%) of her portfolio, leaving substantial liquid assets (\$475,000) for near-term needs. Her growth objective and moderate risk tolerance are not inherently inconsistent with a partial allocation to higher-risk, higher-potential-return opportunities. Many compliance programs would view a sub-30% allocation to alternative investments as within reasonable bounds for an accredited investor approaching but not yet at retirement. The subsequent investment loss does not retroactively establish unsuitability. The critical question is whether the concentration level and liquidity profile were reasonable given her specific circumstances and documented understanding.

Item 160 of 250

Topic: suitability_of_concentrated_trust_portfolio_strategy

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentration and documentation requirements; state common law fiduciary standards applicable to trust account management.

Likely Outcome: A FINRA arbitration panel would likely find for the claimant, though potentially with reduced damages. The written investment policy statement creates a strong presumption about suitable investments for the account, and verbal approvals--even from sophisticated trustees--typically cannot override documented fiduciary constraints. However, the trustee's sophistication and documented communications may support a comparative fault analysis reducing the award.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

The Westbrook Family Trust, established in 2018 with approximately \$425,000 in assets, retained registered representative Marcus Dunhill of Coastal Ridge Securities to manage the trust's investments. The trust document specified that assets were to provide income for the 72-year-old primary beneficiary, Eleanor Westbrook, while preserving principal for remainder beneficiaries. The trust's investment policy statement indicated a moderate risk tolerance with an emphasis on capital preservation and income generation. Between January 2020 and March 2022, Dunhill recommended and executed a strategy that concentrated approximately 65% of trust assets in a portfolio of eight small-cap technology stocks, arguing that these represented exceptional growth opportunities that would significantly enhance the trust corpus for all beneficiaries. Dunhill documented in his notes that he explained the risks of concentration and that the trustee, Eleanor's nephew Thomas Westbrook, verbally approved the strategy during quarterly reviews. The concentrated positions declined 47% during the 2022 market correction, resulting in losses of approximately \$130,000. The trustee claims he was never adequately informed that the strategy deviated substantially from the stated investment policy and that Dunhill assured him the positions were 'appropriate for the trust's timeline.' Dunhill maintains that the trustee was sophisticated, having previously served as CFO of a regional manufacturing company, and that the strategy was suitable given the trust's 15-year expected duration and the potential for recovery.

Why Borderline

The case involves tension between documented verbal consent from a sophisticated trustee and a written investment policy statement that appears to preclude the implemented strategy, creating genuine uncertainty about whether suitability obligations were met.

Borderline Factors

- * Trustee sophistication and documented verbal approval versus written IPS constraints
- * 15-year trust duration providing theoretical recovery time versus 72-year-old income beneficiary
- * Degree of concentration (65%) and deviation from stated conservative objectives

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting a finding of unsuitability: The trust's investment policy statement explicitly emphasized capital preservation and income generation--objectives fundamentally inconsistent with a 65% concentration in speculative small-cap technology stocks. The primary beneficiary was 72 years old and dependent on income distributions, suggesting limited capacity to recover

from significant losses. FINRA guidance has consistently warned that concentrated positions require heightened scrutiny and clear documentation of customer understanding. The magnitude of deviation from the stated IPS raises questions about whether reasonable-basis and customer-specific suitability were satisfied. Supporting compliance: Dunhill documented the risks and obtained verbal approval from a trustee with significant financial sophistication (former CFO). The 15-year trust duration theoretically provided time horizon for recovery from volatility. Dunhill's contemporaneous notes suggest ongoing communication about the strategy. Additionally, small-cap technology stocks are not per se unsuitable--the analysis must focus on whether the specific recommendation matched this customer's profile. The trustee's sophistication is relevant to evaluating whether risks were adequately understood. The central question is whether a trustee's verbal approval can override the constraints of a written investment policy statement, and whether the adviser's duty extended to ensuring consistency with fiduciary documents governing the account.

Item 161 of 250

Topic: sustainability_preferences_suitability_assessment

Standard: MiFID II Article 25(2); MiFID II Delegated Regulation Articles 54 and 55; Commission Delegated Regulation (EU) 2021/1253 integrating sustainability factors into suitability requirements; ESMA Guidelines ESMA35-43-3172 on suitability requirements, particularly provisions on collecting client sustainability preferences and ensuring client understanding before preference elicitation.

Likely Outcome: A supervisory authority would likely find the assessment process marginally deficient but not egregiously so. The firm would likely receive a recommendation to enhance its sustainability preference assessment procedures--particularly documentation of client education efforts--rather than face significant sanctions. The investment itself was not fundamentally unsuitable given the client's risk profile and general preferences, but the preference-gathering process fell short of best practices under the new framework.

Source: 23_International_Comparative

Fact Pattern

Meridian Wealth Partners, an investment firm authorized in Germany, provides investment advice to retail clients. In March 2023, adviser Klaus Brenner met with client Ingrid Hoffman, a 58-year-old municipal administrator with \$320,000 in liquid assets and a moderate risk tolerance. During the suitability assessment, Brenner asked Hoffman about her sustainability preferences as required under the amended MiFID II framework. Hoffman expressed a general interest in 'environmentally responsible investing' but indicated she did not fully understand the technical distinctions between taxonomy-aligned investments, sustainable investments under SFDR Article 2(17), and investments considering principal adverse impacts. Brenner documented her preference as 'general ESG interest' and recommended a portfolio containing 60% in a fund classified as SFDR Article 8 (promotes environmental characteristics but is not fully taxonomy-aligned) and 40% in traditional diversified equity funds. The recommended portfolio had a 10-year projected return profile and moderate volatility consistent with Hoffman's stated risk parameters. Six months later, Hoffman complained that she expected her entire portfolio to be in 'green investments' and filed a complaint alleging the advice was unsuitable because her sustainability preferences were not properly assessed or matched. Brenner's records show he spent approximately 12 minutes explaining sustainability categories and documented that Hoffman 'expressed difficulty distinguishing between ESG classifications but confirmed comfort with the recommendation.'

Why Borderline

The case tests the boundary between adequate adaptation to client comprehension limitations and insufficient effort to properly assess sustainability preferences under the new framework.

Borderline Factors

- * Whether 12 minutes of explanation meets the standard for helping clients understand sustainability concepts before preference collection
- * Whether 'general ESG interest' documentation satisfies the requirement for granular sustainability preference assessment across three dimensions
- * Whether matching a client expressing understanding difficulties with a partially-ESG portfolio constitutes reasonable adaptation or inadequate preference fulfillment

Analysis

This case raises difficult questions about the depth of sustainability preference assessment required under the

amended MiFID II suitability framework. Supporting a finding of inadequate suitability: The ESMA Guidelines emphasize that firms must help clients understand sustainability concepts before eliciting preferences, and 12 minutes may be insufficient for a client who explicitly struggled with the distinctions. The documentation of 'general ESG interest' could be seen as inadequate granularity given that Commission Delegated Regulation 2021/1253 requires firms to collect information on sustainability preferences across three specific dimensions. Recommending 40% non-ESG products to a client expressing environmental interest could suggest a mismatch. Supporting compliance: Brenner did attempt explanation and documented the client's difficulty understanding technical categories. The Article 8 fund does promote environmental characteristics, which aligns with the client's expressed general interest in 'environmentally responsible investing.' The Guidelines recognize that clients may have varying levels of sophistication and that firms should adapt their approach accordingly. Brenner matched the investment to her stated risk tolerance and time horizon, with the sustainability element reflecting her expressed (if imprecise) preferences. The firm could argue that forcing taxonomy-aligned products on a client who didn't clearly specify this preference would itself be unsuitable. The core tension is between the aspiration for granular sustainability preference collection and the practical reality of client comprehension limitations.

Item 162 of 250

Topic: annuity_exchange_suitability_death_benefit_reduction

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis and customer-specific suitability analysis; FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) requiring consideration of whether customer would benefit from product features; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest Care Obligation under Exchange Act Section 15(l)

Likely Outcome: The panel would likely find in favor of the claimants and recommend expungement denial or damages. While Kershaw's recommendation had legitimate rationale, the documentation failure combined with the direct conflict between the exchange terms and Mrs. Holloway's explicit wealth transfer objective creates substantial suitability concerns. Panels generally expect clear documentation when clients forfeit guaranteed benefits, and the burden falls on the representative to demonstrate the trade-offs were understood and accepted.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative David Kershaw of Midwest Financial Services, Inc. recommended that his client, Margaret Holloway (age 68), exchange her existing variable annuity for a new indexed annuity product. Mrs. Holloway had a moderate risk tolerance, a net worth of \$1.2 million (excluding her primary residence), and her primary investment objective was income generation and wealth transfer to her three adult children. Her existing variable annuity had a contract value of \$285,000 but carried a guaranteed death benefit of \$340,000 due to step-up provisions locked in before the 2008 market decline.

Kershaw recommended the exchange because the new indexed annuity offered lower annual fees (1.4% versus 2.1%), principal protection features, and a 5% guaranteed income rider. However, the new product's death benefit was based solely on contract value, meaning Mrs. Holloway's guaranteed death benefit would drop from \$340,000 to approximately \$285,000 upon exchange. Kershaw's file notes indicate he discussed 'fee savings and income features' with the client but contain no specific notation regarding the death benefit reduction implications.

Mrs. Holloway proceeded with the exchange. Seven months later, she was diagnosed with terminal cancer and passed away in February 2023. Her children filed a complaint alleging that Kershaw failed to adequately explain that their mother would forfeit \$55,000 in guaranteed death benefits through the exchange, and that given her age and stated wealth transfer objectives, the recommendation was unsuitable. Kershaw maintains he verbally explained the trade-offs and that the fee savings and income guarantees aligned with Mrs. Holloway's retirement income needs.

Why Borderline

The case hinges on whether the representative adequately weighed the client's wealth transfer objective against income benefits, and whether verbal disclosure without documentation satisfies suitability obligations when a material product feature is forfeited.

Borderline Factors

- * Conflict between client's dual objectives (income generation vs. wealth transfer) creates ambiguity about which should take priority
- * Documentation gap regarding death benefit discussion--absence of notes doesn't definitively prove the conversation didn't occur
- * Unforeseeable health decline affecting whether the exchange would have been beneficial over a normal time

horizon

Analysis

This case presents competing considerations under FINRA Rule 2111 and the reasonable-basis, customer-specific, and quantitative suitability components. Supporting a finding of unsuitable advice: Mrs. Holloway explicitly stated wealth transfer as a primary objective, making the \$55,000 death benefit reduction directly contrary to her stated goals. The documentation failure is significant--Kershaw's notes reference fees and income but contain no contemporaneous evidence that he discussed or weighed the death benefit impact. At age 68 with moderate risk tolerance, the long-term fee savings might not offset the immediate and guaranteed loss of death benefit value, particularly since she may not live long enough to recoup the difference through lower fees. FINRA guidance on annuity exchanges emphasizes that representatives must consider whether the customer will benefit from product features being lost.

Supporting compliance: Kershaw can argue the recommendation addressed Mrs. Holloway's stated income needs, and the 5% guaranteed income rider provided tangible retirement benefits she could enjoy during her lifetime. The fee reduction of 0.7% annually would save approximately \$2,000 per year, and principal protection features reduced her market risk exposure. Representatives are not required to predict mortality, and at age 68, Mrs. Holloway had a reasonable life expectancy during which income features would provide value. Kershaw claims verbal disclosure occurred, and the absence of written documentation, while problematic, doesn't necessarily prove the conversation didn't happen. The exchange form itself likely contained disclosures about death benefit changes.

Item 163 of 250

Topic: annuity_suitability_for_retirement_investor

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest care obligation for recommendations to retail customers; FINRA Regulatory Notice guidance on variable annuity sales to seniors emphasizing liquidity needs, time horizons, and fee disclosure

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially reducing damages based on comparative fault. The guaranteed income features provide legitimate suitability justification, but the concentration of 100% of liquid assets in a single illiquid product with high fees, combined with failure to document consideration of alternatives, suggests a care obligation deficiency. Damages would likely be limited to excess fees and surrender charge exposure rather than full investment losses.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, Margaret Holloway, a 68-year-old recently widowed retiree, inherited approximately \$340,000 from her late husband's 401(k) plan. She met with registered representative Derek Simmons of Coastal Wealth Advisors to discuss her options. Mrs. Holloway had limited investment experience--her husband had managed all financial decisions--and stated her primary goals were capital preservation and generating income to supplement her Social Security benefits of \$1,800 per month. Her total monthly expenses were approximately \$2,400.

After two meetings, Simmons recommended Mrs. Holloway roll over the entire \$340,000 into a Prudential variable annuity with a guaranteed lifetime withdrawal benefit rider. The annuity carried a 7-year surrender period with declining charges starting at 7%, annual fees totaling approximately 3.2% (including the rider), and offered a 5% guaranteed withdrawal rate beginning at age 70. Simmons explained the death benefit features and guaranteed income, but did not present alternative products such as immediate annuities, bond ladders, or a diversified portfolio with systematic withdrawals.

Mrs. Holloway signed the application documents, including a suitability questionnaire indicating a 'moderate' risk tolerance and 10+ year time horizon--entries she later claimed Simmons completed based on his interpretation of their conversations. Eighteen months later, after market declines reduced her account value to \$285,000 and she discovered the surrender charges would cost her over \$18,000 to access her principal, Mrs. Holloway filed a complaint alleging the recommendation was unsuitable given her age, liquidity needs, and lack of investment sophistication.

Why Borderline

The case presents competing considerations: the product's guaranteed income features directly address the customer's stated needs, but the long surrender period, high fees, and failure to present alternatives raise questions about whether this was the most suitable option for a 68-year-old widow.

Borderline Factors

- * Customer's stated desire for guaranteed income versus age-inappropriate surrender period
- * Whether failure to present alternative income strategies constitutes a care obligation violation
- * Disputed accuracy of suitability questionnaire entries and customer sophistication assessment

Analysis

Arguments supporting a suitability violation center on several factors. First, Mrs. Holloway's age and limited time horizon raise questions about a 7-year surrender period product--she was 68 at purchase, meaning full liquidity wouldn't occur until age 75. Second, her documented need for income supplementation beyond Social Security suggests she might need principal access sooner than the surrender schedule allows. Third, the 3.2% total annual fees significantly erode returns for a capital preservation objective. Fourth, Simmons failed to present alternative products that might achieve similar goals with lower costs or greater liquidity. Finally, the questionnaire entries may not accurately reflect Mrs. Holloway's true risk tolerance and time horizon if Simmons completed them without proper customer input.

However, arguments supporting the recommendation's suitability exist. The guaranteed lifetime withdrawal benefit directly addresses Mrs. Holloway's stated income needs, providing certainty that a traditional portfolio cannot match. The 5% guaranteed withdrawal rate on \$340,000 would generate \$17,000 annually starting at age 70, covering her income gap. Variable annuities with living benefit riders are specifically designed for retirement income planning. The death benefit also addresses estate planning for a widow with potential heirs. Additionally, 10% free annual withdrawals provide some liquidity. If Simmons reasonably interpreted Mrs. Holloway's desire for guaranteed income and principal protection through the rider features, the recommendation aligns with her stated objectives. The questionnaire, even if assisted, was signed by the customer.

Item 164 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) regarding the firm's obligation to review suitability determinations

Likely Outcome: FINRA would likely find a violation. The simultaneous profile change and concentrated single-stock recommendation to a 67-year-old retiree dependent on portfolio income creates a strong inference of inadequate suitability analysis. Regulators generally view same-day profile modifications with skepticism, particularly when they conveniently justify otherwise questionable transactions. However, the documented conversations and remaining diversified assets might result in a lesser sanction rather than a finding of egregious misconduct.

Source: 03_FINRA_AWC

Fact Pattern

Marcus Holloway, a registered representative with Coastal Wealth Advisors, had been working with client Eleanor Fitzpatrick, age 67, since 2018. Mrs. Fitzpatrick was a recently widowed retiree with a \$1.2 million portfolio, consisting primarily of diversified mutual funds and bonds. Her stated investment objectives on file were 'income and capital preservation,' with a moderate risk tolerance and a 10-year time horizon. Her annual income from Social Security and a small pension totaled \$42,000, and she relied on portfolio withdrawals of approximately \$30,000 annually to cover living expenses.

In March 2023, Holloway recommended that Mrs. Fitzpatrick invest \$360,000 (30% of her portfolio) into shares of a single technology company, Vertex Dynamics Inc., which Holloway believed was significantly undervalued based on his personal research. Holloway documented that Mrs. Fitzpatrick expressed interest in 'growth opportunities' during their meeting and verbally indicated she was comfortable with taking more risk to potentially increase her estate for her grandchildren. He updated her account profile to reflect a 'growth' objective and 'moderate-to-aggressive' risk tolerance on the same day as the transaction.

By September 2023, Vertex Dynamics had declined 45%, reducing Mrs. Fitzpatrick's position to approximately \$198,000. She filed a complaint alleging the concentrated stock position was unsuitable given her age, income needs, and original conservative objectives. Holloway maintains that the client understood and approved the strategy change, pointing to his contemporaneous notes and the updated profile documentation.

Why Borderline

The case hinges on whether a same-day investment profile modification--from conservative to aggressive--preceding a concentrated stock purchase reflects legitimate customer-driven change or constitutes inadequate suitability diligence with a vulnerable retiree.

Borderline Factors

- * Timing of profile update coinciding exactly with the unsuitable-appearing transaction
- * Customer's remaining diversified assets arguably sufficient to absorb the concentrated position loss
- * Tension between documented verbal statements and customer's underlying financial circumstances and original objectives

Analysis

This case presents competing interpretations of suitability obligations. On one hand, arguments supporting a violation include: the dramatic shift from 'income and capital preservation' to an aggressive single-stock position representing 30% of a retirement portfolio raises red flags. Mrs. Fitzpatrick's age (67), reliance on portfolio withdrawals for essential living expenses, and original conservative profile suggest a concentrated equity position was inappropriate regardless of any verbal statements. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability--the customer-specific component demands alignment with the customer's actual financial situation, not merely documented preferences that conveniently changed the same day as the trade. The timing of the profile update appearing simultaneously with the transaction suggests potential rationalization rather than genuine customer-driven change.

Conversely, arguments supporting compliance include: customers are entitled to change their investment objectives, and Holloway documented the conversation and updated the profile before executing the trade. Mrs. Fitzpatrick had a 10-year time horizon, sufficient remaining assets (\$840,000) in diversified holdings, and her desire to build wealth for grandchildren represents a legitimate investment goal. A 30% single-stock position, while concentrated, is not per se unsuitable, and the client maintained adequate liquidity for her income needs. Holloway conducted independent research supporting his recommendation's reasonable basis.

The critical question is whether the same-day profile change reflects genuine customer evolution or inadequate inquiry into whether the customer truly understood the risks of abandoning her conservative strategy.

Item 165 of 250

Topic: suitability_of_aggressive_growth_recommendation_for_moderate_risk_client

Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding suitability obligations and documentation of customer investment profiles

Likely Outcome: A FINRA arbitration panel would likely find the recommendation unsuitable, awarding partial damages. The written documentation carries significant evidentiary weight, and a 70% aggressive growth allocation appears facially inconsistent with 'moderate' risk tolerance and 'capital preservation' objectives. However, damages may be reduced to account for the client's contributory acknowledgment of risk and the general market decline affecting all equity investors during this period.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Delgado, a registered representative with Lakefront Investment Services, LLC, began working with client Patricia Thornton in March 2022. Thornton, age 58, was a recently widowed high school teacher earning approximately \$72,000 annually. She received a \$425,000 life insurance payout following her husband's death and sought advice on investing the proceeds. On her new account documentation, Thornton indicated a 'moderate' risk tolerance, a 7-10 year investment horizon, and stated her primary objective was 'growth with capital preservation' to supplement her pension in retirement. She had limited prior investment experience, having only participated in her employer's 403(b) plan with target-date funds.

During their April 2022 meeting, Delgado recommended allocating 70% of Thornton's portfolio (\$297,500) to aggressive growth equity funds, including a concentrated technology sector fund and an emerging markets fund. He documented that Thornton verbally expressed interest in 'making the most' of her husband's legacy and was 'willing to take some risk for better returns.' The remaining 30% was placed in investment-grade corporate bonds. Delgado's notes reflect that he explained the volatility potential but also emphasized the long-term growth prospects and her relatively lengthy time horizon.

By December 2022, Thornton's portfolio had declined approximately 28% due to significant technology sector losses and emerging market volatility. She filed a complaint alleging that the aggressive allocation was unsuitable given her documented moderate risk tolerance and inexperience. Delgado maintained that his recommendation was appropriate based on her stated objectives, time horizon, and verbal acknowledgment of risk during their consultation. Lakefront's compliance department noted that Delgado had obtained supervisor approval for the allocation and that all disclosures were properly signed.

Why Borderline

The documented 'moderate' risk tolerance conflicts with the client's verbal statements and longer time horizon, creating genuine ambiguity about whether the aggressive allocation reasonably matched her actual investment profile and objectives.

Borderline Factors

- * Conflict between written 'moderate' risk designation and documented verbal statements expressing willingness to accept risk
- * 7-10 year time horizon arguably supports aggressive equity allocation despite moderate risk tolerance

* Client's limited investment experience versus her stated growth objectives

Analysis

This case presents competing evidence regarding whether the recommendation aligned with Thornton's investment profile. Supporting a suitability violation: Thornton's written documentation clearly indicated 'moderate' risk tolerance and an objective of 'growth with capital preservation.' A 70% allocation to aggressive growth funds, particularly concentrated sector and emerging market products, appears inconsistent with moderate risk tolerance under FINRA Rule 2111's reasonable-basis and customer-specific suitability requirements. Her limited investment experience with only target-date funds suggests she may not have fully understood the volatility risks. The substantial losses demonstrate the actual risk exposure exceeded what a moderate investor should bear.

Supporting compliance: Delgado documented verbal discussions where Thornton expressed willingness to accept risk for better returns. Her 7-10 year time horizon could reasonably support equity-heavy allocation, as conventional financial planning often recommends significant equity exposure for investors with longer horizons. The 30% bond allocation provided some downside protection. Supervisor approval and proper disclosure documentation suggest the firm's compliance process was followed. Importantly, suitability is evaluated at the time of recommendation, not based on subsequent performance. Thornton's stated objective included 'growth,' not solely capital preservation.

The core tension lies between the documented risk tolerance designation and the verbal discussions that may have revealed a more nuanced understanding of the client's actual preferences. FINRA guidance has emphasized that firms should not rely solely on verbal statements when written documentation conflicts, yet client conversations are relevant to understanding true objectives.

Item 166 of 250

Topic: suitability_of_private_placement_in_financially_distressed_firm

Standard: FINRA Rule 2111 (Suitability)--requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) by analogy for concentration concerns; SEC Rule 10b-5 and FINRA Rule 2020 regarding material omissions in securities sales

Likely Outcome: FINRA would likely find suitability violations for the recommendations to Chen and Holloway based on their conservative profiles, income objectives, and inappropriate concentration in a speculative private placement of a financially troubled firm. The recommendation to Vasquez presents a closer question but may survive scrutiny given his aggressive profile and small allocation percentage, though the inadequate disclosure of material firm financial information could still support a violation finding across all three recommendations under reasonable-basis suitability.

Source: 21_FINRA_OHO_Decisions

Fact Pattern

Cascade Capital Partners, a small FINRA member firm, began experiencing significant financial difficulties in early 2023, including two brief net capital deficiency events in January and March. In April 2023, the firm initiated a private placement offering of its own equity securities to raise emergency capital. Registered representative Daniel Morrison recommended this investment to three of his clients: (1) Margaret Chen, age 67, a retired schoolteacher with \$340,000 in liquid assets, moderate risk tolerance, and an investment objective of income and capital preservation for retirement; (2) Robert Vasquez, age 52, a small business owner with \$1.2 million in liquid assets, aggressive risk tolerance, and growth objectives; and (3) Patricia Holloway, age 71, a widow with \$180,000 in assets and conservative risk tolerance seeking income. Morrison recommended each client invest \$25,000 in the firm's equity offering, representing approximately 7.4% of Chen's assets, 2.1% of Vasquez's assets, and 13.9% of Holloway's assets. Morrison verbally mentioned to each client that 'all small firms face challenges' and that 'this was an opportunity to invest in a growing business,' but did not specifically disclose the net capital deficiency events or the firm's overall deteriorating financial condition. The private placement memorandum contained general risk language about investing in small businesses but did not detail the firm's recent regulatory issues. All three clients signed suitability questionnaires reflecting their profiles as stated above.

Why Borderline

The suitability analysis yields clearly different outcomes depending on the specific client--potentially suitable for Vasquez but likely unsuitable for Chen and Holloway--while the disclosure inadequacies create uncertainty about whether any recommendation could be considered suitable without full transparency about the firm's financial condition.

Borderline Factors

- * Whether verbal disclosure of 'challenges' sufficiently informed clients of specific net capital deficiency events
- * Whether the concentration percentages for conservative clients constitute per se unsuitability for speculative private placements
- * Whether the registered representative's obligation to disclose firm financial distress is separate from or embedded within the suitability analysis

Analysis

This case presents competing suitability considerations. Supporting a violation finding: Private placements in financially

troubled firms are inherently high-risk, illiquid investments unsuitable for clients with income and capital preservation objectives like Chen and Holloway. The concentration levels--particularly Holloway's 13.9% allocation--appear excessive for conservative investors. FINRA Rule 2111 requires reasonable-basis suitability (understanding the product's risks), customer-specific suitability (matching to the client's profile), and quantitative suitability. Morrison's failure to fully disclose the net capital deficiencies undermines his ability to establish that clients could make informed decisions about these risks. The Avenir decision emphasizes the materiality of a firm's financial distress when selling its own securities. For elderly, conservative investors, such speculative investments appear categorically unsuitable. Supporting compliance: Vasquez's profile--aggressive risk tolerance, growth objectives, and substantial assets making this a 2.1% allocation--appears potentially suitable for this type of speculative investment. Morrison obtained signed suitability questionnaires and provided some verbal disclosure of risk. The PPM contained risk language, and clients had access to written materials. Some might argue Morrison fulfilled documentation requirements even if disclosure was incomplete. Additionally, for Vasquez, a small allocation to a high-risk opportunity could be consistent with an aggressive growth strategy.

Item 167 of 250

Topic: suitability_of_concentrated_employer_stock_recommendation

Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentration and suitability; SEC Regulation Best Interest Care Obligation if applicable to the transaction type

Likely Outcome: The panel would likely find a suitability violation, though damages might be reduced. While client preferences matter, FINRA guidance emphasizes that advisers cannot rely solely on documented preferences to justify recommendations that are inconsistent with the customer's stated risk profile. A moderate-risk, near-retirement investor maintaining 40%+ concentration in a single stock represents a departure from reasonable suitability standards. However, Tessler's partial diversification efforts and documentation of client preferences would likely mitigate damages and could support a comparative fault analysis.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Kowalski, age 58, was a 30-year employee of Midland Manufacturing Corp. when she consulted with her financial adviser, Brian Tessler of Heartland Wealth Advisors, in March 2024. Kowalski had accumulated \$1.2 million in her 401(k), of which approximately \$780,000 (65%) consisted of Midland stock acquired through the company's ESOP and matching contributions. Her remaining assets included \$180,000 in a taxable brokerage account and a fully-paid home valued at \$350,000. Kowalski indicated on her account documentation that she had a 'moderate' risk tolerance, a 7-year investment horizon until retirement, and her primary objectives were 'growth' and 'retirement income.'

During their planning session, Tessler recommended that Kowalski retain approximately \$500,000 of her Midland position rather than diversifying more aggressively, citing the stock's 12% average annual returns over the prior five years, Kowalski's familiarity with the company's operations, and the significant capital gains taxes that would be triggered by selling in her taxable account. Tessler documented that Kowalski expressed strong emotional attachment to the stock and confidence in Midland's future performance based on her insider knowledge of pending contracts. Tessler recommended diversifying only \$280,000 of the employer stock into a balanced portfolio of equity and fixed-income ETFs.

By November 2024, Midland's stock had declined 45% following the loss of two major government contracts and a product recall. Kowalski's concentrated position was now worth approximately \$275,000, and she filed a complaint alleging Tessler failed to recommend adequate diversification despite her approaching retirement and moderate risk tolerance. Tessler maintained that he had balanced her stated preferences, tax considerations, and documented risk tolerance in making a reasonable recommendation.

Why Borderline

The case balances a client's documented preferences and tax concerns against the adviser's independent obligation to recommend appropriate diversification for a near-retiree with moderate risk tolerance.

Borderline Factors

- * Documented client preference to retain employer stock versus adviser's duty to recommend suitable diversification
- * Legitimate tax efficiency considerations weighed against concentration risk for a 7-year retirement horizon
- * Client's insider knowledge of company versus objective risk of single-stock concentration exceeding 40% of

portfolio

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting a finding of violation: Kowalski's age (58) and 7-year horizon to retirement suggest she had limited time to recover from significant losses. A 65% concentration in a single employer stock substantially exceeds typical diversification guidelines, and maintaining over 40% concentration even after partial diversification represents significant single-stock risk. Her 'moderate' risk tolerance designation appears inconsistent with the volatility inherent in such concentrated exposure. FINRA has consistently emphasized that concentration in employer stock creates correlation risk--the client's employment income and retirement assets both depend on the same company's fortunes.

Supporting compliance: Tessler documented Kowalski's strong preference to retain the position and her expressed confidence based on company knowledge. The recommendation did involve meaningful diversification of \$280,000. Tax efficiency is a legitimate consideration under reasonable-basis suitability, and triggering substantial capital gains could have reduced her net retirement assets. Kowalski's 30-year tenure gave her genuine insight into Midland's operations that a typical investor would lack. Courts and arbitration panels have recognized that client-directed preferences, when properly documented, can support suitability even for concentrated positions. Additionally, the losses resulted from unforeseeable events (contract losses, product recall) rather than predictable risk factors.

The critical question is whether Tessler's duty to recommend diversification outweighed documented client preferences and tax considerations, particularly given her proximity to retirement.

Item 168 of 250

Topic: suitability_of_concentrated_technology_stock_position

Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability requiring reasonable basis to believe recommendation is suitable based on customer's investment profile; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest where applicable to recommendation timing.

Likely Outcome: Partial liability finding is probable, similar to the source award where the firm was held liable for a reduced amount. The arbitrator would likely find the concentration excessive for the stated profile but reduce damages based on client's experience, consent, and shared responsibility for the decision. A compensatory award of 10-15% of claimed losses reflects this split responsibility.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Lindgren, age 58, maintained a brokerage account at Meridian Securities LLC with a stated investment objective of 'growth with moderate risk' and a retirement timeline of 7 years. His net worth was approximately \$1.2 million, with \$340,000 in his Meridian account. In March 2024, his registered representative, David Castellano, recommended that Lindgren purchase 4,000 shares of NovaTech Industries, a mid-cap semiconductor company, at \$42 per share (\$168,000 total), representing approximately 49% of his account value. Castellano's rationale was that NovaTech was positioned to benefit from AI chip demand and had strong institutional backing. Lindgren had prior experience holding individual technology stocks, including a previous position in a networking equipment company.

Lindgren approved the purchase after a 15-minute phone conversation. Castellano documented in his notes that he discussed sector volatility and the concentration risk, though no written acknowledgment was obtained from the client. By November 2024, NovaTech shares had declined to \$19 following disappointing earnings and reduced AI infrastructure spending projections, resulting in a loss of approximately \$92,000.

Lindgren filed an arbitration claim alleging that the recommendation was unsuitable given his moderate risk tolerance and proximity to retirement. He argued that a near-50% concentration in a single volatile technology stock was inappropriate regardless of his prior stock ownership experience. Meridian Securities countered that Lindgren was a sophisticated investor who understood technology sector risks and had explicitly approved the transaction after disclosure of concentration concerns.

Why Borderline

The case balances documented client experience and consent against objective concentration risk for a pre-retiree with moderate risk tolerance, creating genuine uncertainty about whether the recommendation met suitability standards.

Borderline Factors

- * 49% account concentration versus 14% of total net worth creates competing risk narratives
- * Client's prior technology stock experience suggests sophistication but doesn't automatically justify high concentration
- * Verbal disclosure documented in notes but no written client acknowledgment of concentration risk

Analysis

This case presents legitimate arguments on both sides of the suitability determination. Supporting a finding of unsuitability: FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile,

including risk tolerance, time horizon, and other holdings. A 49% concentration in a single mid-cap semiconductor stock is objectively aggressive, particularly for a 58-year-old investor with a 7-year retirement horizon and stated 'moderate risk' tolerance. The substantial concentration magnified downside exposure in ways potentially inconsistent with prudent retirement planning. Industry guidance has consistently emphasized that concentration risk is a key suitability factor.

Supporting compliance: Lindgren had documented experience with individual technology stocks, suggesting familiarity with sector volatility. The representative documented that concentration risks were discussed, and the client affirmatively approved the purchase. Lindgren's overall net worth of \$1.2 million meant the position represented approximately 14% of total assets, not just account assets--a potentially relevant consideration. The 'moderate risk' designation permits some growth-oriented holdings, and Lindgren had a multi-year horizon before retirement.

The absence of written acknowledgment weakens Meridian's defense, but verbal disclosure with contemporaneous notes may satisfy documentation requirements. The critical question is whether the representative's reliance on client approval and prior experience adequately addressed the concentration risk given the client's stated objectives and timeline.

Item 169 of 250

Topic: structured_product_suitability_for_conservative_retirees

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Rule 15l-1 Care Obligation requiring reasonable diligence to understand risks and ensure recommendation is in customer's best interest considering investment profile

Likely Outcome: FINRA would likely find a suitability violation, reasoning that capital preservation as the primary objective is fundamentally inconsistent with allocating 30% to products carrying contingent principal loss, regardless of barrier protection. The enhanced yield rationale, while documented, does not adequately address the profile mismatch. However, sanctions would likely be moderate (fine, brief suspension) given the documentation efforts, client acknowledgments, and absence of actual client losses.

Source: 03_FINRA_AWC

Fact Pattern

Marcus Thornton, a registered representative with Piedmont Securities LLC, serviced a book of approximately 85 clients from 2021 through 2024. Among his clients were Gerald and Patricia Hoffman, both age 72, retired public school teachers with combined pension income of \$6,200 monthly and liquid investment assets of \$485,000. Their account documentation indicated a 'moderate-conservative' risk tolerance, 10-year investment horizon, and primary objectives of capital preservation and income generation. In March 2023, Thornton recommended the Hoffmans allocate \$145,000 (approximately 30% of their portfolio) to a basket of structured notes linked to equity indices with 18-24 month maturities. These products offered enhanced yield of 8-10% annually but included contingent downside exposure if the linked indices declined more than 25%. Thornton documented that the structured notes provided 'principal protection above the barrier level' and higher income than their existing CD ladder yielding 2.5%. The Hoffmans signed acknowledgment forms indicating they understood the products were not FDIC insured and carried market risk. During 2023, the structured notes performed as expected, generating approximately \$12,400 in income. However, FINRA staff later questioned whether the 30% allocation to products with contingent principal risk was appropriate for clients whose primary stated objective was capital preservation, and whether Thornton adequately explained the downside scenarios where the Hoffmans could lose a significant portion of principal.

Why Borderline

The case presents tension between documented capital preservation objectives and the legitimate use of structured products for yield enhancement, where the allocation size and barrier protection create genuine ambiguity about whether the recommendation crossed the suitability line.

Borderline Factors

- * 30% allocation is substantial but not dominant, leaving majority of portfolio presumably conservative
- * 25% downside barrier provides meaningful but not complete principal protection
- * Signed acknowledgments suggest informed consent but may not overcome profile mismatch
- * Successful product performance during holding period complicates retrospective analysis

Analysis

Arguments supporting a suitability violation include: the Hoffmans' documented primary objective was capital preservation, yet Thornton allocated nearly one-third of their liquid assets to products carrying contingent principal loss

risk; at age 72 with fixed pension income, the clients had limited ability to recover from significant portfolio losses; structured products with equity-linked downside exposure are generally classified as complex products requiring heightened suitability analysis; and FINRA guidance emphasizes that enhanced yield does not automatically justify increased principal risk for conservative investors. The 25% barrier, while providing some cushion, still exposed retirees to potentially substantial losses in a market correction. Arguments supporting compliance include: the Hoffmans maintained a 10-year investment horizon, providing time to weather short-term volatility; their pension income covered living expenses, making the invested assets truly discretionary; the structured notes actually performed well and generated meaningful income enhancement; the clients signed detailed acknowledgment forms demonstrating understanding of risks; a 30% allocation left 70% of assets in presumably conservative positions; and the products provided meaningful downside protection through the 25% barrier level. Additionally, Thornton documented his rationale for the recommendation, and the products aligned with the 'moderate' component of the clients' 'moderate-conservative' profile. The key question is whether seeking enhanced yield through structured products is inherently unsuitable for retirees with preservation objectives, or whether appropriate sizing and barrier protection can make such recommendations reasonable.

Item 170 of 250

Topic: suitability_of_puerto_rico_municipal_bond_concentration

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2080 (Expungement Standards); FINRA Regulatory Notice regarding concentration and complex products.

Likely Outcome: Expungement would likely be granted under FINRA Rule 2080 grounds that the claim was factually impossible or clearly erroneous, given the substantial documentation of customer preference and signed risk acknowledgments. However, a panel could alternatively find the claim had merit but settled, denying expungement. The documented consent and tax rationale marginally favor the representative.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2018, Hernando Castillo, a 58-year-old municipal employee in San Juan, Puerto Rico, opened a brokerage account with Coastal Securities LLC. Castillo had a moderate risk tolerance, stated investment objective of income generation, annual income of \$72,000, liquid net worth of approximately \$340,000, and planned retirement in 7 years. His registered representative, Maria Delgado, recommended a portfolio heavily concentrated in Puerto Rico municipal bond closed-end funds, ultimately allocating approximately 68% of his portfolio (\$231,200) across four different PR municipal bond funds by August 2018. Delgado documented that Castillo specifically requested Puerto Rico bonds for triple tax-exempt income and understood the credit risk given the Commonwealth's ongoing fiscal challenges. Castillo signed acknowledgment forms noting concentration risks and the funds' use of leverage. When PR bond values declined significantly in late 2019 and through 2020, Castillo's portfolio lost approximately \$89,000 in value. He filed a FINRA arbitration claim in early 2021 alleging unsuitability, claiming Delgado failed to adequately explain the leverage and liquidity risks, and that a 68% concentration was inappropriate regardless of his stated preferences. Coastal Securities settled the matter for \$45,000 without admitting wrongdoing. Delgado, who did not contribute to the settlement, now seeks expungement of the customer complaint from her CRD record, arguing the recommendation was suitable given the customer's documented preferences, tax situation, and signed risk acknowledgments.

Why Borderline

The case presents tension between documented customer preferences with signed risk acknowledgments versus the broker's independent duty to ensure objective suitability, particularly regarding concentration in a distressed jurisdiction's debt.

Borderline Factors

- * Customer explicitly requested PR bonds and signed concentration risk acknowledgments
- * 68% concentration in leveraged closed-end funds of a fiscally distressed issuer may exceed moderate risk parameters
- * Triple tax-exempt benefit to PR residents provides legitimate rationale for home-state concentration

Analysis

The suitability analysis here involves competing considerations under FINRA Rule 2111. Supporting the recommendation's suitability: Castillo explicitly requested Puerto Rico bonds for their tax advantages, which are particularly valuable to PR residents who receive triple tax-exempt income. His moderate risk tolerance and income objective aligned with municipal bond investments. Delgado obtained signed acknowledgments of concentration and

leverage risks, suggesting informed consent. The 7-year investment horizon provided time to weather volatility, and income-oriented investors often accept some concentration for yield enhancement. Against suitability: A 68% allocation to a single asset class in a jurisdiction facing well-publicized fiscal distress represents significant concentration risk that may exceed moderate risk tolerance parameters. The closed-end funds utilized leverage, amplifying both gains and losses beyond what typical municipal bond investors might expect. While the customer stated preferences, the broker retains an independent obligation to ensure recommendations are suitable regardless of customer requests. FINRA has emphasized that a customer's stated preference does not relieve the broker of suitability obligations if the investment is objectively unsuitable. The substantial loss of approximately 38% of the concentrated position raises questions about whether the risk level was truly moderate. Additionally, with retirement approaching in 7 years, significant capital preservation should have been a consideration.

Item 171 of 250

Topic: non_traded_reit_suitability_for_retirement_account

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest for recommendations after June 2020; FINRA guidance on non-traded REIT sales emphasizing heightened suitability obligations for illiquid products sold to seniors and retirement accounts

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially awarding reduced damages reflecting comparative fault. While the adviser followed firm procedures and obtained acknowledgments, the concentration of illiquid investments in a retiree's IRA raises customer-specific suitability concerns under FINRA Rule 2111. The outcome may turn on whether the panel views the signed acknowledgments as sufficient investor protection or as inadequate given the fundamental mismatch between product characteristics and retirement account needs.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2018, Gordon Whitfield, a registered representative at Coastal Wealth Advisory Group, recommended that his client Margaret Dawson, age 67, invest \$52,000 of her traditional IRA funds into shares of Pinnacle Commercial Real Estate Investment Trust II, a non-traded REIT focused on commercial office properties. Mrs. Dawson had recently rolled over \$185,000 from her former employer's 401(k) plan after retiring from a 32-year career as a hospital administrator. Her investment profile indicated moderate risk tolerance, a 15-year investment horizon, an annual income of \$48,000 from Social Security and a small pension, and liquid assets totaling approximately \$210,000 including the IRA. Whitfield documented that Mrs. Dawson sought income-generating investments and diversification away from traditional equities, noting her concern about stock market volatility following losses in 2008. The non-traded REIT offered a projected 6.5% annual distribution and was marketed as providing commercial real estate exposure with less correlation to public markets.

Whitfield's firm had conducted due diligence on the REIT sponsor and approved the product for sale to suitable clients. The prospectus disclosed the REIT's illiquidity, stating shares could not be easily sold and redemptions were limited, with a seven-year anticipated holding period before potential liquidity events. Mrs. Dawson signed acknowledgment forms confirming she understood these liquidity restrictions and that distributions were not guaranteed. The \$52,000 investment represented approximately 28% of her total liquid assets and roughly 25% of her retirement savings.

By 2021, the REIT had suspended distributions due to pandemic-related commercial real estate disruptions, and the estimated share value had declined by approximately 40%. Mrs. Dawson filed a claim alleging the investment was unsuitable for her retirement account given her age, income needs, and the product's illiquidity. Coastal Wealth maintained that the recommendation was appropriate given her documented objectives and the concentration levels were within firm guidelines permitting up to 30% in alternative investments for moderate-risk clients.

Why Borderline

The case involves documented customer acknowledgments and firm compliance with concentration guidelines, yet the inherent tension between non-traded REIT characteristics and retirement account prudence for a 67-year-old creates legitimate disagreement about whether reasonable basis and customer-specific suitability were met.

Borderline Factors

* Client signed detailed illiquidity acknowledgment forms and had documented 15-year time horizon

- * 28% concentration fell within firm's 30% guideline for alternative investments but represented significant portion of retirement assets
- * Non-traded REIT illiquidity features create heightened suitability concerns for retirement accounts of clients approaching or in retirement

Analysis

This case presents genuine tension between documented suitability factors and prudent retirement account management. Supporting the adviser's position: Mrs. Dawson had a stated 15-year investment horizon extending into her early 80s, providing theoretical time for the REIT's illiquidity to resolve. Her moderate risk tolerance was documented, she signed detailed acknowledgment forms regarding illiquidity risks, and the 28% concentration technically fell within the firm's 30% guideline for alternative investments. The recommendation addressed her stated objectives of income generation and diversification away from volatile public equities. The adviser conducted appropriate due diligence and followed firm procedures.

However, several factors support a suitability violation finding. At age 67, placing over a quarter of retirement assets in an illiquid seven-year investment creates meaningful risk that funds may be needed before liquidity events occur. Healthcare costs, emergency needs, or changes in income could necessitate access to these funds. The 6.5% projected distribution, while attractive, came with significant risks not easily understood by retail investors. Non-traded REITs carry higher fees, valuation uncertainty, and sponsor risk that may not align with retirement account prudence standards. Furthermore, FINRA has repeatedly cautioned about non-traded REIT sales to seniors, emphasizing that illiquidity features require heightened suitability analysis. The fact that distributions were suspended and values declined significantly, while not dispositive, suggests the risk profile may have been understated during the sales process. The concentration level, while within guidelines, may have been excessive given her reliance on these assets for retirement income.

Item 172 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b) and Rule 10b-5 regarding material omissions in connection with securities recommendations

Likely Outcome: The arbitration panel would likely find a partial violation, awarding compensatory damages reduced by comparative fault. The 50% concentration would probably be deemed excessive for a moderate-risk retiree regardless of stated objectives, but Holloway's documented risk tolerance and time horizon, plus the investment's initial alignment with her income needs, would mitigate damages. A panel might award 40-50% of claimed losses, finding the recommendation partially suitable but imprudently concentrated.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, opened an account with Ridgmont Securities LLC in March 2015. Her account documents indicated she was a recently widowed retired schoolteacher with \$780,000 in total liquid assets, moderate risk tolerance, a 10-year investment time horizon, and income needs beginning in 7 years when she planned to supplement her pension. Her stated investment objective was 'growth with income.' Her registered representative, David Chen, recommended she invest \$390,000 (50% of her liquid assets) into shares of Nextera Energy Partners, a master limited partnership (MLP) focused on clean energy infrastructure. Chen explained that MLPs offered attractive yields of approximately 6-7% and potential for capital appreciation, which aligned with her need for future income. He provided marketing materials discussing the energy sector outlook but did not explicitly discuss K-1 tax complexity, liquidity constraints, or sector concentration risk. Over the following 18 months, the position performed well, appreciating 22%. However, in late 2016, energy sector volatility caused the MLP units to decline 35% from their peak, reducing Holloway's position to approximately \$318,000. She filed an arbitration claim alleging the recommendation was unsuitable given her moderate risk tolerance and that concentrating half her portfolio in a single sector violated Chen's duty of care.

Why Borderline

The case turns on whether a 50% concentration in an income-producing MLP can be suitable for a moderate-risk investor when it aligns with stated objectives but creates significant sector-specific downside exposure.

Borderline Factors

- * 50% concentration in single sector versus documented moderate risk tolerance and growth-with-income objective
- * MLP complexity and liquidity constraints versus customer's 10-year stated time horizon
- * Initial strong performance suggesting reasonable basis versus eventual 35% peak-to-trough decline

Analysis

Arguments supporting a suitability violation include the significant concentration of 50% of liquid assets in a single MLP within one sector, which created substantial unsystematic risk for a moderate-risk investor approaching retirement. FINRA guidance has consistently emphasized that concentration in any single security or sector raises heightened suitability concerns, particularly for investors with limited time horizons to recover from losses. The 35% decline demonstrates the materialization of precisely the kind of sector-specific risk that diversification principles are designed to mitigate. Additionally, MLPs carry complexity including K-1 tax reporting, potential unrelated business taxable

income, and liquidity constraints that may not be appropriate for a retired teacher without sophisticated investment experience. However, arguments supporting the recommendation's suitability are also substantial. Holloway's documented 10-year time horizon provided meaningful recovery potential, and her stated 'growth with income' objective aligned with the MLP's yield characteristics. At the time of the recommendation, the position was performing as expected, and the ultimate loss resulted from market conditions rather than an inherently flawed recommendation. Her moderate (not conservative) risk tolerance permitted some growth-oriented investments, and the 6-7% yield directly addressed her stated income needs. Chen could argue that concentration alone does not constitute unsuitability if the customer's profile supports the allocation, and that Holloway was provided information about the investment's characteristics.

Item 173 of 250

Topic: complex_product_suitability_for_experienced_investor

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on leveraged and inverse products emphasizing their unsuitability for buy-and-hold strategies

Likely Outcome: The claim would likely be dismissed or result in minimal damages. Whitfield's documented sophistication, explicit risk acknowledgments, and decision to ignore margin notices strongly support treating him as an informed investor accepting known risks. However, the firm might face criticism for lacking mandatory holding period policies for leveraged products.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Whitfield, age 58, had been a client of Pacific Ridge Wealth Advisors since 2015. His account documentation indicated he was a retired telecommunications executive with a net worth of \$4.2 million, liquid assets of \$1.8 million, and investment experience spanning 25 years including options trading and sector-specific ETFs. His stated risk tolerance was 'aggressive' and his investment objective was 'growth with speculation.' In March 2022, his registered representative, Daniel Ostrowski, recommended allocating \$340,000 (approximately 19% of liquid assets) to a leveraged inverse ETF designed to deliver 3x the inverse daily return of the S&P 500. Ostrowski explained the daily reset mechanism, volatility decay risks, and the product's design for short-term tactical trading. Whitfield signed a product-specific risk acknowledgment and verbally confirmed his understanding during a recorded call. Over the following four months, the position lost \$187,000 as markets rallied, and Whitfield held the position throughout despite receiving two margin notices. In August 2022, Whitfield filed a complaint alleging the recommendation was unsuitable given his proximity to retirement and that Ostrowski should have intervened to liquidate the position. Pacific Ridge's supervision records show the trade was flagged for review but approved based on Whitfield's documented profile and the signed risk disclosure. The firm's procedures did not require mandatory holding period limits for leveraged products held by experienced investors.

Why Borderline

The core tension is whether a customer's sophisticated profile and documented informed consent can justify recommendations of inherently short-term products held for extended periods, particularly when the customer approaches retirement age.

Borderline Factors

- * Customer's extensive documented experience with complex products versus age-related retirement concerns
- * Comprehensive risk disclosure and signed acknowledgment versus product design incompatible with actual holding period
- * Customer's autonomous decision to maintain position versus adviser's potential duty to intervene

Analysis

The suitability analysis here requires balancing customer profile documentation against the inherent risks of a complex, leveraged inverse product for a pre-retiree. Supporting a finding of suitability violation: Whitfield was 58 years old and within the traditional retirement planning window, making a 19% allocation to a product designed for short-term tactical trading potentially inappropriate regardless of stated risk tolerance. The \$187,000 loss represented over 10% of his liquid assets, which could materially impact retirement readiness. FINRA guidance has consistently emphasized that

leveraged and inverse products require heightened suitability scrutiny and that customer-stated preferences alone do not discharge the duty of care. Additionally, Ostrowski's failure to actively recommend liquidation during the four-month holding period could suggest inadequate ongoing supervision of a position that was clearly deteriorating contrary to the product's intended use. Supporting compliance: Whitfield's documented profile strongly supported aggressive investment recommendations--25 years of experience including complex products, substantial assets providing cushion for losses, and explicitly stated growth-with-speculation objectives. The 19% allocation, while significant, did not approach portfolio concentration levels typically triggering automatic suitability concerns. Ostrowski provided thorough oral and written disclosure of the product's mechanics and risks. Whitfield was not a novice investor being steered into unsuitable products; he was an experienced market participant who made an informed decision and subsequently refused to exit despite warnings. The customer's autonomous decision to maintain the position despite margin notices demonstrates informed risk-taking, not adviser misconduct.

Item 174 of 250

Topic: suitability_of_concentrated_stock_position_and_margin_usage

Standard: FINRA Rule 2111 (Suitability) - requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 4210 (Margin Requirements) and associated customer disclosure obligations; SEC Regulation T margin requirements

Likely Outcome: Likely violation finding. The margin recommendation specifically lacks documented suitability analysis, and adding leverage to an already concentrated speculative position for a 67-year-old retiree with capital preservation objectives represents a clear mismatch that Helen's enthusiasm cannot cure. Chen had an affirmative duty to ensure recommendations matched her documented profile.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Helen Kowalski, age 67, opened an account with Pinnacle Wealth Advisors in March 2021. Her customer account form indicated she was a retired schoolteacher with a \$340,000 portfolio representing her entire liquid net worth, moderate risk tolerance, a 10-year investment horizon, and primary objectives of income and capital preservation. Her registered representative, Marcus Chen, learned that Helen had inherited 1,200 shares of Nextera Pharmaceuticals stock worth approximately \$180,000 at the time. Rather than recommending diversification, Chen suggested Helen maintain the concentrated position because Nextera was 'on the verge of breakthrough FDA approvals.' He also recommended she open a margin account to purchase an additional 400 shares at \$150 per share, representing a \$60,000 margin purchase.

In September 2021, Nextera's lead drug candidate failed clinical trials, and the stock dropped 65% over three weeks. Helen received margin calls totaling \$28,000, which she could not meet, resulting in forced liquidation of portions of her position at severely depressed prices. Her total losses exceeded \$140,000.

Chen argued the recommendation was suitable because Helen had expressed enthusiasm about the pharmaceutical sector, had signed margin disclosure documents, and the stock had strong analyst ratings at the time of purchase. He noted that Helen had nodded approvingly when he discussed the potential upside. Pinnacle's compliance records show Helen's account was flagged for concentration review but approved because the inherited stock predated the account opening. No suitability documentation was prepared for the margin recommendation specifically.

Why Borderline

The inherited nature of the concentration and Helen's expressed enthusiasm create tension with her documented conservative objectives, making it unclear whether Chen's failure to recommend diversification and his margin suggestion violated suitability obligations or respected client autonomy.

Borderline Factors

- * Inherited stock position vs. adviser-recommended concentration
- * Customer's verbal enthusiasm vs. documented conservative objectives
- * Margin disclosure signatures vs. lack of specific suitability documentation for margin recommendation

Analysis

This case presents competing considerations under FINRA Rule 2111 suitability requirements. Supporting a violation

finding: Helen's documented profile clearly indicated moderate risk tolerance and capital preservation objectives inconsistent with both a 53% concentration in a single biotech stock and the use of margin leverage. The margin purchase amplified risk substantially for a 67-year-old retiree whose \$340,000 represented her entire liquid net worth. Chen failed to document a reasonable basis for why the margin recommendation aligned with Helen's stated objectives, and the compliance flag for concentration suggests the firm recognized the risk. Biotech stocks awaiting FDA decisions are inherently speculative, and adding margin to such a position compounds the unsuitable nature of the recommendation.

Supporting compliance: Helen inherited the concentrated position rather than Chen recommending she acquire it initially. She expressed enthusiasm about the sector, and the stock had legitimate analyst support at the time. She signed margin disclosures and was informed of the risks. The original concentration existed before Pinnacle's involvement, arguably limiting Chen's responsibility. Helen's 10-year time horizon could theoretically accommodate recovery from volatility, and moderate risk tolerance is not the same as conservative. Chen could argue he was following the customer's expressed preferences rather than imposing his own judgment.

The critical question is whether Chen had an obligation to recommend against the concentrated position and margin usage regardless of Helen's expressed enthusiasm, given her documented objectives and circumstances. The lack of documented suitability analysis for the specific margin recommendation is particularly problematic.

Item 175 of 250

Topic: variable_annuity_exchange_suitability_elderly_client

Standard: Exchange Act Rule 15l-1(a)(1) (Reg BI Care Obligation); Exchange Act Rule 15l-1(a)(2)(iv) (Reg BI Compliance Obligation); FINRA Rule 2330(b), (c), (d) (Deferred Variable Annuities); FINRA Rule 3110(a), (b) (Supervision); FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: Likely violation finding, primarily for supervisory deficiencies under FINRA Rules 2330(c)-(d) and 3110. While the underlying recommendation may have had merit, the firm's failure to document analysis of surrender period appropriateness for an elderly client and conduct required comparative review creates liability. The Exchange Act Rule 15l-1(a)(2)(iv) Compliance Obligation requires written procedures reasonably designed to achieve compliance--the incomplete review documentation demonstrates a procedural failure even if the substantive recommendation was defensible.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

In March 2023, registered representative David Keller of Trident Financial Partners recommended that his 71-year-old client, Margaret Thornton, exchange her existing deferred variable annuity for a new variable annuity product. Mrs. Thornton had held her original annuity for six years, having paid a \$185,000 premium, and the account value had grown to \$212,000. The new annuity offered an enhanced guaranteed lifetime withdrawal benefit (GLWB) rider with a 6% rollup rate compared to the 4% rate on her existing contract, but carried new surrender charges of 7% declining over seven years and an additional 0.35% annual rider fee.

Mrs. Thornton's investment profile indicated moderate risk tolerance, a time horizon of 10-15 years, annual income of \$62,000 from Social Security and a pension, and liquid assets of approximately \$340,000 outside the annuity. She had expressed concern about outliving her retirement savings and wanted guaranteed income options. Keller documented that the enhanced GLWB would provide approximately \$1,400 more in annual guaranteed income if she began withdrawals at age 80 compared to her existing contract's rider.

The firm's supervising principal, Sandra Reeves, approved the exchange after reviewing Keller's recommendation and the comparative analysis. However, the review documentation did not include analysis of whether Mrs. Thornton would realistically hold the new contract long enough to recoup the new surrender charges and additional fees, nor did it address whether the client's health status or life expectancy made the enhanced death benefit features material to the recommendation. Mrs. Thornton had no documented health concerns at the time.

Why Borderline

The recommendation provides a documented, quantifiable benefit aligned with client goals, but the supervisory review omitted key analyses required under FINRA Rule 2330, and the client's age relative to the surrender period raises legitimate best-interest concerns.

Borderline Factors

- * Client's age (71) versus seven-year new surrender period creates liquidity risk uncertainty
- * Documented income benefit exists but break-even and fee impact analysis was incomplete
- * Supervising principal approved but review documentation lacked required comparative analysis under Rule 2330

Analysis

Arguments supporting compliance: Keller gathered comprehensive customer profile information and documented a specific financial benefit--approximately \$1,400 additional annual guaranteed income--that aligned with Mrs. Thornton's stated concern about outliving her savings. The client had a 10-15 year time horizon, which theoretically would allow her to outlast the seven-year surrender period. Her liquid assets of \$340,000 outside the annuity suggest she would not need to surrender the contract early. The enhanced GLWB rider addressed her expressed retirement income security concerns, and a supervising principal reviewed and approved the transaction.

Arguments supporting violation: Under Reg BI's Care Obligation and FINRA Rule 2330, the recommendation must have a reasonable basis considering the customer's age and the new surrender period. At 71, Mrs. Thornton would be 78 before exiting the surrender period--raising questions about whether recommending a product with seven-year liquidity constraints was in her best interest. The 0.35% additional annual fee compounds over time and erodes the projected benefit. The supervisory review failed to address critical factors required under FINRA Rule 2330(b), including whether the customer would benefit from product enhancements given her specific circumstances, break-even analysis, and whether the existing contract's features were genuinely inadequate. The principal's approval documentation lacked the analysis required to demonstrate a reasonable basis for believing the exchange was suitable.

Item 176 of 250

Topic: suitability_of_variable_annuity_exchange_for_retirees

Standard: FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) requiring reasonable basis for exchanges and consideration of whether the exchange will disadvantage the customer; FINRA Rule 2111 (Suitability) customer-specific and quantitative suitability obligations; FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: A FINRA arbitration panel would likely find the exchange unsuitable, focusing on the eight-year surrender period imposed on clients aged 68, the substantial cost increases, and whether Kellner adequately considered foreseeable liquidity needs despite the stated time horizon. However, damages might be limited to surrender charges and excess fees rather than full contract rescission, given the documented client objectives.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2021, Stephen and Margaret Holloway, both 68 years old, met with their financial adviser David Kellner at Coastal Ridge Financial Group in Wilmington, Delaware. The Holloways had \$485,000 in a variable annuity purchased in 2014 that was approaching the end of its seven-year surrender period. Their investment profile indicated moderate risk tolerance, a 15-year time horizon, income-focused objectives, and liquid assets of approximately \$125,000 outside the annuity. Kellner recommended they exchange into a new variable annuity product offering enhanced death benefit riders and a guaranteed lifetime withdrawal benefit (GLWB), which the Holloways' existing contract lacked. The new annuity carried a new eight-year surrender schedule, higher mortality and expense charges (1.45% vs. 1.15%), and the GLWB rider cost an additional 0.95% annually. Kellner documented that the Holloways expressed concern about outliving their assets and wanted guaranteed income in retirement. The exchange generated a \$14,200 commission for Kellner. Six months after the exchange, Margaret was diagnosed with a serious illness requiring significant medical expenses. The Holloways attempted to withdraw \$85,000 from the new annuity and faced surrender charges of approximately \$5,950. They filed a complaint alleging the annuity exchange was unsuitable given their ages, the new surrender period, and the substantial additional costs that eroded their retirement savings without providing proportionate benefit.

Why Borderline

The recommendation addressed documented client concerns about guaranteed retirement income, but imposed significant new costs and illiquidity on clients in their late sixties whose circumstances could foreseeably change.

Borderline Factors

- * Clients' stated 15-year time horizon versus their actual ages and predictable health considerations
- * Whether the GLWB rider provided material benefit proportionate to the cumulative cost increase
- * Adequacy of \$125,000 liquid assets as an emergency reserve for clients approaching their seventies

Analysis

This case presents competing considerations under FINRA's suitability framework for variable annuity exchanges. Supporting the Holloways' position: FINRA Rule 2330 requires that variable annuity exchanges provide material benefits beyond those of the existing contract, and the analysis must account for costs and surrender periods. The Holloways were 68 years old, making an eight-year surrender period extend to age 76--potentially problematic for liquidity needs common in later retirement. The increased total annual costs of approximately 1.25% (higher M&E plus

GLWB rider) would compound significantly over time, reducing accumulation value. The commission generated suggests potential motivation beyond client interest. However, Kellner can argue several mitigating factors: the Holloways' documented 15-year time horizon extended well beyond the surrender period; they specifically expressed longevity concerns that the GLWB directly addressed; they maintained \$125,000 in liquid assets outside the annuity for emergencies; and the guaranteed income feature provided quantifiable protection against sequence-of-returns risk that their existing contract lacked. The subsequent medical diagnosis was unforeseeable at the time of the recommendation. Kellner documented the clients' stated objectives and the rationale for the exchange. The question becomes whether the documented longevity concerns and income objectives justified the new surrender period and costs, or whether a 68-year-old couple with moderate risk tolerance should have been steered toward more liquid alternatives or advised to keep their existing contract.

Item 177 of 250

Topic: cross_border_suitability_latin_american_client

Standard: Investment Advisers Act Section 206 (anti-fraud and fiduciary duty); SEC guidance on investment adviser suitability requiring consideration of client's financial situation, investment experience, and investment objectives; FINRA Rule 2111 suitability factors as analogous guidance for reasonable-basis and customer-specific suitability

Likely Outcome: Regulators would likely find a violation, though potentially not a severe one. The SEC has consistently emphasized that investment adviser fiduciary duty requires considering a client's total financial picture, and the failure to account for Mendez's substantial existing Brazilian exposure when recommending additional Latin American concentration appears inconsistent with his capital preservation mandate. However, sanctions would likely be mitigated by the adviser's articulated rationale and the client's sophistication.

Source: 09_Law_Firm_Memos

Fact Pattern

Meridian Wealth Advisors, a SEC-registered investment adviser based in Miami, Florida, provides cross-border advisory services to high-net-worth clients throughout Latin America. In March 2023, Carlos Mendez, a 58-year-old retired manufacturing executive residing in São Paulo, Brazil, engaged Meridian through a referral from his U.S.-based nephew. Mendez completed a client questionnaire indicating moderate risk tolerance, a 10-year investment horizon, annual income of approximately \$180,000 from pension and rental properties, and liquid assets of \$2.4 million. He stated his primary objective was capital preservation with modest growth to fund his retirement lifestyle and potential healthcare expenses.

Meridian's adviser, Rebecca Torres, recommended allocating 35% of Mendez's portfolio (\$840,000) to U.S.-domiciled emerging market equity funds with significant exposure to Latin American markets, including Brazilian equities. Torres reasoned that Mendez's familiarity with Latin American economies and his existing pension income in Brazilian reais created a natural hedge, making emerging market exposure appropriate despite his stated preference for capital preservation. She also recommended an additional 20% allocation to high-yield corporate bonds.

By December 2023, the emerging market allocation had declined 22% due to currency volatility and political instability in several Latin American countries, while Mendez's overall portfolio lost approximately \$310,000. Mendez filed a complaint alleging that Torres failed to consider that his existing income and property assets were already heavily concentrated in Brazil, meaning the recommended allocation actually increased his geographic and currency risk rather than diversifying it. Torres maintains she conducted appropriate due diligence and that emerging market exposure was suitable given Mendez's sophisticated background and long time horizon.

Why Borderline

The core ambiguity lies in whether considering a client's existing geographic/currency exposure from non-managed assets is required under suitability obligations, and whether a sophisticated client's long time horizon can offset stated capital preservation objectives.

Borderline Factors

- * Tension between stated capital preservation objective and 10-year time horizon suggesting growth capacity
- * Whether suitability analysis must incorporate non-managed assets like foreign pension income and real estate
- * Client sophistication and familiarity with emerging markets potentially justifying higher risk tolerance

Analysis

This case presents competing interpretations of suitability analysis for a cross-border client. Supporting a potential violation, Mendez explicitly stated capital preservation as his primary objective, yet 35% of his portfolio was placed in volatile emerging market equities—an asset class inconsistent with preservation goals. More significantly, Torres may have failed to conduct holistic suitability analysis by not adequately considering Mendez's total financial picture. His pension income, denominated in Brazilian reais, and his rental properties located in Brazil already created substantial emerging market and currency exposure. Adding another \$840,000 in Latin American-heavy emerging market funds arguably concentrated rather than diversified his risk profile. The Investment Advisers Act fiduciary duty requires advisers to consider a client's entire financial situation, not just the assets under management.

However, arguments support Torres's position. Mendez had a 10-year time horizon, providing substantial runway to recover from short-term volatility. His status as a sophisticated former business executive suggests he could reasonably understand emerging market risks. Torres's theory that his Brazilian income provided a natural hedge against dollar-denominated living expenses has some economic logic, though it cuts both ways regarding concentration risk. Additionally, the 35% emerging market allocation, while aggressive for a capital preservation mandate, was not extreme, and the remaining 45% of the portfolio presumably held more conservative positions. The question becomes whether Torres's analysis was merely suboptimal or fundamentally unsuitable.

Item 178 of 250

Topic: annuity_replacement_best_interest_elderly_client

Standard: NY Insurance Regulation 187, Section 224.4 (best interest standard for annuity recommendations); Section 224.5 (producer obligations regarding replacements); Section 224.6 (documentation requirements); NAIC Model Regulation 275 suitability provisions for annuity replacement transactions

Likely Outcome: Probable finding of Reg 187 violation. While the improved product features provide some justification, the absence of documented comparative analysis demonstrating how and when the new benefits outweigh the surrender costs, combined with the significant compensation differential, likely fails to meet the 'best interest' documentation and care requirements. Regulators will likely view the producer's failure to quantify the trade-offs as evidence that the recommendation prioritized commission over client welfare.

Source: 08_State_Fiduciary_Rules

Fact Pattern

In March 2024, licensed insurance producer David Hartley of Empire Financial Services met with 71-year-old Margaret Chen, a retired schoolteacher in Buffalo, New York. Mrs. Chen held an existing fixed indexed annuity purchased in 2019 with a current account value of \$185,000, a remaining 3-year surrender period, and a guaranteed minimum withdrawal benefit of 5.5%. She expressed concern about 'keeping up with inflation' after reading news articles about rising costs. Hartley recommended she surrender her existing annuity and purchase a new fixed indexed annuity from a different carrier offering a 2.25% participation rate cap (versus her current 1.75% cap) and a 6% guaranteed withdrawal benefit, but with a new 7-year surrender period and immediate surrender charges of \$8,325 on the existing contract.

Hartley documented that Mrs. Chen had moderate risk tolerance, a \$42,000 annual pension plus Social Security, approximately \$95,000 in liquid savings outside the annuity, and no immediate liquidity needs. Her stated goals were 'inflation protection' and 'leaving something for my grandchildren.' Hartley's notes indicate he explained the surrender charges but emphasized the higher withdrawal guarantee and improved caps would 'more than make up for the costs over time.' He did not document any comparison showing projected break-even analysis or quantify how long it would take for the new product's benefits to offset the surrender penalties.

Mrs. Chen's daughter later contacted the insurer questioning whether the replacement served her mother's best interest, noting her mother had mentioned feeling 'confused about all the numbers' but trusted Mr. Hartley's recommendation. The compliance review revealed Hartley received a 6.5% commission on the new sale versus the 1.5% trail commission he would have earned on the existing contract.

Why Borderline

The replacement offers objectively improved product features, but the lack of documented comparative analysis and the producer's significantly higher compensation create genuine uncertainty about whether the recommendation truly served the client's best interest under Reg 187's heightened standard.

Borderline Factors

- * New product has quantifiably better guarantees and caps versus existing annuity
- * No documented break-even analysis comparing total costs versus benefits over time
- * Producer compensation increased substantially from replacement versus retention
- * Client expressed confusion yet adequate liquidity existed outside the annuity

Analysis

Under NY Regulation 187, producers must act in the client's best interest when recommending annuity transactions, including replacements. The regulation specifically requires consideration of whether a replacement provides genuine benefit beyond the existing coverage, accounting for surrender charges, loss of guarantees, and new surrender periods. Arguments supporting a violation include: (1) Hartley failed to document a break-even analysis showing when the new product's improved features would offset the \$8,325 surrender penalty and restart of surrender periods; (2) the significantly higher commission creates an inference that compensation may have influenced the recommendation; (3) Mrs. Chen's stated confusion suggests she may not have understood the trade-offs; and (4) her actual needs--inflation protection and legacy planning--were arguably already being met by her existing product with lower ongoing costs. Arguments supporting compliance include: (1) the new product objectively offers improved withdrawal guarantees (6% vs. 5.5%) and higher caps (2.25% vs. 1.75%); (2) Mrs. Chen had adequate liquidity outside the annuity and no immediate need for the surrendered funds; (3) at age 71, the 7-year surrender period would end when she is 78, still within reasonable planning horizons; and (4) Hartley did document her suitability profile and disclosed the surrender charges. The regulation does not mandate specific documentation formats, leaving ambiguity about whether verbal explanation of costs satisfies the care obligation.

Item 179 of 250

Topic: best_interest_retirement_rollover_recommendation

Standard: Exchange Act Rule 15l-1 (Regulation Best Interest), specifically the Care Obligation requiring broker-dealers to exercise reasonable diligence, care, and skill to understand reasonably available alternatives and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time made, without placing the broker-dealer's financial interest ahead of the customer's interest. Also applicable: SEC's rollover guidance emphasizing consideration of costs, available services, and investment options when recommending retirement account rollovers.

Likely Outcome: A regulatory examination would likely result in heightened scrutiny but not necessarily a violation finding, provided Horizon can demonstrate robust documentation of why the advisory services and broader investment options justified the cost increase for this particular client. However, the mismatch between Patricia's stated volatility concerns and the 60% equity recommendation weakens the best interest justification and could tip toward a Care Obligation violation if examiners conclude Marcus prioritized commission generation over tailoring the recommendation to her expressed needs.

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

In March 2024, registered representative Marcus Chen of Horizon Securities LLC met with Patricia Nguyen, a 58-year-old school administrator earning \$78,000 annually who was retiring early due to health concerns. Patricia had accumulated \$340,000 in her employer's 403(b) plan, which offered twelve low-cost index funds with expense ratios averaging 0.08% and included a stable value fund yielding 4.2%. Marcus recommended Patricia roll the entire balance into a Horizon brokerage IRA and invest in a diversified portfolio of actively managed mutual funds with expense ratios averaging 0.85%, generating approximately \$4,100 in upfront commissions for Marcus.

Marcus documented that Patricia expressed concerns about market volatility given her health situation and desire for steady income during early retirement before Social Security eligibility. He noted she wanted 'professional guidance' navigating retirement. The recommended portfolio included a 40% allocation to bond funds and a 60% allocation to large-cap equity funds, which Marcus believed appropriate for her seven-year horizon until full Social Security benefits. Patricia's existing 403(b) plan offered no advisory services, and participants managed their own allocations.

Patricia had limited investment experience beyond the 403(b), moderate risk tolerance per Horizon's questionnaire, and no other significant liquid assets beyond \$45,000 in emergency savings. Marcus's supervisor approved the rollover recommendation after reviewing the suitability documentation, noting that Patricia's desire for guidance and the broader investment options in the IRA supported the recommendation despite the higher costs.

Why Borderline

The case involves a direct tension between the quantifiable cost disadvantage of the rollover and the qualitative benefit of advisory services Patricia requested, with no clear regulatory formula for weighing these competing considerations.

Borderline Factors

- * Significant cost differential (0.77% annually) versus explicit client request for guidance unavailable in existing plan
- * Commission compensation creating broker financial interest in the rollover recommendation
- * Client's expressed volatility concerns potentially better addressed by stable value fund than 60% equity allocation

Analysis

Arguments supporting a Reg BI violation center on the cost differential. The 0.77% annual expense ratio increase translates to approximately \$2,618 in additional annual costs on the \$340,000 balance--costs that compound significantly over Patricia's retirement horizon. The existing 403(b) offered adequate diversification through twelve index funds, and the stable value fund addressed her expressed volatility concerns more directly than the recommended 60% equity allocation. The \$4,100 commission creates an obvious financial incentive that could have influenced Marcus's recommendation, and reasonable alternatives existed that would have cost Patricia substantially less.

Arguments supporting compliance emphasize that Reg BI evaluates recommendations 'at the time' they are made based on information then available. Patricia explicitly requested professional guidance, which her 403(b) did not provide--this represents a legitimate investor need beyond raw cost comparison. The recommended asset allocation (40/60 bond/equity) was reasonable for a 58-year-old with a seven-year horizon, and active management may provide value during volatile markets that concerned Patricia. Marcus documented his rationale, his supervisor reviewed and approved the recommendation, and Horizon's policies were followed. The SEC has acknowledged that cost is not the sole determinative factor and that rollover recommendations can be appropriate even when involving higher costs if other factors support the investor's best interest.

The Care Obligation requires consideration of 'reasonably available alternatives,' but does not mandate recommending the lowest-cost option in every instance.

Item 180 of 250

Topic: business_development_company_suitability_for_retail_investor

Standard: Investment Advisers Act of 1940 Section 206 (fiduciary duty); SEC interpretation of adviser duty of care requiring reasonable belief that advice is in client's best interest; Investment Company Act provisions governing BDCs under Sections 80a-64 and 80a-65 as referenced in the document

Likely Outcome: A regulator would likely find a technical violation of the duty of care, focusing on inadequate explanation of leverage risks and the mismatch between product complexity and client sophistication. However, given the prospectus delivery, regulated nature of the product, and partial diversification, sanctions would likely be limited to enhanced supervision requirements and possible restitution rather than severe penalties. The outcome depends heavily on documentation of what risks were actually discussed.

Source: 16_Congressional_Materials

Fact Pattern

In March 2023, Margaret Holloway, a 58-year-old administrative assistant earning \$52,000 annually, met with Bradley Chen, an investment adviser representative at Pinnacle Wealth Advisors LLC, a registered investment adviser. Holloway had accumulated \$185,000 in her 401(k) from a previous employer and sought advice on rolling over these funds into an IRA for retirement planning. Her investment questionnaire indicated moderate risk tolerance, a 7-year time horizon until retirement, and limited investment experience beyond target-date mutual funds. Chen recommended allocating 25% (\$46,250) of her rollover IRA to Vertex Capital Partners BDC, a publicly traded business development company that invests primarily in middle-market companies through senior secured loans and subordinated debt. Chen emphasized the BDC's 9.2% dividend yield compared to the 4.5% yield available from traditional bond funds, noting that the income would help Holloway meet her retirement income goals. He provided Holloway with the BDC's prospectus and explained that BDCs are regulated under the Investment Company Act but operate differently than traditional mutual funds. However, Chen did not extensively discuss the BDC's use of leverage (typically 1:1 debt-to-equity), the illiquidity risk during market stress, or the potential for dividend cuts during economic downturns. Holloway signed the advisory agreement and proceeded with the allocation. By December 2023, Vertex Capital Partners BDC had declined 18% in value amid rising interest rates, and the quarterly dividend was reduced by 30%.

Why Borderline

The case involves a regulated, publicly traded product recommended to meet legitimate income objectives, but the client's limited sophistication and pre-retirement timeline create tension with the product's leverage and volatility characteristics.

Borderline Factors

- * Client's moderate risk tolerance could reasonably support either conservative or income-oriented allocations
- * BDCs are SEC-regulated and publicly traded, unlike truly illiquid alternatives
- * 25% concentration is substantial but not dominant; diversification was maintained
- * Adviser provided prospectus but may not have adequately explained leverage implications

Analysis

The suitability analysis hinges on whether a 25% allocation to a leveraged BDC was appropriate for a pre-retiree with moderate risk tolerance and limited investment sophistication. Arguments supporting a violation include: the client's limited experience with complex products, the significant concentration (25%) in a single alternative investment, the

leveraged nature of BDCs amplifying downside risk, and the approaching retirement timeline that limits recovery time. The Investment Advisers Act imposes a fiduciary duty requiring advisers to provide advice in clients' best interests, and the SEC has emphasized that recommendations involving complex or higher-risk products require heightened scrutiny of client suitability. The adviser's focus on yield without commensurate discussion of leverage and volatility risks could constitute inadequate care obligation fulfillment. However, arguments supporting compliance include: the BDC was publicly traded and SEC-regulated under the Investment Company Act (as referenced in Section 80a-64), the client received the prospectus, a 25% allocation leaves 75% in presumably more conservative investments, and the 9.2% yield rationally addressed her stated income needs for retirement. Moderate risk tolerance does not preclude all alternative investments, and BDCs are not inherently unsuitable--they occupy a middle ground between traditional fixed income and private credit. The adviser could argue the recommendation was reasonable given the client's income objectives, and market losses alone do not establish unsuitability. The core question is whether the documentation and discussion adequately matched the product's complexity to the client's profile.

Item 181 of 250

Topic: non_traded_reit_suitability_elderly_investor

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); SEC guidance on non-traded REIT sales practices; FINRA's heightened supervision expectations for sales to senior investors

Likely Outcome: A regulatory review would likely find technical compliance with suitability requirements given thorough documentation, signed acknowledgments, and reasonable concentration levels, but might recommend enhanced supervisory procedures for illiquid product sales to elderly investors. A FINRA arbitration panel could go either way depending on emphasis placed on the client's age and limited experience versus the representative's documentation practices.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 72, became a client of Heartland Financial Advisors in March 2018. Her registered representative, David Kerrigan, conducted an initial assessment showing Mrs. Holloway had a net worth of approximately \$1.2 million, with \$680,000 in liquid investable assets, primarily from her late husband's life insurance proceeds. She indicated a moderate risk tolerance on her new account form and stated her primary investment objective was income generation to supplement her Social Security benefits of \$2,100 monthly. Mrs. Holloway had limited investment experience, having previously held only CDs and a small mutual fund position.

In September 2018, Kerrigan recommended Mrs. Holloway invest \$150,000 (approximately 22% of her liquid assets) in Meridian Healthcare Properties Trust, a non-traded REIT focused on medical office buildings and senior living facilities. Kerrigan documented the recommendation as suitable based on the REIT's projected 6.5% annual distribution rate, which would provide approximately \$9,750 in annual income. He noted in his files that the investment aligned with her income objective and that she had sufficient remaining liquid assets. The client acknowledged receiving the prospectus and signed an Alternative Investment Purchase Acknowledgment form indicating she understood the illiquid nature of the investment.

By late 2020, Mrs. Holloway needed funds for unexpected medical expenses and home repairs totaling approximately \$85,000. She was unable to liquidate her REIT position and filed a complaint alleging the investment was unsuitable given her age and potential liquidity needs. The firm's internal review concluded the account was handled appropriately based on documentation at the time of sale, but the matter was settled for \$45,000 without Kerrigan contributing to the settlement.

Why Borderline

The case hinges on whether standard suitability documentation and a reasonable allocation percentage adequately protect elderly investors in illiquid products, or whether the inherent risks of non-traded REITs for seniors require additional safeguards regardless of concentration levels.

Borderline Factors

- * Client's age versus remaining liquid asset cushion after the investment
- * Adequacy of disclosure acknowledgments versus practical understanding of illiquidity risks
- * Reasonable income-generation objective versus availability of more liquid alternatives

Analysis

This case presents genuine tension between documented suitability procedures and the practical realities of recommending illiquid products to elderly investors. Arguments supporting a suitability violation include: Mrs. Holloway's age (72) and corresponding higher probability of unexpected healthcare expenses should have prompted greater caution regarding illiquid investments; the concentration of 22% of liquid assets in a single illiquid product may be excessive for a client with limited investment experience; and the income objective could have been achieved through more liquid alternatives such as dividend-paying stocks or bond funds. FINRA guidance has consistently emphasized heightened scrutiny for complex, illiquid products sold to elderly investors.

However, arguments supporting compliance are substantial: the 22% allocation left 78% of liquid assets available for emergencies; the client's \$1.2 million net worth and \$680,000 liquid base suggests capacity to absorb some illiquidity; the representative obtained signed acknowledgment forms confirming the client understood the illiquid nature; the income objective documentation was thorough; and the projected 6.5% distribution rate was reasonable for achieving the stated income goal. The representative's contemporaneous notes and the firm's compliance review both supported the recommendation's appropriateness at the time of sale. Additionally, the unforeseen medical expenses arose more than two years post-purchase, suggesting the original suitability analysis was reasonable based on known circumstances.

Item 182 of 250

Topic: qualitative_suitability_illiquid_reit_in_ira

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on non-traded REITs recommending concentration limits; FINRA's requirement that suitability analysis consider the customer's entire financial situation and needs

Likely Outcome: A FINRA arbitration panel would likely find partial liability, awarding damages reduced by some comparative fault. While documentation exists, the qualitative analysis suggests a 30% concentration in an illiquid hospitality REIT was excessive for this customer profile. Panels frequently look beyond signed forms to assess whether the overall recommendation made sense, and the combination of age, income dependency, and concentration creates suitability concerns that paperwork alone cannot cure.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Kowalski, age 67, opened an IRA rollover account with Clearfield Securities, LLC in March 2021, transferring \$285,000 from her previous employer's 401(k). Her new client account form indicated moderate risk tolerance, an investment objective of 'income with capital preservation,' and a 10-15 year time horizon until she would need to draw significantly on the funds. She disclosed fixed income of \$2,400/month from Social Security and a modest pension, with the IRA representing approximately 70% of her liquid net worth. Her registered representative, Marcus Delano, recommended allocating \$85,000 (approximately 30% of the IRA) to a non-traded REIT called Harbor Hospitality Trust, emphasizing its projected 7.5% annual distribution and exposure to the recovering hotel sector. Delano provided the prospectus and verbally explained that the investment was illiquid with an estimated 7-year hold period, though he emphasized the attractive yield compared to bonds and CDs. Mrs. Kowalski signed acknowledgment forms confirming she understood the illiquidity risks. By November 2022, Harbor Hospitality Trust suspended distributions due to commercial real estate market conditions and reduced its estimated share value by 35%. Mrs. Kowalski filed a complaint alleging the concentration in an illiquid product was unsuitable given her age, income needs, and the IRA representing the majority of her retirement assets.

Why Borderline

The documented 10-15 year time horizon and signed risk acknowledgments conflict with the qualitative concern that a 67-year-old with 70% of liquid assets in this IRA may face genuine liquidity needs that make 30% illiquid concentration unsuitable regardless of paperwork.

Borderline Factors

- * Tension between documented time horizon and practical likelihood a 67-year-old will need liquidity before a 7-year hold period expires
- * Whether signed risk acknowledgments satisfy reasonable-basis suitability when the overall profile suggests income needs
- * 30% IRA concentration in single illiquid product versus typical non-traded REIT concentration limits

Analysis

This case presents genuine tension between documented client consent and the qualitative suitability analysis required under FINRA Rule 2111. Supporting a finding of unsuitability: Mrs. Kowalski's profile suggests she may need IRA

distributions within the foreseeable future as her primary retirement asset, making a 7-year illiquid investment potentially inappropriate. A 30% concentration in a single illiquid product creates significant liquidity risk for a 67-year-old whose stated objective was 'income with capital preservation.' Non-traded REITs carry substantial risks including valuation uncertainty, distribution cuts, and limited secondary markets--risks that may be inconsistent with a moderate risk tolerance and preservation objective. The hospitality sector was still recovering from pandemic impacts in 2021, adding speculative elements. Supporting compliance: The 10-15 year stated time horizon technically accommodates the 7-year hold period, suggesting Mrs. Kowalski did not anticipate needing immediate access. The 7.5% projected distribution aligned with her income objective. Delano provided the prospectus and obtained written acknowledgments of illiquidity risks. The remaining 70% of the IRA could provide liquidity. FINRA guidance recognizes that non-traded REITs can be suitable for some investors seeking income, and the allocation did not exceed typical concentration limits (often 10% of liquid net worth, here approximately 30% of IRA but under 10% when viewed against total net worth if other assets exist). However, the Statement of Claim notes the IRA was 70% of liquid net worth, making the effective concentration in illiquid assets more concerning.

Item 183 of 250

Topic: fiduciary_duty_standard_rollover_recommendation

Standard: Investment Advisers Act §206 (fiduciary duty); SEC Staff Bulletin on Standards of Conduct for Investment Advisers regarding rollover recommendations; state fiduciary standards where applicable

Likely Outcome: Likely violation finding with mitigating factors. Regulators have increasingly scrutinized rollover recommendations with significant cost increases, and the lack of documented quantitative analysis undermines Marcus's position. However, the variable annuity features and Helen's risk profile provide some justification, potentially reducing sanctions to enhanced supervision and documentation remediation rather than disgorgement or restitution.

Source: 11_Case_Law

Fact Pattern

In March 2023, Helen Kowalski, age 64, consulted with Marcus Webb, a dually-registered representative at Horizon Wealth Partners, regarding her upcoming retirement from a regional hospital system. Helen had accumulated \$387,000 in her employer's 403(b) plan, which offered a menu of twelve low-cost index funds with expense ratios averaging 0.08%. Marcus recommended Helen roll her 403(b) into an IRA at Horizon, where he would manage her assets under a fee-based advisory arrangement charging 1.15% annually. Marcus conducted a risk tolerance questionnaire showing Helen as 'moderate-conservative' and documented her goals as income generation and capital preservation over a 20-year retirement horizon. The IRA portfolio Marcus constructed consisted of actively managed mutual funds and two variable annuities with living benefit riders, resulting in total annual costs of approximately 2.3% including sub-account fees. Marcus's documentation noted that the IRA provided 'greater investment flexibility, consolidated account management, and access to guaranteed income options unavailable in the 403(b).' Helen's existing 403(b) offered a stable value fund yielding 3.1% and a target-date fund appropriate for her retirement timeline. Marcus did not document a quantitative cost-benefit comparison between staying in the plan versus rolling over, though he verbally discussed the fee differential with Helen during their meeting.

Why Borderline

The case hinges on whether documented qualitative benefits (guaranteed income, flexibility, ongoing advice) can justify a substantial cost increase absent formal quantitative comparison, and whether verbal fee disclosure satisfies documentation requirements.

Borderline Factors

- * Magnitude of fee increase (28x) versus value of guaranteed income features for risk-averse retiree
- * Absence of written cost-benefit analysis despite verbal fee discussion
- * Whether 'investment flexibility' constitutes sufficient justification when existing plan met stated objectives

Analysis

This case presents the classic tension in rollover recommendations between enhanced services and increased costs that regulators have identified as a key area of concern. Supporting a finding of violation: The cost differential is substantial--Helen's annual fees increased from approximately \$310 (0.08% of \$387,000) to roughly \$8,900 (2.3%), representing a 28-fold increase in expenses. Under both the SEC fiduciary standard applicable to investment advisers and emerging best interest principles, the adviser bears the burden of demonstrating that increased costs are justified by corresponding benefits. Marcus's documentation lacks the quantitative analysis that would support his recommendation, and the 'greater flexibility' rationale has been criticized by regulators as insufficient standing alone.

The 403(b)'s target-date fund and stable value option already addressed Helen's stated objectives. Supporting compliance: Marcus did conduct suitability analysis, documented Helen's objectives, and the variable annuities' guaranteed income features represent a legitimate benefit not available in the 403(b). For a moderate-conservative retiree concerned about longevity risk, living benefit riders can provide meaningful value. Marcus verbally discussed fees, suggesting informed consent. The fiduciary standard requires reasonable basis for recommendations, not necessarily the lowest-cost option. Additionally, consolidated account management and ongoing advice relationships may provide intangible benefits difficult to quantify but valuable to certain clients.

Item 184 of 250

Topic: open_ended_fund_liquidity_suitability_for_retirement_investor

Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest Care Obligation; FINRA Rule 2330 (for retirement account recommendations); IOSCO Suitability Principles regarding matching product characteristics to investor needs and circumstances; state fiduciary standards where applicable to IRA rollover recommendations

Likely Outcome: A regulator would likely find a suitability violation, reasoning that the explicit disclosure of potential near-term liquidity needs for healthcare expenses should have been weighted more heavily than yield optimization. The signed acknowledgment does not cure an unsuitable recommendation, and the 40% concentration was excessive given the client's stated concerns. However, the violation would likely result in remediation and modest sanctions rather than severe penalties given the documentation efforts.

Source: 23_International_Comparative

Fact Pattern

Margaret Chen, age 67, approached Pinnacle Wealth Advisers in March 2024 seeking to invest her \$485,000 IRA rollover from a former employer's 401(k) plan. Mrs. Chen indicated she needed monthly income of approximately \$2,500 to supplement her Social Security benefits, had a moderate risk tolerance, and emphasized that she might need access to a significant portion of her principal within 2-3 years for potential long-term care expenses for her husband. Her adviser, Daniel Torres, recommended allocating 40% (\$194,000) to the Evergreen Alternative Credit Fund, an open-ended fund investing primarily in private credit instruments and leveraged loans with stated quarterly redemption windows and a 90-day redemption notice requirement.

Torres documented that the fund offered an attractive 8.2% yield compared to traditional bond funds yielding 4-5%, which would help meet Mrs. Chen's income needs. He noted the fund's historical NAV stability and its classification as moderate risk by the fund sponsor. Torres provided Mrs. Chen with the fund prospectus, which disclosed liquidity constraints and the fund manager's authority to implement redemption gates or suspend redemptions during stressed market conditions. Mrs. Chen signed an acknowledgment form indicating she understood the fund's liquidity features.

In January 2025, Mrs. Chen's husband required immediate placement in a memory care facility costing \$9,500 monthly. When she attempted to redeem her Evergreen Fund position, she learned she had missed the quarterly redemption window by two weeks and would need to wait until April 2025. Additionally, the fund had implemented a 10% redemption gate due to increased investor outflows, meaning she could only access approximately \$19,400 of her \$194,000 position even after the waiting period.

Why Borderline

The tension between Mrs. Chen's explicit statement about potential near-term liquidity needs and the documented disclosure/acknowledgment process creates genuine uncertainty about whether the yield-focused recommendation adequately weighted foreseeable liquidity requirements.

Borderline Factors

- * Client explicitly mentioned potential 2-3 year liquidity need but timing and amount were uncertain
- * Adviser obtained signed acknowledgment of liquidity constraints after providing prospectus
- * 40% concentration in semi-liquid fund versus 60% in liquid assets represents debatable allocation balance

Analysis

The suitability analysis presents compelling arguments on both sides. Supporting a potential violation: Mrs. Chen explicitly stated she might need significant principal access within 2-3 years for caregiving expenses—a foreseeable liquidity need that conflicts fundamentally with a fund featuring quarterly redemption windows, 90-day notice requirements, and potential gates or suspensions. At 67 with an immediate income need and uncertain healthcare expenses, concentrating 40% of her retirement assets in a semi-liquid vehicle arguably failed to adequately weigh her liquidity requirements against yield objectives. The IOSCO framework emphasizes that fund structures with inherent liquidity mismatches require careful consideration of investor suitability, and Mrs. Chen's profile suggested she was not an appropriate investor for such constraints.

Supporting compliance: Torres documented his rationale focusing on the income objective, provided full prospectus disclosure, and obtained signed acknowledgment of liquidity terms. The 8.2% yield materially addressed her stated \$2,500 monthly income need better than alternatives. Mrs. Chen's moderate risk tolerance and multi-year investment horizon could reasonably accommodate quarterly liquidity for a portion of assets. The recommendation left 60% of her portfolio in more liquid investments, maintaining some flexibility. The husband's accelerated care needs were not definitively anticipated at the time of recommendation. Torres could argue he balanced competing objectives reasonably and that the liquidity constraints were clearly disclosed and acknowledged.

Item 185 of 250

Topic: suitability_complex_illiquid_products_retirees

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest care obligation for broker-dealers (if applicable post-June 2020); FINRA Regulatory Guidance on Non-Traded REITs emphasizing heightened scrutiny for sales to seniors

Likely Outcome: The case would likely result in a partial award to claimants or settlement. While documentation appears facially compliant, arbitrators frequently look beyond paperwork to assess whether recommendations truly served the customer's interests. The combination of advanced age, illiquidity concentration, and subsequent losses would likely generate sympathy, though the documented risk tolerance and signed acknowledgments would limit the recovery amount.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Harold and Marilyn Dawson, ages 72 and 69 respectively, had accumulated approximately \$485,000 in retirement savings across four accounts (two individual IRAs and two joint brokerage accounts) by early 2018. The Dawsons had worked with registered representative Kenneth Barlow at Piedmont Financial Services for nearly eight years. Their documented investment profile indicated moderate risk tolerance, income-focused objectives, a 10-15 year time horizon, and liquid net worth of approximately \$520,000 (the majority being their investment accounts). In March 2018, Barlow recommended the Dawsons invest approximately \$145,000 (30% of their portfolio) across three non-traded REITs focused on commercial real estate and hospitality properties, explaining they would provide steady income distributions of 6-7% annually to supplement their Social Security. The Dawsons signed acknowledgment forms indicating they understood the products were illiquid with no guaranteed market and holding periods of 7-10 years. Between 2018 and 2022, the REITs suspended or reduced distributions multiple times, and by late 2022, two of the three REITs had marked down their estimated share values by 35-50%. The Dawsons filed a complaint in 2023 alleging the recommendations were unsuitable given their age, liquidity needs, and concentration in a single illiquid asset class. Piedmont and Barlow contended that the investments matched the Dawsons' documented moderate risk tolerance and income objectives, that concentration limits were observed at 30%, and that all disclosures were properly made.

Why Borderline

The case presents tension between facially compliant documentation (signed disclosures, moderate risk tolerance, income objectives) and the practical appropriateness of locking up 30% of elderly retirees' liquid assets in products with decade-long holding periods.

Borderline Factors

- * Time horizon documentation (10-15 years) technically supported the holding period, but practical access needs for retirees in their 70s may differ
- * 30% concentration is meaningful but falls within common firm guidelines and wasn't extreme
- * Signed acknowledgment forms demonstrate informed consent but don't eliminate suitability obligations

Analysis

The suitability analysis here hinges on several competing factors. Supporting a finding of unsuitability: The Dawsons' ages (72 and 69) at the time of purchase meant the 7-10 year holding periods would extend into their early 80s, potentially limiting access to funds during peak healthcare expense years. Additionally, 30% concentration in illiquid

alternative investments for retirees whose liquid net worth was predominantly in these accounts raises questions about whether Barlow adequately considered their overall liquidity needs. FINRA has repeatedly cautioned about non-traded REIT sales to seniors, and the products' complexity and illiquidity are generally viewed as less appropriate for clients in or near retirement who may need access to funds. Supporting compliance: The Dawsons had a documented moderate risk tolerance and income-focused objectives, which non-traded REITs arguably address through their distribution structures. The 10-15 year time horizon documented in their profiles technically encompasses the REIT holding periods. The 30% allocation, while significant, does not necessarily constitute over-concentration under typical firm policies. Furthermore, the Dawsons signed acknowledgment forms demonstrating they understood the illiquidity risks. The subsequent performance issues (distribution suspensions, NAV declines) occurred during the COVID-19 pandemic's impact on commercial real estate and hospitality--market events that were not reasonably foreseeable in 2018.

Item 186 of 250

Topic: quantitative_unsuitability_churning

Standard: FINRA Rule 2111 (Suitability) including quantitative suitability component; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Securities Exchange Act Section 10(b) and Rule 10b-5 for churning as fraud; established churning analysis requiring excessive trading, broker control, and scienter

Likely Outcome: Liability is probable against the broker for quantitative unsuitability even if churning is contested. The cost-to-equity ratio alone demonstrates the strategy could not reasonably serve an income-oriented moderate-risk investor. The firm faces supervisory liability for failing to flag excessive trading metrics. Damages would likely include net losses and excess commissions, though comparative fault may reduce recovery given customer's documented engagement with the account.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, a 67-year-old retired school administrator, opened a brokerage account with Meridian Securities Group in March 2021 with \$185,000 in retirement savings. Her new account form indicated a moderate risk tolerance, income objective with some growth, and a 5-7 year investment time horizon. Her broker, Daniel Roth, recommended an active trading strategy focused on Chinese technology ADRs, explaining these offered strong growth potential to supplement her pension income.

Over the following fourteen months, Roth executed 89 transactions in Holloway's account, predominantly in three volatile tech stocks including a Chinese streaming company. The account showed a turnover rate of 4.8 and a cost-to-equity ratio of 18.2%. Total commissions paid were \$27,400 on an average account equity of approximately \$150,000. While many individual trades were profitable, the net result was a portfolio loss of \$41,000 when accounting for commissions and market depreciation.

Roth maintained that Holloway was sophisticated, having previously held a small self-directed IRA where she occasionally traded stocks. He also pointed to seventeen instances where Holloway called him to discuss market news about her holdings and twice suggested he 'take some profits' on positions. Holloway counters that she trusted Roth's judgment, didn't understand the commission structure, and simply called to ask questions about news headlines she saw. Roth earned \$19,100 in personal compensation from her account during this period.

Why Borderline

The quantitative metrics strongly suggest churning, but Holloway's documented engagement with trading decisions and prior trading experience create genuine ambiguity about whether Roth exercised the control element required to establish churning liability.

Borderline Factors

- * Customer initiated seventeen calls discussing holdings, potentially indicating engagement rather than passivity
- * Prior self-directed IRA trading experience suggests some investment sophistication
- * Quantitative metrics (4.8 turnover, 18.2% cost-to-equity) significantly exceed churning thresholds
- * Strategy fundamentally unsuitable for stated income objective regardless of control question

Analysis

The quantitative metrics present a strong prima facie case for churning. A turnover rate of 4.8 significantly exceeds the commonly cited threshold of 4-6 that courts have found indicative of excessive trading, and the 18.2% cost-to-equity ratio far surpasses the 8-12% range typically considered presumptively excessive. These numbers suggest Holloway's account needed to generate returns exceeding 18% annually merely to break even—an unrealistic expectation for a moderate-risk, income-oriented account.

However, Roth's defense raises legitimate questions about control. Churning requires both excessive trading and broker control over the account. Holloway's seventeen calls discussing positions and her two suggestions to take profits could indicate meaningful customer engagement rather than blind reliance. Her prior self-directed IRA experience, while limited, suggests some investment sophistication. The argument that she understood and approved the active strategy has some factual support.

Countering this, the suitability analysis remains problematic regardless of control. A 67-year-old retiree with an income objective and moderate risk tolerance should not have been in a high-frequency trading strategy concentrated in volatile foreign tech stocks. Even if Holloway nominally approved individual trades, the overall strategy appears unsuitable under FINRA Rule 2111's reasonable-basis and customer-specific suitability requirements. The concentration in a single sector (Chinese ADRs) amplified risk inconsistent with her stated profile.

The \$19,100 in broker compensation relative to account performance creates inference of commission motivation over client interest, but some profitable individual trades complicate the scienter analysis for fraud claims.

Item 187 of 250

Topic: suitability_age_related_investment_recommendations

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest Care Obligation requiring reasonable diligence, care, and skill to understand risks and make recommendations in the customer's best interest

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially awarding reduced damages reflecting shared responsibility. The documented consent provides meaningful defense, but the dramatic deviation from stated conservative objectives and the concentration level in volatile sectors at age 71 suggests the advisor should have exercised greater professional judgment regardless of client enthusiasm. Panels often find that advisors cannot fully absolve themselves through client acknowledgments when recommendations are objectively inconsistent with documented investment profiles.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Delacroix, age 71, had been a client of Cascade Wealth Advisors since 2018. In March 2023, her financial advisor, Thomas Reinhardt, recommended she reallocate approximately \$340,000--representing 65% of her liquid assets--from a conservative portfolio of investment-grade bonds and dividend-paying blue chips into a growth-oriented strategy featuring technology sector ETFs and small-cap growth funds. Mrs. Delacroix's customer profile indicated she was a retired schoolteacher with a moderate risk tolerance, a 10-year investment time horizon, and primary objectives of capital preservation and income generation to supplement her pension and Social Security. Reinhardt documented that Mrs. Delacroix expressed interest in 'keeping up with market growth' after watching financial news coverage of tech sector gains, and that she verbally confirmed understanding of the increased volatility.

Between March and October 2023, the reallocated portfolio experienced a 23% decline during a market correction, resulting in losses of approximately \$78,200. Mrs. Delacroix filed a complaint alleging the recommendations were unsuitable given her age, stated objectives, and limited ability to recover from significant losses. She claimed Reinhardt failed to adequately explain the risks and prioritized generating higher advisory fees over her best interests.

Cascade Wealth Advisors defended the recommendations, producing signed acknowledgment forms where Mrs. Delacroix confirmed her understanding of growth strategy risks and her stated desire for 'market participation.' The firm's compliance records showed Reinhardt completed the required suitability analysis and documented the client's expressed interest. Reinhardt's supervisor had approved the strategy change, noting the client's 10-year time horizon theoretically allowed for market recovery.

Why Borderline

The conflict between documented client consent and the objective mismatch between stated conservative objectives and growth-heavy recommendations creates genuine ambiguity about whether the advisor fulfilled suitability obligations or improperly deferred to client enthusiasm.

Borderline Factors

- * Client signed acknowledgment forms and verbally expressed interest in growth strategy
- * Stated objectives of capital preservation and income conflict with 65% growth allocation
- * 10-year time horizon arguably supports some growth exposure despite advanced age

Analysis

This case presents a genuine tension between documented client consent and the objective reasonableness of the recommendation given the customer's profile. Supporting a finding of unsuitability: Mrs. Delacroix's stated investment objectives--capital preservation and income generation--are fundamentally inconsistent with a growth-heavy allocation in volatile sectors. At age 71, even a 10-year horizon may not provide adequate recovery time from significant losses, particularly when 65% of liquid assets were concentrated in higher-risk positions. FINRA Rule 2111 requires that advisors have a reasonable basis to believe recommendations are suitable based on the customer's investment profile, not merely that the customer agreed to the strategy. The dramatic shift from conservative income-producing investments to growth-oriented holdings raises questions about whether Reinhardt prioritized the client's actual needs or responded inappropriately to market-timing sentiment.

Supporting compliance: The firm documented customer consent, completed suitability analysis, obtained supervisory approval, and the client explicitly expressed interest in growth participation. A 10-year horizon is often considered long-term, potentially justifying some growth exposure. Mrs. Delacroix was not an unsophisticated investor--she had prior investment experience and signed risk acknowledgments. The moderate risk tolerance designation on her profile does permit some growth allocation. Additionally, the losses occurred due to broader market conditions, not necessarily inappropriate investment selection. Reasonable minds could disagree on whether a 65% growth allocation crosses the line from aggressive-but-permissible to objectively unsuitable.

Item 188 of 250

Topic: suitability_of_concentrated_position_recommendation_to_retiring_client

Standard: FINRA Rule 2111 (Suitability), including Rule 2111.01 (Safe Harbor Provisions), Rule 2111.02 (Reasonable-Basis Obligation), Rule 2111.03 (Customer-Specific Obligation); FINRA Rule 4512 (Customer Account Information); FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: FINRA would likely find a violation, reasoning that even if Holloway expressed some interest in growth, a 38% concentration in a volatile mid-cap stock fundamentally conflicts with her documented moderate risk profile and three-year retirement horizon. The representative's duty under Rule 2111 includes reasonable judgment that cannot be fully delegated to customer acknowledgments. However, sanctions would likely be moderate given documentation efforts, potentially resulting in a fine and heightened supervision rather than suspension.

Source: 13_FINRA_Rulebook

Fact Pattern

Margaret Holloway, age 62, visited Bridgewater Financial Partners in March 2023 seeking advice on positioning her portfolio for retirement in three years. She had accumulated \$890,000 in a brokerage account, primarily in diversified mutual funds, plus a \$320,000 401(k). Her risk tolerance questionnaire indicated 'moderate,' and she expressed concern about outliving her savings. Her registered representative, Thomas Reeves, recommended she liquidate \$340,000 of her mutual fund holdings and invest the proceeds in shares of Nextera Dynamics Inc., a mid-cap technology company that Reeves believed was significantly undervalued. Reeves documented that Holloway had prior experience owning individual stocks and that she expressed interest in 'growth opportunities' during their meeting. The recommendation would result in approximately 38% of Holloway's brokerage account being concentrated in a single equity position. Holloway signed all disclosure forms acknowledging the risks of concentrated positions. By November 2023, Nextera Dynamics had declined 47%, reducing Holloway's position to approximately \$180,000. Holloway filed a complaint alleging the recommendation was unsuitable given her age, retirement timeline, and moderate risk tolerance. Reeves countered that Holloway was sophisticated, understood the risks, and specifically requested higher-growth investments. The firm's contemporaneous notes from the March meeting reference Holloway mentioning she 'wanted to be more aggressive while she still had time to recover from losses,' though Holloway disputes making this statement.

Why Borderline

The case hinges on a factual dispute about customer-expressed preferences and whether documented risk acknowledgments can override facial inconsistency with the customer's stated investment profile.

Borderline Factors

- * Conflicting evidence regarding customer's actual verbal instructions versus written risk tolerance
- * Customer signed concentrated position disclosures acknowledging specific risks
- * 38% single-stock concentration appears excessive for moderate-risk pre-retiree but customer had prior individual stock experience

Analysis

The case presents competing narratives about customer intent and the adequacy of suitability analysis. Supporting a violation finding: A 38% concentration in a single mid-cap technology stock appears facially unsuitable for a 62-year-old moderate-risk investor three years from retirement. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability. The customer-specific prong demands consideration of the customer's investment profile

including age, investment time horizon, and risk tolerance. Mid-cap technology stocks carry substantial volatility risk that conflicts with Holloway's documented moderate risk tolerance and near-term retirement needs. The concentration level significantly exceeded typical prudent allocation guidelines for pre-retirees. Supporting compliance: Reeves obtained documented acknowledgment of concentrated position risks. The firm's contemporaneous notes suggest Holloway requested more aggressive positioning, which could satisfy customer-specific suitability if she genuinely modified her stated preferences. Holloway had prior individual stock experience, suggesting sophistication. FINRA has emphasized that suitability is not a guarantee against loss, and customers may legitimately choose growth-oriented strategies even near retirement if they understand the risks. The firm maintained records of the recommendation rationale. The critical factual dispute centers on whether Holloway actually requested aggressive growth exposure, which would materially affect the suitability analysis under FINRA Rule 2111.01's provisions regarding customer communication.

Item 189 of 250

Topic: non_traded_reit_suitability_for_moderate_risk_investor

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on non-traded REIT concentration limits and suitability considerations for illiquid products.

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially awarding reduced damages that account for Morton's acknowledged acceptance of risk while recognizing the inherent tension between the illiquid product and his retirement timeline. The documented disclosures provide meaningful protection, but the concentration level for someone within 10 years of significant withdrawals may be viewed as pushing suitability boundaries.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2017, registered representative Linda Vasquez of Lakewood Financial Advisors recommended that her client, Gerald Morton, a 62-year-old retired school administrator, invest \$85,000 of his \$425,000 liquid net worth into the Horizon American Real Estate Trust, a non-traded REIT focused on commercial properties. Morton's account documents indicated a 'moderate' risk tolerance, a 10-year investment horizon until he planned to begin significant retirement withdrawals, and a primary objective of 'growth with income.' Morton had previously held several mutual funds and a small position in a publicly traded REIT, but had no experience with non-traded REITs or other illiquid alternative investments.

Vasquez documented that she explained the illiquid nature of the investment, the 7-year anticipated holding period, the 7% upfront commission structure, and the risks associated with commercial real estate. Morton signed acknowledgment forms confirming these disclosures. The non-traded REIT represented approximately 20% of Morton's liquid assets. Lakewood's internal guidelines permitted non-traded REIT allocations up to 25% for moderate-risk investors with investment horizons exceeding 7 years.

By early 2022, the REIT's share value had declined approximately 35% from its original offering price due to pandemic-related impacts on commercial real estate. Morton filed a complaint alleging the investment was unsuitable given his retirement timeline and that Vasquez failed to adequately explain the illiquidity risks and potential for significant principal loss. Vasquez maintained that Morton understood and accepted the risks, and that the recommendation aligned with his documented profile and the firm's concentration guidelines.

Why Borderline

The case sits at the intersection of technical guideline compliance and substantive suitability concerns, where the investment arguably fit Morton's documented profile but the illiquidity timeline created real tension with his retirement plans.

Borderline Factors

- * 20% concentration in illiquid investment technically within firm limits but approaching retirement
- * 10-year stated horizon aligned with REIT holding period but client age created practical constraints
- * Documented disclosures and signed acknowledgments versus limited prior illiquid investment experience

Analysis

The suitability analysis here presents competing considerations. Supporting a finding of unsuitability: Morton was 62 at purchase, meaning he would be approximately 69-70 when the REIT reached its anticipated liquidity event--close to when he indicated needing funds for retirement. Non-traded REITs carry substantial illiquidity risk, high fees that erode returns, and significant principal risk, which may be inconsistent with a 'moderate' risk tolerance. A 20% concentration in a single illiquid investment could be considered excessive for someone approaching retirement, regardless of firm guidelines. Morton's limited experience with illiquid alternatives raises questions about whether he truly understood the investment's characteristics.

Supporting a finding of suitability: The recommendation technically complied with Lakewood's internal concentration limits. Morton's 10-year horizon aligned with the REIT's expected holding period. His 'growth with income' objective is consistent with a REIT's typical distribution characteristics. Vasquez documented extensive disclosures, and Morton signed acknowledgments confirming his understanding. His prior REIT experience, while in traded products, suggests some familiarity with real estate investments. The subsequent decline was driven by unforeseeable pandemic impacts rather than fundamental flaws in the recommendation process.

The critical question is whether technical compliance with firm guidelines and documented disclosures satisfies the suitability obligation when the investment's illiquidity characteristics create meaningful tension with the customer's approaching retirement needs.

Item 190 of 250

Topic: broker_dealer_advisory_services_standard_of_care

Standard: Securities Exchange Act Section 15; FINRA Rule 2111 (Suitability); Regulation Best Interest Rule 15l-1 (for post-June 2020 conduct); Investment Advisers Act Section 202(a)(11) broker-dealer exclusion; FINRA Rule 2210 (Communications with the Public regarding firm marketing)

Likely Outcome: Under pre-Reg BI standards, Cascade likely complied with technical suitability requirements, though the case illustrates the investor protection gap the Advisory Committee identified. Post-Reg BI implementation, this conduct would face greater scrutiny under the Care Obligation requiring consideration of reasonably available alternatives and costs. A regulator might find the failure to discuss the lower-cost 401(k) option problematic under enhanced best interest standards.

Source: 10_Academic_Articles

Fact Pattern

Margaret Thornton, age 58, approached Cascade Financial Services in March 2023 seeking help with retirement planning. She had \$340,000 in a 401(k) from her previous employer and wanted guidance on whether to roll it over and how to invest for retirement in approximately 7 years. Her registered representative, Daniel Kowalski, held himself out as a 'Financial Advisor' on his business cards and the firm's website prominently featured language about 'trusted advice for your financial future' and 'comprehensive retirement planning services.' During three meetings over two months, Kowalski discussed Margaret's retirement goals, risk tolerance (moderate), income needs, and overall financial picture including her modest pension and Social Security projections. Based on these discussions, Kowalski recommended she roll her 401(k) into a brokerage IRA and invest in a portfolio of mutual funds with an average expense ratio of 1.2%, including several proprietary funds offered by Cascade's affiliate. The 401(k) plan offered index funds with expense ratios averaging 0.08%. Kowalski received a 1% commission on the rollover assets plus ongoing 12b-1 fees. He did not discuss keeping the assets in the existing 401(k) as an alternative, nor did he compare the cost differential over Margaret's expected retirement horizon. Margaret understood from the firm's marketing that Kowalski was acting as her trusted advisor throughout this process. Cascade Financial Services operated as a broker-dealer, and Kowalski's recommendations were governed by suitability standards rather than fiduciary duty.

Why Borderline

The case sits at the intersection of broker-dealer suitability and investment adviser fiduciary standards, where the firm's marketing and service model resembled advisory relationships while operating under the lower suitability standard.

Borderline Factors

- * Firm marketing and representative titles created investor expectations of fiduciary-level advice despite broker-dealer status
- * The comprehensive, multi-meeting retirement planning service resembled investment adviser services rather than incidental brokerage recommendations
- * Recommendations were technically suitable but significantly more expensive than available alternatives without disclosure of the cost comparison

Analysis

This case highlights the regulatory gap identified in the SEC's Investor Advisory Committee recommendation regarding broker-dealers providing advisory-like services. Supporting a potential violation: The recommendations may have failed to meet even suitability standards because Kowalski did not adequately consider reasonable alternatives, specifically

leaving assets in the lower-cost 401(k). The cost differential is substantial--over Margaret's remaining working years and retirement, the 1.12% annual cost difference could reduce her retirement assets by tens of thousands of dollars. Additionally, the firm's marketing as providing 'trusted advice' and 'comprehensive retirement planning' combined with Kowalski's 'Financial Advisor' title created reasonable investor expectations of fiduciary-level care that were not met. The multi-meeting, holistic planning approach resembles investment adviser services more than incidental broker recommendations. Supporting compliance: Under the suitability standard applicable at the time, the recommended mutual fund portfolio was reasonably suitable for Margaret's moderate risk tolerance and 7-year time horizon. The funds themselves were diversified and appropriate for retirement investing. Kowalski gathered substantial customer information through multiple meetings, demonstrating diligence. The suitability standard does not explicitly require comparison to all alternatives or cost optimization--it requires that the recommendation be suitable, not optimal. Cascade operated lawfully as a broker-dealer, and the use of 'Financial Advisor' titles, while potentially misleading, was industry standard practice permitted under existing regulations.

Item 191 of 250

Topic: cif_suitability_for_trust_beneficiary_risk_profile

Standard: 12 CFR 9.5 (fiduciary standards); 12 CFR 9.18 (collective investment fund requirements); Uniform Prudent Investor Act Section 2 (standard of care, portfolio strategy, risk/return objectives); OCC Comptroller's Handbook guidance on investment suitability for trust accounts and matching investment selection to beneficiary circumstances

Likely Outcome: The OCC would likely find this a supervisory matter warranting enhanced monitoring rather than a formal violation, recommending the bank document its investment rationale more thoroughly and establish clearer policies for matching CIF selections to beneficiary time horizons. A formal criticism would likely require evidence that the conservative allocation persisted unreasonably or that the trustee failed to conduct periodic reviews of appropriateness.

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Heartland National Bank Trust Department manages approximately \$2.1 billion in fiduciary assets across 847 trust accounts. In March 2023, the bank allocated \$340,000 from the Margaret Ellsworth Testamentary Trust into the bank's Short-Term Investment Fund (STIF) collective investment fund, which invests primarily in commercial paper, Treasury bills, and short-term corporate obligations. Mrs. Ellsworth's trust was established for the benefit of her grandson, Tyler Ellsworth, age 34, with the stated purpose of providing for his 'long-term financial security and retirement needs.' The trust instrument grants the trustee broad investment discretion but specifies that assets should be managed 'with a view toward growth and preservation of principal over the beneficiary's lifetime.' Tyler has no immediate income needs from the trust and has communicated to the trust officer that he does not anticipate needing distributions for at least 15 years. The trust officer, Jennifer Walsh, placed the funds in the STIF because she was concerned about market volatility following recent banking sector instability, and she believed preserving principal in the near term aligned with the trust's preservation mandate. The STIF has historically returned approximately 2.1% annually, while the bank's equity-focused collective investment funds have averaged 7.8% over the same period. Six months later, Tyler's attorney questioned whether the conservative allocation was prudent given the beneficiary's long time horizon and the trust's growth objective. The bank's investment committee had approved the STIF for accounts with 'capital preservation objectives or short-term liquidity needs' but had not specifically prohibited its use for longer-term accounts.

Why Borderline

The trust instrument contains both growth and preservation mandates, and reasonable fiduciaries could disagree whether a six-month conservative positioning during market volatility constitutes prudent caution or failure to match investment strategy to the beneficiary's long time horizon.

Borderline Factors

- * Conflicting trust instrument language emphasizing both 'growth' and 'preservation of principal'
- * Whether six months constitutes temporary market-timing or inappropriate sustained allocation
- * Trustee's good-faith response to genuine market volatility versus failure to consider 15-year beneficiary horizon

Analysis

This scenario presents tension between multiple aspects of the Uniform Prudent Investor Act and OCC fiduciary standards under 12 CFR 9. Supporting a finding of imprudent investment selection: The trust instrument explicitly references 'long-term financial security' and 'growth,' which suggests the settlor intended appreciation-focused

strategies. Tyler's 15-year time horizon is inconsistent with short-term investment vehicles designed for liquidity and capital preservation. The significant return differential (2.1% vs. 7.8%) over a multi-decade horizon could substantially impair the trust's ability to meet its stated purposes. Under UPIA principles, trustees must consider the purposes, distribution requirements, and time horizon when selecting investments--all factors here favor growth-oriented allocation. However, supporting the trustee's decision: The trust instrument also references 'preservation of principal,' creating inherent tension with growth objectives that requires trustee judgment. Jennifer Walsh acted during a period of genuine market uncertainty following bank failures, and short-term defensive positioning is not per se imprudent. The six-month holding period is relatively brief, and periodic rebalancing into conservative positions can be part of a reasonable long-term strategy. The bank's investment committee had approved the STIF for capital preservation objectives, and the trust instrument's preservation language arguably triggered this classification. Additionally, trustees have traditionally been granted deference when exercising judgment in good faith, particularly during volatile market conditions. The question becomes whether temporary defensive positioning crossed into an inappropriate long-term allocation inconsistent with fiduciary duty.

Item 192 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA guidance on concentration risk and documentation of customer-specific recommendations.

Likely Outcome: Panel likely finds partial liability with reduced damages. The concentration level and proximity to retirement weigh against the representative, but the signed acknowledgment and customer's demonstrated enthusiasm for energy investments suggest comparative fault. Damages would likely be reduced by 40-50% to reflect customer's contributory conduct.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, had been a customer of Burgess Financial Advisors since 2015. Her account documents indicated moderate risk tolerance, a primary investment objective of capital preservation with income, and a 7-year time horizon aligned with her planned retirement at 65. Her liquid net worth was approximately \$620,000, with \$480,000 held in her brokerage account. In March 2023, her registered representative, Daniel Mercer, recommended she invest \$175,000 (approximately 36% of her portfolio) into shares of Meridian Energy Holdings, a mid-cap oil and gas exploration company. Mercer's rationale, documented in an email, cited the company's strong dividend yield of 6.2%, recent positive analyst coverage, and potential upside from rising energy prices. Mrs. Holloway's account already held \$85,000 in other energy sector equities. Following the recommendation, her energy sector exposure reached approximately 54% of her total portfolio. By November 2023, Meridian's stock declined 42% following disappointing drilling results and a dividend cut, resulting in paper losses of approximately \$73,500. Mrs. Holloway filed an arbitration claim alleging the recommendation was unsuitable given her stated risk tolerance and proximity to retirement. Burgess Financial defended by noting Mrs. Holloway had expressed enthusiasm about energy investments in recorded calls, signed a concentration acknowledgment form, and had previously held concentrated positions without complaint.

Why Borderline

The tension between the customer's documented moderate risk profile and her demonstrated behavior (enthusiasm for energy, signed concentration acknowledgment, prior concentrated holdings) creates genuine ambiguity about whether her true investment profile was captured in the paperwork.

Borderline Factors

- * Signed concentration acknowledgment form versus documented moderate risk tolerance
- * Customer's verbal enthusiasm and prior concentrated positions versus capital preservation objective
- * Proximity to retirement versus customer's apparent willingness to accept sector concentration

Analysis

The suitability analysis presents genuinely competing considerations. Supporting a finding of unsuitability: The recommendation created a 54% concentration in a single volatile sector for a client seven years from retirement with documented moderate risk tolerance and capital preservation objectives. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability. A majority allocation to cyclical energy stocks arguably conflicts with capital preservation goals. The customer's age and timeline suggest she had limited ability to recover from significant losses, which materialized. Additionally, the dividend yield rationale may not justify concentration risk for a moderate-risk investor. Supporting compliance: Mrs. Holloway signed a concentration acknowledgment form,

demonstrating informed consent. Her verbal enthusiasm for energy investments, captured on recorded calls, suggests her actual risk appetite may have exceeded her documented profile. She had prior experience with concentrated positions without complaint, indicating sophistication. The recommendation had documented rationale based on fundamentals, not speculation. Courts and arbitrators have recognized that customers bear some responsibility when they actively participate in investment decisions and sign risk disclosures. The representative's recommendation, while aggressive, was not facially unreasonable given the company's dividend profile and positive analyst sentiment at the time.

Item 193 of 250

Topic: erisa_prudence_target_date_fund_selection

Standard: ERISA Section 404(a)(1)(B) prudent expert standard; ERISA Section 404(a)(1)(A) exclusive benefit rule; DOL guidance on Qualified Default Investment Alternatives under ERISA Section 404(c)(5); Department of Labor Field Assistance Bulletin 2012-02 regarding target-date fund selection

Likely Outcome: A DOL investigation or participant lawsuit would likely survive initial dismissal, but the outcome would hinge heavily on discovery of the Committee's full deliberative process. If the consultant's analysis was more comprehensive than the summary materials suggest and the Committee can demonstrate they understood and accepted the track-record risk, the fiduciaries may prevail. However, if the process appears perfunctory, liability exposure increases significantly, potentially resulting in disgorgement of participant losses attributable to the imprudent selection.

Source: 10_Academic_Articles

Fact Pattern

Greenleaf Manufacturing, Inc. sponsors a 401(k) plan with approximately 2,400 participants and \$85 million in assets. In March 2022, the company's Benefits Committee, acting as plan fiduciaries, conducted their annual investment review with their consultant from Meridian Advisory Group. The Committee decided to replace the plan's existing target-date fund series, which had a 15-year track record and expense ratios averaging 0.42%, with a newly launched target-date suite from Apex Capital Partners. The Apex funds had been in existence for only 18 months, carried expense ratios of 0.38%, and showed strong short-term performance that outpaced benchmarks by 140 basis points. The Committee relied heavily on the consultant's recommendation, noting the lower fees and the innovative glide path methodology Apex employed. The Committee meeting minutes reflect a 45-minute discussion and reference a one-page comparison chart. Several Committee members expressed concern about the limited track record, but ultimately deferred to the consultant's expertise. Within two years, the Apex funds significantly underperformed their benchmarks due to aggressive equity allocations that proved unsuitable for participants nearing retirement. Margaret Chen, age 62 and a 28-year employee with \$340,000 in the 2025 target-date fund, lost approximately \$52,000 more than she would have under the prior fund series during the 2023-2024 market volatility.

Why Borderline

The case presents tension between ERISA's emphasis on fee reduction and its requirement for thorough evaluation of investment quality, with reasonable fiduciaries potentially reaching different conclusions about whether 18 months of performance data suffices for a target-date fund selection.

Borderline Factors

- * Extremely short track record (18 months) versus established DOL guidance favoring fee consciousness
- * Presence of documented deliberative process and independent consultant versus superficial analysis depth
- * Outcome-based harm to near-retirees versus ERISA's process-focused prudence standard

Analysis

Arguments supporting a prudence violation center on the Committee's selection of funds with an extremely limited track record--only 18 months--which is generally considered insufficient for evaluating long-term investment strategy effectiveness, particularly for target-date funds that serve as qualified default investment alternatives. The DOL has emphasized that fiduciaries must evaluate not just current performance but also the consistency and durability of investment approaches. The Committee's relatively brief deliberation and reliance on a single-page comparison chart

may suggest inadequate due diligence for a decision affecting \$85 million in participant assets. Additionally, the aggressive glide path that harmed near-retirees like Ms. Chen suggests the Committee may not have adequately considered the demographic characteristics of plan participants. However, arguments supporting compliance note that the Committee engaged an independent consultant, conducted a documented review process, and made a reasoned decision based on lower fees--a factor the DOL has consistently emphasized. The Committee did discuss concerns about track record, demonstrating they considered relevant factors. ERISA's prudence standard focuses on process rather than outcomes, and hindsight evaluation of investment performance is explicitly disfavored. The 0.04% fee reduction, while modest, represents approximately \$34,000 annually in participant savings. The fiduciaries followed a deliberative process and sought expert guidance, which courts have recognized as hallmarks of prudent decision-making.

Item 194 of 250

Topic: suitability_of_partnership_interests_as_passive_investments

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; Securities Act Section 17(a); Exchange Act Section 10(b) and Rule 10b-5; Investment Advisers Act Section 206 fiduciary duty (if investment adviser); Howey test for determining security status of partnership interests

Likely Outcome: A FINRA arbitration panel or regulatory enforcement action would likely find a suitability violation. The investment's speculative nature and lack of income generation fundamentally conflicted with Mrs. Vasquez's stated preservation and income objectives. Following the reasoning in Schooler, regulators would likely look past the partnership label to the economic reality that this was marketed as a passive investment to an unsophisticated retiree, making it presumptively unsuitable regardless of technical documentation.

Source: 11_Case_Law

Fact Pattern

In March 2021, Marcus Thornton, a registered representative with Desert Ridge Financial Advisors, recommended that his client Eleanor Vasquez, age 67, invest \$185,000 of her retirement savings into Sunbelt Land Holdings GP, a general partnership interest in undeveloped Arizona desert land. Mrs. Vasquez had recently lost her husband and received life insurance proceeds. Her stated investment objectives were capital preservation and moderate income generation, with a moderate risk tolerance. She had no prior experience with real estate investments or partnership structures. Thornton explained that the general partnership offered 'hands-off appreciation potential' and that investors would not be required to participate in management decisions, as the sponsor would handle all operations. Marketing materials emphasized projected annual returns of 8-12% and described the investment as 'suitable for retirement planning.' Mrs. Vasquez signed partnership documents that technically granted her voting rights and management authority, though the materials simultaneously assured investors they could remain 'completely passive.' By December 2022, the partnership had failed to generate any distributions, and the land was later appraised at 40% below the original investment value. Mrs. Vasquez filed a complaint alleging the recommendation was unsuitable given her age, income needs, and lack of sophistication with such investments.

Why Borderline

The case hinges on whether the technical general partnership structure with management rights can overcome the functional reality that the investment was marketed and operated as a passive, speculative vehicle unsuitable for a retiree's stated preservation goals.

Borderline Factors

- * Disconnect between 'general partnership' legal structure and 'passive investment' marketing and operation
- * Client's moderate risk tolerance versus the speculative, illiquid nature of undeveloped land
- * Whether signed acknowledgments of partnership status constitute meaningful informed consent

Analysis

The suitability analysis here turns on whether Thornton adequately assessed whether a speculative, illiquid land partnership was appropriate for a 67-year-old widow seeking capital preservation and income. Arguments supporting a violation include: (1) the investment's speculative nature and complete lack of income generation directly contradicted Mrs. Vasquez's stated objectives; (2) partnership interests in undeveloped land are inherently illiquid and high-risk, unsuitable for someone in retirement needing access to funds; (3) the marketing as a 'passive' investment while

technically structured as a general partnership suggests the true nature of the investment was obscured; (4) her lack of experience with real estate partnerships and recent emotional vulnerability following her husband's death raise concerns about whether she could meaningfully evaluate the risks. Arguments supporting compliance include: (1) Mrs. Vasquez signed documents acknowledging the risks and her role as a general partner; (2) she had a 'moderate' rather than 'conservative' risk tolerance, arguably permitting some growth-oriented investments; (3) \$185,000 may have represented only a portion of her total assets, making concentration less concerning if properly diversified; (4) real estate has historically served as an inflation hedge appropriate for retirement portfolios. The Schooler decision emphasizes that packaging investments in partnership structures does not exempt them from securities law scrutiny, particularly when marketed as passive vehicles to unsophisticated investors.

Item 195 of 250

Topic: suitability_of_conservative_reallocation_for_elderly_client

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest care obligation for recommendations to retail customers

Likely Outcome: The expungement or complaint would likely favor the adviser. FINRA has consistently held that advisers are entitled to rely on documented client preferences when making recommendations. Margaret's clearly stated objectives of capital preservation and income, combined with her age and expressed volatility concerns, support the conservative reallocation. While the daughter raises valid long-term planning concerns, absent evidence that Hoffman failed to disclose material risks or that Margaret lacked capacity, the recommendation appears suitable under Rule 2111.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2019, registered representative Daniel Hoffman of Cascade Wealth Advisors met with 78-year-old client Margaret Thornton to discuss her portfolio following the death of her husband. Margaret had \$1.2 million in assets, primarily in a brokerage account holding a mix of blue-chip equities (60%) and municipal bonds (40%) that her late husband had managed. Margaret expressed concern about market volatility and stated she wanted to 'protect what we built' and ensure funds would last through her retirement and eventually pass to her two adult children.

Based on this conversation, Hoffman recommended reallocating her portfolio to 80% fixed-income securities (primarily investment-grade corporate bonds and Treasury securities) and 20% dividend-paying utilities stocks. He documented that Margaret's risk tolerance was 'conservative' and her investment objective was 'income with capital preservation.' The reallocation was completed over six weeks in April-May 2019. The new portfolio generated approximately \$42,000 in annual income, compared to \$28,000 previously.

In January 2022, Margaret's daughter Patricia filed a complaint alleging unsuitability. Patricia claimed that her mother actually needed growth to keep pace with inflation and potential long-term care costs, and that Hoffman's conservative recommendation would cause the portfolio to lose purchasing power over Margaret's remaining life expectancy. Patricia also noted that Margaret had been recently widowed and emotionally vulnerable when making these decisions. The account had grown only 4% over the period while the S&P 500 returned over 50%.

Why Borderline

The core tension is whether an adviser must look beyond a client's clearly expressed preferences to protect them from decisions that may not serve their long-term financial interests, particularly when the client is elderly and recently experienced emotional trauma.

Borderline Factors

- * Client explicitly stated conservative objectives and concerns about volatility, which the recommendation honored
- * Recent bereavement potentially affected client's judgment and risk assessment at time of decision
- * Long-term inflation risk and potential healthcare costs arguably warranted some growth component despite client preferences

Analysis

This case presents genuine tension between documented client preferences and arguably objective financial needs. Supporting compliance: Hoffman documented Margaret's stated investment objectives--capital preservation and income--and her expressed concern about volatility. The recommendation aligned with these documented preferences and her conservative risk tolerance assessment. An 80/20 fixed-income allocation for a 78-year-old recently widowed client seeking stability is facially reasonable. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, which includes their stated objectives and risk tolerance. Hoffman increased her income by 50%, addressing her immediate needs.

Supporting a potential violation: The daughter's argument raises the question of whether Hoffman fulfilled his reasonable-basis suitability obligation to understand the implications of his recommendation. A 78-year-old woman could reasonably live another 15+ years, during which inflation could significantly erode purchasing power. Some would argue a prudent adviser should have discussed the long-term risks of an overly conservative allocation, including inflation risk and potential long-term care costs that could deplete assets. Additionally, Margaret was recently bereaved, raising questions about whether her stated preferences reflected considered judgment or emotional reaction to loss. The significant underperformance versus equity markets, while not determinative, illustrates the opportunity cost.

The timing of the complaint (nearly three years post-reallocation) and the daughter's involvement rather than Margaret herself complicate the analysis.

Item 196 of 250

Topic: suitability_cryptocurrency_recommendation_retail_customer

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice on complex products suitability obligations; SEC guidance on digital asset investments and retail customer protections

Likely Outcome: A panel would likely find partial liability or deny claims with explanation. The documented customer interest, signed risk disclosures, and diversification within crypto holdings provide meaningful defense. However, the 25% allocation to a highly speculative asset class for a moderate-risk-tolerance, near-retirement investor may be found excessive. A more defensible allocation would have been 5-10%. Outcome likely depends heavily on how persuasively the firm demonstrates that Webb's stated moderate risk tolerance was actually inconsistent with his expressed investment interests and goals.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, Marcus Webb, a 58-year-old retail customer with a moderate risk tolerance, opened an account with Coastal Digital Securities LLC. Webb disclosed annual income of \$85,000, liquid net worth of \$180,000, and an investment objective of growth with income for retirement in seven years. His prior investment experience consisted primarily of mutual funds and occasional individual stock trades over fifteen years. Webb's registered representative, Jennifer Huang, recommended that Webb allocate 25% of his investable assets (\$45,000) to a diversified cryptocurrency portfolio including Bitcoin, Ethereum, and three smaller altcoins. Huang documented that Webb expressed interest in cryptocurrency after reading news articles and wanted exposure to the asset class. She provided Webb with disclosure documents explaining cryptocurrency volatility, noting that digital assets could lose substantial value. Webb signed acknowledgment forms confirming he understood the risks. Over the following eight months, Webb's cryptocurrency holdings declined approximately 62% in value, resulting in losses of approximately \$27,900. Webb filed an arbitration claim alleging the recommendation was unsuitable given his age, moderate risk tolerance, retirement timeline, and limited experience with highly speculative investments. Coastal Digital Securities maintains that Huang properly assessed Webb's interest, provided appropriate disclosures, and that a 25% allocation to cryptocurrency was reasonable diversification for a growth-oriented investor who specifically requested crypto exposure.

Why Borderline

The case involves tension between documented customer-directed interest in a speculative asset class and the representative's independent obligation to ensure recommendations match the customer's overall profile, particularly given proximity to retirement.

Borderline Factors

- * Customer explicitly requested cryptocurrency exposure after independent research versus moderate stated risk tolerance
- * 25% allocation potentially excessive for speculative assets versus growth objective and diversification across crypto holdings
- * Seven-year retirement timeline creates urgency for capital preservation versus sufficient time horizon for recovery

Analysis

This case presents genuine tension between customer autonomy and suitability obligations. Supporting a finding of unsuitability: Webb's moderate risk tolerance and seven-year retirement horizon suggest a need for capital preservation rather than highly speculative investments. Cryptocurrency's extreme volatility (often 50%+ annual swings) arguably conflicts with a 'moderate' risk profile. At 58, Webb had limited time to recover from significant losses. His prior experience with mutual funds and stocks did not prepare him for crypto's unique risks. A 25% allocation to any single highly volatile asset class may be excessive concentration regardless of customer interest. FINRA guidance has emphasized that customer interest alone does not satisfy suitability requirements. Supporting compliance: Webb expressly requested cryptocurrency exposure after independent research, demonstrating informed customer direction. The allocation was diversified across multiple digital assets rather than concentrated in one token. Webb signed risk acknowledgments demonstrating he understood potential losses. A 25% allocation left 75% in traditional investments, maintaining portfolio diversification. Growth-oriented objectives can reasonably include speculative components. Some industry guidance suggests allocations up to 20-30% in alternative investments may be suitable for growth investors. Huang documented her rationale and Webb's expressed interest. The losses resulted from broad market decline, not poor individual security selection.

Item 197 of 250

Topic: suitability_of_concentrated_position_in_speculative_security

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b) and Rule 10b-5 (if fraud alleged). The suitability analysis requires consideration of customer's age, investment experience, time horizon, liquidity needs, risk tolerance, and investment objectives under Rule 2111.05.

Likely Outcome: The arbitration panel would likely find in favor of the claimant and award partial damages. While the documentation provides some defense, the overall customer profile--age, inexperience, income objective, and retirement asset concentration--makes a 30% speculative allocation difficult to justify under the customer-specific suitability requirement. However, damages may be reduced to account for customer's contributory conduct in signing acknowledgments and expressing growth interest.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 68, opened an account with Ridgeline Securities LLC in March 2019 with \$485,000 in retirement savings, representing substantially all of her liquid assets. Her new account documentation indicated a moderate risk tolerance, income-focused investment objective, and a 10-year time horizon. Mrs. Holloway was a retired school administrator with no prior investment experience beyond employer-sponsored retirement plans. Her registered representative, Daniel Vance, recommended she invest \$145,000 (approximately 30% of her portfolio) in shares of NovaTech Industries, a small-cap technology company that Vance described as having 'exceptional growth potential' but which had no earnings history and was trading at \$18 per share.

Vance documented in his notes that Mrs. Holloway expressed interest in growth opportunities during their initial meeting and mentioned wanting to leave something meaningful to her grandchildren. He also noted that she understood the investment was speculative and signed a concentrated position acknowledgment form. However, Mrs. Holloway later testified that Vance assured her NovaTech was 'a sure thing' and that she believed the acknowledgment form was routine paperwork.

By November 2020, NovaTech's share price had declined to \$3.50 following failed clinical trials for its primary product, resulting in losses of approximately \$116,000 on the position. Mrs. Holloway filed an arbitration claim alleging the recommendation was unsuitable given her age, limited investment experience, and reliance on these funds for retirement income. Ridgeline Securities defended by pointing to the signed documentation, the customer's stated interest in growth, and Vance's contemporaneous notes reflecting the customer's understanding of risks.

Why Borderline

The case turns on whether signed acknowledgments and documented customer interest in growth can justify a concentrated speculative position for an elderly, inexperienced investor whose primary objective was income.

Borderline Factors

- * Customer signed concentrated position acknowledgment and risk disclosures
- * Customer's expressed interest in growth conflicts with documented income objective
- * 30% concentration is aggressive but leaves majority of portfolio available for conservative investments

Analysis

Arguments supporting a suitability violation are substantial. Mrs. Holloway's profile presents classic red flags: advanced age, limited investment experience, retirement assets representing her primary liquid savings, and a documented income-focused objective. A 30% concentration in a speculative, non-earning small-cap stock appears facially inconsistent with these characteristics. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability, and the customer-specific prong demands that recommendations align with the customer's actual financial situation and needs. A 68-year-old retiree dependent on these funds arguably cannot absorb a speculative loss of this magnitude regardless of any expressed interest in growth.

However, the defense has meaningful arguments. The signed concentrated position acknowledgment and Vance's contemporaneous notes suggest informed consent and customer understanding. Mrs. Holloway did express interest in growth and leaving assets to grandchildren, which could support a longer-term, growth-oriented component to her portfolio. The 30% allocation, while significant, left 70% available for more conservative investments. Courts and arbitration panels have generally held that customers cannot disclaim responsibility when they sign clear risk disclosures and acknowledgments. Additionally, the moderate risk tolerance designation provides some support for including higher-risk positions, even if the specific allocation seems aggressive.

The credibility contest between Vance's documented notes and Mrs. Holloway's recollection of oral assurances will likely be decisive. If the panel believes Vance made verbal guarantees that contradicted the written disclosures, liability becomes more probable.

Item 198 of 250

Topic: directed_trustee_suitability_obligation_passive_investments

Standard: 12 U.S.C. §92a (national bank fiduciary powers); 12 CFR Part 9 (OCC fiduciary activities regulation); OCC Comptroller's Handbook on Personal Fiduciary Activities; Uniform Prudent Investor Act §9 (delegation provisions); Uniform Directed Trust Act principles regarding directed trustee duties; state trust law governing directed trustee liability limitations

Likely Outcome: The OCC would likely issue criticism for inadequate risk management processes rather than finding an outright fiduciary breach. While the directed trustee structure limits investment liability, examiners would expect documented policies for handling questionable directions, including risk disclosure protocols and escalation procedures. The bank's failure to document any risk assessment or beneficiary-protective measures before executing an unusual, concentrated speculative investment would likely result in MRA or MRIA requiring enhanced directed trustee oversight procedures.

Source: 18_OCC_Bank_Trust_Guidance

Fact Pattern

Riverbend National Bank serves as directed trustee for the Caldwell Family Trust, established in March 2019 with approximately \$2.8 million in assets. The trust instrument grants the settlor's son, Marcus Caldwell (age 42), exclusive investment direction authority, with the bank serving solely as directed trustee responsible for custody, accounting, and executing investment instructions. In September 2023, Marcus directed the bank to liquidate 60% of the trust's diversified portfolio and invest \$1.68 million into a single cryptocurrency-linked structured note with a 5-year maturity and no principal protection. The trust beneficiaries are Marcus's three minor children (ages 8, 11, and 14), who are entitled to distributions for education and support, with final distribution at age 25. The trust officer at Riverbend, Sandra Liu, noted in internal correspondence that the investment 'seems highly speculative for a trust benefiting young children' but processed the instruction after confirming Marcus had exclusive direction authority under the trust agreement. The bank did not provide any written risk disclosure to Marcus, nor did it document any consultation with legal counsel regarding whether it should refuse the direction. Six months later, the structured note issuer experienced financial distress, and the investment lost approximately 70% of its value, reducing the trust corpus to under \$1.5 million.

Why Borderline

The case turns on whether a directed trustee has any affirmative duty to refuse or challenge facially problematic investment directions, and whether the bank's passive execution--despite documented internal concerns--constitutes adequate discharge of residual fiduciary responsibilities under OCC fiduciary standards.

Borderline Factors

- * Trust instrument explicitly delegated investment authority away from the bank
- * Internal documentation showed the trust officer recognized the investment's speculative nature but proceeded anyway
- * Concentration of 60% in a single speculative product for minor beneficiaries conflicts with diversification principles

Analysis

This case presents the difficult question of a directed trustee's residual fiduciary duties when investment authority is contractually delegated to a third party. Supporting a finding of prudence concerns: Under OCC regulations and the Uniform Prudent Investor Act principles, even directed trustees retain certain baseline responsibilities. The bank arguably should have recognized that investing 60% of a trust for minor beneficiaries into a single speculative, illiquid

product conflicts with fundamental prudent investor principles of diversification and risk appropriateness. The trust officer's contemporaneous concerns suggest actual knowledge that the direction was problematic. The failure to document any risk assessment, provide written cautionary disclosure, or consult counsel before executing such an unusual direction could indicate inadequate risk management processes. Supporting the bank's position: The trust instrument explicitly granted Marcus exclusive investment direction authority, and state directed trustee statutes generally limit trustee liability when following proper directions from authorized parties. The bank fulfilled its ministerial duties and did not have discretionary investment authority. Many jurisdictions hold that directed trustees need not second-guess investment decisions absent clear evidence of illegality or breach of trust. The bank's role was custodial and administrative, not advisory. Additionally, structured products, while complex, are not per se imprudent, and Marcus was a sophisticated individual who understood his authority.

Item 199 of 250

Topic: suitability_of_ipo_recommendation_absent_direct_account

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade); FINRA Rule 12504 (Motion to Dismiss based on threshold defenses including lack of customer relationship)

Likely Outcome: Dismissal is probable based on the lack of account relationship, consistent with the source case precedent. However, a panel could find that Brennan's conduct was sufficiently specific and influential to create an implied customer relationship or violate Rule 2010's ethical standards. If the case survives the motion to dismiss, liability becomes more likely given the clear mismatch between the recommendation and Kowalski's profile.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2024, Thomas Brennan, a registered representative at Meridian Securities LLC, attended a networking event where he met Gerald Kowalski, a 58-year-old semi-retired electrician with approximately \$180,000 in savings held at Fidelity. During their conversation, Brennan enthusiastically recommended that Kowalski purchase shares of NexGen BioTech Inc. (ticker: NXBT), an upcoming IPO that Meridian was underwriting. Brennan described the company as 'the next big thing in gene therapy' and suggested Kowalski allocate \$40,000 to the offering. Brennan did not open an account for Kowalski at Meridian, nor did he conduct any formal suitability analysis or document Kowalski's investment profile.

Relying on Brennan's recommendation, Kowalski independently contacted his Fidelity advisor and purchased \$40,000 worth of NXBT shares when they became available on the secondary market two days after the IPO at \$12.50 per share. Within four months, NXBT's clinical trials failed, and the stock price collapsed to \$1.85 per share, leaving Kowalski with losses exceeding \$34,000. Kowalski filed a FINRA arbitration claim against Meridian Securities, alleging that Brennan's recommendation was unsuitable given his conservative risk tolerance, limited investment experience, and proximity to retirement.

Meridian moved to dismiss, arguing that because Kowalski never opened an account with the firm and executed his trade through an unaffiliated broker-dealer, no customer relationship existed that would trigger FINRA suitability obligations. Meridian further contended that informal conversations at social events do not constitute actionable investment recommendations.

Why Borderline

The case turns on whether informal recommendations to non-customers trigger suitability obligations, an issue where the absence of an account relationship conflicts with the substantive nature of the investment advice provided.

Borderline Factors

- * No formal account or customer relationship existed between Kowalski and Meridian Securities
- * Brennan made a specific, detailed recommendation with suggested allocation amounts that resembled personalized advice
- * The recommended security was a speculative biotech IPO being underwritten by Brennan's firm, raising questions about his motivation

Analysis

This case presents a genuinely difficult question about when suitability obligations attach to a broker's conduct. On one hand, FINRA Rule 2111 applies to recommendations made to 'customers,' and traditionally this requires some form of account relationship or transactional nexus with the recommending firm. Meridian's argument that Kowalski was never a customer has substantial merit--he never signed an account agreement, never deposited funds, and executed his trade entirely through Fidelity. The FINRA arbitration precedent from the source document suggests that lack of an account relationship can be grounds for dismissal.

However, the counterargument focuses on the nature of Brennan's conduct. FINRA has historically taken a broad view of what constitutes a 'recommendation,' and Brennan's specific, enthusiastic endorsement of a particular security with a suggested dollar amount arguably crosses from general market commentary into personalized investment advice. Additionally, FINRA Rule 2010's standards of commercial honor could apply regardless of account status--a registered representative making unsuitable recommendations that cause investor harm may violate ethical obligations even without a formal customer relationship.

The fact that Brennan was promoting an IPO his own firm was underwriting adds complexity. He had financial motivation to generate investor interest, and his failure to disclose any information about Kowalski's suitability before recommending a speculative biotech IPO to a near-retiree with conservative objectives raises serious questions. The lack of any documented suitability analysis, combined with the inherently speculative nature of small biotech IPOs, suggests Brennan should have exercised greater caution regardless of whether a formal account existed.

Item 200 of 250

Topic: institutional_customer_suitability_fixed_income

Standard: FINRA Rule 2111 (Suitability), FINRA Rule 2111.03 (Institutional Customer Exemption), FINRA Rule 4512(c) (Institutional Customer Definition), FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: Likely no violation finding, but close call. Regulators would probably credit the institutional customer exemption given Chen's demonstrated expertise, Ferraro's comprehensive disclosures, and the investment's technical compliance with the IPS percentage limits. However, the firm may receive informal guidance to obtain explicit written acknowledgment from institutional customers when recommending products not specifically enumerated in investment policies.

Source: 03_FINRA_AWC

Fact Pattern

Meridian Capital Partners LLC is a FINRA member broker-dealer specializing in fixed-income trading for institutional clients. In March 2023, registered representative Daniel Ferraro recommended a series of complex structured credit products--specifically collateralized loan obligations (CLOs) rated BBB--to Horizon Municipal Pension Fund, a small public pension fund with approximately \$85 million in assets under management. The pension fund's investment policy statement permitted up to 15% allocation in 'investment-grade fixed income securities' but did not specifically address structured credit products. Ferraro had multiple conversations with Horizon's investment committee chair, Margaret Chen, explaining the yield enhancement potential of CLOs compared to traditional corporate bonds, noting spreads of 275 basis points over comparable-rated corporates. Chen, a former commercial banker with 20 years of experience, asked detailed questions about default rates, recovery assumptions, and subordination levels. Ferraro provided comprehensive CLO market analysis and historical performance data. Horizon ultimately invested \$9.2 million (approximately 10.8% of AUM) in the recommended CLO tranches over a four-month period. By November 2023, credit spreads widened significantly, and Horizon's CLO positions showed unrealized losses of approximately \$780,000. Horizon's board questioned whether the CLO recommendations were suitable given the pension fund's obligations to beneficiaries and whether Ferraro adequately assessed whether the investment committee truly understood the risks of structured credit products versus traditional fixed income.

Why Borderline

The case turns on whether Chen's sophisticated engagement constitutes sufficient 'affirmative indication' of independent judgment and whether CLOs reasonably fall within the IPS's investment-grade fixed income authorization.

Borderline Factors

- * Ambiguity in whether CLOs qualify under generic 'investment-grade fixed income' IPS language
- * Chen's demonstrated sophistication versus pension fund's heightened fiduciary duties to beneficiaries
- * Whether detailed questions alone constitute affirmative indication of exercising independent judgment

Analysis

This case presents a genuine gray area in institutional suitability analysis. Arguments supporting compliance: First, FINRA Rule 2111.03 provides an institutional customer exemption where the broker reasonably believes the institutional customer is capable of evaluating investment risks independently and the customer affirmatively indicates it is exercising independent judgment. Horizon qualifies as an institutional customer under FINRA Rule 4512(c) with \$85 million AUM. Chen's background as a commercial banker and her detailed technical questions about default rates, recovery assumptions, and subordination levels suggest sophisticated understanding. The allocation remained within

the stated 15% investment-grade limit since BBB-rated securities are investment grade. Ferraro provided substantial educational materials and market analysis. Arguments supporting violation: Despite institutional status, brokers retain some suitability obligations. The investment policy statement's silence on structured credit products arguably suggests they were not contemplated investments. CLOs carry complexity and liquidity risks meaningfully different from traditional corporate bonds--the IPS language 'fixed income securities' may not reasonably encompass structured products. A pension fund's fiduciary obligations to beneficiaries may warrant heightened scrutiny even when dealing with sophisticated intermediaries. The \$9.2 million concentration in a single asset class with correlated risks could be questioned. Additionally, FINRA guidance has emphasized that institutional customer exemption requires affirmative indication of independent judgment, not merely sophisticated questions.

Item 201 of 250

Topic: simplified_advice_suitability_for_cash_heavy_consumer

Standard: FCA PRIN 12 (Consumer Duty); FCA COBS 9 (Suitability); Proposed Core Investment Advice Regime requirements for filtering, service design, and suitability assessment as outlined in CP22/24

Likely Outcome: The FCA would likely find no suitability breach but may require enhanced filtering processes. The firm followed the core advice framework for a consumer who appeared within scope, recommended a mainstream diversified product, and documented the process. However, the regulator may issue guidance emphasizing that firms should apply additional scrutiny for consumers with zero investment experience regardless of stated risk appetite, particularly regarding capacity for loss assessment.

Source: 23_International_Comparative

Fact Pattern

Clearwater Advisory Services, a UK-based firm operating under the FCA's proposed core investment advice regime, provided simplified investment advice to Margaret Chen, age 58, in March 2024. Mrs. Chen had £85,000 in cash savings earning 1.2% interest, no existing investments, and expressed concern about inflation eroding her savings. During a 25-minute telephone consultation, adviser James Morton collected basic information: Mrs. Chen planned to retire at 65, had a modest defined benefit pension, owned her home outright, and stated she had 'some appetite for risk' but had never invested before. Morton recommended she invest £60,000 into a stocks and shares ISA holding a diversified multi-asset fund with 60% equity exposure.

Mrs. Chen proceeded with the investment. Over the following 14 months, the fund declined 18% during market volatility, reducing her holding to approximately £49,200. Mrs. Chen complained that the recommendation was unsuitable given her proximity to retirement and complete lack of investment experience. She argued that a more cautious allocation or smaller initial investment would have been appropriate.

Clearwater defended its advice, noting that Mrs. Chen had explicitly expressed concern about inflation risk and indicated willingness to accept some investment risk. The firm's filtering questions had identified her as within scope for simplified advice, and the seven-year investment horizon to retirement was considered sufficient for equity exposure. Internal records showed Morton followed the firm's standardised suitability assessment process designed for the core advice regime.

Why Borderline

The case sits at the intersection of regulatory intent to broaden advice access for cash-heavy consumers and traditional suitability principles requiring deeper assessment for inexperienced investors near retirement.

Borderline Factors

- * Consumer stated risk appetite versus actual investment experience and understanding
- * Whether seven years to retirement provides sufficient time horizon for 60% equity exposure
- * Tension between simplified advice efficiency and adequate capacity-for-loss assessment

Analysis

This case tests the boundaries of suitability under a simplified advice framework designed to help cash-heavy consumers access mainstream investments. Arguments supporting a violation include: Mrs. Chen's complete absence of investment experience meant she may not have truly understood what 'some appetite for risk' meant in practice; the

60% equity allocation may have been aggressive for someone seven years from retirement with no other investment assets; and the brief consultation may have been insufficient to assess whether she could emotionally tolerate significant paper losses. The FCA's Consumer Duty requires firms to deliver good outcomes, and a 18% loss for a first-time investor approaching retirement raises questions about whether the advice achieved this.

Arguments supporting compliance include: the simplified advice regime explicitly contemplates streamlined processes for straightforward needs; Mrs. Chen's circumstances--significant cash holdings, inflation concerns, home ownership, guaranteed pension income, and seven-year horizon--fit the target consumer profile; the multi-asset fund with 60% equity is a mainstream, diversified product appropriate for medium-term investing; and market volatility causing temporary losses does not itself render advice unsuitable. The firm followed its documented process and the consumer's stated risk tolerance. Under PRIN 12 and the core advice framework, firms must act in good faith and avoid foreseeable harm, but are not guarantors of investment performance.

The key tension is whether simplified advice processes can adequately assess capacity for loss and genuine risk understanding for inexperienced investors, even when those consumers appear within scope.

Item 202 of 250

Topic: order_routing_disclosure_impact_on_best_execution_suitability

Standard: FINRA Rule 5310 (Best Execution); Regulation Best Interest Rule 15l-1 Care Obligation; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision); Rule 606 of Regulation NMS

Likely Outcome: Regulators would likely pursue this primarily as a best execution violation under FINRA Rule 5310 rather than a Reg BI Care Obligation violation. However, if the firm's routing practices were found to systematically disadvantage retail customers while the firm profited from PFOF arrangements, regulators might layer on a Reg BI component, particularly if representatives actively encouraged customers to use execution methods known to produce inferior results. A negotiated settlement with moderate fines addressing both execution quality and supervisory failures is probable.

Source: 03_FINRA_AWC

Fact Pattern

Westbrook Financial Services, a mid-sized broker-dealer, serves primarily retail customers through its online trading platform. In March 2023, Margaret Thornton, a 58-year-old retail customer with moderate investment experience and a conservative risk profile, opened an account with \$340,000 in retirement savings. Her stated objectives included capital preservation and generating modest income through dividend-paying stocks. Over the following nine months, Ms. Thornton placed approximately 180 non-directed market orders in blue-chip equities, averaging \$8,500 per transaction. Westbrook's registered representative, David Chen, did not specifically recommend particular securities but did advise Ms. Thornton that using market orders through their platform would provide efficient execution at competitive prices.

Unbeknownst to Ms. Thornton, Westbrook had recently renegotiated its payment for order flow arrangements with three wholesale market makers, receiving substantially higher rebates averaging \$0.0024 per share. Internal analysis later revealed that these routing arrangements resulted in execution quality that was measurably inferior to industry benchmarks--specifically, Ms. Thornton's orders experienced average price improvement of only \$0.0008 per share compared to the \$0.0019 industry average for similar order types. Over nine months, this differential cost Ms. Thornton approximately \$2,100 in foregone price improvement.

Ms. Thornton never inquired about order routing, and Westbrook's quarterly Rule 606 reports were technically compliant and publicly available on their website. Chen genuinely believed the platform provided adequate execution quality and never considered whether the routing arrangements were inconsistent with Ms. Thornton's conservative, cost-conscious investment objectives.

Why Borderline

The case sits at the unclear boundary between order handling/best execution rules and the substantive suitability/best interest framework, raising questions about whether advice to use a particular execution method triggers care obligations.

Borderline Factors

- * Whether general advice about order execution constitutes a 'recommendation' under Reg BI
- * The materiality of \$2,100 in foregone price improvement relative to overall portfolio value
- * Whether publicly available Rule 606 disclosures provide sufficient customer notice to negate best interest concerns

Analysis

This scenario presents a nuanced question about where order handling practices intersect with suitability and best interest obligations. Arguments supporting a violation include: Under Reg BI's Care Obligation, the broker-dealer must exercise reasonable diligence, care, and skill when making recommendations, which arguably extends to advice about how to execute trades. Chen's recommendation to use market orders through their platform, combined with knowledge (or constructive knowledge) that routing arrangements produced inferior execution, could constitute a failure to act in the customer's best interest. For a conservative, cost-conscious retiree, execution quality directly impacts investment outcomes. The \$2,100 in foregone price improvement, while seemingly modest, represents meaningful erosion of returns for someone prioritizing capital preservation.

Arguments supporting compliance include: Reg BI's Care Obligation primarily addresses the recommendation of securities, investment strategies, and account types--not the mechanical execution of customer-directed trades. Ms. Thornton placed non-directed orders of her own volition, and Westbrook's Rule 606 disclosures were publicly available. Best execution obligations under FINRA Rule 5310 are distinct from suitability requirements, and the firm may argue these are separate compliance frameworks. Additionally, Chen's advice was general platform guidance rather than a specific investment recommendation triggering Reg BI's full protections. The execution quality, while below average, was not egregiously deficient, and the customer suffered no catastrophic harm.

Item 203 of 250

Topic: complex_product_suitability_etn_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest care obligation requiring understanding of product risks and costs; FINRA guidance on complex products requiring heightened suitability analysis for leveraged and inverse products

Likely Outcome: A FINRA arbitrator or panel would likely find in favor of the customer, determining the recommendation violated suitability obligations. The inherent decay characteristics of volatility ETNs make them fundamentally unsuitable for investors with capital preservation objectives regardless of signed acknowledgments. However, damages might be reduced if the panel determines Mrs. Russo bore some responsibility for signing documents she did not fully understand, similar to the denial in the source case where the claimant's negligence claim regarding ETNs was rejected entirely.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In September 2023, Marcus Delvecchio, a registered representative at Piedmont Wealth Advisors, recommended exchange-traded notes (ETNs) linked to the VIX volatility index to his client, Helena Russo, a 58-year-old recently widowed schoolteacher. Mrs. Russo had received a \$320,000 life insurance payout following her husband's death and sought guidance on preserving capital while generating modest income for her upcoming retirement in four years. Her new account documents indicated moderate risk tolerance, a 5-7 year time horizon, and investment objectives listed as 'income and growth.' She had no prior experience with derivatives or volatility products, and her previous investments consisted solely of certificates of deposit and a small 403(b) retirement account holding target-date funds.

Delvecchio recommended allocating \$48,000 (15% of the portfolio) to VOLX-Pro ETNs, explaining they could provide portfolio hedging benefits and potential returns during market uncertainty. During their meeting, he provided a two-page product summary but did not discuss the contango decay mechanism, credit risk to the issuing bank, or the historical pattern of significant long-term value erosion in volatility ETNs. Mrs. Russo signed an acknowledgment form stating she understood ETNs were complex products, though she later claimed she believed they functioned similarly to bond funds based on Delvecchio's description as 'notes.'

By March 2024, the VOLX-Pro ETN position had declined 67% to approximately \$15,800 due to normal volatility term structure decay during a period of low market volatility. Mrs. Russo filed a complaint alleging the recommendation was unsuitable given her conservative profile, inexperience, and capital preservation needs. Delvecchio maintained that the 15% allocation was a reasonable hedge position and that Mrs. Russo's signed acknowledgment demonstrated her understanding of the risks.

Why Borderline

The case presents tension between documented moderate risk tolerance with signed disclosures versus the fundamental mismatch between volatility ETN characteristics and capital preservation objectives for a retirement-focused, inexperienced investor.

Borderline Factors

- * Signed complex product acknowledgment versus actual customer understanding
- * Moderate risk tolerance documentation versus capital preservation stated objectives
- * 15% allocation as reasonable hedge versus excessive for conservative investor profile

Analysis

The suitability analysis here centers on whether a volatility-linked ETN allocation was appropriate for a conservative, inexperienced investor nearing retirement. Arguments supporting a violation include: Mrs. Russo's documented objectives emphasized capital preservation and income generation, which are fundamentally incompatible with volatility ETNs that historically experience significant decay over time. Her complete lack of experience with derivatives or complex products suggests she could not reasonably understand the contango dynamics and structural decay inherent in these instruments. The 15% allocation to a highly speculative product represents a material portion of assets she needed for retirement. Additionally, Delvecchio's failure to explain the decay mechanism and historical erosion patterns could constitute inadequate reasonable-basis suitability analysis.

Arguments supporting compliance include: The documented moderate risk tolerance and 'growth' objective provided some basis for including non-traditional investments. A 15% allocation arguably represents a limited hedge position rather than aggressive speculation. The signed complex product acknowledgment demonstrates procedural compliance with firm requirements. Delvecchio could argue the recommendation was reasonable at the time as a volatility hedge, and that the losses resulted from market conditions rather than an inherently unsuitable recommendation. The customer's stated time horizon of 5-7 years could theoretically accommodate some volatility in a diversified portfolio.

The critical question is whether procedural compliance (acknowledgment forms) can overcome substantive unsuitability when a product's inherent characteristics conflict with stated customer objectives, particularly for unsophisticated investors.

Item 204 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) requiring adequate supervisory systems and written procedures.

Likely Outcome: A FINRA arbitration panel would likely find partial liability, recognizing the recommendation was aggressive for the customer profile but acknowledging the customer's moderate (not conservative) risk tolerance and reasonable time horizon. Damages would likely be reduced to account for market risk the customer accepted. The firm's documentation failures would weigh against it, but the presence of some supervisory review provides partial mitigation.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, Melinda Okonkwo, a 58-year-old hospital administrator earning \$145,000 annually, opened a brokerage account with Harborview Capital Partners. She had approximately \$680,000 in investable assets, including a 401(k) worth \$420,000 and \$260,000 in liquid savings she wanted to invest for retirement in 7-8 years. Her account application indicated 'moderate' risk tolerance and 'growth with income' as her primary objective. Her prior investment experience consisted of target-date funds in her employer plan.

Her assigned representative, Marcus Delgado, recommended she invest \$195,000 (75% of her liquid savings) in shares of a single mid-cap technology company, DataStream Holdings Inc., citing the company's strong earnings trajectory and his belief it would outperform the broader market. Delgado's research notes indicated he believed the stock was undervalued based on peer comparisons. The remaining \$65,000 was placed in a diversified bond fund.

Over the following 14 months, DataStream Holdings declined 38% following a product recall and management turnover, reducing the position to approximately \$121,000. Ms. Okonkwo filed a complaint alleging the concentrated single-stock recommendation was unsuitable for someone approaching retirement with limited investment sophistication. Harborview's compliance records show Delgado discussed concentration risk verbally during the initial meeting but did not document the conversation or obtain written acknowledgment. The firm's written supervisory procedures required heightened review for single-position concentrations exceeding 50% of account assets, but the principal who approved the trade did not flag or document any concerns.

Why Borderline

The case turns on whether a 75% single-stock concentration can ever be suitable for a moderate-risk pre-retiree with limited experience, and whether verbal risk disclosure without documentation satisfies the duty of care.

Borderline Factors

- * Single-stock concentration versus stated moderate risk tolerance and limited experience
- * Verbal disclosure of concentration risk without written documentation or acknowledgment
- * 7-8 year time horizon providing potential recovery period versus proximity to retirement

Analysis

The suitability analysis here involves competing considerations. Arguments supporting a violation: A 75% concentration in a single mid-cap stock is aggressive for a client with moderate risk tolerance approaching retirement. The investment

materially deviated from her stated 'growth with income' objective, as a volatile single stock position provides neither reliable income nor diversified growth. Her limited experience with only target-date funds suggests she may not have fully understood concentration risk. Additionally, the failure to document the risk discussion and obtain written acknowledgment of concentrated position risks weakens the firm's defense.

Arguments supporting compliance: Ms. Okonkwo signed account documents indicating moderate risk tolerance, which does not preclude equity investments. A 7-8 year time horizon provides meaningful recovery potential, and a 58-year-old with stable income is not in immediate retirement. Delgado conducted research supporting his recommendation and did verbally discuss concentration risks. The firm's procedures were technically followed since the concentration exceeded 50% but was reviewed by a principal who approved it. Furthermore, hindsight bias is a factor--the investment thesis was reasonable at the time based on available information.

The supervisory dimension adds complexity: the principal approved without documented concern, suggesting either inadequate review or implicit acceptance that the recommendation fell within acceptable bounds. The verbal disclosure without documentation creates a credibility dispute about what the customer understood.

Item 205 of 250

Topic: suitability_of_termination_related_investment_transition

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2330 (Variable Annuity Suitability) requiring consideration of surrender periods, liquidity, and whether customer would benefit from product features; FINRA Rule 2010 (Standards of Commercial Honor) regarding ethical conduct; Regulation Best Interest Care Obligation requiring recommendation in retail customer's best interest.

Likely Outcome: A FINRA arbitration panel would likely find a suitability violation based on the totality of circumstances, particularly the concentration of 82% of liquid assets in a single illiquid product with high fees, combined with inadequate disclosure of material terms. However, damages might be limited to fee differentials and surrender charge recovery rather than full rescission, given that the underlying product category was not wholly inappropriate for the client's stated objectives.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Hollister, age 58, had been a client of registered representative Daniel Kramer at Westbrook Financial Partners, LLC since 2012. Her investment profile indicated moderate risk tolerance, a 7-10 year time horizon until retirement, annual income of \$95,000, liquid net worth of \$340,000, and investment objectives of growth and income. In February 2023, Kramer learned he was being terminated from Westbrook following an internal compliance dispute unrelated to client accounts. During his final two weeks, Kramer recommended that Hollister move approximately \$280,000 from her existing diversified portfolio of mutual funds and ETFs into a single variable annuity product with a 7-year surrender period and annual fees of 2.85%. Kramer represented that the annuity would provide 'guaranteed lifetime income' and 'downside protection' suitable for her approaching retirement. He did not discuss the surrender charges, which started at 8% and declined annually, nor did he explain that the guarantees were contingent on annuitization. Hollister executed the transaction three days before Kramer's termination became effective. When Hollister's new representative at Westbrook reviewed the account in April 2023, she discovered the annuity's fee structure and surrender provisions. Hollister filed a complaint alleging the recommendation was unsuitable given her time horizon and the product's liquidity constraints.

Why Borderline

The product category itself is not inherently unsuitable for this client profile, but the concentration level, fee burden, and timing of the recommendation create ambiguity about whether it truly served her best interest versus the representative's compensation interest.

Borderline Factors

- * Time horizon technically exceeds surrender period but leaves minimal cushion for unexpected liquidity needs
- * Representative termination timing creates appearance of self-interest but does not automatically render recommendation unsuitable
- * High concentration in single product may be unsuitable even if product type is appropriate for the investor profile

Analysis

The suitability analysis presents legitimate arguments on both sides. Supporting a finding of unsuitability: The 7-year surrender period with 8% initial penalties creates significant liquidity constraints for a client who indicated a 7-10 year retirement horizon. The concentration of 82% of liquid assets in a single product with high fees (2.85% annually)

diverges substantially from her prior diversified approach. The timing--executed days before the representative's termination--raises questions about whether the recommendation served client interests or facilitated a commission before departure. The failure to explain surrender charges and guarantee contingencies suggests inadequate disclosure of material terms. However, supporting suitability: Variable annuities with lifetime income features can be appropriate for pre-retirees seeking guaranteed income streams. Hollister's moderate risk tolerance and growth-and-income objectives align with an annuity's hybrid characteristics. Her 7-10 year horizon technically exceeds the surrender period, meaning she could access funds penalty-free before or during early retirement. The 'downside protection' feature addresses legitimate concerns for someone approaching retirement during market volatility. A representative facing termination is not per se prohibited from making otherwise suitable recommendations, and the transaction was approved by firm compliance before execution. The analysis turns on whether the concentration level and fee structure rendered this inappropriate despite the product category being facially suitable.

Item 206 of 250

Topic: private_fund_investment_suitability_for_accredited_investor

Standard: Investment Advisers Act Section 206(1) and 206(2) fiduciary duty; SEC guidance on suitability requiring reasonable basis to believe recommendations are in client's best interest considering investment objectives, financial situation, and needs; duty to understand material features of recommended investments including liquidity constraints

Likely Outcome: Regulatory finding of suitability violation is more likely. While the allocation percentage and documentation were reasonable, the fundamental mismatch between a 10-year lockup and 3-4 year retirement timeline represents a failure of the care obligation. The SEC typically expects advisers to ensure investment characteristics align with client timeframes regardless of acknowledgment signatures. However, sanctions would likely be moderate given the documentation efforts and allocation sizing.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Greenfield Capital Advisers LLC, a registered investment adviser based in Denver, manages several private equity funds focused on early-stage clean technology companies. In March 2021, adviser representative Marcus Chen recommended that client Eleanor Whitmore, age 62, invest \$400,000 into Greenfield Clean Energy Fund III, a private equity fund with a 10-year lockup period and capital call structure. Whitmore had recently sold her manufacturing business for \$2.8 million, bringing her liquid net worth to approximately \$3.1 million. She stated her primary goals were generating income for retirement in 3-4 years and preserving capital for her grandchildren's education. Whitmore qualified as an accredited investor based on net worth.

Chen explained that the fund targeted 15-20% annual returns but acknowledged the illiquid nature and high-risk profile typical of early-stage clean tech investments. He noted that the fund's governing documents permitted management fee borrowing arrangements that could temporarily affect fund liquidity. Whitmore signed acknowledgments confirming she understood the risks and lockup period. Chen documented that while the investment was aggressive, it represented only 13% of her liquid assets, leaving substantial capital for income needs.

Eighteen months later, Whitmore requested early withdrawal to fund her retirement relocation and was informed no liquidity was available. She complained that Chen never adequately explained that her capital would be completely inaccessible, nor that the fund structure included provisions allowing the adviser to borrow against fund assets for operating expenses, potentially affecting distributions. Greenfield maintained that all material terms were disclosed in subscription documents Whitmore signed.

Why Borderline

The case hinges on whether proper documentation and reasonable allocation sizing can make an illiquid 10-year investment suitable for a client with a 3-4 year income need timeline.

Borderline Factors

- * Client signed detailed risk acknowledgments but timeline mismatch was apparent
- * 13% allocation arguably reasonable but lockup period exceeded stated retirement timeline
- * Accredited investor status versus first-time private fund investor sophistication

Analysis

This case presents competing considerations under the Investment Advisers Act Section 206 fiduciary duty and suitability requirements. Arguments supporting a violation include: (1) Whitmore's stated 3-4 year retirement timeline was fundamentally incompatible with a 10-year lockup investment, regardless of the percentage allocation; (2) the adviser may have prioritized earning management fees over client interests by recommending a fund that would generate ongoing advisory revenue; (3) the complexity of private fund structures, including management fee borrowing provisions, may not have been adequately explained to a first-time private fund investor; (4) at age 62 with defined near-term income needs, the risk profile appears misaligned with stated objectives.

Arguments supporting compliance include: (1) the 13% allocation left 87% of liquid assets available for income and capital preservation goals; (2) Whitmore was a sophisticated businesswoman who had just completed a multi-million dollar business sale; (3) she signed detailed acknowledgments of risks and lockup terms; (4) diversification into alternative assets can be appropriate even for pre-retirees when properly sized; (5) accredited investor status suggests regulatory comfort with private fund participation; (6) the adviser documented his rationale for the recommendation. The core tension is whether signed disclosures and moderate allocation sizing can cure a fundamental mismatch between investment characteristics and client timeline.

Item 207 of 250

Topic: suitability_of_advice_from_returning_registered_representative

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 3110 (Supervision); FINRA Rule 1240 (Continuing Education Requirements); FINRA Rule 4512 (Customer Account Information)

Likely Outcome: Harbor Financial Partners would likely receive a cautionary letter or minor fine for supervisory deficiency in not completing Firm Element training before client contact, but the underlying suitability claim would likely be dismissed. The recommendation itself fell within reasonable parameters for Dorothy's stated moderate risk tolerance, and market-driven losses do not alone establish unsuitability. FINRA would likely emphasize the importance of completing firm-specific training for returning representatives but recognize that Marcus's voluntary CE and successful re-examination demonstrated baseline competency.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Marcus Webb worked as a registered representative at Clearview Securities from 2012 to 2018, holding Series 7 and Series 66 licenses. He left the industry in March 2018 to pursue a technology startup venture. In January 2022, after his startup failed, Marcus returned to the securities industry and joined Harbor Financial Partners. Although his registrations had lapsed after two years, Harbor's compliance department noted he had voluntarily completed annual continuing education modules through a third-party provider during his absence, even though no formal FINRA-sanctioned maintenance program existed at that time. Harbor allowed Marcus to re-register after he passed the required examinations and assigned him to their wealth management division serving moderate-net-worth clients.

In April 2022, Marcus recommended that his client, Dorothy Sinclair, a 67-year-old recently widowed retiree with \$485,000 in savings and moderate risk tolerance, allocate 35% of her portfolio to a diversified mix of REITs, preferred stocks, and investment-grade corporate bonds. Dorothy's stated objectives were income generation and capital preservation for her retirement years. Marcus based his recommendation on knowledge he retained from his prior career and the voluntary CE he completed, but Harbor's compliance team noted he had not completed Harbor's internal Firm Element training on current income-generating product trends and updated suitability documentation requirements that had evolved during his four-year absence.

Six months later, rising interest rates caused Dorothy's portfolio to decline by approximately 12%, prompting her to file a complaint alleging that Marcus's recommendations were unsuitable given her conservative profile and that Harbor failed to adequately supervise a representative who had been out of the industry for an extended period.

Why Borderline

The core ambiguity is whether a four-year industry absence combined with incomplete firm-specific training rendered Marcus's otherwise reasonable income-oriented recommendations unsuitable, or whether his voluntary CE and successful re-examination demonstrated sufficient competency.

Borderline Factors

- * Marcus voluntarily maintained knowledge through third-party CE despite no formal requirement
- * Harbor's Firm Element training was incomplete but Marcus passed required FINRA examinations
- * Portfolio losses stemmed from market-wide interest rate changes rather than product-specific unsuitability

Analysis

This case raises questions about whether Marcus's recommendations met suitability requirements and whether Harbor's supervision was adequate for a returning representative. On the violation side, Harbor allowed Marcus to advise clients before completing their internal Firm Element training on current market conditions and updated compliance requirements. The four-year gap in active registration meant Marcus may have lacked current knowledge about how interest rate sensitivity affects income-oriented portfolios--information that evolved significantly between 2018 and 2022. FINRA Rule 2111 requires that recommendations be suitable based on reasonable diligence, and Harbor's failure to ensure Marcus completed current training before client contact could indicate supervisory deficiency under FINRA Rule 3110. Dorothy's age, widow status, and stated preference for capital preservation suggest a conservative profile that might warrant lower allocation to interest-rate-sensitive instruments.

On the compliance side, the recommendation itself was not inherently unsuitable--a 35% allocation to income-generating securities for a moderate-risk-tolerance client seeking income is within reasonable bounds. Marcus did attempt to stay current through voluntary CE during his absence, demonstrating professional diligence. The 12% decline occurred due to macroeconomic conditions (rising rates) that affected all fixed-income investors, not due to inappropriate product selection. Dorothy had acknowledged moderate risk tolerance, and the securities chosen were not speculative or complex products. Harbor did require Marcus to pass current examinations before registration, ensuring baseline competency.

Item 208 of 250

Topic: duty_of_care_best_execution_impact_on_client_returns

Standard: Investment Advisers Act of 1940 Section 206 (antifraud/fiduciary duty); SEC v. Capital Gains Research Bureau establishing adviser fiduciary duty; Section 28(e) of the Securities Exchange Act of 1934 (soft dollar safe harbor); SEC interpretive guidance on best execution obligations for investment advisers

Likely Outcome: Meridian would likely avoid formal enforcement action but may receive a deficiency letter noting inadequate best execution monitoring. Regulators increasingly scrutinize whether advisers conduct meaningful periodic reviews of execution quality across venues. The proper disclosure provides some protection, but examiners may require enhanced policies demonstrating that soft dollar arrangements genuinely benefit clients whose commissions fund them.

Source: 07_Practitioner_Commentary

Fact Pattern

Meridian Capital Advisers, a registered investment adviser managing \$450 million in client assets, serves Margaret Chen, a 58-year-old pre-retiree with a \$1.2 million managed account and moderate risk tolerance. In March 2023, Margaret's portfolio manager, David Holloway, recommended reallocating 25% of her portfolio from large-cap domestic equities into emerging market ETFs to enhance diversification ahead of her planned retirement in 2030. Margaret approved the recommendation. Over the following six months, Holloway executed the trades through Meridian's primary broker-dealer relationship with Cascade Securities, which charges \$0.04 per share but provides Meridian with soft dollar research services. An alternative executing broker, DirectTrade LLC, offered execution at \$0.015 per share with comparable execution quality metrics. The total commission differential across Margaret's trades amounted to approximately \$3,800 over the period. Margaret later discovered the cost differential and complained that Holloway failed to meet his duty of care by not obtaining best execution, arguing the excess costs materially impacted her retirement nest egg. Meridian's compliance department reviewed the matter and noted that Cascade's research services were used across all client accounts and that Meridian's ADV Part 2A disclosed the soft dollar arrangement. However, Margaret contends the disclosure was buried in dense legal language and that a fiduciary should have prioritized her individual account costs over firm-wide research benefits.

Why Borderline

The case hinges on whether soft dollar benefits to the adviser's overall business can justify higher individual client costs, and whether generic ADV disclosure satisfies the heightened duty of care owed to specific clients.

Borderline Factors

- * Magnitude of cost differential relative to account size and client's retirement timeline
- * Whether soft dollar research benefits accrued proportionally to Margaret versus other clients
- * Adequacy of boilerplate ADV disclosure versus client-specific explanation of execution practices

Analysis

This scenario tests the intersection of best execution obligations and the broader duty of care owed to advisory clients under Section 206 of the Investment Advisers Act. Supporting a potential violation: The \$3,800 cost differential represents approximately 0.32% of Margaret's account value--meaningful for a pre-retiree with a finite accumulation window. The duty of care requires advisers to act in the client's best interest, and systematically routing orders to higher-cost venues primarily benefits the adviser through soft dollar arrangements rather than the specific client. The Supreme Court's Capital Gains Research Bureau decision established that advisers owe undivided loyalty, and one

could argue that loyalty was compromised when firm economics drove execution decisions. Supporting compliance: Meridian properly disclosed the soft dollar arrangement in its ADV Part 2A, fulfilling its disclosure obligations. Best execution is evaluated across multiple factors--not solely commission costs--including execution quality, reliability, and the overall value of services received. The research obtained through soft dollars benefits all clients, including Margaret, by enhancing investment decision-making. SEC guidance has long recognized that paying up for research through soft dollar arrangements can be consistent with best execution obligations when the overall package of services benefits clients. Additionally, the \$3,800 differential, while not trivial, may be within acceptable bounds when weighed against execution quality and research value. The recommendation itself--diversifying into emerging markets for a moderate-risk pre-retiree with a 7-year horizon--appears reasonable and suitable.

Item 209 of 250

Topic: quantitative_suitability_excessive_trading

Standard: FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation requiring that brokers not recommend a series of transactions that, taken together, are excessive. Key metrics include turnover rate and cost-to-equity ratio. The NASAA comment letter supports eliminating the traditional control requirement in favor of a purely quantitative analysis focused on whether the broker made recommendations that resulted in excessive trading.

Likely Outcome: A violation finding is more likely, particularly under modern interpretations that emphasize quantitative metrics over control analysis. The turnover and cost-to-equity ratios are objectively excessive for a moderate-risk retirement account, and Holloway's sporadic participation does not change the fundamental reality that Renner's recommendations drove most trading activity. The branch manager's reliance on control considerations to dismiss the supervisory flag may itself constitute a supervision failure.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Margaret Holloway, age 58, opened a brokerage account at Piedmont Capital Securities in March 2021 with \$340,000 in retirement savings. Her investment profile indicated moderate risk tolerance, a 7-10 year time horizon, and retirement income as her primary objective. She worked full-time as a hospital administrator and stated she relied on her broker, David Renner, to guide her investment decisions. Between March 2021 and September 2023, Renner executed 247 transactions in Holloway's account, generating \$68,400 in commissions. The annualized turnover rate was 5.8, and the cost-to-equity ratio reached 18.2%. However, Holloway approved each trade via email confirmation before execution, occasionally rejected recommendations she felt were too aggressive, and twice independently requested purchases of specific healthcare stocks based on her industry knowledge. When the account showed a net loss of \$52,000 by late 2023, Holloway filed a complaint alleging churning. Renner argued that Holloway maintained meaningful control because she actively vetted recommendations, rejected some trades, and initiated others independently. Piedmont's supervisory system flagged the account's turnover rate in early 2023, but the branch manager concluded that Holloway's documented participation in trade decisions negated excessive trading concerns.

Why Borderline

The quantitative metrics clearly suggest excessive trading, but the customer's documented participation in approving trades, rejecting some recommendations, and initiating independent purchases creates genuine ambiguity about whether the broker's recommendations drove the harmful trading pattern.

Borderline Factors

- * Customer approved trades via email and rejected some recommendations, suggesting active participation
- * Turnover rate of 5.8 and cost-to-equity of 18.2% exceed presumptive churning thresholds
- * Firm's supervisory system flagged the account but dismissed concerns based on control analysis rather than quantitative metrics

Analysis

The quantitative metrics here strongly suggest excessive trading. A turnover rate of 5.8 and cost-to-equity ratio of 18.2% significantly exceed the thresholds typically associated with churning (turnover above 4-6 and cost-to-equity above 12% are often considered presumptively excessive). The account generated \$68,400 in commissions on a

\$340,000 account over roughly 30 months, meaning Holloway would need approximately 20% annual returns just to break even after costs--inconsistent with her moderate risk tolerance and retirement income objective.

However, the control analysis presents complications under both traditional standards and the proposed amendments discussed in the NASAA comment letter. Under the traditional approach requiring actual or de facto control, Renner has colorable defenses: Holloway reviewed and approved trades, rejected some recommendations, and initiated independent purchases. This suggests she exercised meaningful oversight rather than rubber-stamping broker recommendations.

Under the proposed quantitative-focused approach NASAA supports, the control element would be eliminated, and the recommendation element within Rule 2111 would suffice to establish the broker's potential liability. Here, Renner clearly made recommendations that Holloway followed in the vast majority of transactions. The firm's own supervisory flag in early 2023 indicates the metrics warranted concern, yet the branch manager's rationale for dismissing the alert focused primarily on the now-disfavored control analysis rather than whether the trading pattern served Holloway's stated objectives. The key question is whether Holloway's participation transforms the relationship sufficiently to defeat a quantitative suitability claim.

Item 210 of 250

Topic: suitability_of_complex_fund_structure_recommendation

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative components; FINRA Rule 2090 (Know Your Customer); Investment Company Act of 1940 Section 3 (defining investment company structures); FINRA Rule 3110 (Supervision) regarding review of recommendations involving complex products

Likely Outcome: Probable finding of suitability violation with moderate sanctions. Regulators typically scrutinize recommendations of complex, layered fund structures to investors with limited sophistication and preservation-focused objectives. The concentration level and inadequate documentation of risk discussions likely tip the balance toward violation, though the moderate risk tolerance designation and reasonable time horizon provide meaningful mitigating factors that would reduce potential sanctions.

Source: 09_Law_Firm_Memos

Fact Pattern

In March 2023, registered representative Daniel Marsh of Coastal Securities Group recommended that his client, Evelyn Torres, a 58-year-old school administrator with \$420,000 in retirement savings, invest \$175,000 into the Pinnacle Global Opportunities Fund, a non-diversified closed-end fund utilizing a master-feeder structure with significant exposure to European UCITS-style underlying funds. Torres had indicated a moderate risk tolerance, a 7-year investment horizon until retirement, and stated her primary goal was capital preservation with modest growth. Her prior investment experience consisted mainly of target-date funds and a small allocation to blue-chip equities.

Marsh explained that the fund offered 'international diversification benefits' and 'institutional-quality management,' but his documentation showed limited discussion of the fund's structural complexity, including its use of leverage through derivatives in the underlying UCITS funds, the liquidity constraints typical of closed-end structures trading at discounts to NAV, and the layered fee arrangements inherent in master-feeder configurations. The fund's prospectus disclosed total expense ratios approaching 2.4% annually when accounting for acquired fund fees.

During the subsequent 18 months, the fund experienced significant NAV volatility due to currency fluctuations and derivatives exposure, and traded at discounts to NAV ranging from 8% to 15%. Torres's position declined approximately 22% in value by September 2024. She filed a complaint alleging the recommendation was unsuitable given her conservative objectives and limited experience with complex investment structures.

Why Borderline

The tension between the client's stated 'moderate' risk tolerance (permitting some complexity) and her primary capital preservation objective creates genuine ambiguity about whether this multi-layered fund structure was appropriate.

Borderline Factors

- * Client stated moderate risk tolerance but primary goal was capital preservation--potentially conflicting signals
- * 7-year investment horizon provides recovery time but closed-end discount volatility adds unpredictable timing risk
- * 41% position concentration in single complex vehicle versus legitimate diversification rationale

Analysis

This case presents genuine tension between the adviser's obligation to ensure suitability and the client's own stated

parameters. Supporting a violation finding: Torres explicitly prioritized capital preservation, yet was placed in a non-diversified closed-end fund with embedded leverage, currency risk, and structural complexity far exceeding her experience level. The 41% concentration of her retirement assets in a single complex vehicle appears aggressive for someone seven years from retirement seeking preservation. FINRA Rule 2111 requires reasonable-basis suitability (understanding the product), customer-specific suitability (matching to client profile), and quantitative suitability. The layered fees and illiquidity premium inherent in closed-end structures arguably conflicted with her stated objectives.

Supporting compliance: Torres had a 7-year horizon, which provides meaningful time for recovery from short-term volatility. She indicated 'moderate' risk tolerance, not 'conservative,' which permits some growth-oriented exposure. International diversification is a legitimate portfolio construction principle, and the recommendation represented approximately 41% of assets--leaving meaningful allocation elsewhere. Marsh did provide some explanation of diversification benefits, and the fund was a registered investment company subject to significant regulatory oversight. Closed-end funds, while complex, are not inherently unsuitable for retail investors.

The core question is whether moderate risk tolerance and a 7-year horizon justify exposure to a product whose structural complexity and fee burden may have exceeded what was reasonably understood by the client, particularly given the capital preservation priority.

Item 211 of 250

Topic: private_placement_suitability_sophisticated_investors

Standard: Investment Advisers Act Section 206(1) and 206(2) fiduciary duty; duty of care requiring advice in client's best interest considering client's financial situation, investment objectives, and reasonably available alternatives; SEC guidance on suitability for complex and illiquid products

Likely Outcome: A regulatory examination would likely result in findings against the adviser regarding Thornton while finding the other seven investments suitable. The SEC would emphasize that fiduciary duty under Section 206 requires advisers to exercise independent judgment about suitability regardless of client enthusiasm, and Thornton's profile--recent inheritor, no alternatives experience, income/preservation objective, retirement age--created a duty to decline or significantly reduce the recommended allocation. However, the presence of documentation and disclosure might result in a settled matter with moderate sanctions rather than a litigated fraud finding.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Marcus Delgado has been an investment adviser representative at Pinnacle Wealth Partners, a registered investment adviser, since 2014. In March 2022, Delgado recommended investments in Meridian Tech Ventures LP, a private placement fund focused on early-stage technology companies, to eight of his clients. The minimum investment was \$150,000, and the fund had a seven-year lockup period with no redemption rights.

Seven of the eight clients were accredited investors with liquid net worth exceeding \$2 million and had prior experience with alternative investments including hedge funds and real estate syndications. Their investment policy statements indicated tolerance for illiquid positions up to 15% of their portfolios. The Meridian investment represented between 8-12% of each portfolio. The eighth client, Patricia Thornton, age 67, was a retired schoolteacher who became accredited only after inheriting \$1.4 million from her late husband six months prior. She had no prior experience with private placements, and her stated investment objective was 'capital preservation and income for retirement.' The Meridian investment represented \$175,000, or approximately 12.5% of her investable assets.

Delgado provided all clients with the private placement memorandum and conducted individual meetings explaining the risks, including total loss of principal and illiquidity. Thornton signed an investor questionnaire confirming she understood the risks and could bear a complete loss. Delgado's notes indicate Thornton expressed excitement about 'getting in early on the next big tech company' after reading about successful venture investments. Pinnacle's compliance department approved all eight investments after reviewing the subscription documents but did not conduct independent suitability reviews for individual clients.

Why Borderline

The core ambiguity is whether an adviser satisfies their fiduciary duty of care when a newly accredited, inexperienced client enthusiastically requests an investment that conflicts with their stated conservative objectives after receiving full risk disclosure.

Borderline Factors

- * Client met technical accredited investor qualification but lacked experiential sophistication
- * Documented risk disclosure and signed acknowledgments versus inconsistent investment objectives
- * Client expressed affirmative desire for the investment versus adviser's independent duty to assess suitability

Analysis

This case presents a genuine tension between client autonomy and the adviser's duty of care. For the seven sophisticated clients, the Meridian investment appears suitable: they had experience with alternatives, sufficient liquidity, appropriate risk tolerance documented in their IPSs, and the allocation fell within their stated parameters for illiquid investments.

However, Thornton's situation raises significant concerns. Arguments supporting a violation include: she was a newly accredited investor with no prior alternative investment experience; her stated objective of 'capital preservation and income' is fundamentally inconsistent with speculative venture capital; at age 67, a seven-year lockup could extend until age 74, limiting her flexibility for healthcare or other retirement needs; and her accredited status resulted from a recent inheritance rather than accumulated investment sophistication.

Arguments supporting compliance include: Thornton met the accredited investor standard and signed detailed risk acknowledgments; Delgado documented the specific risks discussed; her statement about wanting to participate in venture opportunities suggests informed enthusiasm rather than misunderstanding; and the 12.5% allocation left substantial assets for income generation. Additionally, accredited investor status exists precisely to allow sophisticated adults to make higher-risk choices.

The compliance department's failure to conduct individual suitability reviews is concerning but not dispositive--many firms rely on adviser-level suitability determinations with compliance providing oversight on documentation. The question is whether Delgado's duty of care required him to refuse Thornton's investment despite her expressed wishes and signed acknowledgments.

Item 212 of 250

Topic: suitability_of_portfolio_diversification_timing_for_elderly_customer

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 07-43 (Senior Investors); Reg BI Care Obligation for broker-dealers; state insurance suitability regulations for annuity sales

Likely Outcome: The expungement or defense would likely succeed on the core diversification strategy, given the documented rationale and customer acknowledgments, but the annuity component may face continued scrutiny. Regulators increasingly focus on surrender periods relative to customer age, though the outcome depends heavily on what percentage of assets went into the annuity and whether its benefits (guaranteed income) justified the surrender period for this customer's specific needs.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, an 82-year-old widow, had been a client of Coastal Wealth Advisors and her registered representative, Thomas Hartwell, since 2015. Following her husband's death in March 2023, Mrs. Ellison inherited his concentrated stock position--approximately \$1.4 million in shares of a regional energy company where he had worked for 35 years. Her existing portfolio consisted of \$380,000 in conservative bond funds. Her stated investment objective was income generation with capital preservation, risk tolerance was listed as moderate-conservative, and her time horizon was noted as 5-7 years given her age and health considerations.

Between April and October 2023, Hartwell recommended a series of sales of the inherited energy stock, ultimately liquidating approximately 75% of the position over seven months. The proceeds were reinvested into a diversified portfolio of dividend-paying equity funds, investment-grade corporate bond funds, and a fixed indexed annuity with a 7-year surrender period. Hartwell documented each transaction with contemporaneous notes reflecting discussions about concentration risk, the volatility of energy stocks, and Mrs. Ellison's need for reliable income. Mrs. Ellison signed acknowledgment forms for each transaction.

In early 2024, Mrs. Ellison's daughter filed a complaint alleging the diversification was conducted with 'undue haste,' was unsuitable given her mother's age, and that the 7-year annuity was inappropriate for an 82-year-old. The daughter claimed her mother was grieving and not capable of making sound financial decisions. Hartwell maintained that diversifying away from a single-stock concentration was prudent and that Mrs. Ellison was mentally competent and actively participated in all decisions.

Why Borderline

The case balances legitimate diversification needs against timing concerns involving a grieving elderly widow, with the annuity surrender period creating additional age-related suitability questions.

Borderline Factors

- * Whether diversifying a concentrated inherited position constitutes prudent advice regardless of timing
- * Whether one month post-bereavement is too soon for major portfolio restructuring decisions
- * Whether a 7-year surrender annuity can ever be suitable for an 82-year-old investor

Analysis

This case presents competing considerations around suitability for an elderly customer with a concentrated inherited position. Arguments supporting a violation include: the customer's advanced age (82) makes a 7-year surrender period annuity potentially problematic under FINRA's heightened scrutiny standards for senior investors; the timing--beginning just one month after her husband's death--raises questions about whether she was in an appropriate emotional state to make major financial decisions; and the pace of liquidating 75% of a \$1.4 million position over seven months could be characterized as aggressive given the circumstances.

However, substantial arguments support compliance: a concentrated single-stock position in a volatile sector (energy) represents significant unsystematic risk that prudent diversification addresses; the representative documented each meeting contemporaneously and obtained customer acknowledgments; the customer's stated objectives (income generation, capital preservation) align with moving from a concentrated equity position to diversified income-producing investments; and the representative had an established relationship with the client since 2015, providing context for understanding her decision-making capacity. The bond funds and dividend-paying equity funds appear consistent with her moderate-conservative risk tolerance.

The annuity component is the most problematic element--an 82-year-old with a 5-7 year time horizon purchasing a product with a 7-year surrender period requires careful justification. However, if the annuity represented only a portion of the overall portfolio and provided guaranteed income benefits, it could be defensible.

Item 213 of 250

Topic: suitability_of_complex_trading_strategy_for_self_directed_client

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 2010 (Standards of Commercial Honor); Investment Advisers Act Section 206 fiduciary duty (if advisory relationship established); SEC interpretive guidance on broker-dealer versus investment adviser standards

Likely Outcome: FINRA would likely find no violation, concluding that Hensley's explicit self-direction, documented speculative objectives, and business sophistication placed responsibility for the trading decisions with him. However, Ridgeline may receive a cautionary letter regarding documentation of the self-directed nature of the relationship.

Source: 11_Case_Law

Fact Pattern

Marcus Hensley, age 58, opened an account with Ridgeline Securities LLC in March 2022. Hensley had spent 30 years in the commercial real estate industry and accumulated \$1.8 million in liquid assets. He told his broker, Patricia Dunn, that he wanted to pursue 'aggressive growth' and had been reading extensively about options strategies and short-selling. His account documentation indicated high risk tolerance, 15+ years investment horizon, and speculative investment objective. Hensley specifically requested that Dunn help him execute a strategy involving short-selling stocks of companies he believed would announce secondary offerings, based on his own analysis of shelf registration statements and cash flow projections he developed independently.

Over the following eight months, Dunn facilitated approximately 45 short-sale transactions totaling \$2.3 million in notional value based on Hensley's specific instructions. Dunn provided execution services but did not independently verify Hensley's analysis or evaluate whether the timing or position sizes were appropriate. When Hensley's predictions proved incorrect on several occasions, he suffered losses of approximately \$340,000, representing roughly 19% of his liquid net worth.

Hensley subsequently complained to FINRA that Dunn should have warned him that his strategy was too risky and that the position sizes were excessive relative to his retirement timeline. Ridgeline's compliance department argued that Hensley was a sophisticated, self-directed investor who made his own trading decisions and that Dunn merely executed his orders without making recommendations.

Why Borderline

The case hinges on whether a broker facilitating self-directed speculative trading has residual suitability obligations when the client lacks formal securities training but demonstrates apparent sophistication and provides explicit direction.

Borderline Factors

- * Client explicitly requested the strategy and made independent analytical decisions
- * Broker's ongoing involvement in executing the strategy could imply advisory relationship
- * Client's age and proximity to retirement versus documented speculative objectives

Analysis

This case presents the classic tension between broker suitability obligations and client self-direction. Supporting a finding of violation: Even when executing customer-directed trades, brokers retain some duty to avoid facilitating clearly unsuitable transactions. The position sizes (individual trades sometimes exceeding \$150,000) and concentration in a

single speculative strategy may have been excessive for a 58-year-old investor approaching retirement. Dunn's knowledge that Hensley lacked formal training in securities analysis--despite his claimed self-education--could trigger a duty to provide warnings about the strategy's risks.

Supporting compliance: Hensley's documented risk tolerance, speculative objective, and explicit requests for this specific strategy suggest informed self-direction. The account agreements likely contained acknowledgments that self-directed trading decisions are the client's responsibility. Hensley's 30 years of business experience and \$1.8 million in assets indicate financial sophistication even without securities credentials. The 19% loss, while significant, is not catastrophic and falls within the range of outcomes consistent with a stated speculative objective.

The critical question is whether Dunn's role crossed from order execution into recommendation territory, and whether Hensley's self-education constitutes genuine sophistication or merely creates the appearance of informed consent. Courts and regulators have inconsistently treated the boundaries between execution-only and advisory relationships, particularly when the broker has ongoing dialogue with the client about strategy.

Item 214 of 250

Topic: suitability_concentrated_position_expungement_context

Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2080 (Obtaining an Order of Expungement); SEC Regulation Best Interest for care obligation if applicable to the representative's registration

Likely Outcome: Given the customer's withdrawal of the complaint, signed risk acknowledgments, and the documented customer-stated preferences, regulatory action is unlikely. However, if examined on the merits, a panel might find the concentration level inconsistent with a moderate risk tolerance profile regardless of verbal preferences, potentially resulting in a suitability finding. The withdrawal significantly reduces enforcement probability.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 62, was a longtime client of Westridge Wealth Advisors, holding approximately \$1.2 million in retirement assets. In March 2022, her registered representative, Daniel Kovac, recommended she consolidate her holdings and allocate 45% of her portfolio to a single biotechnology ETF (BIOQ), citing her stated interest in 'aggressive growth for the next 5-7 years before retirement.' Chen's client profile indicated moderate risk tolerance, a retirement target of age 67, and income needs beginning within six years. Kovac documented that Chen had specifically requested exposure to the biotech sector after reading industry publications and expressed comfort with volatility. The recommendation was reviewed and approved by Westridge's supervisory system without objection. By December 2022, BIOQ had declined 38%, reducing Chen's portfolio to approximately \$940,000. Chen filed a customer complaint alleging the concentrated position was unsuitable given her proximity to retirement and moderate risk tolerance. Kovac maintained that the recommendation aligned with Chen's explicitly stated investment objectives and documented timeframe. Westridge's compliance review noted that Chen had signed an acknowledgment form indicating she understood the risks of sector concentration. Chen subsequently withdrew her complaint after discussions with Westridge, stating she 'may have been unclear about her goals' and that she did not blame Kovac for her losses.

Why Borderline

The conflict between documented moderate risk tolerance and the customer's expressed aggressive investment preferences creates genuine ambiguity about whether the representative fulfilled or violated suitability obligations.

Borderline Factors

- * Tension between documented risk tolerance (moderate) and customer's verbally expressed investment objectives (aggressive growth)
- * Customer's subsequent withdrawal of complaint and acknowledgment of potential miscommunication
- * Concentration percentage (45%) falling in a gray zone--aggressive but not extreme

Analysis

This case presents competing considerations under FINRA Rule 2111's suitability framework. Supporting a potential violation: A 45% allocation to a single sector ETF for a 62-year-old client with moderate risk tolerance and a six-year retirement horizon raises legitimate suitability concerns. The concentration risk is substantial, and prudent practice typically suggests reducing portfolio volatility as clients approach retirement. The client's documented 'moderate' risk tolerance appears inconsistent with such an aggressive position, regardless of her verbal interest in biotech. The

representative may have given undue weight to the client's expressed enthusiasm while underweighting her documented profile and retirement timeline. Supporting compliance: Kovac documented Chen's specific request for biotech exposure and her stated comfort with volatility. The 5-7 year timeframe she articulated could theoretically accommodate recovery from sector downturns. Chen signed risk acknowledgment documentation, suggesting informed consent. The recommendation passed supervisory review. Importantly, the customer withdrew her complaint and indicated her own communication may have been unclear--a factor that, while not determinative of suitability at the time of recommendation, suggests the representative may have reasonably relied on customer-communicated objectives. The withdrawal complicates any enforcement action, as the complaining party effectively recanted.

Item 215 of 250

Topic: annuity_surrender_suitability_tax_consequences

Standard: FINRA Rule 2111 (Suitability) including customer-specific suitability requiring reasonable basis to believe customer has financial ability to meet commitments; FINRA Rule 2111 Supplementary Material .04 (tax advice exclusion); FINRA Rule 2010 (Standards of Commercial Honor)

Likely Outcome: A panel would likely find a partial suitability violation. While the underlying investment recommendation had merit, the failure to document any inquiry into the Dawsons' ability to absorb the immediate tax liability--given their documented limited liquid assets and fixed income--represents a gap in customer-specific suitability analysis. Damages would likely be limited to advisory fees or partial compensation rather than full tax liability, as the tax would eventually have been owed upon annuitization.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative Sandra Fielding of Horizon Wealth Partners recommended that clients Harold and Margaret Dawson, ages 71 and 68, surrender their Prudential FlexGuard tax-deferred variable annuity worth \$187,000 and reinvest the proceeds into a diversified ETF portfolio. The Dawsons' customer profile indicated annual household income of \$62,000 (primarily Social Security and a small pension), liquid assets of approximately \$45,000 outside the annuity, moderate risk tolerance, and a 10-year investment horizon. Fielding documented the recommendation on a Change of Investment Strategy form, noting the benefits of lower ongoing fees (1.8% annually versus the annuity's 2.4%), elimination of surrender charges (which had expired), greater portfolio flexibility, and improved diversification across market sectors.

Fielding did not document any inquiry into the Dawsons' current tax bracket, their ability to absorb an immediate tax liability from the annuity surrender, or whether they had other liquid resources to pay resulting taxes without liquidating investments. The annuity had accumulated \$67,000 in deferred gains. Upon surrender, the Dawsons faced an unexpected federal and state tax bill of approximately \$14,200, which pushed them into a higher tax bracket for 2022 and reduced their net worth significantly. They were forced to withdraw \$11,000 from the newly purchased ETF portfolio to pay the tax liability.

The Dawsons filed a FINRA arbitration claim alleging breach of suitability obligations, asserting that Fielding failed to consider the immediate tax consequences and their limited liquidity when making the recommendation. Fielding and Horizon Wealth Partners contend the recommendation was suitable based on the documented long-term benefits and that providing tax advice is expressly outside a broker-dealer's suitability obligation.

Why Borderline

The case turns on whether the exclusion of tax advice from suitability obligations also excuses a representative from considering obvious, foreseeable tax consequences when assessing a customer's financial ability to absorb immediate costs of a recommended transaction.

Borderline Factors

- * Distinction between providing tax advice versus considering foreseeable tax consequences in suitability analysis
- * Limited documentation of customer's liquidity and ability to meet immediate financial commitments
- * Long-term benefits of recommendation potentially offsetting short-term tax impact over time

Analysis

This case presents competing considerations under FINRA Rule 2111's customer-specific suitability requirements. Supporting a violation finding: Fielding had documented information showing the Dawsons' limited liquid assets (\$45,000) and modest fixed income (\$62,000 annually), yet made no documented inquiry into their ability to absorb a substantial immediate tax liability. The \$67,000 in deferred gains triggering a \$14,200 tax bill represented a significant percentage of their liquid net worth. Rule 2111 requires reasonable diligence to understand the customer's financial situation, including their 'financial ability to meet commitments' arising from recommended transactions. The failure to document any consideration of tax impact--when the representative knew surrender would trigger a taxable event--suggests inadequate customer-specific analysis.

Supporting compliance: The recommendation itself was not per se unsuitable--the ETF portfolio offered legitimate benefits including lower fees, better diversification, and no surrender charges. FINRA Rule 2111's Supplementary Material explicitly states that suitability obligations do not require broker-dealers to provide tax advice. Fielding documented substantial reasoning for the recommendation's long-term benefits. The Dawsons could theoretically recoup the short-term tax cost through lower ongoing fees over time. Additionally, customers bear some responsibility for understanding their own tax situations and consulting tax professionals before major financial decisions.

The critical question is whether documenting long-term benefits while omitting any analysis of immediate, foreseeable financial consequences satisfies the reasonable-basis and customer-specific suitability components, particularly for retired clients with limited liquidity.

Item 216 of 250

Topic: esg_fund_suitability_and_fiduciary_duty

Standard: Reg BI Care Obligation (Exchange Act Rule 15l-1); Investment Advisers Act Section 206 fiduciary duty; ERISA Section 404(a)(1)(B) prudent investor standard for IRA rollovers; SEC Staff guidance on Names Rule (Rule 35d-1) regarding ESG fund terminology

Likely Outcome: Probable finding of care obligation violation, primarily due to inadequate documentation. While ESG investing is increasingly accepted, regulators expect advisers to document that clients made informed decisions about cost-return trade-offs, particularly for retirement accounts. The absence of a comparative cost-benefit analysis and failure to document client's explicit acceptance of potential underperformance undermines the recommendation's defensibility, even though the underlying ESG strategy may be legitimate for investors who knowingly choose it.

Source: 10_Academic_Articles

Fact Pattern

In March 2023, Greenleaf Wealth Partners, a dual-registered investment adviser, recommended that client Dorothy Henshaw, age 62, reallocate approximately \$475,000 of her traditional IRA--representing 65% of her retirement assets--from a diversified S&P 500 index fund into the 'Pinnacle Sustainable Future Fund,' an actively-managed ESG equity fund with a 1.12% expense ratio (compared to 0.03% for her existing index fund). Mrs. Henshaw's investment policy statement indicated a moderate risk tolerance, a 15-year investment horizon, and a primary objective of capital preservation with growth to fund retirement income. During the recommendation discussion, adviser Marcus Chen emphasized that the Pinnacle fund aligned with Mrs. Henshaw's stated personal values regarding environmental sustainability, which she had mentioned casually during their initial meeting. However, Chen's documentation did not reflect whether Mrs. Henshaw expressed a willingness to accept potentially lower returns or higher costs to pursue ESG objectives, nor did he document a comparative analysis of the Pinnacle fund's historical performance versus her existing holdings. The Pinnacle fund's prospectus disclosed that ESG criteria may cause the fund to forgo certain investment opportunities and that the fund's ESG integration approach involves subjective judgments about which companies meet sustainability thresholds. Over the following 12 months, the Pinnacle fund underperformed Mrs. Henshaw's previous index holding by approximately 4.2%, and she incurred roughly \$4,800 in additional fees compared to her prior allocation.

Why Borderline

The case hinges on whether a casual client statement about personal values constitutes sufficient basis for recommending higher-cost ESG investments in retirement accounts, and whether the adviser adequately documented the client's informed acceptance of potential financial trade-offs.

Borderline Factors

- * Unclear whether client's casual mention of environmental values constituted informed consent to accept higher costs and potential underperformance
- * Lack of documented comparative analysis between existing low-cost index fund and recommended ESG fund
- * Tension between evolving regulatory acceptance of ESG considerations and traditional fiduciary cost-consciousness for retirement assets

Analysis

This case presents genuine tension between client-expressed values and traditional fiduciary metrics. Supporting

compliance: Mrs. Henshaw expressed interest in environmental sustainability, and Reg BI's care obligation permits consideration of investor preferences beyond pure financial return maximization. The recommendation aligned her portfolio with stated values, which can constitute a legitimate investment objective. The 15-year horizon provides time to absorb short-term underperformance, and ESG integration has academic support for identifying long-term risk factors. Chen made the recommendation through proper channels with an approved fund. Supporting violation: The dramatic fee increase (from 0.03% to 1.12%) represents a 37-fold cost increase that materially impacts retirement accumulation. Chen failed to document whether Mrs. Henshaw consciously accepted a potential return-cost tradeoff for ESG alignment--a casual mention of environmental values differs from an informed decision to sacrifice financial performance. Under the prudent investor standard incorporated into fiduciary duty, the lack of comparative analysis and cost-benefit documentation is problematic. The concentration of 65% of retirement assets in a single actively-managed fund also raises diversification concerns. As the enclosed academic article notes, fiduciaries must distinguish between ESG as a risk-return factor (permissible) versus ESG as a values-based screen that may sacrifice returns (requires explicit client consent and documentation). Chen's documentation gap regarding informed consent is the central weakness.

Item 217 of 250

Topic: retirement_rollover_recommendation_suitability

Standard: ERISA §404(a) prudent expert standard; ERISA fiduciary definition under §3(21); DOL rollover guidance requiring consideration of guaranteed income forfeiture; Impartial Conduct Standards requiring advice in retirement investor's best interest with reasonable compensation

Likely Outcome: Likely violation finding. Regulators increasingly expect documented quantitative analysis for pension-to-IRA rollover recommendations, particularly when the client has limited other retirement assets and the recommendation results in forfeiture of guaranteed lifetime income. The failure to clearly address PBGC protections when that was the client's primary concern suggests the care obligation was not fully satisfied, even though client preferences were documented.

Source: 06_DOL_Fiduciary

Fact Pattern

In February 2025, Marcus Delgado, a registered representative with Pinnacle Wealth Advisors, met with Gloria Hernandez, a 58-year-old manufacturing plant supervisor who was being offered an early retirement package. Gloria had accumulated \$387,000 in her employer's defined benefit pension plan and was eligible for either a lump-sum distribution or a monthly annuity payment of \$2,450 for life beginning at age 62. Marcus recommended she take the lump-sum and roll it into an IRA he would manage, invested primarily in a diversified portfolio of mutual funds with a 1.15% advisory fee.

Marcus documented that Gloria expressed concerns about her pension plan's funding status after receiving the annual funding notice, which showed the plan was 78% funded. Gloria stated she worried the company might face financial difficulties and wanted 'more control' over her retirement assets. Marcus's notes indicated he explained the trade-offs between guaranteed lifetime income and market-based growth potential, and that Gloria had moderate risk tolerance with no other significant retirement savings beyond \$45,000 in a separate 401(k).

However, Marcus did not obtain or document the specific assumptions underlying the pension's present value calculation, nor did he compare the internal rate of return Gloria would need to achieve in the IRA to replicate the pension's guaranteed income stream. The employer's pension was backed by PBGC insurance, which would guarantee most of Gloria's benefit even if the plan terminated. Gloria proceeded with the rollover in March 2025, and her new IRA subsequently declined 12% during market volatility by August 2025.

Why Borderline

The case turns on whether qualitative discussion of trade-offs satisfies the duty of care, or whether quantitative break-even analysis is required when recommending forfeiture of guaranteed lifetime income for a client with limited other retirement resources.

Borderline Factors

- * Absence of documented quantitative comparison between pension present value and required IRA returns
- * Client's expressed preference for control versus her objective need for guaranteed income given limited assets
- * PBGC insurance substantially mitigating the funding concern that motivated the rollover decision

Analysis

This case presents genuine tension regarding whether Marcus met the fiduciary standard of care when recommending

the pension-to-IRA rollover. Supporting a finding of inadequate care: Marcus failed to perform a quantitative comparison showing what rate of return Gloria would need to match her guaranteed pension income--a fundamental analysis for evaluating rollover recommendations. The PBGC guarantee significantly mitigated Gloria's concern about plan underfunding, yet Marcus did not clearly document explaining this protection. Gloria had limited other retirement assets, making the guaranteed lifetime income stream potentially more valuable for her situation. The 1.15% ongoing advisory fee represents a new cost that did not exist under the pension arrangement.

Supporting compliance: Marcus documented the client's stated concerns and preferences, including her desire for control and worry about plan funding. He disclosed the advisory fee structure and explained trade-offs between guaranteed income and growth potential. Gloria's moderate risk tolerance and 7-year time horizon before pension payments would begin arguably support some equity exposure. The 78% funding level, while protected by PBGC, could legitimately cause concern, and respecting client autonomy after proper disclosure is appropriate. The subsequent market decline alone does not prove the recommendation was unsuitable at the time it was made.

The core question is whether documenting client preferences suffices, or whether the fiduciary duty of care requires affirmative quantitative analysis comparing the guaranteed benefit to the proposed alternative, especially when the client's stated concerns may be based on incomplete understanding of PBGC protections.

Item 218 of 250

Topic: churning_and_de_facto_control_suitability

Standard: FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); Exchange Act Section 10(b) and Rule 10b-5 for churning claims requiring control, excessive trading, and scienter; common law fiduciary duty and negligence standards under Minnesota law including Minn. Stat. § 45.026

Likely Outcome: Panel would likely find for claimant on churning and suitability claims. The quantitative evidence of excessive trading combined with the mismatch between documented objectives and actual trading strategy, plus Hoffman's passive approval pattern suggesting de facto control, would outweigh Webb's procedural compliance with obtaining verbal authorization. The supervision failure in accepting Webb's characterization without independent verification strengthens respondeat superior liability against the firm.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Gerald Hoffman, a 62-year-old recently retired manufacturing supervisor, opened an account with Pinnacle Securities Group in March 2021 with \$185,000 in retirement savings. His new account form indicated moderate risk tolerance, a 10-15 year investment horizon, and a primary objective of capital preservation with modest growth for retirement income supplementation. His registered representative, Marcus Webb, recommended an active trading strategy in small-cap equities, explaining it would generate better returns than bonds or index funds in the current market environment. Over the following 18 months through September 2022, Webb executed 247 trades in Hoffman's account, generating \$42,800 in commissions and fees. The account's annualized turnover ratio was 8.2, and the cost-to-equity ratio exceeded 24%. Hoffman testified he rarely initiated trades and typically received brief calls from Webb informing him of positions being taken, to which Hoffman generally responded 'okay, you're the expert.' Webb maintained that Hoffman approved each transaction individually via telephone and received monthly statements showing all activity. The account suffered net losses of approximately \$67,000 during this period. Pinnacle's compliance department had flagged the account for review twice during 2022 due to elevated trading activity, but Webb's supervisor approved continuation after Webb explained the client wanted an aggressive approach and was sophisticated enough to understand the risks based on his prior experience owning mutual funds through his 401(k).

Why Borderline

The case presents tension between formal customer approval of individual trades versus practical de facto control, with conflicting evidence about whether Hoffman meaningfully participated in investment decisions or merely rubber-stamped his representative's recommendations.

Borderline Factors

- * Customer verbally approved each trade individually but lacked investment sophistication
- * Quantitative churning metrics are clearly excessive but customer received monthly statements
- * Account objectives documented as conservative but supervisor approved aggressive strategy continuation

Analysis

The churning analysis hinges on two elements: whether Webb exercised control over the account and whether the trading was excessive. The quantitative metrics strongly suggest excessive trading—a turnover ratio of 8.2 and cost-to-equity ratio of 24% far exceed the thresholds courts and arbitrators typically consider indicative of churning

(turnover above 6 and cost-to-equity above 20% are generally considered presumptively excessive). However, Webb's defense rests on the control element. Hoffman did receive calls before trades and verbally approved them, and he received monthly statements documenting all activity. The firm might argue this constitutes meaningful customer participation and informed consent. Conversely, Hoffman's responses of 'okay, you're the expert' suggest acquiescence rather than informed decision-making, and his moderate risk tolerance and capital preservation objectives are fundamentally inconsistent with high-frequency speculative trading. The supervision angle is also problematic--compliance flagged the account twice but accepted Webb's characterization without independent verification of the client's actual sophistication or objectives. Hoffman's only prior investment experience was passive 401(k) mutual fund ownership, hardly qualifying him as sophisticated. The disconnect between documented objectives (capital preservation) and actual trading strategy (aggressive speculation) suggests either an unsuitable recommendation or falsified customer information. Webb's argument that verbal approval negates control has been rejected by FINRA panels where the representative is the primary source of investment ideas and the customer lacks meaningful independent judgment.

Item 219 of 250

Topic: hedge_fund_suitability_for_accredited_investors

Standard: Investment Advisers Act Section 206 fiduciary duty; SEC guidance on suitability obligations requiring advisers to have reasonable basis for recommendations considering client's financial situation, investment objectives, and risk tolerance; the adviser's duty to understand product characteristics and ensure alignment with client profiles regardless of accredited investor status.

Likely Outcome: A regulator would likely find this a close case but potentially conclude no violation occurred, given the extensive documentation, reasonable allocation percentage, and client's sophistication indicators. However, the adviser may face criticism for insufficient comparative analysis between hedge fund risks and the client's prior private placement experience, potentially resulting in supervisory recommendations rather than enforcement action.

Source: 11_Case_Law

Fact Pattern

Westbrook Capital Advisors LLC is a registered investment adviser that began recommending hedge fund investments to certain high-net-worth clients in March 2023. One client, Margaret Thornton, age 67, is a retired corporate executive with a liquid investment portfolio of \$4.2 million and an additional \$1.8 million in retirement accounts. Her stated investment objective was 'growth with moderate risk tolerance' and she indicated a 10-year investment horizon. Westbrook's adviser, Daniel Prescott, recommended she allocate \$840,000 (20% of her liquid portfolio) to the Pinnacle Absolute Return Fund, a hedge fund employing long-short equity strategies with a two-year lockup period and quarterly redemption windows thereafter.

Prescott provided Mrs. Thornton with the fund's offering memorandum, which disclosed the lockup terms, the fund's 2-and-20 fee structure, and historical volatility metrics showing drawdowns of up to 18% in certain quarters. Mrs. Thornton signed an investor questionnaire confirming her accredited investor status and acknowledging the liquidity restrictions. Prescott documented that Mrs. Thornton had previously invested in private placements and understood illiquid investments, though those prior investments were in real estate limited partnerships rather than hedge funds.

By December 2023, the Pinnacle fund had declined 14% while comparable equity indices gained 12%. Mrs. Thornton complained that the investment was unsuitable given her retirement status and that Prescott never adequately explained how the hedge fund's risk profile differed from her prior private placement experience. Westbrook maintains that Mrs. Thornton's substantial assets, accredited status, and documented acknowledgments made this a suitable recommendation.

Why Borderline

The client met all technical qualifications (accredited status, signed disclosures, stated long horizon) but the intersection of her age, retirement status, and the specific lockup/volatility characteristics creates genuine tension with her moderate risk tolerance.

Borderline Factors

- * Client's accredited status and substantial assets versus her retirement status and age
- * Documented prior illiquid investment experience versus materially different hedge fund risk profile
- * Stated 10-year horizon versus practical liquidity needs of a 67-year-old retiree

Analysis

The core suitability question is whether a 20% allocation to an illiquid hedge fund with a two-year lockup was appropriate for a 67-year-old retiree, regardless of her accredited investor status and substantial assets. Arguments supporting compliance include: Mrs. Thornton's \$6 million total portfolio means the \$840,000 allocation represents a reasonable concentration for alternative investments; she explicitly stated a 10-year horizon suggesting she didn't need immediate liquidity; she had documented experience with illiquid private placements; and she signed acknowledgments confirming her understanding of the lockup terms. The adviser provided the offering memorandum and obtained written confirmations, satisfying procedural suitability requirements.

Arguments supporting a violation include: the adviser may have failed to adequately distinguish hedge fund risk characteristics from real estate limited partnerships, which have fundamentally different return drivers and correlation profiles; a retiree's stated risk tolerance of 'moderate' arguably conflicts with a fund showing 18% quarterly drawdowns; the two-year lockup creates meaningful liquidity risk for a 67-year-old who may face unexpected healthcare or other expenses; and the 2-and-20 fee structure may not align with a moderate-risk growth objective when lower-cost alternatives exist. The fact that Mrs. Thornton was accredited doesn't automatically make the recommendation suitable--the adviser still owes a duty of care to ensure the specific investment fits her particular circumstances, including her retirement status and actual risk capacity versus stated risk tolerance.

Item 220 of 250

Topic: reasonable_basis_suitability_illiquid_bonds

Standard: Exchange Act Rule 15l-1(a)(2)(ii)(A) (Care Obligation - reasonable basis); Exchange Act Rule 15l-1(a)(1) (General Obligation); Investment Advisers Act Section 206 (fiduciary duty for advisory capacity)

Likely Outcome: Probable finding of Regulation Best Interest Care Obligation violation, but with mitigating factors. The failure to review available audited financials showing deteriorating issuer condition, combined with reliance solely on wholesaler materials for a complex illiquid product, likely falls below the reasonable-basis standard. However, sanctions may be moderate given partial compliance efforts and customer acknowledgments. Remediation would likely include enhanced due diligence procedures and representative supervision.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Coastal Wealth Advisors, a dually registered broker-dealer and investment adviser based in Tampa, Florida, employed registered representative Daniel Kowalski, who in March 2022 recommended Meridian Life Funding Bonds to three retail customers. These bonds, issued by a company that purchased life insurance policies on the secondary market, offered 8.5% annual returns but carried significant liquidity restrictions--investors could not redeem for five years and the issuer had disclosed ongoing SEC scrutiny in its offering documents. Kowalski had attended a two-hour virtual product training in February 2022 that covered the basic structure but did not address the issuer's financial condition or default risk analysis.

The three customers--Margaret Hollis (age 67, retired teacher with \$340,000 in liquid assets, moderate risk tolerance), Paul Dresden (age 58, small business owner with \$890,000 investable assets, aggressive risk tolerance), and Carla Nguyen (age 44, software engineer with \$215,000 in savings, moderate-aggressive risk tolerance)--each invested between \$25,000 and \$75,000 in the bonds after meetings with Kowalski. The investments represented 7% to 22% of each customer's liquid net worth respectively. Kowalski documented in his notes that each customer understood the illiquidity and higher yield potential, and each signed acknowledgment forms.

In November 2023, Meridian Life Funding suspended interest payments and entered restructuring negotiations, causing substantial customer losses. A subsequent internal review by Coastal's compliance department found that Kowalski had not reviewed the issuer's most recent audited financial statements, which showed deteriorating cash reserves, nor had he conducted any independent analysis of default probability beyond reviewing the marketing materials provided by the issuer's wholesaler.

Why Borderline

The representative followed some due diligence steps and documented customer acknowledgments, but the depth of his product-level analysis may not meet the heightened standard for complex illiquid products under Regulation Best Interest's reasonable-basis requirement.

Borderline Factors

- * Representative attended training but did not independently review issuer financials showing material cash flow deterioration
- * Customer acknowledgment forms were signed but may not cure inadequate reasonable-basis analysis
- * Concentration levels varied significantly across customers (7-22%) creating different risk exposures

Analysis

The Care Obligation under Regulation Best Interest requires brokers to exercise reasonable diligence, care, and skill to understand potential risks, rewards, and costs before making recommendations. The reasonable-basis prong specifically mandates that representatives understand the product sufficiently to evaluate whether it could be suitable for any investor.

Arguments supporting a violation: Kowalski's due diligence was arguably superficial--a two-hour virtual training and reliance on wholesaler marketing materials falls short of understanding an illiquid, complex fixed-income product with disclosed regulatory concerns. The failure to review audited financials showing deteriorating cash reserves suggests he lacked the understanding necessary to evaluate default risk. The SEC's enforcement action in the LifeMark matter established that recommending products without understanding their risk profile constitutes a Care Obligation failure, even when customers sign acknowledgments.

Arguments supporting compliance: Kowalski did attend product training, documented customer discussions, obtained signed acknowledgments, and the concentration levels (7-22% of liquid assets) were not extreme for an alternative investment. Two of the three customers had moderate-to-aggressive risk tolerances appropriate for higher-yielding, illiquid products. The issuer's subsequent failure was not foreseeable, and the SEC scrutiny was publicly disclosed--meaning customers were informed of this risk. Coastal maintained written supervisory procedures addressing alternative investments, and Kowalski followed the firm's documented sales process.

The critical question is whether the level of product-level due diligence was 'reasonable' given the complexity and risk characteristics of the bonds.

Item 221 of 250

Topic: suitability_of_alternative_investment_for_retirement_investor

Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest (if applicable after June 2020 for ongoing recommendations); firm internal concentration guidelines for alternative investments

Likely Outcome: A FINRA panel would likely find partial liability, potentially reducing damages for comparative fault given the signed acknowledgments, but finding the adviser failed to adequately consider whether any concentration in this speculative product was appropriate for customers relying on the funds for retirement income. The eligibility defense under Rule 12206 may also result in dismissal if the panel finds the 2018 recommendation is the triggering event.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2018, Harold and Patricia Feldman, ages 68 and 65 respectively, met with their registered representative Marcus Webb at Pinnacle Securities Group to discuss reinvesting \$285,000 from Harold's recent pension buyout. The Feldmans indicated on their account documents that they had a moderate risk tolerance, a 10-year investment horizon, and that this represented approximately 40% of their liquid net worth. They stated their primary objective was income generation to supplement Social Security benefits.

Webb recommended the Feldmans allocate \$115,000 (approximately 40% of the invested assets) to LifeSpan Alternative Income Bonds, a high-yield debt instrument backed by life settlement policies. Webb explained these bonds offered 6.5% annual interest payments, significantly higher than comparable fixed-income products at the time. He provided the offering memorandum, which disclosed that the bonds were illiquid, carried substantial credit risk, and were rated as speculative. The Feldmans signed acknowledgment forms indicating they understood the speculative nature of the investment.

Pinnacle's compliance manual permitted alternative investments up to 35% of liquid net worth for moderate-risk investors, though exceptions could be approved for clients with sufficient income from other sources. Webb documented that the Feldmans had approximately \$3,200/month in Social Security income and that Patricia was still working part-time. In January 2022, LifeSpan's parent company filed for bankruptcy protection, and the bonds became worthless. The Feldmans filed a FINRA arbitration claim in September 2024, alleging the investment was unsuitable given their age, retirement status, and reliance on the invested funds for income.

Why Borderline

The case involves tension between documented customer acknowledgments and consent versus questions about whether the concentration level and product characteristics were fundamentally unsuitable for retirement-age investors regardless of disclosure.

Borderline Factors

- * Concentration slightly exceeded internal firm guidelines but was documented as approved exception
- * Customers signed detailed risk acknowledgments but may not have fully appreciated illiquidity impact on retirement
- * 10-year stated time horizon provides some justification but conflicts with immediate income needs of retirees

Analysis

The suitability analysis here involves competing considerations. Arguments supporting a finding of unsuitability include: the Feldmans were retired or near-retired investors who allocated a significant portion of their retirement assets to a speculative, illiquid investment; the 40% concentration in a single alternative product exceeded Pinnacle's own internal guideline of 35% for moderate-risk investors; and the illiquidity of the bonds conflicted with their stated need for accessible retirement income. The speculative nature of life settlement-backed bonds presents heightened risks for investors with limited time horizons to recover from losses.

However, arguments supporting the adviser's defense include: the Feldmans had a stated 10-year investment horizon, suggesting they did not need immediate access to all invested funds; they retained 60% of the pension proceeds in more liquid investments; their ongoing income from Social Security and Patricia's part-time work reduced immediate dependence on this capital; and they signed detailed acknowledgments demonstrating informed consent to the risks. Webb documented a reasonable basis for the exception to the 35% guideline based on the Feldmans' supplemental income sources.

The six-year eligibility rule under FINRA Rule 12206 presents a threshold issue, as the 2018 recommendation occurred more than six years before the 2024 filing. However, unlike the Steiner case in the source document, the Feldmans might argue continuous duty theories or that the bankruptcy in 2022 triggered the claim. The merits involve weighing the documented risk disclosures against questions of whether the overall allocation was suitable for these particular customers' circumstances.

Item 222 of 250

Topic: suitability_of_aggressive_strategy_for_pre_retiree

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on suitability obligations and documentation of customer investment profiles

Likely Outcome: A FINRA arbitration panel would likely find a partial violation, concluding that while the representative appropriately documented the client's changed preferences, the failure to formally update the investment profile before executing such a significant strategy shift fell below the standard of care. Damages would likely be reduced by the client's contributory conduct in expressly requesting aggressive positioning, potentially resulting in a 40-60% reduction from full claimed losses.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Holloway, age 58, had been a client of Pinnacle Wealth Advisors since 2014. Her registered representative, Thomas Kendrick, managed her rollover IRA of approximately \$485,000, which represented her primary retirement savings from 25 years at a manufacturing company. In March 2021, Kendrick recommended transitioning 40% of her portfolio into a concentrated position of small-cap growth equities and sector-specific ETFs focused on emerging technology. Mrs. Holloway's client profile, last updated in January 2020, indicated a 'moderate' risk tolerance, a 7-10 year investment time horizon, and retirement income as her primary investment objective. However, during a recorded phone call in February 2021, Mrs. Holloway expressed frustration that her portfolio had 'missed out on the tech rally' and verbally agreed she wanted to 'catch up' before retirement. Kendrick documented this conversation in his CRM notes but did not formally update her risk tolerance or investment objectives on her account documentation. By November 2021, the concentrated growth positions had declined approximately 34%, reducing her IRA to roughly \$420,000. Mrs. Holloway filed a complaint alleging the recommendation was unsuitable given her proximity to retirement and moderate documented risk profile. Kendrick argued the recommendation was consistent with her expressed desires and her remaining working years provided adequate time for recovery.

Why Borderline

The case hinges on whether documented verbal consent to increased risk can justify recommendations that conflict with formal written investment objectives, and whether the representative's failure to update paperwork constitutes a procedural deficiency or a substantive suitability violation.

Borderline Factors

- * Conflict between formal documented risk profile (moderate) and recorded verbal expression seeking aggressive growth
- * Representative's documentation of client conversation without formal profile update
- * Client's age and retirement timeline versus stated willingness to accept volatility

Analysis

This case presents a classic tension between documented customer profile and verbal expressions of changed investment preferences. Supporting a suitability violation: Mrs. Holloway's formal profile clearly indicated moderate risk tolerance and retirement income objectives, which are generally inconsistent with a 40% allocation to volatile small-cap and sector-concentrated positions for a 58-year-old. FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, and the failure to formally update documentation before making aggressive

recommendations suggests inadequate reasonable-basis and customer-specific suitability analysis. The magnitude of potential loss (34% of concentrated positions) for someone 7-10 years from retirement was foreseeable and arguably inappropriate. Supporting compliance: Kendrick documented the client's verbal expression of changed preferences, demonstrating he attempted to understand her current investment objectives. The client explicitly requested more aggressive positioning, and the recommendation could be viewed as responsive to her stated goals. A 40% allocation to growth, while aggressive, left 60% in presumably more conservative holdings. Additionally, a 7-10 year time horizon arguably provides sufficient recovery time from market volatility. The recorded phone call provides evidence that the client understood and consented to increased risk. The critical question is whether verbal expressions can override formal documentation, and what obligation the representative had to update the written profile before acting on changed preferences.

Item 223 of 250

Topic: retirement_rollover_suitability_complex_products

Standard: Exchange Act Section 15(l)(1); Regulation Best Interest Rule 15l-1(a)(2)(ii) Care Obligation; FINRA Rule 2111 (Suitability); SEC Interpretation regarding costs and reasonably available alternatives under Reg BI

Likely Outcome: Probable Reg BI violation finding. The cost differential is so substantial that regulators would likely conclude the recommendation prioritized compensation over client interest. The tactical leveraged fund allocation for a near-retiree with limited assets and no complex product experience would be particularly difficult to defend. However, the variable annuity component alone might survive scrutiny given the guaranteed income rider addressing her longevity concerns.

Source: 11_Case_Law

Fact Pattern

Margaret Hollins, age 58, worked as a senior administrative assistant at a manufacturing firm for 27 years, accumulating \$412,000 in her employer's 401(k) plan. In March 2024, she met with Thomas Reiter, a registered representative at Pinnacle Wealth Advisors, after receiving a mailer about 'retirement income optimization.' Reiter recommended she roll her entire 401(k) into an IRA at Pinnacle and invest in a portfolio consisting of 60% in a variable annuity with a guaranteed lifetime withdrawal benefit rider and 40% in a tactical allocation fund that employed leveraged ETF strategies to enhance returns. The variable annuity carried total annual expenses of 3.2% including the rider fee, and the tactical fund had an expense ratio of 1.85% with historical volatility roughly double that of the S&P 500. Hollins's 401(k) had been invested in low-cost target-date funds with total expenses of 0.08%. During the meeting, Reiter documented that Hollins stated she was 'moderately aggressive' and wanted to 'maximize growth' before retirement at 65. However, Hollins had no prior experience with variable annuities or leveraged products, and her only other assets were \$45,000 in a savings account and her home with \$180,000 in equity. She had indicated concern about outliving her savings and wanted 'security' in retirement. Reiter's notes reflected a 45-minute conversation and a signed acknowledgment that Hollins understood the products' features and risks.

Why Borderline

The client gave mixed signals about her objectives (growth vs. security) and signed acknowledgments, but the extreme cost differential and product complexity relative to her experience level create genuine tension about whether best interest was served.

Borderline Factors

- * Client's documented statements supporting aggressive allocation conflict with her inexperience and stated concern about security
- * Variable annuity's guaranteed withdrawal benefit arguably addresses longevity concerns despite high cost
- * Dramatic fee increase from 0.08% to 2.5%+ average requires strong justification under reasonably available alternatives analysis

Analysis

This case presents competing considerations under Regulation Best Interest's Care Obligation. Supporting compliance: Reiter documented the client's stated 'moderately aggressive' risk tolerance and desire to 'maximize growth,' which could arguably justify higher-risk, higher-cost products. The variable annuity's guaranteed lifetime withdrawal benefit addresses her expressed concern about outliving savings, providing downside protection. Hollins signed acknowledgments indicating she understood product features, and Reiter conducted a documented 45-minute

consultation rather than a cursory review. Against compliance: The dramatic cost differential (3.2% and 1.85% versus 0.08%) creates a substantial headwind requiring justification through demonstrably superior features or outcomes. Hollins's lack of experience with complex products, limited liquid assets outside the rollover, and contradictory goals (maximizing growth while seeking security) suggest Reiter may have cherry-picked client statements supporting his recommendation while ignoring red flags. The tactical fund's leveraged strategy seems inconsistent with someone seven years from retirement seeking income security. Under Reg BI, the recommendation must be in the client's best interest 'without placing the financial or other interest of the broker-dealer ahead of the retail customer.' The fee structure generates significantly higher compensation for Pinnacle compared to leaving assets in the 401(k), creating incentive concerns. Additionally, the 'reasonably available alternatives' analysis appears incomplete--target-date funds or simple index strategies could address her goals at far lower cost.

Item 224 of 250

Topic: suitability_of_conservative_investment_allocation_for_retirement_wealth_accumulation

Standard: Regulation Best Interest Rule 15l-1 Care Obligation requiring reasonable diligence, care, and skill in making recommendations; FINRA Rule 2111 (Suitability) requiring reasonable basis, customer-specific, and quantitative suitability; FINRA Rule 2090 (Know Your Customer) requiring reasonable efforts to know essential facts about customers.

Likely Outcome: Probable finding of no violation with supervisory concerns. Regulators generally defer to documented rationale when advisers can articulate reasonable basis for recommendations, and Brian documented his reasoning. However, the disconnect between his own projected shortfall analysis and his recommendation may draw scrutiny. A cautionary letter or enhanced supervision requirement is possible, but formal action unlikely absent evidence Brian had financial motivation for the conservative recommendation.

Source: 10_Academic_Articles

Fact Pattern

Margaret Holloway, age 58, consulted with registered representative Brian Keller of Meridian Wealth Advisors in March 2022. Margaret had accumulated \$340,000 in a 401(k) and sought guidance on rolling these funds into an IRA for retirement in seven years. Her annual household income was \$95,000, and she indicated on her new account form that she had 'moderate' risk tolerance, though she verbally expressed anxiety about market volatility after experiencing losses in 2008. Brian recommended allocating 85% of the portfolio to bond funds and money market instruments, with only 15% in diversified equity index funds. He documented that Margaret 'expressed strong preference for capital preservation over growth' and noted her proximity to retirement.

Over the following two years through March 2024, Margaret's portfolio grew to only \$361,000, representing approximately 3.1% annualized returns during a period when a balanced 60/40 portfolio would have generated significantly higher returns despite market fluctuations. Margaret's neighbor, who had similar circumstances but invested more aggressively, saw her retirement assets grow substantially more. Margaret complained to Meridian's compliance department in April 2024, alleging that Brian's overly conservative recommendation was unsuitable given her seven-year time horizon and moderate stated risk tolerance, and that the conservative allocation would likely leave her with insufficient retirement savings.

Meridian's records show Brian conducted a retirement needs analysis projecting Margaret would need approximately \$1.2 million to maintain her lifestyle, and the conservative allocation trajectory suggested she would fall significantly short. Brian's notes indicate he weighted her verbal anxiety statements heavily in his recommendation, believing protection from downside risk aligned with her true preferences despite the documented moderate risk tolerance.

Why Borderline

The case involves genuine conflict between documented moderate risk tolerance and verbally expressed risk aversion, with reasonable arguments that either factor should control the suitability determination.

Borderline Factors

- * Conflict between written risk tolerance questionnaire (moderate) and verbal expressions of anxiety
- * Seven-year time horizon provides recovery capacity but client proximity to retirement increases stakes
- * Adviser's own retirement needs analysis showed conservative allocation would likely produce shortfall

Analysis

This case presents tension between documented risk tolerance and expressed behavioral preferences. Supporting a potential violation: Margaret's written profile indicated moderate risk tolerance, her seven-year time horizon provided meaningful recovery capacity, and the retirement needs analysis Brian conducted himself showed the conservative allocation would likely result in a significant shortfall. Reg BI's care obligation requires consideration of 'reasonably available alternatives,' and a more balanced allocation was clearly available and potentially more appropriate given the documented profile and time horizon. The extreme 85/15 conservative tilt appears inconsistent with helping Margaret achieve her retirement objectives.

Supporting compliance: Brian documented Margaret's verbal anxiety and her specific reference to 2008 losses, which represents a good-faith effort to understand her actual risk capacity beyond checkboxes. Behavioral finance research, including the Venti and Wise research on retirement wealth dispersion, demonstrates that individual 'choice' factors significantly influence wealth accumulation outcomes, and respecting client preferences--even conservative ones--reflects client autonomy. Brian reasonably could have concluded that Margaret would panic-sell during volatility, crystallizing losses and producing worse outcomes than a steady conservative approach. The suitability standard has traditionally allowed for reasonable professional judgment in weighing competing client factors.

The critical question is whether Brian appropriately balanced Margaret's conflicting signals or whether he over-weighted transient emotional concerns against her stated profile and objective needs.

Item 225 of 250

Topic: suitability_of_concentrated_equity_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability determinations; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentrated positions and suitability obligations

Likely Outcome: Probable finding of suitability violation based on the combination of the procedural failure to obtain required supervisory approval and the objective mismatch between a 55% single-stock concentration and a 67-year-old client's moderate risk tolerance and capital preservation objectives. However, damages may be mitigated by the documented customer acknowledgment and the income benefits received during the holding period.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Ellison, age 67, had been a client of registered representative Daniel Hartley at Lakeview Financial Services since 2018. In March 2023, Ms. Ellison inherited approximately \$840,000 in company stock from her late husband's estate--shares of Midwest Industrial Holdings, a mid-cap manufacturing company. Her existing portfolio consisted of \$320,000 in diversified mutual funds and she received \$2,400 monthly from Social Security, with no pension. Her investment profile indicated moderate risk tolerance, a 15-year time horizon, and primary objectives of capital preservation and income generation for retirement.

Hartley recommended that Ms. Ellison retain approximately 70% of the inherited stock position (\$588,000) rather than diversifying, citing the stock's 8% dividend yield and his belief that the manufacturing sector was poised for growth. He documented that Ms. Ellison expressed strong emotional attachment to the shares given her husband's 30-year career at the company. Over the following 14 months, Hartley conducted quarterly reviews noting the concentration but took no action to reduce it. By May 2024, Midwest Industrial Holdings stock declined 42% following supply chain disruptions, reducing her inherited position to approximately \$341,000.

Ms. Ellison filed a complaint in August 2024 alleging that Hartley's recommendation to maintain the concentrated position was unsuitable given her age, risk tolerance, and retirement income needs. Lakeview Financial's compliance manual required representatives to document concentration risks exceeding 25% of portfolio value and obtain supervisory approval for recommendations to maintain positions above 40%. Hartley's file contained a signed client acknowledgment of concentration risk but no evidence of supervisory review.

Why Borderline

The case balances documented customer preferences and income needs against age-appropriate risk management, with the added complication of a procedural compliance gap that may or may not constitute substantive unsuitability.

Borderline Factors

- * Customer's documented emotional attachment versus objective risk tolerance metrics
- * High dividend yield partially addressing income objectives despite concentration risk
- * Procedural violation (missing supervisory approval) versus substantive suitability analysis

Analysis

The suitability analysis presents competing considerations. Supporting a violation finding: Ms. Ellison's documented

moderate risk tolerance and capital preservation objectives appear inconsistent with maintaining a 55% single-stock concentration (calculated against her \$1.16M total portfolio). At age 67 with limited income sources beyond Social Security, significant exposure to single-company risk seems incompatible with her retirement needs. The firm's own compliance procedures required supervisory approval for concentrations above 40%, which Hartley apparently failed to obtain. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability--the customer-specific prong demands consideration of the customer's investment profile including risk tolerance and financial situation.

Supporting compliance: Hartley documented Ms. Ellison's emotional attachment to shares representing her husband's career legacy, which could constitute a legitimate customer-specific consideration. The 8% dividend yield addressed her income needs, generating approximately \$47,000 annually. He obtained a signed acknowledgment demonstrating informed customer consent. Some interpretive guidance suggests that when customers express strong preferences despite disclosed risks, representatives may defer to customer wishes. The quarterly reviews demonstrate ongoing attention rather than neglect. Additionally, recommending retention differs from affirmatively recommending purchase of a concentrated position.

The procedural compliance failure regarding supervisory approval weighs against Hartley, but the substantive suitability question--whether emotional considerations and income needs can justify concentration risk--remains genuinely contested.

Item 226 of 250

Topic: suitability_of_fee_structure_relative_to_client_activity

Standard: Investment Advisers Act Section 206(1) and 206(2) (fiduciary duty of care); SEC guidance on wrap fee program suitability; duty to recommend account type reasonably aligned with client's investment profile and anticipated trading activity; IA fiduciary obligation to act in client's best interest including consideration of costs

Likely Outcome: A regulator would likely find a suitability violation. While client consent is relevant, it does not excuse an adviser from the affirmative duty to recommend account types reasonably aligned with anticipated trading patterns. The SEC has emphasized that advisers cannot rely on disclosure alone to satisfy best interest obligations when quantitative factors clearly favor an alternative arrangement. However, sanctions would likely be remedial (disgorgement of excess fees, enhanced supervision) rather than punitive, absent evidence of intentional misconduct.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Meridian Wealth Advisors, LLC is a registered investment adviser based in Boise, Idaho. In March 2021, adviser representative Thomas Caldwell onboarded a new client, Patricia Donovan, a 72-year-old retired schoolteacher with approximately \$485,000 in retirement savings from her 403(b) plan, which she rolled over to an IRA managed by Meridian. Mrs. Donovan explicitly stated during her intake interview that she wanted a 'set it and forget it' approach with minimal trading, as she was risk-averse and wanted capital preservation with modest income generation. Caldwell recommended placing her assets in a wrap-fee account charging 1.75% annually (\$8,487.50 per year), which included unlimited trading and quarterly portfolio reviews. Over the next eighteen months through September 2022, Caldwell executed only four trades in Mrs. Donovan's account--two minor rebalancing transactions and two dividend reinvestments--totaling less than \$12,000 in transaction value. A comparable transaction-based account at Meridian would have cost approximately \$180 in total commissions for the same activity. When questioned by compliance during a routine review, Caldwell maintained that the wrap account was appropriate because it provided Mrs. Donovan with 'peace of mind,' ongoing monitoring, and the flexibility to trade more actively if market conditions warranted. He also noted that Mrs. Donovan signed all disclosures acknowledging the fee structure and never complained about the arrangement.

Why Borderline

The case turns on whether objective cost-benefit analysis should override client consent and the adviser's judgment about future flexibility needs, creating tension between quantitative suitability metrics and qualitative advisory value.

Borderline Factors

- * Client signed informed consent acknowledging fee structure
- * Dramatic cost disparity between wrap fee charged and transaction-based alternative
- * Adviser's assertion of ongoing monitoring value versus measurable trading activity

Analysis

The central question is whether placing a low-activity, buy-and-hold client in a high-cost wrap account violates the adviser's duty of care and best interest obligations. Arguments supporting a violation: The quantitative evidence is stark--Mrs. Donovan paid roughly \$12,700 in wrap fees over eighteen months for account activity that would have cost under \$200 in a transaction-based arrangement. When a client expressly requests minimal trading and the adviser

nonetheless recommends a fee structure optimized for active trading, there is a fundamental mismatch between the client's stated objectives and the recommended account type. The SEC has consistently emphasized that advisers must consider the cost of services relative to the benefits received. Arguments supporting compliance: Caldwell can point to several mitigating factors. First, Mrs. Donovan received ongoing fiduciary monitoring, quarterly reviews, and the security of knowing her adviser was watching her portfolio without incurring additional charges if market volatility required protective trades. Second, the wrap fee included access to financial planning services beyond pure investment management. Third, Mrs. Donovan signed disclosures explaining the fee structure and had eighteen months to object or request a different arrangement. The adviser exercised discretion in good faith, and there is no evidence of intentional overbilling or fraud--unlike the underlying enforcement action in the source document. Fourth, projecting future trading activity is inherently uncertain; what appeared to be low activity in hindsight may have been reasonable at the time of recommendation.

Item 227 of 250

Topic: options_trading_suitability_for_retirement_accounts

Standard: Investment Advisers Act Sections 206(1) and 206(2) fiduciary duty; SEC guidance on adviser duty of care requiring reasonable belief that advice is in client's best interest; FINRA Rule 2111 suitability requirements for options; options account approval standards requiring assessment of customer knowledge and experience

Likely Outcome: Likely no enforcement action but possible deficiency letter requiring enhanced suitability documentation for options in retirement accounts. The strategy's conservative nature and actual performance make it difficult to show client harm, but regulators may require more robust evidence that clients with limited experience truly understand options risks before implementation.

Source: 02_SEC_Enforcement_Actions

Fact Pattern

Margaret Thornton, age 64, retired from her teaching career in April 2023 and rolled over her \$485,000 pension into an IRA managed by Coastal Summit Advisors, LLC. Her client intake documents indicated a 'moderate' risk tolerance, a primary goal of 'income preservation with modest growth,' and a 15-year investment horizon. She had limited investment experience, having only owned target-date funds in her employer plan. Richard Harmon, her assigned adviser at Coastal Summit, recommended allocating 15% of the portfolio (\$72,750) to a covered call writing strategy on blue-chip dividend stocks, explaining it would generate additional income while providing some downside protection. Margaret agreed after Harmon explained the mechanics in a 45-minute meeting and provided her with educational materials about options. Over the following 18 months through October 2024, the strategy generated approximately \$8,200 in premium income, though the underlying positions experienced modest losses during two market corrections. Margaret's overall portfolio return was 6.2%, slightly underperforming a comparable balanced index. During a routine SEC examination in early 2025, examiners questioned whether the options strategy was suitable for a client with Margaret's limited experience and retirement income needs, noting that her risk questionnaire responses suggested she would be uncomfortable with strategies she didn't fully understand.

Why Borderline

The strategy was objectively conservative and income-generating as promised, but the client's limited sophistication and the retirement context create legitimate questions about whether she could meaningfully consent to options trading.

Borderline Factors

- * Covered calls are conservative options but still derivatives unfamiliar to unsophisticated investors
- * Client's risk questionnaire indicated discomfort with strategies she didn't understand despite agreeing to proceed
- * Strategy performed as intended but slightly underperformed simpler alternatives

Analysis

The case presents genuine tension between several suitability factors. Supporting compliance: Covered call writing is generally considered a conservative options strategy that reduces portfolio volatility while generating income--objectives aligned with Margaret's stated goals. Harmon provided education before implementation, the allocation was limited to 15% of the portfolio, and the strategy was applied to quality dividend stocks rather than speculative positions. The 18-month track record showed the strategy functioned as intended, generating income without catastrophic losses. Margaret's 15-year horizon provided time to recover from any short-term volatility. Against compliance: Margaret had virtually no options experience and her questionnaire indicated discomfort with unfamiliar strategies. At 64 with a fixed

retirement corpus, she had limited ability to recover from significant losses. A single 45-minute meeting may have been insufficient for her to provide truly informed consent to options trading. The SEC has historically scrutinized options in retirement accounts, and examiners could argue that 'moderate' risk tolerance does not encompass derivatives strategies. Additionally, the slight underperformance versus a simple balanced approach raises questions about whether the added complexity served Margaret's interests. The duty of care requires advisers to have a reasonable basis for believing recommendations are in the client's best interest based on their particular circumstances.

Item 228 of 250

Topic: suitability_of_concentration_following_rep_transition

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision) regarding supervisory review of recommendations

Likely Outcome: A FINRA arbitration panel would likely find partial liability, awarding reduced damages. The supervisor approval and documented client preferences provide meaningful defense, but the failure to document concentration-risk discussions for a pre-retiree represents a supervisory gap. Damages would likely be reduced by 40-60% based on comparative fault principles.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative David Kenworth transitioned from Meridian Securities to Apex Wealth Partners, bringing approximately 85 clients with him. Among these clients was Patricia Thornton, a 58-year-old marketing executive with a \$1.2 million portfolio who had worked with Kenworth for seven years. During the transition, Kenworth recommended that Thornton consolidate her holdings--which had been diversified across twelve mutual funds and individual equities--into a concentrated portfolio of six positions, including a 35% allocation to a single technology sector ETF. Kenworth documented that Thornton had expressed frustration with the complexity of monitoring multiple positions and wanted a 'simplified approach' as she prepared for retirement in seven years. Her account documents at Apex listed her risk tolerance as 'moderate-to-aggressive' and investment objective as 'growth with some income.' Between March 2022 and October 2023, the technology ETF declined 28%, reducing Thornton's portfolio value to approximately \$940,000. Thornton filed a complaint alleging the concentration recommendation was unsuitable given her proximity to retirement. Kenworth's supervisor at Apex, Jennifer Palazzo, had approved the account opening documentation and the initial trades, noting in her review notes that the client 'expressed clear preference for simplified holdings' and that the overall allocation 'aligned with stated objectives.' However, no contemporaneous documentation captured Thornton's specific understanding of concentration risk or the potential impact on her retirement timeline.

Why Borderline

The case turns on whether documented client preferences for simplification can justify concentration risk for a pre-retiree, and whether supervisor approval insulates the recommendation when specific risk disclosures were not captured.

Borderline Factors

- * Client's documented seven-year relationship with representative and stated preference for simplified holdings
- * Supervisor approval of strategy without flagging concentration concerns
- * Absence of contemporaneous documentation showing client understood concentration risk relative to retirement timeline

Analysis

The suitability analysis here presents genuine tension between documented client preferences and prudent investment management for a pre-retiree. Supporting a finding of unsuitability: A 35% concentration in a single sector ETF for a client seven years from retirement represents significant concentration risk. FINRA Rule 2111 requires that recommendations be suitable based on reasonable diligence regarding the customer's investment profile, including

time horizon. The lack of documented discussion about concentration risk is problematic, as suitability requires not just matching stated preferences but ensuring the customer understands the implications. A moderate-to-aggressive risk tolerance does not necessarily justify sector concentration, particularly approaching retirement when sequence-of-returns risk becomes critical. Supporting compliance: Thornton had worked with Kenworth for seven years and had documented experience with equity investments. Her stated preference for simplification was captured, and her risk tolerance was listed as moderate-to-aggressive with growth objectives. The supervisor reviewed and approved the strategy. Courts and arbitration panels have generally held that experienced investors with documented preferences bear some responsibility for their investment choices. The consolidated portfolio, while concentrated, was not speculative or exotic--it consisted of mainstream ETFs and equities. Additionally, a seven-year time horizon arguably provides sufficient recovery time from market corrections. The absence of explicit concentration-risk documentation is concerning but not dispositive if the overall strategy reasonably matched her profile.

Item 229 of 250

Topic: research_analyst_recommendation_suitability_information_barrier

Standard: FINRA Rule 2241(b)(1) and (b)(2)(G) (research analyst conflicts and information barriers); FINRA Rule 2111 (suitability); FINRA Rule 3110 (supervision); FINRA Rule 2010 (standards of commercial honor)

Likely Outcome: FINRA would likely find supervision and recordkeeping violations related to the information barrier breaches and failure to preserve communications, with substantial fines. However, proving individual suitability violations for each client recommendation would be more difficult without direct evidence that Chen's analysis was actually tainted. The firm would face significant penalties for supervisory failures, but individual suitability claims might be harder to sustain unless FINRA could demonstrate the recommendation process itself was fundamentally compromised.

Source: 03_FINRA_AWC

Fact Pattern

Sterling Capital Partners, LLC is a mid-sized broker-dealer with both investment banking and equity research divisions. In March 2023, research analyst Margaret Chen issued a 'Strong Buy' recommendation on Nexagen Therapeutics, a small-cap biotech company, to retail clients with moderate risk profiles and investment horizons of 3-7 years. The recommendation came during a period when Sterling's investment banking division was actively pitching Nexagen for a secondary offering worth approximately \$45 million. While Sterling maintained formal information barrier policies, senior compliance officer David Rothwell later discovered that Chen had exchanged 47 text messages with investment banking managing director Thomas Barlow over a six-week period using personal devices. The content of these messages was never preserved or reviewed, as Sterling's supervision systems did not capture off-platform communications. Approximately 340 retail clients purchased Nexagen shares totaling \$8.2 million based on Chen's recommendation. Within four months, Nexagen's stock declined 62% following disappointing clinical trial results. Several clients complained that the research recommendation was tainted by investment banking interests. Chen maintained her analysis was based solely on publicly available clinical data and her independent assessment of the drug pipeline. The firm argues that without evidence of actual content from the deleted messages, there is no proof that Chen's recommendation was influenced by investment banking considerations or that the recommendation was unsuitable for the clients' stated moderate risk tolerance and multi-year horizons.

Why Borderline

The case turns on whether supervisory failures and information barrier breaches can transform an otherwise plausible research recommendation into an unsuitable one, absent direct evidence that the analysis itself was compromised.

Borderline Factors

- * Extensive undocumented communications between research and investment banking during active deal pursuit
- * Lack of preserved message content makes it impossible to prove or disprove actual influence on research
- * Biotech recommendation was not facially unsuitable for stated client risk profiles and time horizons

Analysis

This case presents challenging questions about whether research recommendations can be deemed unsuitable when information barrier breaches create risk of improper influence, even without direct proof of tainted analysis. Supporting a violation: The extensive undocumented communications between research and investment banking personnel during active deal pursuit creates a presumption of improper influence under FINRA Rule 2241. The firm's failure to preserve these communications--similar to the H.C. Wainwright matter--prevented any verification that Chen's analysis remained

independent. When a firm cannot demonstrate its research was uncontaminated, regulators may infer that recommendations flowing from compromised processes fail to meet the care obligation under Rule 2111. The 62% decline, while not dispositive, suggests the 'Strong Buy' may have been overly optimistic. Supporting compliance: Biotech investments are inherently volatile, and the clinical trial failure was an unforeseeable event. Chen's recommendation for clients with moderate risk tolerance and multi-year horizons was not facially unsuitable for a speculative growth position representing a small portfolio allocation. The firm argues that without evidence of what the messages actually contained, there is no proof Chen's independent analysis was compromised. Many research analysts communicate with colleagues across divisions for legitimate purposes, and proximity to deal activity alone does not establish that a recommendation was unsuitable for the customers who received it.

Item 230 of 250

Topic: ira_rollover_recommendation_best_interest

Standard: Regulation Best Interest Care Obligation (Rule 15l-1(a)(2)(ii)); SEC Rollover Guidance in Reg BI Adopting Release; Investment Advisers Act Section 206 fiduciary duty (for comparison); FINRA Rule 2111 (Suitability)

Likely Outcome: A regulator would likely find a Reg BI care obligation deficiency, primarily because the rollover analysis failed to adequately weigh the substantial cost differential against the incremental benefits, particularly given Whitmore's existing pension coverage that diminished her need for guaranteed income features. However, this would more likely result in supervisory findings and enhanced compliance requirements rather than significant sanctions, given Chen's partial documentation efforts.

Source: 09_Law_Firm_Memos

Fact Pattern

In March 2024, Sandra Whitmore, a 58-year-old school administrator, met with registered representative David Chen of Pinnacle Wealth Services regarding her upcoming retirement options. Whitmore had accumulated \$485,000 in her employer's 403(b) plan, which offered a stable value fund yielding 3.8% with no annual fees, a target-date fund with a 0.12% expense ratio, and access to low-cost index funds. Chen recommended she roll the entire balance into an IRA at Pinnacle, where he proposed allocating the funds across a portfolio of actively managed mutual funds with expense ratios averaging 0.95% and a variable annuity with a guaranteed lifetime withdrawal benefit rider carrying total annual costs of 2.4%. Chen documented that Whitmore expressed interest in 'income protection' and had moderate risk tolerance. He also noted that the IRA would provide access to a broader range of investment options and more personalized advice than her 403(b) administrator offered. Pinnacle's compensation structure provided Chen with a 1.5% upfront commission on the variable annuity and ongoing 12b-1 fees from the mutual funds. Chen completed a rollover comparison analysis but focused primarily on the features of the new products rather than a side-by-side cost comparison. Whitmore's current 403(b) plan had consistently ranked in the top quartile for participant satisfaction and included free access to a retirement planning hotline. Her husband has a defined benefit pension covering their baseline retirement expenses.

Why Borderline

The case presents tension between the SEC's explicit cost-consideration requirements for rollovers and its equally clear statement that lowest-cost options are not mandatory when other investor needs justify higher expenses.

Borderline Factors

- * Documented investor preference for income guarantees versus questionable need given existing pension
- * Incomplete but not absent comparative analysis of plan options
- * Significant fee differential that may or may not be justified by additional features and services

Analysis

Arguments supporting a Reg BI violation center on the care obligation's requirement to consider costs when making rollover recommendations. The SEC explicitly stated that rollover recommendations require broker-dealers to evaluate the existing plan's investment options, fees, and services against the proposed IRA. Here, Whitmore's 403(b) offered institutional-class pricing with expenses under 0.15% versus the recommended IRA products averaging nearly 1.5% in total costs. Over a 25-year retirement horizon, this fee differential could reduce her portfolio value by over \$150,000.

Chen's documentation focused on product features rather than a genuine comparative analysis, which the SEC has indicated is insufficient. Additionally, with her husband's pension covering baseline expenses, Whitmore's need for the expensive guaranteed income rider is questionable. However, arguments supporting compliance note that Chen documented legitimate investor preferences for income protection and personalized advice--factors the SEC acknowledged may justify higher-cost recommendations. The broader investment menu and dedicated advisory relationship represent real value beyond raw cost comparisons. Whitmore's moderate risk tolerance and proximity to retirement could justify the annuity's downside protection features, particularly given market volatility concerns. The SEC has expressly stated that Reg BI does not require recommending the lowest-cost option. Chen gathered sufficient information about Whitmore's profile and documented his rationale, even if the comparative analysis was incomplete rather than absent.

Item 231 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); reasonable grounds to believe recommendation is suitable based on customer's investment profile including risk tolerance, investment experience, and financial situation.

Likely Outcome: The recommendation would likely be found unsuitable. While the broader portfolio context provides some defense, a 54% allocation to a single mid-cap energy stock fundamentally conflicts with a moderate risk profile, particularly for a client with no individual stock experience. The customer's expressed concern about concentration, which was dismissed rather than addressed through position sizing, strengthens the claimant's case. A panel would likely find the recommendation exceeded reasonable bounds for the stated objectives.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, Margaret Holloway, age 58, met with registered representative Daniel Vickers at Pinnacle Wealth Advisors to discuss her retirement planning. Mrs. Holloway had recently inherited \$1.2 million from her late brother's estate, which was entirely in cash. Her existing portfolio consisted of \$340,000 in diversified mutual funds. She indicated on her new account form that her investment objective was 'growth with moderate risk,' her time horizon was 8-10 years until retirement, and her risk tolerance was 'moderate.' She had no prior experience with individual stocks beyond her mutual fund holdings.

During their meeting, Vickers recommended that Mrs. Holloway invest \$650,000 of the inheritance--approximately 54% of her new liquid assets--into shares of Meridian Energy Holdings, a mid-cap oil and gas company. Vickers explained that the energy sector was poised for significant growth and that Meridian had strong fundamentals and an attractive dividend yield of 4.2%. He provided her with analyst reports showing 'buy' ratings from three research firms. Mrs. Holloway expressed some concern about 'putting so many eggs in one basket,' but Vickers assured her that the company's diversified operations across multiple energy subsectors provided internal diversification.

By November 2023, Meridian's stock price had declined 47% due to regulatory challenges and declining natural gas prices. Mrs. Holloway's position was now worth approximately \$344,500, representing a loss of over \$305,000. She filed a complaint alleging the recommendation was unsuitable given her moderate risk profile and lack of experience with concentrated individual stock positions.

Why Borderline

The case turns on whether a 54% single-stock allocation can ever be suitable for a 'moderate' risk investor, and whether the customer's remaining diversified assets sufficiently offset the concentration risk.

Borderline Factors

- * Customer expressed concern about concentration but was reassured by the adviser
- * The position was 54% of inherited funds but 37% of total liquid assets
- * 8-10 year time horizon could support higher volatility tolerance despite moderate label

Analysis

The suitability analysis here turns on whether concentrating 54% of a client's liquid assets in a single mid-cap energy stock aligns with a 'moderate' risk tolerance and 'growth with moderate risk' objective. Arguments supporting a violation include: the extreme concentration in one security creates company-specific risk inconsistent with moderate risk tolerance; Mrs. Holloway's lack of experience with individual stocks suggests she may not have understood the volatility risk; FINRA Rule 2111 requires consideration of the customer's entire financial situation, and this allocation dominated her portfolio; and the energy sector's inherent volatility compounds the concentration risk.

However, arguments supporting compliance exist: Mrs. Holloway's 8-10 year time horizon provides runway to recover from volatility; she retained \$550,000 of the inheritance plus her existing \$340,000 in diversified funds, meaning the recommendation represented roughly 37% of her total investable assets; growth objectives inherently involve accepting some concentration for upside potential; and Vickers provided third-party research and disclosed the investment rationale. The dividend yield also provided income characteristics that could moderate risk perception.

The documentation shows Vickers attempted to address her concern about concentration by explaining the company's internal diversification, though this reasoning conflates company diversification with portfolio diversification. The customer's verbal objection about 'eggs in one basket' is particularly significant--it suggests she intuited the risk but was persuaded otherwise.

Item 232 of 250

Topic: discretionary_account_suitability_ria_delegation

Standard: FINRA Rule 2111 (Suitability); FINRA Rule 4512(a)(3) (Books and Records - discretionary account documentation); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities - by analogy for senior investor considerations); Investment Advisers Act of 1940 fiduciary standard applicable to RIA Pinnacle Wealth Advisors

Likely Outcome: The suitability claim would likely be dismissed given the alignment between the investment strategy and Mrs. Chen's documented profile, positive returns, and the RIA's fiduciary duty. However, the firm may face technical criticism regarding its discretionary authorization procedures if examined against emerging rule proposals, though no clear violation exists under current rules.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

In March 2023, Margaret Chen, a 72-year-old retired schoolteacher with \$485,000 in retirement savings, opened a brokerage account at Westbrook Securities LLC, a FINRA member firm that provides custodial services for independent registered investment advisers. Mrs. Chen signed a discretionary authorization form electronically, granting full trading authority to Pinnacle Wealth Advisors, an SEC-registered RIA, and specifically authorizing portfolio manager David Huang to manage her account. The electronic signature was captured through Westbrook's standard digital onboarding platform, though no manual dated signature was obtained from Huang or any Pinnacle representative. Mrs. Chen's investment profile indicated moderate risk tolerance, a 10-year time horizon, and income generation as her primary objective. Over the following eight months, Huang executed 47 trades in Mrs. Chen's account, maintaining an average equity allocation of 65% with a focus on dividend-paying stocks and investment-grade bonds. The portfolio generated a 6.2% return during this period. In November 2023, Mrs. Chen filed a complaint with FINRA, alleging that she never properly authorized discretionary trading and that the trading activity was unsuitable for her conservative needs. She claimed a neighbor who was a financial planner told her that her portfolio should have been entirely in fixed income given her age.

Why Borderline

The case involves tension between documented customer preferences (moderate risk, 10-year horizon) and age-based assumptions about appropriate risk levels, combined with evolving standards around electronic versus manual authorization for discretionary accounts.

Borderline Factors

- * Customer's documented investment profile supported moderate equity allocation despite advanced age
- * Electronic authorization was complete but lacked manual signature from the RIA representative exercising discretion
- * Trading activity was active but generated positive returns aligned with stated income objectives

Analysis

This case presents competing considerations regarding both the authorization process and the substantive suitability of the investment strategy. On the authorization question, Westbrook followed standard industry practice by accepting electronic signatures for the discretionary authorization, and the customer clearly designated both the RIA entity and the specific portfolio manager. However, the firm did not obtain a manual dated signature from the natural person (Huang) authorized to exercise discretion, which proposed Rule 3260(b) would require. The existing FINRA Rule

4512(a)(3) requires manual signatures only for 'named, natural persons' exercising discretion, and the industry has argued this should not extend to SEC-regulated RIA entities given their existing fiduciary obligations. On suitability, Mrs. Chen's documented profile indicated moderate risk tolerance and a 10-year horizon, which reasonably supports a 65% equity allocation focused on dividend stocks. The 47 trades over eight months, while active, do not necessarily indicate churning given the account size and the need to build and rebalance a diversified portfolio. The 6.2% return was positive and the strategy aligned with her stated income generation objective. However, Mrs. Chen's age of 72 and the fact that this represented her entire retirement savings could support an argument for more conservative positioning. The neighbor's advice, while not dispositive, reflects a common perception that retirees should avoid equity exposure.

Item 233 of 250

Topic: suitability_of_alternative_investment_recommendation_for_moderate_risk_client

Standard: Investment Advisers Act Sections 206(1) and 206(2); SEC Fiduciary Interpretation (2019) requiring advisers to have a reasonable belief that advice is in the client's best interest based on the client's investment profile; duty of care obligation including reasonable inquiry into client's financial situation, investment objectives, and any other relevant circumstances

Likely Outcome: Likely no formal enforcement action but possible risk alert or deficiency finding. The SEC would probably view the documented process and client acknowledgment as mitigating factors, but may criticize the adviser's failure to conduct more rigorous liquidity needs analysis for a pre-retirement client. A civil arbitration claim might result in a negotiated settlement given the genuine ambiguity, with the outcome depending heavily on how thoroughly Chen documented his consideration of Eleanor's overall financial situation beyond her stated tolerance for illiquidity.

Source: 01_SEC_Guidance_NoAction_Interpretive

Fact Pattern

Eleanor Whitfield, age 58, has been a client of Bridgewater Capital Advisors LLC since 2019. Her investment profile completed in January 2022 indicated a moderate risk tolerance, a 7-year investment horizon until retirement, liquid net worth of \$1.2 million, and a primary objective of capital preservation with moderate growth. In March 2023, her adviser Marcus Chen recommended she allocate \$180,000 (15% of her portfolio) to the Meridian Private Credit Fund, an interval fund investing in middle-market corporate loans with a 2.5% annual management fee, limited quarterly liquidity windows, and projected returns of 8-10%. Chen documented that the recommendation was based on Eleanor's desire to increase yield in a rising rate environment and her statement that she could tolerate 'some illiquidity' for better returns. He provided her with the fund's offering documents and explained the redemption restrictions during a 45-minute meeting. Eleanor signed an acknowledgment form confirming she understood the liquidity limitations. Six months later, Eleanor needed \$200,000 for unexpected medical expenses but could only redeem \$45,000 from the interval fund during the quarterly window, forcing her to liquidate other positions at an inopportune time. She filed a complaint alleging the recommendation was unsuitable given her moderate risk profile and approaching retirement.

Why Borderline

The case turns on whether a 15% illiquid allocation is inherently unsuitable for a pre-retiree with moderate risk tolerance, or whether documented client consent and reasonable process satisfy the duty of care.

Borderline Factors

- * Client's signed acknowledgment of liquidity limitations versus adviser's obligation to independently assess suitability regardless of client consent
- * Whether 15% allocation to illiquid alternatives exceeds prudent limits for a 58-year-old moderate-risk investor
- * Adequacy of adviser's inquiry into potential near-term liquidity needs before recommending restricted redemption products

Analysis

Arguments supporting a violation: Eleanor's stated primary objective was capital preservation with moderate growth, and her 7-year horizon to retirement suggests she would need access to funds. A 15% allocation to an illiquid interval fund with quarterly redemption limits conflicts with prudent retirement planning for someone approaching withdrawal phase. The SEC's fiduciary interpretation requires advisers to consider the client's complete financial picture, including

potential liquidity needs. Chen arguably failed to adequately stress-test whether the recommendation aligned with realistic contingency scenarios, especially for a client entering the distribution phase of investing. Arguments supporting compliance: Chen documented the recommendation process, including Eleanor's explicit statement about tolerating illiquidity for yield enhancement. A 15% allocation to alternative credit is within common industry guidelines for moderate portfolios seeking diversification. Eleanor signed an acknowledgment demonstrating informed consent. The medical emergency was unforeseeable, and advisers cannot plan for every contingency. The fund itself was a registered product with SEC oversight, not an unregulated private placement. Chen's 45-minute meeting and provision of offering documents suggests reasonable process. The allocation decision considered current market conditions (rising rates) where floating-rate credit products offer tactical advantages.

Item 234 of 250

Topic: erisa_prudent_investment_selection_for_401k_plan

Standard: ERISA Section 404(a)(1)(A) duty of loyalty; ERISA Section 404(a)(1)(B) duty of prudence requiring investigation, evaluation, and process a prudent fiduciary would follow; ERISA Section 406(b) prohibited transaction rules regarding fiduciary self-dealing; DOL guidance on selection and monitoring of plan investments and service providers

Likely Outcome: A DOL investigation would likely result in a finding of procedural imprudence due to the committee's failure to conduct adequate independent fee analysis and the adviser's undisclosed conflict of interest. However, because target-date funds are generally considered prudent and the plan suffered no catastrophic losses, remedial action would likely focus on fee recapture and enhanced procedures rather than personal liability for the fiduciaries.

Source: 06_DOL_Fiduciary

Fact Pattern

Hartwell Manufacturing Corp. sponsors a 401(k) plan for its 340 employees with approximately \$28 million in assets as of March 2023. The plan's investment committee, consisting of three company executives acting as ERISA fiduciaries, hired Pinnacle Retirement Advisors LLC to provide investment consulting services and recommend the plan's investment lineup. In September 2023, Pinnacle recommended replacing three existing large-cap equity funds with a single proprietary target-date fund series managed by Pinnacle's affiliated asset management firm, Pinnacle Capital Partners. The target-date funds carried expense ratios of 0.85%, compared to the blended 0.42% expense ratio of the funds being replaced. Pinnacle presented analysis showing the target-date funds had outperformed their benchmark by 1.2% annually over the past five years and would simplify participant decision-making. However, Pinnacle did not disclose that they would receive an additional 0.15% revenue-sharing payment from the affiliated funds. The investment committee approved the recommendation after a 45-minute meeting, relying primarily on Pinnacle's materials without conducting an independent fee comparison or reviewing alternative target-date fund providers. Employee participant Sarah Kowalski, age 58 with \$185,000 in the plan, was automatically moved into the 2030 target-date fund, which had a 55% equity allocation--significantly higher than her previous conservative allocation of 30% equities that she had deliberately selected.

Why Borderline

The case turns on whether reasonable reliance on a conflicted adviser's recommendation, combined with limited independent verification, satisfies ERISA's procedural prudence requirements when the substantive investment choice (target-date funds) is generally considered appropriate.

Borderline Factors

- * Degree of independent due diligence required when relying on expert investment advice
- * Whether undisclosed revenue-sharing arrangements taint an otherwise substantively reasonable recommendation
- * Balancing simplification benefits against higher costs and overriding participant-selected allocations

Analysis

This scenario raises significant questions under ERISA's prudent investment selection standards. Supporting a potential violation: The investment committee appears to have conducted minimal independent due diligence, delegating substantial decision-making authority to an adviser with an undisclosed financial conflict. The 0.43% increase in expense ratios across \$28 million in assets represents approximately \$120,000 annually in additional costs

to participants. The committee's 45-minute review and reliance solely on Pinnacle's materials may not satisfy the procedural prudence requirements under ERISA Section 404(a)(1)(B). Additionally, the automatic reallocation of participant Kowalski into a significantly more aggressive allocation than she had selected raises concerns about whether the implementation respected participant investment elections. Supporting compliance: Target-date funds are generally considered prudent default investments under ERISA's qualified default investment alternative regulations. The five-year outperformance of 1.2% annually could justify modestly higher fees if performance persists. Simplifying participant choices may benefit less sophisticated investors and improve retirement outcomes. The committee did hire an expert adviser and review professional analysis before deciding. Furthermore, participants like Kowalski retained the ability to reallocate after the transition. The committee may argue they reasonably relied on expert advice in good faith.

Item 235 of 250

Topic: suitability_oil_gas_private_placement_risk_disclosure

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 3110 (Supervision)

Likely Outcome: FINRA would likely find a suitability violation, though sanctions may be moderate. The combination of retiree status, capital preservation objectives, and Thornton's internal awareness of enhanced geological uncertainty--even if not rising to 'wildcat' status--creates a reasonable-basis suitability concern. However, the prior customer experience and portfolio concentration below 15% would likely mitigate sanctions compared to the Red River case, potentially resulting in a fine and restitution rather than a bar.

Source: 03_FINRA_AWC

Fact Pattern

Frontier Energy Partners, LLC, a FINRA member firm based in Dallas, Texas, offered customers participation in oil and gas drilling joint ventures structured as general partnerships between 2019 and 2022. Marcus Thornton, the firm's managing director and CCO, recommended these investments to approximately 45 customers, including retired couple Gerald and Patricia Simmons, ages 68 and 65, with combined liquid assets of \$875,000, moderate risk tolerance indicated on their account documentation, and stated investment objectives of income generation and capital preservation. In March 2021, Thornton recommended the Simmons invest \$125,000 (approximately 14% of their liquid assets) in the 'Permian Basin Well #7' drilling project, describing it as a development well in a proven formation with historical production data from nearby wells.

The offering materials provided to the Simmons included geological reports, estimated production projections, and risk disclosures about the general hazards of oil and gas investing. However, the specific well was located approximately 2.3 miles from the nearest producing wells in a geological sub-formation that had not been directly tested. Internal firm documents later revealed that Thornton was aware the well's location made production outcomes less predictable than typical infill development wells, though he believed the geological similarities were strong enough to classify it as a development rather than exploratory project. The well ultimately produced at only 15% of projected capacity.

The Simmons filed a complaint alleging the recommendation was unsuitable given their risk profile and that material risks were not adequately disclosed. Thornton maintains he reasonably believed the investment was suitable based on the customers' overall portfolio diversification, their prior experience with two smaller oil and gas investments through the firm, and the geological analysis supporting the project's viability.

Why Borderline

The case turns on subjective judgments about geological classification and whether prior customer experience with similar investments modifies suitability analysis for moderate-risk-tolerance retirees.

Borderline Factors

- * Customer's prior oil and gas investment experience potentially expanding suitable recommendations
- * Reasonable geological disagreement about development versus exploratory well classification
- * 14% allocation falls between clearly excessive and clearly acceptable concentration levels for speculative investments

Analysis

The central suitability question involves whether the recommendation aligned with the Simmons' stated moderate risk tolerance and capital preservation objectives, and whether the risk characterization was materially misleading. Arguments supporting a violation include: the customers' ages and stated objectives suggest conservative positioning, not speculative energy investments; allocating 14% of liquid assets to a single illiquid, high-risk venture appears aggressive for their profile; and Thornton's internal awareness of the well's uncertain geological positioning--distinguishing it from true development wells--suggests he knew or should have known the risk characterization was potentially misleading. The AWC excerpt involving Red River Securities demonstrates FINRA's concern when firms fail to distinguish between exploratory and development wells in their disclosures to customers.

However, arguments supporting compliance are substantial: the Simmons had prior oil and gas investment experience, suggesting familiarity with the asset class; 14% allocation, while significant, leaves 86% of assets in presumably more conservative positions; moderate risk tolerance does permit some growth-oriented investments; and reasonable geological minds could differ on whether 2.3-mile proximity to producing wells in a similar formation constitutes exploratory versus development drilling. Thornton's reliance on geological analysis, even if ultimately incorrect, may constitute reasonable-basis suitability. The fact that the well produced some output (versus complete failure) suggests the geological assessment was not entirely unfounded. Customer-specific suitability analysis must consider the entire portfolio context, not just individual recommendations.

Item 236 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding concentrated positions; SEC Regulation Best Interest care obligation for recommendations to retail customers.

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially awarding damages reflecting a portion of losses attributable to excessive concentration. The panel may reason that while Holloway appropriately considered client preferences, a reasonable representative should have more strongly advocated for greater diversification given the retirement timeline, or at minimum implemented a systematic diversification program with protective strategies. However, damages would likely be reduced to account for Reinhardt's contributory role in accepting the recommendation and the general market decline.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Reinhardt, age 58, was a senior software engineer at Nexus Technologies Inc. who had accumulated approximately \$1.2 million in company stock through his employer's stock option plan over fifteen years. In March 2022, he approached registered representative Sharon Holloway at Meridian Wealth Partners to discuss his retirement planning and portfolio management. Holloway reviewed Reinhardt's situation: he had the \$1.2 million in Nexus stock, a 401(k) worth \$340,000 diversified across index funds, and planned to retire at age 62. His annual income was \$185,000, he owned his home outright, and had no significant debts. Reinhardt indicated on his new account form that he had a 'moderate' risk tolerance and an investment objective of 'growth with income.'

During their initial meetings, Holloway discussed diversification strategies but noted that Nexus Technologies was a strong performer in the semiconductor sector with solid fundamentals. Rather than recommending an immediate systematic diversification program, Holloway suggested retaining 70% of the Nexus position (\$840,000) while selling 30% (\$360,000) to purchase a mix of sector ETFs and dividend-paying stocks. Holloway documented that Reinhardt was 'comfortable with technology sector exposure given his industry expertise' and that 'client expressed reluctance to trigger significant capital gains taxes.'

By November 2022, Nexus Technologies stock had declined 48% amid the broader tech sector downturn, reducing Reinhardt's concentrated position from \$840,000 to approximately \$437,000. Reinhardt filed a complaint alleging that Holloway failed to make suitable recommendations by allowing him to maintain an excessive concentration in a single stock four years before his planned retirement. Holloway maintained that the recommendation balanced the client's expressed preferences regarding taxes and his expertise in evaluating technology companies.

Why Borderline

The case involves tension between documented client preferences and tax considerations versus objective concentration risk for a pre-retiree with moderate stated risk tolerance, with no clear bright-line rule on maximum single-stock exposure.

Borderline Factors

- * Client's documented reluctance to trigger capital gains versus objective diversification need
- * Client's professional expertise in the specific sector versus his stated moderate risk tolerance

* Partial diversification recommendation (30%) versus maintaining 70% concentration four years from retirement

Analysis

The suitability analysis presents compelling arguments on both sides. Supporting a finding of unsuitability: FINRA Rule 2111 requires that recommendations have a reasonable basis and be suitable for the particular customer based on their investment profile. A 70% concentration in a single equity position for a 58-year-old investor four years from retirement with a stated 'moderate' risk tolerance raises significant concerns. The quantitative suitability component suggests that even if a single recommendation might be appropriate, the overall exposure level may be excessive. Industry guidance consistently warns that concentrated single-stock positions carry significant idiosyncratic risk inappropriate for pre-retirees seeking moderate risk. The recommendation essentially maintained status quo when active diversification guidance was warranted.

Supporting the recommendation's suitability: Holloway did recommend partial diversification (30%), documented the client's stated preferences, and considered tax implications as part of the overall financial picture. Reinhardt had deep knowledge of the technology sector through his career, potentially justifying higher concentration in an area where he possessed genuine expertise. The 'moderate' risk tolerance designation is subjective, and the client's strong overall financial position (paid-off home, diversified 401k, high income) provided cushion for equity volatility. Additionally, hindsight bias affects evaluation--the sector decline was not predictable, and the stock had historically performed well. Holloway's documentation of the client's tax concerns and comfort level demonstrates some level of reasonable basis analysis.

Item 237 of 250

Topic: supervision_of_associated_persons_with_undisclosed_bar

Standard: FINRA Rule 3110 (Supervision), FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade), NASD Rule 3010 (supervision obligations), Exchange Act Section 15(b)(6) concerning statutory disqualification

Likely Outcome: FINRA would likely find supervisory violations against Cartwright under Rule 3110, though sanctions might be moderate given the concealment efforts. The anonymous tip combined with personal observation created a heightened duty to investigate that was not satisfied by accepting Marcus's explanation. The presence of specific WSPs requiring registration verification makes the failure more culpable. However, sanctions would likely account for the active concealment and Cartwright's otherwise adequate supervisory activities, resulting in a suspension of 3-6 months and fine in the \$10,000-25,000 range rather than a bar.

Source: 15_FINRA_Regulatory_Notices

Fact Pattern

Thornfield Securities LLC employed Marcus Davidson as a registered representative from March 2019 through November 2021. Davidson's supervisor, Regional Manager Helen Cartwright, was responsible for overseeing approximately 18 representatives across three branch offices in Indiana. In September 2019, Cartwright received an anonymous tip via email suggesting that Davidson's brother, Thomas Davidson, who had been statutorily barred from the securities industry in 2017, was present at the Lafayette branch office. Cartwright conducted a brief visit to the branch in October 2019 and observed Thomas in the office briefly but was told by Marcus that Thomas was merely helping with a personal matter involving their elderly mother's accounts. Thomas was not wearing a name badge and left shortly after Cartwright arrived.

Between October 2019 and August 2021, Thomas Davidson regularly attended customer meetings at the branch, accessed customer files, and made investment recommendations to approximately 35 senior customers aged 65-82 with combined assets of \$4.2 million. Thomas particularly focused on recommending variable annuities with surrender periods of 7-10 years to these clients. Marcus would then formally enter the recommendations and execute trades. Customer statements were mailed to an address controlled by Thomas, and customers who complained about performance were contacted directly by Thomas, who reassured them their investments were sound.

Cartwright conducted two additional branch audits during this period but did not document any concerns about Thomas's presence. When FINRA examiners discovered the arrangement in November 2021, Thornfield immediately terminated Marcus and reported the matter. The firm's written supervisory procedures required supervisors to verify the registration status of anyone conducting securities business at branch locations.

Why Borderline

The supervisor received a tip and observed the barred individual but was provided a facially plausible explanation; determining whether her subsequent supervision constituted willful blindness or reasonable reliance creates genuine ambiguity.

Borderline Factors

- * Supervisor received anonymous tip and personally observed barred individual but was given reasonable-sounding explanation
- * Written supervisory procedures existed but their application to the specific circumstance was ambiguous

* Concealment was sophisticated and supervisor did conduct periodic branch audits without discovering ongoing violations

Analysis

This case presents a challenging question about the extent of supervisory liability when a supervisor receives warning signs but the underlying misconduct involves sophisticated concealment. In support of finding a violation, Cartwright received a direct anonymous tip about a barred individual's presence and personally observed Thomas at the branch. Despite this red flag, she accepted a cursory explanation without conducting meaningful follow-up investigation. Her written supervisory procedures explicitly required verification of registration status for anyone conducting securities business, yet she failed to run a simple CRD check on Thomas or document her assessment. The subsequent two-year period of undetected violations, affecting 35 senior customers, suggests systematic supervisory failure.

However, arguments supporting Cartwright include the sophistication of the concealment scheme--Thomas was careful to leave when supervisors arrived, and Marcus provided plausible explanations. Cartwright supervised 18 representatives across three locations, and the tip was anonymous without specific details about securities activities. She did conduct branch visits and audits, suggesting she wasn't entirely passive. The question becomes whether reasonable supervisory diligence would have uncovered the scheme or whether Marcus and Thomas successfully created an appearance of compliance that would have fooled most supervisors. Additionally, whether helping with 'a personal matter involving their elderly mother's accounts' itself should have triggered deeper inquiry given the customer protection implications.

Item 238 of 250

Topic: suitability_of_settlement_driven_investment_changes

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2080 (Expungement Standards); SEC Regulation Best Interest Care Obligation for broker-dealers

Likely Outcome: Expungement would likely be granted based on FINRA Rule 2080 grounds that the claim was settled for firm economic reasons without adviser contribution, though a thorough arbitrator might note the underlying suitability question was never adjudicated. The settlement amount relative to account size suggests limited merit to the original complaint.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2019, registered representative Sandra Vance at Meridian Securities LLC was assigned a book of business from a departing colleague that included 47 retail accounts. Among these was the account of Gerald and Patricia Hoffman, both age 72, with a combined portfolio of \$680,000 consisting primarily of individual municipal bonds and blue-chip dividend stocks. Their investment profile, last updated in 2016, indicated 'moderate' risk tolerance, 'income' as their primary objective, and a 15-year time horizon. Within 60 days of taking over the accounts, Vance recommended the Hoffmans reallocate approximately \$340,000 (50% of the portfolio) into a diversified mix of equity mutual funds and a structured note tied to the S&P 500 with principal protection. Vance documented that the Hoffmans verbally expressed interest in 'keeping up with the market' during their introductory meeting, though no formal profile update was completed. The structured note carried a 6-year maturity and the equity funds had average expense ratios of 0.85%. In early 2020, market volatility caused the equity portion to decline 28% before recovering. The Hoffmans filed a complaint in September 2020, alleging the recommendations were unsuitable given their age and income needs. Meridian settled the complaint for \$45,000 without Vance's involvement or contribution, citing litigation economics. Vance now seeks expungement, arguing the original recommendations were suitable and that the firm settled for business reasons unrelated to the merits.

Why Borderline

The case hinges on whether verbal client statements can justify deviating from documented profiles and whether a 50% equity reallocation for income-focused septuagenarians crosses the suitability threshold.

Borderline Factors

- * Undocumented verbal client statements versus formal written investment profile
- * Principal-protected structured note partially mitigates risk concerns despite long maturity
- * Firm settlement without adviser contribution suggests business decision rather than merit-based liability

Analysis

This case presents competing narratives about suitability. Supporting a finding of unsuitability: The Hoffmans were 72 years old with an income-focused objective and moderate risk tolerance. Reallocating 50% of retirement assets into equity funds and a 6-year structured note arguably exceeded their documented risk parameters. The structured note's extended maturity raised liquidity concerns for septuagenarians, and no formal profile update was completed before the recommendation. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability analysis, and the lack of updated documentation undermines the defense. Supporting compliance: Vance documented verbal statements suggesting the Hoffmans wanted equity exposure. A 15-year time horizon, even for 72-year-olds, could

support some growth allocation. The structured note included principal protection, mitigating downside risk. The 50% equity allocation, while aggressive, is not per se unsuitable for retirees with longer horizons and adequate liquidity in the remaining 50%. The temporary 28% decline recovered, and no realized losses occurred from holding through volatility. The firm's settlement for \$45,000 on a \$680,000 account suggests limited perceived liability. The expungement context adds complexity--settlements without adviser contribution often indicate firm-level decisions unrelated to individual misconduct, yet the underlying suitability question remains unresolved on the merits.

Item 239 of 250

Topic: suitability_of_insurance_product_recommendations_post_termination

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability analysis; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) requiring reasonable efforts to obtain customer profile information and reasonable grounds for recommendations

Likely Outcome: A panel would likely find mixed results--Thornton met minimum documentation standards but the pattern of pre-departure sales combined with credible client testimony about inadequate disclosure could support partial liability. The firm's settlement costs suggest underlying merit to client complaints, but absent clear evidence that the products were fundamentally unsuitable for these clients' profiles, complete liability is uncertain. An arbitration panel might allocate some responsibility to Thornton based on the totality of circumstances while recognizing the firm's supervisory role.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Thornton was a registered representative affiliated with Pinnacle Financial Partners, a FINRA member broker-dealer, from 2015 until his voluntary termination in March 2022. During his final eighteen months with the firm, Thornton recommended variable annuity products to twelve clients, ages 58-72, with moderate risk tolerance profiles and retirement income as the stated investment objective. The annuities carried 7-year surrender periods and annual fees averaging 2.8%. Thornton conducted suitability reviews documenting each client's existing retirement assets (ranging from \$180,000 to \$650,000), income needs, and stated desire for guaranteed lifetime income. Following Thornton's departure to a competing firm, seven of the twelve clients filed complaints with Pinnacle alleging the annuities were unsuitable given their liquidity needs and that Thornton had rushed them into purchases before his departure. Pinnacle incurred \$285,000 in settlement costs and commission chargebacks totaling \$79,000 when clients surrendered products within the penalty period. The firm's compliance records show Thornton's suitability documentation met minimum standards at the time of sale, with signed customer acknowledgment forms and risk disclosures. However, post-departure client interviews revealed several customers claimed Thornton emphasized only the income guarantees while minimizing surrender penalties and fee structures. Two clients stated they were not informed Thornton was planning to leave the firm when they purchased their annuities weeks before his departure.

Why Borderline

The contemporaneous documentation supports suitability while the pattern of pre-departure sales and subsequent client complaints suggests the recommendations may have prioritized the representative's interests over genuine client needs.

Borderline Factors

- * Documentation met firm standards at time of sale versus post-hoc client claims of inadequate disclosure
- * Product features facially matched stated objectives but surrender periods may have created unsuitable liquidity constraints
- * Concentration of sales before departure could reflect either coincidence or self-interested timing

Analysis

This scenario presents competing considerations regarding whether Thornton's annuity recommendations met suitability standards under FINRA Rule 2111. Supporting compliance: Thornton maintained contemporaneous

documentation of each client's financial profile, investment objectives, and risk tolerance. The clients' stated objectives--retirement income and moderate risk tolerance--facially align with variable annuity features including guaranteed lifetime income riders. The clients were within appropriate age ranges for annuity products, and all signed acknowledgment forms confirming their understanding of product features. Pinnacle's compliance department approved the transactions at the time of sale. Supporting violation: The clustering of twelve annuity sales in the months preceding Thornton's planned departure raises concerns about whether quantitative suitability was met--specifically whether the concentration was driven by client needs or the representative's desire to generate commissions before leaving. The 7-year surrender periods for clients in their late 60s and early 70s warrants scrutiny regarding liquidity needs as these clients approach required minimum distributions. Client statements alleging inadequate disclosure of fees and surrender charges suggest potential reasonable-basis suitability concerns. The failure to disclose Thornton's impending departure, while not a per se suitability violation, speaks to whether recommendations were made with customers' interests in mind. The post-sale complaints and early surrenders provide circumstantial evidence that the products did not match actual client needs, though hindsight evidence is not dispositive.

Item 240 of 250

Topic: suitability_of_speculative_trading_strategy_for_moderate_risk_investor

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice guidance on suitability documentation and customer profile updates; SEC Regulation Best Interest care obligation for broker-dealers

Likely Outcome: Probable finding of suitability violation. While customer communication matters, the dramatic strategy shift without formal profile update, combined with the near-retirement timeline and documented moderate risk tolerance, creates a strong inference that proper suitability processes were not followed. Regulators typically expect written acknowledgment of materially changed risk tolerances before implementing aggressive strategies for pre-retirees.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Marcus Whelan, a 58-year-old senior project manager at a construction firm, opened an account with Ridgeline Securities LLC in March 2023. His account documents indicated a moderate risk tolerance, investment objective of 'growth and income,' a 7-10 year time horizon, annual income of \$145,000, liquid net worth of \$380,000, and total net worth of \$620,000 including home equity. Whelan stated his primary goal was building retirement savings to supplement his pension.

His registered representative, Diana Okonkwo, initially constructed a diversified portfolio of large-cap equities and investment-grade bond funds totaling \$175,000. However, after attending a client education seminar hosted by Ridgeline in June 2023 about 'growth acceleration strategies,' Whelan expressed interest in more aggressive approaches. Okonkwo documented a phone conversation where Whelan stated he wanted to 'make up for lost time' after a divorce settlement reduced his assets. Without updating his formal account profile, Okonkwo began recommending concentrated positions in small-cap technology stocks and biotechnology companies, eventually comprising 65% of his portfolio.

By February 2024, the speculative positions had declined 42%, resulting in losses of approximately \$47,000. Whelan filed a complaint alleging the recommendations were unsuitable given his documented moderate risk profile and retirement timeline. Okonkwo maintained that Whelan verbally requested the aggressive strategy, understood the risks, and that her call notes documented his changed appetite. Ridgeline's compliance records showed no updated suitability questionnaire or risk tolerance acknowledgment was obtained before implementing the new strategy.

Why Borderline

The case hinges on whether informal documentation of changed customer preferences can override formal account profile documents when implementing a dramatically different investment strategy.

Borderline Factors

- * Representative documented verbal request for aggressive strategy but obtained no written update to risk profile
- * Customer's age and retirement timeline conflict with speculative concentration, yet customer actively requested the approach
- * 65% concentration represents significant departure from moderate profile, but account was less than half of total liquid assets

Analysis

This case presents competing considerations regarding suitability obligations when customer preferences appear to diverge from documented profiles. Supporting a finding of violation: Okonkwo failed to update Whelan's formal account documentation before implementing a dramatically different investment strategy. FINRA Rule 2111 requires reasonable-basis, customer-specific, and quantitative suitability. The 65% concentration in speculative small-cap and biotech stocks appears inconsistent with a moderate risk tolerance and 7-10 year retirement horizon. At age 58, Whelan had limited time to recover from significant losses. The absence of updated written acknowledgment of changed risk tolerance is a significant procedural gap that most compliance programs would require before such a strategy shift.

Supporting compliance: Okonkwo did document the verbal conversation where Whelan expressed desire for aggressive growth. Customer-specific suitability considers stated objectives, and Whelan arguably communicated new objectives. His income and liquid net worth could support some speculative exposure, and the \$175,000 account represented less than half his liquid assets. FINRA guidance acknowledges that customer preferences can evolve and representatives may rely on customer communications. The educational seminar was firm-sponsored, suggesting Ridgeline encouraged client engagement with growth strategies.

However, the magnitude of the strategy change--from diversified moderate growth to 65% speculative concentration--typically requires more robust documentation than informal call notes, particularly for a pre-retiree. The failure to obtain updated written acknowledgment creates significant compliance risk regardless of verbal representations.

Item 241 of 250

Topic: suitability_of_concentrated_position_for_retired_customer

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); SEC Regulation Best Interest (for recommendations after June 30, 2020) requiring care obligation analysis of risks, rewards, and costs in light of customer's investment profile.

Likely Outcome: A FINRA arbitration panel would likely find in favor of the customer, awarding partial damages. While the adviser had a reasonable basis for recommending First Mountain Bancorp shares, the 60% concentration in a single equity for a retiree with limited experience and moderate risk tolerance likely fails customer-specific suitability. The panel may reduce damages based on Margaret's consent and the unforeseeable nature of the banking crisis, but the core concentration problem represents a clear mismatch with her documented profile.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Thornton, age 68, retired from her position as a middle school principal in March 2022 with a pension providing \$4,200/month and Social Security benefits of \$2,100/month. She had liquid assets of approximately \$485,000, which represented her life savings accumulated over 35 years. Her investment objective, documented on her new account form at Ridgeline Securities LLC, stated 'growth and income' with a 'moderate' risk tolerance and a 10-year investment time horizon. Her registered representative, David Kowalski, recommended she invest \$290,000 (approximately 60% of her liquid assets) into shares of a single regional bank holding company, First Mountain Bancorp, based on Kowalski's research indicating the stock was undervalued and paid a 4.2% dividend yield. Kowalski had followed this bank for eight years and genuinely believed in its fundamentals. He explained the dividend income would supplement her pension and the stock had appreciation potential. Margaret agreed to the recommendation after reviewing a one-page research summary Kowalski prepared. The account opening documents showed Margaret had 'limited' investment experience, having previously held only certificates of deposit and a small 403(b) plan invested in target-date funds. By November 2023, First Mountain Bancorp shares had declined 47% following the regional banking crisis, reducing Margaret's position to approximately \$154,000. She filed a FINRA arbitration claim alleging the concentrated position recommendation was unsuitable given her age, limited experience, and reliance on these funds for retirement security.

Why Borderline

The case turns on whether a 60% single-stock concentration can ever be suitable for a moderate-risk retiree, and whether documented consent and a genuine reasonable-basis belief by the adviser mitigate the concentration concern.

Borderline Factors

- * Customer's documented 10-year time horizon suggests some capacity for equity risk despite retirement status
- * Adviser conducted genuine research and held reasonable basis belief, though concentration level was extreme
- * Customer's 'moderate' risk tolerance and 'limited' experience conflict with the aggressive single-stock strategy

Analysis

Arguments supporting a suitability violation are substantial. A 60% concentration in a single equity position for a 68-year-old retiree with limited investment experience and 'moderate' risk tolerance raises significant red flags under FINRA Rule 2111. The quantitative suitability component considers whether the overall investment strategy is suitable,

and concentrating the majority of a retiree's liquid assets in one stock--particularly in the volatile banking sector--appears inconsistent with moderate risk tolerance. Additionally, the customer-specific suitability analysis must account for Margaret's reliance on these assets for retirement security beyond her fixed income sources. FINRA has repeatedly emphasized that recommendations must be consistent with the customer's stated risk tolerance and investment profile. However, arguments supporting the adviser's position exist. The documented 10-year time horizon suggests Margaret was not seeking immediate liquidity and could weather short-term volatility. The 4.2% dividend yield addressed her 'income' objective, and the growth potential aligned with her 'growth' objective. Kowalski conducted research and formed a reasonable basis for the recommendation, satisfying the reasonable-basis obligation. Margaret consented after reviewing materials, and the account form did indicate 'growth' as an objective, which inherently involves equity exposure. The regional banking crisis was an unforeseeable systemic event. Some could argue that a 60% single-stock position, while aggressive, is not per se unsuitable if the customer understood and accepted the concentration risk.

Item 242 of 250

Topic: suitability_of_fee_structure_for_passive_investor

Standard: FINRA Rule 2111 (Suitability--quantitative and customer-specific suitability); Regulation Best Interest Care Obligation under Exchange Act Section 15(l); FINRA Rule 2010 (Standards of Commercial Honor); FINRA Rule 2090 (Know Your Customer)

Likely Outcome: Expungement likely granted given absence of formal complaint, customer's expressed support, and arguable basis for fee-based recommendation. However, a suitability review might find the account type inappropriate for a passive investor, creating potential supervisory concerns without formal disciplinary action.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret Chen, age 67, retired from her position as a high school administrator in March 2022 with a \$485,000 rollover IRA from her pension plan. She met with registered representative David Hollister of Cornerstone Wealth Partners in Houston, Texas. Chen's investment profile indicated moderate risk tolerance, income-focused objectives, a 15-year time horizon, and limited investment knowledge. She explicitly stated she wanted a 'set it and forget it' approach and would not be actively trading or rebalancing her portfolio. Hollister recommended she open a fee-based advisory account charging 1.25% annually (\$6,062.50/year) rather than a commission-based brokerage account. He placed her assets into a diversified portfolio of low-cost index ETFs and municipal bond funds, with an initial allocation of 45% equities and 55% fixed income. Over the next 18 months through September 2023, Hollister made only two minor rebalancing trades totaling approximately \$22,000 in transaction volume. Chen later expressed dissatisfaction after learning from her nephew that she could have purchased the same ETFs in a brokerage account with minimal ongoing costs. Cornerstone returned approximately \$4,500 in fees after Chen complained but did not execute any formal settlement. Chen never filed a formal customer complaint, and Hollister now seeks expungement of the occurrence from his CRD record, arguing the fee-based structure provided ongoing monitoring and was suitable for Chen's stated desire for professional oversight of her retirement assets.

Why Borderline

The case presents genuine tension between account-type suitability (fee-based vs. commission) and the broader advisory relationship value that cannot be measured purely by transaction volume.

Borderline Factors

- * Client's stated preference for passive approach versus desire for professional oversight creates conflicting signals about appropriate account type
- * Fee-based account charges appear disproportionate to actual trading activity, but ongoing monitoring has inherent value
- * Voluntary fee return by firm suggests concern but doesn't constitute admission of unsuitability

Analysis

The central question is whether recommending a fee-based advisory account was suitable and in Chen's best interest given her explicitly stated passive investment approach. Arguments supporting a violation: Under Regulation BI's care obligation and FINRA Rule 2111's quantitative suitability component, the fee-based account generated \$6,062.50 annually for minimal service--only two rebalancing trades over 18 months. The implicit break-even analysis suggests Chen would have paid far less in a commission-based account for the same transactions. A reasonable basis suitability

analysis might conclude the product structure was unsuitable for someone who wanted passive, buy-and-hold investing. The fact that Cornerstone voluntarily returned fees suggests internal recognition that the arrangement was problematic. Arguments supporting compliance: Hollister could argue that ongoing portfolio monitoring, quarterly reviews, and professional oversight justified the fee regardless of trading activity. Chen's limited investment knowledge and desire for professional management of retirement assets supports the advisory relationship. The 1.25% fee is within industry norms, and the underlying ETF selection was cost-efficient and appropriate for her risk profile. Fee-based accounts provide fiduciary-level care and ongoing suitability monitoring that commission accounts do not. Chen's 'set it and forget it' preference could reasonably be interpreted as wanting professional management rather than self-direction. The absence of a formal complaint and Chen's apparent satisfaction until her nephew intervened complicates the analysis.

Item 243 of 250

Topic: elderly_client_digital_asset_allocation_suitability

Standard: NASAA Model Rule on IA Fiduciary Duty requiring investment advisers to act in clients' best interest; Ohio Securities Act fiduciary duty provisions; NASAA Model Rule on Dishonest or Unethical Business Practices of Investment Advisers addressing suitability; state senior investor protection standards requiring heightened scrutiny of recommendations to elderly clients

Likely Outcome: State regulators would likely find a suitability violation, imposing a censure and requiring restitution of the approximately \$12,000 loss. While Chen's documentation demonstrates process, Ohio regulators following NASAA guidance on senior protection would likely conclude that recommending any digital asset exposure to a 72-year-old retiree with no prior experience in the asset class fails to meet the heightened care obligation owed to vulnerable investors, regardless of documented client interest.

Source: 14_NASAA_State_Enforcement

Fact Pattern

Margaret Thornton, age 72, is a retired school teacher in Ohio with a \$485,000 portfolio managed by Cornerstone Wealth Advisors, a state-registered investment adviser. In March 2024, her adviser, David Chen, recommended allocating 8% of her portfolio (approximately \$38,800) to a digital asset fund that invests in a diversified basket of established cryptocurrencies including Bitcoin and Ethereum. Mrs. Thornton's investment profile indicated moderate risk tolerance, a 15-year time horizon based on life expectancy projections, and stated investment objectives of 'growth with income' to supplement her pension and Social Security. She had no prior experience with digital assets.

Chen documented that Mrs. Thornton initiated interest in digital assets after reading news articles about institutional adoption and asked about gaining exposure. He recommended the regulated fund structure rather than direct cryptocurrency purchases, noting it provided professional management, diversification across multiple digital assets, and avoided the complexity of self-custody. The fund charged a 1.75% management fee. Chen's notes reflect a 45-minute discussion about volatility risks, the speculative nature of digital assets, and the possibility of total loss of the allocated amount.

Between March and September 2024, the digital asset allocation declined 31% to approximately \$26,800, while the remainder of Mrs. Thornton's traditionally allocated portfolio grew 6%. Mrs. Thornton's daughter, who holds power of attorney, filed a complaint with the Ohio Division of Securities alleging the recommendation was unsuitable given her mother's age, lack of sophistication with digital assets, and need for capital preservation. Chen maintains the allocation was appropriate given the client's stated moderate risk tolerance, long time horizon, and documented interest in the asset class.

Why Borderline

The case balances legitimate client autonomy and documented interest against heightened suitability concerns for elderly clients in speculative asset classes, with reasonable arguments supporting either outcome.

Borderline Factors

- * Client-initiated interest in digital assets versus adviser's duty to protect elderly clients from unsuitable investments
- * 8% allocation arguably modest but still material for retiree dependent on portfolio
- * Documented risk disclosure and regulated fund structure versus inherent unsuitability of speculative assets for 72-year-old

Analysis

This case presents genuine tension between client autonomy and adviser duty of care under state fiduciary standards. Supporting a violation finding: Mrs. Thornton's age of 72 and retirement status suggest capital preservation should be prioritized regardless of stated risk tolerance. Digital assets represent a highly speculative, volatile asset class that may be categorically unsuitable for elderly clients with no prior experience. The NASAA enforcement report specifically highlights digital assets and senior financial exploitation as ongoing enforcement priorities, suggesting regulators view such recommendations with heightened scrutiny. An 8% allocation to a single speculative asset class may exceed prudent limits for a retiree dependent on portfolio income.

Supporting compliance: Chen followed a reasonable process by documenting the client's expressed interest, conducting a substantive risk discussion, and choosing a regulated fund structure over direct cryptocurrency ownership. The 8% allocation left 92% in traditional investments, representing a modest satellite position rather than a core holding. Mrs. Thornton's documented 15-year time horizon and moderate risk tolerance arguably support some growth-oriented exposure. The client initiated interest in the asset class, and the adviser's role included educating rather than simply refusing client requests. Many investment professionals now view modest digital asset allocations as appropriate diversification for clients with adequate time horizons.

The outcome hinges on whether state regulators apply a categorical prohibition on digital assets for elderly clients or evaluate the specific facts including documentation, allocation size, and client-expressed interest.

Item 244 of 250

Topic: suitability_concentrated_tech_position_elderly_investor

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-55 regarding heightened supervision for senior investors; firm-specific policies for vulnerable adult clients

Likely Outcome: Likely dismissal or minimal damages. While the concentration was aggressive for retirees, the customer-directed nature of many trades, the blue-chip quality of holdings, documented quarterly disclosures of concentration, and absence of specific policy thresholds make it difficult to establish a clear suitability violation. The panel would likely find insufficient evidence that Marsh 'recommended' an unsuitable strategy rather than facilitating customer preferences.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Margaret and Harold Winters, ages 78 and 81, opened an account with Sterling Digital Brokerage in March 2021 after transferring approximately \$2.8 million from their previous full-service broker. The couple indicated on their new account forms that they had 'moderate' risk tolerance, an investment objective of 'growth with income,' and a 15-year time horizon. Their liquid net worth was approximately \$3.4 million, with Social Security and a small pension providing \$4,200 monthly. Their registered representative, Kevin Marsh, noted in the file that the Winters were 'sophisticated investors who actively followed tech markets' based on their statements during onboarding. Between April 2021 and January 2022, Marsh executed trades that concentrated approximately 72% of the portfolio in seven large-cap technology stocks: Apple, Microsoft, Amazon, Google, Tesla, Broadcom, and IBM. The Winters initiated many of these purchases through the firm's online platform, though Marsh provided guidance on timing and position sizing during phone consultations. When tech stocks declined sharply in 2022, the portfolio lost approximately \$1.1 million in value. The Winters filed a complaint alleging Marsh failed to recommend diversification appropriate for retirees and should have flagged the concentration risk under the firm's vulnerable senior policies. Sterling's records show Marsh sent quarterly portfolio reviews noting the concentration but the Winters never requested changes. The firm's senior investor policy required 'heightened supervision' for clients over 75 but did not mandate specific diversification thresholds.

Why Borderline

The distinction between customer-directed trading and broker recommendations in a hybrid online/advisory model creates genuine uncertainty about whether suitability obligations attached to these transactions.

Borderline Factors

- * Ambiguity over whether trades were 'recommended' or customer-directed in hybrid service model
- * Elderly clients with moderate risk tolerance held large-cap blue chips rather than speculative securities
- * Firm's senior policy lacked specific concentration thresholds despite requiring heightened supervision

Analysis

This case presents competing considerations under FINRA's suitability framework. Supporting a finding of unsuitable recommendations: The 72% concentration in a single sector for clients in their late 70s and early 80s appears inconsistent with their stated 'moderate' risk tolerance and 'growth with income' objective. Standard investment principles suggest retirees dependent on portfolio assets should maintain diversification to protect against sector-specific volatility. The Winters' advanced age and reliance on the portfolio for potential income needs raises questions about whether such concentration was appropriate regardless of their stated sophistication. Additionally,

Marsh's role in providing 'guidance on timing and position sizing' suggests he was doing more than merely executing unsolicited orders. However, supporting a finding of compliance: The Winters actively initiated many trades through the online platform, suggesting customer-directed activity rather than broker recommendations. Their documented 15-year time horizon and \$3.4 million liquid net worth indicate they had capacity to absorb volatility. Marsh's quarterly reviews noting the concentration provided ongoing disclosure, and the clients never objected. The large-cap tech stocks involved are not complex or speculative products--they are widely held blue-chip securities. FINRA Rule 2111 requires suitability analysis for 'recommended' transactions, but the line between recommendation and customer-directed trading in a hybrid service model is often unclear. The firm's senior policy required 'heightened supervision' but did not establish specific concentration limits, making it difficult to prove a clear policy violation.

Item 245 of 250

Topic: suitability_of_municipal_bond_concentration

Standard: FINRA Rule 2111 (Suitability) requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Regulatory Notice 12-25 regarding complex products and heightened supervision for concentrated positions.

Likely Outcome: A FINRA arbitration panel would likely find the recommendation unsuitable, though potentially with reduced damages. The extreme concentration in speculative-grade securities from a single distressed issuer conflicts with documented moderate risk tolerance, regardless of income objectives. However, the client's signed acknowledgments and prior bond experience may reduce damages through comparative fault principles.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2022, registered representative David Kellerman at Coastal Securities Partners recommended that his client, Margaret Holloway, age 68, reallocate approximately \$420,000 of her \$560,000 retirement portfolio into Puerto Rico municipal bonds yielding between 5.2% and 6.8%. Mrs. Holloway was a retired schoolteacher with a fixed pension of \$3,200 monthly and Social Security income of \$1,900 monthly. Her stated investment objectives on file were 'income with moderate growth' and her risk tolerance was documented as 'moderate.' She had previous experience owning investment-grade corporate bonds and had held a small position in municipal bonds several years earlier.

Kellerman explained to Mrs. Holloway that the Puerto Rico bonds offered tax-advantaged income significantly higher than comparable municipal securities, which would supplement her fixed income sources. He discussed that the bonds carried lower credit ratings but emphasized their tax-exempt status across all states. Mrs. Holloway signed acknowledgment forms indicating she understood the credit risks and the concentrated nature of the position. Kellerman's notes reflected that the client expressed a desire to maximize income without touching principal during her lifetime.

By late 2023, several of the Puerto Rico bond positions had declined substantially in value due to ongoing fiscal concerns, resulting in unrealized losses of approximately \$85,000. Mrs. Holloway filed a complaint alleging the recommendation was unsuitable given her age, reliance on portfolio income, and the excessive concentration in below-investment-grade securities from a single issuer facing well-publicized financial difficulties.

Why Borderline

The case balances documented client consent and legitimate income objectives against concentration risk concerns and the inherent tension between 'moderate' risk tolerance and below-investment-grade concentrated positions.

Borderline Factors

- * Client signed acknowledgment forms indicating understanding of credit and concentration risks
- * 75% concentration in below-investment-grade bonds from a single issuer with known fiscal problems
- * Documented 'moderate' risk tolerance versus high-yield speculative-grade securities

Analysis

The suitability analysis presents compelling arguments on both sides. Supporting a finding of unsuitability: The 75% concentration in bonds from a single troubled issuer represents significant concentration risk for a 68-year-old retiree

dependent on portfolio income. Puerto Rico's fiscal challenges were widely known by 2022, and recommending below-investment-grade securities as the dominant portfolio position conflicts with a 'moderate' risk tolerance profile. FINRA Rule 2111 requires that recommendations be suitable considering the customer's age, financial situation, and investment experience. A retired client with limited ability to recover from losses and reliance on investment income arguably should not have three-quarters of her portfolio in speculative-grade municipal debt.

Supporting compliance: Mrs. Holloway had prior municipal bond experience and signed acknowledgment forms demonstrating informed consent. Her documented objective of maximizing income aligns with higher-yielding securities, and the tax-advantaged nature of the bonds served her stated goal of supplementing fixed income. The representative documented the client's explicit desire to maximize income while preserving principal, and high-yield municipal bonds historically provided strong income streams. Additionally, the client's pension and Social Security provided baseline income security, potentially justifying some reach for yield. The representative conducted a reasonable-basis suitability analysis by explaining the credit risks and obtaining written acknowledgment.

The outcome hinges on whether documented client consent and income objectives can justify concentration in speculative-grade securities for a retirement-age investor with moderate stated risk tolerance.

Item 246 of 250

Topic: suitability_complex_trust_investment_strategy

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); state law fiduciary duties applicable to trust investment advice

Likely Outcome: A FINRA arbitration panel would likely find partial liability, potentially awarding damages on the BDC allocation as unsuitable given the trust's preservation mandate and trustee's inexperience, while finding the investment-grade bond allocation within acceptable bounds given the time horizon. The panel may reduce damages based on market conditions affecting all fixed-income investors during this period.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

In March 2021, registered representative Daniel Ashworth of Pinnacle Wealth Advisors began managing investments for the Reinholt Family Trust, which held approximately \$2.4 million in assets. The trust beneficiaries included three adult children aged 28, 32, and 35, with distributions scheduled to occur when the youngest beneficiary reached age 40. The trust document specified preservation of capital as a primary objective, with modest growth as secondary. The trustee, Eleanor Reinholt (age 71), relied heavily on Ashworth's recommendations and had limited investment experience beyond certificates of deposit and municipal bonds.

Ashworth recommended allocating 35% of the trust assets to a portfolio of individual corporate bonds rated BBB to BBB-, arguing this would provide higher yield than the existing municipal bond holdings while still meeting the trust's income needs. He also recommended 15% allocation to business development companies (BDCs) paying 8-10% dividends, explaining these would enhance the trust's income generation. The remaining assets were allocated to diversified equity funds and cash equivalents.

Over the following 18 months, the BBB-rated bonds experienced significant price volatility due to rising interest rates, and two positions totaling \$180,000 were downgraded to junk status. The BDC holdings declined approximately 22% in value. By September 2022, the trust had experienced unrealized losses of approximately \$340,000. The beneficiaries filed a complaint alleging the investment strategy was unsuitable given the trust's stated preservation objective and the trustee's conservative profile.

Why Borderline

The trust's 12-year time horizon arguably supports accepting some volatility for yield enhancement, yet the explicit preservation language and trustee's inexperience create tension with recommending lower-investment-grade and complex products.

Borderline Factors

- * Explicit trust document language prioritizing preservation versus long investment time horizon
- * Trustee's limited experience versus her independent fiduciary duty to understand investments
- * Investment-grade bond ratings at purchase versus subsequent downgrades and market-driven losses

Analysis

The suitability analysis here presents genuinely competing considerations. Supporting a violation finding: The trust

document explicitly prioritized capital preservation, and a 35% allocation to lower investment-grade bonds plus 15% to BDCs--complex, illiquid products with equity-like risk--appears inconsistent with that objective. Eleanor Reinholt's limited investment experience suggests she may not have fully understood the risks of BBB-rated debt in a rising rate environment or the structural complexities of BDCs. FINRA Rule 2111 requires reasonable diligence regarding the customer's investment profile, and the trustee's conservative background combined with explicit trust language creates a strong argument that more conservative instruments were warranted.

Supporting compliance: Ashworth could argue that with a 12+ year time horizon until final distribution, the trust could tolerate intermediate-term volatility for enhanced income generation. Investment-grade bonds (BBB and above) are not inherently unsuitable for trusts seeking income, and the 35% allocation left 65% in more conservative positions. The trustee, as a sophisticated party accepting fiduciary responsibility, had an independent duty to understand investments and could have declined the recommendations. Additionally, the losses were largely unrealized and interest-rate driven--a market risk rather than fundamental credit deterioration in most positions. The BDC allocation, while complex, represented only 15% of assets and provided substantial income as intended.

The timing of complaints (after market losses) rather than at recommendation raises questions about whether the strategy was truly unsuitable or simply experienced adverse market conditions that affected most fixed-income portfolios.

Item 247 of 250

Topic: advisory_fee_waiver_eligible_products_best_interest

Standard: Exchange Act Rule 15l-1(a)(1) (Reg BI general obligation); Exchange Act Rule 15l-1(a)(2)(ii) (Care Obligation requiring understanding of costs); FINRA Rule 3110(a) and (b) (supervisory systems and written procedures); FINRA Rule 2010 (standards of commercial honor)

Likely Outcome: Probable supervisory violation under FINRA Rule 3110 for failure to maintain procedures reasonably designed to address fee-waiver eligible products in brokerage recommendations, consistent with the Merrill Lynch precedent. The individual representative violation is less certain given the documented client preference, but regulators may find the cost analysis was inadequate under Reg BI's Care Obligation given the magnitude of avoidable fees.

Source: 04_RegBI_Compliance_Guidance

Fact Pattern

Hartwell Wealth Partners, a dual-registered broker-dealer and investment adviser with approximately 850 registered representatives, offers clients the choice between brokerage accounts and fee-based advisory accounts. In March 2023, registered representative Daniel Kessler recommended that client Margaret Thornton, a 67-year-old retired school administrator with \$425,000 in retirement savings and a moderate risk tolerance, purchase \$180,000 worth of Class A mutual fund shares in her existing brokerage account. The mutual funds selected were among those eligible for advisory fee waivers if held in Hartwell's advisory platform, where the annual advisory fee would have been 0.85% but waived for these specific fund families under a promotional arrangement.

Kessler documented that he recommended the brokerage account because Mrs. Thornton indicated she preferred a buy-and-hold strategy and did not want ongoing advice or portfolio monitoring. The Class A shares carried a 4.25% front-end sales load totaling \$7,650. Had Mrs. Thornton held these same funds in the advisory account with the fee waiver, she would have paid no sales load and no advisory fees for the first two years, after which standard advisory fees would apply. Kessler's compensation was \$3,825 in commissions from the brokerage sale, compared to approximately \$765 annually had the client been in the fee-waived advisory arrangement.

Hartwell's supervisory system flagged the transaction for review because the purchased funds were on the fee-waiver eligible list, but the branch manager approved the trade after noting Kessler's documentation of the client's stated preference for no ongoing relationship. The firm's written procedures did not require representatives to affirmatively disclose or compare costs of fee-waiver eligible products across account types when making brokerage recommendations.

Why Borderline

The case hinges on whether a client's stated preference for a transactional relationship can justify recommending a higher-cost option when an objectively lower-cost alternative exists, and whether the firm's procedures adequately addressed fee-waiver eligible products.

Borderline Factors

- * Client's documented preference for buy-and-hold strategy without ongoing advisory relationship
- * Substantial upfront cost differential versus temporary nature of fee waiver program
- * Firm procedures did not require affirmative cost comparison for fee-waiver eligible products

Analysis

This case presents competing considerations under Reg BI's Care Obligation. Supporting a finding of violation: The cost differential is substantial--\$7,650 in upfront loads versus potentially zero fees for two years in the advisory account. Under Exchange Act Rule 15l-1(a)(2)(ii), Kessler was required to exercise reasonable diligence to understand the costs associated with his recommendation. The firm's procedures failed to require comparison of fee-waiver eligible products across account types, similar to the supervisory failures identified in the Merrill Lynch AWC where customers paid avoidable fees due to inadequate procedures. Kessler's compensation was significantly higher from the brokerage recommendation, raising questions about whether the client's interest was placed ahead of his own.

Supporting compliance: Mrs. Thornton explicitly stated she wanted a buy-and-hold approach without ongoing advice or monitoring--the core value proposition of an advisory relationship. The advisory fee waiver was temporary (two years), after which she would pay 0.85% annually (\$1,530/year on \$180,000). Over a five-year horizon, the brokerage option with the front-load could actually be less expensive than the advisory account once standard fees resumed. Kessler documented the client's preferences, and the recommendation aligned with her stated investment approach. The branch manager reviewed and approved based on this documentation. Reg BI does not require recommending the lowest-cost option in every instance--it requires that costs be considered as one factor among many in determining best interest.

Item 248 of 250

Topic: algorithmic_trading_strategy_suitability

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); Regulation Best Interest Rule 15l-1 Care Obligation requiring reasonable diligence regarding investment risks and ensuring recommendations are in customer's best interest

Likely Outcome: Probable finding of suitability violation with moderate sanctions. Regulators would likely determine that the firm failed to exercise reasonable diligence in assessing whether Thornton's dated experience genuinely qualified him for a complex algorithmic strategy, and that the quantitative trading pattern warranted heightened scrutiny regardless of customer representations. However, the firm's disclosure efforts and customer's sophistication would likely mitigate sanctions.

Source: 03_FINRA_AWC

Fact Pattern

In March 2021, Sentinel Trading Solutions LLC, a broker-dealer offering algorithmic trading and execution services, recommended its proprietary 'Velocity Momentum' algorithmic trading strategy to Gerald Thornton, a 58-year-old semi-retired commercial real estate developer. Thornton had a liquid net worth of approximately \$2.4 million, with \$850,000 available for investment. His stated objectives were growth with moderate risk tolerance, and he indicated on his new account form that he had 'some experience' with active trading, having previously day-traded stocks during the late 1990s tech boom.

The Velocity Momentum strategy employed high-frequency order entry with rapid position turnover, typically executing 200-400 trades daily across equity markets. Sentinel's registered representative, Marcus Webb, explained that the algorithm was designed to capture small price movements and that historical backtested returns showed 18% annualized gains over five years. Webb disclosed that the strategy could experience significant drawdowns during volatile periods but emphasized the algorithm's risk controls, including automatic position limits and stop-losses.

Between March 2021 and February 2022, Thornton's account generated over 47,000 executed trades, producing gross commissions of \$127,000. The account experienced a net loss of \$89,000 during this period, representing approximately 10.5% of his initial investment. When Thornton complained in April 2022, Webb noted that Thornton had received monthly statements showing trade activity and had never objected, and that the losses were within the risk parameters discussed at account opening. Thornton claimed he never fully understood the trading frequency or that his two-decade-old day trading experience was fundamentally different from algorithmic execution.

Why Borderline

The case hinges on whether two-decade-old day trading experience constitutes meaningful sophistication for modern algorithmic strategies, and whether the firm's disclosure obligations extend to independently evaluating the relevance of stated customer experience.

Borderline Factors

- * Customer's self-reported trading experience was technically accurate but temporally and substantively disconnected from algorithmic trading
- * High trade volume and commissions relative to account size, but potentially inherent to the strategy type rather than churning
- * Customer received ongoing statements without objection, suggesting potential ratification of strategy

Analysis

This case presents genuine ambiguity regarding suitability of a sophisticated algorithmic trading strategy for a retail customer with dated and limited trading experience. Supporting a potential violation: Thornton's prior day trading experience from over 20 years ago in a fundamentally different market environment may not constitute adequate experience with modern algorithmic strategies executing hundreds of daily trades. The 47,000 trades generating \$127,000 in commissions against an \$850,000 account suggests a cost-to-equity ratio that warrants scrutiny under quantitative suitability standards. Additionally, the gap between backtested returns (18%) and actual results (-10.5%) raises questions about whether the recommendation was based on reasonable diligence regarding strategy performance.

Supporting compliance: Thornton was a sophisticated individual with substantial net worth and prior active trading experience, however dated. The firm disclosed the strategy's risks, including potential drawdowns, and the 10.5% loss was arguably within the moderate risk tolerance Thornton indicated. Monthly statements provided ongoing transparency, and Thornton's failure to object over eleven months could indicate implicit acceptance. The commission structure, while substantial, may be inherent to high-frequency strategies rather than indicative of churning. Webb's documentation of the risk discussion at account opening demonstrates some care obligation fulfillment.

The core tension lies in whether customer-specific suitability requires the firm to independently assess whether stated experience is genuinely relevant to the recommended strategy, or whether reasonable reliance on customer representations is sufficient.

Item 249 of 250

Topic: suitability_of_concentrated_private_placement_recommendations

Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and quantitative suitability components; FINRA Rule 2010 (Standards of Commercial Honor); FINRA Suitability guidance regarding concentration, liquidity, and customer investment profiles; state common law fiduciary duties applicable to trust accounts.

Likely Outcome: A FINRA arbitration panel would likely find partial liability, awarding damages to the most vulnerable claimants (special needs trusts, elderly investors with limited alternative resources) while potentially reducing or denying claims from higher-net-worth investors who had greater capacity to absorb losses. The panel may apply comparative fault given the firm's product approval but hold Delano accountable for failing to adequately tailor recommendations to individual circumstances, particularly for conservative trust accounts.

Source: 12_FINRA_Arbitration_Awards

Fact Pattern

Between January 2020 and March 2023, registered representative Marcus Delano of Heartland Securities, LLC recommended a series of private placement investments in GPB Capital Holdings and similar alternative investment vehicles to approximately 45 clients across the Midwest. The investors included retirees, trust beneficiaries, IRA holders, and married couples with varying net worth levels ranging from \$250,000 to \$3.5 million in investable assets. Delano positioned these illiquid private placements as income-generating alternatives to low-yield bonds, recommending allocations between 15% and 35% of client portfolios depending on stated income needs. Client documentation indicated moderate risk tolerance across most accounts, though several trust accounts and special needs trusts carried conservative investment objectives. Delano conducted suitability reviews using Heartland's standard new account forms, which captured basic financial information including income, net worth, investment experience, and time horizon. The firm's product due diligence committee had approved the offerings after reviewing sponsor-provided materials, though subsequent regulatory actions revealed material misrepresentations in those documents. When the underlying investments suspended distributions in late 2022 and ultimately became nearly worthless, clients collectively lost approximately \$8.7 million. Many affected investors were elderly individuals who had relied on the promised 8% distributions for living expenses, and several trust beneficiaries faced diminished resources for ongoing care needs.

Why Borderline

The case involves tension between facially compliant documentation and suitability processes versus the practical appropriateness of illiquid concentrated positions for vulnerable client populations, where the 'reasonable basis' and 'customer-specific' suitability prongs may point in different directions.

Borderline Factors

- * Firm-approved products versus individual representative's duty to assess customer-specific suitability
- * Documented moderate risk tolerance versus practical unsuitability of illiquid investments for income-dependent retirees
- * Concentration levels (15-35%) that fall in gray zone between acceptable allocation and excessive risk

Analysis

Arguments supporting a suitability violation center on several factors. First, allocating 15-35% of portfolios to illiquid

private placements for clients with moderate or conservative risk tolerances appears inconsistent with those profiles, particularly for trust accounts with fiduciary obligations. The concentration in a single alternative investment sponsor created excessive risk that prudent portfolio construction would typically avoid. For elderly clients and special needs trusts depending on income streams, recommending illiquid investments with uncertain distribution capabilities raises serious questions about whether Delano adequately considered liquidity needs and time horizons. The homogeneous nature of recommendations across 45 clients with varying circumstances suggests possible failure to individualize suitability analysis. However, arguments supporting compliance exist. Delano utilized the firm's approved suitability framework and recommended products that passed the firm's due diligence review. At the time of recommendation, the private placements had track records of making distributions and appeared suitable for income-oriented investors seeking yield enhancement over traditional fixed income. If clients' documented financial profiles showed sufficient liquid assets outside these investments to meet near-term needs, concentration in a single product category--while aggressive--might fall within acceptable bounds for income generation. The firm's product approval arguably shifted some diligence burden away from the individual representative. Additionally, subsequent investment failures do not automatically establish that recommendations were unsuitable when made; hindsight analysis is generally disfavored in suitability determinations.

Item 250 of 250

Topic: suitability_of_concentrated_position_recommendation

Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quantitative suitability; FINRA Rule 2090 (Know Your Customer); SEC Regulation Best Interest (if applicable after June 2020) imposing Care Obligation requiring consideration of reasonably available alternatives

Likely Outcome: A FINRA arbitration panel would likely find partial liability. While Crawford documented customer understanding, the degree of concentration (80%) in a single illiquid security for a moderate-risk retiree dependent on income creates a strong inference of unsuitability. The lack of documented consideration of diversified alternatives weakens the suitability defense. However, damages may be reduced based on customer's expressed preference and acknowledgment of risks.

Source: 22_PiABA_Materials

Fact Pattern

Margaret Thornton, age 67, was a retired school teacher who opened an account with Coastal Securities Group in March 2019. Her account application documented \$425,000 in liquid assets (primarily from a pension lump-sum distribution), a moderate risk tolerance, a 10-15 year investment time horizon, and an investment objective of 'income with capital preservation.' Her monthly income needs were approximately \$2,800 to supplement Social Security. Her registered representative, Daniel Crawford, recommended she invest \$340,000 (80% of her liquid assets) into a single high-dividend REIT focused on commercial office properties, citing its 7.2% annual dividend yield as ideal for her income needs. Crawford provided a prospectus and explained the REIT's dividend history over the past eight years. He noted the concentration but documented that Mrs. Thornton understood and accepted the single-position risk because she 'wanted simplicity and didn't want to track multiple investments.' By February 2021, the REIT had cut its dividend by 60% due to pandemic-related commercial real estate vacancies, and the share price declined 45%. Mrs. Thornton filed a claim alleging the concentrated recommendation was unsuitable. Crawford's documentation showed he had discussed the risks of concentration and real estate sector exposure, but there was no evidence he presented alternative diversified income strategies or explained why this particular concentration level was appropriate for her specific circumstances.

Why Borderline

The case presents tension between documented customer preference for concentration versus the objective mismatch between an 80% single-position allocation and stated moderate risk tolerance with capital preservation objectives.

Borderline Factors

- * Customer's documented acceptance of concentration risk versus objective unsuitability for her risk profile
- * Alignment of dividend yield with income needs versus inappropriate sector concentration for retirement assets
- * Absence of documented alternative strategy discussions despite prospectus disclosure

Analysis

The suitability analysis here involves competing considerations. Supporting a violation finding: FINRA Rule 2111 requires that recommendations be suitable based on the customer's investment profile, including risk tolerance and investment objectives. An 80% concentration in a single non-traded security for a 67-year-old retiree with moderate risk tolerance and capital preservation objectives appears inconsistent with those stated goals. The position created significant concentration risk and sector-specific exposure that endangered her retirement income security. A reasonable-basis suitability analysis should have identified that commercial real estate REITs carry inherent liquidity

and sector risks that may be inappropriate for someone dependent on the income. Additionally, the lack of documented discussion of diversified alternatives suggests Crawford may have failed to consider whether less concentrated options could meet her income needs. Supporting compliance: Crawford obtained documented acknowledgment that the customer understood and accepted the concentration risk. The customer explicitly stated she preferred simplicity over diversification. The 7.2% yield mathematically aligned with her stated income needs ($\$340,000 \times 7.2\% = \$24,480$ annually, or approximately \$2,040/month). The REIT had an eight-year dividend track record, suggesting reasonable-basis suitability analysis. Customer-specific suitability allows for concentrated positions when customers demonstrate understanding and preference. The pandemic's impact on commercial real estate was an unforeseeable market event, not a product flaw that should have been apparent at recommendation time.
